

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[989 NE2d 9, 966 NYS2d 747]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ALEX ECHEVARRIA, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANDREW MOSS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARTIN JOHNSON, Appellant.

Argued March 18, 2013; decided April 30, 2013

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 15, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Daniel P. FitzGerald, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree and criminal sale of a controlled substance in or near school grounds.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 22, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Daniel P. Conviser, J., at suppression hearing; Daniel P. FitzGerald, J., at jury trial and sentencing), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 13, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (A. Kirke Bartley, Jr., J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree and criminal sale of a controlled substance in or near school grounds.

People v Echevarria, 89 AD3d 545, reversed.

People v Moss, 89 AD3d 600, affirmed.

People v Johnson, 88 AD3d 503, affirmed.

HEADNOTES

Crimes — Right to Public Trial — Closure of Courtroom — Safety of Undercover Officer — Overriding Interest

1. In a narcotics prosecution arising out of a drug transaction between defendant and an undercover officer, the record supported the trial court's determination that a specific link existed between the officer's safety and his open-court testimony to justify a partial courtroom closure during his testimony. A courtroom closure must satisfy a four-part standard to comport with the requirements of the Sixth Amendment. The first prong of that standard requires the party seeking closure to advance an overriding interest that is likely to be prejudiced. The safety of law enforcement officers may constitute an overriding interest where there is a substantial probability that the identified interest will be prejudiced by an open courtroom. Here, while the undercover officer was mainly assigned to a different precinct than the one where defendant was arrested, he made clear that he also continued to operate in the precinct of the arrest. The officer had a number of open cases from the area of the arrest and could be assigned there at any time. Thus, the inference was strong that he would return to the specific area of defendant's arrest for future undercover work. Moreover, the officer had previously been threatened with guns and knives and scissors, had a contract placed on his life, and had been patted down many times by suspects. In addition, having previously encountered suspects around the courthouse, the officer took steps to preserve his identity when entering courthouses.

Crimes — Right to Public Trial — Closure of Courtroom — Safety of Undercover Officer — Overriding Interest

2. In a narcotics prosecution arising from a drug transaction between defendant and an undercover officer and observed by an undercover "ghost" officer, the trial court did not err in finding a nexus between the officers' safety and their testimony in an open courtroom to justify a partial courtroom closure during the officers' testimony. A courtroom closure must satisfy a four-part standard to comport with the requirements of the Sixth Amendment. The first prong of that standard requires the party seeking closure to advance an overriding interest that is likely to be prejudiced. The safety of law enforcement officers may constitute an overriding interest where there is a substantial probability that the identified interest will be prejudiced by an open courtroom. Here, the overriding interest prong was met inasmuch as

both officers testified that they remained active and had open cases in the “vicinity” where defendant’s case “took place.” Notwithstanding the lack of a specific reference to street names, the officers’ testimony was sufficiently specific as the obvious implication was that the area or vicinity meant the localized area of defendant’s arrest. Moreover, both officers expected to return to the neighborhood for future undercover operations and both had been threatened or physically attacked with weapons and took care to conceal their identities when at courthouses.

Crimes — Right to Public Trial — Closure of Courtroom — Safety of Undercover Officer — Reasonable Alternatives

3. In each of three separate drug buy-and-bust prosecutions, the trial courts discharged their duty to consider reasonable alternatives prior to determining that the courtrooms should be closed to the public during the undercover officers’ testimony, notwithstanding that the courts did not expressly comment on alternatives to closure on the record. A courtroom closure must satisfy a four-part standard to comport with the requirements of the Sixth Amendment. The third prong of that standard requires a trial court to consider reasonable alternatives to closure, even where the parties do not bring the alternatives to the attention of the court. However, a trial court need not always explicitly explain that it has considered but rejected alternative measures. In a buy-and-bust case, where the record makes no mention of alternatives, but is otherwise sufficient to establish the need to close the particular proceeding, it can be implied that the trial court, in ordering closure, determined that no lesser alternative would protect the articulated interest. Here, the trial court in each instance held a hearing and made a particularized finding that requiring the undercover officers to testify in open court would create a genuine risk to their physical safety. The courts limited the closures to the portions of the proceeding directly implicating the overriding interest—the undercover officers’ safety—by ordering the courtrooms closed only for the duration of the officers’ testimony. In addition, the courts in two cases made express exceptions for family members and the third court stated that it would consider an exception for family members who requested to attend. Thus, it was fair to imply that the trial courts concluded that no lesser alternative would have adequately protected the officers’ safety.

Crimes — Agency Defense in Narcotics Prosecution — Jury Charge

4. The trial court gave a proper jury charge on the agency defense in a narcotics prosecution arising from a transaction where defendant took money from an undercover officer, entered a building and returned with crack cocaine. A defendant is entitled to a jury charge on the agency defense where there is some reasonable view of the evidence that the defendant acted as a mere instrumentality of the buyer. The Criminal Jury Instruction (CJI) charge consists of six factors that may be considered by the jury in assessing whether a defendant acted solely to accommodate the buyer. These factors include the nature and extent of the relationship between the defendant and the buyer, which party suggested the purchase, whether defendant has had other drug dealings with this or other buyers or sellers, and whether defendant stood to profit from the transaction. However, jurors must rely on their own common sense and experience in resolving the agency issue and should be able to perceive the reality of the situation without minutely detailed instruction from the court. Here, the court appropriately instructed the jury regarding the underlying theory of the agency defense and proceeded to list the first five factors in the CJI charge. The jury was capable of gathering from the language of the charge the correct rules to apply.

Crimes — Agency Defense in Narcotics Prosecution — Jury Charge

5. Defendant, who was convicted of criminal sale of a controlled substance in the third degree and criminal sale of a controlled substance in or near school grounds for taking an undercover officer's money to a nearby building and returning with three bags of crack cocaine for him, was entitled to a new trial based on the trial court's erroneous jury charge on the agency defense. A charge on the agency defense is warranted where there is some reasonable view of the evidence the defendant acted as a mere instrumentality of the buyer. The Criminal Jury Instruction (CJI) charge consists of six factors that may be considered in assessing whether a defendant acted solely to accommodate the buyer. These factors include the nature and extent of the relationship between the defendant and the buyer, which party suggested the purchase, whether defendant had other drug dealings with this or other buyers or sellers, and whether defendant stood to profit from the transaction. Here, the court limited its charge to two of the CJI factors, both of which were unfavorable to defendant. Moreover, the court's instruction that the lack of a prior relationship between defendant and the officer would negate the agency defense did not comport with precedent or the CJI, which provide that the relationship is but one factor for consideration. Hence, the imbalanced charge did not convey the proper analytical framework. The court's error was not harmless in light of the record evidence that defendant was a drug addict who offered to help out someone he thought was a fellow addict, that he had never been convicted of selling drugs, and that prior to the transaction the drugs were in the exclusive control of a drug dealer in a nearby building. Defendant's alleged receipt of the incidental benefit of a bag of crack for his assistance did not itself negate the defense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Drugs and Controlled Substances § 185; AM JUR 2d, Trial §§ 140–142, 144, 146, 951, 984, 990, 1062, 1064.

CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:78, 190:80–190:85, 190:98–190:101; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:13, 200:14, 200:69.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.1, 24.8.

NY JUR 2d, Criminal Law: Procedure §§ 2471, 2473, 2474, 2477, 2481, 2719, 2729, 2775.

US Const 6th Amend.

ANNOTATION REFERENCE

Exclusion of public from state criminal trial to preserve safety or confidentiality of undercover police officer witness. 100 ALR5th 171.

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Database: NY-ORCS

Query: courtroom /5 closure /s officer /2 testimony & overriding /2 interest

POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City, for appellant in the first above-entitled action. I. The trial court deprived appellant of his constitutional right to a public trial when it closed the courtroom without considering reasonable alternatives. (*People v Clemons*, 78 NY2d 48; *People v Jones*, 47 NY2d 409; *People v Hinton*, 31 NY2d 71; *Waller v Georgia*, 467 US 39; *People v Kin Kan*, 78 NY2d 54; *People v Martinez*, 82 NY2d 436; *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.*, 464 US 501; *People v Martin*, 16 NY3d 607; *People v Ramos*, 90 NY2d 490; *People v Nazario*, 4 NY3d 70.) II. The court's unbalanced agency charge, which both omitted factors favorable to the defense and directed the jury to reject agency based on other factors, foreclosed the jury's consideration of appellant's sole defense and denied him due process. (*People v Lam Lek Chong*, 45 NY2d 64; *People v Roche*, 45 NY2d 78; *People v Argibay*, 45 NY2d 45; *People v Job*, 87 NY2d 956; *People v Pratt*, 39 AD3d 315; *People v Brown*, 52 AD3d 204; *People v Rose*, 58 AD3d 544; *People v Sanders*, 63 AD3d 519.)

Cyrus R. Vance, Jr., District Attorney, New York City (*David E.A. Crowley* and *Patrick J. Hynes* of counsel), for respondent in the first above-entitled action. I. The court lawfully restricted public entry into the courtroom during the testimony of the undercover officers. (*People v Kelly*, 5 NY3d 116; *People v Ramos*, 90 NY2d 490; *People v Goode*, 87 NY2d 1045; *People v Luperon*, 85 NY2d 71; *People v Nieves*, 90 NY2d 426; *Batson v Kentucky*, 476 US 79; *People v Smocum*, 99 NY2d 418; *People v Payne*, 88 NY2d 172; *People v James*, 99 NY2d 264; *People v Richardson*, 100 NY2d 847.) II. The court properly instructed the jury on the law of agency. (*People v Hoke*, 62 NY2d 1022; *People v Argibay*, 45 NY2d 45; *People v Starling*, 85 NY2d 509; *People v Herring*, 83 NY2d 780; *People v Lam Lek Chong*, 45 NY2d 64; *People v Roche*, 45 NY2d 78; *People v Ortiz*, 76 NY2d 446; *People v Andujas*, 79 NY2d 113; *People v Feldman*, 50 NY2d 500; *People v Samuels*, 99 NY2d 20.)

Fried, Frank, Harris, Shriver & Jacobson LLP, New York City (*Justin M. Ross*, *Peter L. Simmons* and *Jennifer L. Colyer* of counsel), and *Richard M. Greenberg, Office of the Appellate Defender* (*Joseph M. Nursey* of counsel), for appellant in the second above-entitled action. The trial court erred by closing the courtroom to the general public during the trial testimony of the undercover officers. (*Waller v Georgia*, 467 US 39; *People*

v Martinez, 82 NY2d 436; *People v Kin Kan*, 78 NY2d 54; *People v Jones*, 47 NY2d 409; *People v Hinton*, 31 NY2d 71; *People v Ramos*, 90 NY2d 490; *People v Pearson*, 82 NY2d 436; *People v Martin*, 16 NY3d 607; *People v Vargas*, 244 AD2d 367; *People v Nazario*, 4 NY3d 70.)

Cyrus R. Vance, Jr., District Attorney, New York City (Christopher P. Marinelli and Patrick J. Hynes of counsel), for respondent in the second above-entitled action. The trial court's closure of the courtroom to the general public during the testimony of undercover detectives was entirely proper. (*In re Oliver*, 333 US 257; *People v Jones*, 47 NY2d 409; *United States v Gupta*, 650 F3d 863; *Peterson v Williams*, 85 F3d 39; *Waller v Georgia*, 467 US 39; *People v Joseph*, 59 NY2d 496; *People v Martinez*, 82 NY2d 436; *Carson v Fischer*, 421 F3d 83; *People v Kin Kan*, 78 NY2d 54; *People v Ramos*, 90 NY2d 490.)

Richard M. Greenberg, Office of the Appellate Defender, New York City (Lauren Stephens-Davidowitz of counsel), for appellant in the third above-entitled action. I. Martin Johnson's right to a public trial was violated when the trial court closed the courtroom during the undercover officers' testimony. (*People v Ramos*, 90 NY2d 490; *People v Jones*, 47 NY2d 409; *People v Hinton*, 31 NY2d 71; *Waller v Georgia*, 467 US 39; *People v Martin*, 16 NY3d 607; *People v Martinez*, 82 NY2d 436; *People v Tolentino*, 90 NY2d 867; *Ayala v Speckard*, 131 F3d 62; *People v Harris*, 93 AD3d 612; *People v Crayton*, 80 AD3d 478.) II. The court's failure to deliver the "no prior sale convictions" element of the criminal jury instructions on agency was erroneous. (*People v Watson*, 20 NY3d 182; *People v Andujas*, 79 NY2d 113; *People v Lam Lek Chong*, 45 NY2d 64; *People v Ortiz*, 76 NY2d 446; *People v Roche*, 45 NY2d 78; *People v Grant*, 17 NY3d 613; *People v Levy*, 15 NY3d 510; *People v Aleman*, 12 NY3d 806; *People v Antwine*, 8 NY3d 671; *People v Wesley*, 73 NY2d 351.)

Cyrus R. Vance, Jr., District Attorney, New York City (David P. Stromes and Patrick J. Hynes of counsel), for respondent in the third above-entitled action. I. Defendant's *Hinton* claim is largely unpreserved and wholly meritless. (*Waller v Georgia*, 467 US 39; *People v Robinson*, 36 NY2d 224; *People v Michael*, 48 NY2d 1; *People v Udzenski*, 146 AD2d 245; *People v Luperon*, 85 NY2d 71; *People v De Jesus*, 69 NY2d 855; *People v Ahmed*, 66 NY2d 307; *People v Alvarez*, 20 NY3d 75; *People v Nieves*, 90 NY2d 426; *People v Garcia*, 95 NY2d 946.) II. The judge properly declined to charge the jury that, in assessing the agency defense,

it could consider whether defendant had previously sold drugs, because the jury had heard no evidence on that score, and permitting it to consider a factor not in evidence would have amounted to an instruction countenancing speculation. (*People v Kello*, 96 NY2d 740; *People v Starling*, 85 NY2d 509; *People v Feldman*, 50 NY2d 500; *People v Roche*, 45 NY2d 78; *People v Watson*, 20 NY3d 182; *People v Argibay*, 45 NY2d 45; *People v Ashwal*, 39 NY2d 105; *Sheppard v Maxwell*, 384 US 333; *People v De Jesus*, 42 NY2d 519; *People v Arnold*, 96 NY2d 358.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue in each of these buy-and-bust cases is whether the trial court properly closed the courtroom to the general public during the testimony of undercover officers. We conclude that the limited closures comported with Sixth Amendment public trial principles, but a new trial is required in one case based on an erroneous jury charge on the agency defense.

I.

Echevarria

Defendant Alex Echevarria was charged with criminal sale of a controlled substance in the third degree and criminal sale of a controlled substance in or near school grounds for selling three bags of crack cocaine to undercover officer number 0076 while undercover officer number 0064 (the “ghost”) observed from a distance. The buy occurred on St. Nicholas Avenue near West 155th Street in northern Manhattan. The court held a pretrial hearing pursuant to *People v Hinton* (31 NY2d 71 [1972]) to determine whether public access should be restricted during the testimony of the two undercover officers on the ground that closure was necessary to protect their safety.

At the hearing, officer number 0076 testified that he remained active in the area of St. Nicholas Avenue, returning to the vicinity 15 to 20 times since defendant’s arrest. He had a number of pending cases and “lost subjects”—sellers who had evaded apprehension—from St. Nicholas Avenue, and the officer expected to return there “[a]ny time soon.” He took precautions to conceal his identity during his frequent courthouse visits and had been threatened by a suspect on one occasion. Officer number 0064 gave similar testimony regarding his undercover activities around St. Nicholas Avenue and West 155th Street.

He too had been threatened, once with a knife, and a suspect had hit him in the head with a hard object a few weeks before the *Hinton* hearing.

Over defendant's objection, the court concluded that the courtroom should be closed to the general public during the testimony of both officers. The court reasoned that the officers had made a particularized showing that open court testimony would jeopardize their safety and ongoing investigations. The court noted that it would separately consider opening the proceedings to defendant's family members should they wish to attend.

At trial, officer number 0076 testified that defendant offered to take the officer's \$40 to a nearby building to obtain crack cocaine. When the officer was hesitant about parting with his money, defendant gave him his wallet to hold as collateral. Defendant returned a short time later and handed the officer three bags of crack cocaine. Officer number 0064 observed the transaction. Two arresting officers testified that, shortly after the sale, they searched defendant and found a bag of crack cocaine in his pocket. A criminalist stated that laboratory testing established that the three packets defendant handed to the officer contained narcotics and an expert witness for the People described the nature of typical street narcotics transactions. Defendant took the stand and testified that he was a drug addict who agreed to procure the drugs for the undercover officer because the officer told him that he could keep one bag of crack cocaine.

The trial was open to the public save for the testimony of the two undercover officers. The court gave the jury a charge on the agency doctrine. The jury rejected defendant's agency defense and convicted him as charged. He was later sentenced to two concurrent prison terms of 10 years followed by three years of postrelease supervision. The Appellate Division affirmed (89 AD3d 545 [1st Dept 2011]), and a Judge of this Court granted defendant leave to appeal (18 NY3d 957 [2012]).

Moss

Defendant Andrew Moss was charged with criminal sale of a controlled substance in the third degree for selling 10 bags of crack cocaine to undercover officer number 2454. Undercover officer number 5986 acted as a ghost during the operation. The sale took place on the corner of West 135th Street and Broadway in northern Manhattan. Before trial, the court held a *Hinton*

hearing to decide whether to close the courtroom during the testimony of the undercover officers as a safety measure.

Officer number 5986 worked in an area that included the 30th precinct, which encompassed West 135th Street and Broadway, and testified that he had made 15 to 20 narcotics purchases in the immediate vicinity subsequent to defendant's arrest—one as recently as a week before the hearing. He had a number of pending cases and lost subjects from that area. The officer had also been threatened and searched by suspects on prior occasions and took steps to maintain his anonymity in the courthouse.

Officer number 2454 primarily worked in the 33rd precinct—immediately adjacent to the 30th precinct—but remained active in the 30th precinct. He testified that he had made an additional 30 to 40 buys in the immediate vicinity of West 135th Street and Broadway after defendant's arrest and had 10 pending cases arising from purchases in that area. He had previously been threatened with guns, knives and scissors, and one suspect had placed a contract on his life. He had also been patted down 50 times by suspects and had encountered them in and around the courthouse on prior occasions. The officer therefore took steps to preserve his cover when he entered a courthouse to testify, including using a private entrance normally reserved for judges.

At the conclusion of the *Hinton* hearing, defense counsel objected to the courtroom closure. As an alternative, defense counsel suggested that the court could post a court officer at the door to “screen” visitors. In response to defense counsel's comment that courtroom closure was unnecessary because it was unlikely that anyone would attend, the court noted that probation violators frequently sat in the audience awaiting their proceedings. The court determined that it would close the courtroom during the testimony of both officers because the People had sufficiently demonstrated that open court testimony would jeopardize their safety. The court made an exception for family members, however, and defendant's mother attended the full trial.

At trial, undercover officers, numbers 2454 and 5986, testified about the drug transaction and identified defendant as the seller. The arresting officer, a criminalist and an expert also testified for the People in open court. The jury convicted defendant as charged, and he was subsequently sentenced to 10 years' imprisonment with three years of postrelease supervi-

sion. The Appellate Division affirmed (89 AD3d 600 [1st Dept 2011]), and a Judge of this Court granted defendant leave to appeal (18 NY3d 960 [2012]).

Johnson

Defendant Martin Johnson was charged with criminal sale of a controlled substance in the third degree and criminal sale of a controlled substance in or near school grounds for selling a small quantity of crack cocaine to undercover officer number 206 while undercover officer number 0014, the ghost, watched from a short distance away. The transaction took place on East 132nd Street and Park Avenue in East Harlem. The court conducted a pretrial *Hinton* hearing to ascertain whether it was necessary to close the courtroom during the officers' testimony to protect their safety.

At the hearing, officer number 206 stated that almost all of his 10 open cases involved buys "within the vicinity where this case took place." He had been in the area of defendant's arrest as recently as two weeks before the hearing and expected to return there for future undercover work. In addition, he had 20 subjects who were still at large. He took precautions when entering the courthouse and had been threatened by drug dealers in the past. The officer had also been "struck up side the head" and had an object thrown at him. Officer number 0014 similarly testified that he had a number of open cases emanating from "the same vicinity as where this case occurred." He remained active in that area after defendant's arrest, participating in 50 additional buys during that time period, and expected to be assigned there for future investigations. He also took precautions to shield his identity when he visited courthouses and had been threatened with weapons multiple times while working undercover. On one occasion, he was forced to dive behind a car when a suspect opened fire on him.

After the hearing, defense counsel objected to the courtroom closure. The prosecutor responded that there was "no lesser option" than closure to protect the officers' safety. The court granted the People's application "to the limited extent" of ordering closure during the testimony of the undercover officers, excepting defendant's family members.

At trial, officer number 206 testified that defendant took \$20 from him, entered a building and returned with crack cocaine. Officer number 0014 observed the transaction. The arresting officer and a criminalist also testified in open court. The court

gave a jury charge on the agency defense, which the jury rejected when it convicted defendant as charged. He was sentenced to concurrent three-year prison terms to be followed by two years' postrelease supervision. The Appellate Division affirmed (88 AD3d 503 [1st Dept 2011]), and a Judge of this Court granted defendant leave to appeal (19 NY3d 1103 [2012]).

II.

All three defendants maintain that they are entitled to a new trial because they were deprived of their constitutional right to a public trial due to the exclusion of the general public during the testimony of the undercover officers. Although a criminal defendant's Sixth Amendment right to an open trial is fundamental, it is not absolute (*see People v Martin*, 16 NY3d 607, 611 [2011]).¹ Rather, trial judges have "inherent discretionary power to exclude members of the public from the courtroom" (*People v Ramos*, 90 NY2d 490, 497 [1997] [internal quotation marks and citations omitted]). Nevertheless, there remains a presumption of openness. As a result, the right to a public trial "may yield to other rights or interests in rare circumstances only, and the balance of interests must be struck with special care" (*id.* [internal quotation marks and citations omitted]). A violation of this right is not subject to harmless error analysis and mandates reversal.

The United States Supreme Court has explained that a courtroom closure must satisfy a four-part standard to comport with the requirements of the Sixth Amendment:

"[T]he party seeking to close the hearing must advance an overriding interest that is likely to be prejudiced, the closure must be no broader than necessary to protect that interest, the trial court must consider reasonable alternatives to closing the proceeding, and it must make findings adequate to support the closure" (*Waller v Georgia*, 467 US 39, 48 [1984]).

Only the first prong (overriding interest) and third prong (reasonable alternatives) are at issue in these cases.

A.

Moss and Johnson, but not Echevarria, argue initially that the People failed to demonstrate a sufficient likelihood of prejudice

1. "In all criminal prosecutions, the accused shall enjoy the right to a . . . public trial" (US Const 6th, 14th Amends).

to an overriding interest to justify closing the courtroom during the testimony of the undercover officers under the first prong of the test. In particular, Moss asserts that undercover officer number 2454's safety concerns were geographically unfounded because he was generally assigned to the 33rd precinct whereas Moss's arrest occurred in the 30th precinct. Johnson similarly contends that the *Hinton* hearing testimony regarding the geographic area in which both undercover officers continued to work was too vague or generalized to support closure under prong one. We disagree.

We have previously had occasion to analyze the first *Waller* prong in the specific context of officer safety in undercover buy-and-bust operations (see *People v Jones*, 96 NY2d 213 [2001]; *Ramos*, 90 NY2d 490; *People v Ayala*, 90 NY2d 490 [1997] [companion case to *Ramos*]; *People v Martinez*, 82 NY2d 436 [1993]; *People v Pearson*, 82 NY2d 436 [1993] [companion case to *Martinez*]; see also *People v Jones*, 47 NY2d 409 [1979]; *Hinton*, 31 NY2d 71).

The safety of law enforcement officers "unquestionably" may constitute an overriding interest (*Ramos*, 90 NY2d at 498). Yet, "the mere possibility that this safety interest might be compromised by open-court testimony does not justify abridgement of a defendant's constitutional right to a public trial" (*id.*). The United States Supreme Court has made plain that the proponent of closure must demonstrate a "substantial probability" that the identified interest will be prejudiced by an open courtroom (*Press-Enterprise Co. v Superior Court of Cal., County of Riverside*, 478 US 1, 14 [1986] [*Press-Enterprise II*]). Hence, a nexus or "specific link must be made between the officer's safety concerns and open-court testimony in the particular buy-and-bust case" (*Ramos*, 90 NY2d at 498; see also *Jones*, 96 NY2d at 217).

In *Martinez*, for example, we held that the trial judge improperly closed the courtroom where the undercover officer testified that he continued to work "in the Bronx area" and generally feared for his safety (82 NY2d at 443). We concluded that the first prong was not met by this "perfunctory showing," emphasizing that the officer's reference to the Bronx area—a borough consisting of more than 41 square miles and 1.2 million people—without greater specificity was insufficient (*id.*). We also noted that the officer did not indicate whether he had ever received a threat, nor did he identify any targets of investigation who could potentially show up in the courtroom.

On the other hand, the requisite nexus was established in *Ramos*. In that case, both undercover officers continued to operate in the 104th precinct—the precinct where defendant was arrested—and expected to resume undercover operations there shortly. Moreover, the officers had observed former “buy” subjects at the courthouse on prior occasions and had several cases pending before the court (90 NY2d at 499). They each took precautions to conceal their identities when entering the courthouse and one gave specific testimony about a gunpoint threat he had received when a former subject discovered he was a police officer. Under these circumstances, we upheld the closure of the courtroom during the officers’ testimony.

Similarly, in *Ayala*, although a “closer question,” we concluded that there was a specific link between the undercover officer’s safety concerns and his open-court testimony (90 NY2d at 499). There, the officer identified three precincts in which he was recently active and expected to return imminently. These included the precinct where he bought drugs from the defendant and the precinct in which the courthouse was situated. Though the officer could not pinpoint the area of future operations with any greater precision, we determined that the testimony was sufficiently specific, explaining that the officer’s reference to “certain precincts was akin to identifying the particular neighborhoods in which he continued to be active” (*id.* at 500). We also noted that the officer had a number of ongoing investigations in the three precincts; he had been previously threatened in front of the courthouse by a defendant in another case; and he used a private entrance to the courthouse. “On balance,” we determined that the trial court did not abuse its discretion in finding the first prong satisfied (*id.*).

[1] Moss’s case falls comfortably within the ambit of *Ramos* and *Ayala*. Although defendant notes that undercover officer number 2454 was mainly assigned to a precinct other than the one where defendant was arrested, the officer made clear that he continued to operate in the precinct of the arrest as well.² Indeed, the officer made dozens of buys in the immediate vicinity following defendant’s arrest. He had a number of open cases from the area of the arrest and stated that he could be assigned to that particular area at any time. Based on this track record, the inference was strong that the officer would return to the

2. Defendant does not challenge the trial court’s finding that an overriding safety interest existed with respect to undercover officer number 5986.

specific location of defendant's arrest for future undercover work. The officer also referred to numerous gun and knife threats he had received; the previous encounters he had with suspects in the courthouse; and the steps he took to protect his identity when entering courthouses. Taken together, the record amply supports the trial court's determination that a specific link existed between the officer's safety and his open-court testimony.

[2] The overriding interest prong was also met in the *Johnson* case. Both undercover officers stated that they remained active in the "vicinity" where defendant's case "took place." Indeed, undercover officer number 0014 engaged in dozens of narcotics purchases in the "area of this case" subsequent to defendant's arrest. Both officers also expected to return to the neighborhood for future undercover operations. Although defendant now claims that the officers' references to the "area" or "vicinity" of his arrest—without specifically referring to street names—were too vague, he did not voice this concern at the *Hinton* hearing. In any event, the obvious implication of the testimony was that the area or vicinity to which the officers were referring meant the localized area of defendant's arrest. The officers' testimony was therefore sufficiently specific under our precedents. Finally, both officers had been threatened or physically attacked with weapons, including guns, and took care to conceal their identities when at courthouses. Under these circumstances, the trial court did not err in finding a nexus between the officers' safety and their testimony in an open courtroom.

Having concluded that prong one of the *Waller* test was satisfied, we now turn to defendants' prong three claims.

B.

Echevarria, Moss and Johnson all contend that their constitutional right to a public trial was violated because the trial judge in each case failed to comply with the third prong of *Waller*—the requirement that courts consider reasonable alternatives to closure. They assert that prong three places an obligation on trial courts to expressly consider and comment on alternatives to closure on the record, and that the failure to do so automatically necessitates reversal and a new trial. They rely heavily on *Presley v Georgia* (558 US 209 [2010]), which held that trial courts are to consider alternatives to closure even when they are not suggested by the parties. Defendants claim that the trial courts below should have discussed the possibility of having the

undercover officers testify from behind a partition or posting a court officer at the door to “screen” entrants to the courtroom.

In response, the People acknowledge that trial courts are required to evaluate alternatives to closure pursuant to prong three. But the People submit that, under *Ramos*, trial courts need not take the additional step of explaining those alternatives on the record in those cases where “it can be implied that the trial court, in ordering closure, determined that no lesser alternative would protect the articulated interest” (*Ramos*, 90 NY2d at 504). The People posit that *Presley* did not overrule this aspect of *Ramos* and, therefore, we should reaffirm *Ramos* under principles of stare decisis. Although the dissent disagrees, we believe that the People have the better argument.

In *Ramos*, we addressed and squarely rejected prong three arguments identical to those defendants raise before us now. The trial court in *Ramos* (and *Ayala*, the companion case) closed the courtroom during the testimony of undercover officers to protect their safety but did not explicitly discuss alternatives short of closure on the record. We considered whether the trial courts’ failure to vocalize alternatives under the circumstances was compatible with the requirements of the third *Waller* prong. At the outset of our analysis in *Ramos*, we agreed with the defendants that prong three requires “trial courts, before excluding the public, to consider whether something short of complete closure would protect the ‘overriding interest’ at stake” (*Ramos*, 90 NY2d at 502-503). Indeed, we noted that *Waller* itself mandated that trial judges “*must* consider reasonable alternatives to closing the proceeding” (*id.* at 503, quoting *Waller*, 467 US at 48). But we also observed that *Waller* “does not hold that the trial court must explicitly consider alternatives on the record” to satisfy its prong three obligation (*id.*). To resolve this question—the very question before us on the present appeal—we surveyed the United States Supreme Court cases that had found prong three violations.

We started with *Waller*, where the record plainly did not justify the trial court’s closure of the entire seven-day suppression hearing. Only a small portion of the hearing—totaling 2½ hours—involved sensitive information that the government sought to shield from the public, and no showing was made that the remaining six-plus days of the hearing should have been closed. In light of this facial record deficiency, we stated that the *Waller* trial court’s “overly broad closure order could not be upheld without some explanation for its failure to limit closure to

the sensitive portions of the proceeding” (*id.*). Put differently, because it was apparent on the face of the record that the trial court in *Waller* did not consider reasonable alternatives—most notably limiting closure to the 2½-hour period—the United States Supreme Court found a prong three violation (*see Waller*, 467 US at 48-49 [“The court did not consider alternatives to immediate closure of the entire hearing: directing the government to provide more detail about its need for closure . . . and closing only those parts of the hearing that jeopardized the interests advanced”]).

Next, we looked at *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.* (464 US 501 [1984] [*Press-Enterprise I*]). In that case, in an effort to protect sensitive information relayed by potential jurors and encourage juror candor, the trial court closed all but three days of a six-week voir dire in a rape and murder trial at the government’s behest. We noted that, as in *Waller*, the proponent of closure “failed to adduce adequate record facts to support the conclusion that the entire voir dire proceeding would involve sensitive juror questioning” (*Ramos*, 90 NY2d at 503). Despite this glaring record deficiency, the trial court in *Press-Enterprise I* “made no effort to limit closure to those portions of the proceeding comprising sensitive subject matter” (*id.*). The trial court later refused to release a transcript of the closed proceeding, even though it acknowledged that the questioning was “of little moment” (*Press-Enterprise I*, 464 US at 504). Under these circumstances, the United States Supreme Court concluded that there was a prong three “failure to consider alternatives to closure and to total suppression of the transcript” (*id.* at 513).

Finally, we evaluated *Press-Enterprise II*, a case in which the trial court in a high profile murder trial granted the defendant’s unopposed motion to close the entirety of a preliminary hearing to the public.³ Thereafter, the trial court refused to release a transcript of the 41-day-long closed proceeding. We stated that the United States Supreme Court was clearly “concerned about the excessive breadth of the closure” in that case (*Ramos*, 90 NY2d at 503). The Supreme Court held that the trial court violated prong three by failing to consider

3. *Press-Enterprise I* and *Press-Enterprise II* implicated the First Amendment right of public access to criminal proceedings. Although the United States Supreme Court has yet to decide whether the First and Sixth Amendment public trial rights are coextensive (*see Presley*, 558 US at 213), it has applied the four-prong *Waller* test in both contexts.

“alternatives short of complete closure,” noting that “closure of an entire 41-day proceeding would rarely be warranted” (*Press-Enterprise II*, 478 US at 14-15).

In reviewing these United States Supreme Court decisions in *Ramos*, we found that the records in all three “lacked minimally sufficient facts to establish that the portions of the proceedings subject to closure would even implicate the interests sought to be protected” (*Ramos*, 90 NY2d at 503). We explained that the need to more narrowly design closure in those cases was apparent from the record because only those parts of the proceedings that prejudiced an overriding interest could be closed. In contrast, the trial court in *Ramos* (and *Ayala*) narrowly tailored the courtroom closures to the portions of the proceedings for which overriding safety interests were implicated, i.e., during the testimony of the undercover officers. Ultimately, we held that where the record in a buy-and-bust case “makes no mention of alternatives but is otherwise sufficient to establish the need to close the particular proceeding . . . it can be *implied* that the trial court, in ordering closure, determined that no lesser alternative would protect the articulated interest” (*id.* at 503-504 [emphasis added]). In other words, we rejected the precise argument defendants now press—that the trial court must always explicitly explain that it has considered but rejected alternative measures to comply with prong three.

Nevertheless, defendants and the dissent urge that *Ramos* is no longer good law in light of *Presley*. During jury selection in *Presley*, the trial court observed a lone spectator in the courtroom, petitioner’s uncle. The court instructed the uncle to leave, explaining that the entire courtroom was needed to seat prospective jurors and that there was no space for the public. When defense counsel requested an “accommodation,” the trial court refused, stating that each row was needed for the 42 prospective jurors and that a family member “cannot sit and intermingle with members of the jury panel” (*Presley*, 558 US at 210). After petitioner’s conviction, he moved for a new trial based on the exclusion of the public from the voir dire. In support of his motion, he adduced evidence establishing that 14 prospective jurors could have fit in the jury box and the remaining 28 could have been seated on one side of the courtroom, leaving sufficient space on the other side for the public. The trial court denied the motion and the Supreme Court of Georgia affirmed, reasoning that trial courts need not consider alternatives to closure unless the opposing party proactively offers a suggestion.

The United States Supreme Court reversed in *Presley* and ordered a new trial, holding that *Waller* itself made “clear” that, under the third prong, “trial courts are required to consider alternatives to closure even when they are not offered by the parties” (558 US at 214). The trial court’s exclusion of the public during the voir dire was deemed improper because the third prong was not satisfied on the record:

“Trial courts are obligated to take every reasonable measure to accommodate public attendance at criminal trials. Nothing in the record shows that the trial court could not have accommodated the public at [petitioner’s] trial. Without knowing the precise circumstances, some possibilities include reserving one or more rows for the public; dividing the jury venire panel to reduce courtroom congestion; or instructing prospective jurors not to engage or interact with audience members” (558 US at 215).

The core teaching of *Presley* is that prong three obliges trial courts to consider reasonable alternatives to closure, even where the parties themselves do not bring those alternatives to the attention of the court. To the extent *Ramos* is read to suggest otherwise, *Presley* certainly controls. But contrary to the dissent’s view, *Presley* did not break new ground,⁴ and it nowhere states that it is incumbent on trial courts, regardless of the circumstances, to engage in a verbal on-the-record review of all potential alternatives before opting for a limited closure. Nor do we read *Presley* as calling into question our holding in *Ramos* that the record in a given buy-and-bust case may support the conclusion that the trial judge impliedly considered alternatives before closing the courtroom. Indeed, in stark contrast to *Ramos*, the record in *Presley* made clear that the trial judge’s exclusion of the public (and petitioner’s family member in particular) was unwarranted and that the space constraints could have easily been remedied using less intrusive measures. Hence, we adhere to that portion of *Ramos* that held that the absence of explicit discussions regarding alternatives is not fatal under prong three where the record in a buy-and-bust case otherwise suffices to establish the need to close a particular portion of the proceeding. Under those circumstances, “it can be implied that the trial court, in ordering closure, determined that no lesser alternative

4. *Presley* was a per curiam summary disposition, handed down without briefing or oral argument.

would protect the articulated interest” (*Ramos*, 90 NY2d at 504).

[3] Applying *Ramos* here, we perceive no prong three violation in the cases now before us. As in *Ramos*, the trial court in each instance held a *Hinton* hearing and made a particularized finding that requiring the undercover officers to testify in open court would create a genuine risk to their physical safety. The trial courts limited the closures to the portions of the proceedings directly implicating the overriding interest—the undercover officers’ safety—by ordering the courtrooms closed only for the duration of the officers’ testimony. Moreover, even those portions were only partially closed in the *Moss* and *Johnson* proceedings because the trial courts in those cases made an exception for defendants’ family members to attend. Similarly, at the *Echevarria* trial the court stated that it would separately consider opening the closed portion to family members if they requested access. On the record before us, it is fair to imply that the trial courts concluded that no lesser alternative would have adequately protected the officers’ safety and, therefore, the courts discharged their prong three duty to consider reasonable alternatives.⁵

In sum, we conclude that defendants were not deprived of their Sixth Amendment rights to a public trial by the trial courts’ narrowly-tailored closures. But we caution that courtroom closure is not available just for the asking in buy-and-bust cases. As we emphasized in *Ramos*, a criminal defendant’s Sixth Amendment rights “must not be lightly cast aside simply because the People claim that an undercover officer’s safety or effectiveness is at risk, and trial courts must vigilantly ensure that *Waller*’s demanding first prong is satisfied before closing a courtroom” (*id.* at 506). Those sentiments are no less true today.

III.

Apart from their public trial claims, Echevarria and Johnson separately assert that they are entitled to a new trial because the trial court in each of their cases gave an erroneous jury

5. As we discussed in *Ramos*, the alternatives to a limited courtroom closure in a buy-and-bust case—the use of a partition, disguise or guard stationed at the door—pose their own problems and are “potentially prejudicial to the defendant” (*Ramos*, 90 NY2d at 505). Although it may be the “better practice” (*id.* at 506) for the trial court to openly discuss these possibilities, it is not constitutionally mandated under the circumstances of the cases before us.

charge on the agency defense. They both contend that the courts' failure to enumerate all six agency factors listed in the pattern Criminal Jury Instructions (CJI) constitutes reversible error. Echevarria further maintains that the trial court erred by instructing the jury that a finding of no prior relationship between the undercover officer and defendant would "negate" the agency defense. The People counter that the jury charge given in both cases, read as a whole, properly conveyed the agency concept and that, in any event, neither defendant was entitled to a charge on the facts presented.

Under the agency doctrine, "one who acts solely as an agent for the buyer of narcotics cannot be convicted of the crime of selling those narcotics, notwithstanding that the act of transferring drugs to another falls within the statutory definition of 'sell' " (*People v Ortiz*, 76 NY2d 446, 448-449 [1990]). It is not a complete defense, however, in that it acknowledges wrongdoing (possession) on the part of the defendant (*see People v Watson*, 20 NY3d 182, 190 [2012]). A defendant is entitled to a jury charge on the agency defense where "there is some reasonable view of the evidence that the defendant acted as a mere instrumentality of the buyer" (*People v Roche*, 45 NY2d 78, 86 [1978]).

In assessing whether the defendant acted solely to accommodate the buyer, the jury may consider a number of factors, including:

"the nature and extent of the relationship between the defendant and the buyer, whether it was the buyer or the defendant who suggested the purchase, whether the defendant has had other drug dealings with this or other buyers or sellers and, of course, whether the defendant profited, or stood to profit, from the transaction" (*Watson*, 20 NY3d at 186 [internal quotation marks and citation omitted]).

But we have also made clear that jurors must rely on their "own common sense and experience" in resolving the agency issue, and that the jury "should be able to perceive the reality of the situation . . . without minutely detailed . . . instruction from the court" (*People v Lam Lek Chong*, 45 NY2d 64, 75 [1978] [internal quotation marks and citation omitted]). At bottom, there is no "legal formula" for determining whether a defendant was the buyer's agent (*id.*).

[4] Applying these principles, the jury charge in Johnson's case was proper. The court appropriately instructed the jury

regarding the underlying theory of the agency defense and proceeded to list the first five factors set forth in the CJI charge.⁶ The jury was certainly capable of gathering from the language of the charge “the correct rules which should be applied in arriving at [a] decision” (*People v Umali*, 10 NY3d 417, 427 [2008] [internal quotation marks and citations omitted]). Hence, there was no error.

[5] We reach a different conclusion in the *Echevarria* case. There, the trial court limited its charge to two of the factors found in the CJI, both of which were unfavorable to defendant. Moreover, the court instructed the jury that the lack of a prior relationship between defendant and the undercover officer would negative the agency defense. But our precedents and the CJI charge specify that the nature and extent of a relationship is but one factor (albeit an important one) for a jury to consider in assessing the agency defense. Hence, the imbalanced charge did not convey the proper analytical framework and was therefore error.

Contrary to the People’s position, the error was not harmless. On this record, there was a reasonable view of the evidence that defendant was acting as the undercover officer’s agent. Defendant testified that he was a drug addict (a user not a seller) who offered to help out someone whom he believed to be a fellow addict. He denied initiating the transaction and had never been convicted of selling drugs. There was also evidence that, prior to

6. The CJI charge offers six examples that would tend to support the agency defense:

“1. That, prior to the transaction, the defendant and (*specify name of buyer*) were known to each other and had a relationship.

“2. That (*specify name of buyer*), and not the defendant, first suggested the transaction.

“3. That the defendant said nothing to promote the sale.

“4. That the defendant did not receive any benefit for his/her participation in the alleged sale. Or, if the defendant received a benefit from (*specify name of buyer*), it was incidental, for example, in the nature of a share of the drug or a tip, as a token of appreciation, and not in consideration for selling.

“5. That prior to the transaction, the (*name of controlled substance [marihuana]*) in question was controlled exclusively by a person other than the defendant.

“[6. That the defendant had not at any other time engaged in the sale of a controlled substance [marihuana] (or, the possession of a controlled substance [marihuana] with the intent to sell it).]” (CJI2d[NY] Defenses—Agency).

The CJI charge then lists the six inverse factors that would militate against the agency defense.

the transaction, the drugs were exclusively within the control of a drug dealer in the nearby building. Although defendant testified that the officer gave him a bag of crack for his assistance, the receipt of an incidental benefit does not in itself negate an agency defense (*see Lam Lek Chong*, 45 NY2d at 75-76). We conclude that Echevarria is entitled to a new trial.

Accordingly, in *Echevarria*, the order of the Appellate Division should be reversed and a new trial ordered; in *Moss* and *Johnson*, the orders of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting in part). I respectfully dissent in *Johnson* because I believe that the majority's holding eviscerates the substance of *Presley v Georgia* (558 US 209 [2010]) in New York State criminal trials, and allows such issues to escape meaningful appellate review.

The right of a criminal defendant to a public trial is fundamental (*People v Martin*, 16 NY3d 607, 611 [2011]; US Const 6th, 14th Amends; *see also* Civil Rights Law § 12; Judiciary Law § 4). And, although it “may give way in certain cases to other rights or interests,” “[s]uch circumstances will be rare . . . and the balance of interests must be struck with special care” (*Presley*, 558 US at 213 [internal quotation marks omitted]). Like the Georgia trial court in *Presley*, the court in *Johnson* did not consider any alternatives to closing the courtroom. Possible reasonable alternatives to closure included the posting of a court officer outside the courtroom door to screen entrants, or having the witness testify behind a screen or in disguise (*see e.g. People v Jones*, 96 NY2d 213, 215 [2001]; *People v Martinez*, 82 NY2d 436, 444 [1993]; *People v Muniz*, 273 AD2d 138, 139 [1st Dept 2000]; *People v Oliphant*, 258 AD2d 536, 536-537 [2d Dept 1999]; *Carson v Fischer*, 421 F3d 83, 90 [2d Cir 2005]; *United States v Lucas*, 932 F2d 1210, 1216-1217 [8th Cir 1991]). If it was not previously clear that the court is required to consider alternatives even if they are not proposed by the parties (*see People v Ramos*, 90 NY2d 490, 504-505 [1997]), it is now (*Presley*, 558 US at 214), and this Court has recognized that “[e]ven [if] . . . the trial court ha[s] an overriding interest in closing [a part of the trial], it [i]s still incumbent upon it to consider all reasonable alternatives to closure” (*Martin*, 16 NY3d at 612 [internal quotation marks omitted], quoting *Presley*, 558 US at 216).

The Supreme Court in *Presley* reiterated that, “before excluding the public from any stage of a criminal trial,” trial courts are required to apply the following four standards: (1) “[t]he party seeking to close the [proceeding] must advance an

overriding interest that is likely to be prejudiced”; (2) “the closure must be no broader than necessary to protect that interest”; (3) “the trial court must consider reasonable alternatives to closing the proceeding”; and (4) the trial court “must make findings adequate to support the closure” (*Presley*, 558 US at 213-214 [internal quotation marks omitted], quoting *Waller v Georgia*, 467 US 39, 48 [1984]). If a trial court fails to adhere to this procedure, any closure is unjustified and will require reversal (*Presley*, 558 US at 215).

With respect to the requirement that reasonable alternatives to closure be considered, the Supreme Court could not have been clearer: “[e]ven with findings adequate to support closure, *the trial court’s orders denying access to voir dire testimony failed to consider whether alternatives were available Absent consideration of alternatives to closure, the trial court could not constitutionally close the voir dire*” (*id.* at 214 [internal quotation marks omitted and emphasis added]). Then the Court took pains to underscore that “[t]rial courts are obligated to take every reasonable measure to accommodate public attendance at criminal trials. *Nothing in the record shows that the trial court could not have accommodated the public at [petitioner’s] trial*” (*id.* at 215 [emphasis added]). There is nothing in this language that would suggest that the Supreme Court had in mind that an “implied” consideration of alternatives would be constitutionally acceptable. Were that the case, the Court would not have attached dispositive significance to the absence of the required consideration in the trial court’s orders and the trial record. It is to state the obvious that *Presley* does not contemplate an unreviewable, purely contemplative exercise in satisfaction of a trial court’s obligation to consider reasonable alternatives to court closure. The notion advanced in *Ramos*, to which the majority continues to cling notwithstanding its rejection in *Presley*, that the mandated sua sponte consideration of alternatives to closure may be implied from the order granting closure, cannot be justified. The constitutional presumption is that criminal trials are to be open to the public. If that presumption is to be overcome, it cannot be by implication, otherwise a reviewing court cannot ascertain that the closure is essential.

It is of paramount importance to place particularized reasoning on the record when a defendant’s constitutional rights may be abrogated by overriding interests (*see Martin*, 16 NY3d at 613 [“(a) denial of the public trial right requires an affirmative act by the trial court”] [internal quotation marks omitted]). In

Johnson, although the prosecutor argued to the court that there were “no lesser option[s]” than closure to protect the officers’ safety, there was no way to know whether the trial court abused its discretion without the court actually considering and rejecting those options on the record. And in *Echevarria*—in which I concur in the reversal based on the agency charge error, but disagree with the majority regarding the court closure issue—there was also no mention of alternatives. The undercover officers might have been able to safely testify with a disguise or behind a partition, or an officer stationed outside the courtroom might have screened would-be spectators and excluded only those individuals who live in the vicinity of the arrest.

As we stated in an analogous context in *People v Clyde* (18 NY3d 145, 153 [2011]), in which a defendant was shackled without a trial judge’s explicit reasoning on the record, “[w]e cannot tell from the record whether County Court shackled Clyde as a matter of routine because he had already been convicted of a violent crime, or whether the court engaged in case-specific reasoning that led to the conclusion that shackles were necessary” (see also *People v Buchanan*, 13 NY3d 1 [2009] [a stun belt may not be used to restrain a defendant in a criminal case without a finding of specific facts on the record justifying the use of such a restraint]). Similarly here, there is no way to know whether any alternatives were actually considered, or whether the courtroom was closed as a matter of course, once safety concerns were implicated by the officers’ testimony.

Because the command of *Presley* is binding, trial courts must actually and explicitly meet their constitutional obligation by sua sponte “tak[ing] every reasonable measure” to keep the court open to the public by “consider[ing] all reasonable alternatives to closure” (558 US at 215, 216).

I note in this connection that the majority ignores, without explanation, *Waller*’s requirement that a trial court “make findings adequate to support the closure” (467 US at 48). It comports with the most basic logical understanding of that language that a trial court explain not only the overriding interest that might justify closure but, in addition, what reasonable alternatives to closure were considered and rejected (see *Guzman v Scully*, 80 F3d 772, 776 [2d Cir 1996] [trial judge’s “conclusory justification” for closing courtroom during witness testimony failed to satisfy obligation to make findings supporting closure]; see also *Downs v Lape*, 657 F3d 97, 115-116 [2d Cir 2011] [a record with no findings fails *Waller*]).

The majority suggests that limiting closure duration and permitting family attendance work in tandem to satisfy the second and third prongs of *Waller*. But those two limitations only satisfy the second prong concerning breadth (*People v Kin Kan*, 78 NY2d 54, 58-59 [1991] [exclusion of defendant's family overbroad under *Waller*]; *People v Nazario*, 4 NY3d 70, 72 [2005] [same]; *People v Nieves*, 90 NY2d 426, 430 [1997] [same]; *People v Frost*, 100 NY2d 129, 137 [2003] [limiting length of closure to testimony of undercover officers goes to breadth of closure]; *People v Jones*, 96 NY2d 213, 220 [2001] [same]; see also *Carson v Fischer*, 421 F3d 83, 89-90 [2d Cir 2005] [“(w)hether a closure is narrow or broad depends on several factors, including its duration, whether the public can learn what transpired while the trial was closed (e.g. through transcripts), whether the evidence was essential, and whether selected members of the public were barred from the courtroom, or whether all spectators were excluded”]). *Presley* holds, in no uncertain terms, that the question of a closure's necessity, and the entailed consideration of whether there are alternatives thereto should not be confused with that of whether a closure whose necessity has been shown has been narrowed to the extent reasonably possible (558 US at 214-215).

I join the Court's affirmance in *People v Moss* because there the trial court considered what it thought was the only reasonable alternative to closure, placing an officer outside the courtroom, and considered and rejected this option on the record. Although that practice may entail its own problems, at least it may have been a reasonable alternative to closure for the testimony of undercover officers, and at least it was considered and rejected on the record.* The record in *Moss* demonstrates that this consideration was not a litany, but a particularized deliberation of a case-specific alternative.

It is simply not enough for the Court to limit closure to the duration of an undercover's testimony and allow the defendant's family's presence in the courtroom. Without any further findings explained on the record, the closure itself remains without the constitutionally requisite justification. Such a closure satisfies, at most, prongs one and two of *Waller*, yet the

* I limit this portion of my dissent to the threshold requirement of a trial court's sua sponte explicit consideration of alternatives on the record. Once the mandate of *Presley* is acknowledged, the court would need to determine what alternatives are reasonable and viable under particular circumstances. However, under today's decision, the majority requires none of the above.

majority gives trial courts carte blanche to do just that. Courtroom closures for testimony of undercover officers are frequent in our state, and thus faced with a threat of it becoming routine, if not the rule, it is all the more important to ensure that all steps articulated by *Presley* are undertaken with the requisite particularity and gravity appropriate to safeguard defendants' rights.

In *People v Echevarria*: Order reversed and a new trial ordered.

Opinion by Judge GRAFFEO. Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur, Chief Judge LIPPMAN in a separate opinion, in which Judge RIVERA concurs.

In *People v Moss*: Order affirmed.

Opinion by Judge GRAFFEO. Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur, Chief Judge LIPPMAN in a separate opinion, in which Judge RIVERA concurs.

In *People v Johnson*: Order affirmed.

Opinion by Judge GRAFFEO. Judges READ, SMITH and PIGOTT concur. Chief Judge LIPPMAN dissents in an opinion, in which Judge RIVERA concurs.

[989 NE2d 1, 966 NYS2d 739]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TER-
RANCE MONK, Appellant.

Argued March 21, 2013; decided April 30, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 15, 2011. The Appellate Division affirmed a judgment of the Westchester County Court (Rory J. Bellantoni, J.), which had convicted defendant, upon his plea of guilty, of attempted robbery in the first degree.

People v Monk, 83 AD3d 35, affirmed.

HEADNOTE

Crimes — Plea of Guilty — Withdrawal of Plea — Failure of Court to Advise Defendant of Consequences of Violating Conditions of Postrelease Supervision

Defendant was not entitled to withdraw his guilty plea on the ground that the sentencing court failed to inform him that he could be subject to an additional term of imprisonment if he violated the conditions of his postrelease supervision. Although a trial court must advise a defendant of the direct consequences of a plea, it has no obligation to explain to defendants who plead guilty the possibility that collateral consequences may attach to their criminal convictions. A direct consequence of a plea is one which has a definite, immediate and largely automatic effect on defendant's punishment, and consists of the core components of a defendant's sentence: a term of probation or imprisonment, a term of postrelease supervision, a fine. By contrast, collateral consequences are peculiar to the individual and generally result from the actions taken by agencies the court does not control. The consequences of violating postrelease supervision are uncertain at the time of the plea, depending upon how a defendant acts in relation to a condition tailored to his circumstances and imposed in the future. Also, the State Board of Parole is responsible for establishing the conditions of a defendant's postrelease supervision. The Board decides whether or not a defendant has violated a condition of postrelease supervision, and, in the event a violation is determined to have occurred, the proper remedy.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 619, 620, 687–690.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:12,
182:70, 182:71, 182:88.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.4,
21.5.

NY JUR 2d, Criminal Law: Procedure §§ 1485, 1513, 1521, 1527, 1529.

ANNOTATION REFERENCE

See ALR Index under Guilty Plea; Parole, Probation, and Pardon.

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POINTS OF COUNSEL

Scott B. Tulman & Associates, PLLC, New York City (*Scott B. Tulman* of counsel), for appellant. I. The trial court's failure to advise appellant during the guilty plea allocution of the maximum permissible term of incarceration he faced as the result of postrelease supervision requires reversal of his conviction because this potential effect of postrelease supervision is a direct penal consequence of the guilty plea and appellant timely moved to withdraw his guilty plea on that ground. (*People v Lynn*, 28 NY2d 196; *People v Nixon*, 21 NY2d 338; *Boykin v Alabama*, 395 US 238; *People v Harris*, 61 NY2d 9; *People v Ford*, 86 NY2d 397; *Cuthrell v Director, Patuxent Inst.*, 475 F2d 1364; *People v Harnett*, 16 NY3d 200; *People v Weekes*, 28 AD3d 499; *People v Pearson*, 55 AD3d 314; *People v Achaibar*, 49 AD3d 389.) II. The trial court should have granted appellant's timely motion to withdraw his guilty plea premised on appellant's claimed lack of understanding as to the postrelease supervision component of his sentence or, at a minimum, afforded him a meaningful opportunity to be heard. (*People v Nixon*, 21 NY2d 338; *People v Gravino*, 14 NY3d 546; *People v Harnett*, 16 NY3d 200; *Foucha v Louisiana*, 504 US 71; *People v Latham*, 90 NY2d 795; *People v Louree*, 8 NY3d 541; *People v Van Deusen*, 7 NY3d 744; *People v Catu*, 4 NY3d 242; *People v Mattison*, 67 NY2d 462.)

Janet DiFiore, District Attorney, White Plains (*Laurie Sapakoff*, *Steven Bender* and *Richard Longworth Hecht* of counsel), for respondent. I. Defendant's negotiated guilty plea was not rendered involuntary because the court failed to advise him of the collateral consequences that *might* result from violating the conditions of postrelease supervision. (*People v Ramos*, 63 NY2d 640; *People v Catu*, 4 NY3d 242; *People v Gravino*, 14 NY3d 546;

People v Harnett, 16 NY3d 200; *People v Ford*, 86 NY2d 397; *People v Harris*, 61 NY2d 9; *Boykin v Alabama*, 395 US 238; *People v Boyd*, 12 NY3d 390.) II. The possibility of further incarceration as a result of violating the conditions of post-release supervision is a “collateral” rather than a “direct” consequence. (*People v Laster*, 38 AD3d 242, 9 NY3d 846; *People v Behlin*, 33 AD3d 390, 8 NY3d 843; *People v Muriqi*, 9 AD3d 743, 3 NY3d 679; *People v Catu*, 4 NY3d 242; *People v Ford*, 86 NY2d 397; *People v Gravino*, 14 NY3d 546; *People v McAlpin*, 17 NY3d 936.) III. Failing to explain to a pleading defendant that further incarceration may result from a violation of postrelease supervision does not render a plea involuntary. (*People v Gravino*, 14 NY3d 546; *People v Harnett*, 16 NY3d 200; *People v Stewart*, 16 NY3d 839; *People v Louree*, 8 NY3d 541; *People v Nixon*, 21 NY2d 338; *People v Hill*, 9 NY3d 189; *United States v Andrades*, 169 F3d 131.)

OPINION OF THE COURT

READ, J.

By indictment filed in Westchester County on June 17, 2004, defendant Terrance Monk was charged with first-degree robbery (Penal Law § 160.15 [3] [the robber “(u)ses or threatens the immediate use of a dangerous instrument”]), second-degree robbery (two counts) (Penal Law § 160.10), and second- and third-degree assault (Penal Law §§ 120.05, 120.00, respectively) in connection with an attack on a woman whom defendant and at least one accomplice were alleged to have followed into the driveway of her residence in Westchester County in the late evening hours of March 21, 2004. As the victim recounted what happened, defendant smashed the passenger side window of her car with a Belgian block thrown with such force that she suffered a broken rib and a bruised right arm; reached through the shattered glass and punched her in the back; and threatened to kill her if she did not get out of the car and go into her home, and to cut off her finger with a knife that he wielded if she refused to give him her ring. Defendant was accused of stealing the victim’s purse, cell phone, car keys, and ring before fleeing with an accomplice, leaving her cowering inside her car.

During plea negotiations, the assistant district attorney, at defense counsel’s behest, approached her counterparts in Rockland County to seek agreement that the 10-year sentence then under discussion would run concurrently with whatever sentence was imposed on defendant to resolve charges pending against him for thefts in Rockland County, to which he

anticipated soon pleading guilty. At a hearing on April 15, 2005, the assistant district attorney informed County Court that after “several phone calls to try and accommodate the defendant and his attorney on that,” she had secured the Rockland County district attorney’s commitment not to oppose concurrent sentencing. Defendant then agreed to plead guilty to attempted first-degree robbery (Penal Law §§ 110.00, 160.15 [3]), a class C violent felony, in full satisfaction of the indictment in Westchester County.

The judge put the sentence promise on the record before accepting defendant’s plea, advising him that the “[s]entence promise is a ten-year determina[te] sentence[,] concurrent with the sentence you’re going to receive in Rockland County[,] with a mandatory five-year post-release supervision period.” During the plea allocution, defendant acknowledged that on April 24, 1997, he had pleaded guilty to second-degree burglary (Penal Law § 140.25), a class C violent felony, for which he was sentenced to an indeterminate term of 3 to 6 years in prison, and, as a result, would be sentenced as a second violent felony offender; and that his guilty plea stood on its own, independent of any other conviction, including the disposition of the Rockland County case.

At a court appearance on May 10, 2005, defense counsel (who was, in fact, defendant’s second attorney, The Legal Aid Society having previously successfully asked to be relieved), sought to be excused from representing defendant on the ground of irreconcilable differences. Additionally, she informed the judge that defendant, although not then speaking to her, had earlier “communicated a desire . . . to withdraw his plea.” County Court granted the attorney’s application, and subsequently appointed new defense counsel.

By motion dated June 24, 2005, defendant, through his new attorney, moved to withdraw his guilty plea, alleging multiple grounds for doing so. As relevant to this appeal, he claimed that the sentence promise was deficient because the judge “did not explain to [him] at the time of the plea that a violation of the post release supervision could result in his being incarcerated for up to five additional years of imprisonment, over and above the ten years promised by the Court.”

In a decision and order dated August 17, 2005, County Court denied the motion. The judge noted that defendant “was informed that he was subject to a period of [five] years of post

release supervision.” Further, because the “consequences of . . . violation of post release supervision are collateral to a defendant’s plea,” he was not required to describe them. At the sentencing proceeding that same day, defendant, who refused to answer the judge’s questions regarding his 1997 conviction, was adjudicated a second violent felony offender. County Court then sentenced him as agreed to, absent the “benefit of a promised concurrent sentence” since there was no plea agreement in Rockland County.*

In an opinion and order dated March 15, 2011, the Appellate Division affirmed (83 AD3d 35 [2d Dept 2011]). The court commented that while neither this Court nor the Second Department had “yet addressed whether the consequences of violating the conditions of postrelease supervision must be expressly disclosed to defendants during in-court allocutions and before the judicial acceptance of guilty pleas,” the First and Third Departments had weighed in on the issue in cases where the claim was unpreserved, and “both Courts concluded [that] the consequences of violating the conditions of postrelease supervision are merely collateral, and that a court’s failure to allocute as to those consequences does not render pleas unknowing, involuntary, or unintelligent” (*id.* at 38, citing *People v Laster*, 38 AD3d 242, 243 [1st Dept 2007], *lv denied* 9 NY3d 846 [2007] [declining to review the defendant’s unpreserved claim that the court misinformed him as to the precise consequences of a violation of a condition of postrelease supervision, but noting that “(w)ere we to review this claim, we would reject it”]; *People v Behlin*, 33 AD3d 390, 390 [1st Dept 2006], *lv denied* 8 NY3d 843 [2007] [“reincarceration for violating the terms of post-release supervision is a collateral consequence of the plea”]; *People v Muriqi*, 9 AD3d 743, 744 [3d Dept 2004], *lv denied* 3 NY3d 679 [2004] [“County Court was not required to inform defendant of the consequences of not complying with the conditions of postrelease supervision, which conditions are set by the Board of Parole, as those were collateral consequences of his plea” (citation omitted)]).

* Plea negotiations in Rockland County fell apart some time after defendant pleaded guilty in Westchester County, and he went to trial on the Rockland County indictment. The jury in Rockland County convicted defendant of first- and second-degree robbery (Penal Law §§ 160.15, 160.10, respectively), and first-degree burglary (Penal Law § 140.30). On November 15, 2005, defendant was sentenced for these crimes to an aggregate term of 17 years in prison, to be followed by five years of postrelease supervision (*see People v Monk*, 50 AD3d 925 [2d Dept 2008], *lv denied* 11 NY3d 791 [2008]).

The Second Department then agreed with the First and Third Departments that

“while a trial court must advise a defendant of the postrelease supervision component of a determinate sentence prior to the acceptance of a guilty plea, it need not allocute on the ramifications of violating the conditions of postrelease supervision, as those ramifications . . . are subject to the discretion of the Board of Parole, rendering them, by nature, merely collateral to pleas and sentences” (83 AD3d at 38-39).

A Judge of this Court granted defendant leave to appeal (17 NY3d 819 [2011]), and we now affirm.

We have repeatedly held that a trial court “must advise a defendant of the direct consequences of [a] plea,” but “has no obligation to explain to defendants who plead guilty the possibility that collateral consequences may attach to their criminal convictions” (*People v Catu*, 4 NY3d 242, 244 [2005], citing *People v Ford*, 86 NY2d 397, 403 [1995]; see also *People v Gravino*, 14 NY3d 546, 553-554 [2010]). We have defined a direct consequence of a plea as “one which has a definite, immediate and largely automatic effect on defendant’s punishment” (*Ford*, 86 NY2d at 403). Put another way, direct consequences consist of “the core components of a defendant’s sentence: a term of probation or imprisonment, a term of postrelease supervision, a fine” (*People v Harnett*, 16 NY3d 200, 205 [2011]). By contrast, collateral consequences are “peculiar to the individual and generally result from the actions taken by agencies the court does not control” (*Ford*, 86 NY2d at 403).

First, the consequences of violating postrelease supervision are uncertain at the time of the plea, depending, as they do, upon how a defendant acts in relation to a condition tailored to his circumstances and imposed in the future. Thus, such consequences are properly described as “peculiar” to the individual. Second, the New York State Board of Parole—not the courts—is responsible for establishing the conditions of a defendant’s post-release supervision (see Penal Law § 70.45 [3]; Executive Law §§ 259-c [2]; 259-i [3], [4]). Further, the Board decides whether or not a defendant has violated a condition of postrelease supervision, and, in the event a violation is determined to have occurred, the proper remedy. The Board’s options include simply restoring the defendant to supervision; placement in a parole

transition facility for up to 180 days before restoring supervision; or reincarceration for some period of time, but no longer than the balance of the period of postrelease supervision to which the defendant was originally sentenced (*see id.* § 259-i [3] [f] [x]).

In sum, the ramifications of a defendant's violation of the conditions of postrelease supervision are classic collateral consequences of a criminal conviction—i.e., they are “peculiar to the individual” and the product of “actions taken by agencies the court does not control” (*see Ford*, 86 NY2d at 403). These consequences are speculative at the time of the guilty plea, not “definite, immediate and largely automatic” (*id.*); they are not a “core component[]” of the sentence imposed on the defendant by the judge to fulfill the bargain struck by the parties (*see Harnett*, 16 NY3d at 205).

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). The majority concludes that the possible reincarceration of defendant as a result of a violation of the conditions of postrelease supervision is “not a ‘core component[]’ of the sentence imposed on the defendant by the judge to fulfill the bargain struck by the parties” (majority op at 33 [citation omitted]), and therefore the trial court is under no obligation to notify defendant of such possible reincarceration. I believe the potential extent of imprisonment under the agreed-upon plea is central to the sentence, and I respectfully dissent.

It is well established that a “trial court has the constitutional duty to ensure that a defendant, before pleading guilty, has a full understanding of what the plea connotes and its consequences” (*People v Ford*, 86 NY2d 397, 402-403 [1995], citing *People v Harris*, 61 NY2d 9, 19 [1983]). Indeed, “ ‘due process requires that the record must be clear that the plea represents a voluntary and intelligent choice among the alternative courses of action open to the defendant’ ” (*People v Catu*, 4 NY3d 242, 245 [2005], quoting *Ford*, 86 NY2d at 403).

A prison sentence encompasses both incarceration and post-release supervision (*see Catu*, 4 NY3d at 244; L 1998, ch 1 [Jenna's Law]). Given the obvious implication and common understanding of the term “postrelease,” in order for a defendant to appreciate, in the constitutional sense, the nature of the components of the sentence, the defendant should be advised

that there is a potential for reincarceration. Certainly how much time a defendant will spend in prison, with the attendant loss of freedom, is exactly the type of information essential to defendant's " 'voluntary and intelligent choice among the alternative courses of action open to the defendant' " (see *Catu*, 4 NY3d at 245, quoting *Ford*, 86 NY2d at 403).

The constitutional duty to ensure that a defendant has a full understanding of what his or her plea connotes is of particular importance, given the central role of the plea bargaining process in criminal courts. It is an undeniable reality of our current criminal justice system that the majority of defendants will be sentenced in accordance with a negotiated plea (see e.g. *Missouri v Frye*, 566 US —, —, 132 S Ct 1399, 1407 [2012] ["Ninety-seven percent of federal convictions and ninety-four percent of state convictions are the result of guilty pleas"], citing Department of Justice, Bureau of Justice Statistics, Sourcebook of Criminal Justice Statistics Online, Table 5.22.2009, available at <http://www.albany.edu/sourcebook/pdf/t5222009.pdf>; Department of Justice, Bureau of Justice Statistics, *Felony Sentences in State Courts, 2006—Statistical Tables*, available at <http://bjs.ojp.usdoj.gov/content/pub/pdf/fssc06st.pdf>). As a result, the plea bargaining process is critical to the administration of justice (see *Frye*, 566 US at —, 132 S Ct at 1407 ["In today's criminal justice system . . . the negotiation of a plea bargain, rather than the unfolding of a trial, is almost always the critical point for a defendant"]). Within our plea-based system of justice, defendants are overwhelmingly concerned with "whether he [or she] will be imprisoned and for how long" (*People v Gravino*, 14 NY3d 546, 559 [2010]).

Defendant, now a second violent felony offender, was subject to mandatory incarceration (see Penal Law § 70.04) with a five-year mandatory period of postrelease supervision (see Jenna's Law). In order to fully understand the consequences of his plea, and thus waive his right to trial, defendant should have been informed that he may be incarcerated more time than suggested by that part of the sentence mandating postrelease supervision (see *Catu*, 4 NY3d at 245, quoting *Ford*, 86 NY2d at 403; see also *People v Harnett*, 16 NY3d 200, 209 [2011, Ciparick, J., dissenting] ["(A) defendant cannot be said to knowingly and voluntarily forgo his right to trial if he does not know the full extent of confinement that might result from his conviction"]).

This Court held in *Catu* that in order to meet its constitutional duty a trial court "must advise a defendant of the direct

consequences of the plea” (*Catu*, 4 NY3d at 244, quoting *Ford*, 86 NY2d at 402-403). As we stated in *People v Harnett* (16 NY3d at 205), the “direct consequences of a plea” “are essentially the core components of a defendant’s sentence,” which include a term of imprisonment and a term of postrelease supervision. Here, the majority concludes that the consequences of a violation of postrelease supervision are merely collateral, as they are peculiar to the defendant, and outside the control of the court. Thus, the trial court’s duty ends once the defendant is informed that he or she will be confined for a period of time, then placed under postrelease supervision. I disagree because I believe that the extent of imprisonment is of singular importance to a defendant’s understanding of the plea, and thus is not merely collateral, but a core component of sentencing.

A trial court is not obligated to explore every possible consequence of a plea with a defendant, and there is no specific or required language for allocuting a defendant (*see Catu*, 4 NY3d at 245). However, a trial court complies with constitutional requirements when it ensures that a defendant understands that there is a possibility of future incarceration even after he or she has been released to postrelease supervision.

I believe that defendant should be informed that the statutory allocation between incarceration and postrelease supervision may change in a direction adverse to defendant. I respectfully dissent.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Judge RIVERA dissents in an opinion.

Order affirmed.

[992 NE2d 402, 970 NYS2d 474]

In the Matter of DASHAWN W. and Others, Children Alleged to be Abused. ADMINISTRATION FOR CHILDREN'S SERVICES, Respondent, ANTOINE N., Appellant, et al., Respondent.

Argued March 20, 2013; decided April 25, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 17, 2012. The Appellate Division affirmed an order of the Family Court, New York County (Clark V. Richardson, J.), which, upon a fact-finding determination that respondent Antoine N. committed acts constituting severe abuse with respect to the child Jayquan N., found that petitioner Administration for Children's Services was excused from making diligent efforts to reunite respondent with Jayquan N. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered May 20, 2010 (73 AD3d 574 [2010]). The Appellate Division had (1) reversed, on the law, so much of an order of that Family Court (Sara P. Schechter, J.), as had dismissed the charge of severe abuse against respondent Antoine N. as to the child Jayquan N.; and (2) remanded the matter for further proceedings to determine whether petitioner exercised diligent efforts to strengthen the parental relationship or whether such efforts should be excused.

Matter of Dashawn W. (Antoine N.—Ronnelle B.), 91 AD3d 505, affirmed.

HEADNOTES

Parent, Child and Family — Abused or Neglected Child — Severe Abuse — Circumstances Evincing Depraved Indifference to Human Life

1. For purposes of Social Services Law § 384-b (8) (a) (i) and its definition of a “severely abused” child, the phrase “circumstances evincing a depraved indifference to human life” refers to the risk intentionally or recklessly posed to the child by the parent’s abusive conduct. Depraved indifference does not mean the same thing for purposes of Social Services Law § 384-b (8) (a) (i) as it does in the Penal Law, where it denotes a culpable mental state beyond mere recklessness—a state of mind reflecting a depraved kind of wantonness. Moreover, the Penal Law establishes crimes that are mutually exclusive, depending on certain distinctions of culpable state of mind. The same cannot be said of the child protective statutes, as either reckless or intentional acts may result in a severe abuse finding under Social Services Law § 384-b (8) (a) (i).

Parent, Child and Family — Abused or Neglected Child — Severe Abuse — Circumstances Evincing Depraved Indifference to Human Life

2. There was record support for the Appellate Division’s finding, based on clear and convincing evidence, that respondent father, acting under circumstances evincing a depraved indifference to human life, severely abused his five-month-old son (Social Services Law § 384-b [8] [a] [i]). For purposes of the “severely abused” definition in Social Services Law § 384-b (8) (a) (i), “circumstances evincing a depraved indifference to human life” refers to the risk intentionally or recklessly posed to the child by the parent’s abusive conduct. The evidence regarding the age of the baby’s injuries—broken ribs and a fractured clavicle—established that respondent must have attacked the baby on at least two different occasions, separated by at least two weeks. Respondent had to have been aware of the life-threatening risks he created when he applied brute force to the baby’s chest and shoulder, as he knew, from an incident that occurred approximately 14 years earlier, that devastating injuries ensued when he brutalized his then four-month-old son. While that prior instance of abuse was too remote in time to support a finding of repeated abuse, it reflected respondent’s utter disregard for his younger son’s life, health and well-being. Additionally, respondent neglected to summon medical aid for the baby’s fractured ribs, even though the baby would have to have experienced and displayed continuous pain and distress; and he delayed seeking medical care for the baby for several hours after he claimed to have first noticed the baby’s suffering in connection with the broken clavicle. Finally, respondent offered unbelievable explanations for the baby’s injuries to medical personnel and social workers, and he did not testify at the fact-finding hearing.

Parent, Child and Family — Abused or Neglected Child — Severe Abuse — Agency Excused from Making Diligent Efforts to Reunite Parent with Child

3. A showing of diligent efforts to encourage and strengthen the parental relationship is not prerequisite to a finding of severe abuse under Family Court Act § 1051 (e) where the factfinder determines that such efforts would be detrimental to the best interests of the child. The presentment agency, in conjunction with, or subsequent to, the filing of an abuse or neglect petition, may move for “a finding that reasonable efforts to return the child to his or her home are no longer required” (Family Ct Act § 1039-b [a]), and reasonable efforts “shall not be required” when “the parent of such child has subjected the child to aggravated circumstances, as defined in” Family Court Act § 1012 (j) (Family Ct Act § 1039-b [b] [1]). Family Court Act § 1012 (j) defines “aggravated circumstances” to include “where a child has been either severely or repeatedly abused, as defined in” Social Services Law § 384-b (8). Family Court Act §§ 1051 (e) and 1012 (j) necessarily import Social Services Law § 384-b (8) (a) in its entirety, and Social Services Law § 384-b (8) (a) (iv) states that Family Court may excuse diligent efforts when they are found to be detrimental to the best interests of the child.

Parent, Child and Family — Abused or Neglected Child — Severe Abuse — Agency Excused from Making Diligent Efforts to Reunite Parent with Child

4. Family Court properly found that diligent efforts to encourage and strengthen the parental relationship between respondent father and his youngest son would be detrimental to the child’s best interests, in accordance with Social Services Law § 384-b (8) (a) (iv), and therefore were not prerequisite to

a finding of severe abuse. The judge determined that, in light of respondent's abuse of an older son when that child was four months old, followed by his severe abuse of his youngest, then five-month-old son some 14 years later, there was little prospect that respondent's "chronic, long-standing" violent behavior would improve anytime soon, if ever, and it was not in the youngest son's best interests to languish in foster care in the meantime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Infants § 15; AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children § 49.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children; Juvenile Delinquents and Persons in Need of Supervision §§ 119A:100, 119A:101, 119A:114, 119A:115, 119A:658.

5 LAW AND THE FAMILY NEW YORK (2d ed) §§ 8:46, 9:12, 9:51, 9:77, 9:86.

McKINNEY'S, Family Ct Act § 1051 (e); Social Services Law § 384-b (8) (a) (i).

NY JUR 2d, Domestic Relations §§ 1756, 1761, 1764, 1801, 1841, 1848, 1849.

ANNOTATION REFERENCE

See ALR Index under Child Abuse.

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POINTS OF COUNSEL

Elisa Barnes, New York City, for appellant. I. By legislative design the severe abuse statute applies to very few cases. (*Matter of Leon K. [Marilyn O.]*, 69 AD3d 856; *Matter of Candace S.*, 38 AD3d 786; *Matter of Latifah C.*, 34 AD3d 798; *Matter of Kayden E. [Luis E.]*, 88 AD3d 1205, 18 NY3d 803; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Matter of Bliss v Bliss*, 66 NY2d 382.) II. The Commissioner of the New York City Administration for Children's Services did not submit evidence of diligent efforts to reunite appellant with his children and under the statutory scheme could not have been excused from such efforts. (*Matter of Borkowski v Borkowski*, 38 AD2d 752; *Loeb v Loeb*, 14 AD2d 270; *Matter of Leon K. [Marilyn O.]*, 69 AD3d

856, 83 AD3d 1069; *Matter of Candace S.*, 38 AD3d 786; *Matter of Latifah C.*, 34 AD3d 798.) III. Appellant Antoine N. was erroneously found to have acted with depraved indifference to Jayquan's life. (*People v Suarez*, 6 NY3d 202; *People v Best*, 85 NY2d 826; *People v Poplis*, 30 NY2d 85; *People v Goodridge*, 251 AD2d 85.)

Michael A. Cardozo, Corporation Counsel, New York City (*Deborah A. Brenner* and *Kristin M. Helmers* of counsel), for respondent. I. The Appellate Division correctly ruled that the father's conduct evinced depraved indifference to Jayquan's life. (*Matter of Marino S.*, 100 NY2d 361; *People v Cole*, 85 NY2d 990; *People v Poplis*, 30 NY2d 85; *People v Bryce*, 88 NY2d 124; *People v Bowman*, 48 AD3d 178, 10 NY3d 808; *People v Maddox*, 31 AD3d 970; *People v Paul*, 209 AD2d 447, 85 NY2d 865; *People v Suarez*, 6 NY3d 202; *Matter of Jessica MM.*, 122 AD2d 462; *People v Luck*, 294 AD2d 618, 98 NY2d 699.) II. Diligent efforts to reunite the family should not be a part of a fact-finding of severe abuse. In the alternative, such efforts were properly excused here. (*People v Caban*, 14 NY3d 369; *Matter of Rivera v Smith*, 63 NY2d 501; *Telaro v Telaro*, 25 NY2d 433.)

Steven Banks, Legal Aid Society, New York City (*Claire V. Merkine* and *Tamara A. Steckler* of counsel), Attorney for the Children. I. The Appellate Division erred in the first appeal in remanding the case for a hearing on diligent efforts, where a finding that diligent efforts were made or excused is not required for a severe abuse finding under Family Court Act § 1051 (e). In any event, the Appellate Division properly affirmed in the second appeal the Family Court's finding that diligent efforts should be excused. (*Matter of Marino S.*, 100 NY2d 361; *Long v State of New York*, 7 NY3d 269; *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512; *Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Rohring v City of Niagara Falls*, 84 NY2d 60; *Matter of Leon K. [Marilyn O.]*, 69 AD3d 856; *Matter of Carlos R.*, 63 AD3d 1243.) II. The Appellate Division correctly found that appellant evinced depraved indifference to his child's life.

OPINION OF THE COURT

READ, J.

We hold that the phrase "circumstances evincing a depraved indifference to human life" does not mean the same thing for purposes of Social Services Law § 384-b (8) (a) (i) as it does

under the Penal Law. Second, a showing of diligent efforts to encourage and strengthen the parental relationship is not prerequisite to a finding of severe abuse under Family Court Act § 1051 (e) where the factfinder determines that such efforts would be detrimental to the best interests of the child.

I

On February 23, 2007, the Commissioner of the New York City Administration for Children's Services (the Commissioner or ACS) filed related petitions under article 10 of the Family Court Act against Antoine N. and Ronnelle B. with respect to the four children who resided with them: five-month-old Jayquan N., five-year-old Justin N., five-year-old Diamonaysia B., and two-year-old Dashawn W. Antoine and Ronnelle are Jayquan's parents, while Antoine is Justin's father and Ronnelle is the mother of Diamonaysia and Dashawn. ACS had carried out an emergency removal pursuant to Family Court Act § 1024 the previous day, after social workers at Bellevue Hospital Center reported suspected child abuse to the Statewide Central Register of Child Abuse and Maltreatment.

The petitions in these child protective proceedings alleged that Jayquan, whom Antoine brought to Bellevue on the evening of February 21, 2007—hours after he claimed that the baby screamed in a way unlike ever before—had been admitted with a “shifted and fractured collar-bone with swelling”; and that, upon further examination, hospital personnel discovered four partially healed fractured ribs.¹ The petitions also asserted that Antoine “inflict[ed] excessive corporal punishment” on Justin by hitting him with a “black wire,” thereby causing “excessive welts to his body”; and that Ronnelle failed to intervene to protect him. The Commissioner sought orders determining, upon clear and convincing evidence, that these four children were severely or repeatedly abused, and, upon a preponderance of the evidence, that they were abused and/or neglected.

At the ensuing fact-finding hearing, ACS called Dr. Lori Legano, who examined Jayquan at Bellevue on February 22, 2007, acting as a consultant with a child protection team; Dr. Legano was qualified as an expert in pediatrics and child abuse. She testified that the fracture of Jayquan's left collarbone (or

1. Jayquan remained hospitalized at Bellevue until discharged on March 2, 2007 to the custody of an ACS caseworker for placement in a designated foster boarding house.

clavicle) was sustained within less than a week before his admission to the hospital, and that the most likely cause was a direct blow to the shoulder. Because of the level of force required to inflict this injury, Dr. Legano rejected Antoine's explanation—that two-year-old Dashawn pulled Jayquan's arms while he sat in his "bouncy chair"² the day before Antoine took Jayquan to the hospital—as medically implausible. According to Dr. Legano, a two year old could not have generated enough force to separate Jayquan's clavicle by pulling on his arms. For the same reason, she discounted the notion, suggested by Antoine's attorney, that Jayquan may have broken his collarbone when one of the other children hit him, or fell against him while he sat in the bouncy chair, thereby somehow propelling him onto the floor. Dr. Legano ruled out birth trauma as the cause of Jayquan's fractured collarbone because his medical records disclosed an unremarkable delivery and the break was so fresh; and based on Jayquan's medical records and the results of blood and other tests, she eliminated other possible causative factors (e.g., insufficient vitamin D, malnourishment, low bone density). Dr. Legano testified that a clavicle fracture was not life-threatening and would heal on its own without any treatment, but Jayquan would experience discomfort in the meantime unless he kept his shoulder "totally still."

As for Jayquan's four broken ribs, Dr. Legano testified that "a lot of force" would have been required to cause these injuries. Further, the fractures were all on the baby's left side, rather than bilateral, as would be expected if one of the other children stood or stamped on Jayquan while he lay on the floor, which Antoine's attorney speculated may have happened. In the absence of a major trauma such as a car accident, Dr. Legano viewed Jayquan's broken ribs as most likely an "inflicted injury" caused by "direct force to the middle of the chest," or "blunt trauma to the side of the chest"; she added that, given the pliability of an infant's ribs, fractures are a classic sign of

2. Dr. Legano sometimes referred to the "bouncy chair" as an "ExerSaucer," which is a brand name for a stationary play center. The "bouncy chair," a picture of which was entered into evidence, consists of a round or saucer-shaped base with an elevated swivel seat in the middle; a tray surrounds the seat. These products allow babies old enough to sit and hold up their heads unassisted to remain upright to practice standing, and to entertain themselves by rocking, spinning, bouncing and playing with available, often built-in, toys. They are designed to be stable and so are unlikely to tip over; they do not allow movement around a room, and thus eliminate the risk of falls down stairs or stumbles.

child abuse, almost always caused by an intentional act. Her observation of callus formation caused Dr. Legano to conclude that Jayquan had sustained these injuries between two weeks and several months before his admission to the hospital. She opined that Jayquan's discomfort should have been noticeable because as his chest expanded with each breath, the broken edges of the ribs would rub together, causing virtually continuous pain.

An ACS caseworker, who interviewed each member of the family, testified that Antoine and Ronnelle surmised that Jayquan must have broken his ribs in mid-December 2006 when he and two-year-old Dashawn were playing on a bed with their maternal grandfather, and Dashawn either hit or kicked Jayquan. The caseworker, who also physically examined each of the children for signs of abuse, observed "black linear marks . . . too many to count" on Justin's chest, stomach, inner thigh and buttocks. Antoine conceded that he had lashed the child with an electrical cord, which he justified as punishment meted out after discovering Justin and Diamonaysia, both five years old, doing "adult things." The caseworker added that when she tried to comfort Dashawn as he was crying, he yelled at her, "Get out of my face . . . [b]efore I get my belt," which Diamonaysia explained Antoine said "all the time."

Antoine did not testify at the hearing or call any witnesses. Family Court took judicial notice of a finding of abuse against Antoine in 1994 relating to his infant son, Antoine, Jr. In a fact-finding decision and order entered on April 11, 1994, Family Court found that then four-month-old Antoine, Jr. sustained bilateral subdural hematomas in his brain, four fractured ribs on his left side and a fractured wrist and skull; that Antoine and the infant's mother provided no satisfactory or convincing explanation for these injuries; and that the brain injuries were so serious that it was unknown whether Antoine, Jr. would fully recover or, instead, suffer from mental retardation.

At the conclusion of the hearing, Family Court determined that Antoine and Ronnelle abused Jayquan "in that[,] while in the care of [Antoine and Ronnelle, the] child sustained fractures of the clavicle and of the left 4-7 ribs . . . [and Antoine and Ronnelle] have not offered any credible explanation for any of

these injuries’’;³ and that they neglected⁴ and derivatively abused Justin, and derivatively abused and neglected Dashawn and Diamonaysia.⁵ While finding that Jayquan sustained

3. Family Court Act § 1012 (e) defines an “abused child” as a child under 18 years old

“whose parent or other person legally responsible for his care

“(i) inflicts or allows to be inflicted upon such child physical injury by other than accidental means which causes or creates a substantial risk of death, or serious or protracted disfigurement, or protracted impairment of physical or emotional health or protracted loss or impairment of the function of any bodily organ, or

“(ii) creates or allows to be created a substantial risk of physical injury to such child by other than accidental means which would be likely to cause death or serious or protracted disfigurement, or protracted impairment of physical or emotional health or protracted loss or impairment of the function of any bodily organ, or

“(iii) commits, or allows to be committed an offense against such child defined in [Penal Law article 130, governing sex offenses]; allows, permits or encourages such child to engage in any act described in [specified provisions of the Penal Law relating to prostitution]; commits any of the acts described in [specified provisions of the Penal Law relating to incest]; or allows such child to engage in acts or conduct described in [Penal Law article 263, governing sexual performance by a child] provided, however, that (a) the [Penal Law’s] corroboration requirements . . . and (b) the age requirement for the application of article [263] shall not apply.”

4. Family Court Act § 1012 (f) (i) (B) defines a “neglected child” to include a child under 18 years old

“whose physical, mental or emotional condition has been impaired or is in imminent danger of becoming impaired as a result of the failure of his parent or other person legally responsible for his care to exercise a minimum degree of care . . . in providing the child with proper supervision or guardianship, by unreasonably inflicting or allowing to be inflicted harm, or a substantial risk thereof, *including the infliction of excessive corporal punishment*” (emphasis added).

5. As we noted in *Matter of Marino S.* (100 NY2d 361, 373-374 [2003], *cert denied sub nom. Marino S. v Angel Guardian Children & Family Servs.*, 540 US 1059 [2003]), while article 10

“is silent with respect to derivative findings of abuse[,] . . . indirect support . . . may be found in the evidentiary rule set forth in Family Court Act § 1046 (a) (i), which provides that ‘proof of the abuse or neglect of one child shall be admissible evidence on the issue of the abuse or neglect of any other child of, or the legal responsibility of, the respondent’ ” (see Merrill Sobie, Practice Commentaries, McKinney’s Cons Laws of NY, Book 29A, Family Ct Act § 1012 at 44-46 [discussing the derivative doctrine as it has developed in New York]).

“[s]erious physical injury, . . . protracted, painful, [and] horrible injuries,” Family Court nonetheless dismissed the petition insofar as it alleged severe abuse against Antoine.⁶ The judge believed that, in view of our decision in *People v Suarez* (6 NY3d 202 [2005]), severe abuse under Social Services Law § 384-b (8) (a) (i)—which requires a finding that Antoine acted “under circumstances evincing a depraved indifference to human life”—could almost never be established unless an eyewitness testified to the manner in which the harm was inflicted. Supported by the Attorney for the Children, ACS appealed from Family Court’s dismissal of the claim of severe abuse; Antoine did not cross-appeal the judge’s findings of serious physical injury and abuse.

In May 2010, the Appellate Division reversed (73 AD3d 574 [1st Dept 2010]). The court first held that Family Court was not constrained by *Suarez* because “Social Services Law § 384-b (8) (a) encompasses conduct which is either intentional or reckless, unlike Penal Law § 125.25 (1) and (2), which, pursuant to *Suarez*, are almost always mutually exclusive”; and “[i]n any event, *Suarez* recognized that in cases involving abused children, conduct evincing depraved indifference to human life may be present in a one-on-one situation” (*id.* at 574).

The Appellate Division then found that “the baby sustained . . . serious physical injuries while in the care of [Antoine], and the parents failed to provide an adequate explanation”; and noted that Family Court “was entitled to draw the strongest negative inference against the father based on his failure to testify in the proceedings” (*id.* at 575). As a result, “father’s conduct directed at the infant was sufficient to demonstrate depraved indifference to the child’s life” (*id.*). Citing Social Services Law § 384-b (8) (a) (i) and (iv), the Court then noted that, “due to [Family Court’s] misinterpretation of *Suarez*, it never reached the issue of whether [ACS] exercised diligent efforts to

6. At the conclusion of ACS’s case, Family Court granted Ronnelle’s motion to dismiss the charge of severe abuse against her on the ground that ACS had not made a prima facie showing. ACS never seems to have formally abandoned the charge of repeated abuse, although Ronnelle was not subject to any prior findings of abuse, and Antoine’s prior abuse finding dated from 1994 (*see* Social Services Law § 384-b [8] [b] [ii] [A] [providing that a child is “repeatedly abused” by a parent if “the child or another child for whose care such parent is or has been legally responsible has been previously found, *within the five years immediately preceding* the initiation of the proceeding in which such abuse is found, to be an abused child” (emphasis added)]). The judge did not mention repeated abuse in her fact-finding ruling.

strengthen the parental relationship”; and therefore remanded for the lower court to decide “if [ACS] exerted such efforts or whether such efforts are excused, since a finding of severe abuse is admissible in a subsequent proceeding to terminate parental rights” (*id.*).

Upon remand, Family Court determined that diligent efforts should be excused because they would be “detrimental to the best interests of the child(ren).” In support of this finding, the judge cited Antoine’s 1994 abuse adjudication, remarking that “we come now to . . . a time approximately 14 years later, when [Antoine] has again displayed egregious conduct towards a child [u]nder circumstances evincing a depraved indifference to the [child’s] life and health.” According to Family Court, the earlier incident, in combination with the events leading to these petitions, demonstrated that the “prognosis for change in [Antoine’s] indifferent behavior is poor.” The judge therefore found that “efforts to encourage and strengthen the parental relationship would be detrimental to the best interests of [Jayquan] as they would consign him to a further protracted stay in foster care, thereby depriving him of permanency and of a normal, healthy and safe life, with virtually no likelihood of ultimate reunification.”

Antoine appealed Family Court’s order excusing diligent efforts and, at the same time, moved for leave to appeal to us. After we dismissed his motion upon the ground that simultaneous appeals do not lie (16 NY3d 767 [2011]), the Appellate Division affirmed (91 AD3d 505 [1st Dept 2012]). In that court’s view,

“Family Court properly determined, in light of [the] prior determination that there was clear and convincing evidence that the child . . . was ‘severely abused[,]’ . . . that such ‘[a]ggravated circumstances’ (Family Ct Act § 1012 [j]) excused ACS from exercising diligent efforts to reunite the father with the child because such efforts would be detrimental to the best interests of the child and are unlikely to be successful in the foreseeable future” (*id.* at 506).

The Appellate Division rejected the “father’s attempt to characterize the Family Court’s proceedings conducted pursuant to [the remand] as a wholly distinct and separate hearing,” concluding instead that they were merely a “continuation of the prior fact-finding hearing” (*id.*).

We granted Antoine leave to appeal (19 NY3d 804 [2012]), and now affirm, although for slightly different reasons.

II

At the conclusion of the fact-finding phase in an article 10 proceeding, Family Court may,

“[i]n addition to a finding of abuse, . . . enter *a finding of severe abuse . . . as defined in [Social Services Law § 384-b (8) (a)]*, which shall be admissible in a proceeding to terminate parental rights pursuant to [Social Services Law § 384-b]. If the court makes such additional finding of severe abuse . . . , the court shall state the grounds for its determination, which *shall be based upon clear and convincing evidence*” (Family Ct Act § 1051 [e] [emphases added]).

Section 384-b (8) (a) of the Social Services Law, in turn, specifies that “[f]or the purposes of this section [384-b],” which governs termination of parental rights, a child is “severely abused” if

“(i) the child has been found to be an abused child as a result of *reckless or intentional acts of the parent committed under circumstances evincing a depraved indifference to human life*, which result in serious physical injury to the child as defined in [Penal Law § 10.00 (10)];^[7] or

“(ii) the child has been found to be [a sexually abused child]; provided, however, the [parent] must have committed or knowingly allowed to be committed [1 of 11 enumerated felony sex offenses] . . . ; or

“(iii) [the child’s parent has been convicted of certain felony offenses under the Penal Law,⁽⁸⁾ and] the victim or intended victim was the child or another child of the parent or another child for whose

7. Section 10.00 (10) of the Penal Law defines “serious physical injury” as “physical injury which creates a substantial risk of death, or which causes death or serious and protracted disfigurement, protracted impairment of health or protracted loss or impairment of the function of any bodily organ.”

8. The felony offenses include first- or second-degree murder, first- or second-degree manslaughter, or an attempt to commit murder or manslaughter; criminal solicitation, conspiracy or criminal facilitation for conspiring, soliciting or facilitating these crimes; or first- or second-degree assault or aggravated assault upon a person less than 11 years old or any attempt to commit these crimes.

care such parent is or has been legally responsible; or . . . the parent of such child has been convicted under the law in any other jurisdiction of an offense which includes all of the essential elements [of these crimes]; *and*

“(iv) *the agency has made diligent efforts* to encourage and strengthen the parental relationship, including efforts to rehabilitate the respondent, when such efforts will not be detrimental to the best interests of the child, and such efforts have been unsuccessful and are unlikely to be successful in the foreseeable future. Where a court has previously determined in accordance with this chapter or the family court act that reasonable efforts to make it possible for the child to return safely to his or her home are not required, the agency shall not be required to demonstrate diligent efforts as set forth in this section” (Social Services Law § 384-b [8] [a] [i]-[iv] [emphases added]).

In this appeal, the parties differ as to what is required to establish “circumstances evincing a depraved indifference to human life” within the meaning of Social Services Law § 384-b (8) (a) (i); and whether the diligent efforts specified by subparagraph (iv) of this provision are prerequisite to a finding of severe abuse under Family Court Act § 1051 (e), or may be excused under Family Court Act §§ 1039-b and 1012 (j) or, alternatively, Social Services Law § 384-b (8) (a) (iv) itself.

Depraved Indifference

ACS, joined by the Attorney for the Children, argues that our cases discussing “circumstances evincing a depraved indifference to human life” within the meaning of the Penal Law do not control the interpretation of the same phrase in Social Services Law § 384-b (8) (a) (i). Antoine, by contrast, considers “depraved indifference” to require the same showing under both statutes. The facts in this case, he argues, “though disquieting and unpleasant, simply do not rise to the level of depraved indifference” discussed in *Suarez* and other cases in the progression of decisions culminating in *People v Feingold* (7 NY3d 288 [2006] [recounting the evolution of the Court’s depraved indifference jurisprudence]; *see also Policano v Herbert*, 7 NY3d 588 [2006] [same]). In *Feingold*, we held that depraved indifference denotes a culpable mental state beyond mere recklessness, and explicitly overruled *People v Register* (60

NY2d 270 [1983]). *Register* had stood for the proposition that depraved indifference was “neither the *mens rea* nor the *actus reus*” of a crime, but rather referred to “the factual setting in which the [defendant’s] risk creating conduct must occur” (*id.* at 276) so that “the focus of the offense [was] upon an objective assessment of the degree of risk presented by defendant’s reckless conduct” (*id.* at 277; *see also Policano*, 7 NY3d at 599-600).

Under the Penal Law, a person acts “intentionally” when “his conscious objective” is to cause a proscribed result (for example, death) or engage in conduct described by a statute (Penal Law § 15.05 [1]); and a person acts “recklessly” with respect to a proscribed result or a circumstance described by a statute “when he is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur or that such circumstance exists” (Penal Law § 15.05 [3]). And “depraved indifference” bespeaks a state of mind reflecting “a depraved kind of wantonness: for example, shooting into a crowd, placing a time bomb in a public place, or opening the door of the lions’ cage in the zoo” (*Feingold*, 7 NY3d at 293 [internal quotation marks omitted]). It is “best understood as an utter disregard for the value of human life—a willingness to act not because one intends harm, but because one simply doesn’t care whether grievous harm results or not[, and which reflects] wickedness, evil or inhumanity, as manifested by brutal, heinous and despicable acts” (*Suarez*, 6 NY3d at 214). The Penal Law establishes crimes that are mutually exclusive, depending on these distinctions of culpable state of mind; specifically, second-degree intentional murder (Penal Law § 125.25 [1] [mens rea of intent to kill]), as contrasted with second-degree depraved indifference murder (Penal Law § 125.25 [2] [mens rea of recklessness plus mens rea of depraved indifference]), as contrasted with second-degree manslaughter (Penal Law § 125.15 [mens rea of recklessness]).

[1] The same cannot be said of the child protective statutes. Social Services Law § 384-b (8) (a) (i) provides that a child can be found to be severely abused “as a result of reckless or intentional *acts* of the parent committed under circumstances evincing a depraved indifference to human life” (emphases added). Under the Penal Law, however, a crime requiring proof of an intent to kill can never be committed with depraved indifference (*see Policano*, 7 NY3d at 600 [(“It has never been permissible in New York for a jury to convict a defendant of depraved indifference murder where the evidence produced at trial

indicated that if the defendant committed homicide at all, he committed it with the conscious objective of killing the victim” (internal quotation marks omitted)]. Additionally, “[a] defendant may be convicted of depraved indifference murder when but a single person is endangered in only a few rare circumstances” (*Suarez*, 6 NY3d at 212), whereas acts of child abuse necessarily involve one-on-one violence. In short, our depraved indifference jurisprudence under the Penal Law has no bearing on whether a child is severely abused within the meaning of Social Services Law § 384-b (8) (a) (i). For purposes of that statute “circumstances evincing a depraved indifference to human life” refers to the risk intentionally or recklessly posed to the child by the parent’s abusive conduct.

[2] Here, Antoine beat or struck a baby—an especially vulnerable victim because so tiny, defenseless and unformed. And Dr. Legano’s testimony about the age of Jayquan’s injuries established that Antoine must have attacked him on at least two different occasions, separated by at least two weeks. Further, Antoine had to have been aware of the life-threatening risks he created when he applied brute force to Jayquan’s chest and shoulder. After all, he knew that devastating injuries ensued when he brutalized his then four-month-old namesake, Antoine, Jr. While this prior instance of abuse was too remote in time to support a finding of repeated abuse, it reflects Antoine’s utter disregard for Jayquan’s life, health and well-being. Additionally, Antoine neglected to summon medical aid for Jayquan’s fractured ribs, even though the baby would have to have experienced and displayed continuous pain and distress; and he delayed seeking medical care for Jayquan on February 21, 2007 from 11:00 a.m., when he claimed to have first noticed the baby’s suffering, until the early evening hours.⁹ Finally, Antoine offered unbelievable explanations for Jayquan’s injuries to medical personnel and social workers, and he did not testify at the fact-finding hearing (*see Matter of Nassau County Dept. of Social Servs. v Denise J.*, 87 NY2d 73, 79 [1995] [where the mother did not testify in a child protective proceeding, we noted that “(a) trier of fact may draw the strongest inference that the opposing evidence permits”]). Thus, there is record support for the Appellate Division’s finding, based on clear and convincing evidence, that Antoine, acting under circumstances evincing a depraved indifference to human life, severely abused Jayquan.

9. The record from the hospital’s pediatric emergency service is date-stamped 8:17 p.m. on February 21, 2007.

Diligent Efforts

At no time did ACS make “diligent efforts to encourage and strengthen the parental relationship, including efforts to rehabilitate” Antoine (*see* Social Services Law § 384-b [8] [a] [iv]). This is undisputed. What the parties instead contest is whether this omission was permissible in light of Family Court Act §§ 1051 (e), 1039-b and 1012 (j). The Attorney for the Children, joined by ACS, urges that a showing of diligent efforts is not required for a finding of severe abuse under Family Court Act § 1051 (e), while Antoine naturally insists otherwise. But Antoine also maintains that diligent efforts are incapable of being excused under Family Court Act §§ 1039-b and 1012 (j) on the basis of severe abuse. So for very different reasons leading to diametrically opposite practical outcomes, the Attorney for the Children and Antoine both take the position that the Appellate Division erred when, in the first appeal, it remanded this case to Family Court for a finding as to whether diligent efforts were made or excused. The Attorney for the Children argues in the alternative, though, that Family Court was permitted to and properly excused diligent efforts pursuant to Social Services Law § 384-b (8) (a) (iv) itself.

Section 1039-b (a) of the Family Court Act states that “[i]n conjunction with, or at any time subsequent to, the filing of a[n] abuse or neglect] petition . . . , the [presentment agency] may file a motion upon notice requesting a finding that reasonable efforts to return the child to his or her home are no longer required.” The statute further provides that reasonable efforts “shall not be required” when “the parent of such child has subjected the child to *aggravated circumstances, as defined in*” Family Court Act § 1012 (j) (Family Court Act § 1039-b [b] [1] [emphasis added]).¹⁰ Family Court Act § 1012 (j) defines

10. Additionally, reasonable efforts are not required where the parent has been convicted of the murder or manslaughter of another child of that parent (Family Court Act § 1039-b [b] [2]); the parent has been convicted of an attempt to commit murder or manslaughter, or of criminal solicitation, conspiracy or criminal facilitation for conspiring, soliciting or facilitating those crimes, and the victim or intended victim was the child or another child of that parent (*id.* § 1039-b [b] [3]); the parent has been convicted of first- or second-degree assault or aggravated assault upon a person less than 11 years old, and this criminal conduct caused serious physical injury to the child or another child of the parent (*id.* § 1039-b [b] [4]); the parent has been convicted “in any other jurisdiction of an offense which includes all of the essential elements of” any of the foregoing crimes, and the victim was the child or another child of the

(n. cont’d)

“aggravated circumstances” to include “where a child has been either *severely or repeatedly abused*, as defined in” Social Services Law § 384-b (8) (emphasis added).¹¹

First, Antoine takes as a given that Family Court Act §§ 1039-b and 1012 (j) provide the only way for a presentment agency to sidestep diligent efforts. Then he reasons—in “[a]n almost Talmudic exercise in statutory application, following the trail of FCA § 1051 (e) to Social Services Law § 384-b (8) to FCA § 1039-b to FCA § 1012 (j)” —that a finding of severe abuse pursuant to Family Court Act § 1051 (e) can never serve as an “aggravated circumstance” excusing “reasonable efforts to return the child to his or her home” pursuant to Family Court Act §§ 1039-b (a), (b) (1) and 1012 (j) because Social Services Law § 384-b (8) (a) requires diligent efforts as a prerequisite to a finding of severe abuse. Antoine asserts that his analysis is not circular and does not render Family Court Act § 1039-b (b) (1) meaningless because a court might have previously determined, as also provided for in subparagraph (iv) of section 384-b (8) (a), that reasonable efforts were not required to return a severely abused child to his or her family on the basis of one of the grounds enumerated in Family Court Act § 1039-b (b) (2)-(6) (*see* n 10, *supra*).

The Attorney for the Children points out that the legislature in 1999 adopted Family Court Act § 1039-b and amended Family Court Act § 1051 (e) and Social Services Law § 384-b (8) (a) to implement the Federal Adoption and Safe Families Act (ASFA). ASFA clarified when states must engage in reasonable efforts to bring parents and an abused or neglected child back together, and when these efforts could or should be excused or discontinued. To address the “uncertainty about the reasonable efforts

parent (*id.* § 1039-b [b] [5]); or “the parental rights of the parent to a sibling of [the] child have been involuntarily terminated” (*id.* § 1039-b [b] [6]).

11. “Aggravated circumstances” also include instances where the child has been found to be repeatedly abused within the meaning of Social Services Law § 384-b (8) (b); the child “has subsequently been found to be an abused child [within the meaning of Family Court Act § 1012 (e) (i) or (iii)] within five years after [the] return home following placement in foster care as a result of being found to be a neglected child”; the parent “has refused and . . . failed completely, over a period of at least six months from the date of removal” to engage in or secure reunification services; or “a court has determined a child five days old or younger was abandoned by a parent with an intent to wholly abandon such child and with the intent that the child be safe from physical injury and cared for in an appropriate manner” (*see* Family Ct Act § 1012 [j]).

standard [that] sometimes delays State action in making children available for adoption,” Congress therefore “permit[ted] the State[s] to bypass” the “reasonable efforts criterion” in cases where a parent subjected a child to “aggravated circumstances” as defined under state law, and to “move expeditiously to terminate parental rights and make [these abused and neglected children] available for adoption” (HR Rep No. 105-77, 105th Cong, 1st Sess at 7-8, reprinted in 1997 US Code Cong & Admin News at 2739, 2739-2740; *see also Marino S.*, 100 NY2d at 369-370 [“The effect of a finding of aggravated circumstances under the Family Court Act—like the effect of a finding of severe abuse under the Social Services Law (severe abuse itself constitutes an aggravated circumstance)—is to dispense with the requirement that an agency responsible for having placed the children in foster care or seeking to terminate parental rights exercise diligent or reasonable efforts to reunite the (parent[s]) with the children”]).

[3] The Attorney for the Children objects that Antoine’s view of the interplay of the Family Court Act and the Social Services Law, which negates severe abuse as an independent basis under Family Court Act § 1039-b (b) (1) for excusing reasonable efforts, runs counter to ASFA’s express purpose “to expedite permanency for children who suffer . . . the ‘aggravated circumstance’ of severe abuse.” Seeking to harmonize the statutes in a way faithful to ASFA’s goals and New York’s concomitant statutory scheme, she maintains that the legislature, “when referencing the definition of ‘severe abuse’ in Social Services Law § 384-b (8) (a) in Family Court Act §§ 1012 (j) and 1051 (e), intended to borrow only the abusive acts described in [subparagraphs] (i) through (iii) of Social Services Law § 384-b (8) (a), and not the diligent efforts showing of [subparagraph] (iv)” (emphasis added). This approach “completely resolves the circularity and incongruity” created by Antoine’s interpretation of the statutes “and fully accords with the purpose of ASFA.”

Finally, the Attorney for the Children advances the alternative position that if subparagraph (iv) of Social Services Law § 384-b (8) (a) is, in fact, incorporated into article 10’s definition of severe abuse, as Antoine argues, then Family Court is authorized to excuse diligent efforts upon a finding that they would be detrimental to the child’s best interests. We agree. First, we conclude that Family Court Act §§ 1051 (e) and 1012 (j) necessarily import Social Services Law § 384-b (8) (a) *in its entirety*. We simply cannot read subparagraph (iv) out of the definition of

severe abuse incorporated in these provisions when the legislature did not choose to create such an exclusion, as it easily might have. Second, Social Services Law § 384-b (8) (a) (iv) clearly states that Family Court may excuse diligent efforts when they are found to be detrimental to the best interests of the child.

To recapitulate, Social Services Law § 384-b (8) (a) defines a child as “severely abused” if the victim of depraved indifference abuse (*id.* § 384-b [8] [a] [i]), or felony sex offense abuse (*id.* § 384-b [8] [a] [ii]), or other felony offense abuse (*id.* § 384-b [8] [a] [iii]), *and*

“the agency has made diligent efforts to encourage and strengthen the parental relationship, including efforts to rehabilitate the respondent, when such efforts will not be detrimental to the best interests of the child, and such efforts have been unsuccessful and are unlikely to be successful in the foreseeable future. Where a court has previously determined in accordance with this chapter or the family court act that reasonable efforts to make it possible for the child to return safely to his or her home are not required, the agency shall not be required to demonstrate diligent efforts as set forth in this section” (*id.* § 384-b [8] [a] [iv] [emphases added]).

Thus, for a court to find severe abuse under Family Court Act § 1051 (e), the presentment agency must demonstrate by clear and convincing evidence that the parent committed an abusive act specified in subparagraphs (i), (ii) *or* (iii) of section 384-b (8) (a); *and* diligent efforts to reunite the family were not made because detrimental to the child’s best interests; *or* such efforts were made but were unsuccessful and unlikely to succeed in the near term; *or* such efforts were not required because a court had previously determined that reasonable efforts to reunite the family were unnecessary.

The Attorney for the Children is surely correct that the legislature adopted Family Court Act § 1039-b to “expedite permanency planning for abused children by enabling the agency to obtain an immediate determination—during the underlying abuse proceeding—of whether it must exercise diligent efforts, without first having to expend considerable effort . . . until a ruling [could] finally be sought in the subsequent termination proceeding” (*see Marino S.*, 100 NY2d at 371). The proposition that the legislature “borrowed” only the abusive acts described

in Social Services Law § 384-b (8) (a) (i)-(iii) when referring to section 384-b (8) (a) in Family Court Act §§ 1051 (e) and 1012 (j) is thus intuitively appealing. Perhaps this is what the legislature meant to do. The statutory language, however, does not admit of this interpretation. In sum, both Antoine and the Attorney for the Children weave complex interpretive skeins to justify their preferred outcomes. Each asks us to disregard section 384-b (8) (a) (iv) in the context of child protective proceedings, either wholly (the Attorney for the Children) or in part (Antoine). We opt instead for a straightforward reading of Family Court Act §§ 1051 (e) and 1012 (j) and Social Services Law § 384-b (8) (a).

[4] Finally, Family Court in this case properly found that diligent efforts to encourage and strengthen the parental relationship would be detrimental to Jayquan’s best interests, in accordance with Social Services Law § 384-b (8) (a) (iv). The judge determined that, in light of Antoine’s abuse of Antoine, Jr., followed by his severe abuse of Jayquan some 14 years later, there was little prospect that Antoine’s “chronic, long-standing” violent behavior would improve anytime soon, if ever, and it was not in Jayquan’s best interests to languish in foster care in the meantime.

We have considered Antoine’s other arguments and consider them to be without merit. Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur.

Order affirmed, without costs.

[990 NE2d 114, 967 NYS2d 876]

COMMONWEALTH OF THE NORTHERN MARIANA ISLANDS, Appellant, v CANADIAN IMPERIAL BANK OF COMMERCE, Respondent, WILLIAM H. MILLARD, Defendant, THE MILLARD FOUNDATION, Intervenor.

Argued March 18, 2013; decided April 30, 2013

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. May a court issue a turnover order pursuant to N.Y. C.P.L.R. § 5225(b) to an entity that does not have actual possession or custody of a debtor’s assets, but whose subsidiary might have possession or custody of such assets? 2. If the answer to the above question is in the affirmative, what factual considerations should a court take into account in determining whether the issuance of such an order is permissible?”

HEADNOTES

Creditors’ Suits — Turnover Order — Banking Entity Must Have Actual Possession or Custody of Assets Sought

1. For a court to issue a postjudgment turnover order pursuant to CPLR 5225 (b) against a banking entity, that entity itself must have actual, not merely constructive, possession or custody of the assets sought. It is not enough that the banking entity’s subsidiary might have possession or custody of a judgment debtor’s assets. A special proceeding for a turnover order is the procedural mechanism devised by the legislature to enforce a judgment against an asset of a judgment debtor, held in the “possession or custody” of a third party (CPLR 5225 [b]). The plain language of section 5225 (b) refers only to “possession or custody,” excluding any reference to “control,” whereas the predecessor statute referred to “possession” and “control” and made no mention of custody. The exclusion of the word “control” signaled a purposeful legislative modification of the applicable scope of turnover statutes. When the legislature has sought to encompass the concept of “control” it has done so explicitly, evincing a legislative intent to exclude consideration of “control” from those sections from which it is omitted. Consequently, because “possession, custody or control” has been construed to encompass constructive possession, then, by contrast, legislative use of the phrase “possession or custody” contemplates actual possession.

Creditors’ Suits — Turnover Order — Banking Entity Must Have Actual Possession or Custody of Assets Sought

2. For a court to issue a postjudgment turnover order pursuant to CPLR 5225 (b) against a banking entity, that entity itself must have actual, not

merely constructive, possession or custody of the assets sought. *Koehler v Bank of Bermuda Ltd.* (12 NY3d 533 [2009]), which addressed whether, under CPLR article 52, a New York court could order a bank over which it had personal jurisdiction to deliver out-of-state stock certificates to a judgment creditor, does not require a different reading of CPLR 5225 (b). *Koehler* does not interpret the meaning of the phrase “possession or custody,” and is only significant in holding that personal jurisdiction is the linchpin of authority under CPLR 5225 (b). It should not be so broadly construed as to require that a garnishee be compelled to direct another entity, which is not subject to this state’s personal jurisdiction, to deliver assets held in a foreign jurisdiction.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Executions and Enforcement of Judgments
§§ 564, 584, 636, 637.

CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:362–
64:366, 64:368, 64:369, 64:371, 64:372.

McKINNEY’S, CPLR 5225 (b).

NY JUR 2d, Creditors’ Rights and Remedies §§ 425, 445;
NY JUR 2d, Enforcement and Execution of Judgments
§§ 100, 264–266, 270, 271.

SIEGEL, NY PRAC §§ 510, 515.

ANNOTATION REFERENCE

See ALR Index under Attachment or Garnishment; Banks
and Banking.

FIND SIMILAR CASES ON WESTLAW®

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bank

POINTS OF COUNSEL

Kobre & Kim LLP, New York City (*Michael S. Kim* and *Melanie L. Oxhorn* of counsel), for appellant. I. CPLR 5225 (b)’s postjudgment enforcement remedy may be applied under circumstances where assets are held by a garnishee’s subsidiary but the garnishee is determined to have the actual, practical ability to direct or control their disposition. (*Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533; *Merkling v Ford Motor Co.*, 251 App Div 89; *United States v First Nat. City Bank*, 379 US 378; *Allied Mar., Inc. v Descatrade SA*, 620 F3d 70; *JW Oilfield Equip., LLC v Commerzbank, AG*, 764 F Supp 2d 587.) II. A court considering whether to issue a turnover order to a garnishee whose subsidiary has actual possession or custody of

assets should determine whether the garnishee has the actual, practical ability to control the subsidiary's disposition of them. (*Bellomo v Pennsylvania Life Co.*, 488 F Supp 744; *Frummer v Hilton Hotels Intl.*, 19 NY2d 533; *In re Citric Acid Litig.*, 191 F3d 1090; *First Natl. City Bank of N.Y. v Internal Revenue Serv. of U.S. Treasury Dept.*, 271 F2d 616; *Koehler v Bank of Bermuda Ltd.*, 12 NY3d 533.)

Skadden, Arps, Slate, Meagher & Flom LLP, New York City (Scott D. Musoff, Timothy G. Nelson and Gregory A. Litt of counsel), for respondent. I. A bank that holds no property or accounts of the relevant debtor should not be compelled to turn over money or assets deposited at its foreign subsidiary banks. (*Sundail Constr. Co. v Liberty Bank*, 277 NY 137; *In re Delaney*, 256 NY 315; *Greenberg, Trager & Herbst, LLP v HSBC Bank USA*, 17 NY3d 565; *Brigham v McCabe*, 20 NY2d 525; *Solicitor for Affairs of His Majesty's Treasury v Bankers Trust Co.*, 304 NY 282; *Cruz v TD Bank, N.A.*, 855 F Supp 2d 157; *Grain Traders, Inc. v Citibank, N.A.*, 960 F Supp 784; *Bradford v Chase Natl. Bank of City of N.Y.*, 24 F Supp 28; *Middle E. Banking Co. v State St. Bank Intl.*, 821 F2d 897; *Geler v National Westminster Bank USA*, 770 F Supp 210.) II. The turnover statutes could validly be applied to corporate affiliates only if veil-piercing were established. (*Moreau v RPM, Inc.*, 20 AD3d 456; *Insurance Co. of N. Am. v EMCOR Group, Inc.*, 9 AD3d 319; *Frummer v Hilton Hotels Intl.*, 19 NY2d 533; *Bellomo v Pennsylvania Life Co.*, 488 F Supp 744; *Comprehensive Sports Planning v Pleasant Val. Country Club*, 73 Misc 2d 477; *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310; *Tri City Roofers v Northeastern Indus. Park*, 61 NY2d 779; *Western Union Telegraph Co. v Pennsylvania*, 368 US 71; *JPMorgan Chase Bank, N.A. v Motorola, Inc.*, 47 AD3d 293; *Harris v Balk*, 198 US 215.)

OPINION OF THE COURT

RIVERA, J.

Two questions certified to us by the United States Court of Appeals for the Second Circuit raise issues as to whether a judgment creditor can obtain a CPLR article 52 turnover order against a bank to garnish assets held by the bank's foreign subsidiary. We hold that for a court to issue a postjudgment turnover order pursuant to CPLR 5225 (b) against a banking entity, that entity itself must have actual, not merely constructive, possession or custody of the assets sought. That is, it is not enough

that the banking entity's subsidiary might have possession or custody of a judgment debtor's assets.

In 1994, plaintiff, the Commonwealth of the Northern Mariana Islands (the Commonwealth), obtained two separate tax judgments in the United States District Court for the Northern Mariana Islands against William and Patricia Millard (the Millards) for unpaid taxes in the respective amounts of \$18,317,980.80 and \$18,318,113.41. The Millards, who had previously resided in the Commonwealth since 1987, relocated before the Commonwealth was able to obtain the judgments.¹

In March and April 2011, the Commonwealth registered the tax judgments in the United States District Court for the Southern District of New York² and commenced proceedings as a judgment creditor, pursuant to Federal Rules of Civil Procedure rule 69 (a) (1) and CPLR 5225 (b), seeking a turnover order against garnishees holding assets of the Millards. As relevant here, the Commonwealth named Canadian Imperial Bank of Commerce (CIBC), a Canadian bank headquartered in Toronto, with a branch in New York, as a garnishee under the theory that the Millards maintained accounts in subsidiaries of CIBC, namely, CIBC FirstCaribbean International Bank Limited (CFIB) or CFIB's affiliates in the Cayman Islands. According to the Commonwealth, CFIB is a 92% owned-and-controlled direct subsidiary of CIBC.

The Commonwealth moved, by order to show cause, for a turnover order against CIBC and a preliminary injunction, on the ground that "CIBC has the control, power, authority and practical ability to order [CFIB] to turn over funds on deposit in the name of the Millards." In support, the Commonwealth referred to the 92% ownership of CFIB, and other indicia of control, asserting that CIBC imposed a governance structure upon CFIB that "affords the parent company full oversight of the risk and control framework of all [of CFIB's] operations." The Commonwealth further argued that the overlap in significant personnel, and CIBC's oversight of CFIB's compliance with various legal requirements, such as the Sarbanes-Oxley Act, demonstrated CIBC's ability to exert actual, practical control over CFIB's operations. In opposition, CIBC contended that CFIB is a "legally separate and independent entit[y]" and that,

1. In 2010, the Commonwealth learned that the Millards had renounced their United States citizenship and resided in the Cayman Islands.

2. The Commonwealth also registered the judgments in the United States District Court for the Southern District of Florida.

absent an information sharing agreement, “CIBC is unable to access accounts or account information held by [CFIB] or its subsidiaries.”

The District Court denied the motion and maintained a previously issued restraining order that precluded CIBC from engaging in certain activity related to the Millards’ accounts. While the District Court found the Commonwealth’s “practical ability to control” argument colorable, it observed that the scope of the phrase “possession or custody,” contained in CPLR 5225 (b), was an issue suited for this Court’s consideration.

Upon appeal, the Second Circuit determined that for the reasons set forth in the District Court’s opinion, the resolution of the case turned on unresolved issues of New York law, and certified the following questions to this Court:

“1. May a court issue a turnover order pursuant to N.Y. C.P.L.R. § 5225(b) to an entity that does not have actual possession or custody of a debtor’s assets, but whose subsidiary might have possession or custody of such assets?

“2. If the answer to the above question is in the affirmative, what factual considerations should a court take into account in determining whether the issuance of such an order is permissible?” (693 F3d 274, 275 [2d Cir 2012]).

We accepted the certified questions and now answer the first in the negative, and as a consequence refrain from answering the second as academic.³

Under CPLR article 52, a special proceeding for a turnover order is the procedural mechanism devised by the legislature to enforce a judgment against an asset of a judgment debtor, held in the “possession or custody” of a third party. Section 5225 (b) provides, in pertinent part:

“Upon a special proceeding commenced by the judgment creditor, *against a person in possession or custody of money or other personal property in which the judgment debtor has an interest*, or against a

3. On appeal CIBC contends that the Commonwealth incorrectly moved pursuant to CPLR 5225 (b) rather than CPLR 5227, arguing that the latter is the applicable section to turnover orders involving bank deposits as the “debt” owed by the bank to the customer. We have no cause to address the applicability of section 5227, and limit our analysis to the issues concerning CPLR 5225 (b) presented by the Second Circuit’s certification to this Court.

person who is a transferee of money or other personal property from the judgment debtor, where it is shown that the judgment debtor is entitled to the possession of such property or that the judgment creditor's rights to the property are superior to those of the transferee, the court shall require such person to pay the money, or so much of it as is sufficient to satisfy the judgment, to the judgment creditor and, if the amount to be so paid is insufficient to satisfy the judgment, to deliver any other personal property, or so much of it as is of sufficient value to satisfy the judgment, to a designated sheriff."

[1] The Commonwealth contends that the phrase "possession or custody" inherently encompasses the concept of control, and, therefore, section 5225 (b) is applicable to garnishees with constructive possession of a judgment debtor's assets. As such, the Commonwealth proposes that an actual, practical control test—i.e., whether the bank could practically order its subsidiary to turn over the assets of the judgment debtor—should be adopted by this Court as the appropriate standard. We find the Commonwealth's interpretation of section 5225 (b) unpersuasive for the reasons that follow.

In determining the expanse of section 5225 (b) our "starting point" is "the language itself, giving effect to the plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). "[W]here the statutory language is clear and unambiguous, the court should construe it so as to give effect to the plain meaning of the words used" (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976], citing *Bender v Jamaica Hosp.*, 40 NY2d 560 [1976]). Moreover, "[i]t is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature" (*Majewski*, 91 NY2d at 583, citing *Patrolmen's Benevolent Assn.*, 41 NY2d at 208).

The plain language of section 5225 (b) refers only to "possession or custody," excluding any reference to "control." The absence of this word is meaningful and intentional as we have previously observed that the failure of the legislature to include a term in a statute is a significant indication that its exclusion was intended (see *People v Finnegan*, 85 NY2d 53, 58 [1995]) ["We have firmly held that the failure of the Legislature to include a substantive, significant prescription in a statute is a

strong indication that its exclusion was intended”]; *Pajak v Pajak*, 56 NY2d 394, 397 [1982] [“The failure of the Legislature to provide that mental illness is a valid defense in an action for divorce based upon the ground of cruel and inhuman treatment must be viewed as a matter of legislative design. Any other construction of the statute would amount to judicial legislation”]; see also McKinney’s Cons Laws of NY, Book 1, Statutes § 74). Accordingly, we interpret the omission of “control” from section 5225 (b) as an indication that “possession or custody” requires actual possession.

The language of the predecessor statute to section 5225 (b) and the legislation enacting the CPLR lend additional support to the view that “possession or custody” does not include constructive possession. Prior to the 1962 legislation enacting the CPLR, the relevant turnover statutes referred to “possession” and “control” and made no mention of custody (see Civil Practice Act §§ 793, 796). Civil Practice Act § 796, the predecessor statute to section 5225 (b), provided in relevant part that

“[w]here it appears from the examination or testimony taken in a special proceeding authorized by this article that the judgment debtor has in his possession or under his control money or other personal property belonging to him, or that money or one or more articles of personal property capable of delivery, his right to the possession whereof is not substantially disputed, are in the possession or under the control of another person, the court in its discretion and upon such a notice given to such persons as it deems just, or without notice, may make an order directing the judgment debtor or other person immediately to pay the money or deliver the articles of personal property to a sheriff designated in the order.”

Section 5225 (b) and other related provisions were enacted to include the “possession or custody” language, thus making a clear distinction between the prior references to “possession” and “control.” It is a well settled tenet of statutory construction that “[t]he Legislature, by enacting an amendment of a statute changing the language thereof, is deemed to have intended a material change in the law” (McKinney’s Cons Laws of NY, Book 1, Statutes § 193). The exclusion of the word “control” signaled a purposeful legislative modification of the

applicable scope of turnover statutes. The Commonwealth would have us construe section 5225 (b) to include that term, but “[a] court cannot by implication supply in a statute a provision which it is reasonable to suppose the Legislature intended intentionally to omit” because “the failure of the Legislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended” (McKinney’s Cons Laws of NY, Book 1, Statutes § 74). In other words, we cannot read into the statute that which was specifically omitted by the legislature.

The Commonwealth argues that the legislature simply substituted “custody” as the functional equivalent of “control.” However, we read the statute both based on its plain meaning and in context, and it is clear that the legislature did not pen one word anticipating that another would be “read into” the CPLR. When the legislature has sought to encompass the concept of “control” it has done so explicitly, evincing a legislative intent to exclude consideration of “control” from those sections from which it is omitted. For example, CPLR 3111, which concerns the production of discovery materials, provides that “books, papers and other things in the possession, custody or control of the person to be examined” should be produced. CPLR 3119 (a) (4) (ii) similarly provides that a subpoena may be used to order a person to produce discovery “in the possession, custody or control of the person” (*see also* CPLR 2701, 3120, 3122-a, 5224). We are led to the conclusion that the legislature considered “control” and “custody” to refer to distinct concepts (*see People v Elmer*, 19 NY3d 501, 507 [2012] [observing that the legislature is presumed to know the distinction between terms used in legislation]; *Easley v New York State Thruway Auth.*, 1 NY2d 374, 379 [1956] [“Legislatures are presumed to know what statutes are on the books and what is intended by constitutional amendments approved by the Legislature itself”]; McKinney’s Cons Laws of NY, Book 1, Statutes § 222).

As these sections of the CPLR indicate, in a documentary discovery context, with expansive rules of disclosure, it is reasonable to conclude that the legislature would employ a broader “possession, custody or control” standard. Indeed, various courts have interpreted “possession, custody or control” to allow for discovery from parties that had practical ability to request from, or influence, another party with the desired discovery documents. As such, courts have interpreted “possession, custody or control” to mean constructive possession (*see*

Bank of New York v Meridien BIAO Bank Tanzania Ltd., 171 FRD 135, 146 [SD NY 1997] [“ ‘(C)ontrol’ does not require that the party have legal ownership or actual physical possession of the documents at issue; rather, documents are considered to be under a party’s control when that party has the right, authority, or practical ability to obtain the documents from a non-party to the action”]; *see also In re NASDAQ Market-Makers Antitrust Litig.*, 169 FRD 493, 530 [SD NY 1996]).

Consequently, because “possession, custody or control” has been construed to encompass constructive possession, then, by contrast, legislative use of the phrase “possession or custody” contemplates actual possession. Notably, sections of the CPLR pertaining to the disposition of property utilize the narrower “possession or custody” standard. For example, CPLR 1320, which concerns the attachment or levy of personal property, is limited to property “in the defendant’s possession or custody.” CPLR 6214 and 6215 similarly limit the levy of personal property to items within the “possession or custody” of the defendant (*see also* CPLR 1321, 1325, 2701, 5222, 5225, 5232, 5250, 6219). This distinction supports the view that the legislature has applied a higher standard to insure the proper disposition of property (*see* CPLR 5209; *JPMorgan Chase Bank, N.A. v Motorola, Inc.*, 47 AD3d 293 [1st Dept 2007]).

The Commonwealth argues that this distinction is of no moment, speculating that the legislature blindly duplicated the standards of the Federal Rules of Evidence when enacting the CPLR. However, “[w]hen different terms are used in various parts of a statute or rule, it is reasonable to assume that a distinction between them is intended” (*Matter of Albano v Kirby*, 36 NY2d 526, 530 [1975]). Consequently, the distinction cannot be simply disregarded, and this Court is required to construe the entire CPLR in a manner that harmonizes these variations (*see* McKinney’s Cons Laws of NY, Book 1, Statutes §§ 97, 98). In light of these differences, the most reasonable way to interpret these provisions is to conclude that “possession, custody or control” contemplates constructive possession, whereas “possession or custody,” by its omission of the term “control,” refers to actual possession. Accordingly, a section 5225 (b) turnover order cannot be issued against a garnishee lacking actual possession or custody of a judgment debtor’s assets or property.

[2] Finally, our decision in *Koehler v Bank of Bermuda Ltd.* (12 NY3d 533 [2009]) does not require a different reading of

section 5225 (b). In that case, we addressed whether, under CPLR article 52, a New York court could order a bank over which it had personal jurisdiction to deliver out-of-state stock certificates to a judgment creditor. The Court noted that unlike prejudgment attachment, which requires jurisdiction over property, “postjudgment enforcement requires only jurisdiction over persons” (12 NY3d at 537). As such, “CPLR 5225 (b) applies when the property is not in the judgment debtor’s possession” and “contemplate[s] an order, directed at a defendant who is amenable to the personal jurisdiction of the court, requiring him to pay money or deliver property” (*id.* at 541). Accordingly, “a New York court with personal jurisdiction over a defendant may order him [or her] to turn over out-of-state property regardless of whether the defendant is a judgment debtor or a garnishee” (*id.*).

Notably, *Koehler* does not interpret the meaning of the phrase “possession or custody,” and is only significant in holding that personal jurisdiction is the linchpin of authority under section 5225 (b) (*see also Hotel 71 Mezz Lender LLC v Falor*, 14 NY3d 303, 312 [2010]). Indeed, many cases have held that a turnover order is given effect through a court’s exercise of personal jurisdiction over a party. Thus, in *Starbare II Partners v Sloan* (216 AD2d 238 [1st Dept 1995]), albeit a section 5225 (a) case, the New York court had the authority to order a judgment debtor to turn over paintings he owned, but stored in New Jersey. In *Miller v Doniger* (28 AD3d 405 [1st Dept 2006]), the judgment debtor, who was in New York, was directed to turn over his out-of-state Wachovia bank accounts to the judgment creditor. Similarly, in *Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.* (41 AD3d 25 [1st Dept 2007]), the Appellate Division observed that “a turnover order merely directs a defendant, over whom the New York court has jurisdiction, to bring its own property into New York” (41 AD3d at 31). Thus, “[h]aving acquired jurisdiction of the person, the court [] can compel observance of its decrees by proceedings *in personam* against the owner within the jurisdiction” (*Koehler*, 12 NY3d at 539). However, in these cases, the garnishee was directed to deliver assets already within its possession. No case supports the Commonwealth’s attempt to broadly construe *Koehler* and require that a garnishee be compelled to direct another entity, which is not subject to this state’s personal jurisdiction, to deliver assets held in a foreign jurisdiction. Such an expansion is inconsistent with the plain language and scope of section 5225 (b).

Accordingly, certified question No. 1 should be answered in the negative and certified question No. 2 not answered as academic.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and FIGOTT concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question No. 1 answered in the negative and certified question No. 2 not answered as academic.

[990 NE2d 121, 967 NYS2d 883]

VERIZON NEW ENGLAND, INC., Appellant, v TRANSCOM ENHANCED SERVICES, INC., Respondent.

Argued March 20, 2013; decided May 2, 2013

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 28, 2012. The Appellate Division, with two Justices dissenting, affirmed so much of a judgment of the Supreme Court, New York County (Anil C. Singh, J.; *see* 27 Misc 3d 1236[A], 2010 NY Slip Op 51073[U] [2010]), entered in a proceeding pursuant to CPLR article 52, as had dismissed the petition with prejudice.

Verizon New England Inc. v Transcom Enhanced Servs., Inc., 98 AD3d 203, affirmed.

HEADNOTE

Judgments — Enforcement — Restraining Notice — Debt or Property Subject to Enforcement — At-Will Prepayment Service Agreement

A restraining notice served by petitioner judgment creditor on respondent corporation was unenforceable with regard to a prepayment service agreement between respondent and the judgment debtor under which the judgment debtor sent monthly invoices for proposed services to be rendered the following month and respondent, after determining each week whether to accept the services, paid in advance or contemporaneously with the service. A party seeking to enforce a judgment may seek to restrain or prohibit the transfer of a judgment debtor's property in the hands of a third party. A restraining notice served on a third party "is effective only if, at the time of service, he or she owes a debt to the judgment debtor or obligor or . . . is in the possession or custody of property in which he or she knows or has reason to believe the judgment debtor or obligor has an interest." (CPLR 5222 [b].) A money judgment may be enforced against a debt that is past due or which is yet to become due or any property which could be assigned or transferred, whether it constitutes a present or future right or interest and whether or not it is vested (CPLR 5201 [a], [b]). Inasmuch as respondent prepaid for its service, there was no debt past due or yet to become due. Further, the agreement here could not be deemed an attachable or assignable property interest. The parties had no continuing obligation to each other given that either party could terminate the agreement at will, at any time and without prior notice or penalty. Although respondent had continued its relationship with the judgment debtor and had never terminated the agreement, the expectation of any continued or future business was too contingent in nature and speculative to create a present or future property interest.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Executions and Enforcement of Judgments
§§ 559, 575, 624, 626.

CARMODY-WAIT 2d, Judgments § 63:417; CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:13, 64:15, 64:16, 64:330, 64:334, 64:339, 64:387.

McKINNEY'S, CPLR 5201 (a), (b); 5222 (b).

NY JUR 2d, Creditors' Rights and Remedies §§ 97, 117; NY JUR 2d, Enforcement and Execution of Judgments §§ 85, 209, 219, 220.

SIEGEL, NY PRAC §§ 323, 485, 486, 508.

ANNOTATION REFERENCE

See ALR Index under Attachment or Garnishment; Debtors and Creditors.

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POINTS OF COUNSEL

Gibson, Dunn & Crutcher LLP, New York City (*Robert L. Weigel, Jason W. Myatt and Anne M. Coyle* of counsel), for appellant. I. Global NAPs, Inc.'s rights in its undisputed contract with Transcom Enhanced Services, Inc. are property of the judgment debtor in Transcom's possession. (*ABKCO Indus. v Apple Films*, 39 NY2d 670; *Matter of Supreme Mdse. Co. v Chemical Bank*, 70 NY2d 344.) II. The majority opinion of the Appellate Division is contrary to the public policy embodied in CPLR 5222. (*ABKCO Indus. v Apple Films*, 39 NY2d 670; *Matter of Supreme Mdse. Co. v Chemical Bank*, 70 NY2d 344.) III. Respondent's violation of the restraining notice entitles Verizon New England, Inc. to damages. (*Ray v Jama Prods.*, 74 AD2d 845; *Conde v Anton Adj. Co.*, 133 Misc 2d 998; *Syndicate Bldg. Corp. v City Univ. of N.Y.*, 159 Misc 2d 898; *Mazzuka v Bank of N. Am.*, 53 Misc 2d 1053; *Aspen Indus. v Marine Midland Bank*, 52 NY2d 575.)

Arent Fox LLP, New York City (*Hunter T. Carter and Matthew S. Trokenheim* of counsel), for respondent. I. The Supreme Court correctly denied turnover, dismissed the petition with prejudice, vacated any and all restraints, and denied Verizon New England, Inc.'s application to hold Transcom Enhanced Services, Inc. in contempt. (*ABKCO Indus. v Apple Films*, 39 NY2d 670; *Clarkson Co. Ltd. v Shaheen*, 533 F Supp 905; *Matter of Supreme Mdse. Co. v Chemical Bank*, 70 NY2d 344; *Gala Enters., Inc. v Hewlett Packard Co.*, 970 F Supp 212; *State Bank*

v Central Mercantile Bank, 248 NY 428; *Macklowe v 42nd St. Dev. Corp.*, 170 AD2d 388; *Verizon New England Inc. v IDT Dom. Telecom, Inc.*, 98 AD3d 838; *Conde v Anton Adj. Co.*, 133 Misc 2d 998; *Zemo Leasing Corp. v Bank of N.Y.*, 158 Misc 2d 991.) II. Public policy concerns do not favor imposing a restraint even though the garnishee has no obligation to the judgment debtor. (*ABKCO Indus. v Apple Films*, 39 NY2d 670.) III. Verizon New England, Inc. suffered no damages as a result of Transcom Enhanced Services, Inc. purchasing services from Global NAPS, Inc. IV. The appeal must be dismissed because Verizon New England, Inc. failed to settle the transcript of the proceeding. (*Matter of Baiko v Baiko*, 141 AD2d 635; *Matter of Zullo v Hom*, 22 AD3d 675; *Matter of Robinson v Fisher*, 275 AD2d 326; *Perry v Tauro*, 21 AD2d 804.)

OPINION OF THE COURT

RIVERA, J.

In this appeal, we consider whether an at-will, prepayment service agreement, which lacks any obligation to continue services or a commitment to engage in future dealings, constitutes a property interest or debt subject to a CPLR 5222 (b) restraining notice. We conclude, based on the nature of the agreement, that the restraining notice is unenforceable and, therefore, affirm the Appellate Division order.

This case arises from efforts by Verizon New England, Inc. (Verizon) to collect a \$57,716,714 judgment awarded in January 2009 by the United States District Court for the District of Massachusetts against, inter alia, Global NAPs, Inc. (GNAPs) (*see Global NAPs, Inc. v Verizon New England Inc.*, 603 F3d 71 [1st Cir 2010], *cert denied* 562 US —, 131 S Ct 1044 [2011]). On March 6, 2009, Verizon domesticated the judgment.

In its attempt to enforce the judgment, on April 2, 2009, Verizon served a restraining notice and information subpoena on GNAPs and companies with which it did business, one of which was Transcom Enhanced Services, Inc. (Transcom). The restraining notice directed Transcom not “to make or suffer any sale, assignment or transfer of, or interference with, any property in your possession in which [GNAPs] . . . has an interest.” Verizon further directed Transcom to “[i]dentify any and all transactions, contracts, or agreements entered into” with GNAPs, and “identify the parties to the transaction; the date of the transaction; the amount of the transaction . . . and the

goods and services that are the subject of the transaction.” Verizon also requested that Transcom “[i]dentify all receivables . . . or any other outstanding obligation owed by you” to GNAPs.

In February 2010, Transcom responded to the questions of the information subpoena. It identified a telephone switch service agreement dated October 21, 2003, that it had entered into with GNAPs. The agreement required a monthly recurring payment of \$28,000 per circuit for eight circuits, plus an additional \$57,000 per month for additional charges for local origination and termination services. As to “any receivables and outstanding obligations owed” to GNAPs, Transcom responded: “None. All payments are made in advance or contemporaneously with service.” Additionally, Transcom annexed a Vendor Balance Detail (VBD), which listed payments made to GNAPs. The VBD reflected that on the day prior to receiving the restraining notice, Transcom received a \$246,000 bill from GNAPs, which was paid by four checks issued April 1, 6, 15 and 21, each in the amount of \$61,500. The VBD included the bills and payments through November 2009.

In March 2010, Verizon commenced this special proceeding seeking, *inter alia*, a turnover of property and debts of the judgment debtor held by Transcom, a judgment equal to the amount paid by Transcom to the judgment debtors in violation of the restraining notice, which amounted to \$2,454,250, and a finding of civil contempt. Verizon based its claim upon the 2003 agreement between Transcom and GNAPs, which Verizon alleged created an ongoing contractual relationship requiring Transcom to pay GNAPs \$281,000 per month. Transcom asserted that it did not violate the restraining notice because the GNAPs invoices predated services, and Transcom was under no obligation to accept those services. Thus, it did not owe any debt to GNAPs, and it did not hold property in which GNAPs had any interest.

During the proceedings, Transcom presented testimony that it had a week to week arrangement with GNAPs that allowed Transcom to decide weekly whether to engage GNAPs for services. Various Transcom witnesses testified that GNAPs sent monthly invoices for proposed services to be rendered the following month, and Transcom prepaid for services each week, rather than paying monthly for services rendered by GNAPs as provided by the 2003 contract.

Supreme Court, *inter alia*, denied turnover and dismissed the petition with prejudice (27 Misc 3d 1236[A], 2010 NY Slip Op

51073[U] [2010]). The court credited the testimony given by Transcom's executive officers and concluded "that there is no property or debt in the instant matter subject to a restraining order, levy or turnover pursuant to Article 52 of the CPLR" (2010 NY Slip Op 51073[U], *4). Verizon appealed.

In a 3-2 decision, the Appellate Division affirmed the judgment (98 AD3d 203 [1st Dept 2012]). The majority recognized "that a restraining notice is effective only if, at the time of service, the third party on whom the notice is served owes a debt to, or is in possession of property of, the judgment debtor" (*id.* at 204). However, the majority went on to observe that Transcom "owed no debt, but rather held a credit balance with GNAP[s] [and] the undisputed modified agreement between [the parties] dispensed with any contractual obligations or 'bundle of rights' that could be considered attachable property" (*id.* at 207). The two-Justice dissent concluded that GNAPs "had a 'future interest' in payments from Transcom that constituted property . . . which was subject to restraint" (*id.* at 217). Verizon appeals to this Court pursuant to CPLR 5601 (a).

A party seeking to enforce a judgment may seek to restrain or prohibit the transfer of a judgment debtor's property in the hands of a third party pursuant to CPLR 5222 (b). Section 5222 (b) states in relevant part,

"A restraining notice served upon a person other than the judgment debtor or obligor is effective only if, *at the time of service, he or she owes a debt to the judgment debtor or obligor or he or she is in the possession or custody of property in which he or she knows or has reason to believe the judgment debtor or obligor has an interest . . . or that the judgment debtor or obligor has an interest in specified property in the possession or custody of the person served*" (emphasis added).

All such property or debt which thereafter comes into the possession or custody of such person is subject to the restraining notice (*see id.*). Section 5201 (a) and (b) provide that "[a] money judgment may be enforced against any debt, which is past due or which is yet to become due," or "any property which could be assigned or transferred, whether it consists of a present or future right or interest and whether or not it is vested."

The Appellate Division here affirmed the Supreme Court's findings of fact, which are supported by the record (*see* Arthur Karger, Powers of the New York Court of Appeals § 13:10 at 489

[3d ed rev 2005] [facts affirmed by the Appellate Division with evidentiary support are “conclusive and binding on the Court”]). The affirmed findings established that Transcom prepaid for its service, and as such, there was no debt past due or yet to become due under the definition of CPLR 5201 (a). The only remaining issue is whether Transcom’s oral agreement with GNAPs is an attachable property interest subject to restraint.

In *ABKCO Indus. v Apple Films* (39 NY2d 670 [1976]), we recognized that a contractual agreement could constitute contingent property interests attachable and assignable, and thus subject to CPLR 5201 (b) and article 62 of the CPLR. In that case, this Court held a licensing agreement entered into between a foreign debtor and a third party was an attachable interest because the licensing agreement, whereby the third party agreed to pay the debtor 80% of the net profits received from the promotion of a film, was deemed property (*see id.*). Verizon argues that the prepayment service agreement between Transcom and GNAPs fits squarely within our analysis in *ABKCO*, and created the type of property interests amenable to a restraining notice in accordance with CPLR 5201 (b) and consequently CPLR 5222.

We disagree. The agreement in this case is wholly distinguishable from the agreement in *ABKCO* and, thus, cannot be deemed an attachable or assignable property interest. In *ABKCO* the agreement set forth an obligation to pay the debtor, which constituted the “principal feature of economic significance” of the agreement (*id.* at 674). Here, when Transcom received the restraining notice it had an oral agreement that *if* Transcom paid GNAPs, GNAPs would provide one week’s worth of services. This agreement was terminable at will, at any time, without prior notice, meaning that Transcom had no obligation after receiving one week’s worth of services to engage GNAPs for another week’s worth of services. Moreover, not only could Transcom unilaterally eliminate any possibility of future revenue from the contract, but so could GNAPs. In sum, the parties had no continuing contractual obligation to each other. Thus, each week, Transcom had no obligation to pay GNAPs. Accordingly, there was no debt, and no obligation “certain to become due” (*id.* at 675, citing *Glassman v Hyder*, 23 NY2d 354, 359 [1968]).

Thus, because Transcom prepaid for services to be provided by GNAPs on a week-to-week basis, without any commitment

or promise for additional services, or any assurance of a continued purchase of services, Transcom neither owed any debt to, nor possessed any property of, GNAPs that could be subject to a restraining notice. Similarly, because Transcom's payments to GNAPs constitute neither a debt nor a present or future property interest, CPLR 5201 (a) and (b) are not applicable.

Verizon makes much of the fact that Transcom has continued its relationship and has never terminated the agreement. In essence, Verizon argues that the agreement is automatic and Transcom and GNAPs expect continuation. The Appellate Division dissent also maintained that Transcom and GNAPs had "a highly regular and predictable business relationship" where it was reasonably certain that GNAPs would "continue to generate revenues" (98 AD3d 203, 216 [1st Dept 2012]). However, any arguments based on a characterization of the facts are unavailable to us given the Appellate Division's affirmance of the findings of fact. Moreover, the expectation of any continued or future business is too contingent in nature and speculative to create a present or future property interest. Although property is often described as a "bundle of rights," or "sticks," with relational aspects (*see generally* J.E. Penner, *The "Bundle of Rights" Picture of Property*, 43 UCLA L Rev 711, 712-713 [Feb. 1996]), here, the payment before the receipt of service and the ability to terminate the relationship at any time without penalty, cannot support a finding that a transferrable property right existed (*see generally Matter of Supreme Mdse. Co. v Chemical Bank*, 70 NY2d 344 [1987] [where the Court held an executory negotiable letter of credit is not property for purposes of attachment by a party in an unrelated litigation]). Moreover, the voluntary payments in this case are distinguishable from *ABKCO* where the potential for future obligatory payments provided some real basis for a property interest. Therefore, unlike *ABKCO*, there is no restrainable interest akin to the "collection of individual rights which, in certain combinations, constitute property" (*United States v Craft*, 535 US 274, 278 [2002]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and FIGOTT concur.

Order affirmed, with costs.

[989 NE2d 26, 966 NYS2d 764]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MIGUEL MEJIAS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTONIO RODRIGUEZ, Appellant.

Argued March 19, 2013; decided May 7, 2013

SUMMARY

APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 7, 2010. The Appellate Division affirmed the judgments of the Supreme Court, New York County (Bonnie G. Wittner, J.), which had convicted defendants, upon a jury verdict, of criminal possession of a controlled substance in the first degree and conspiracy in the second degree.

People v Mejias, 86 AD3d 429, affirmed.

People v Rodriguez, 86 AD3d 429, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Alleged Juror Misconduct

1. In an appeal arising out of a drug prosecution in which appellants asserted that the trial court erred in failing to conduct an individual, in camera inquiry of a sworn juror who, before the jury was charged, had written a note to the court stating that “We want to know how/when and under what pretext” two codefendants had met, appellants’ argument that the phrase “under what pretext” implied that at least two of the jurors had accepted the prosecution’s theory that the benign lexicon of the participants in the drug trafficking was a mere pretext for discussions of illegal conduct was unpreserved for appellate review. Defense counsel never argued at trial that the complained of phrase had the sweeping implication that defendants claimed on appeal.

Crimes — Jurors — Discharge of Juror — In Camera Inquiry of Juror Suspected of Misconduct Not Required Where Juror Not Grossly Unqualified to Serve — Juror Possibly Engaged in Premature Deliberations

2. In a criminal prosecution, the trial court did not err in failing to conduct an individual, in camera inquiry of a sworn juror who, before the jury was charged, had written a note to the court stating that “We want to know how/when” two codefendants had met. A trial court must first question a sworn juror individually in camera in the presence of the attorneys and defendant and conduct a probing and tactful inquiry in order to determine whether the juror will be able to deliberate fairly and render an impartial verdict before it dismisses the juror as “grossly unqualified” under CPL 270.35. There was no

indication that the note-writing juror's impartiality was in doubt or that the juror had committed any misconduct. The note's contents were indicative either that there had been premature deliberations and/or the jury was requesting additional evidence after the evidence had closed. The court did what was warranted to address the first possibility by issuing an additional instruction to the jurors reminding them that they were not to deliberate prior to being charged. In addressing the second possibility, the court correctly apprised the jury that it was not permitted to ask questions before it had been charged. Absent some indication that the note-writing juror had engaged in some disqualifying conduct, the fact that one or more jurors may have engaged in premature deliberations or requested additional evidence was not sufficient to trigger an inquiry. Nor did the court abuse its discretion by asking the jury panel as a whole whether its members had engaged in premature deliberations and in issuing an unambiguous instruction that they were not to do so.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Trial §§ 1340, 1342, 1381, 1392-1397, 1455, 1456, 1464.

CARMODY-WAIT 2d, Jury Selection and Supervision §§ 191:87-191:92; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:169.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.9, 27.5.

McKINNEY'S, CPL 270.35 (1).

NY JUR 2d, Criminal Law: Procedure §§ 2806, 2822, 2823, 2827, 2829, 3454-3456, 3465, 3637.

SIEGEL, NY PRAC § 530.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Jury Trials.

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Query: juror /s note & dismiss! /p "in camera"

POINTS OF COUNSEL

John R. Lewis, Sleepy Hollow, for appellant in the first above-entitled action. I. The court committed reversible error when it refused to question juror No. 10 individually (for possible disqualification), after the juror sent a note to the court, prior to closing arguments and the court's jury charge, indicating that (1) she had already begun discussing the evidence with other jurors, and (2) she had already come to conclusions agreeing with the prosecution that defendants routinely used deceptive language as part of their modus operandi. (*People v Buford*,

69 NY2d 290; *People v McClenton*, 213 AD2d 1; *People v Ordenana*, 20 AD3d 39; *People v Gordon*, 77 AD2d 662; *People v Shaw*, 43 AD3d 685; *People v Saunders*, 120 Misc 2d 1087; *People v Woods*, 104 AD2d 322.) II. The trial court's admitting into evidence extensive testimony about the international drug trade, which included a map of South America, constituted reversible error because it made defendants appear to be part of a worldwide network, which was both without basis in the record and unnecessary to the jury's understanding of the single drug transaction at issue in this case. (*People v Negron*, 136 AD2d 523; *People v Maldonado*, 50 AD2d 556; *People v Colon*, 172 AD2d 173; *People v Soto*, 172 AD2d 355; *People v Brown*, 97 NY2d 500; *People v Ramirez*, 33 AD3d 460; *People v Contreras*, 28 AD3d 393.)

Peluso & Touger, LLP, New York City (*Robert Moore* and *David Touger* of counsel), for appellant in the second above-entitled action. I. The court committed reversible error when it refused to conduct an individual, in camera inquiry of a juror who sent a note to the court indicating that at least two jurors had prematurely discussed the evidence and formed conclusions. (*People v Buford*, 69 NY2d 290; *People v Ordenana*, 20 AD3d 39; *People v McClenton*, 213 AD2d 1; *People v Thomas*, 196 AD2d 462.) II. The trial court's admitting into evidence extensive testimony about the international drug trade, which included a map of South America, constituted reversible error because it made defendants appear to be part of a worldwide network, which was both without basis in the record and unnecessary to the jury's understanding of the single domestic drug transaction in this case. (*People v Negron*, 136 AD2d 523; *People v Maldonado*, 50 AD2d 556; *People v Soto*, 172 AD2d 355.)

Cyrus R. Vance, Jr., New York City (*Timothy C. Stone* and *Dana Poole* of counsel), for respondent in the first and second above-entitled actions. I. The trial judge acted within her discretion in responding to a juror's request to hear additional testimony about a particular topic. (*People v De Jesus*, 69 NY2d 855; *People v Robinson*, 88 NY2d 1001; *People v Buford*, 69 NY2d 290; *People v Daniels*, 218 AD2d 589; *People v Clark*, 81 NY2d 913; *People v Irizarry*, 83 NY2d 557; *People v Triplett*, 305 AD2d 230; *People v Torres*, 248 AD2d 167; *People v Rivera*, 262 AD2d 235; *People v Qiang Zheng*, 267 AD2d 257.) II. The trial court's rulings, allowing background evidence in relation to the practices of large-scale narcotics traffickers, were proper in this case

involving the international shipment and delivery of 400 pounds of cocaine. (*People v Scarola*, 71 NY2d 769; *People v Alvino*, 71 NY2d 233; *People v Taylor*, 75 NY2d 277; *People v Hill*, 85 NY2d 256; *People v Brown*, 97 NY2d 500; *People v Garcia*, 83 NY2d 817; *People v Singleton*, 270 AD2d 190; *People v Diaz*, 181 AD2d 595; *United States v Khan*, 787 F2d 28; *People v Colon*, 172 AD2d 173.)

OPINION OF THE COURT

PIGOTT, J.

In *People v Buford* (69 NY2d 290, 299 [1987]), we held that before a trial court dismisses a sworn juror as “grossly unqualified” under CPL 270.35, it must first “question [the] allegedly unqualified juror individually in camera in the presence of the attorneys and defendant” and conduct “a probing and tactful inquiry” in order to determine whether the juror will be able to deliberate fairly and render an impartial verdict. At issue on this appeal is whether the trial court erred in failing to conduct such an inquiry of a sworn juror who had written a note to the court seeking additional information, before the jury was charged. Because the rationale of *Buford* is not implicated in the circumstances of this case, we conclude that the trial court did not violate *Buford* in not conducting an individual inquiry.

I.

Defendants Miguel Mejias and Antonio Rodriguez were indicted for conspiracy in the second degree (Penal Law § 105.15) and criminal possession of a controlled substance in the first degree (Penal Law § 220.21 [1]) for their respective roles in a drug-trafficking operation involving the movement of 400 pounds of cocaine (valued at \$14 million) from California to New York. Much of the evidence against defendants and their coconspirators was derived from wiretapped cell phone conversations. The intercepted calls were in Spanish and contained what the People describe as “cryptic and coded” language. At trial, the People called a special agent with the Drug Enforcement Agency, whom the trial court qualified as “an expert in the operation of high level narcotics trafficking and interpretation of language over cell phones.” The special agent explained that traffickers often use benign language in describing illegal activity, and interpreted for the jury the conversations engaged in by the various participants in the drug trafficking.

The trial evidence—which consisted of 87 wiretapped conversations between the purported ringleader, Carlos Loveras, and

others—established that defendants assisted Loveras in conducting a “dry run” without the cocaine, and that defendant Mejias assisted in securing a “stash house” for the drugs during the actual run. Wiretapped recordings also uncovered conversations whereby law enforcement learned that a codefendant, at Loveras’s request, attempted to purchase a tractor trailer and incorporate a trucking company.

Weeks later, when the truck containing the cocaine arrived in New York, the truck would not fit in the driveway of the stash house. The truck was then taken to a store parking lot, while Loveras and defendant Rodriguez attempted to find an alternative stash house. Mejias stayed behind with the truck. Meanwhile, members of the New York Drug Enforcement Task Force, who had been conducting the wireless surveillance and following the truck, staked out the store parking lot and observed Mejias pacing alongside the truck and, on one occasion, entering it. When Loveras and Rodriguez (and others) returned to the store parking lot, Task Force members arrested them and secured the truck. After an extensive search, law enforcement discovered the cocaine in the trailer’s frame.

The trial of defendants lasted two weeks during which over 200 exhibits were entered in evidence. After the parties had rested their respective cases, but prior to summations, the jurors with the consent of the parties began reviewing exhibits in the courtroom. When the jurors began talking amongst themselves, the court admonished them, stating that “[t]here is no discussion among jurors on anything to do with the trial until you begin your deliberations,” and explained that the jurors could review any exhibits admitted during trial later when they were deliberating.

When the jury exited the courtroom for lunch, a court officer handed the court a handwritten note from a juror, which stated, “We want to know how/when and *under what pretext* [a codefendant] met Miguel Mejias” (emphasis supplied). The court marked the note as an exhibit, but stated that it did not think it needed “to do anything.” Counsel for defendants disagreed, claiming that the use of the word “we” in the note implied that at least two of the jurors had been engaged in premature deliberations. Defense counsel requested that the court conduct an individual inquiry of the note-writing juror, and specifically ask her if she had been discussing the case with other jurors. The court considered the note as a request for additional evidence, and decided to address the panel as a whole because it did not want

to “isolate particular jurors,” a reference to a situation earlier in the trial where the court and counsel questioned a sworn juror in camera about a sensitive personal matter.

Upon the jury’s return to the courtroom, the court addressed the panel.

“I have told you throughout the case, jurors may not discuss the case amongst yourselves, or with any third-party until all the evidence and the law is given to you.

“So this juror handed me a note, but I assume even though the first word is, ‘We,’ that everyone has been following my instructions and not discussing anything about the trial amongst yourselves, or with any third-party. If that’s not the case, and there is anyone who has started discussing the evidence, could you please raise your hand?”

The record indicates that there was no response. The court apprised the jury “that jurors don’t get to ask questions in New York,” that the jury could “only decide what’s in the record,” and that if something was not in the record then it was not evidence. After issuing those instructions, the court took no further action concerning the matter.

Following this admonition, the attorneys gave their summations, the jury was charged and deliberations were conducted. Defendants were convicted as charged. The Appellate Division affirmed, holding, as relevant here, that the trial court did not err in declining to conduct an individual inquiry of the note-writing juror (86 AD3d 429, 430 [1st Dept 2011]). A Judge of this Court granted defendants leave to appeal and we now affirm.

II.

[1] Defendants make two arguments. First, they assert that an individual in camera inquiry was warranted here because the juror’s use of the word “we” indicated that jurors had begun discussing the case prematurely. Second, they argue that the words “under what pretext” implied that at least two of the jurors had accepted the prosecution’s theory that the benign lexicon of the participants in the drug trafficking was a mere pretext for discussions about illegal conduct. The second argument, however, is unpreserved for our review, as defense counsel never argued at trial that the use of the phrase “under what

pretext” had the sweeping implication that defendants now claim, leaving only the first argument for consideration.

According to defendants, the trial court committed reversible error when it did not conduct a “probing and tactful” in camera inquiry given the use of the word “we.” We disagree. “If at any time after the trial jury has been sworn and before the rendition of its verdict . . . the court finds, from facts unknown at the time of the selection of the jury, that a juror is *grossly unqualified* to serve in the case . . . the court must discharge such juror” (CPL 270.35 [1] [emphasis supplied]). We have explained that “each case must be evaluated on its unique facts to determine whether a particular juror must be disqualified under CPL 270.35,” and that it is up to the trial court to question the purportedly unqualified juror individually in camera and to “carefully consider the juror’s answers and demeanor to ascertain whether her state of mind will affect her deliberations” (*Buford*, 69 NY2d at 299).

Our intention in *Buford* was to create a framework by which trial courts could evaluate sworn jurors who, for some reason during the trial, may “ ‘possess[] a state of mind which would prevent the rendering of an impartial verdict’ ” (*Buford*, 69 NY2d at 298, quoting *People v West*, 92 AD2d 620, 622 [3d Dept 1983, Mahoney, P.J., dissenting]). Such scenarios include, but are not limited to, a juror’s bias against a particular race (see *People v Rodriguez*, 71 NY2d 214 [1988]), a juror’s intimate relationship with a prosecution witness (see *People v Rentz*, 67 NY2d 829 [1986]), or a juror’s conversation with a member of the defendant’s family seeking information about the defendant’s background (see *People v Pineda*, 269 AD2d 610 [1st Dept 2000], *lv denied* 95 NY2d 802 [2000]).

[2] Here, there is no indication from the note’s use of the word “we” that the note-writing juror’s impartiality was in doubt or that the juror had committed any misconduct. The note’s contents were indicative of two possibilities: that there had been premature deliberations and/or the jury was requesting additional evidence after the parties had rested and the evidence had closed. To address the former possibility, the court did what was warranted; namely, it issued an additional instruction to the jurors reminding them that they were not to deliberate prior to being charged. Premature deliberation by a juror, by itself, does not render a juror grossly unqualified. In addressing the latter possibility, i.e., that the note was, in effect, asking for additional evidence, the trial court correctly apprised the jury

that it was not permitted to ask questions before it had been charged. Absent some indication that the note-writing juror had engaged in some disqualifying conduct, the fact that one or more jurors may have engaged in premature deliberations or requested additional evidence was not sufficient to trigger a *Bu-ford* inquiry. Nor did the court abuse its discretion by asking the jury panel as a whole whether its members had engaged in premature deliberations and in issuing an unambiguous instruction that they were not to do so.

We have considered defendants' remaining contentions and conclude that they are without merit.

Accordingly, the order of the Appellate Division should be affirmed in *Mejias* and *Rodriguez*.

Chief Judge LIPPMAN (dissenting). After the evidentiary portion of the trial had concluded, but before closing arguments and the court's charge—which is to say, before jury deliberations were to commence—a note written by juror 11 was handed up to the bench via juror 10. The note read, "We want to know how/when and under what pretext [a codefendant] met Miguel Mejias." After sharing the note with counsel, the court expressed the view that a response was not necessary since the jury had been repeatedly instructed that they were to base their verdict only on the evidence that was introduced. The following exchange then took place:

"MR. PHILLIPS [defendant Mejia's counsel]: Well, Judge, the problem is that the note begins, 'We want to know,' and that indicates to me that juror number ten has been discussing the evidence with at least one other juror, which is why it's written 'we.' I would ask that you inquire of juror number ten."¹

"THE COURT: Well, it's also not very well written. 'Under what pretext.' So I would say it is her way of expressing herself. It does not necessarily mean 'we.'"

"MR. PHILLIPS: I ask that you ask juror number ten whether she has been discussing any of the evidence with any of her fellow jurors which would be in disobedience to the Court's rules."

After a recess, the court, apparently having decided that the

1. Although Mr. Phillips was, at the time, under the impression that the note had been written by juror 10, probably because juror 10 handed the note to the court officer, in fact the note was authored by juror 11.

note could not be ignored, reviewed her options with counsel. She indicated that she preferred not to speak with the juror individually, but to reiterate to the jury as a whole that they were not supposed to be talking about the case. When Mr. Phillips said that his client remained concerned about the fact that the note began “We want to know,” the court interjected that it did not want to “isolate” jurors. Mr. Phillips nonetheless persisted in requesting the court to “specifically ask [the juror] if she has been talking about the case with the other jurors.” After the prosecutor expressed the view that it would suffice for the court to address the panel as a whole, Mr. Phillips reiterated defendants’ concerns over the juror note. The court responded that counsel was jumping to conclusions, and repeated that she did not want to isolate particular jurors. Mr. Phillips then stated that it remained defendants’ position that the court should inquire of the individual juror responsible for the note. When the court indicated it would not make the requested inquiry, Mr. Phillips asked that the juror be disqualified and replaced with the last alternate. The court replied, “[n]othing occurred.” Mr. Phillips persisted, noting that “[s]peaking to the jury as a whole doesn’t mean Juror Number 10 will respond to the inquiries.” Upon the conclusion of the court’s exchange with Mr. Phillips, the court addressed the jury in open court:

“Right before the recess, court officers handed me a note from Juror Number 10. I assume, first let me say, I have told you throughout the case, jurors may not discuss the case amongst yourselves, or with any third-party until all the evidence and the law is given to you.

“So this juror handed me a note, but I assume even though the first word is, ‘We,’ that everyone has been following my instructions and not discussing anything about the trial amongst yourselves, or with any third-party. If that’s not the case, and there is anyone who has started discussing the evidence, could you please raise your hand?

“(No response).”

It is the People’s position, and now that of the Court, that the trial court did not abuse her discretion. They note that she did not eschew all inquiry, but rather chose to address her inquiry to the entire panel so as not to single anyone out. Her decision not to “isolate” a juror, it is suggested, was reasonable, particularly since the court’s private inquiry of another juror

over a personal matter had been unavoidably mortifying to the juror and precipitated the juror's discharge. The predicament presented by the juror note, however, was very different from the one earlier posed by the discharged juror's health problem and I think it plain that this Court's case law did not permit the court to resolve it as she did.

The juror note, it is true, could have been variously understood. It is possible, as the court suggested, that it was just the poorly worded request of an individual juror for additional evidence. On its face, however, it signified that there had been some premature discussion of the evidence by several members of the jury, and could be understood to indicate that some jurors had already accepted the prosecution's contention that the defendants made liberal use of pretexts to conceal their illicit conspiracy.² The possibility of juror misconduct sufficiently serious to require disqualification pursuant to CPL 270.35 having been thus raised, judicial inquiry was, I believe, mandatory and we have been very specific about how such an inquiry is to be conducted:

“In reaching its conclusion [as to whether a juror is unqualified], *the trial court must question each allegedly unqualified juror individually in camera in the presence of the attorneys and defendant*. Counsel should be permitted to participate if they desire. In a probing and tactful inquiry, *the court should evaluate the nature of what the juror has seen, heard, or has acquired knowledge of, and assess its importance and its bearing on the case*. In this context, the court should carefully consider the juror's answers and demeanor to ascertain whether her state of mind will affect her deliberations. The trial court's reasons for its ruling should be placed on the record” (*People v Buford*, 69 NY2d 290, 299 [1987] [emphasis supplied]).

Obviously, the only way of reliably ascertaining whether, as the juror note seemed to indicate, jurors had been deliberating before they were permitted to do so, was to ask the author of

2. The People's expert, for example, testified at length as to the various linguistic subterfuges used by the conspirators to mask references to illicit transactions in their phone communications. The jury's acceptance of the expert's interpretation of the numerous tapped phone conversations of the alleged coconspirators was crucial to the People's case.

the note exactly what he or she meant and what, if any, underlying juror conduct was adverted to. The sort of oblique, highly tactful but not at all probing inquiry made in this case, directed to the jury as a whole, is precisely contrary to what *Buford* requires. Indeed, the uselessness of the trial court's approach is manifest. There can be no realistic expectation that an errant juror will in open court admit to misconduct in response to a general inquiry addressed to the entire panel, particularly where, as here, the inquiry is prefaced by the court's announcement of its assumption that no misconduct has occurred. *Buford*'s requirement of an individualized, in camera examination, in which counsel may participate, is clearly premised on the understanding that a less focused and exacting mode of inquiry will likely be ineffective in disclosing whether there has or has not been juror misconduct, and whether any such misconduct is of a magnitude that would mandate disqualification. However understandable the trial court's distaste for "isolating" a juror, that was precisely what *Buford* required where a juror note raised an issue as to whether jurors had discussed the evidence before deliberations were to commence in contravention of the trial court's repeated admonishments.³

Because the inquiry prescribed by *Buford* was not performed, it is impossible to tell whether members of the jury deliberated before the case was put to the panel as a whole and it is thus impossible to know whether defendants' fundamental right to a proper jury verdict was honored. This being the case, harmless error analysis is not appropriate. The requirement that a defendant show prejudice to obtain a new trial by reason of juror misconduct (*see People v Irizarry*, 83 NY2d 557, 561 [1994]) is not applicable where, as here, the relevant claim is that the mandated procedure for exploring a colorable mid-trial allegation of juror misconduct has not been followed.⁴ A defendant cannot show prejudice when he or she has not been afforded the

3. CPL 270.40 expressly requires that the jury be admonished at the trial's commencement that they "may not converse among themselves or with anyone else upon any subject connected with the trial," and it is a standard instruction that "[o]ur law . . . does not permit jurors to converse among themselves about the case until the Court tells them to begin deliberations because premature discussions can lead to a premature final decision" (CJI2d[NY] Jury Admonitions in Preliminary Instructions).

4. In any case, *Irizarry* did not involve juror misconduct. The post-verdict claim there was that the failure to seal one jury's verdict until a verdict had been reached by the second jury in the two-jury trial, itself required the conclusion that the second verdict had been influenced by the first.

process necessary to ascertain whether there has in fact been misconduct, much less whether any such misconduct was prejudicial.

Buford, I note, does not impose an utterly inflexible requirement. It recognizes that there are juror irregularities, the trivial character of which is plain and undisputed, and which do not trigger the requirement for an in camera inquiry (69 NY2d at 299 n 4). It is plain, however, that the circumstances evidently referred to in the juror note here at issue do not fall within that benign description.

The majority nonetheless attempts to disarm the note of its *Buford* consequence by relying on the concept of preservation to avoid consideration of one part of the note's single sentence, and by misreading *Buford* to require indicia of gross lack of qualification as a condition of the inquiry the case prescribes.

As to the first of these tacks, it is clear that counsel meticulously preserved his claim that the note was indicative of premature deliberation on the part of at least two jurors. While he focused upon the phrase "[w]e want to know," that clause was not semantically severable from the same sentence's statement of what the jurors wanted to know. The problem that counsel unmistakably brought to the court's attention by his numerous and very explicit timely objections was that the juror note facially signified that members of the panel had engaged in pre-deliberation discussions, not about the weather or some other innocuous matter, but about the evidence and the way in which it either did or did not comport with the People's factual theory of the case. If that had happened, it was a serious, and not a trivial, circumstance quite possibly involving juror "misconduct of a substantial nature," i.e., conduct sufficiently serious to mandate juror disqualification pursuant to CPL 270.35 (1) (see e.g. *People v Ordenana*, 20 AD3d 39 [1st Dept 2005], *lv denied* 5 NY3d 831 [2005]).

While acknowledging that, even when only the "we" portion of the note is considered, the communication was indicative of the possibility that there had been premature deliberations (majority op at 79), the Court finds that possibility insufficient to require a *Buford* inquiry because "[p]remature deliberation by a juror, by itself, does not render a juror grossly unqualified" (majority op at 79). The relevant question, however, is not whether premature deliberation by itself would necessitate a juror's disqualification pursuant to CPL 270.35 (1), but rather

whether the possibility that that has occurred, patently raised by a juror's own written representation to the court, is sufficient to trigger a court's obligation under *Buford* to ascertain whether that activity, itself forbidden, has in fact taken place and, if so, whether it has compromised the affected jurors' ability to enter into deliberations free of prematurely formed biases and alliances inimical to their obligation to deliver, and the defendant's entitlement to receive, a verdict based solely on a unitary consideration of the complete evidentiary portion of the trial by the entire constitutionally required 12-person common-law jury (see *People v Ryan*, 19 NY2d 100, 103-104 [1966]). It should be obvious that the concerns raised by the juror note here involved were of an order that the procedure mandated by *Buford* was designed to address.

I have no doubt that the trial court's actions were well-meant—in addition to her concern for the sensibilities of individual jurors, the court may have feared that the probing inquiry sought risked a mistrial since there was only one alternate juror remaining and more than one juror would have been involved in any disclosed misconduct. Nonetheless, a defendant's right to a proper jury verdict is fundamental and the procedure mandated in *Buford* to protect that right, and more broadly the integrity of the trial and its outcome, is soundly conceived. I see no adequate basis to conclude that it was dispensable under the circumstances that prompted these defendants' very explicit request for it. Certainly, the rationale for the prescribed inquiry did not become less compelling because it was sought in a complex, high profile drug prosecution, and the majority, correctly, does not suggest otherwise. But, in the absence of some more satisfactory explanation than that supplied by the majority, it is difficult to understand why the Court has so limited the availability of an important prophylactic device, requiring its use only where the conduct it is directed at probing and characterizing is already largely made out upon the record, but upholding its denial where the prescribed procedure is absolutely essential to the investigation of a credible report of potentially serious juror misconduct.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judge RIVERA concurs.

In each case: Order affirmed.

[990 NE2d 110, 967 NYS2d 872]

In the Matter of SHAWN G. GRANGER, Respondent, v DANIELLE D. MISERCOLA, Appellant.

Argued March 20, 2013; decided April 30, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 29, 2012. The Appellate Division affirmed an order of the Family Court, Jefferson County (Peter A. Schwerzmann, J.), which had granted the petition for visitation.

Matter of Granger v Misercola, 96 AD3d 1694, affirmed.

HEADNOTES

Parent, Child and Family — Visitation — Rebuttable Presumption in Favor of Visitation

1. A rebuttable presumption that a noncustodial parent will be granted visitation is an appropriate starting point in any initial determination regarding custody and/or visitation, and may be rebutted through demonstration by a preponderance of the evidence that such visitation would be harmful to the child or proof that the right to visitation has been forfeited. The presumption is not contrary to the holding in *Tropea v Tropea* (87 NY2d 727 [1996]). In *Tropea*, the Court did not reject an initial presumption in favor of visitation, but rather a “mechanical, tiered analysis that prevents or interferes with a simultaneous weighing and comparative analysis of all of the relevant facts and circumstances” involved in deciding a relocation case (*id.* at 738).

Parent, Child and Family — Visitation — Visitation with Incarcerated Parent

2. The rebuttable presumption that a noncustodial parent will be granted visitation applies when the parent seeking visitation is incarcerated. A parent who is in prison does not forfeit his or her visitation rights by being incarcerated. In deciding whether the presumption is rebutted, the possibility that a visit to an incarcerated parent would be harmful to the child must be considered, together with other relevant facts. Visitation should be denied where it is demonstrated that under all the circumstances visitation would be harmful to the child’s welfare, or that the right to visitation has been forfeited.

Parent, Child and Family — Visitation — Visitation with Incarcerated Parent

3. In a proceeding brought by petitioner inmate seeking visitation with the parties’ child after respondent mother refused to bring the child to the prison, the lower courts appropriately applied the presumption in favor of visitation and considered whether respondent rebutted the presumption through showing, by a preponderance of the evidence, that visitation would be harmful to the child.

Parent, Child and Family — Visitation — Visitation with Incarcerated Parent

4. In a proceeding brought by petitioner inmate seeking visitation with the parties’ then three-year-old child after respondent mother refused to bring the

child to the prison, there was record support for the finding that the travel would not be harmful to the welfare of the child, and that petitioner made efforts to establish a meaningful relationship with the child.

Appeal — Raising Issue for First Time on Appeal

5. In determining respondent mother's appeal from the Family Court's order granting petitioner inmate visitation with the parties' child, the Appellate Division did not err in failing to consider the impact of petitioner's move from one prison to another while the appeal was pending. The Appellate Division correctly ruled that the question of petitioner's move from one prison to another should have been brought to the attention of Family Court, by means of a modification petition. That issue should not have been raised in the first instance for determination by an appellate court.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 891, 892; AM JUR 2d, Parent and Child §§ 36, 37.

CARMODY-WAIT 2d, Child Custody and Visitation in Matrimonial Actions §§ 118A:104–118A:106, 118A:118–118A:121, 118A:124, 118A:127.

5 LAW AND THE FAMILY NEW YORK (2d ed) §§ 2:11, 2:14, 2:16–2:19.

NY JUR 2d, Domestic Relations §§ 385, 389, 390.

ANNOTATION REFERENCE

Right of jailed or imprisoned parent to visit from minor child. 6 ALR6th 483.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: presum! /5 visitation /s non-custodial /2 parent & incarcerated

POINTS OF COUNSEL

Davison Law Office PLLC, Canandaigua (Mary P. Davison of counsel), for appellant. I. The lower courts employed an incorrect standard in reviewing the merits of the petition. (*Finlay v Finlay*, 240 NY 429; *Matter of Alison D. v Virginia M.*, 77 NY2d 651; *Martin v Martin*, 45 NY2d 739; *Braiman v Braiman*, 44 NY2d 584; *Obey v Degling*, 37 NY2d 768; *Matter of Bachman v Mejias*, 1 NY2d 575; *Eschbach v Eschbach*, 56 NY2d 167; *Friederwitzer v Friederwitzer*, 55 NY2d 89; *Daghir v Daghir*, 56 NY2d 938; *Weiss v Weiss*, 52 NY2d 170.) II. The record lacks a sound and substantial basis to support the Family Court's determination that prison visitation would be in the child's best

interests. (*Sitts v Sitts*, 74 AD3d 1722, 18 NY3d 801; *Fox v Fox*, 177 AD2d 209; *Matter of Vincent L.*, 46 AD3d 395; *Matter of Cole v Comfort*, 63 AD3d 1234; *Matter of Donald C. v Michelle T.*, 254 AD2d 124; *Matter of Smith v Smith*, 92 AD3d 791; *Matter of Goldsmith v Goldsmith*, 68 AD3d 1209; *Matter of Lonobile v Betkowski*, 295 AD2d 994; *Matter of Ruple v Harkenreader*, 99 AD3d 1085; *Matter of Butler v Ewers*, 78 AD3d 1667.) III. The intermediate appellate court erred in failing to consider the impact of petitioner's change in location on the child's best interests. (*Matter of Louise E.S. v W. Stephen S.*, 64 NY2d 946; *Matter of Moore v Schill*, 44 AD3d 1123; *Matter of Michael B.*, 80 NY2d 299; *Affronti v Crosson*, 95 NY2d 713; *Matter of Shaida W.*, 85 NY2d 453; *Williams v Brown*, 53 App Div 486; *Dorr v Esders*, 112 App Div 896; *Matter of Ruple v Harkenreader*, 99 AD3d 1085; *Matter of Fewell v Ratzel*, 99 AD3d 1237; *Matter of Steven M. v Meghan M.*, 43 AD3d 1349.)

Charles J. Greenberg, Amherst, for respondent. I. The Jefferson County Family Court and the Appellate Division employed the correct standard in reviewing the merits of the petition. (*Weiss v Weiss*, 52 NY2d 170; *Matter of Thomas v Thomas*, 277 AD2d 935; *Matter of Davis v Davis*, 232 AD2d 773.) II. There is a sound or substantial basis in the record to support the Family Court's determination that prison visitation would be in the child's best interest. (*Matter of Moore v Schill*, 44 AD3d 1123; *Matter of McCullough v Brown*, 21 AD3d 1349; *Matter of Rogowski v Rogowski*, 251 AD2d 827; *Matter of Hadsell v Hadsell*, 249 AD2d 853.) III. The Appellate Division did not err by failing to consider the impact of the petitioner's change in location on the child's best interests. (*Matter of Michael B.*, 80 NY2d 299; *Matter of Moore v Schill*, 44 AD3d 1123.)

Koffs Law Firm, Chaumont (*Melissa L. Koffs* of counsel), Attorney for the Child. I. The lower courts erred in determining it was in the child's best interest to visit the father at prison and used the wrong test in making that determination. (*Friederwitzer v Friederwitzer*, 55 NY2d 89; *Eschbach v Eschbach*, 56 NY2d 167; *Daghir v Daghir*, 82 AD2d 191; *Matter of Gloria S. v Richard B.*, 80 AD2d 72.) II. The trial court did not have a sound and substantial basis to determine that it was in the child's best interests to visit petitioner father while he was incarcerated. (*Matter of Morales v Bruno*, 29 AD3d 1001; *Matter of Wispe v Leandry*, 63 AD3d 853; *Sitts v Sitts*, 74 AD3d 1722; *Fox v Fox*, 177 AD2d 209; *Eschbach v Eschbach*, 56 NY2d 167; *Matter of Cardona v Vantassel*, 96 AD3d 1052; *Matter of Flood v*

Flood, 63 AD3d 1197; *Matter of Tanner v Tanner*, 35 AD3d 1102; *Matter of Garraway v Laforet*, 68 AD3d 1192; *Matter of Eck v Eck*, 33 AD3d 1082.) III. The intermediate appellate court should have reviewed the lower courts' lack of setting an appropriate distance for the child to travel to see his father. (*Matter of Michael B.*, 80 NY2d 299.)

OPINION OF THE COURT

PIGOTT, J.

Petitioner, an inmate in New York's correctional system, who had acknowledged paternity of a child prior to his imprisonment, commenced this Family Court Act proceeding seeking visitation with the child after respondent mother refused to bring the child to the prison. Following a fact-finding hearing, Family Court granted the petition, awarding petitioner periodic four-hour visits at the prison with the child, who was then three years old.

Family Court noted that "the law in New York presumes visitation with a non-custodial parent to be in the child's best interest and the fact that such parent is incarcerated is not an automatic reason for blocking visitation." The court found that petitioner had "demonstrated that he was involved in a meaningful way in the child's life prior to his incarceration and seeks to maintain a relationship." It further found that the child was old enough to travel to and from the prison by car without harm, and would "benefit from the visitation with his father." The court considered the length of petitioner's sentence and reasoned that "[l]osing contact for such a long period is felt to be detrimental to an established relationship." The court concluded that visitation with petitioner would be in the child's best interests.

The Appellate Division affirmed Family Court's order, finding "a sound and substantial basis in the record to support the court's determination to grant the father visitation with the child in accordance with the schedule set forth in the order" (96 AD3d 1694, 1695 [4th Dept 2012]). The Appellate Division deferred to Family Court's ability to assess directly the parties' character and credibility, noting that petitioner had "attempted to maintain a relationship with the child over the telephone and by sending letters, cards, and gifts. . . . [T]he father made, and continues to make, efforts to establish a relationship with the child, and it cannot be said that he is 'a stranger to the child' " (*id.*, quoting *Matter of Culver v Culver*, 82 AD3d 1296, 1299 [3d Dept 2011]).

While his appeal was pending, petitioner had been moved to a different correctional facility, further from respondent's home. The Appellate Division made no finding of fact in this regard, ruling that any such change in circumstance was more appropriately the subject of a modification petition (*id.*).

Respondent's primary contention is that the lower courts employed an incorrect legal standard in reviewing the petition for visitation. We granted respondent leave to appeal, and now affirm.

In *Weiss v Weiss* (52 NY2d 170 [1981]), we held that "in initially prescribing or approving custodial arrangements, absent exceptional circumstances, such as those in which it would be inimical to the welfare of the child or where a parent in some manner has forfeited his or her right to such access, appropriate provision for visitation or other access by the noncustodial parent follows almost as a matter of course" (*id.* at 175 [citation omitted]). Subsequent Appellate Division decisions have frequently referred to a rebuttable presumption that, in initial custodial arrangements, a noncustodial parent will be granted visitation. "[I]t is presumed that parental visitation is in the best interest of the child in the absence of proof that it will be harmful" (*Matter of Nathaniel T.*, 97 AD2d 973, 974 [4th Dept 1983]) or proof that the noncustodial parent has forfeited the right to visitation. In the present case, Family Court similarly noted that New York law "presumes visitation with a non-custodial parent to be in the child's best interest."

[1] Respondent contends that this presumption is contrary to this Court's holding in *Matter of Tropea v Tropea* (87 NY2d 727 [1996]), in which we wrote that, where a custodial parent seeks judicial approval of a relocation plan that would hinder visitation by the noncustodial parent, "presumptions and threshold tests that artificially skew the analysis in favor of one outcome or another" must be rejected (*id.* at 740). However, in *Tropea*, we did not reject an initial presumption in favor of visitation, but rather a "mechanical, tiered analysis that prevents or interferes with a simultaneous weighing and comparative analysis of all of the relevant facts and circumstances" involved in deciding a relocation case (*id.* at 738). Our holding was not that presumptions can never be relied upon, but that "each relocation request must be considered on its own merits . . . and with predominant emphasis being placed on what outcome is most likely to serve the best interests of the child" (*id.* at 739). A rebuttable presumption that a noncustodial parent will be granted

visitation is an appropriate starting point in any initial determination regarding custody and/or visitation.

[2] Moreover, the rebuttable presumption in favor of visitation applies when the parent seeking visitation is incarcerated. A parent who is in prison does not forfeit his or her visitation rights by being incarcerated. “[P]etitioner’s incarceration, standing alone, does not make a visitation order inappropriate,” but a demonstration “that such visitation would be harmful to the child will justify denying such a request” (*Matter of Mohammed v Cortland County Dept. of Social Servs.*, 186 AD2d 908, 908 [3d Dept 1992], *lv denied* 81 NY2d 706 [1993]; *see also e.g. Matter of Morales v Bruno*, 29 AD3d 1001 [2d Dept 2006]; *Matter of Thomas v Thomas*, 277 AD2d 935 [4th Dept 2000]; *Matter of Davis v Davis*, 232 AD2d 773 [3d Dept 1996]). Such a presumption is consistent with *Tropea* because it does not give the noncustodial parent’s rights “such disproportionate weight as to predetermine the outcome” (*id.* at 738) or “bar[] further inquiry into the salient ‘best interests’ question” (*id.* at 741). In deciding whether the presumption is rebutted, the possibility that a visit to an incarcerated parent would be harmful to the child must be considered, together with other relevant facts. Visitation should be denied where it is demonstrated that under all the circumstances visitation would be harmful to the child’s welfare, or that the right to visitation has been forfeited.

[1] In speaking of the manner in which the presumption of visitation may be rebutted, the Appellate Division has frequently used the terms “substantial proof” and “substantial evidence.” “[T]he sweeping denial of the right of the father to visit or see the child is a drastic decision that should be based upon substantial evidence” (*Herb v Herb*, 8 AD2d 419, 422 [4th Dept 1959]). This language is intended to convey to lower courts and practitioners that visitation will be denied only upon a demonstration—that visitation would be harmful to the child—that proceeds by means of sworn testimony or documentary evidence. Thus, the arguments of the party contesting visitation did not amount to “substantial proof” when that party did not attempt to contradict expert testimony favoring visitation (*see Matter of Hughes v Wiegman*, 150 AD2d 449, 450 [2d Dept 1989]), when sworn testimony and documentary evidence were entirely missing from the proceeding (*see e.g. Matter of Folsom v Folsom*, 262 AD2d 875, 876 [3d Dept 1999]; *Matter of Thomas v Thomas*, 277 AD2d 935 [4th Dept 2000]), or when the trial court’s decision was based on a secret report, without benefit of the parties’

responses (see *Herb v Herb*). The “substantial proof” language should not be interpreted in such a way as to heighten the burden, of the party who opposes visitation, to rebut the presumption of visitation. The presumption in favor of visitation may be rebutted through demonstration by a *preponderance of the evidence* (see generally *Tropea*, 87 NY2d at 741).

[3] Here, the lower courts used the appropriate legal standard, applying the presumption in favor of visitation and considering whether respondent rebutted the presumption through showing, by a preponderance of the evidence, that visitation would be harmful to the child.

[4] Respondent’s second challenge is that there is no “sound and substantial basis in the testimony” (*Bunim v Bunim*, 298 NY 391, 393 [1949]) for finding that visitation was in the child’s best interests. However, the factual findings underpinning the lower courts’ best interests determinations in this case—that travel to and from the prison would not harm the child and that petitioner sought to maintain a relationship with the child—constitute affirmed findings of fact that we lack the “power to review . . . if . . . supported by evidence in the record” (*Humphrey v State of New York*, 60 NY2d 742, 743 [1983]; see e.g. *Matter of Shondel J. v Mark D.*, 7 NY3d 320, 326 [2006]). Here, there is support in the record for the finding that the travel would not be harmful to the welfare of the child, and that petitioner made efforts to establish a meaningful relationship with the child.

[5] Finally, respondent contends that the Appellate Division erred in failing to consider the impact of petitioner’s move from one prison to another. The Appellate Division correctly ruled that the question of petitioner’s move from one prison to another should have been brought to the attention of Family Court, by means of a modification petition. That issue should not have been raised in the first instance for determination by an appellate court (see *Matter of Moore v Schill*, 44 AD3d 1123 [2007]; see generally *Matter of Michael B.*, 80 NY2d 299, 318 [1992]).

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and RIVERA concur.

Order affirmed, without costs.

[989 NE2d 942, 967 NYS2d 660]

In the Matter of NORMAN BEZIO, as Superintendent of Great Meadow Correctional Facility, Respondent, v LEROY DORSEY, Appellant.

Argued March 19, 2013; decided May 2, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 12, 2012. The Appellate Division affirmed an order of the Supreme Court, Washington County (John S. Hall Jr., J.), which had granted petitioner's application, in a proceeding pursuant to CPLR article 4, to authorize the involuntary medical treatment and feeding of respondent.

Matter of Bezio v Dorsey, 91 AD3d 1051, affirmed.

HEADNOTES

Appeal — Preservation of Issue for Review

1. In a proceeding requesting a court order permitting medical personnel to insert a nasogastric tube and take other reasonable steps necessary to provide hydration and nutrition to respondent inmate, who was on a hunger strike, respondent's claim that the force-feeding order violated his constitutional right to refuse medical treatment was preserved for review. Although respondent did not reference the Due Process Clause or articulate his constitutional objections in the hearing court with the specificity and clarity that he did in the Appellate Division or in the Court of Appeals, that was a consequence of the fact that respondent addressed several arguments pro se, having been assigned counsel only shortly before the hearing, which was conducted expeditiously out of concern for preservation of his health. Respondent did argue that "putting a tube in my nose, that's cruel and unusual punishment," and it was evident that he viewed the insertion of a nasogastric feeding tube as an unconstitutional invasion of his bodily integrity.

Appeal — Academic and Moot Questions

2. In an appeal from an order permitting medical personnel to insert a nasogastric tube and take other reasonable steps necessary to provide hydration and nutrition to respondent inmate, who was on a hunger strike, the Appellate Division did not err in applying the mootness exception to respondent's claim that the force-feeding order violated his constitutional right to refuse medical treatment. Although respondent resumed eating solid food after the order was issued, the issue of a hunger-striking inmate's constitutional right to refuse medical treatment fell within the exception to the mootness rule since it was novel, likely to recur and, given the exigencies involved in addressing a hunger strike, would typically evade review.

Prisons and Prisoners — Medical and Surgical Treatment — Court-Ordered Forced Feeding

3. In a proceeding in which petitioner, the superintendent of a correctional facility, sought a court order permitting medical personnel to insert a nasogastric tube and take other reasonable steps necessary to provide hydration and

nutrition to respondent inmate, who was on a hunger strike, respondent's claim that the force-feeding order violated his constitutional right to refuse medical treatment was properly rejected. Petitioner had sought a forced-feeding order because respondent's conduct, according to his doctor, had created a substantial risk of imminent death or serious permanent injury. Even assuming the constitutional right respondent asserted existed, and that petitioner's intervention therefore resulted in the curtailment of such a right, the propriety of petitioner's action would be valid if it was reasonably related to legitimate penological interests. Factors to consider under such a standard include the extent to which the right asserted by the inmate is compatible with incarceration; whether the challenged prison action or policy is consistent with the institutional interests that are cited to justify it; whether other means are available to the inmate to exercise the right in question; whether accommodation of the inmate's asserted right will adversely impact the prison population, employees or the allocation of prison resources; and whether, viewed in a pragmatic light, it is feasible for prison authorities to address their institutional concerns through other means. Applying that test, the order permitting petitioner to intervene to prevent respondent's death by feeding via nasogastric tube, if necessary, withstood scrutiny. Taking action to interrupt an inmate hunger strike not only serves to preserve life and prevent a suicide but also to maintain institutional order and security. Petitioner could not effectuate those interests other than by seeking a judicial order permitting feeding by nasogastric tube—less intrusive means had been attempted without success.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575–577, 596, 602; AM JUR 2d, Constitutional Law § 654; Death §§ 458, 461, 462, 474, 497, 499, 500, 531; AM JUR 2d, Penal and Correctional Institutions §§ 99, 128.

CARMODY-WAIT 2d, Appeals in General §§ 70:93, 70:95, 70:332, 70:333, 70:336, 70:337.

NY JUR 2d, Appellate Review §§ 492, 601; NY JUR 2d, Hospitals and Related Health Care Facilities §§ 44, 45; NY JUR 2d, Penal and Correctional Institutions §§ 150, 151.

SIEGEL, NY PRAC §§ 525, 530, 543.

ANNOTATION REFERENCE

Prisoner's right to die or refuse medical treatment. 66 ALR5th 111.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: hunger /2 strike /s inmate & preserv! /s review

POINTS OF COUNSEL

Sheila E. Shea, Mental Hygiene Legal Service, Albany (Shannon Stockwell of counsel), for appellant. I. Supreme Court was

not authorized to order the forced feeding of respondent because he has capacity to make his own medical treatment decisions, and because the State did not demonstrate at trial that its interests are superior to respondent's privacy interest. (*Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Rivers v Katz*, 67 NY2d 485; *Matter of Von Holden v Chapman*, 87 AD2d 66; *Turner v Safley*, 482 US 78; *In re Grand Jury Subpoena John Doe v United States*, 150 F3d 170.) II. Supreme Court deprived respondent of his due process right to a fair trial when it denied respondent's request for a continuance. (*People v McLaughlin*, 291 NY 480; *People v Snyder*, 297 NY 81; *People v McGuinness*, 11 AD2d 630, 9 NY2d 690.)

Eric T. Schneiderman, Attorney General, Albany (Andrea Oser, Barbara D. Underwood and Martin A. Hotvet of counsel), for respondent. I. This Court should dismiss the appeal because Leroy Dorsey failed to preserve in Supreme Court his claim that the order implicated a privacy right to make his own medical decisions, and because his asserted claim of trial error is moot and does not warrant consideration under the mootness exception. (*McMillan v State of New York*, 72 NY2d 871; *People v O'Hara*, 96 NY2d 378; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Brown v City of New York*, 60 NY2d 893; *Feinberg v Saks & Co.*, 56 NY2d 206; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *People v Spears*, 64 NY2d 698.) II. If the Court retains the appeal, it should affirm because any right Leroy Dorsey had to refuse forced feeding was outweighed by the State's prison-related interests, and because an inmate's retained right to free speech does not include a right to use a hunger strike to communicate grievances. (*Matter of Fosmire v Nicoleau*, 75 NY2d 218; *Rivers v Katz*, 67 NY2d 485; *Matter of Rivera v Smith*, 63 NY2d 501; *Matter of Walton v New York State Dept. of Correctional Servs.*, 13 NY3d 475; *Matter of Lucas v Scully*, 71 NY2d 399; *Turner v Safley*, 482 US 78; *Washington v Harper*, 494 US 210; *Cruzan v Director, Mo. Dept. of Health*, 497 US 261; *Pabon v Wright*, 459 F3d 241; *Matter of Doe v Coughlin*, 71 NY2d 48.)

OPINION OF THE COURT

GRAFFEO, J.

Respondent Leroy Dorsey, an inmate in the custody of the State Department of Corrections and Community Supervision (DOCCS), is a serial hunger striker. In 2010 he undertook a

month-long hunger strike, contending that he was not suicidal but had ceased eating in order to secure transfer to another DOCCS facility and bring attention to certain claims of mistreatment. The issue before us is whether Dorsey's rights were violated by a judicial order permitting the State to feed him by nasogastric tube after his health devolved to the point that his condition became life-threatening. We answer that question in the negative.

In January 2010, Leroy Dorsey first engaged in a hunger strike while incarcerated at Clinton Correctional Facility. At that time, he explained that his motive was to obtain a transfer to another facility, indicating he was not suicidal and would start eating again if transferred. DOCCS commenced a judicial proceeding seeking permission to feed Dorsey by nasogastric tube but the application was denied by Supreme Court. Dorsey apparently voluntarily resumed eating and was subsequently transferred to Great Meadow Correctional Facility where he commenced a second hunger strike in June 2010. This hunger strike ceased without DOCCS requesting judicial relief.

The incident relevant to this appeal began on October 22, 2010 when Dorsey again stopped eating solid food, asserting that his intent was to obtain another transfer to a different facility and to draw attention to alleged abusive treatment of him at Great Meadow. Dorsey's health was monitored by medical staff at the facility and he was ultimately moved to the infirmary for close observation. While housed there, Dorsey was repeatedly advised that his refusal to eat was causing potentially irreversible damage to his internal organs and, if uninterrupted, would lead to his death. He nonetheless refused to alter his behavior, ingesting only liquids in scant amounts insufficient to sustain his health. A month after this hunger strike began, when Dorsey had lost 11.6% of his body weight in only four weeks,¹ DOCCS commenced this proceeding requesting a court order permitting medical personnel to insert a nasogastric tube and take other reasonable steps necessary to provide hydration and nutrition to Dorsey.² In support of its application, DOCCS

1. When examined six months before he commenced the first hunger strike, Dorsey weighed 241 pounds. After the first two hunger strikes, his weight had been reduced to 164 pounds. When DOCCS sought judicial permission to intervene in November 2010, the inmate weighed 147 pounds.

2. In addition to permission to feed Dorsey by nasogastric tube if necessary, DOCCS requested that its medical staff be authorized to use physical

(n. cont'd)

relied on the analysis in *Matter of Von Holden v Chapman* (87 AD2d 66 [4th Dept 1982]), in which the Appellate Division upheld an order permitting forced feeding of a hunger striking inmate by nasogastric tube, rejecting the inmate's constitutional objections. At the ensuing hearing on the DOCCS petition, Dorsey's treating physician testified concerning the inmate's physical condition, stating that he was in imminent risk of starving to death or sustaining a fatal cardiac arrhythmia due to electrolyte and fluid imbalance unless DOCCS was permitted to intervene.³ Represented by counsel, Dorsey opposed the application, claiming that he was not suicidal and the State had no authority to interfere with his hunger strike.

Supreme Court granted DOCCS' application, permitting DOCCS to feed Dorsey by nasogastric tube unless Dorsey voluntarily consumed a nutritional supplement along with solid food. After the order was issued, Dorsey resumed eating solid food (rendering enforcement of the force-feeding directive unnecessary), but he pursued an appeal of Supreme Court's order. Because this particular hunger strike had ceased, the Appellate Division concluded that the case was moot (91 AD3d 1051 [3d Dept 2012]). It reasoned that two issues raised on appeal—whether DOCCS had sufficiently established that Dorsey's physical condition had degenerated to the point that he faced a substantial risk of death or permanent injury and whether the

restraints or sedation if necessary to facilitate nutrition and hydration and to monitor Dorsey's health by drawing blood, obtaining vital signs, taking weight, conducting physical examinations or engaging in other comparable medically necessary measures to chart his progress.

3. Despite its conclusion that the case is moot, the dissent apparently addresses Supreme Court's finding that Dorsey's condition was grave and that he had created a substantial risk of death by cardiac arrhythmia, which necessitated intervention to ameliorate an imminent risk of death, questioning whether the DOCCS physician established that the risk of death was sufficiently imminent. It is true that the physician did not use the word "imminent," but he testified that the inmate's physical condition was "[e]xtremely poor" and stated that, if the hunger strike were permitted to proceed, the inmate was "going to do damage to his heart, his lungs, his kidneys. He's going to experience fluid and electrolyte imbalances that could place him at risk for sudden and unexpected cardiac arrhythmia and death" and that if "he continues on this path . . . [h]e will die." In any event, in this Court, although claiming that the denial of the continuance unduly restricted his ability to cross-examine the physician, Dorsey no longer contends that reversal is warranted on the rationale that the evidence was insufficient to support Supreme Court's factual determination concerning the gravity of his medical condition. We therefore have no occasion to review that finding, even assuming the issue falls within the mootness exception.

hearing court erred in denying his attorney's request for a continuance in order to secure and review the inmate's complete medical records—were *sui generis* to this case and were not sufficiently novel to warrant review under the exception to the mootness doctrine.⁴ But the Appellate Division concluded that a core issue fell within the exception to the mootness doctrine: the inmate's claim that the State did not have the right to secure a force-feeding order because he did not intend to kill himself but only wanted to bring attention to his pleas of mistreatment and to obtain a transfer to another facility. On that question, the court ruled in favor of DOCCS on the merits, concluding that where "an inmate's refusal to eat has placed that inmate at risk of serious injury and death . . . the State's interest in protecting the health and welfare of persons in its custody outweighs an individual inmate's right to make personal choices about what nourishment to accept" (91 AD3d at 1053). We granted the inmate leave to appeal to this Court (19 NY3d 805 [2012]) and we now affirm.

I

The threshold issue here is a jurisdictional question—whether the inmate's claim that the force-feeding order violated his constitutional right to refuse medical treatment was preserved for review. This is the primary issue that divides us from the dissent, which concludes that the Appellate Division erred in applying the exception to the mootness doctrine to decide this

4. The Appellate Division thus concluded that these issues failed to meet two of the three requirements under the exception to the mootness doctrine (see *Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714-715 [1980]). Paradoxically, although the dissent asserts that the entire case is moot and that it does not fall within the mootness exception, it nonetheless chastises the Appellate Division for deciding, on mootness grounds, not to address these two issues. The dissent cites no legal authority for the proposition that it was an error of law for the Appellate Division to decline to review issues that did not fall into the mootness exception while determining the one legal issue in the case that did. The court could certainly have taken a more holistic approach, viewing all of the issues as intertwined, but its decision to resolve only the pure issue of law that clearly met the standard should not be a basis for reversal. In any event, Dorsey no longer seeks review of the sufficiency of the proof supporting Supreme Court's factual determination that his life was in danger—as to that issue, any dispute about the applicability of the exception would be academic. Although the inmate continues to press the adjournment issue, we agree with the Appellate Division that this contention does not fall within the mootness exception since the law concerning this type of discretionary ruling is well-settled, nor is it so intertwined with the core legal issue as to require our review.

contention because the inmate failed to raise the issue in the hearing court. We begin with the observation that it was DOCCS—not the inmate—that initiated this proceeding. In support of its application, DOCCS relied on *Matter of Von Holden v Chapman* (87 AD2d 66 [1982], *supra*), a case in which a hunger-striking inmate objected to a force-feeding order, arguing that it violated his constitutional right to refuse medical treatment (then characterized as a “right to privacy”) and to free speech. After analyzing both constitutional claims, the Appellate Division in that case upheld the order.

Prior to this litigation, *Von Holden* was the only appellate decision in this state involving an inmate hunger strike. In light of that precedent, DOCCS Directive No. 4309—which addresses the handling of inmate hunger strikes—recognized that a forced feeding order may implicate an “inmate’s right of privacy and free expression.” Despite the potential constitutional issues, DOCCS maintained in its petition that such an order was nonetheless warranted in this case. It was in this context that Dorsey strenuously voiced his objections, at one point contending: “[b]y . . . putting a tube in my nose, that’s cruel and unusual punishment.”

To be sure, in the hearing court the inmate did not reference the Due Process Clause or articulate his constitutional objections with the specificity and clarity that he did in the Appellate Division or in this Court. This was a consequence of the fact that Dorsey addressed several arguments *pro se*, having been assigned counsel only shortly before the hearing, which was conducted expeditiously out of concern for preservation of his health. But it was clear from his posture—indeed, it is evident from the quote above—that he viewed the insertion of a nasogastric feeding tube as an unconstitutional invasion of his bodily integrity; such an argument seems almost inherent in an inmate’s opposition to a force-feeding order.

[1] Despite the inmate’s reference to the Eighth Amendment, the hearing court undoubtedly understood, given DOCCS’ reliance on *Von Holden*, that this aspect of the inmate’s constitutional objection was predicated on the right to avoid unwanted medical intervention. The dissent implicitly acknowledges as much since it concludes—despite its mootness determination—that the hearing court misapplied the criteria in *Rivers v Katz* (67 NY2d 485 [1986]) (dissenting op at 111-112 n 6), a seminal right to refuse treatment case, when it resolved the “involuntary

treatment” issue (dissenting op at 114 n 7). In light of the circumstances and issues raised in the hearing court, we conclude that the constitutional right to refuse medical treatment argument was presented sufficiently to satisfy the preservation rule. That being the case, we do not share the dissent’s view that the Appellate Division erred in applying the exception to the mootness doctrine due to a lack of preservation (assuming it would be error for the Appellate Division to rely on the mootness exception to reach an unpreserved issue in the exercise of its interest of justice jurisdiction, as the dissent apparently concludes).

[2] Moreover, because of the dearth of New York precedent concerning inmate hunger strikes, we agree with the Appellate Division that the central issue in the case falls within the exception to the mootness rule since it is novel, likely to recur and, given the exigencies involved in addressing a hunger strike, would typically evade review (*see Hearst*, 50 NY2d 707 [1980], *supra*), as occurred in this case.⁵ Accordingly, the Appellate Division did not err in applying the mootness exception.

The dissent criticizes the Appellate Division for reviewing this issue given that *Von Holden* supplied existing New York appellate precedent, reasoning “[t]here was then no particularly compelling need for the immediate generation of precedent” (dissenting op at 115). Yet it recognizes that *Von Holden* was decided in 1982, predating both *Rivers v Katz* (67 NY2d 485 [1986], *supra*) and *Matter of Fosmire v Nicoleau* (75 NY2d 218 [1990])—important precedent on the right to refuse medical treatment (dissenting op at 115 n 9). This is precisely what makes the inmate’s right to refuse medical treatment argument novel and open, thereby supporting review under the exception to the mootness doctrine recognized in *Hearst*.

II

Turning to the merits, Dorsey analogizes his right to continue the hunger strike free of interference by DOCCS to the right of

5. We can conceive of few occasions when a hunger strike case would not be moot by the time it reached this Court. Either a hearing court will issue a force-feeding order that will remain in effect for a limited period of time, expeditiously ending the hunger strike and mooting the case on the order’s expiration date, or it will deny DOCCS relief. If the latter occurs, the inmate will either decide to discontinue the hunger strike (mooting the case) or his actions will, unfortunately, result in serious permanent injury or death (mooting the case). These outcomes are likely to happen before the case could make its way through the Appellate Division to this Court.

a competent adult to refuse medical treatment—a prerogative this Court recognized in several of our prior cases. In support of this contention, the inmate principally relies on *Fosmire* (75 NY2d 218 [1990], *supra*) and *Rivers* (67 NY2d 485 [1986], *supra*). *Rivers* held that the right of a patient confined in a state mental hospital to refuse psychotropic drugs largely depended on whether the patient was competent to make medical decisions. However, we made clear that, even when a patient is competent, “the right to reject treatment with antipsychotic medication is not absolute and under certain circumstances may have to yield to compelling State interests,” such as when “the patient presents a danger to himself or other members of society or engages in dangerous or potentially destructive conduct within the institution” (67 NY2d at 495).

In *Fosmire*, we held that a competent adult Jehovah’s Witness had the right to decline blood transfusions based on the common law and statutory right of informed consent. But we noted that this right existed only “in the absence of a superior State interest” in administering the treatment (75 NY2d at 221). There, the State had argued that the transfusions were needed to save the life of the patient. The Appellate Division found that the State did not adequately prove that no other alternatives were available to achieve the same objective. We did not disturb that finding but held, in any event, that even characterizing the blood transfusions as life-saving treatment, the patient in that case had a right to decline them. We further clarified that a right to refuse medical treatment is not the equivalent of a right to commit suicide, observing that the “State will intervene to prevent suicide . . . or the self-inflicted injuries of the mentally deranged” (*id.* at 227 [citation omitted]). We reasoned that “merely declining medical care, even essential treatment, is not considered a suicidal act” (*id.*) and explained that, by permitting the patient to avoid medical intervention, we were not condoning suicide because the injuries necessitating the blood transfusions (complications arising from childbirth) “were not self-inflicted” (*id.* at 227 n 2).

This case is significantly distinguishable from both *Rivers* and *Fosmire*. In *Rivers*, the patient’s condition was neither self-inflicted nor life-threatening. Thus, the State’s interests in preserving life and preventing suicide were not implicated. Yet we nonetheless indicated that if the patient had presented a danger to herself or others, the medication could be administered on an emergency basis. Here, the State sought an order

permitting forced feeding because Dorsey's conduct, according to his doctor, had created a substantial risk of imminent death or serious permanent injury.

In *Fosmire*, although the refusal to undergo a blood transfusion was arguably life-threatening, the State's right to intervene to prevent suicide had not been triggered because the patient was not responsible for the injury necessitating treatment. The same cannot be said here where Dorsey, who was a relatively healthy, 241-pound adult before he began the series of hunger strikes that reduced his weight to 145 pounds, has by this conduct created a substantial risk of death or serious permanent injury. This being the case, Dorsey's repeated statements that he is "not suicidal" are not dispositive. Whatever his purported intent, by refusing to eat for a prolonged period of time despite repeated warnings concerning the imminent physiological damage that behavior was causing, Dorsey knowingly inflicted injury on himself that, if continued, would result in his death.⁶ If Dorsey had slit his wrists or swallowed a bottle of contraband sleeping pills, no one would expect DOCCS to accept at face value a contemporaneous statement that he was not suicidal. The same is true here.

This case is therefore unlike our prior right to refuse medical treatment cases, nor is it comparable to the right to refuse artificial hydration and nutrition cases that have involved

6. Citing a psychiatric report indicating that Dorsey's intent in engaging in a hunger strike was to manipulate DOCCS into initiating a force-feeding petition so that he could air his grievances in court and that he was not suicidal, the dissent asserts that "[t]here was, in fact, no evidence at all that respondent was suicidal" (dissenting op at 111 n 5). Perhaps our disagreement with the dissent is a matter of semantics—we certainly do not dispute that the inmate told the psychiatrist, his treating physician and the hearing court that he was not suicidal and had commenced the hunger strike to bring attention to certain complaints. We rely not on what the inmate declared but what he did. There was ample evidence in the record that he had put his life in serious jeopardy by knowingly and voluntarily engaging in a course of conduct that, if uninterrupted, would inevitably lead to his death. It may well be that Dorsey did not want to die—he may have believed he could starve himself to the brink of death and then end the hunger strike just in time to avert irreversible organ damage or sudden fatal cardiac arrhythmia. But once his condition progressed to the point that he created a serious risk of death (whether intentionally or recklessly), the State could fairly interpret his *actions* as suicidal in nature. Moreover, the rule we articulate today will govern DOCCS' ability to seek judicial intervention in future inmate hunger strike situations where the question of intent may be even murkier than it is here. If the central aim is the preservation of life, the inmate's medical condition should govern whether a petition is filed—not the inmate's statements concerning his or her intent.

terminally-ill patients or those in an irreversible incapacitated condition as a result of illnesses or injuries beyond their control (see *Matter of Westchester County Med. Ctr. [O'Connor]*, 72 NY2d 517 [1988]; *Cruzan v Director, Mo. Dept. of Health*, 497 US 261 [1990]). In those circumstances, unlike this one, the patients were suffering from dire medical conditions that were not of their own making and that prevented them from eating and drinking of their own accord (*O'Connor*, 72 NY2d at 524; *Cruzan*, 497 US at 266 n 1). It was the underlying illness or injury that created the need for artificial hydration and nutrition as a form of life-sustaining medical treatment. This is readily contrasted with Dorsey's situation since he was a healthy adult who was able to eat when he began the hunger strikes; his decision not to feed himself created both the life-threatening physical condition and the need for medical intervention, making the State's interest in preventing suicide a central concern. Given that the State has long made a constitutionally-permissible distinction between a right to refuse medical treatment and a right to commit suicide (or receive assistance in doing so) (see *Vacco v Quill*, 521 US 793 [1997]), the efficacy of the constitutional right on which Dorsey relies—no matter how it is characterized—is, at the very least, unclear (see *Von Holden*, 87 AD2d at 70 [noting, in an inmate hunger strike case, that “(e)ven superficial comparison of the right to decline medical treatment with the right to take one's life illustrates their essential dissimilarity and to argue that because the State has recognized the former it must permit the latter would be to engage in the most specious reasoning”]; see also *Quill*, 521 US at 803 n 7 [citing New York cases for the proposition that New York courts “recognize a right to refuse treatment, and nowhere equate the exercise of this right with suicide”]).

In any event, Dorsey is a prisoner in the custody of the state correctional system. Even assuming the constitutional right he asserts exists, and that DOCCS intervention therefore results in the curtailment of such a right, we analyze the propriety of DOCCS action under the test established in *Turner v Safley* (482 US 78 [1987]; see *Washington v Harper*, 494 US 210 [1990]). Under that standard, “when a policy or regulation impinges on a prisoner's constitutional rights, the action is valid if it is reasonably related to legitimate penological interests” (*Matter of Walton v New York State Dept. of Correctional Servs.*, 13 NY3d 475, 491 [2009] [internal quotation marks and citation omitted]; see *Matter of Doe v Coughlin*, 71

NY2d 48 [1987], *cert denied* 488 US 879 [1988]; *Matter of Lucas v Scully*, 71 NY2d 399 [1988]). This approach requires that we consider a number of factors, including the extent to which the right asserted by the inmate is compatible with incarceration; whether the challenged prison action or policy is consistent with the institutional interests that are cited to justify it; whether other means are available to the inmate to exercise the right in question; whether accommodation of the inmate's asserted right will adversely impact the prison population, employees or the allocation of prison resources; and whether, viewed in a pragmatic light, it is feasible for prison authorities to address their institutional concerns through other means.

[3] Applying this test, the order permitting DOCCS to intervene to prevent Dorsey's death by feeding via nasogastric tube, if necessary, withstands scrutiny. As a preliminary matter, Dorsey contends that reversal is warranted because DOCCS failed to offer adequate testimony concerning the institutional interests justifying intervention. We disagree. At the hearing, DOCCS attempted to submit specific testimony concerning the impact of an inmate hunger strike on other prisoners and staff within a correctional facility but Dorsey's attorney objected, contending that the evidence was irrelevant, and the objection was sustained, resulting in its preclusion. Dorsey may not now argue that reversal is required based on the absence of proof he himself succeeded in keeping out of the record.

Nor was it necessary for DOCCS to offer specific testimony relating to many of the institutional interests on which it relied because they are not unique to this particular inmate hunger strike and are either embodied in statutes reflecting the public policy of the State or judicial decisions. For example, DOCCS asserts—and neither Dorsey nor the dissent dispute—that the State has a significant interest in preserving life and preventing suicidal acts (*Quill*, 521 US at 808). That interest is especially strong when the individual whose life is endangered is an inmate in DOCCS' custody. Not only does DOCCS have a statutory obligation and constitutional duty under the Eighth Amendment to safeguard the lives of individuals housed in its correctional institutions (Correction Law § 70 [2]; *see generally Estelle v Gamble*, 429 US 97 [1976]), but it can, in some circumstances, be held liable if it fails to prevent a reasonably foreseeable inmate suicide (*see Gordon v City of New York*, 70 NY2d 839, 840 [1987] ["When prison authorities know or should know that a prisoner has suicidal tendencies or that a prisoner

might physically harm himself, a duty arises to provide reasonable care to assure that such harm does not occur”]; *see generally Freeman v Berge*, 441 F3d 543, 547 [7th Cir 2006], *cert denied* 549 US 824 [2006] [“Reckless indifference to the risk of a prisoner’s committing suicide is a standard basis for a federal civil rights suit”]. “The idea behind liability in such cases is that incarceration can place a person under unusual psychological strain and the jail or prison under a commensurate duty to prevent the prisoner from giving way to the strain” (*Freeman*, 441 F3d at 547).

Moreover, there is virtually universal recognition among appellate courts that an inmate hunger strike can have a significant destabilizing impact on the institution (*see Commissioner of Corr. v Coleman*, 303 Conn 800, 38 A3d 84 [2012], *cert denied* 568 US —, 133 S Ct 1593 [2013] [and cases discussed therein]). This is evident from *Matter of Von Holden v Chapman* (87 AD2d 66 [1982], *supra*), the primary case DOCCS relied on in the hearing court. *Von Holden* involved a hunger strike by Mark David Chapman, the man convicted of murdering John Lennon. There, in rejecting a similar constitutional challenge to the issuance of a forced feeding order, the Appellate Division noted that Chapman’s hunger strike had caused disruption in the prison where he was housed, resentment among other inmates and had even led to copycat incidents in which others “adopt[ed] the starvation technique in order to gain attention” (87 AD3d at 67). As other courts have recognized, if one inmate is permitted to engage in this type of behavior without state interference, others “would almost certainly copy the same tactic, manipulating the system to get a change of conditions, possibly resulting in their death” (*see e.g. Commonwealth of Penn., Dept. of Pub. Welfare v Kallinger*, 134 Pa Commw 415, 422, 580 A2d 887, 891 [1990], *appeal dismissed* 532 Pa 292, 615 A2d 730 [1992]). Dorsey makes much of the fact that no such effects were established in the trial court—a point echoed by the dissent. But DOCCS was not required to wait until Dorsey’s behavior actually caused disruption before it sought to intervene. It could rely on *Von Holden* and other authorities to show that, if allowed to continue, a hunger strike can have negative consequences that extend beyond the individual inmate involved.

This has been well-recognized by courts across the country who have addressed similar disputes. Incarceration places a significant psychological strain on its inhabitants, making a prison a volatile environment. This has led one federal appellate court

to observe that “prisons are like powder kegs where even the slightest disturbance can have explosive consequences” (*United States v Johnson*, 616 F3d 85, 94 [2d Cir 2010], *cert denied* 564 US —, 113 S Ct 2858 [2011]). The suicide of an inmate has an agitating effect on other prisoners (*Freeman*, 441 F3d at 547). As the Supreme Court of Connecticut explained:

“the death of an inmate, particularly a successful suicide, evokes a strong reaction from the other inmates and creates a serious safety and security concern because the other inmates may believe that the department staff contributed to, or did not do enough to prevent the inmate’s death” (*Coleman*, 303 Conn at 827, 38 A3d at 102).

That risk is particularly acute in a case like this where the inmate asserted that he was not suicidal but was pursuing a hunger strike to secure a transfer to another facility, among other goals. We can readily infer that knowledge of this purported motivation might lead other inmates to blame DOCCS if Dorsey’s uninterrupted conduct resulted in his death or other serious permanent injury, believing that DOCCS should have given Dorsey what he wanted in order to stop the hunger strike. A choice to save the life of one inmate by, for example, granting a transfer, would undoubtedly encourage countless others to engage in the same life-threatening behavior in order to obtain whatever relief they sought—a transfer, a special diet, enhanced visitation privileges or the like. Needless to say, if correctional institutions were unable to intervene by obtaining a force-feeding order and their only choice was between doing nothing—letting the inmate die—or acceding to the inmate’s demands, this would seriously hamper efforts to maintain safety and discipline within the facility.

It is therefore evident that DOCCS’ decision to intervene when Dorsey’s hunger strike progressed to the point that his life was in jeopardy was reasonably related to legitimate penological objectives. Taking action to interrupt an inmate hunger strike not only serves to preserve life and prevent a suicide but also to maintain institutional order and security. There was no way that DOCCS could effectuate these interests other than to seek a judicial order permitting feeding by nasogastric tube—less intrusive means had been attempted without success. Dorsey had been moved to the infirmary and medical staff within the facility had repeatedly counseled him in an attempt

to get him to voluntarily abandon the hunger strike (as he had done before) to no avail.

Dorsey attempts to dilute the interests advanced by DOCCS by emphasizing that his intent was to secure a transfer (among other objectives), not to commit suicide. But even if we take Dorsey at his word, we fail to see how this strengthens his claim. Many hunger strikes addressed by appellate courts have involved inmates who professed to have some objective other than causing their own deaths (*see e.g. Coleman*, 303 Conn 800, 805, 38 A3d 84, 90 [2012], *supra* [inmate stated that he was pursuing hunger strike to protest his “broken family” and asserted wrongful conviction]; *State of North Dakota ex rel. Schuetzle v Vogel*, 537 NW2d 358 [1995] [inmate said he would resume eating and taking diabetes medication if reinstated to work release program, among other demands])). Dorsey’s purported motivation—the fact that he sought a transfer, in addition to other relief—does not mitigate the risks described above; in some ways, as we have explained, it enhances them.

Indeed, Dorsey’s assertion that his goal was to secure a transfer and bring attention to alleged mistreatment by DOCCS undermines the strength of his own interest in continuing the hunger strike. If that was truly his intent, he had ample other ways to pursue those objectives. In fact, according to his testimony at the hearing, Dorsey was simultaneously utilizing several other means available to him to protest his treatment by DOCCS, including bringing litigation in federal court and filing grievances within the prison system. In some circumstances we do not doubt that the right to refuse medical treatment is a prerogative that is compatible with incarceration. But, even if we assume that some permutation of that right was implicated here, its invocation as part of a strategy to strong-arm DOCCS into granting a privilege to which Dorsey was not otherwise entitled is obviously not. For all of these reasons, Dorsey’s constitutional challenge to Supreme Court’s order was properly rejected.

In closing, it can fairly be said that, given the psychological strain of incarceration, inmates are a vulnerable population insofar as suicide is concerned. Neither their interests nor those of society would be served by a rule that unduly restricts prison authorities’ ability to secure judicial review in a case like this one where, regardless of his intent, an inmate’s life was imperiled by a hunger strike. If a higher burden were imposed on prison staff, it is likely that fewer petitions would be filed by

DOCCS—meaning fewer of these disputes would be resolved by the courts.⁷ In the long run, we doubt this would result in greater protection of inmate rights.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). The Court today offers its views on a range of interesting, important and to some extent novel questions having to do with the respective prerogatives of prison inmates and correctional authorities in the context of inmate hunger strikes. None of these issues, however, is properly before the Court. As petitioner points out and respondent essentially concedes, these matters were never raised, much less decided, at nisi prius and, consequently, are not preserved for this Court's review (see e.g. *Matter of Yeshivath Shearith Hapleth v Assessor of Town of Fallsburg*, 79 NY2d 244, 252 [1992]; *McMillan v State of New York*, 72 NY2d 871, 872 [1988]; and see generally Arthur Karger, Powers of the New York Court of Appeals § 14:1 [3d ed rev 2005]). Petitioner has, accordingly, requested that this appeal be dismissed, and I would agree that that is the proper disposition but for the circumstance that a dismissal would leave standing an Appellate Division decision that itself lacked an adequate jurisdictional predicate. It is not disputed that by the time the Appellate Division issued its decision in this matter, the case had been mooted. The court nonetheless declined to dismiss the appeal on that ground, but rather invoked the exception to the mootness doctrine for substantial and novel matters likely to recur yet evade review (91 AD3d 1051, 1052 [3d Dept 2012]). Although the majority concludes that this was a proper resort to the mootness exception, it is, I believe, clear that it was not and that the exception's use to support appellate review of this matter is not consistent with the governing principles set forth in *Matter of Hearst Corp. v*

7. The dissent asserts that no restrictive rule has been proposed here—but this is not true. Dorsey argues that the State should have to establish, through individual evidence in each case, that it had a compelling interest in ending the hunger strike of the particular inmate in question (despite its conclusion that the case is moot, the dissent hints that it agrees). If we adopted that view, a higher burden would be imposed on DOCCS in seeking judicial intervention which, in turn, would reduce the number of applications filed—and DOCCS would have to postpone bringing a petition until it had evidence of specific disruptive consequences stemming from the hunger strike. Since DOCCS' primary objective is the preservation of life, the timing of a petition should turn, as it now does, on the physical condition of the hunger-striking inmate. A policy that required DOCCS to adopt this type of "wait and see" attitude would further endanger the inmate's life.

Clyne (50 NY2d 707 [1980])). Inasmuch as I can see no basis for the appellate address of issues that are not only unpreserved but irredeemably moot, I cannot join in the advisory opinion the Court now issues, which is not only untethered to any live dispute, but substantially without connection to any relevant factual fundament. I would reverse the order of the Appellate Division and remand the matter with the direction that the appeal be dismissed solely on the ground of mootness (*see id.* at 718; *Matter of City of Utica v Daines*, 21 NY3d 878 [2013]; *Matter of Gold-Greenberger v Human Resources Admin. of City of N.Y.*, 77 NY2d 973, 974 [1991]; *Matter of Adirondack League Club v Board of Black Riv. Regulating Dist.*, 301 NY 219, 223 [1950]).

I

In October 2010 the once morbidly obese respondent, then an inmate at Great Meadow Correctional Facility, began a hunger strike to protest his treatment at the facility. In the course of the ensuing month he lost about 20 pounds and was transferred to the correctional facility's medical unit so that his condition could be closely monitored. On November 22, 2010, this CPLR article 4 proceeding was commenced by order to show cause; petitioner Bezio, the Superintendent of Great Meadow Correctional Facility, in accordance with the relevant directive and protocol of the Department of Corrections and Community Supervision (DOCCS) (Dept of Corr & Community Supervision Directive No. 4309; DOCCS Health Services Policy Manual § 1.30), neither of which has ever been challenged in this litigation,¹ sought to obtain judicial authorization to force feed respondent by means of a nasogastric tube. In a supporting affirmation, Facility Medical Director, Dr. David Karandy, expressed

1. Indeed, although the majority decries the prospect of “a rule that unduly restricts prison authorities’ ability to secure judicial review in a case like this one” (majority op at 107), it is clear that no such restrictive rule has ever been proposed in this litigation. It is not disputed that respondent Dorsey’s hunger strike objective was, in fact, to obtain judicial review of his situation, and his appellate counsel has confirmed that “at no time did respondent challenge the constitutionality of DOCCS Directive 4309.” Counsel explains that

“Through its Directive, DOCCS appears to give appropriate recognition to a hunger striking inmate’s liberty and privacy interests by requiring DOCCS to seek a court order in order to permit the agency to force feed a hunger striking inmate. As such respondent has no issue with the Directive.”

the view that respondent was competent² but manipulative. Respondent, he said, had refused to take solid nutrition³ even though the health risks of continuing his fast had been explained. Dr. Karandy stated that if respondent did not accept nutrition he would suffer organ damage and would die.

At a hearing held on November 23, 2010—one day after the order to show cause was signed—Dr. Karandy testified that respondent's fast, if allowed to continue, would lead to a severe electrolyte imbalance, and thus risk cardiac arrhythmia and/or a heart attack. The doctor said that, unless respondent received vital nutrients, he would perish. Although the majority repeatedly asserts that that eventuality was imminent, Dr. Karandy did not testify to that effect and there is no other evidence to support that conclusion in the record.

Petitioner's counsel attempted to elicit from Dr. Karandy testimony as to the burden respondent's hunger strike placed on the prison facility and its medical resources,⁴ but the proposed testimony was objected to on the ground that the Department of Corrections would be responsible for respondent's welfare in any event. The court sustained the objection, leaving the record completely undeveloped as to whether there was an institutional, i.e., penological, rationale to support the relief requested by petitioner.

Inquiry was made of Dr. Karandy by respondent as to whether respondent's consumption of the liquid dietary supplement Ensure would alleviate his symptoms and as to whether, in view of respondent's willingness to ingest the supplement, its use would be a less intrusive alternative to force feeding. Dr. Karandy acknowledged that respondent's voluntary consumption of Ensure would be an alternative to force feeding, but said that it was not DOCCS's policy to make that nutritional supplement available to hunger strikers; otherwise the supplement would be used to prolong the refusal to eat solid food, a

2. Also accompanying the petition was a psychiatric assessment of respondent by Dr. Michael Slome. In Slome's view, respondent did not suffer from a serious mental disorder. He characterized respondent as "coherent and logical." Respondent, Slome said, explained that he sought through his hunger strike to force petitioner to take him to court where he would be able to air his grievances over his treatment in prison.

3. Respondent had been consuming various fluids.

4. Petitioner's counsel proposed "to show that the institutional order is negatively impacted when one inmate is on hunger strike and that a negatively impacted institutional order [impacts] the safety and welfare of other inmates."

manipulative purpose that DOCCS did not want to encourage, particularly since Ensure was significantly more expensive than the regularly provided institutional fare.

Dr. Karandy did not bring respondent's prison medical records to court. Respondent's counsel, who evidently had been assigned shortly before the hearing, therefore requested an adjournment to obtain and review those records, and perhaps have them reviewed as well by a non-DOCCS medical expert. He repeatedly claimed that he could not properly cross-examine Dr. Karandy without reviewing the records. The court, however, refused to grant a continuance.

The allegedly gravely depleted respondent represented himself, apparently quite energetically, during part of the hearing, and testified at length, claiming vehemently to have been repeatedly mistreated during his time at Great Meadow. He said that the purpose of his hunger strike was to protest that mistreatment and to occasion a judicial proceeding in which he could air his grievances publicly. His counsel too urged that respondent's hunger strike was a form of protest, and relatedly, that it was not informed by suicidal intent. That respondent was not, in fact, suicidal was confirmed in petitioner's submissions in support of its forced feeding application. One of those submissions, a psychiatric assessment performed for Dr. Karandy by Dr. Michael Slome, stated categorically that respondent was not suicidal.⁵

The court, however, indicated that it was not concerned with respondent's motives but only with the circumstance that he was not eating and that the medical testimony was to the effect that the continuation of his fast would have grave health consequences. The court pronounced itself satisfied that there was clear and convincing evidence that respondent had voluntarily refused nutrition and that the proposed intervention, although entailing certain risks, was in respondent's best interests.⁶ As to less restrictive alternatives, the court found that there were

5. It is, accordingly, not essential to respondent's claim that he was not suicidal to take as "dispositive" his own denials of that state of mind. There was, in fact, no evidence at all that respondent was suicidal. As noted, the only clinical evidence was precisely to the contrary.

6. In applying these decisional standards, it would appear that the court was attempting to indicate that the criteria for involuntary treatment of a decisionally incompetent adult set forth in *Rivers v Katz* (67 NY2d 485, 497-498 [1986]) had been met. Respondent, however, was concededly competent. That being the case, the relevant question under *Rivers*—one never litigated before

(n. cont'd)

none, but a moment later remarked to respondent “I think Ensure is a great alternative for you.” Ultimately, he granted the petition to the extent of directing that, if respondent did not voluntarily consume food along with the Ensure he had requested, petitioner would be authorized to force feed him via a nasogastric tube.

On appeal, respondent, now represented by Mental Hygiene Legal Service, argued, for the first time in the litigation, that, as a competent adult, he had the right to make decisions about his own medical treatment, and that the State had not demonstrated a sufficient overriding interest to force treatment upon him.

The Appellate Division, while recognizing that the appeal was moot, since the challenged order, conditionally authorizing respondent’s force feeding for a year, had expired while the appeal was pending and respondent had, in any case, been transferred to a different correctional facility and had not been force fed—that having been unnecessary since he had been given Ensure—nonetheless addressed some points raised by respondent (but not others) under the exception to the mootness doctrine occasionally invoked to allow appellate consideration of substantial and novel issues of public importance that will recur yet typically evade review (*see* 91 AD3d at 1052, citing *Matter of Fosmire v Nicoleau*, 75 NY2d 218, 221 n 1 [1990]). The court expressly did not address respondent’s appellate points urging that his request for a continuance should have been granted and that the hearing evidence did not support the hearing court’s finding that his life was imminently at risk (*see id.*). Those proceeding-specific issues, the Appellate Division said, were not captured by the exception to the mootness doctrine. On the other hand, the court was of the view that it would be appropriate to review under the mootness doctrine exception defendant’s appellate contention that he could not be force fed since his fast was not intended to be suicidal but rather an act of protest. The court, however, elsewhere noted that respondent had not “directly asserted” a free speech claim on appeal (91 AD3d at 1054 n). This circumstance notwithstanding, the court entered upon a wide-ranging consideration of respondent’s right to make decisions respecting his medical treatment and the

the hearing court—was not whether the proposed treatment would be in respondent’s best interests, but whether there was a state interest sufficiently compelling to overcome his right as a competent adult to refuse treatment (*id.* at 498).

weight it should be given when opposed to the State's interest in preserving life, and specifically in protecting the health and welfare of those in its custody. It reasoned that the privacy and liberty interests of prison inmates were reduced (*see id.* at 1053, citing *Matter of Doe v Coughlin*, 71 NY2d 48, 53 [1987], *cert denied* 488 US 879 [1988]) and thus could be impinged simply upon a showing that the proposed impingement was reasonably related to the achievement of a legitimate penological purpose (*see id.*, citing *Turner v Safley*, 482 US 78, 89 [1987]). The court concluded that

“[w]here, as Supreme Court found here, an inmate's refusal to eat has placed that inmate at risk of serious injury and death, we hold—along with the majority of courts that have considered the issue—that the State's interest in protecting the health and welfare of persons in its custody outweighs an individual inmate's right to make personal choices about what nourishment to accept [collecting citations]” (91 AD3d at 1053).

II

It is manifest that the question of whether respondent's right to refuse medical treatment was properly eclipsed by some countervailing interest of the State—either in preventing suicide or maintaining order in its penal facilities—was never litigated before Supreme Court. There is no reading of the record of the proceedings in that court that would support a contrary conclusion, and respondent all but concedes the point when he acknowledges that he “did not clearly articulate this legal argument at trial.” His argument that the issue is nonetheless preserved merely because he opposed the State's petition, finds no support in our jurisprudence and, if accepted, would stunningly enlarge our scope of review. While I am sure that that is not what the Court intends, it offers no alternative theory by which the issues it addresses might plausibly be deemed preserved, and thus properly before us on this appeal, as issues of law.

Respondent's assigned counsel never argued at the hearing upon the petition, even obliquely, that his client had a right to refuse treatment; counsel simply questioned whether Dr. Karandy had accurately assessed the gravity of respondent's condition and whether there was a less intrusive alternative to force feeding. The closest he came to raising an objection to the

proposed intervention rooted in an assertion of a superior right of respondent to persist in his fast, was when he described the fast as a form of free speech, but no First Amendment claim was thereafter developed, either at the hearing or on appeal. And, while the State's attorney attempted to elicit testimony to show that there was a legitimate penologic rationale for bringing respondent's fast to a compelled end, the hearing court refused to allow that testimony.⁷ There is, moreover, no indication that Supreme Court, in determining conditionally to authorize petitioner to force feed respondent, engaged in any consideration of the relative strength of the parties' respective interests and prerogatives. The court simply concluded that respondent was at risk and that he should be treated, if necessary against his will in the invasive manner proposed by petitioner.

The Appellate Division decision, then, in purporting to weigh respondent's right to control his medical treatment against the interests of the State—and particularly as against the interests of the State as a penal custodian—addressed unpreserved issues which this Court may not review. Had those issues been merely unpreserved, that, of course, would not have prevented the Appellate Division from reaching and deciding them in the exercise of its interests of justice power. The difficulty here, however, is that the entire appeal—including, of course, the unpreserved issues the Appellate Division chose to address—was, as the Appellate Division itself observed, moot, and it is very difficult to understand the court's rationale for resorting to its interests of justice power⁸ to address utterly unpreserved and factually undeveloped issues in a situation where its decision would, by hypothesis, have no actual consequence for any party to the litigation.

Be this as it may, the threshold legal issue from our perspective would appear to be whether the Appellate Division abused

7. This may have been because the court evidently understood the relevant decisional criteria to be those applied where involuntary treatment is sought as to an allegedly incompetent adult (*see* n 6, *supra*). Had respondent been incompetent, the State, as the substituted decision maker, would not have had to demonstrate an interest sufficient to overcome respondent's refusal, only that the measures it proposed to take in its *parens patriae* capacity would, in fact, be in respondent's best interests and narrowly tailored to give substantive effect to his liberty interest (*see Rivers*, 67 NY2d at 497).

8. Although the Appellate Division did not in its order specify that it was invoking its interests of justice jurisdiction, that omission is not binding on this Court, and given the lack of preservation, there could have been no other ground for the review the court undertook.

its discretion in invoking the mootness doctrine exception to review issues unreviewable as issues of law.

It is a core purpose of the mootness doctrine to prevent courts from issuing unreviewable advisories that may, as purported adjudications, “spawn[] . . . legal consequences” (see *Matter of Hearst Corp.*, 50 NY2d at 718). Here, the moot issues that the Appellate Division reached out to address, evidently as an exercise of its interests of justice jurisdiction, are not properly subject to further appellate review because they are not preserved, and it was thus not consistent with the mootness doctrine or its narrowly drawn exception, for the court to have decided those issues. The exception to the doctrine requiring courts to refrain from deciding moot questions is not appropriately relied upon where the resulting precedent cannot be further scrutinized up the appellate ladder and will potentially give rise to or “spawn” its own perhaps idiosyncractic eddy of legal consequences. It is true that intermediate appellate courts can and do issue unreviewable precedents when they exercise their interests of justice power—a circumstance that has been a subject of recent consternation to members of this Court’s bench (see e.g. *People v Riley*, 19 NY3d 944 [2012])—but there can be no occasion for the exercise of that extraordinary power under the aegis of the mootness exception.

The Appellate Division apparently was swayed in its application of the mootness exception by the circumstance that the issues raised on appeal were weighty. But even important issues may be irretrievably moot (see *Matter of Hearst*, 50 NY2d at 715). Although the precise issues addressed by the Appellate Division are not settled (cf. *id.*), there is substantial precedent from this Court directly relevant to their disposition (see e.g. *Matter of Fosmire v Nicoleau*, 75 NY2d 218 [1990]; *Rivers v Katz*, 67 NY2d 485 [1986]; *Matter of Doe v Coughlin*, 71 NY2d at 53), and an Appellate Division decision, cited approvingly by the majority, addressing a very similar scenario (see *Matter of Von Holden v Chapman*, 87 AD2d 66 [4th Dept 1982]).⁹ There was then no particularly compelling need for the immediate generation of precedent—certainly none that would justify the address of issues which, in addition to being moot, were unpreserved and consequently factually undeveloped.

9. It should be noted, however, that, as counsel for respondent points out, *Matter of Von Holden* was decided before *Rivers* and *Fosmire*, and, at least arguably, is not current in its analysis of the hunger strike issues addressed.

Moreover, the Appellate Division's selective application of the exception to mootness to save for review some, but not other, issues within the identical moot matter, operated to sever logically intertwined issues, and artificially to permit the consideration of issues at an initial level of abstraction incompatible with the inductive common-law method (*see Matter of Hearst Corp.*, 50 NY2d at 717). Significant preserved arguments were made at the Appellate Division as to the adequacy of the factual predicate for the hearing court's finding that respondent's life was imminently endangered. Not only did Dr. Karandy never actually testify as to the imminence of the predicted harm, but the testimony he did give was substantially untested, since respondent's counsel, evidently assigned virtually on the spot, was forced to cross-examine him without having been afforded access to respondent's medical records, a circumstance that the hearing court described as "unfortunate[]" but refused to rectify. These issues, it is true, were moot, but then so must have been the dependent issues the Appellate Division elected to address.

It is one thing to assume a matter in an appellant's favor in order to demonstrate that it would not ultimately avail him or her; it is quite another to assume the correctness of a trial court's disposition of an issue that has become moot—and is therefore unreviewable—as a ground for reaching and deciding against an appellant yet another moot issue. The latter is what was done in this case. It is clear that if the Appellate Division was to premise its analysis upon the finding that the State had a sufficiently compelling interest to justify the force-feeding of respondent, it could only have been upon the trial court's finding that respondent's life was seriously imperiled, yet the propriety of that finding the Appellate Division correctly deemed a moot question, and thus a matter not properly before it. Having reached that conclusion, the court was not then free to engage in the appellate gymnastic of leapfrogging to the adjudication of other dependent issues. A case like this one, moot in its most basic parts, is moot in its entirety; it should not be an occasion for adjudication, much less for adjudication affecting fundamental liberty and privacy interests. The exception to the mootness doctrine was not, and is not now, properly used to facilitate such an exercise.

Of course, nothing I have said means that a hunger strike case would not be a worthy candidate for consideration under the mootness doctrine exception; only that when the exception

is invoked it should be to address preserved issues in a logical order and on an adequate record.

III

The result of the majority's insistence on addressing matters both moot and unpreserved, is a decision rich in broad assertions based on compound inferences only tenuously, if at all, grounded in the appellate record. As a general matter, I do not disagree with the proposition that DOCCS should be able to secure judicial review when an inmate places his or her life in imminent jeopardy by refusing to eat, but that is a proposition that has never been challenged in this litigation (*see* n 1, *supra*). Nor do I disagree that when an inmate places his or her life in immediate danger by declining nutrition, that a force-feeding order may on occasion be justified by the State's interest in preventing suicide or in maintaining order in its prisons. To the extent that this appeal may be understood to be about an actual case, however, it is about Mr. Dorsey and whether the particular circumstances attending his fast provided the necessary justification for the force feeding order issued as to him. But, like the Appellate Division, the majority finds moot the issues Mr. Dorsey actually raised at his hearing as to the basis for the hearing court's finding that his life was at risk,¹⁰ and then moves on—evidently supposing that that finding was properly made, or that even if it was not it doesn't matter since Mr. Dorsey will no longer be affected by any assumption the Court makes—to the consideration of the interests the State has advanced to support the proposed intervention. At this point, of course, we are no longer actually dealing with Mr. Dorsey, but with a straw man who has starved himself to death's door in order, as the majority has put it, “to strong-arm DOCCS into granting a privilege” (majority op at 107).

Here the analysis becomes remarkably abstract, as it must, because there is no record at all to support the State's claim either that Mr. Dorsey was suicidal or that his fast had any significant effect on prison order. As noted, DOCCS's own consulting psychiatrist stated flatly in his assessment that Mr. Dorsey was not suicidal. He was undoubtedly manipulative, but all civil disobedience is manipulative. Manipulativeness, obviously, is not a

10. Mr. Dorsey continues to maintain that the finding that his life was at risk was made in consequence of a hearing at which his due process rights were violated. He has not then abandoned his contention that the finding is invalid.

sufficient predicate for forced feeding by the State. Assuming, however, that Mr. Dorsey's strike had progressed to the point that his life was actually in jeopardy, the State may have had grounds to compel him to accept nutrition, but our cases lend no support to the majority's present holding to the effect that such orders may, in such circumstances, be had for the asking, without any showing of actual institutional need, since it is universally recognized—practically a matter appropriate for judicial notice—that inmate hunger strikes “can” have a significant destabilizing effect and because it can be “readily infer[red] that knowledge of this purported [manipulative] motivation *might* lead other inmates to blame DOCCS if [an inmate's] uninterrupted conduct resulted in his death or other serious permanent injury” (majority op at 106 [emphasis supplied]). Indeed, this approach would appear to be completely at odds with *Rivers's* injunction that “due process requires that a court balance the individual's liberty interest against the State's asserted compelling need *on the facts of each case* to determine whether [treatment] may be forcibly administered” (67 NY2d at 498 [emphasis supplied]).

While the majority urges that the State should be relieved of demonstrating an institutional (i.e., penological) rationale for force feeding in this case particularly, since it attempted to make such a showing and was prevented from doing so when the court sustained respondent's objection, it does not follow that because a party has been erroneously prevented from adducing proof essential to its claim that the proof can be assumed. In such a circumstance we ordinarily remit to permit the party an opportunity to make the necessary showing, if it can. Of course, that would be pointless here, since the matter is moot. But rather than acknowledge that impediment to appellate review, the majority forges ahead, embracing the notion that the State's legitimate penological interest in force feeding hunger striking prisoners is in all cases self-evident. The majority has, as a matter of process, gone very far afield, and the result of this exercise is a statement of broad policy that is difficult to reconcile with our precedents properly rooted in real cases.

IV

This State's common law has long recognized that a competent adult may not be forced to accept medical treatment, even in situations where the treatment would save or prolong life (*see*

Schloendorff v Society of N.Y. Hosp., 211 NY 125, 129 [1914]; *Matter of Fosmire*, 75 NY2d at 231). The right to refuse treatment, we have held, is a kind of liberty interest within the protective ambit of the Due Process Clause of the State Constitution (see *Rivers*, 67 NY2d at 493). While the right may be overcome in compelling circumstances justifying the State's resort to its police power (*id.* at 495), and the State may thus intervene to prevent suicide (*Matter of Fosmire*, 75 NY2d at 227), the individual's basic prerogative to make decisions affecting his or her own personal health and right to be left alone, i.e. to personal privacy, ordinarily will trump even the best intended state intervention (see *id.* at 228).

This balance of power, it is true, may change when the State in its capacity as a penal custodian seeks to treat an inmate already palpably deprived of liberty and privacy (see *Matter of Doe v Coughlin*, 71 NY2d at 53). But it is clear that inmates retain liberty and privacy interests to the extent that those interests are not incompatible with their incarceration and legitimate penological objectives (see *id.*).

The State, as a penal custodian, has a duty to provide those involuntarily in its charge with necessary medical care. But the State may not, simply because it is acting as a custodian, require a competent inmate to accept the care and treatment it makes available. While it is not difficult to think of situations in which the State's undoubted interest in maintaining order in its prisons and the health of the general inmate population would be sufficient to require individual inmates to accept medical treatment over their objection, it is also not particularly difficult to think of scenarios in which an inmate's privacy and liberty interests, even though diminished, could not be overcome—situations in which the assertion of those interests involved no substantial detriment to prison order. It is, I believe, far from a foregone conclusion that a fasting prisoner—even one whose health has significantly deteriorated—may never refuse the nutrition that the State would force upon him or her. Although the majority allows that there are circumstances in which an inmate's refusal of treatment is compatible with incarceration, it appears to hold that where there is a deliberate refusal to eat the State may, without any showing of institutional need, obtain a force feed order, purely to avert personal harm. But if as is entirely possible—notwithstanding all that the majority has said “can” and “might” happen—a prisoner's fast has no significant demonstrable institutional consequence, it is difficult to

perceive the justification for treating a prisoner's prerogatives with respect to his or her person differently than those of a nonincarcerated individual. A prisoner on a medical unit, either in a prison or in the community, might well refuse treatment, including nutrients, without compromising the achievement of any legitimate penological objective and, in that case, should not be treated differently from any other patient. Even a fasting prisoner in the general prison population will not necessarily impair the functioning and order of the penal institution. Here, however, defendant was segregated on the prison medical unit for most of his fast and there was absolutely no showing that the fast was inciting or otherwise seriously deleterious to the safety and order of the prison (*cf. Matter of Von Holden*, 87 AD2d at 67). There are, of course, burdens to the State eventuated by a prison inmate's fast, but there are public burdens attributable to most refusals of life sustaining nutrition and medical assistance. These, however, cannot themselves suffice to overcome a competent adult's privacy, liberty and expressional interests, even in an institutional setting where those interests are reduced (*see Rivers*, 67 NY2d 485 [1986] [a decisionally competent, psychiatrically committed individual may refuse treatment with neuroleptic medications]). In the absence of some predicate justifying the exercise of the State's police power or, in the prison context, some showing that the ascendancy of the subject personal interests is incompatible with the safe, purposeful and reasonably efficient running of the facility, state interference in a competent adult's decisions respecting his or her body and medical care is, I believe, incompatible with this jurisdiction's precedents. Inasmuch as neither condition of state intervention was demonstrated at the hearing upon the instant petition, there does not appear to have been an adequate legal ground for ordering that respondent be force-fed.

Of course, none of the foregoing arguments were made by respondent who was evidently delighted to have had his day in court and to have had the court direct what he had requested all along—that he be given Ensure. That the case bearing his name should have thereafter persisted and resulted in two appellate opinions having literally nothing to do with what was actually litigated before the hearing court, is a legally inexplicable circumstance of which not even the most manipulative prisoner could have dreamt. The wish to promote rules protective of a vulnerable population is generally laudable, but this is an appellate and not a legislative process, and there is in this

litigation not even a moot contention that DOCCS's existing rules—even when implemented in the legal context established by *Rivers* and *Fosmire*—are somehow inadequate to afford prisoners the protection that they should have.

Judges READ, SMITH and PIGOTT concur with Judge GRAFFEO; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judge RIVERA concurs.

Order affirmed, without costs.

[989 NE2d 940, 967 NYS2d 658]

KAREN HASTINGS et al., Appellants, v LAURIER SAUVE et al.,
Respondents, et al., Defendant.

Argued March 21, 2013; decided May 2, 2013

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered April 5, 2012. The Appellate Division modified, on the law, an order of the Supreme Court, Franklin County (David Demarest, J.), which had granted motions by defendants Laurier Sauve and William Delarm for summary judgment dismissing the complaint against them. The modification consisted of granting summary judgment dismissing the complaint against defendant Albert Williams. The Appellate Division affirmed the judgment as modified. The following question was certified by the Appellate Division: “Did this Court err, as a matter of law, in modifying, on the law, the order of the Supreme Court by granting summary judgment dismissing the complaint against defendant Albert Williams and, as so modified, affirming the order?”

Hastings v Suave, 94 AD3d 1171, reversed.

HEADNOTE**Animals — Roaming on Highway — Negligently Permitting Cow to Stray from Property**

A landowner or the owner of an animal may be liable under ordinary tort-law principles when a farm animal, i.e., a domestic animal as that term is defined in Agriculture and Markets Law § 108 (7), is negligently allowed to stray from the property on which the animal is kept. Therefore, in an action to recover damages for personal injuries plaintiff sustained when the van she was driving hit a cow on a public road, summary judgment should not have been granted to defendants, the owners of the cow and owner of the property on which the animal was kept, where there was evidence that would support a finding that any or all of the defendants were negligent in allowing the cow to enter the roadway. The rule of *Bard v Jahnke* (6 NY3d 592 [2006]), that when harm is caused by a domestic animal, its owner’s liability is determined solely by the vicious propensity rule, did not bar plaintiff’s action since it did not involve aggressive or threatening behavior by an animal. To apply the rule of *Bard* in a case like this would be to immunize defendants who take little or no care to keep their livestock out of the roadway or off of other people’s property.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Animals §§ 48, 67, 72, 92.

McKINNEY'S, Agriculture and Markets Law § 108 (7).
NY JUR 2d, Animals §§ 163, 164, 169, 170.
PROSSER AND KEETON, TORTS (5th ed) § 78.

ANNOTATION REFERENCE

Liability of owner of animal for damage to motor vehicle or injury to person riding therein resulting from collision with domestic animal at large in street or highway. 29 ALR4th 431.

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POINTS OF COUNSEL

Fischer, Bessette, Muldowney & Hunter, LLP, Malone (Matthew H. McArdle of counsel), for appellants. I. The courts below misapplied the case law on the strict liability issue. (*Vichot v Day*, 80 AD3d 851; *Bard v Jahnke*, 6 NY3d 592; *Collier v Zambito*, 1 NY3d 444; *Petrone v Fernandez*, 12 NY3d 546; *Rose v Heaton*, 39 AD3d 937; *Gannon v Conti*, 86 AD3d 704; *Alia v Fiorina*, 39 AD3d 1068; *Unger v Forty-Second St. & Grand St. Ferry R.R. Co.*, 51 NY 497; *Young v Wyman*, 159 AD2d 792, 76 NY2d 1009; *Loeffler v Rogers*, 136 AD2d 824.) II. Issues of fact exist as to whether defendants knew or should have known of the propensities of the cow to escape the pasture. (*Rose v Heaton*, 39 AD3d 937; *Bard v Jahnke*, 6 NY3d 592; *Bannout v McDaniels*, 30 Misc 3d 1215[A], 2011 NY Slip Op 50073[U]; *Deborah Intl. Beauty v Quality King Distribs.*, 175 AD2d 791; *Weinstock v Handler*, 254 AD2d 165.) III. At minimum, the strict liability rule cannot be applied for the benefit of defendant Laurier Sauve. (*Vichot v Day*, 80 AD3d 851; *St. Germain v Dutchess County Agric. Socy.*, 274 AD2d 146.)

Napierski, VanDenburgh, Napierski & O'Connor, LLP, Albany (John W. VanDenburgh and Christina D. Porter of counsel), for Laurier Sauve, respondent. I. A claim in strict liability is the only cause of action permitted for harm caused by a domestic animal. (*Bard v Jahnke*, 6 NY3d 592; *Collier v Zambito*, 1 NY3d 444; *Smith v Reilly*, 17 NY3d 895; *Petrone v Fernandez*, 12 NY3d 546; *Bernstein v Penny Whistle Toys, Inc.*, 10 NY3d 787; *Alia v Fiorina*, 39 AD3d 1068; *Tennant v Tabor*, 89 AD3d 1461; *Vichot v Day*, 80 AD3d 851; *Staller v Westfall*, 225 AD2d 885; *Krieger v Cogar*, 83 AD3d 1552.) II. Respondent Laurier Sauve should be

subject to the same liability standard as the animal's owner. (*Petrone v Fernandez*, 12 NY3d 546; *Bernstein v Penny Whistle Toys, Inc.*, 10 NY3d 787.) III. Appellant failed to establish a claim in strict liability. IV. Respondent Laurier Sauve had no actual or constructive notice of a dangerous condition with respect to the fence. (*Piacquadio v Recine Realty Corp.*, 84 NY2d 967; *Gordon v American Museum of Natural History*, 67 NY2d 836; *Stewart v Canton-Potsdam Hosp. Found., Inc.*, 79 AD3d 1406.)

O'Connor, O'Connor, Bresee & First, PC., Albany (*Danielle N. Meyers* of counsel), for William Delarm, respondent. I. Plaintiffs' claims are limited to strict liability because plaintiffs allege injuries for harm allegedly caused by a domestic animal. (*Smith v Reilly*, 17 NY3d 895; *Petrone v Fernandez*, 12 NY3d 546; *Bernstein v Penny Whistle Toys, Inc.*, 10 NY3d 787; *Bard v Jahnke*, 6 NY3d 592; *Collier v Zambito*, 1 NY3d 444; *Roberts v Joller*, 39 AD3d 1224; *Alia v Fiorina*, 39 AD3d 1068.) II. Plaintiffs' complaint was properly dismissed because there is no evidence the cow at issue had a propensity to interfere with traffic or evidence that defendant William Delarm had knowledge of the cow's propensity to escape from the pasture and interfere with traffic. (*Collier v Zambito*, 1 NY3d 444; *Smith v Reilly*, 17 NY3d 895; *Vichot v Day*, 80 AD3d 851; *Alia v Fiorina*, 39 AD3d 1068; *Staller v Westfall*, 225 AD2d 885; *Bard v Jahnke*, 6 NY3d 592; *Roberts v Joller*, 39 AD3d 1224.) III. The issue of ownership is not ripe for the Court's consideration. (*Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Filiberto v Herk's Tavern, Inc.*, 37 AD3d 1007; *Arslanoglou v Defayette*, 105 AD2d 973; *Nidzyn v Stevens*, 148 AD2d 592; *Rodriguez v Messenger*, 108 AD2d 1085; *Doumbia v City of New York*, 78 AD3d 587; *Becovic v Poisson & Hackett*, 49 AD3d 435; *Raux v City of Utica*, 59 AD3d 984.)

OPINION OF THE COURT

SMITH, J.

We hold that the rule of *Bard v Jahnke* (6 NY3d 592 [2006]) does not bar a suit for negligence when a farm animal has been allowed to stray from the property where it is kept.

Karen Hastings was injured when the van she was driving hit a cow on a public road. The cow had been kept on property owned by Laurier Sauve, and the cow itself was owned by either Albert Williams or William Delarm. There was evidence that the fence separating Sauve's property from the road was overgrown and in bad repair.

Hastings and her husband brought this personal injury action against Sauve, Williams and Delarm. Supreme Court granted summary judgment motions by Sauve and Delarm. The Appellate Division affirmed as to those defendants, and granted summary judgment as to Williams also, citing *Bard* and other cases for the proposition that “injuries inflicted by domestic animals may *only* proceed under strict liability based on the owner’s knowledge of the animal’s vicious propensities, not on theories of common-law negligence” (*Hastings v Sauve*, 94 AD3d 1171, 1172 [3d Dept 2012] [internal quotation marks omitted]). The Appellate Division expressed its “discomfort with this rule of law as it applies to these facts—and with this result” (*id.* at 1173), and later granted plaintiffs leave to appeal to this Court. We now hold that the rule of *Bard* is inapplicable to a case of this kind, and reverse the Appellate Division’s order.

In *Bard*, we denied recovery to a plaintiff who was attacked by a bull while working in the barn where the bull was kept. Noting that the bull “had never attacked any farm animal or human being before,” we declined to “dilute our traditional rule” that a plaintiff in such a case must show that defendant had knowledge of the animal’s “vicious propensities” (6 NY3d at 597-599). We made clear that by “vicious propensities” we meant any behavior that “reflects a proclivity to act in a way that puts others at risk of harm” (*id.* at 597, quoting *Collier v Zambito*, 1 NY3d 444, 447 [2004]). We have followed *Bard* in two more recent cases involving plaintiffs who were attacked or threatened by dogs (*Petrone v Fernandez*, 12 NY3d 546 [2009]; *Bernstein v Penny Whistle Toys, Inc.*, 10 NY3d 787 [2008]).

This case, unlike *Collier*, *Bard*, *Bernstein* and *Petrone*, does not involve aggressive or threatening behavior by any animal. The claim here is fundamentally distinct from the claim made in *Bard* and similar cases: It is that a farm animal was permitted to wander off the property where it was kept through the negligence of the owner of the property and the owner of the animal. To apply the rule of *Bard*—that “when harm is caused by a domestic animal, its owner’s liability is determined solely” by the vicious propensity rule (6 NY3d at 599)—in a case like this would be to immunize defendants who take little or no care to keep their livestock out of the roadway or off of other people’s property.

We therefore hold that a landowner or the owner of an animal may be liable under ordinary tort-law principles when a farm animal—i.e., a domestic animal as that term is defined in

Agriculture and Markets Law § 108 (7)—is negligently allowed to stray from the property on which the animal is kept. We do not consider whether the same rule applies to dogs, cats or other household pets; that question must await a different case.

In this case, while a number of important facts are disputed, the record read most favorably to plaintiffs would support a finding that any or all of the three defendants were negligent in allowing the cow to enter the roadway. Summary judgment in defendants' favor should therefore not have been granted.

Accordingly, the order of the Appellate Division should be reversed with costs and defendants' motions for summary judgment denied. The certified question is not necessary and should not be answered.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur.

Order reversed, with costs, defendants' motions for summary judgment denied, and certified question not answered on the ground that it is unnecessary.

[989 NE2d 936, 967 NYS2d 654]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHRISTOPHER OATHOUT, Appellant.

Argued March 21, 2013; decided May 2, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 29, 2011. The Appellate Division affirmed a judgment of the Albany County Court (Thomas A. Breslin, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Oathout, 90 AD3d 1418, reversed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Unfamiliarity with or Disregard for Basic Criminal Procedural and Evidentiary Law

In a homicide prosecution, defendant was deprived of effective assistance of counsel where defense counsel's failures were so significant that his representation viewed in its totality was not meaningful. Defense counsel demonstrated a complete lack of familiarity with the specific motions and relevant legal criteria at the pretrial hearings, and his performance at trial was similarly inadequate. Counsel repeatedly failed to object to uncharged crime evidence without any discernable strategic basis, and failed to object during summation when the prosecutor vouched for the credibility of a witness and remarked on the supposed significance of defendant's left-handedness when no evidence was presented that the crime was committed by a left-handed person. Defense counsel was unprepared for the charge conference and failed to request any lesser included offense charge. While defense counsel's errors individually may not have constituted ineffective assistance, the cumulative effect of counsel's actions deprived defendant of meaningful representation. Defense counsel's actions throughout the case showed an unfamiliarity with or disregard for basic criminal procedural and evidentiary law. At the very least, defendant was entitled to representation by counsel with such basic knowledge, particularly so, when defendant was facing a major felony with significant liberty implications.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139.
CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:165,
184:169, 184:174, 184:231, 184:234, 184:248, 184:272.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.10.
NY JUR 2d, Criminal Law: Procedure §§ 864–870, 875, 879,
888, 899, 918.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Criminal Procedure Rules.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: ineffective /5 counsel & cumulative /2 effect /p meaningful /2 representation

POINTS OF COUNSEL

Cheryl Coleman Law Offices, Albany (*Cheryl Coleman* of counsel), for appellant. Trial counsel provided ineffective assistance to defendant. (*People v Turner*, 5 NY3d 476; *Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Fisher*, 18 NY3d 964; *People v Brown*, 17 NY3d 742; *People v Ashwal*, 39 NY2d 105; *People v Baldi*, 54 NY2d 137.)

P. David Soares, District Attorney, Albany (*Steven M. Sharp* of counsel), for respondent. Defendant received effective assistance of counsel. (*People v Benevento*, 91 NY2d 708; *People v Felder*, 47 NY2d 287; *People v Claudio*, 83 NY2d 76; *Strickland v Washington*, 466 US 668; *People v Hobot*, 84 NY2d 1021; *People v Baldi*, 54 NY2d 137; *People v Henry*, 95 NY2d 563; *People v Flores*, 84 NY2d 184; *People v Aiken*, 45 NY2d 394; *People v Rivera*, 71 NY2d 705.)

OPINION OF THE COURT

PIGOTT, J.

In *People v Rivera* (71 NY2d 705, 708 [1988]), this Court held that what constitutes effective assistance of counsel varies according to the particular circumstances of each case. “So long as the evidence, the law, and the circumstances of a particular case, viewed in totality and as of the time of the representation, reveal that the attorney provided meaningful representation, the constitutional requirement will have been met” (*id.* at 708, quoting *People v Baldi*, 54 NY2d 137, 146-147 [1981]). Counsel’s performance must be evaluated to determine whether the tactics and strategies were consistent with those of a “reasonably competent attorney” (*People v Angelakos*, 70 NY2d 670, 674 [1987], quoting *People v Satterfield*, 66 NY2d 796, 799 [1985]). The test is “reasonable competence, not perfect representation” (*People v Modica*, 64 NY2d 828, 829 [1985] [internal quotation marks omitted]). However, that test cannot be so weak as to

deny a defendant adequate due process. Here, we find defense counsel's failures so significant that his representation viewed in its totality was not meaningful.

Defendant was convicted after a jury trial of one count of murder in the second degree (Penal Law § 125.25 [1]). According to the People's theory of the case, defendant, a drug addict, and Oswaida Lugo, also a drug addict and prostitute, went to the apartment of Robert Taylor to engage in sexual acts for money. At some point, defendant and Taylor began to argue over payment. Defendant grabbed Taylor by the neck and when Taylor retreated to the couch, defendant stabbed him with a knife several times, killing him.

Defendant, who was indigent, was originally assigned counsel at his arraignment but later was represented at pretrial proceedings and trial by an attorney who took the case pro bono, apparently at the request of a relative of defendant. A lawyer who specialized in civil matters, counsel had little experience in criminal law.

During pretrial proceedings, defense counsel demonstrated a lack of basic knowledge of criminal procedure; for example, he filed a premature application for defendant's release from custody, unaware that the 45-day mandate set forth in Criminal Procedure Law § 190.80 runs from the time defendant is held for grand jury action rather than from the time of arraignment. He then filed a notice of appeal following the preliminary hearing determination.

Based on counsel's early pretrial performance, defendant sent a letter to the court, subsequently withdrawn, stating that he no longer had confidence in his lawyer and asking that defense counsel be removed from his case* and that his original attorney be reassigned. Defendant noted, among other things, that he had not seen his lawyer since "the day of my . . . arraignment," some two months earlier.

Counsel's performance also compelled the prosecutor, to his great credit, to bring a motion questioning defense counsel's effectiveness. In his motion, the prosecutor chronicled counsel's lack of knowledge of the rules of criminal evidence pertaining to, among other things, impeachment of witnesses and laying a proper foundation for the admission of evidence. The prosecutor sought an inquiry by the court as to defense counsel's ability or,

* Defendant apparently was unaware that since his lawyer was privately retained he could be terminated at any time by defendant.

alternatively, the appointment of standby counsel. Defense counsel responded to the motion asserting, among other things, that he received high marks in law school in criminal law, but, at the same time, joined in the People's request for standby counsel. Unfortunately, County Court took little action on the motions. It made a brief inquiry on the record as to whether defendant wished for defense counsel to continue representing him. Defendant stated, through defense counsel, that he did. The court failed to address the need for standby counsel.

Immediately following this brief inquiry, County Court went forward with scheduled pretrial hearings. Defense counsel's shortcomings at that point became more obvious. For instance, while describing his own motions as "pro forma," he agreed to waive a *Wade* hearing, doing so simply on the People's assertion that all of the single-photo, police-arranged identifications were "confirmatory," and conceded during the *Huntley* hearing that defendant was not in custody during police questioning. At the *Sandoval* hearing, defense counsel agreed to the People's use of a prior conviction only to have County Court intervene to preclude its use. Overall, defense counsel's performance and responses at the pretrial hearings demonstrated a complete lack of familiarity with the specific motions and relevant legal criteria.

His performance at trial was similarly inadequate, much as the People had forewarned in their motion to County Court. Among defense counsel's most notable errors at trial was his repeated failure to object to uncharged crime evidence. At trial, the People introduced evidence of defendant's prior use of crack cocaine and prostitution through multiple witnesses. The prosecution's main witness, Oswaida Lugo, testified that defendant was routinely "a gay prostitute for old men," such as the victim, in order to support his cocaine addiction. The People took this one step further by introducing evidence, through a witness similar in age to the victim, that defendant had sex with that witness for money. All of this evidence should have been the subject of a pretrial ruling under *Molineux*, yet none was objected to by defense counsel. This failure to object throughout the trial had no discernable strategic basis.

During the People's case-in-chief, the prosecutor offered defendant's grand jury testimony, defense counsel having previously permitted defendant to appear before the grand jury. Apparently unaware that defendant's grand jury testimony could

be used by the People at trial, defense counsel objected, claiming surprise. Midway through the trial, defense counsel raised questions with respect to certain physical evidence, admitting to the court that he was examining this evidence for the very first time.

Counsel's failures continued into the prosecutor's summation. He failed to object to the prosecutor's vouching for Lugo's credibility when the prosecutor told the jury that the police would not keep using her as a confidential informant if she were not credible. He also failed to object when the prosecutor pointed out to the jury that defendant, who did not testify at trial, took notes with his left hand during the trial and continued to theorize how the crime was consistent with its commission by a left-handed person—like defendant. Defense counsel failed to object despite the fact that there was no evidence presented either that defendant was left-handed or that the crime was committed by a left-handed person.

Following the close of proof, counsel was unprepared for the charge conference. He neglected to prepare proposed jury instructions as directed by the court, then dissembled, claiming to have reviewed a “missing photograph” charge, only to be advised by the court that no such charge existed. He further failed to request any lesser included offense charge.

Following the guilty verdict, defendant's family retained a new attorney for his appeal. Defendant's appellate counsel prepared a motion pursuant to CPL 330.30 to set aside the verdict, centering around trial counsel's ineffectiveness. County Court summarily denied that motion without a hearing at sentencing.

Defendant then appealed County Court's judgment of conviction to the Appellate Division, arguing, among other things, that he was denied meaningful representation at trial. The Appellate Division affirmed the conviction, finding that, although “counsel's representation of defendant may, at times, have been unorthodox, it was not, when the record is viewed as a whole, ineffective” (90 AD3d 1418, 1421 [3d Dept 2011]). We disagree.

In order to sustain a claim of ineffective assistance of counsel, a court must consider whether defense counsel's actions at trial constituted “‘egregious and prejudicial’ error such that defendant did not receive a fair trial” (*People v Benevento*, 91 NY2d 708, 714 [1998], quoting *People v Flores*, 84 NY2d 184, 188-189 [1994]). While a single error by defense counsel at trial generally does not constitute ineffective assistance (*cf. People v*

Turner, 5 NY3d 476 [2005]), courts must examine defense counsel's entire representation of defendant (*see Flores*, 84 NY2d at 188). "[T]he claim of ineffectiveness is ultimately concerned with the fairness of the process as a whole" (*Benevento*, 91 NY2d at 713). "Defense counsel are charged with managing the day-to-day conduct of defendant's case and making strategic and tactical decisions" (*People v Henriquez*, 3 NY3d 210, 225 [2004]). Counsel's performance in fulfilling this role is "objectively evaluated" (*People v Angelakos*, 70 NY2d 670, 673 [1987]) "to determine whether it was consistent with strategic decisions of a 'reasonably competent attorney' " (*Benevento*, 91 NY2d at 712 [citations omitted]).

While defense counsel's errors in this case individually may not constitute ineffective assistance, "the cumulative effect of [defense] counsel's actions deprived defendant of meaningful representation" (*People v Arnold*, 85 AD3d 1330, 1334 [3d Dept 2011]). Defense counsel's actions throughout this case showed an unfamiliarity with or disregard for basic criminal procedural and evidentiary law. At the very least, a defendant is entitled to representation by counsel that has such basic knowledge, particularly so, when that defendant is facing a major felony with significant liberty implications. Considering the seriousness of the errors in their totality, we conclude that defendant was deprived of a fair trial by less than meaningful representation.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and RIVERA concur with Judge PIGOTT; Judge SMITH dissents and votes to affirm, concluding that defendant received effective assistance of counsel for the reasons stated in the memorandum at the Appellate Division (90 AD3d 1418).

Order reversed and a new trial ordered.

[989 NE2d 962, 967 NYS2d 680]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JACOB
MILTON, Respondent.

Argued March 20, 2013; decided May 7, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 21, 2012. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (Pauline A. Mullings, J.), which had convicted defendant, upon a plea of guilty, of grand larceny in the first degree, (2) vacated the plea, (3) dismissed the superior court information, and (4) remitted the matter to Supreme Court for further proceedings on the felony complaint.

People v Milton, 92 AD3d 899, reversed.

HEADNOTE

Crimes — Indictment — Waiver of Indictment — Superior Court Information Naming Victims Not Identified in Felony Complaint

In a criminal prosecution initiated by a felony complaint charging defendant with first-degree grand larceny and first-degree scheme to defraud, among other crimes, and alleging that defendant obtained personal identifying information from four named individuals and used the information of one of those individuals to obtain bank mortgages on two properties, the superior court information (SCI) under which defendant pleaded guilty was not jurisdictionally defective where it named the bank victims not identified in the felony complaint. The offenses charged in an SCI may include any offense for which the defendant was charged in a felony complaint (CPL 195.20). The felony complaint here named the victims of the alleged identity thefts, but not the victims of the grand larceny. There was nothing inappropriate about adding the names of the grand larceny victims to the SCI as it did not change the offense for which defendant was charged in the felony complaint. The complaint adequately specified the facts of the crime by identifying the specific mortgaged properties, the sales prices of the properties and the exact addresses. Notwithstanding its failure to name the grand larceny victims, the complaint did not suggest that defendant stole property worth more than \$1 million from the identity theft victims. It was evident from the factual recitation that the alleged victims of the grand larceny charge were the unnamed banks who provided mortgage loans totaling more than \$1 million. Moreover, the SCI referenced the docket number of the felony complaint, thereby avoiding confusion as to whether the crimes charged were the same. The fact that the SCI contained a narrower time frame for the crime, to defendant's benefit, did not render the SCI charge a different crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Indictments and Informations §§ 6, 8, 13, 16, 39, 276.

CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:291, 178:388, 178:390, 178:392.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.2, 19.3, 19.5.

McKINNEY'S, CPL 195.20.

NY JUR 2d, Criminal Law: Procedure §§ 982, 1289.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: information /s defect! /s victim /3 name

POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Laura T. Ross, John M. Castellano and Jessica L. Zellner of counsel), for appellant. The Appellate Division improperly reversed defendant's conviction for grand larceny in the first degree and improperly dismissed the superior court information. (People v Pierce, 14 NY3d 564; People v Menchetti, 76 NY2d 473; People v Boston, 75 NY2d 585; People v Ahmed, 66 NY2d 307; People v Patterson, 39 NY2d 288; People v Zanghi, 79 NY2d 815; People v Ashe, 15 NY3d 909; People v Trueluck, 88 NY2d 546; People v Garson, 6 NY3d 604; People v Santi, 3 NY3d 234.)

Jonathan T. Latimer, III, South Hempstead, for respondent. The Appellate Division properly reversed defendant's conviction because the superior court information to which defendant pleaded guilty was jurisdictionally defective. (People v Zanghi, 79 NY2d 815; People v Ashe, 15 NY3d 909.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

At issue in this appeal is whether a superior court information (SCI) is jurisdictionally defective where it names victims not identified in the felony complaint. We conclude that the SCI in the present case was not defective.

Defendant Jacob Milton was charged with grand larceny in the first degree and two counts of a scheme to defraud in the first degree, among numerous other crimes. The felony complaint alleged that between April 1, 2006 and October 16, 2007, defendant met with four mortgage loan applicants (named in the complaint) and acquired their personal identifying information. Defendant then used the information from one applicant, Hector Sandoval, to obtain mortgages on a property in Queens and a property in Kings County, without Sandoval's permission or knowledge. Public records showed that the Queens home sold for \$625,000 and the Kings property sold for \$685,000. The felony complaint did not list the names of the banks from which defendant procured the loans to purchase the properties.

Defendant waived his right to be prosecuted by indictment and pleaded guilty under an SCI to one count of grand larceny in the first degree (stealing property whose value exceeds \$1 million) and one count of scheme to defraud in the first degree. At the plea hearing, defendant originally refused to plead guilty to the crimes charged in the SCI with respect to the named mortgage applicants. The SCI was changed to enumerate Indy Mac Bank and WMC Bank as the victims, and defendant then pleaded guilty. After the court denied defendant's motions to withdraw his plea, the court sentenced defendant to 2 to 6 years incarceration on the grand larceny conviction and, with the consent of the People, vacated his plea to the scheme to defraud charge.

Before the Appellate Division, defendant raised numerous claims, including the argument that the SCI was jurisdictionally defective because the victims' names differed from those listed in the felony complaint. The Appellate Division determined that the SCI was jurisdictionally defective because it "did not include at least one offense that was contained in the felony complaint," vacated defendant's plea, and did not reach defendant's other claims (92 AD3d 899, 900 [2d Dept 2012] [internal quotation marks and citation omitted]). The Appellate Division's holding rested entirely on its view that the designation of the victims in the SCI "differed from those named in the felony complaint" (*id.*). A Judge of this Court granted the People leave to appeal (19 NY3d 865 [2012]), and we now reverse.

Defendants may waive indictment by a grand jury and consent to be prosecuted by an SCI (*see* NY Const, art I, § 6; CPL 195.10, 195.20). Waivers of indictment allow a defendant to "obtain a

speedier disposition of the charges against him and the State is spared the time and expense of unnecessary Grand Jury proceedings” (*People v Menchetti*, 76 NY2d 473, 476 [1990]). In describing the offenses to be charged in an SCI, CPL 195.20 provides that “[t]he offenses named may include any offense for which the defendant was held for action of a grand jury and any offense or offenses properly joinable therewith pursuant to sections 200.20 and 200.40.” Therefore, an SCI may include any offense for which the defendant was charged in a felony complaint (*Menchetti*, 76 NY2d at 477). A charge in the SCI that is the same offense, a lesser included offense, or a joinable offense “may be substituted for the original charge in a waiver of indictment and SCI” (*People v Pierce*, 14 NY3d 564, 568 [2010]). However, an SCI may not charge “*greater* offenses, which have additional aggravating elements,” than those charged in the felony complaint (*People v Zanghi*, 79 NY2d 815, 817 [1991]). We observed in *Pierce* that “the improper inclusion of an offense in a waiver of indictment and SCI is a jurisdictional defect that, when raised on direct appeal, requires reversal of the conviction and dismissal of the SCI” (14 NY3d at 574).

Here, the offense to which defendant pleaded guilty is the same offense for which he was charged in the felony complaint, and adding the names of the victims in the SCI did not render the offense a different one. Though the felony complaint did not name the banks that provided the loans, the complaint identified the specific properties in Queens and Brooklyn on which defendant took out mortgages in Hector Sandoval’s name. The felony complaint listed the sales prices of the properties and their exact addresses, adequately specifying the facts of the crime. The felony complaint charged defendant with grand larceny for stealing over \$1 million to purchase those specified properties. In the amended SCI, the larceny was described with further specificity by naming the banks that provided the loans on the two properties. There was nothing inappropriate about adding the names of the victims as it did not change the offense alleged. The felony complaint named the victims of the alleged identity thefts, but not the victims of the first degree grand larceny. The felony complaint does not suggest that the people it names were victims of the latter crime; no one reading the felony complaint would infer that property worth more than \$1 million was stolen from the identity theft victims. The alleged victims of first degree grand larceny were clearly the unnamed banks who provided mortgage loans totaling more than \$1

million. Thus, there was no factual discrepancy between the felony complaint and the second SCI; the crimes were simply portrayed from a different perspective. Indeed, the SCI referenced the docket number of the felony complaint, so there was no confusion as to whether the crimes charged were the same. The SCI did differ from the complaint in that the time frame for the crime was narrowed, but the added specificity did not render the charge in the SCI a different crime. It, in fact, benefitted the defendant by narrowing the window of liability.

Defendant now asserts that the felony complaint and the SCI allege different crimes—since the banks named in the SCI were not the ones who advanced the sums referred to in the felony complaint—but the record does not demonstrate this, and the burden of making a record sufficient to permit appellate review is on the party seeking it (*see People v McLean*, 15 NY3d 117, 121 [2010]).* This case involves precisely the same crime of grand larceny, described in both the felony complaint and the SCI. Though the ultimate victims of larceny were unnamed in the complaint, it was evident from the factual recitation that the banks providing loans on the two properties were the larceny victims. The SCI therefore served as a proper jurisdictional predicate for defendant’s guilty plea (*see People v Zanghi*, 79 NY2d at 817) and was not defective.

Accordingly, the Appellate Division order should be reversed, the superior court information reinstated, and the case remitted to the Appellate Division for consideration of the facts and issues raised but not determined on the appeal to that court.

Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur.

Order reversed, superior court information reinstated, and case remitted to the Appellate Division, Second Department, for

* To the extent defendant specifically claims Indy Mac Bank and WMC Bank were not the banks that provided the loans on the two properties, defendant essentially raises a factual issue that is unpreserved and beyond our review (*see People v Patterson*, 39 NY2d 288, 295 [1976], *affd Patterson v New York*, 432 US 197 [1977] [“A defendant cannot be permitted to sit idly by while error is committed, thereby allowing the error to pass into the record uncured”]). A purported error or insufficiency in the facts of an indictment or information to which a plea is taken does not constitute a nonwaivable jurisdictional defect and must be raised in the trial court (*see People v Iannone*, 45 NY2d 589, 600 [1978]). Relatedly, the People are not required to substantiate and prove every fact listed in an SCI, as that would turn every criminal plea into a mini-trial.

consideration of the facts and issues raised but not determined on the appeal to that court.

[991 NE2d 666, 969 NYS2d 808]

ROMAN CATHOLIC DIOCESE OF BROOKLYN et al., Appellants, v
NATIONAL UNION FIRE INSURANCE COMPANY OF PITTSBURGH,
PA., Respondent, et al., Defendant.

Argued March 19, 2013; decided May 7, 2013

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 20, 2011. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Kings County (Martin M. Solomon, J.), as had (a) denied those branches of the motion by defendant National Union Fire Insurance Company of Pittsburgh, Pa., which were for summary judgment, in effect, declaring that the alleged acts of sexual abuse in the underlying action constitute multiple occurrences, that the settlement amount and any “additional consideration” are to be allocated on a pro rata basis over seven policy periods, and that the plaintiffs must exhaust a \$250,000 self-insured retention for each commercial general liability policy implicated; and (b) granted those branches of plaintiffs’ cross motion which were for summary judgment dismissing defendant’s fourth and sixth affirmative defenses; (2) granted those branches of defendant’s motion; (3) denied those branches of plaintiffs’ cross motion; and (4) remitted the matter to the Supreme Court, Kings County, for the entry of a judgment, among other things, declaring that the alleged acts of sexual abuse in the underlying action constitute multiple occurrences, that the settlement amount and any “additional consideration” are to be allocated on a pro rata basis over seven policy periods, and that the plaintiffs must exhaust a \$250,000 self-insured retention for each commercial general liability policy implicated. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated September 20, 2011, properly made?”

Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa., 87 AD3d 1057, affirmed.

HEADNOTES

Insurance — Liability Insurance — “Occurrence” — Self-Insured Retention

1. In an action involving an insurance coverage dispute regarding the apportionment of liability for a settlement between the insured and a minor

plaintiff in the underlying action charging sexual molestation by a priest on several occasions in various locations from 1996 through 2002, the Court of Appeals affirmed an order of the Appellate Division which declared that the alleged acts of sexual abuse constituted multiple occurrences, that the settlement amount should be allocated on a pro rata basis over seven policy periods, and that plaintiffs must exhaust the self-insured retention for each policy implicated.

Insurance — Duty to Defend and Indemnify — Applicability of Disclaimer Notice Requirements to Defenses Based on Liability Limitations

2. In an action seeking a declaratory judgment that defendant insurer was required to indemnify plaintiff, up to the liability limits of two consecutive one-year commercial general liability policies, for the settlement amount and certain defense fees and costs of an underlying civil action charging sexual molestation of a minor by a priest over a span of six years and seven policy periods, defendant's affirmative defenses regarding the application of the self-insured retention (SIR) requirement and the apportionment of liability on a pro rata basis were not subject to the notice requirements of Insurance Law § 3420 (d). Although failure to comply with Insurance Law § 3420 (d) notice requirements bars an insurer from seeking to disclaim coverage, defendant was under no statutory duty to disclose a liability limitation, and therefore was not barred from making its arguments regarding the application of the SIR, and allocation. The defenses did not relate to an argument of exclusion or disclaimer, but rather, focused on the extent of alleged liability under the various policies.

Insurance — Contribution among Insurers — Allocation of Liability

3. In an action seeking a declaratory judgment that defendant insurer was required to indemnify plaintiff, up to the liability limits of two consecutive one-year commercial general liability policies, for the settlement amount and certain defense fees and costs of an underlying civil action charging sexual molestation of a minor by a priest over a span of six years and seven policy periods, a pro rata allocation of liability was consistent with the language of the policies at issue. By example, one of defendant's policies provided coverage for bodily injury only if the bodily injury "occurs during the policy period" and is caused by an "occurrence." The policy's coverage was limited only to injury that occurred within the finite one-year coverage period of the policy. Assuming that the minor plaintiff suffered "bodily injury" in each policy year, it would be consistent to allocate liability across all implicated policies, rather than holding a single insurer liable for harm suffered in years covered by other successive policies. There was no indication that the parties intended that plaintiff's total liability for bodily injuries sustained during the six-year period of abuse would be assumed by a single insurer. Moreover, a joint and several allocation was not applicable as plaintiff could not precisely identify the sexual abuse incidents to particular policy periods. As the minor plaintiff in the underlying action could only give a broad time-frame in which the sexual abuse was perpetrated, proration of liability would acknowledge the fact that there was uncertainty as to what actually transpired during any particular policy period.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1396, 1399, 1524, 1525, 1765.

COUCH ON INSURANCE (3d ed) §§ 198:31, 198:35, 198:48, 200:11, 200:12, 200:15–200:17, 200:35, 218:3, 218:6, 218:10, 218:11.

McKINNEY'S, Insurance Law § 3420 (d).

NY JUR 2d, Insurance §§ 2046, 2049, 2052, 2076, 2081, 2083, 2345, 2346.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies; Liability Insurance.

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Database: NY-ORCS

Query: disclaim! /p notice /p limitation /3 liability /p disclos!

POINTS OF COUNSEL

Herzfeld & Rubin, P.C., New York City (*David B. Hamm* and *Miriam Skolnik* of counsel), for appellants. I. National Union Fire Insurance Company of Pittsburgh, Pa.'s failure to raise either "multiple occurrences" (hence, multiple self-insured retentions) or pro rata allocation as grounds for partial denial of coverage in its 2004 disclaimer letters precludes their reliance upon those grounds now. (*General Acc. Ins. Group v Cirucci*, 46 NY2d 862; *Adames v Nationwide Mut. Fire Ins. Co.*, 55 AD3d 513; *Shell v Fireman's Fund Ins. Co.*, 17 AD3d 444; *Clayburn v Nationwide Mut. Fire Ins. Co.*, 58 AD3d 990; *Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 10 NY3d 556; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *County of Sullivan v State of New York*, 137 AD2d 165; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *Allstate Ins. Co. v Gross*, 27 NY2d 263; *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185.) II. There was here but one "occurrence," i.e., one "continuous or repeated exposure to substantially the same general harmful conditions." Only one "per occurrence" self-insured retention was required to be paid. (*Appalachian Ins. Co. v General Elec. Co.*, 8 NY3d 162; *Caporino v Travelers Ins. Co.*, 62 NY2d 234; *Government Empls. Ins. Co. v Kligler*, 42 NY2d 863; *Graphic Arts Mut. Ins. Co. v Bakers Mut. Ins. Co. of N.Y.*, 45 NY2d 551; *Insurance Co. of N. Am. v Dayton Tool & Die Works*, 57 NY2d 489; *Commissioners of State Ins. Fund v Insurance Co. of N. Am.*, 80 NY2d 992; *State Farm Mut. Auto. Ins. Co. v Langan*, 16 NY3d 349; *Miller v Continental Ins. Co.*, 40 NY2d 675; *Pioneer Tower Owners Assn. v State Farm Fire &*

Cas. Co., 12 NY3d 302; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321.) III. Pro rata allocation should not be applied under the circumstances of this case. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *Continental Cas. Co. v Rapid-American Corp.*, 80 NY2d 640; *Century Indem. Co. v Brooklyn Union Gas Co.*, 58 AD3d 573; *In re Prudential Lines Inc.*, 158 F3d 65; *Serio v Public Serv. Mut. Ins. Co.*, 304 AD2d 167; *State of N.Y. Ins. Dept., Liquidation Bur. v Generali Ins. Co.*, 44 AD3d 469.)

Edwards Wildman Palmer LLP, New York City (Barbara I. Michaelides, John D. Hughes and Robert W. DiUbaldo of counsel), for respondent. I. National Union Fire Insurance Company of Pittsburgh, Pa. did not waive its right to assert that plaintiffs are required to exhaust a separate \$250,000 self-insured retention for each triggered policy from which coverage is sought, in the event that coverage for the underlying action is ultimately found to exist. (*Zappone v Home Ins. Co.*, 55 NY2d 131; *Pav-Lak Indus., Inc. v Arch Ins. Co.*, 56 AD3d 287; *Power Auth. of State of N.Y. v National Union Fire Ins. Co. of Pittsburgh*, 306 AD2d 139; *Matter of Worcester Ins. Co. v Bettenhauser*, 95 NY2d 185; *Perkins v Allstate Ins. Co.*, 51 AD3d 647; *Solomon v United States Fid. & Guar. Co.*, 43 AD3d 333; *Fulton Boiler Works, Inc. v American Motorists Ins. Co.*, 828 F Supp 2d 481; *Westchester Fire Ins. Co. v MCI Communications Corp.*, 74 AD3d 551; *Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 10 NY3d 556; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312.) II. The Appellate Division's ruling on the number of occurrences should be affirmed. (*Appalachian Ins. Co. v General Elec. Co.*, 8 NY3d 162; *ExxonMobil Corp. v Certain Underwriters at Lloyd's, London*, 50 AD3d 434; *International Flavors & Fragrances, Inc. v Royal Ins. Co. of Am.*, 46 AD3d 224; *H.E. Butt Grocery Co. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 150 F3d 526; *United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229; *Interstate Fire & Cas. Co. v Archdiocese of Portland in Or.*, 35 F3d 1325; *Fulton Boiler Works, Inc. v American Motorists Ins. Co.*, 828 F Supp 2d 481; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307; *Diocese of Winona v Interstate Fire & Cas. Co.*, 916 F Supp 923, 89 F3d 1386; *Ranger Ins. Co. v Safety-Kleen Corp.*, 814 F Supp 744.) III. The Appellate Division correctly applied the *Consolidated Edison* pro rata allocation methodology. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Serio v Public Serv. Mut. Ins. Co.*, 304 AD2d 167; *Fulton Boiler Works, Inc. v American Motorists*

Ins. Co., 828 F Supp 2d 481; *Crucible Materials Corp. v Certain Underwriters at Lloyd's London & London Mkt. Cos.*, 681 F Supp 2d 216; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307; *Century Indem. Co. v Brooklyn Union Gas Co.*, 58 AD3d 573; *In re Prudential Lines Inc.*, 158 F3d 65; *State of N.Y. Ins. Dept., Liquidation Bur. v Generali Ins. Co.*, 44 AD3d 469; *Westchester Fire Ins. Co. v MCI Communications Corp.*, 74 AD3d 551; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.)

OPINION OF THE COURT

RIVERA, J.

[1] This insurance coverage dispute involves the apportionment of liability for a settlement between the Roman Catholic Diocese of Brooklyn (the Diocese), and a minor plaintiff in an underlying civil action charging sexual molestation by a priest. We agree with the Appellate Division that the incidents of sexual abuse constituted multiple occurrences, and that any potential liability should be apportioned among the several insurance policies, pro rata. We therefore affirm.

In November 2003, Jeanne M. N.-L., individually and as mother and natural guardian of Alexandra L., a minor under the age of 18 years, commenced a civil action against the Diocese and one of its priests. The complaint, as amplified by the bill of particulars, alleged that the priest sexually abused Alexandra on several occasions from August 10, 1996 through May 2002, and that the molestation took place in several locations including the rectory, office and other areas of a church in Queens, New York; the priest's vehicle; the plaintiff's home; and a home in Amityville, New York.

In August 2007, the Diocese settled the action for \$2 million and "additional consideration." The appeal before us involves a dispute between the Diocese and defendant National Union Insurance Company of Pittsburgh, Pa. (National Union), one of its insurance carriers, regarding the Diocese's demand for reimbursement for the settlement.

National Union provided primary insurance to the Diocese, and issued three consecutive one-year commercial general liability policies for August 31, 1995 to August 31, 1996; August 31, 1996 to August 31, 1997; and August 31, 1997 to August 31, 1998. Nonparty Illinois National Insurance Company provided primary coverage for the next three years from August 31, 1998 to August 31, 2001. Defendant Westchester Fire Insurance Company, who settled with the Diocese and is not a party on

this appeal, provided excess umbrella coverage for all seven years under consecutive annual policies. The National Union policies provide coverage for damages resulting in bodily injury during the policy period, and include a liability limitation of \$750,000 and a \$250,000 self-insured retention (SIR) applicable to each occurrence.¹ The parties, thus, agreed that for each occurrence resulting in bodily injury within the policy period, National Union would be liable for covered damages after the first \$250,000 (in excess of the SIR), and its liability would cap at \$750,000.

When the Diocese sought coverage under the 1996-1997 and 1997-1998 National Union policies, National Union responded by letter dated July 15, 2004, disclaiming coverage based on, inter alia, two exclusionary provisions referring to sexual abuse,² and also asserted that the “policies have \$750,000 policy limits

1. The initial “Self Insured Retention” endorsement proposed that each SIR “shall apply separately to each claim arising out of such ‘occurrence.’ ” However, at the request of the Diocese that the purchased coverage “was per occurrence which includes all losses arising out of that occurrence,” the language was amended in a revised endorsement to reflect that each SIR “shall apply separately to each occurrence.” There is no dispute between the parties that the \$250,000 SIR and \$750,000 liability limit applies “per occurrence.”

2. The 1996-1997 policy’s endorsement regarding “Sexual Abuse, Sexual Molestation, [or] Sexual Assault” states:

“Notwithstanding [sic] anything in the policy terms or conditions to the contrary, it is hereby understood and agreed that this contract will NOT cover any school, day care center, child care center or any other related facility for any claims resulting from any claims arising out of: sexual abuse, sexual molestation, sexual assault, sexual victimization, or mental injury or emotional injury resulting therefrom or from any coercing to engage in sexual activities on the part of any employee, assistant, or volunteer of any such facility owned by, operated by or maintained by any insured.”

The 1997-1998 policy’s endorsement regarding a “Sexual Abuse or Molestation Exclusion” provides:

“This insurance does not apply to ‘bodily injury’, ‘property damage’, ‘advertising injury’ or ‘personal injury’ arising out of:

“(a) the actual or threatened sexual abuse or molestation by anyone of any person anywhere, or

“(b) the negligent:

“(i) employment;

“(ii) investigation;

“(iii) supervision;

“(iv) reporting to the proper authorities or failure to so report; or

“(v) retention;

“of any person whose conduct would be excluded by (a) above.”

over a \$250,000 self-insured retention,” and coverage is applicable only if the “bodily injury” occurred during the policy period. In response to a subsequent request for coverage under the 1995-1996 policy, National Union again disclaimed coverage in a December 1, 2004 letter, based on the previously cited exclusionary provisions.³

In January 2009, the Diocese sought a declaratory judgment that National Union was required to indemnify the Diocese for the \$2 million settlement and certain defense fees and costs, up to the liability limits of the 1995-1996 and 1996-1997 policies. National Union asserted two affirmative defenses relevant to this appeal. First, it claimed that “to the extent coverage exists for plaintiffs’ claim, it is subject to multiple self-insured retentions under the Policies.” Second, it asserted that “coverage obligation is limited by the availability of other ‘valid and collectible’ insurance for which plaintiffs may be entitled to coverage.”

National Union moved for partial summary judgment, seeking an order that the incidents of sexual abuse in the underlying action constituted a separate occurrence in each of the seven implicated policy periods, and required the exhaustion of a separate \$250,000 SIR for each occurrence covered under a policy from which the Diocese sought coverage. National Union also sought a ruling requiring that the \$2 million settlement be paid on a pro rata basis across each of the seven policies. In opposition, the Diocese argued that the sexual abuse constituted a single occurrence requiring the exhaustion of only one SIR, and that allocation of liability should be pursuant to a joint and several allocation method, under which the entire settlement amount could be paid for with National Union’s 1995-1996 and 1996-1997 policies. The Diocese also cross-moved for partial summary judgment, seeking a declaration that National Union waived the two affirmative defenses by failing to timely include those bases in their notices of disclaimer of coverage.

Supreme Court denied National Union’s motion for partial summary judgment and granted the cross motion of the Diocese, concluding that National Union, in contravention of the requirements of Insurance Law § 3420 (d), failed to timely disclaim coverage. The court further determined that the incidents of sexual abuse constituted a single occurrence, but

3. The merits of National Union’s coverage defenses are still being litigated in Supreme Court and are not relevant to this appeal.

observed that the language of the policies required the exhaustion of the SIR for each implicated policy.

The Appellate Division reversed the order of Supreme Court, declaring that the alleged acts of sexual abuse constituted multiple occurrences, and that the settlement amount should be allocated on a pro rata basis over the seven policy periods, requiring the concomitant satisfaction of the SIR attendant to each implicated policy (87 AD3d 1057 [2011]). The court granted the Diocese leave to appeal (2012 NY Slip Op 64632[U] [2012]), and certified the following question to this Court: “Was the decision and order of this court dated September 20, 2011, properly made?”

I

[2] As a threshold matter, the Diocese contends that, by failing to timely disclose certain grounds for disclaimer in violation of Insurance Law § 3420 (d), National Union waived the right to assert those contentions in defense: specifically, that exhaustion of the SIR is required for each implicated policy; the incidents of sexual abuse constituted multiple occurrences; and that pro rata allocation is appropriate in this case. Although the Diocese correctly points out that failure to comply with section 3420 (d) notice requirements bars an insurer from seeking to disclaim coverage, National Union was under no statutory duty to disclose a liability limitation, and therefore is not barred from making its arguments regarding the application of the SIR, and allocation.

In the event an insurer seeks to disclaim coverage, section 3420 (d) (2) imposes a timeliness requirement on the issuance of a written notice of disclaimer. It provides:

“If under a liability policy issued or delivered in this state, an insurer shall disclaim liability or deny coverage for death or bodily injury arising out of a motor vehicle accident or any other type of accident occurring within this state, it shall give written notice as soon as is reasonably possible of such disclaimer of liability or denial of coverage to the insured and the injured person or any other claimant.”

Failure to raise a ground for disclaimer “as soon as is reasonably possible” precludes an insurer from later asserting it as a defense (*see General Acc. Ins. Group v Cirucci*, 46 NY2d 862,

863 [1979]; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312, 319 [2007] [“(T)he failure by Travelers to seek verification of the assignment in a timely manner prevents the carrier from litigating the issue now”]; *Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 10 NY3d 556, 563 [2008]).

In *Zappone v Home Ins. Co.* (55 NY2d 131 [1982]), we previously recognized a narrow exception to the timeliness requirement of section 3420 (d), holding that a notice of disclaimer is not required in the event there “is no insurance at all and, therefore, no obligation to disclaim or deny” (55 NY3d at 139). This Court concluded that the notice requirement only applied to “situations in which a policy of insurance that would otherwise cover the particular accident is claimed not to cover it *because of an exclusion in the policy*” (*id.* at 138 [emphasis added]).

Here, the defenses at issue do not relate to an argument of exclusion or disclaimer, but rather, focus on the extent of alleged liability under the various policies. Put simply, they are not subject to the notice requirements of section 3420 (d) because they “do[] not bar coverage or implicate policy exclusions” (*Pav-Lak Indus., Inc. v Arch Ins. Co.*, 56 AD3d 287, 288 [1st Dept 2008]). Thus, National Union did not have to give notice of the SIR requirement because the SIR is not a basis for disclaimer or denial of coverage (*see Power Auth. of State of N.Y. v National Union Fire Ins. Co. of Pittsburgh*, 306 AD2d 139, 140 [1st Dept 2003] [“Thus, the time requirements for disclaiming coverage under Insurance Law § 3420 (d) are inapplicable; since the retention amount does not implicate exclusions in the policy”]). The SIR, which is effectively a deductible to the policies, is not a basis for the denial of coverage. Similarly, arguments pertaining to the appropriate methodology for allocating liability do not provide an exclusionary basis to evade coverage. Accordingly, section 3420 (d) does not apply, and National Union is not precluded from arguing that the incidents of sexual abuse amounted to multiple occurrences, and that any liability should be apportioned on a pro rata basis.

II

Turning to the merits, we now decide whether the several acts of sexual abuse constitute multiple occurrences. This is the first time we address the meaning of “occurrence” in the context of claims based on numerous incidents of sexual abuse of a minor by a priest, which spanned several years and several

policy periods. However, our prior consideration of the complexities associated with interpreting this term provide a roadmap for resolving the issues presented in this case.

It is well established that “[i]n determining a dispute over insurance coverage, we first look to the language of the policy” (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208, 221 [2002], citing *Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 354 [1978]). In doing so, we must “construe the policy in a way that ‘affords a fair meaning to all of the language employed by the parties in the contract and leaves no provision without force and effect’ ” (*Consolidated Edison*, 98 NY2d at 221-222, quoting *Hooper Assoc. v AGS Computers*, 74 NY2d 487, 493 [1989]).

The National Union policies at issue on this appeal define an “occurrence” as “an accident, including continuous or repeated exposure to substantially the same general harmful conditions.” They define “bodily injury” to mean “bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time,” and limit liability to bodily injury that “occurs during the policy period.”

Generally, the issue of what constitutes an occurrence has been a legal question for courts to resolve (*see Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169 [1973]). In *Arthur A. Johnson Corp. v Indemnity Ins. Co. of N. Am.* (7 NY2d 222, 227 [1959]) this Court addressed how to determine whether “there [are] one or more [occurrences] within the meaning of [an insurance] clause limiting coverage to a certain amount per [occurrence].” We adopted the “unfortunate event” test, specifically rejecting other approaches that would equate the number of occurrences with either “the sole proximate cause” (*id.* at 227-228) or by the “number of persons damaged” (*id.* at 228).

In *Appalachian Ins. Co. v General Elec. Co.* (8 NY3d 162 [2007]) we stated that absent policy language indicating an intent to aggregate separate incidents into a single occurrence, the unfortunate event test should be applied to determine how occurrences are categorized for insurance coverage purposes (*see Appalachian*, 8 NY3d at 173). We determined that the unfortunate event test requires consideration of “whether there is a close temporal and spatial relationship between the incidents giving rise to injury or loss, and whether the incidents can be viewed as part of the same causal continuum, without intervening agents or factors” (*id.* at 171-172). This Court has

further observed that “[t]his approach of determining simply whether there was one unfortunate event or occurrence seems to us to be the most practical of the three methods of construction which have been advanced because it corresponds most with what the average person anticipates when he [or she] buys insurance and reads the [occurrence] limitation in the policy” (*Johnson*, 7 NY2d at 229-230 [internal quotation marks omitted]).

Here, nothing in the language of the policies, nor the definition of “occurrence,” evinces an intent to aggregate the incidents of sexual abuse into a single occurrence (*cf. Consolidated Edison*, 98 NY2d at 222 [a policy expressly providing that “(a)ll such exposure to or events resulting from substantially the same general conditions during the policy period *shall be deemed one occurrence*” (emphasis added)]). Applying the unfortunate event test we conclude that the incidents of sexual abuse within the underlying action constituted multiple occurrences. Clearly, incidents of sexual abuse that spanned a six-year period and transpired in multiple locations lack the requisite temporal and spatial closeness to join the incidents (*see Johnson*, 7 NY2d at 230 [“(W)e conclude that the collapses of separate walls, of separate buildings at separate times, were in fact separate disastrous events, and, thus, two different accidents within the meaning of the policy”]). While the incidents share an identity of actors, it cannot be said that an instance of sexual abuse that took place in the rectory of the church in 1996 shares the same temporal and spatial characteristics as one that occurred in 2002 in, for example, the priest’s automobile (*see Appalachian*, 8 NY3d at 174 [“On this record, it appears that the incidents share few, if any, commonalities, differing in terms of when and where exposure occurred”]).

Moreover, the incidents are not part of a singular causal continuum. The causal continuum factor is best illustrated by the facts of *Wesolowski* (33 NY2d 169 [1973]). In that case, this Court held that a three-car collision amounted to a single occurrence “[w]here the insured’s automobile struck one oncoming vehicle, ricocheted off and struck a second more than 100 feet away” (33 NY2d at 170). Under those facts, “the two collisions here occurred but an *instant apart*” and “[t]he continuum between the two impacts was *unbroken, with no intervening agent or operative factor*” (*id.* at 174 [emphasis added]). Thus, contrary to the Diocese’s and dissent’s view that the negligent

supervision was the sole causal factor, and thus requires a finding of a single occurrence, the unfortunate event test requires us to focus on “the nature of the incident[s] giving rise to damages” (*Appalachian*, 8 NY3d at 171; see also *H.E. Butt Grocery Co. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 150 F3d 526, 531 [5th Cir 1998]; *Interstate Fire & Cas. Co. v Archdiocese of Portland in Or.*, 35 F3d 1325, 1329-1330 [9th Cir 1994]). As we stated in *Appalachian*, “cause should not be conflated with the incident” (8 NY3d at 172). Accordingly, where, as here, each incident involved a distinct act of sexual abuse perpetrated in unique locations and interspersed over an extended period of time, it cannot be said, like the uninterrupted, instantaneous collisions in *Wesolowski*, that these incidents were precipitated by a single causal continuum and should be grouped into one occurrence.⁴

The Diocese argues that the policies define occurrence as including “continuous or repeated exposure to substantially the same general harmful conditions.” Therefore, the definition encompasses and anticipates multiple claims, losses and incidents within the meaning of a single occurrence. We agree that the term “occurrence” as defined in the policies may include situations involving multiple events. Our analysis does not end with that conclusion for it fails to resolve the crucial issue in this case, which is what types of claims, issues or incidents may be associated with a single occurrence for purposes of the per occurrence liability limitation and the SIR.

Previously, in *Continental Cas. Co. v Rapid-American Corp.* (80 NY2d 640, 648 [1993]), we observed that the insurance industry had shifted from accident-based coverage “to

4. The dissent’s focus on the underlying claims of negligence asserted in the civil action against the Diocese—negligent hiring, supervision and retention—is akin to a sole proximate cause approach previously rejected by this Court (see *Johnson*, 7 NY2d at 227-228 [rejecting the “proximate cause, or *causa causans*” test]; *ExxonMobil Corp. v Certain Underwriters at Lloyd’s, London*, 15 Misc 3d 1144[A], 2007 NY Slip Op 51138[U], *10 [2007] [“New York’s highest court rejected the ‘cause’ test that ExxonMobil appears to argue, in favor of the ‘unfortunate event’ test”]). The unfortunate event test does not prohibit consideration of common causation, but places it among a number of factors to be evaluated. The “fulcrum of our analysis” is the pertinent incident (*Appalachian*, 8 NY3d at 172). Therefore, the dissent’s focus on the cause, rather than the circumstances of the sexual molestation misses the mark. We also note that we are analyzing the language of the insurance policy, and not the victim’s personal injury action. The fact that the victim may posit a theory of negligence does not determine the meaning of the language of the insurance policies nor the parties’ intent.

occurrence-based coverage in 1966 to make clear that gradually occurring losses would be covered so long as they were not intentional.” Consequently, a number of our occurrence-based insurance coverage cases have dealt with injuries caused by exposure to environmental, or other external, hazards (*see id.*; *Appalachian*, 8 NY3d 162 [2007]; *Consolidated Edison*, 98 NY2d 208 [2002]). Certainly, in those cases, the injuries at issue comported with the general meaning of an “occurrence” as “continuous or repeated exposure to conditions” (*Continental Cas. Co.*, 80 NY2d at 648).

In our view, sexual abuse does not fit neatly into the policies’ definition of “continuous or repeated exposure” to “conditions.” This “sounds like language designed to deal with asbestos fibers in the air, or lead-based paint on the walls, rather than with priests and choirboys. A priest is not a ‘condition’ but a sentient being” (*Lee v Interstate Fire & Cas. Co.*, 86 F3d 101, 104 [7th Cir 1996]; *see also Champion Intl. Corp. v Continental Cas. Co.*, 546 F2d 502, 507-508 [2d Cir 1976, Newman, J., dissenting] [noting that an “exposure to conditions” involves physical exposure to “phenomenon such as heat, moisture, or radiation”]; *ExxonMobil*, 15 Misc 3d 1144[A], 2007 NY Slip Op 51138[U], *9 [“the purpose of a continuous exposure clause is to combine claims that occur ‘when people or property are physically exposed to some injurious phenomenon such as heat, moisture, or radiation’ ”]). The settlement in the underlying claim addresses harms for acts by a person employed by the Diocese. The Diocese’s argument that the parties intended to treat numerous, discrete sexual assaults as an accident constituting a single occurrence involving “conditions” is simply untenable.

Although our focus is the language of the policies and the parties’ intent, the Diocese characterizes the victim’s experience as a “pattern” in support of its argument that this is a single occurrence. While the nature of the incidents that caused injuries is relevant to our assessment under the unfortunate event test, it is not readily apparent how the victim’s own perceptions of sexual molestation shed light on the parties’ intent and the meaning of the terms in the policies. However, it is certainly at least as tenable to conclude that from the victim’s perspective each event is marked by its own serious, individualized set of facts with particularized harms, further supporting a multiple occurrence interpretation of the molestation.

The Diocese analogizes this case to *State Farm Fire & Cas. Co. v Elizabeth N.* (9 Cal App 4th 1232, 12 Cal Rptr 2d 327

[1992]) where two children attending a day care center “had been sexually molested over a period of a month or more” (9 Cal App 4th at 1235, 12 Cal Rptr 2d at 328). There, the Court of Appeal for the First District, Division 3, of California held that the multiple instances of sexual molestation constituted a single occurrence for insurance coverage purposes. We decline, however, to follow that holding because of certain materially distinguishable differences. First, unlike the plain language at issue here, the policy in *Elizabeth N.* expressly provided that “[a]ll bodily injury and property damage resulting from any one accident or from continuous or repeated exposure to substantially the same general conditions *shall be considered to be the result of one occurrence*” (9 Cal App 4th at 1236, 12 Cal Rptr 2d at 329 [emphasis added]). Again, there is no language within National Union’s policies indicating an intent to aggregate the sexual abuse into a single occurrence. Second, and more significantly, the parties in *Elizabeth N.* “agree[d] that the number of occurrences depends on the cause of injury rather than the number of injurious effects” (9 Cal App 4th at 1236-1237, 12 Cal Rptr 2d at 329). The California Court of Appeal reasoned that the negligent failure of the day care owner to adequately care for, and supervise the children, subjected them to repeated molestation by the perpetrator (*see* 9 Cal App 4th at 1238, 12 Cal Rptr 2d at 330). We, on the other hand, have typically applied the unfortunate event test, an inquiry primarily focused on “the nature of the incident[s] giving rise to damages” (*Appalachian*, 8 NY3d at 171). Thus, unlike this appeal, a finding of a single occurrence was warranted in *Elizabeth N.* under the analytical framework employed by the California court and the particular definition of “occurrence” in the policy at issue.⁵

5. By contrast, in *H.E. Butt Grocery Co.* (150 F3d 526 [1998]), a case involving the sexual abuse of two children in a grocery store, the United States Court of Appeals for the Fifth Circuit rejected an argument that the underlying negligent supervision of the perpetrator warranted a finding of a single occurrence. That court remarked that “when the underlying basis for liability is negligent supervision, yet the damage is caused by an intervening intentional tort, the court cannot look past the immediate cause of the damage for purposes of the insurance policy. Thus, the two independent acts of sexual abuse ‘caused’ the two children’s injuries” (150 F3d at 531). In *Archdiocese of Portland* (35 F3d 1325 [1994]), a factually similar case involving numerous incidents of molestation of a minor by a priest, the United States Court of Appeals for the Ninth Circuit construed the “per occurrence”

(n. cont’d)

Consequently, the Diocese must exhaust the SIR for each occurrence that transpires within an implicated policy from which it seeks coverage (see *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307, 328 [2d Cir 2000] [“when multiple policies are triggered and liability is allocated to each, each policy’s deductible is applicable”]). The policies provide that the SIR “shall apply separately to each occurrence,” and only to “occurrences covered under [the] policy.” The only occurrences that are subject to the policies are those with damages resulting from bodily injuries that occur within the policy period. Therefore, for each policy from which coverage is sought, the SIR is inextricably linked to an occurrence which results in bodily injury during the policy period, and the attendant deductible must be satisfied before coverage can be triggered.⁶ The consequences of such policy language is that the SIR applies to an occurrence with bodily injuries within the policy period, not to an occurrence with injuries sustained in a subsequent policy year. Despite the dissent’s view, if the parties had agreed to a \$250,000 SIR in the first year of coverage, we would not assume that that SIR would apply to bodily injuries occurring in a subsequent, separate policy year.

To permit the Diocese to exhaust a single SIR and then receive coverage from up to seven different policies would conflict with the plain language of the policies, and produce an outcome not intended by the parties. We reject this attempt by this insured to escape the consequences of its bargained for insurance policy provisions.

III

Finally, with respect to allocation of liability, in *Consolidated Edison* (98 NY2d 208 [2002]), we highlighted the distinction between the joint and several allocation and pro rata allocation

policy to hold that the incidents constituted multiple occurrences, observing “that the occurrence is not the Archdiocese’s negligent supervision of . . . or failure to remove [the priest], but rather, the exposure of the boy to the negligently supervised priest” (35 F3d at 1330 [internal quotation marks and emphasis omitted]).

6. The dissent argues that our interpretation of the policies—that each incidence of abuse constitutes a single occurrence exposing the Diocese to multiple SIRs per policy period—could not have been intended by the parties. However, the language of the policies is clear that the SIR applies separately to each occurrence, thus anticipating the possibility of multiple occurrences per policy period. Moreover, each occurrence carries a \$250,000 SIR and \$750,000 liability cap, regardless of the nature of the occurrence or claim that exposes the Diocese to liability.

methods. A joint and several allocation permits the insured to “collect its total liability . . . under any policy in effect during” the periods that the damage occurred (98 NY2d at 222), whereas a pro rata allocation “limits an insurer’s liability to all sums incurred by the insured during the policy period” (*id.* at 222-223 [internal quotation marks omitted]).

In that case, Consolidated Edison had operated a gas plant for 60 years which had caused severe environmental contamination. Consolidated Edison sought a declaratory judgment that it could allocate all liability to any one of the 24 insurers who issued policies during the 60-year period in which the gas plant was operated. This Court agreed with the insurers that pro rata allocation, while not mandated by the policies, was consistent with the language of the policies and the circumstances of that case. The extent of environmental damage could not be precisely identified with any particular year of the 60-year period; therefore, we concluded that pro rata allocation was the appropriate method of apportioning liability among all the insurers. The Court observed that joint and several allocation is particularly inappropriate where “it is impossible to determine the extent of the . . . damage that is the result of an occurrence in a particular policy period” because it “presupposes [an] ability to pin an accident to a particular policy period” (*id.* at 224).

[3] A pro rata allocation is consistent with the language of the policies at issue here. By example, National Union’s 1995-1996 policy provides coverage for bodily injury only if the bodily injury “occurs during the policy period” and is caused by an “occurrence.” Plainly, the policy’s coverage is limited only to injury that occurs within the finite one-year coverage period of the policy. To that end, assuming that the minor plaintiff suffered “bodily injury” in each policy year, it would be consistent to allocate liability across all implicated policies, rather than holding a single insurer liable for harm suffered in years covered by other successive policies. There is no indication that the parties intended that the Diocese’s total liability for bodily injuries sustained from 1996 to 2002 would be assumed by a single insurer. Furthermore, like *Consolidated Edison*, a joint and several allocation is not applicable in this case as the Diocese cannot precisely identify the sexual abuse incidents to particular policy periods. The minor plaintiff in the underlying action could only give a broad time-frame in which the sexual abuse was perpetrated and conceded in her affidavit that she was “unable in good faith . . . to state the exact date(s), time(s), [and]

place(s) of each and every assault” (see *Serio v Public Serv. Mut. Ins. Co.*, 304 AD2d 167 [2d Dept 2003]; *State of N.Y. Ins. Dept., Liquidation Bur. v Generali Ins. Co.*, 44 AD3d 469 [1st Dept 2007]). Thus, “[p]roration of liability among the insurers acknowledges the fact that there is uncertainty as to what actually transpired during any particular policy period” (*Consolidated Edison*, 98 NY2d at 224).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

SMITH, J. (concurring). I concur in the result, and join section III of the plurality opinion. I think, generally for the reasons explained in Judge Graffeo’s opinion, that there was only one occurrence here, not several. But because that occurrence took place continuously over several years, the resulting injury must be allocated on a pro rata basis to each of the years, and one retention applied to each year’s injury.

I am not sure why the plurality reaches the allocation issue. On the plurality’s multiple-occurrence hypothesis, there is no possible allocation that can help plaintiff in this case. If each act of abuse was a separate occurrence, “allocation” is a factual question: how much injury is attributable to each act? I see no possible argument for allocating all the loss to one year, as plaintiff asks, if there were as many occurrences as there were acts of abuse.

On the other hand, on the hypothesis, which I believe correct, that there was a single occurrence extending over a multi-year period, allocation of the loss resulting from the occurrence presents a question of law—one that the plurality decides correctly. Under our decision in *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.* (98 NY2d 208, 221-225 [2002]), when injury from a single covered accident or occurrence is incurred over a period to which several policies are successively applicable, each policy can be charged only with the portion of the injury that was suffered while that policy was in force. The retention in each policy should be applied against the injury allocated to it.

This reasoning leads to the same result reached in two federal cases involving coverage of claims for alleged sexual abuse by priests, *Interstate Fire & Cas. Co. v Archdiocese of Portland in Or.* (35 F3d 1325 [9th Cir 1994]) and *Society of R.C. Church of Diocese of Lafayette & Lake Charles, Inc. v Interstate Fire & Cas. Co.* (26 F3d 1359, 1361-1367 [5th Cir 1994]). Both the

plurality and Judge Graffeo, I believe, err in their discussions of the *Archdiocese of Portland* case. The plurality mistakenly thinks that case supports a multiple-occurrence theory here (plurality op at 152-153 n 5). Judge Graffeo correctly says that it supports a single-occurrence theory, but argues that it is distinguishable from the present case on the allocation issue (concurring and dissenting op at 162-163).

I see no critical distinction. I admit there is a difference: in *Archdiocese of Portland*, as in *Society of R.C. Church*, the court read the policy language to mean that a priest's acts of abuse, though constituting only one "occurrence" in any year, became a new "occurrence" when a new policy year began. I read the *Consolidated Edison* case to imply, and I would hold here, that under the policies now before us a new retention applies to the "injury" suffered each year. But the difference between "occurrence" and "injury" is inconsequential because, in sexual abuse cases, the abuse and the resulting injury are simultaneous. Thus whether it is the "occurrence" or the "injury" that is spread pro rata among policies will not alter the result in any case involving multi-year sexual abuse.

Judge Graffeo argues that, because the retentions in our case are identified as "per occurrence" retentions, only one retention can be credited against a multi-year occurrence, even though the injury is allocated pro rata over several years. But the better reading of the policies is that, even when an occurrence continues from year to year, a new retention becomes available each year. This would be obvious if different insurers issued identical policies in successive years; it would be wrong to let one insurer and not the others get the benefit of a retention. The happenstance that successive policies are issued by a single insurer should not change the outcome.

Though I reach the same result as the plurality here, my difference with both the plurality and Judge Graffeo would be significant in other cases. To clarify the point, imagine a case where a priest committed 20 acts of abuse of one victim over five years, and five one-year policies were successively in force, each with a self-insured retention. How many retentions are to be applied? The plurality's logic gives the answer 20. Judge Graffeo would say one. The Ninth and Fifth Circuits would say five, and I think they are correct.

GRAFFEO, J. (concurring in part and dissenting in part). I agree with the plurality that the insurer did not waive its

“multiple occurrence” and “pro rata allocation” arguments by failing to timely assert these issues in its disclaimer letters. I also concur with its conclusion that pro rata allocation of the loss across all implicated policies is appropriate.¹ But because I do not believe that application of the “unfortunate event” test results in a finding that the continuous course of sexual abuse of a single child by the same negligently hired and supervised priest amounted to multiple occurrences, I respectfully dissent from that part of the plurality decision.

I

Under the National Union policy, the term “occurrence” is defined as “an accident including continuous or repeated exposure to substantially the same general harmful conditions.” This definition is similar to the clause we interpreted in *Appalachian Ins. Co. v General Elec. Co.* (8 NY3d 162 [2007]), where we applied the unfortunate event test to hold that General Electric could not aggregate, on an annual basis, asbestos-related personal injury claims brought by numerous individuals who were exposed to asbestos-containing steam turbines installed at more than 22,000 sites throughout the United States.

We made clear in *Appalachian* that resolving the occurrence question is a two-part process. First, the court must identify the incidents or occasions giving rise to injury or loss. Second, it must apply the unfortunate event test to determine whether they constitute one occurrence. Under the second inquiry, the court considers “whether there is a close temporal and spatial relationship between the incidents . . . , and whether the incidents can be viewed as part of the same causal continuum,

1. The pro rata allocation and multiple occurrence issues are distinct. Under the allocation issue, the question is whether the insurer is entitled to demand that the loss be apportioned across all seven policies in effect when the abuse occurred, rather than covered by only one or two at the election of the insured. Resolution of the allocation issue is significant, no matter how the Court decides the occurrence question, because the Diocese indicates that several of the primary policies contained a sexual abuse exclusion that would preclude coverage for losses in those policy years. If the Diocese is correct about the scope of the policy exclusions (an issue not before us), since we have concluded that the claim must be allocated across all seven policy periods, it appears that the Diocese may recover only the pro rata share attributable to the first two policies which allegedly had narrower sexual abuse exclusions and therefore may cover the loss. Resolution of the occurrence issue involves a different question: how many self-insured retentions will the Diocese have to pay to gain access to the pro rata coverage allegedly available under the policies that had the narrower exclusions.

without intervening agents or factors” (*id.* at 171-172). In *Appalachian*, we explained that “the incident that gave rise to liability was each individual plaintiff’s continuous or repeated exposure to asbestos” (*id.* at 173 [internal quotation marks omitted]). Applying the unfortunate event factors, we concluded there were numerous occurrences because, even assuming the causal continuum element was met, “the incidents share few, if any, commonalities, differing in terms of when and where exposure occurred, whether the exposure was prolonged and for how long, and whether one or more GE turbine sites was involved” (*id.* at 174). This case is a far cry from *Appalachian*.

Here, plaintiffs in the underlying personal injury action sought recovery from the Roman Catholic Diocese of Brooklyn based on its alleged negligent hiring and supervision of a priest who, over a span of more than six years, repeatedly engaged in a course of sexual abuse of a particular child. Just as the incident or occasion giving rise to injury or loss in *Appalachian* was the repeated or continuous exposure of an individual plaintiff to asbestos, here the incident or occasion was the repeated or continuous exposure of the child to the same negligently hired and supervised priest.

Although the course of sexual conduct allegedly engaged in by the priest constitutes intentionally tortious (indeed criminal) behavior, the Diocese was sued for its own allegedly negligent acts: inappropriate hiring, retention and supervision of the priest. Viewed from the perspective of the Diocese—the entity that purchased insurance coverage—the incident giving rise to liability was the child’s repeated molestation by the same priest, which was a consequence of her exposure to the same risk of harm created by the Diocese (i.e., an allegedly negligently hired and improperly supervised employee). As noted in *Appalachian*, the fact that the exposure was repeated and continued for several years “does not make it any less the operative incident or occasion giving rise to liability” (8 NY3d at 174). In reaching this conclusion, I do not conflate the cause of the incident with the incident itself as the plurality suggests. In fact, I apply the unfortunate event test to the same “incident or occasion” as the plurality—the priest’s sexually abusive contact with the child. Our differences arise from disparate views concerning the policy language and the application of the unfortunate event factors.

Contrary to the conclusion reached by the plurality, by defining a single occurrence as encompassing “continuous or

repeated exposure to substantially the same general harmful conditions,” the insurance contract included language in the policy evincing an intent to aggregate certain bodily injury events that might otherwise be viewed as distinct incidents. The purpose of the unfortunate event test is to determine when such aggregation is appropriate.

Applying the unfortunate event factors, I conclude that there was one occurrence. First, the claim for which the Diocese seeks coverage arose from the bodily injury of one party. None of the possible tests discussed in *Appalachian* (the proximate-cause approach, the one-accident-per-person approach, or the unfortunate event test) would have resulted in separating into multiple occurrences a claim by one complainant suing based on exposure to the same injury-producing condition (absent language restricting the duration of an occurrence, which I discuss below). Certainly, application of the test we adopted in *Appalachian* does not require that result.

Although the abuse incidents continued for more than six years, there were no substantial periods of intervening time when there was no abuse. Rather, according to the submissions in the personal injury action, for several of the years encompassing instances of abuse the child’s mother worked as a cook at the rectory at least five days a week and sometimes on weekends; she would pick the child up at school and bring her to work every day, where the child would remain until the mother went home, sometimes late at night. The infant plaintiff indicated that the priest’s inappropriate sexual contact occurred virtually every day that the child was at the rectory and sometimes multiple times in the same day. Thus, there is no question that the sexual abuse incidents were sufficiently frequent and connected (i.e., temporally close to one another) to meet the requirements of the unfortunate event test.

Nor is there a “spatial” disconnect, to the extent that factor can be applied here. Most of the abuse incidents occurred at the rectory—all arose from the child’s exposure to the same priest, which came about as a result of his employment with the Diocese where her mother worked. And, at least insofar as the Diocese’s liability is concerned, the incidents had a common cause—the Diocese’s negligent hiring, retention and supervision of the priest. It is true, as the plurality notes, that the priest engaged in numerous acts of sexual abuse—the Diocese’s alleged negligence was certainly not the sole cause of the child’s

injuries. But this did not disrupt the causal link between the Diocese and the incidents because the Diocese was held liable for a continuous course of conduct—negligent hiring, supervision and retention of the priest—that created the occasion for the abuse. Just because the Diocese’s negligence was not the sole cause of the injuries does not mean that there was a break in the causal chain between its acts or omissions and the incidents underlying the injured plaintiff’s loss. I therefore conclude that the sexual abuse constituted one occurrence under the unfortunate event test.

Purporting to apply that test, the plurality instead holds that there were multiple occurrences—although the decision is somewhat unclear as to whether there were multiple occurrences per policy or whether it is aggregating abuse incidents within each policy year, resulting in one occurrence per policy. The difference between these two conclusions can be significant (especially when there is an excess insurer that has also provided coverage on a “per occurrence” basis, as is the case here). Reading between the lines, because it emphasizes the disparate nature of each sexual abuse incident, and there were numerous assaults during each policy period, it appears that the plurality concludes that there were multiple occurrences per policy. If the priest sexually abused the child 20 times in a given year (and this is an extremely low estimate given her allegations), then under the plurality’s one-occurrence-per-abuse-incident analysis the Diocese would be required to pay 20 \$250,000 self-insured retentions for that period—even though its liability emanated from a single lawsuit involving one injured party who was exposed to the same repeated, virtually-continuous risk of harm.

I cannot imagine that this was what the parties had in mind when the coverage was purchased. Certainly, the policy contemplated that the Diocese might seek coverage in any given policy period for more than one occurrence—in the course of a year, the Diocese might be liable for several different injury-producing events (e.g., a parishioner might fall on the church steps; a child might be injured at a Diocesan school playground; a tree located on church property might fall on a visitor’s vehicle resulting in property damage). But what the parties would not have anticipated was that a single lawsuit brought by one injured plaintiff who suffered damages as a result of the same harmful condition would be treated as multiple occurrences within each policy period. While each sexual abuse incident may well have constituted a separate “bodily injury,” the parties

agreed that the self-insured retention would be triggered by an “occurrence.” Since the policy defines an occurrence as the “continuous or repeated exposure to substantially the same general harmful conditions,” and the temporal, spatial and causal analysis indicates that the abuse was part of one unfortunate event, there was only one occurrence.

II

That being said, my conclusion that the course of sexual conduct involving the infant plaintiff involved one occurrence under the unfortunate event test does not necessarily resolve the question of how many self-insured retentions the Diocese was required to pay when it sought coverage under more than one policy. Parties to insurance contracts are free to fashion self-insured retention provisions that require that a retention be paid every time a policy’s coverage is triggered, regardless of whether this is based on the same injury-producing condition. The question is whether that occurred here.

As the plurality explains, each of the National Union policies provide coverage for bodily injury only if it is “caused by an occurrence” and “occurs during the policy period.” Here, since there was bodily injury (sexual abuse incidents) caused by an occurrence that spanned multiple policy periods, there is no question that multiple coverage provisions were triggered. However, in these policies, the Diocese’s obligation to pay a self-insured retention does not hinge on whether there has been “bodily injury” within a policy period—rather, the policies require the payment of one self-insured retention per *occurrence*.

In many insurance policies, an occurrence cannot span more than one policy year because the definition of “occurrence” contains language restricting its temporal scope. This was true in *Appalachian* where the policies defined “occurrence” as “an accident, event, happening or continuous or repeated exposure to conditions which unintentionally results in injury or damages *during the policy period*” (8 NY3d at 172 [emphasis added]). But in this case, though the parties used temporally limiting language to define coverage for “bodily injury,” the definition of “occurrence” contains no similar language restricting its duration.² By agreeing that one self-insured retention would be owed

2. In this regard, Judge Smith’s concurrence fails to recognize the relevant language in the insurance contract. He suggests that there is no distinction

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per “occurrence” and failing to include language restricting an occurrence to a single policy term, the insurance agreement required the Diocese to pay only one self-insured retention for an occurrence even if it spanned multiple policy years—triggering multiple policies—as occurred here. I would therefore modify the decision of the Appellate Division by issuing a declaration to that effect.

The cases from other jurisdictions cited by National Union are not to the contrary. Most involved insurance policies in which the definition of “occurrence” included a clause comparable to the restrictive “during the contract term” language found in *Appalachian* (and present in many if not most occurrence-based policies)—which is inexplicably absent here. This was true in *Interstate Fire & Cas. Co. v Archdiocese of Portland in Or.* (35 F3d 1325 [9th Cir 1994]) where an excess insurer brought suit to resolve a dispute concerning the primary coverage available for a settlement involving the repeated sexual abuse of a single child that continued over four policy periods. The excess insurer contended that each act of molestation was a separate occurrence, meaning that, for each incident of sexual abuse, the Diocese would be required to pay a self-insured retention and the primary insurer would have to exhaust its per-occurrence limit. The Diocese maintained that all four years of molestation involved one occurrence, implicating one self-insured retention and one per-occurrence primary policy limit. The 9th Circuit rejected both arguments based on the language of the policy, which defined occurrence as “an accident or a happening or event or a continuous or repeated exposure to conditions which unexpectedly and unintentionally results in personal injury . . . during the policy period” (*id.* at 1329 [emphasis added]).

between a covered “injury” and an “occurrence” (Smith, J. concurring op at 156)—but in this policy the terms “bodily injury” and “occurrence” have separate functions and different definitions. It is only an occurrence that triggers the obligation to pay a self-insured retention, with one self-insured retention owed for each occurrence. Although he agrees that there was one occurrence under the unfortunate event test, Judge Smith does not explain why he nonetheless concludes that there were multiple occurrences—one per policy period—for purposes of payment of the self-insured retention. His reliance on *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.* (98 NY2d 208 [2002]) is misplaced because in that case we did not determine either the number of occurrences or the scope of a self-insured retention requirement, nor indicate that “a new retention applies to the ‘injury’ suffered each year” (Smith, J. concurring op at 156); the case addresses a different question—how a loss arising from a continuing harm should be allocated.

Similar to my analysis, the 9th Circuit reasoned: “it is the repeated ‘exposure’ of the [child] to the negligently supervised priest, resulting in injury, that provides the basis for indemnification” and, as such, “it is ‘exposure’ to such conditions . . . that constitutes the occurrence” (*id.*) It went on to explain:

“Although the definition of occurrence provides that multiple exposures stemming from the same general conditions can constitute a single occurrence, the assuring clause makes it clear that this is true only of multiple exposures occurring *during the period of insurance*” (*id.* at 1329-1330).

Because the language in the pertinent policies precluded an occurrence from spanning more than one policy period, the court determined there was one occurrence per policy year. The plurality cites the case (plurality op 152-153 n 5) but misunderstands it, suggesting that the 9th Circuit refused to group together individual acts of sexual abuse when, in fact, the court aggregated all acts occurring within a single policy year as one occurrence and found four total occurrences only because of the policy’s durational restriction on the scope of an occurrence. The *Interstate Fire* analysis is sound but this case is distinguishable because the policies under review fail to restrict the duration of an occurrence.

Since I concur with the plurality’s ultimate conclusion on pro rata allocation, there is no reason for me to discuss allocation—other than to clarify the difference between the occurrence and allocation issues. The distinction I draw between this case and *Interstate Fire* (which also did not resolve an allocation issue) is not related to our loss allocation rule but pertains to the occurrence issue and is based on differences in the policy definitions of an “occurrence.” Although there are elements of the occurrence and allocation questions that overlap (e.g., both consider causation), whether pro rata allocation is appropriate involves a distinct inquiry that does not necessarily depend on the number of occurrences involved.³ When a policy contains language restricting the duration of an occurrence to a single policy period, a continuous harm can constitute multiple occurrences

3. Absent policy language to the contrary, pro rata allocation is appropriate if (1) the loss arose as a result of a continuous harm spanning multiple policy periods; and (2) it is difficult if not impossible to discern the extent of injuries attributable to any one policy period (*Consolidated Edison*, 98 NY2d at 221, *supra*). I agree with Judge Smith that it is hard to reconcile the plurality’s view that the sexual abuse incidents are too causally attenuated to

(n. cont’d)

(one per policy period) but still warrant pro rata allocation of the loss across all implicated policies, as appears to have been the case in *Consolidated Edison Co.* (98 NY2d 208 [2002], *supra* [pro rata allocation deemed appropriate in case where occurrence definition contained typical “during the policy period” restriction]). And certainly where, as here, there is no language restricting the duration of an occurrence, a continuous harm that causes losses across multiple policy periods can constitute a single occurrence and also present an appropriate candidate for pro rata allocation.

The bottom line is that, whether based on the policy language or some other analysis, most negligent hiring and supervision cases arising from repeated acts of child sexual abuse generally fall into one of two categories. In cases where the abuse did not span more than one policy period, courts have held that there was one occurrence per injured plaintiff (*State Farm Fire & Cas. Co. v Elizabeth N.*, 9 Cal App 4th 1232, 12 Cal Rptr 2d 327 [1992] [where several children were abused by husband of child care provider multiple times over a one-month period, insured’s liability to each child constituted a single occurrence]; *S.F. v West Am. Ins. Co.*, 250 Va 461, 463 SE2d 450 [1995] [where an employee sexually assaulted more than one person in separate incidents, each exposure to a new victim was a new occurrence]; *see generally H.E. Butt Grocery Co. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 150 F3d 526 [5th Cir 1998] [did not involve a course of sexual abuse but, in case where employee assaulted two children on two separate occasions one week apart, there was one occurrence per injured plaintiff]). In cases where the definition of occurrence included durationally-restrictive language and the abuse spanned more than one policy year, courts have concluded that there was one occurrence per injured plaintiff per policy year (*see Society of R.C. Church of Diocese of Lafayette & Lake Charles, Inc. v Interstate Fire & Cas. Co.*, 26 F3d 1359 [5th Cir 1994] [where two priests at one Diocese abused 31 children over seven years, there was one occurrence per child per policy year]; *Roman Catholic Diocese of Joliet, Inc. v Interstate Fire Ins. Co.*, 292 Ill App 3d 447, 685 NE2d 932 [1997] [relationship between priest and minor spanning two policy years constituted one occurrence per policy period]). As

be aggregated as a single occurrence (even within the same policy period) with its subsequent treatment of the pro rata allocation issue, which depends on the conclusion that the entire loss stems from the same continuous harm spanning multiple policy periods.

far as I can detect, none of the cases involving a course of sexual conduct against a single child have employed the analysis adopted by the plurality here, which suggests that each act of sexual abuse involving the same victim constitutes a separate occurrence. Hence, because I find the plurality approach on the occurrence issue to be inconsistent with the policy language and the pertinent precedent, I respectfully dissent from that part of the decision.

Judges READ and PIGOTT concur with Judge RIVERA; Judge SMITH concurs in result in an opinion; Judge GRAFFEO concurs in part and dissents in part in an opinion; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs, and certified question answered in the affirmative.

[991 NE2d 190, 969 NYS2d 416]

LORI SCHLESSINGER et al., Appellants, v VALSPAR CORPORATION,
Respondent.

Argued March 19, 2013; decided May 30, 2013

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. May parties seek to have contractual provisions that run contrary to General Business Law § 395-a declared void as against public policy? 2. May plaintiffs bring suit pursuant to § 349 on the theory that defendants deceived them by including a contractual provision that violates § 395-a and later enforcing this agreement?”

HEADNOTES**Consumer Protection — Consumer Products — Maintenance Agreement — Violation of General Business Law § 395-a**

1. There is no express or implied private right of action to enforce General Business Law § 395-a which, with certain exceptions, forbids the termination before expiration of any “maintenance agreement covering parts and/or service” (General Business Law § 395-a [2]). The legislature chose to assign enforcement exclusively to government officials, and did not include in section 395-a specific language invalidating inconsistent contract provisions, as it did elsewhere in the General Business Law. The furniture protection plan that plaintiff purchased from defendant in connection with plaintiff’s purchase of new furniture provided for a refund of the plan’s purchase price should the store where the furniture was purchased close during the contract period. When plaintiff made a claim under the plan for damage to her furniture after the furniture store closed, defendant tendered plaintiff a full refund of the plan’s purchase price pursuant to the store closure provision. Plaintiff’s breach-of-contract claim against defendant would only succeed if General Business Law § 395-a rendered the store closure provision null and void, which would remove a refund as an option under the plan and cast defendant into breach. As General Business Law § 395-a does not make contract clauses that contradict its terms null and void, plaintiff could not maintain a private action for breach of contract.

Consumer Protection — Deceptive Acts and Practices — Maintenance Agreement — Violation of General Business Law § 395-a

2. A violation of General Business Law § 395-a which, with certain exceptions, forbids the termination before expiration of any “maintenance agreement covering parts and/or service” (General Business Law § 395-a [2]), alone

does not give rise to a cause of action under General Business Law § 349. Plaintiffs alleged that the furniture protection plan that they purchased from defendant in connection with the purchase of new furniture, which provided for a refund of the plan's purchase price should the store where the furniture was purchased close during the contract period, violated General Business Law § 395-a. Plaintiffs alleged in their General Business Law § 349 claim that defendant's violation of section 395-a was perforce a violation of section 349 (a) because, by inserting an unlawful provision in the contract, defendant impliedly represented that the provision was valid and thereby engaged in a deceptive act or practice. General Business Law § 349, however, does not grant a private remedy for every improper or illegal business practice, but only for conduct that tends to deceive consumers. Including a termination provision in a maintenance agreement does not tend, in itself, to deceive consumers.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Consumer and Borrower Protection §§ 255, 262, 279.
McKINNEY'S, General Business Law §§ 349, 395-a.
NY JUR 2d, Consumer and Borrower Protection §§ 5–8, 516.

ANNOTATION REFERENCE

See ALR Index under Consumer Protection; Repairs and Maintenance.

FIND SIMILAR CASES ON WESTLAW®

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Query: maintenance /2 agreement /s expir!

POINTS OF COUNSEL

Law Offices of Lawrence Katz, Cedarhurst (Lawrence Katz of counsel), for appellants. I. Plaintiffs may seek to have contractual provisions that run contrary to General Business Law § 395-a declared void as against public policy. (*Charlebois v Weller Assoc.*, 72 NY2d 587; *Caruso v Allnet Communication Servs.*, 242 AD2d 484; *Cimons v Cimons*, 53 AD3d 125; *Matter of Levison v Trinkle*, 70 AD3d 827; *Lonner v Simon Prop. Group, Inc.*, 57 AD3d 100; *Goldman v Simon Prop. Group, Inc.*, 58 AD3d 208; *Llanos v Shell Oil Co.*, 55 AD3d 796; *Young's L&M Constr., Inc. v Kelley*, 13 Misc 3d 307; *Williams v City of Albany*, 271 AD2d 855; *O'Connor v United States Fencing Assn.*, 260 F Supp 2d 545.) II. Plaintiffs may bring suit pursuant to General Business Law § 349 on the theory that defendants deceived them by including a contractual provision that violates General Business Law § 395-a and later enforcing this agreement. (*Lonner v Simon Prop. Group, Inc.*, 57 AD3d 100; *Goshen v Mutual*

Life Ins. Co. of N.Y., 98 NY2d 314; *Riordan v Nationwide Mut. Fire Ins. Co.*, 977 F2d 47; *Farino v Jiffy Lube Intl.*, 298 AD2d 553; *Conboy v AT & T Corp.*, 241 F3d 242; *Broder v Cablevision Sys. Corp.*, 418 F3d 187.)

Schiff Hardin LLP, New York City (David Jacoby of counsel), and *Schiff Hardin LLP*, Chicago, Illinois (Paula J. Morency, Aphrodite Kokolis and Jeannice D. Williams of counsel), for respondent. I. The Court should reject plaintiffs' efforts to rewrite General Business Law § 395-a to nullify contract provisions and to provide a private right of action the legislature did not create. (*Benjamin v Koepfel*, 85 NY2d 549; *Cimons v Cimons*, 53 AD3d 125; *Matter of Levison v Trinkle*, 70 AD3d 827; *Caruso v Allnet Communication Servs.*, 242 AD2d 484; *Stinton v Robin's Wood, Inc.*, 45 AD3d 203; *Ahmad v Nassau Health Care Corp.*, 8 AD3d 512; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32; *Varela v Investors Ins. Holding Corp.*, 81 NY2d 958; *Mark G. v Sabol*, 93 NY2d 710.) II. Plaintiffs cannot state a claim under General Business Law § 349 by asserting that including the full refund provision in the service contract was deceptive. (*Llanos v Shell Oil Co.*, 55 AD3d 796; *Conboy v AT & T Corp.*, 241 F3d 242; *Broder v Cablevision Sys. Corp.*, 418 F3d 187; *Goldman v Simon Prop. Group, Inc.*, 31 AD3d 382; *Farino v Jiffy Lube Intl.*, 298 AD2d 553; *Walts v First Union Mtge. Corp.*, 259 AD2d 322; *Riordan v Nationwide Mut. Fire Ins. Co.*, 977 F2d 47; *Small v Lorillard Tobacco Co.*, 94 NY2d 43; *Andre Strishak & Assoc. v Hewlett Packard Co.*, 300 AD2d 608; *Cozzani v County of Suffolk*, 84 AD3d 1147.) III. Important constitutional considerations weigh against adopting plaintiffs' arguments, which require the Court to rewrite statutes adopted by the legislature. (*Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Matter of Palmer v Spaulding*, 299 NY 368; *Chase Scientific Research v NIA Group*, 96 NY2d 20; *Desiderio v Ochs*, 100 NY2d 159; *Williams v City of Albany*, 271 AD2d 855; *O'Connor v United States Fencing Assn.*, 260 F Supp 2d 545; *Matter of Notre Dame Leasing v Rosario*, 2 NY3d 459; *Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592.)

OPINION OF THE COURT

READ, J.

The United States Court of Appeals for the Second Circuit has asked us to resolve two questions regarding General Business Law § 395-a, which (with certain exceptions) forbids the

termination before expiration of any “maintenance agreement covering parts and/or service” (General Business Law § 395-a [2]). We hold that General Business Law § 395-a does not make contract clauses that contradict its terms null and void; and that violation of section 395-a alone does not give rise to a cause of action under General Business Law § 349.

I.

Plaintiffs Lori Schlessinger and Brenda Pianko purchased furniture from the Fortunoff Department Store. Each of them also bought from Fortunoff, along with the furniture, the “Guardsman Elite 5 Year Furniture Protection Plan” (the Plan). The Plan is a contract in which defendant Valspar Corporation, through its Guardsman business unit, agreed that, if the furniture became stained or damaged during the contract period, it would “perform one or more” of a number of services—ranging from advice on stain removal to replacement of the furniture—or would arrange a store credit or offer a financial settlement. The Plan contains what plaintiffs call the “store closure provision,” which stipulates that

“[i]f the particular store location where you originally purchased your furniture . . . has closed, no longer carries Guardsman as a supplier, changed ownership, or has stopped selling new furniture since your purchase, Guardsman will give you a refund of the original purchase price of this Protection Plan.”

General Business Law § 395-a (2) says that, with exceptions not applicable here, “[n]o maintenance agreement covering parts and/or service shall be terminated at the election of the party providing such parts and/or service during the term of the agreement.” Plaintiffs claim, and we assume for present purposes (as did the Second Circuit), that the store closure provision violates section 395-a (2).

Fortunoff went into bankruptcy, and the store where plaintiffs bought their furniture closed. Pianko made a claim under the Plan for unspecified damage to her furniture (a table). Based on the store closure provision, Valspar tendered Pianko a full refund of the payment she made for the Plan (\$100 in her case). Schlessinger does not allege that her furniture has been stained or damaged, or that she has made any claim under the Plan.

Plaintiffs brought a diversity action against Valspar in the United States District Court for the Eastern District of New

York in which they asserted two causes of action—one for breach of contract under General Business Law § 395-a and one for damages under General Business Law § 349. Plaintiffs also brought suit on behalf of two putative classes of individuals with New York addresses: those who purchased or will purchase a service contract and those whose claims were resolved by payment of a full refund of the Plan’s purchase price from June 1, 2004 until judgment.

Plaintiffs allege that section 395-a renders the store closure provision “ineffective and not a part of the agreement”; consequently, by denying claims based on this provision, Valspar breached its contracts (i.e., the Plan) with plaintiffs. Further, they contend, Valspar engaged in “deceptive practices” as defined by section 349 by selling maintenance agreements containing the store closure provision. Plaintiffs seek a declaration that the store closure provision is not part of the contract; an injunction against its enforcement; an order requiring the reprocessing of all claims denied because of the store closure provision; statutory damages of \$50 for each individual who purchased the Plan and has not made a claim worth \$50 or more; and attorney’s fees, litigation expenses and costs.

The District Court Judge dismissed the complaint (*see Schlessinger v Valspar Corp.*, 817 F Supp 2d 100 [ED NY 2011]). Relying principally on our decision in *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership* (12 NY3d 236 [2009]), he concluded that a breach-of-contract claim may not arise solely as a result of conduct prohibited by General Business Law § 395-a (here, the inclusion of the store closure provision in the Plan); and that a claim under General Business Law § 349 may not be premised solely on violation of General Business Law § 395-a.

Plaintiffs appealed to the Second Circuit, which certified to us the following questions:

“1. May parties seek to have contractual provisions that run contrary to General Business Law § 395-a declared void as against public policy?

“2. May plaintiffs bring suit pursuant to § 349 on the theory that defendants deceived them by including a contractual provision that violates § 395-a and later enforcing this agreement?” (*Schlessinger v Valspar Corp.*, 686 F3d 81, 89 [2d Cir 2012]).

We accepted the certified questions (19 NY3d 992 [2012]), which we now answer in the negative.

II.

The first certified question is based on plaintiffs' cause of action for breach of contract, which, as the Second Circuit interpreted it, is asserted only by Pianko. Valspar concededly acted in conformity with its express contractual obligations, carrying out one of the alternatives permitted under the Plan's service procedures—i.e., it tendered Pianko a full refund of the original purchase price. As a result, Pianko can only succeed on her breach-of-contract claim if General Business Law § 395-a renders the store closure provision null and void, which would remove a refund as an option under the Plan and cast Valspar into breach.

[1] Unlike certain other provisions in the General Business Law, there is no express or implied private right of action to enforce section 395-a. Instead, the legislature chose to assign enforcement exclusively to government officials.* Additionally, the legislature did not include in section 395-a specific language invalidating inconsistent contract provisions, as it did elsewhere in the General Business Law (*see e.g.* General Business Law § 23 [4] [b] [waiver of warranty for vehicles purchased at auction]; *id.* § 198-a [i] [waiver of warranty for a new motor vehicle]; *id.* § 340 [1] [agreements in restraint of trade]; *id.* § 399-c [2] [b] [mandatory arbitration clauses in certain consumer contracts]). We are unwilling to subvert the legislature's choice to leave such enforcement mechanisms out of General Business Law § 395-a by endorsing private actions for breach of contract.

In our view, this case is much like *Kerusa*, which involved a common-law tort claim. In *Kerusa*, we held that the purchaser of a condominium could not sue the building's sponsor for common-law fraud where the purported fraud was predicated solely on alleged material omissions from the offering plan amendments mandated by the Martin Act (General Business Law art 23-A) and the Attorney General's implementing regulations. As in this case, then, the purported claim would not have existed absent provisions in a statute—in *Kerusa*, the Martin Act; here, General Business Law § 395-a. We concluded that “to accept *Kerusa*'s pleading as valid would invite a backdoor

* General Business Law § 395-a (4) provides that

“[a] violation of the provisions of this section shall be punishable by a civil penalty of not more than three hundred dollars recoverable in an action by the attorney general . . . or by the corporation counsel for any city or by the appropriate attorney of any other political subdivision.”

private cause of action to enforce the Martin Act in contradiction to our holding . . . that no private right to enforce that statute exists” (12 NY3d at 245; *see also City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616 [2009] [city could not bring common-law public nuisance claim predicated on violation of statute—Public Health Law § 1399-ll—that did not allow enforcement by the city or otherwise permit enforcement by private right of action]).

III.

The second certified question arises from the second cause of action in plaintiffs’ complaint. That cause of action, unlike the first, asserts a private right of action arising from a statute—not, plaintiffs say, from General Business Law § 395-a, but from General Business Law § 349. Section 349 (a) provides that “[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service in this state are hereby declared unlawful.” And section 349 (h) expressly creates a private right of action:

“In addition to the right of action granted to the attorney general pursuant to this section, any person who has been injured by reason of any violation of this section may bring an action in his own name to enjoin such unlawful act or practice, an action to recover his actual damages or fifty dollars, whichever is greater, or both such actions.”

[2] Plaintiffs’ theory is, in essence, that Valspar’s violation of section 395-a is perforce a violation of section 349 (a) because, by inserting an unlawful provision in the contract, Valspar impliedly represented that this provision was valid and thereby engaged in a deceptive act or practice. We find plaintiffs’ reasoning too attenuated to be plausible.

Section 349 does not grant a private remedy for every improper or illegal business practice, but only for conduct that tends to deceive consumers (*see Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330, 344 [1999] [the statute prohibits acts “likely to mislead a reasonable consumer” (internal quotation marks and citations omitted)]). It cannot fairly be understood to mean that everyone who acts unlawfully, and does not admit the transgression, is being “deceptive.” Such an interpretation would stretch the statute beyond its natural bounds to cover virtually all misconduct by businesses that deal with consumers. If the legislature had intended this result, it would not have

enacted a statute limited to “[d]eceptive acts or practices” in the first place.

Plaintiffs rely on three Appellate Division cases—*Llanos v Shell Oil Co.* (55 AD3d 796 [2d Dept 2008]), *Lonner v Simon Prop. Group, Inc.* (57 AD3d 100 [2d Dept 2008]) and *Goldman v Simon Prop. Group, Inc.* (58 AD3d 208 [2d Dept 2008])—where the Second Department rejected motions to dismiss section 349 claims by purchasers of prepaid gift cards. The plaintiffs alleged that certain restrictions in the cards had been printed in small type, in violation of General Business Law § 396-i. The distinction between those cases and this one seems clear: Printing contract clauses in small type may tend, in itself, to deceive consumers. Including a termination provision in a maintenance agreement has no such tendency. Thus, assuming *Llanos*, *Lonner* and *Goldman* to be correctly decided, they involved broader deceptive conduct not covered by section 396-i (see *Broder v Cablevision Sys. Corp.*, 418 F3d 187, 200 [2d Cir 2005] [affirming dismissal of a General Business Law § 349 claim where plaintiff did not “make a free-standing claim of deceptiveness under GBL § 349 that happens to overlap with a possible claim under (another state statute),” but rather alleged that a violation of the other statute was, in itself, a section 349 violation]).

Accordingly, the questions certified should be answered in the negative as stated in this opinion.

SMITH, J. (dissenting in part). I agree that General Business Law § 395-a does not create a private right of action, and that for that reason we should answer no to the Second Circuit’s second question: Plaintiffs may not create a private right of action by repackaging a section 395-a violation as a violation of General Business Law § 349. However, I would answer yes to the first question, asking whether parties may seek to have provisions that violate the statute declared void as against public policy.

By the plain language of section 395-a (2)—“No maintenance agreement covering parts and/or service shall be terminated at the election of the party providing such parts and/or service during the term of the agreement”—certain termination clauses are made illegal. It is a corollary of the statute that such clauses may not be enforced, and that courts may declare them unenforceable. To permit a suit to obtain such a declaration is not to recognize a “private right of action” under the statute. As the Second Circuit explained in the opinion in which it certified its questions to us: “The usual implied private right of

action case seeks to fashion a tort remedy from the violation of a statutory provision.” (*Schlessinger v Valspar Corp.*, 686 F3d 81, 87 [2d Cir 2012].)

The first cause of action in the present complaint is not a tort claim arising out of a statute, but a contract claim arising out of a written agreement. Part of the relief sought on that claim is a declaration that the contract must be enforced without regard to a provision that the legislature has prohibited. If—as all assume for present purposes—the store closure provision has been prohibited by the legislature, the conclusion that it may not be enforced follows.

The Second Circuit, while recognizing the difference between plaintiffs’ contract claim and a “private right of action” as usually understood, questioned whether that distinction would be recognized by the New York courts. In the Second Circuit’s view, the Appellate Division’s decision in *Rhodes v Herz* (84 AD3d 1 [1st Dept 2011]) put the question in doubt (*see Schlessinger*, 686 F3d at 87). I would answer that the distinction between a statutory “private right of action” and a contract claim seeking to declare a prohibited clause to be void is indeed recognized by New York law. This does not necessarily mean that *Rhodes* was incorrectly decided; in that case the plaintiff sought not only a declaration of invalidity, but a refund of all money it had paid under an assertedly illegal contract—thus arguably coming closer than plaintiffs’ contract claim in this case does to asserting a claim for damages arising from the statute. However, to the extent that *Rhodes* may be read to suggest that, where a statute does not create a private right of action, a private party may not sue to have an illegal contract declared invalid, that suggestion is simply incorrect.

The majority here makes no mention of *Rhodes* but relies, as did the Federal District Court (*Schlessinger v Valspar Corp.*, 817 F Supp 2d 100, 107-109 [ED NY 2011]), on *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership* (12 NY3d 236 [2009]). *Kerusa* (a case the Second Circuit opinion does not cite) seems to me wholly unlike this case. In *Kerusa*, we dealt with a complex regulatory scheme designed by the legislature for the protection of purchasers in offerings of cooperative and condominium units. The statute—a section of the Martin Act—required the filing of an offering statement with the Attorney General; prescribed the contents of the offering statement in detail; provided for the Attorney General to review the statement and to require the correction of deficiencies in it; and

authorized the Attorney General to adopt regulations to carry out its provisions (General Business Law § 352-e, described in *Kerusa*, 12 NY3d at 243-244). The Attorney General complied by issuing regulations that “fill more than 60 pages in the NYCRR” (*id.* at 244). We held in substance that the Martin Act’s comprehensive scheme, which conferred “broad regulatory and remedial powers” on the Attorney General (12 NY3d at 244, quoting *CPC Intl. v McKesson Corp.*, 70 NY2d 268, 277 [1987]), preempted any common-law fraud cause of action based on the offering statement.

It is a major stretch, it seems to me, to attribute a similar preemptive intention to the legislature that passed the simple provisions of General Business Law § 395-a. That statute says that, with certain exceptions, termination of maintenance agreements at the election of the party providing parts or service is forbidden (General Business Law § 395-a [2]). It also says that a violation of its provisions “shall be punishable by a civil penalty of not more than three hundred dollars recoverable in an action by the attorney general” (General Business Law § 395-a [4]). Under the majority’s reading of the statute, the Attorney General’s suit for a penalty is an exclusive remedy; in other words, merchants are free to violate the statute as long as the Attorney General does not sue. A merchant may terminate an agreement in the teeth of the statutory words “no maintenance agreement . . . shall be terminated,” leaving the consumer without a remedy. I find it impossible to believe that that is what the legislature intended.

Chief Judge LIPPMAN and Judges GRAFFEO, PIGOTT and RIVERA concur; Judge SMITH dissents in part in an opinion; Judge ABDUS-SALAAM taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of this Court’s Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in the negative.

[991 NE2d 692, 969 NYS2d 834]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v THOMAS
LEE, Appellant.

Argued May 1, 2013; decided May 30, 2013

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 29, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of burglary in the second degree and grand larceny in the third degree.

People v Lee, 89 AD3d 633, affirmed.

HEADNOTE**Crimes — Fair Trial — Denial of Request to Remove Interpreter**

The trial court did not abuse its discretion in denying defendant's request that the state-employed court interpreter for complainant wife be removed because the interpreter was acquainted with complainants. The interpreter complied with his ethical obligation by notifying the court that he was a friend of complainant husband. Upon receiving that information, the court questioned the interpreter as to whether he knew the facts of the case, and would be uncomfortable translating for complainant wife. Having received a negative answer to both questions, the trial court allowed defense counsel to question the interpreter. Satisfied that its questioning and that of defense counsel uncovered no bias on the part of the interpreter, the court properly exercised its discretion in not removing him. The court could have reasonably found that the danger the interpreter would distort complainant wife's testimony was remote, particularly because he possessed no knowledge concerning the facts of the case. There was no need to ascertain the interpreter's qualifications or warn him to translate exactly what complainant wife said. As a state employee who had taken an oath to interpret, it could be presumed that the interpreter knew his ethical/professional obligations to translate the testimony verbatim.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 925, 928, 929, 1078, 1079.
CARMODY-WAIT 2d, Conduct of Trial, in General § 190:6.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 23.3.
NY JUR 2d, Criminal Law: Procedure §§ 1106, 2448, 2452,
2457.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Interpreters.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: remove replace /6 interpreter

POINTS OF COUNSEL

Cleary Gottlieb Steen & Hamilton LLP, New York City (*Arminda B. Bepko* and *David E. Brodsky* of counsel), and *Office of the Appellate Defender* (*Richard M. Greenberg* and *Margaret E. Knight* of counsel) for appellant. I. The appointment of a biased interpreter was improper, where the court refused to inquire into the availability of disinterested interpreters and failed to set up a proper mechanism to monitor the accuracy of the translation. (*Matter of James L.*, 143 AD2d 533; *Matter of Yovanny L.*, 33 Misc 3d 894; *People v Constantino*, 153 NY 24; *Advanced Tech. Incubator, Inc. v Sharp Corp.*, 701 F Supp 2d 861; *People v Ranieri*, 149 Misc 2d 948; *People v Branch*, 46 NY2d 645; *People v Furey*, 18 NY3d 284; *Matter of Beer Garden v New York State Liq. Auth.*, 79 NY2d 266; *Scott v Brooklyn Hosp.*, 93 AD2d 577; *People v Meyer*, 78 AD2d 662.) II. The evidence permitted by the trial court under *People v Sandoval* (34 NY2d 371 [1974]) was excessive and overwhelmingly prejudicial. (*People v Williams*, 56 NY2d 236; *People v Mayrant*, 43 NY2d 236; *People v Cooke*, 101 AD2d 983; *People v Rahman*, 62 AD2d 968, 46 NY2d 882; *People v Clark*, 42 AD3d 957; *People v Gonzalez*, 221 AD2d 203; *People v Smith*, 18 NY3d 588; *People v Ellis*, 94 AD2d 652; *People v Gamble*, 182 AD2d 703; *People v Mitchell*, 161 AD2d 247.) III. The trial court erred by refusing to instruct the jury not to decide the case solely on the basis of which side it believed. (*People v Russell*, 266 NY 147; *People v Warren*, 76 NY2d 773; *People v Brown*, 30 AD3d 609; *People v Victor*, 62 NY2d 374; *People v Fish*, 234 AD2d 890; *People v Vera*, 94 AD2d 728; *People v Knowell*, 94 AD2d 255; *People v Khan*, 68 NY2d 921.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*John B.F. Martin* and *Sheryl Feldman* of counsel), for respondent. I. Defendant's complaints about the official court interpreter are largely unpreserved and entirely meritless. (*Matter of James L.*, 143 AD2d 533; *People v Melendez*, 8 NY3d 886; *People v Robles*, 86 NY2d 763; *People v Odum*, 67 AD3d 1465; *People v Wilson*, 188 AD2d 405; *People v Ko*, 133 AD2d 850; *People v McLean*, 15 NY3d 117; *People v Kinchen*, 60 NY2d 772; *People v Olivo*, 52 NY2d 309; *People v Abar*, 99 NY2d 406.) II. The Appellate Division correctly concluded that the trial court's *Sandoval* ruling

was a proper exercise of its discretion. (*People v Hayes*, 97 NY2d 203; *People v Walker*, 83 NY2d 455; *People v Rahman*, 62 AD2d 968, 46 NY2d 882; *People v Hawkins*, 11 NY3d 484; *People v Grant*, 7 NY3d 421; *People v Kello*, 96 NY2d 740; *People v Claudio*, 64 NY2d 858; *People v Mattiace*, 77 NY2d 269; *People v Williams*, 12 NY3d 726; *People v Williams*, 56 NY2d 236.) III. The court properly instructed the jury on the burden of proof. (*People v Allen*, 69 NY2d 915; *People v Nuccie*, 57 NY2d 818; *People v Dory*, 59 NY2d 121; *People v Umali*, 10 NY3d 417; *People v Drake*, 7 NY3d 28; *People v Feerick*, 93 NY2d 433.)

OPINION OF THE COURT

PIGOTT, J.

At issue on this appeal is whether the trial court abused its discretion in refusing defense counsel's request to replace a state-employed court interpreter because he was acquainted with the complainants. Under the circumstances of this case, we conclude that it did not.

Defendant Thomas Lee and a codefendant, Victoria Chin, were charged with burglary in the second degree and grand larceny in the third degree for stealing several thousand dollars' worth of property from the Manhattan apartment of complainants, a husband and wife. At trial, the People called complainant wife, who spoke Cantonese. Prior to her testimony, the court had arranged for a court interpreter to translate her testimony into English. On the day of testimony, the interpreter apprised the court that he was a "friend" of complainant husband, who had introduced the interpreter's father to construction loan officials. The interpreter had also met complainant wife, when she had on occasion stopped in on business meetings he had with her husband. He did not meet with either of them socially. The interpreter also stated that he knew the husband had "served federal time," but denied feeling uncomfortable translating for the wife and stated he had no knowledge of the facts of the case.

The court permitted defense counsel to voir dire the interpreter, who denied that he personally had any business relationship with the husband. Defense counsel nevertheless sought to remove the interpreter because of the relationship and the interpreter's knowledge of complainant husband's "intimidating violent nature," which, in counsel's view, could affect the interpreter's ability to translate objectively. The court denied the request, observing that the interpreter was a state employee

who had taken an oath to fairly discharge his duties as a court interpreter.

Defendant was found guilty of the burglary and grand larceny counts. The Appellate Division affirmed and rejected defendant's request for a new trial based on the trial court's failure to appoint a new interpreter, observing that "the court and defense counsel thoroughly questioned the court interpreter about any possibility of bias, and there is no reason to believe that defendant was prejudiced by the use of this interpreter" (89 AD3d 633, 633-634 [1st Dept 2011]). The court noted that the interpreter was a "career court employee who was presumably well aware of his duty to translate testimony verbatim and accurately," that he did not know the facts of the case, and that there was "substantial corroborating evidence through the testimony of another witness and video surveillance films" to sustain defendant's conviction (*id.* at 634). A Judge of this Court granted leave to appeal (19 NY3d 975 [2012]), and we affirm.

A trial court is obligated to appoint a court interpreter in all criminal cases when it "determines that a party or witness . . . is unable to understand and communicate in English to the extent that he or she cannot meaningfully participate in the court proceedings" (Uniform Rules for Trial Cts [22 NYCRR] § 217.1 [a]). Prior to engaging in their duties, court interpreters must execute and file a constitutional oath of office to faithfully discharge the duties of the position of court interpreter. Just as the trial court has the discretion to determine whether an interpreter is necessary in the first instance (*see* Uniform Rules for Trial Cts [22 NYCRR] § 217.1), or is qualified to serve in that capacity (*see People v Catron*, 143 AD2d 468, 468 [3d Dept 1988], *lv denied* 73 NY2d 853 [1988]), the trial court is also in the best position to determine whether an interpreter, once appointed, is biased in favor of a party or witness, thereby necessitating removal and replacement (*see People v Rivera*, 268 AD2d 538, 539 [2d Dept 2000], *lv denied* 95 NY2d 802 [2000]).

Here, the trial court did not abuse its discretion in denying defendant's request that the court interpreter be removed. The interpreter complied with his ethical obligation by notifying the court that he was a friend of complainant husband. Upon receiving that information, the court questioned the interpreter as to whether he (1) knew the facts of the case, and (2) would be uncomfortable translating for complainant wife. Having received a negative answer to both questions, the trial court allowed defense counsel to question the interpreter. Satisfied that its

questioning and that of defense counsel uncovered no bias on the part of the interpreter, the court properly exercised its discretion in not removing him.

Defendant's reliance on *Matter of James L.* (143 AD2d 533 [4th Dept 1988]) is misplaced. In that case, the trial court appointed the complainant's son to serve as an ad hoc interpreter pursuant to Judiciary Law § 387* to translate for the complainant. In doing so, however, the trial court failed to inquire "into the extent of his bias," ascertain his "qualification to translate," or caution the son "to translate exactly what the primary witness had said" (*id.* at 533-534).

Here, the court questioned the interpreter concerning his relationship with complainants, and there was no need to ascertain his qualifications or warn him to translate exactly what complainant wife said. As a state employee who had taken an oath to interpret, it can be presumed that the interpreter knew his ethical/professional obligations to translate the testimony verbatim. On the facts of this case, the court could have reasonably found that the danger the interpreter would distort complainant wife's testimony was remote, particularly because he possessed no knowledge concerning the facts of the case.

We have considered defendant's remaining arguments and conclude that they are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). Where, as here, a court interpreter is revealed to have prior personal or pecuniary relationships with the complainants in a criminal matter, there exists, at a minimum, a substantial claim of an appearance of bias, if not actual bias. In my view, the trial court's failure to disqualify the court interpreter and substitute an alternate interpreter, coupled with the judge's refusal to provide for an adequate mechanism to confirm the accuracy of the challenged interpretation, amounted to an abuse of discretion. Therefore, I respectfully dissent.

* This section provides, in relevant part, that

"[i]f the services of an interpreter be required in any court and there be no unemployed official interpreter to act therein, the court may appoint an interpreter to act temporarily in such court. Such interpreter shall before entering upon his duties file with the clerk of the court the constitutional oath of office."

A trial court must appoint an interpreter in cases where a party or witness “is unable to understand and communicate in English to the extent that he or she cannot meaningfully participate in the court proceedings” (Uniform Rules for Trial Cts [22 NYCRR] § 217.1 [a]). The court interpreter’s role in a trial is thus significant, and an interpreter potentially has enormous impact on the proceedings. Indeed, it is the interpreter’s words which are heard by the jury and judge and become part of the evidentiary record.

It is the duty of an interpreter to faithfully communicate verbatim the testimony of a non-English speaking witness (*see* Unified Court System Court Interpreter Manual and Code of Ethics Appendix J, Canons of Professional Responsibility for Court Interpreters Canon 1 [Dec. 2008], available at <http://www.nycourts.gov/COURTINTERPRETER/pdfs/CourtInterpreterManual.pdf> [accessed May 24, 2013]). In fulfilling this duty, a court interpreter must avoid serving where he or she may be compromised due to conflict or bias. Canon 6 of the Unified Court System’s Canons of Professional Responsibility for Court Interpreters provides that

“[c]ourt interpreters shall not engage in, nor have any interest, direct or indirect, in any activity, business or transaction, nor incur any obligation, that is in conflict, or that creates an appearance of conflict, with the proper discharge of their interpreting duties or that affects their independence of judgment in the discharge of those duties” (*see* Unified Court System Court Interpreter Manual and Code of Ethics Appendix J, Canons of Professional Responsibility for Court Interpreters Canon 6 [Dec. 2008], available at <https://www.nycourts.gov/COURTINTERPRETER/pdfs/CourtInterpreterManual.pdf> [accessed May 24, 2013]).

Ensuring that an interpreter is qualified and unbiased is critical to safeguarding the fairness of the proceedings and the integrity of the legal system.

Here, the interpreter demonstrated a commendable level of professionalism and sensitivity to his ethical obligations when he apprised the court of his prior personal relationship and dealings with complainant husband. Specifically, he stated that he was complainant’s acquaintance, knew of complainant’s prior criminal background, had held business meetings with complainant, and that the interpreter’s father had secured financial

assistance for his business from complainant. The interpreter also noted his familiarity with complainant wife—a witness herself—whose trial testimony he was called upon to interpret from Cantonese to English. The interpreter thus informed the court of both a personal and pecuniary connection to complainants, and knowledge of complainant husband’s criminal history.

Informed of this relationship, the trial court was presented with a facial violation of Canon 6 and was required to inquire and determine the best way to address this bias, actual or perceived. The majority acknowledges that it is the trial court’s responsibility to determine whether bias exists necessitating removal and replacement (*see* majority op at 179). They, however, conclude that Supreme Court did not abuse its discretion by denying the request to remove this interpreter. I disagree because I believe that the trial court failed to take adequate steps to ensure the accuracy of the interpretation, and to provide a mechanism to preserve the interpretation for review on any subsequent appellate challenge.

For all intents and purposes, the majority’s decision establishes an irrebuttable presumption in favor of official court interpreters under oath, regardless of the potentially compromising circumstances. If all that is necessary to overcome a reasonable claim of bias based, as is the case here, on both personal and pecuniary relationships, is reference to the interpreter’s oath and the interpreter’s lack of familiarity with the specifics of a case, parties with a reasonable suspicion for perceiving some bias would be without recourse, regardless of the strength of the claim of bias. If the fact that the interpreter has taken an oath to faithfully discharge his or her duties is sufficient to overcome a challenge of bias or conflict, then there would never be grounds to remove even the most obviously conflicted interpreter.

That an interpreter is unfamiliar with a case, relied on by the trial court and the majority in support of the failure to substitute the interpreter in this case, is similarly insufficient. The need for Canon 6 illustrates the real possibility that a court interpreter can be biased or burdened by a conflict of interest, regardless of the interpreter’s lack of knowledge of the facts of a case.¹ Certainly a court interpreter with years of experience in

1. Even those who genuinely believe they can discharge their duties without bias may, albeit unconsciously, phrase testimony in a way to sound

(n. cont’d)

the courtroom, familiar with legal terminology, the order of proceedings and testimonial evidence, would be able to ascertain the import of the witness' testimony.

In this case, substitution of the interpreter would have resolved concerns of any actual or potential bias. However, the trial court not only refused to secure a substitute, he failed to even inquire as to the availability of such a substitute, constituting an abuse of discretion.

Of course, it is not always possible to have an interpreter available without causing undue delay to the proceedings, and potentially adversely impacting the rights of the parties. Where a court makes reasonable effort to identify a substitute interpreter, and determines that such substitute is unavailable or cannot be made available without disrupting the proceedings, circumstances may require that the court proceed with the challenged interpreter. In such case, it is essential that the court ensure that reasonable steps are taken to mitigate bias, and that the original testimony is preserved in such a manner as to permit a defendant to confirm the accuracy of the interpretation should the defendant so desire. It must also be possible for meaningful judicial review should defendant discover inaccuracies or otherwise posit a colorable argument as to the fairness of the proceedings.

Here, the trial court failed to implement a mechanism to confirm the accuracy of the interpretation, thus eliminating the possibility of appellate review of the testimony. In response to defense counsel's concerns about the accuracy of the interpretation, the trial judge informed defense counsel that the defendant's family and friends were parties "obviously interested in the correctness of [the] translations" and that there "was no issue whatsoever about the translation and its appropriateness," or else the family members would have "hurd[ed] the well" to alert counsel or the court of any inaccuracies. This reliance upon interested parties, and persons in the courtroom, cannot seriously be considered a realistic and sound method to confirm the accuracy of the witness' testimony as interpreted. Certainly the court could not have meant to invite disruption in the courtroom. Nor could the trial judge realistically rely upon individual observers, without any apparent training in the highly

more reasonable or less harsh to a juror's ear. The most well-intentioned interpreter may be susceptible to the affect of bias, thus, the exhortation in Canon 6 to avoid even the appearance of conflict.

skilled profession of interpreters, to serve as a “check” on the interpretation. It is unacceptable and unrealistic for a court to intend to supplant a qualified court interpreter, who the trial court had already indicated was a trusted member of the court personnel, with a person of unknown skill, and potential bias, and allegiance to a party. As the majority notes, reliance on ad hoc interpreters creates additional challenges for the courts and the parties (*see Matter of James L.*, 143 AD2d 533 [4th Dept 1988]). Moreover, the responsibility for providing interpretive services in a criminal case lies with the court, not the defendant (Uniform Rules for Trial Cts [22 NYCRR] § 217.1).

Given the numerous languages and dialects of the parties, witnesses and others who pass through our nation’s courts daily,² the courts and our society face tremendous challenges in ensuring that the courts are accessible, and that our legal system treats individuals fairly, regardless of their language abilities. The American Bar Association’s recent passage of Standards for Language Access in Courts, supported by the Conference of Chief Justices and the Conference of State Court Administrators, notes that “[a]ccess to justice is unattainable for those who are not proficient in English unless they also have access to language services that will enable them to understand and be understood” (*see American Bar Association, Standards for Language Access in Courts at VIII* [Feb. 2012], available at http://www.americanbar.org/content/dam/aba/administrative/legal_aid_indigent_defendants/ls_sclaid_standards_for_language_access_proposal.authcheckdam.pdf [accessed May 24, 2013]). It is to the credit of New York, and the many individuals who serve as court interpreters, that the Unified Court System provides a mechanism for interpretive services in numerous languages.³ However, in this case, the trial judge’s failure to

2. Court interpreters are required to undergo testing to assess their verbal and written proficiency in English, foreign languages and basic legal terminology. Court interpreters in New York are proficient in Albanian, Arabic, Bengali, Cantonese, Croatian, Dutch, French, Greek, Haitian Creole, Hebrew, Hindi, Italian, Japanese, Korean, Mandarin, Polish, Punjabi, Romanian, Russian, Serbian, Spanish, Urdu and Wolof (*see Candidate Guide to the Language Assessment Testing Program for Court Interpreting*, available at <http://www.nycourts.gov/courtinterpreter/pdfs/candidateguide.pdf> [accessed May 24, 2013]).

3. “New Yorkers speak more than 150 different languages and dialects. More than 30 percent of New Yorkers—almost five mil-

(n. cont’d)

properly address defendant's claims of bias in a manner that would obviate the risk of bias, or which would allow for meaningful appellate review on a subsequent challenge, was error.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge RIVERA dissents in an opinion in which Chief Judge LIPPMAN concurs; Judge ABDUS-SALAAM taking no part.

Order affirmed.

lion people—speak a language other than English at home. Last year, utilizing the services of more than 1,000 interpreters (approximately 300 staff and more than 700 per diem interpreters) the New York courts provided interpreting services in 105 different languages” (*see* Court Interpreting in New York, A Plan of Action: Moving Forward at 2 [June 2011], available at <http://www.nycourts.gov/publications/pdfs/ActionPlanCourtInterpretingUpdate-2011.pdf> [accessed May 24, 2013]).

[991 NE2d 684, 969 NYS2d 826]

MICHELLE GALETTA, Appellant, v GARY GALETTA, Respondent.

Argued April 23, 2013; decided May 30, 2013

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 15, 2012. The Appellate Division affirmed an order of the Supreme Court, Monroe County (John M. Owens, J.), which had, among other things, denied plaintiff's motion for summary judgment seeking a determination that the parties' prenuptial agreement was invalid. The following question was certified by the Appellate Division: "Was the order of this Court entered June 15, 2012, properly made?"

Galetta v Galetta, 96 AD3d 1565, reversed.

HEADNOTES**Marriage — Prenuptial Agreement — Validity — Certificate of Acknowledgment**

1. The certificate of acknowledgment in relation to defendant husband's signature on the parties' prenuptial agreement was defective where it stated only, "On [July 8, 1997], before me came [defendant] described in and who executed the foregoing instrument and duly acknowledged to me that he executed the same." Domestic Relations Law § 236 (B) (3) requires a prenuptial agreement to be acknowledged or proved in the manner required to entitle a deed to be recorded. Pursuant to the statutory provisions governing recording of deeds, a notary public or other officer taking an acknowledgment must execute a certificate of acknowledgment that establishes that the party signing the document orally acknowledged to the notary or other officer that he or she in fact signed the document and that the notary or other officer either actually knew the identity of the signer or secured satisfactory evidence of identity ensuring that the signer was the person described in the document (*see* Real Property Law §§ 292, 303, 306). At the time the agreement here was executed, the statutory requirements were satisfied by boilerplate language stating: "before me came (name of signer) to me known and known to me to be the person described in and who executed the foregoing instrument and duly acknowledged to me that s/he executed the same." The certificate of acknowledgment relating to defendant's signature omitted the "to me known and known to me" language. Absent the omitted language, the certificate did not indicate that the notary public knew the husband or had ascertained through some form of proof that he was the person described in the prenuptial agreement.

Marriage — Prenuptial Agreement — Validity — Insufficient Proof to Cure Defective Certificate of Acknowledgment

2. In an action for divorce wherein the certificate of acknowledgment in relation to defendant husband's signature on the parties' prenuptial agreement was defective for failing to indicate that the notary public knew defendant or

had ascertained that he was the person described in the agreement, an affidavit from the notary public stating that he presumed he had followed his customary practice of confirming the signer's identity and assuring that the signer was the person named in the document was insufficient to raise a triable question of fact as to the propriety of the original acknowledgment procedure. Domestic Relations Law § 236 (B) (3) requires a prenuptial agreement to be acknowledged or proved in the manner required to entitle a deed to be recorded. An unacknowledged nuptial agreement is unenforceable even when the parties acknowledge that the signatures are authentic and the agreement was not tainted by fraud or duress. However, even assuming that a defect in a certificate of acknowledgment could be cured in a case where, as here, there was an attempt to secure an acknowledged document and the evidence consisted of proof that the acknowledgment was properly made in the first instance, defendant's submission was insufficient. A party relying on custom and practice evidence to fill in evidentiary gaps must provide proof of a deliberate and repetitive practice. Here, the notary merely paraphrased the requirement of the statute without detailing any specific procedure he routinely followed to fulfill that requirement. Since the notary had no recollection of actually acknowledging defendant's signature, it was crucial that his affidavit describe a specific protocol that he repeatedly and invariably used.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Deeds §§ 98, 100, 101; AM JUR 2d, Divorce and Separation §§ 1035, 1037; AM JUR 2d, Husband and Wife § 103; AM JUR 2d, Notaries Public §§ 29, 30.
CARMODY-WAIT 2d, Acknowledgments §§ 5:8, 5:16, 5:17, 5:20, 5:29, 5:30; CARMODY-WAIT 2d, Separation §§ 117:7, 117:8.
2 LAW AND THE FAMILY NEW YORK (2d ed) § 8:10.
MCKINNEY'S, Domestic Relations Law § 236 (B) (3); Real Property Law §§ 292, 303, 306.
NY JUR 2d, Acknowledgments, Affidavits, Oaths, Notaries, and Commissioners §§ 72, 78; NY JUR 2d, Deeds §§ 19–21; NY JUR 2d, Domestic Relations §§ 155, 158, 165, 166.
NEW YORK REAL PROPERTY SERVICE §§ 20:60, 20:61.

ANNOTATION REFERENCE

Enforceability of premarital agreements governing support or property rights upon divorce or separation as affected by circumstances surrounding execution—modern status. 53 ALR4th 85.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prenuptial /2 agreement /p defect! /5 acknowledged
& unenforceable

POINTS OF COUNSEL

Barney & Affronti, LLP, Rochester (*Francis C. Affronti* of counsel), for appellant. I. Summary judgment should have been granted to Michelle Galetta determining the prenuptial agreement to be invalid and unenforceable because there is no proof the notary who took Gary Galetta's signature knew him or had satisfactory evidence he was the same person described in and who executed the agreement. (*Matisoff v Dobi*, 90 NY2d 127.) II. Gary Galetta's claim the notary's affidavit cured the defective acknowledgment was not raised before the trial court or in his brief to the Appellate Division. Consequently the issue whether or under what circumstances the acknowledgment could be cured was not before the Court. (*Ciesinski v Town of Aurora*, 202 AD2d 984; *Fresh Pond Rd. Assoc. v Estate of Schacht*, 120 AD2d 561, 68 NY2d 802; *Matter of Helles v Helles*, 87 AD3d 1273; *Kumar v Kumar*, 96 AD3d 1323; *Matter of D'Angelo v Lopez*, 94 AD3d 1261; *Verkey v Hebard*, 99 AD3d 1205; *Fischer v Zepa Consulting*, 263 AD2d 946, 95 NY2d 66; *Memory Gardens v D'Amico*, 91 AD2d 1160.) III. A defective acknowledgment in a prenuptial agreement cannot be cured at a later point in time. (*Anonymous v Anonymous*, 253 AD2d 696, 93 NY2d 888; *D'Elia v D'Elia*, 14 AD3d 477; *Leighton v Leighton*, 46 AD3d 264, 10 NY3d 739; *Matisoff v Dobi*, 228 AD2d 200; *Stein v Stein*, 14 Misc 3d 453; *Schoeman, Marsh & Updike v Dobi*, 264 AD2d 572, 94 NY2d 944; *People ex rel. Conklin v Board of R.R. Commrs.*, 105 App Div 273.) IV. Assuming an acknowledgment can be cured at a later date, summary judgment in this case should have been granted because the notary's affidavit did not create a triable issue of fact. (*Zuckerman v City of New York*, 49 NY2d 557.)

Kathleen P. Reardon, Rochester, for respondent. I. The Supreme Court did not err in determining that the prenuptial agreement was properly acknowledged and correctly denied plaintiff's motion for summary judgment. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Zuckerman v City of New York*, 49 NY2d 557; *Matisoff v Dobi*, 90 NY2d 127; *Weinstein v Weinstein*, 36 AD3d 797; *Armstrong v Combs*, 15 App Div 246; *Filkins v Filkins*, 303 AD2d 934; *D'Elia v D'Elia*, 14 AD3d 477; *Anonymous v Anonymous*, 253 AD2d 696.) II. The issue as to any defect in the acknowledgment as alleged by plaintiff and as cured by defendant's proof was properly reviewed and decided by the appellate court.

(*Schoeman, Marsh & Updike v Dobi*, 264 AD2d 572, 94 NY2d 944, 97 NY2d 721, 100 NY2d 508; *Leighton v Leighton*, 46 AD3d 264, 10 NY3d 739; *Douglas Elliman-Gibbons & Ives v Kellerman*, 172 AD2d 307; *Lindlots Realty Corp. v County of Suffolk*, 278 NY 45; *Rentways, Inc. v O'Neill Milk & Cream Co.*, 308 NY 342.) III. The Appellate Division correctly determined that a defect in a contemporaneously executed acknowledgment in a prenuptial agreement may be cured subsequent to the execution of the acknowledgment. (*Matisoff v Dobi*, 90 NY2d 127; *Matter of Maul*, 176 Misc 170, 262 App Div 941, 287 NY 694; *Matter of Saperstein*, 254 AD2d 88; *Anonymous v Anonymous*, 253 AD2d 696; *Schoeman, Marsh & Updike v Dobi*, 264 AD2d 572, 94 NY2d 944; *Stein v Stein*, 14 Misc 3d 453; *D'Elia v D'Elia*, 14 AD3d 477; *Filkins v Filkins*, 303 AD2d 934; *Arizin v Covello*, 175 Misc 2d 453.) IV. Even if this Court believes a cure was necessary, defendant raised a triable issue of fact by providing the bank manager's affidavit. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Soltis v State of New York*, 188 AD2d 201; *Gier v CGF Health Sys.*, 307 AD2d 729; *Rivera v Anilesh*, 8 NY3d 627; *Halloran v Virginia Chems.*, 41 NY2d 386; *Matter of Kellum*, 52 NY 517.)

OPINION OF THE COURT

GRAFFEO, J.

In this matrimonial action, plaintiff Michelle Galetta sought a determination that a prenuptial agreement she and defendant Gary Galetta signed was invalid due to a defective acknowledgment. Because we conclude that plaintiff was entitled to summary judgment declaring the agreement to be unenforceable under Domestic Relations Law § 236 (B) (3), we reverse the order of the Appellate Division, which held there was a triable question of fact on that issue.

Michelle Galetta and Gary Galetta were married in July 1997. About a week before the wedding, they each separately signed a prenuptial agreement. Neither party was present when the other executed the document and the signatures were witnessed by different notaries public. The agreement had apparently been prepared by Gary's attorney; Michelle elected not to be represented by counsel. In substance, the parties agreed that their separate property, as listed on attached addenda, would remain separate and not subject to equitable distribution in the event of dissolution of the marriage. They also decided that neither would seek maintenance from the other. It is undisputed that the signatures on the document are authentic and there is

no claim that the agreement was procured through fraud or duress.

The parties' signatures and the accompanying certificates of acknowledgment are set forth on a single page of the document. The certificates appear to have been typed at the same time, with spaces left blank for dates and signatures that were to be filled in by hand. The certificate of acknowledgment relating to Michelle's signature contains the boilerplate language typical of the time. However, in the acknowledgment relating to Gary's signature, a key phrase was omitted and, as a result, the certificate fails to indicate that the notary public confirmed the identity of the person executing the document or that the person was the individual described in the document. The record does not reveal how this error occurred and apparently no one noticed the omission until the issue was raised in this litigation.

In 2010, defendant husband filed for divorce. Plaintiff wife subsequently commenced this separate action seeking a divorce and a declaration that the prenuptial agreement was unenforceable. The wife moved for summary judgment on the request for declaratory relief, contending that the agreement was invalid because Domestic Relations Law § 236 (B) (3) compels that prenuptial agreements be executed with the same formality as a recorded deed and the certificate of acknowledgment relating to the husband's signature did not comport with Real Property Law requirements. The husband opposed the motion, asserting that the prenuptial agreement was enforceable because the language of the acknowledgment substantially complied with the Real Property Law. He submitted an affidavit from the notary public who had witnessed his signature in 1997 and executed the certificate of acknowledgment. The notary, an employee of a local bank where the husband then did business, averred that it was his custom and practice, prior to acknowledging a signature, to confirm the identity of the signer and assure that the signer was the person named in the document. He stated in the affidavit that he presumed he had followed that practice before acknowledging the husband's signature.

Supreme Court denied the wife's motion for summary judgment, reasoning that the acknowledgment of the husband's signature substantially complied with the requirements of the Real Property Law. In a divided decision, the Appellate Division affirmed the order denying summary judgment on a different rationale (96 AD3d 1565 [2012]). The majority held that the certificate of acknowledgment was defective but determined

that the deficiency could be cured after the fact and that the notary public affidavit raised a triable question of fact as to whether the prenuptial agreement had been properly acknowledged when it was signed in 1997. A two-justice dissent would have reversed and granted plaintiff summary judgment declaring the prenuptial agreement to be invalid because the acknowledgment was fatally defective. The dissent reasoned that the issue of whether a defect in an acknowledgment can be cured had not been preserved in the motion court but concluded, in any event, that such a deficiency cannot be cured, nor was the notary public's affidavit sufficient to raise a question of fact if a cure had been possible. The Appellate Division granted defendant leave to appeal to this Court, certifying the question: "Was the order of this Court . . . properly made?" Because plaintiff was entitled to summary judgment declaring the prenuptial agreement to be unenforceable, we answer that question in the negative.

Prenuptial agreements are addressed in Domestic Relations Law § 236 (B) (3), which provides:

"An agreement by the parties, made before or during the marriage, shall be valid and enforceable in a matrimonial action if such agreement is in writing, subscribed by the parties, and acknowledged or proven in the manner required to entitle a deed to be recorded."

We interpreted this statute in *Matisoff v Dobi* (90 NY2d 127 [1997]), where we held that an unacknowledged postnuptial agreement was invalid. We observed that the statute recognizes no exception to the requirement that a nuptial agreement be executed in the same manner as a recorded deed and "that the requisite formality explicitly specified in Domestic Relations Law § 236 (B) (3) is essential" (*id.* at 132).

Real Property Law § 291, governing the recording of deeds, states that "[a] conveyance of real property . . . on being duly acknowledged by the person executing the same, or proved as required by this chapter, . . . may be recorded in the office of the clerk of the county where such real property is situated." Thus, a deed may be recorded if it is either "duly acknowledged" or "proved" by use of a subscribing witness. Because this case involves an attempt to use the acknowledgment procedure, we focus on that methodology.

The acknowledgment requirement fulfills two important purposes. First, "acknowledgment serves to prove the identity

of the person whose name appears on an instrument and to authenticate the signature of such person” (*Matisoff*, 90 NY2d at 133). Second, it necessarily imposes on the signer a measure of deliberation in the act of executing the document. Just as in the case of a deed where the law puts in the path of the grantor “formalities to check haste and foster reflection and care . . . [h]ere, too, the formality of an acknowledgment underscores the weighty personal choices to relinquish significant property or inheritance rights, or to resolve important issues concerning child custody, education and care” (*id.* at 136 [internal quotation marks and citation omitted]).

We noted in *Matisoff* that the acknowledgment requirement imposed by Domestic Relations Law § 236 (B) (3) is onerous and, in some respects, more exacting than the burden imposed when a deed is signed (*id.* at 134-135). Although an unacknowledged deed cannot be recorded (rendering it invalid against a subsequent good faith purchaser for value) it may still be enforceable between the parties to the document (i.e., the grantor and the purchaser). The same is not true for a nuptial agreement which is unenforceable in a matrimonial action, even when the parties acknowledge that the signatures are authentic and the agreement was not tainted by fraud or duress (*id.* at 135).

With these general principles in mind, we turn to the first issue presented in this case: whether the certificate of acknowledgment accompanying defendant husband’s signature was defective. Three provisions of the Real Property Law must be read together to discern the requisites of a proper acknowledgment. Real Property Law § 292 requires that the party signing the document orally acknowledge to the notary public or other officer that he or she in fact signed the document. Real Property Law § 303 precludes an acknowledgment from being taken by a notary or other officer “unless he [or she] knows or has satisfactory evidence[] that the person making it is the person described in and who executed such instrument.” And Real Property Law § 306 compels the notary or other officer to execute “a certificate . . . stating all the matters required to be done, known, or proved” and to endorse or attach that certificate to the document. The purpose of the certificate of acknowledgment is to establish that these requirements have been satisfied: (1) that the signer made the oral declaration compelled by Real Property Law § 292; and (2) that the notary or other official either actually knew the identity of the signer or secured “satisfactory evidence” of identity ensuring that the signer was the person described in the document.

At the time the parties here signed the prenuptial agreement in 1997,¹ proper certificates of acknowledgment typically contained boilerplate language substantially the same as that included in the certificate accompanying the wife's signature: "before me came (name of signer) to me known and known to me to be the person described in and who executed the foregoing instrument and duly acknowledged to me that s/he executed the same." The "to me known and known to me to be the person described in the document" phrase satisfied the requirement that the official indicate that he or she knew or had ascertained that the signer was the person described in the document. The clause beginning with the words "and duly acknowledged" established that the signer had made the requisite oral declaration.

[1] In the certificate of acknowledgment relating to the husband's signature, the "to me known and known to me" phrase was inexplicably omitted, leaving only the following statement: "On the 8 [sic] day of July, 1997, before me came Gary Galetta described in and who executed the foregoing instrument and duly acknowledged to me that he executed the same." Absent the omitted language, the certificate does not indicate either that the notary public knew the husband or had ascertained through some form of proof that he was the person described in the prenuptial agreement. New York courts have long held that an acknowledgment that fails to include a certification to this effect is defective (*see Fryer v Rockefeller*, 63 NY 268 [1875] [applying predecessor to Real Property Law § 303,

1. At about the same time this agreement was executed, the legislature enacted Real Property Law § 309-a which codified model language to be used in a certificate of acknowledgment involving a signer who was not acting on behalf of a corporation (*see* L 1997, ch 179). That new statute, which remains in effect, indicated that an acknowledgment should read as follows (or "conform substantially" with the following):

"On the [insert date] before me, the undersigned, personally appeared [insert name of signer], personally known to me or proved to me on the basis of satisfactory evidence to be the individual(s) whose name(s) is (are) subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their capacity(ies), and that by his/her/their signature(s) on the instrument, the individual(s), or the person upon behalf of which the individual(s) acted, executed the instrument" (Real Property Law § 309-a [1]).

The new language did not become mandatory until September 1999. It was intended to clarify existing law and encourage uniformity in filed deeds; it did not alter the substantive requirements for a valid acknowledgment that appear elsewhere in the Real Property Law, as discussed above.

held that acknowledgment of deed that did not establish signer's identity and relationship to document was invalid]; *Gross v Rowley*, 147 App Div 529 [2d Dept 1911], *appeal denied* 148 App Div 922 [1912] [acknowledgment deficient because it failed to certify that signer was person described in the instrument]; *see generally People ex rel. Sayville Co. v Kempner*, 49 App Div 121 [1st Dept 1900] [same]). Thus, we agree with the Appellate Division, which unanimously concluded that the certificate of acknowledgment did not conform with statutory requirements.

The husband continues to dispute that the acknowledgment is defective because he claims that it substantially complied with the Real Property Law. In support of this argument, he relies on a line of substantial compliance cases including *Weinstein v Weinstein* (36 AD3d 797 [2d Dept 2007]). *Weinstein* involved a prenuptial agreement that was signed after Real Property Law § 309-a set forth specific language to be included in an acknowledgment (*see* n 1, *supra*), yet the certificates of acknowledgment contained the former boilerplate language that had commonly been used prior to the statute. Although the acknowledgment did not track the preferred text, the Appellate Division concluded that it was nonetheless valid because the language was in substantial compliance with the new statute—which is all the statute required. There is no indication in *Weinstein* that any of the substantive elements of an acknowledgment were lacking—rather, in that case the parties merely used different verbiage to establish that the Real Property Law had been followed, a deviation in form (in light of Real Property Law § 309-a) but not substance. The same is not true here where a core component of a valid acknowledgment was not referenced in the certificate.

Because we conclude that the certificate of acknowledgment was defective, we address the question of whether such a deficiency can be cured and, if so, whether the affidavit of the notary public prepared in the course of litigation was sufficient to raise a question of fact precluding summary judgment in the wife's favor.² In *Matisoff*, a case where the parties had not attempted to have their signatures acknowledged, defendant

2. The wife argues that this issue was not preserved in the motion court but we agree with the Appellate Division majority that such an argument was evident from the husband's submission of the notary public affidavit in response to the wife's motion for summary judgment, a submission that was cited by Supreme Court in the oral decision denying summary judgment.

(n. cont'd)

husband similarly contended that the lack of certificates of acknowledgment had been cured by testimony both the husband and wife presented at the matrimonial trial admitting that the signatures were authentic and that the postnuptial agreement had not been signed under fraud or duress. We determined that it was unnecessary to decide whether the absence of an acknowledgment could be cured because, even if it could, the testimony from the parties was not the functional equivalent of an acknowledgment, which involves both the oral declaration of the signer and the written certificate of the official establishing that certain prerequisites were met.

Since *Matisoff*, the Appellate Divisions have grappled with the “cure” issue, which has largely arisen in cases where a signature was not accompanied by any certificate of acknowledgment—not in situations like this where there was a contemporaneously prepared certificate of acknowledgment but it is defective. In any event, the weight of Appellate Division authority is against permitting the absence of an acknowledgment to be cured after the fact, unless both parties engaged in a mutual “reaffirmation” of the agreement (*see D’Elia v D’Elia*, 14 AD3d 477 [2d Dept 2005] [where postnuptial agreement was not properly acknowledged, defendant’s attempt to cure the defect by submitting a duly-executed certificate of acknowledgment at trial was not sufficient]; *Filkins v Filkins*, 303 AD2d 934, 935 [4th Dept 2003] [where antenuptial agreement was not acknowledged, plaintiff’s attempt to cure defect by having agreement notarized and filed after divorce action had commenced failed “because the agreement was never reacknowledged”]; *Schoeman, Marsh & Updike v Dobi*, 264 AD2d 572 [1st Dept 1999], *lv dismissed* 94 NY2d 944 [2000], *lv dismissed* 97 NY2d 721 [2002], *lv denied* 100 NY2d 508 [2003] [legal malpractice action related to *Matisoff* litigation] [parties to divorce action cannot obtain retroactive validation of postnuptial agreement]; *Anonymous v Anonymous*, 253 AD2d 696 [1st Dept 1998], *lv dismissed* 93 NY2d 888 [1999] [where prenuptial agreement was not acknowledged, defect could not be cured by production of

Since the parties admitted in Supreme Court that their signatures were authentic and made no claims of fraud or duress, there was only one reason for the husband to proffer the notary public affidavit—to cure the purported deficiency in the certificate of acknowledgment. The fact that Supreme Court did not reach the “cure” argument because it concluded (incorrectly) that the acknowledgment was not defective does not render the issue unpreserved for review.

acknowledgment that surfaced after matrimonial action had commenced and some 12 years after agreement was signed)].³

When there is no acknowledgment at all, it is evident that one of the purposes of the acknowledgment requirement—to impose a measure of deliberation and impress upon the signer the significance of the document—has not been fulfilled. Thus, a rule precluding a party from attempting to cure the absence of an acknowledgment through subsequent submissions appears to be sound.

But this case does not involve the complete absence of an acknowledgment; rather, there was an attempt to secure an acknowledged document but there was an omission in the requisite language of the certificate of acknowledgment. A compelling argument can be made that the door should be left open to curing a deficiency like the one that occurred here where the signatures on the prenuptial agreement are authentic, there are no claims of fraud or duress, and the parties believed their signatures were being duly acknowledged but, due to no fault of their own, the certificate of acknowledgment was defective or incomplete. Although neither party submitted evidence concerning how the error occurred, we can infer from the fact that the signatures and certificates of acknowledgment are contained on a single page of the document in the same typeface that the certificates were typed or printed by the same person at the same time. Since one acknowledgment included all the requisite language and the other did not, it seems likely that the omission resulted from a typographical error. Thus, the deficiency may not have arisen from the failure of the notary public to

3. Several of the cases the husband relies on for the contrary proposition involve proving a signature through use of subscribing witnesses, a different procedure governed by other provisions of the Real Property Law (see *Matter of Maul*, 287 NY 694 [1942] [where wife signed waiver of right of election in presence of two subscribing witnesses, who also signed the document, fact that signatures of subscribing witnesses were not acknowledged at that time did not render document unenforceable]; *Matter of Saperstein*, 254 AD2d 88 [1st Dept 1998] [where wife executed waiver of right of election in presence of subscribing witness, who signed the document at that time attesting to that fact, subscribing witness could secure document evidencing proof of execution later on, after the husband died]). These cases neither involve Domestic Relations Law § 236 (B) (3) nor the acknowledgment method of validating a document. Moreover, the precedent suggests that there may be a distinction between the absence of an acknowledgment relating to the signature of a party and the absence of an acknowledgment relating to the signature of a subscribing witness (compare *Matter of Warren*, 16 AD2d 505 [2d Dept 1962], *affd* 12 NY2d 854 [1962], with *Matter of Maul*, 287 NY 694 [1942], *supra*).

engage in the formalities required when witnessing and acknowledging a signature. To the contrary, it may well be that the prerequisites of an acknowledgment occurred but the certificate simply failed to reflect that fact. Thus, the husband makes a strong case for a rule permitting evidence to be submitted after the fact to cure a defect in a certificate of acknowledgment when that evidence consists of proof that the acknowledgment was properly made in the first instance—that at the time the document was signed the notary or other official did everything he or she was supposed to do, other than include the proper language in the certificate. By considering this type of evidence, courts would not be allowing a new acknowledgment to occur for a signature that was not properly acknowledged in the first instance; instead, parties who properly signed and acknowledged the document years before would merely be permitted to conform the certificate to reflect that fact.

In this case, however, we need not definitively resolve the question of whether a cure is possible because, similar to what occurred in *Matisoff*, the proof submitted here was insufficient. In his affidavit, the notary public did not state that he actually recalled having acknowledged the husband's signature, nor did he indicate that he knew the husband prior to acknowledging his signature. The notary averred only that he recognized his own signature on the certificate and that he had been employed at a particular bank at that time (corroborating the husband's statement concerning the circumstances under which he executed the document). As for the procedures followed, the notary had no independent recollection but maintained that it was his custom and practice "to ask and confirm that the person signing the document was the same person named in the document" and he was "confident" he had done so when witnessing the husband's signature.

We have held that a party can rely on custom and practice evidence to fill in evidentiary gaps "where the proof demonstrates a deliberate and repetitive practice by a person in complete control of the circumstances" (*Rivera v Anilesh*, 8 NY3d 627, 634 [2007] [internal quotation marks and citation omitted]), thereby creating a triable question of fact as to whether the practice was followed on the relevant occasion. But the averments presented by the notary public in this case are too conclusory to fall into this category.

Custom and practice evidence draws its probative value from the repetition and unvarying uniformity of the procedure

involved as it depends on the inference that a person who regularly follows a strict routine in relation to a particular repetitive practice is likely to have followed that same strict routine at a specific date or time relevant to the litigation. For example, in *Rivera*, a dentist who did not recall the procedure that allegedly gave rise to plaintiff's dental malpractice action—a second injection of anesthesia—was able to avoid summary judgment in plaintiff's favor by supplying a detailed description of the multistep protocol she always followed when administering such injections, coupled with proof that this protocol, if followed, comported with generally accepted medical standards.

[2] In contrast, the affidavit by the notary public in this case merely paraphrased the requirement of the statute—he stated it was his practice to “ask and confirm” the identity of the signer—without detailing any specific procedure that he routinely followed to fulfill that requirement. There are any number of methods a notary might use to confirm the identity of a signer he or she did not already know, such as requiring that the signer display at least one current form of photo identification (a driver's license or passport). It is also possible that a notary might not employ any regular strategy but vary his or her procedure for confirming identity depending on the circumstances (for example, a notary who works in a bank, law firm or other similar institution might occasionally rely on another employee who knew the signer to vouch for the signer's identity). If the notary actually remembered having acknowledged defendant's signature, he might have been able to fill in the gap in the certificate by averring that he recalled having confirmed defendant's identity, without specifying how. But since he understandably had no recollection of an event that occurred more than a decade ago, and instead attempted to proffer custom and practice evidence, it was crucial that the affidavit describe a specific protocol that the notary repeatedly and invariably used—and proof of that type is absent here. As such, even assuming a defect in a certificate of acknowledgment could be cured under Domestic Relations Law § 236 (B) (3), defendant's submission was insufficient to raise a triable question of fact as to the propriety of the original acknowledgment procedure. Plaintiff was therefore entitled to summary judgment declaring that the prenuptial agreement was unenforceable.

Accordingly, the order of the Appellate Division should be reversed, with costs, plaintiff's motion for summary judgment

determining that the parties' prenuptial agreement is invalid should be granted, and the certified question should be answered in the negative.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, plaintiff's motion for summary judgment determining that the parties' prenuptial agreement is invalid granted, and certified question answered in the negative.

[991 NE2d 198, 969 NYS2d 424]

MANHATTAN TELECOMMUNICATIONS CORPORATION, Appellant, v
H & A LOCKSMITH, INC., et al., Defendants, and ARIQ VANUNU, Respondent.

Argued May 2, 2013; decided May 30, 2013

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 31, 2011. The Appellate Division reversed, on the law, an order of the Supreme Court, New York County (Ira Gammerman, J.H.O.), which had denied defendant Ariq Vanunu's motion to vacate the default judgment entered against him, and granted the motion. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

Manhattan Telecom. Corp. v H & A Locksmith, Inc., 82 AD3d 674, reversed.

HEADNOTE

Judgments — Default Judgment — Proof of Facts Constituting Claim — Non-Jurisdictional Defect

In an action alleging that plaintiff had provided telephone service to defendants, a number of corporations and an alleged principal officer, pursuant to a written agreement, and had not been paid, plaintiff's failure to supply "proof of the facts constituting the claim" (CPLR 3215 [f]) against the principal officer in his individual capacity did not constitute a jurisdictional defect that rendered the default judgment entered a nullity. The defect was not so fundamental that it deprived the court of power to enter the judgment. Although a failure to submit the proof required by CPLR 3215 (f) should lead a court to deny an application for a default judgment, a court that does not comply with that rule has merely committed an error and has not usurped a power it does not have. The error can be corrected by an application for relief from the judgment pursuant to CPLR 5015.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judgments §§ 236–238, 242, 273.

CARMODY-WAIT 2d, Judgments §§ 63:169, 63:170, 63:174,
63:179, 63:190.

MCKINNEY'S, CPLR 3215 (f).

NY JUR 2d, Judgments §§ 119, 123–125, 144, 149.

SIEGEL, NY PRAC §§ 293, 295.

ANNOTATION REFERENCE

See ALR Index under Default Judgments.

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POINTS OF COUNSEL

Jonathan D. Bachrach, New York City, for appellant. I. The complaint was not defective. (*Natradeze v Rubin*, 33 AD3d 535; *DeLeon v Sonin & Genis*, 303 AD2d 291; *Giordano v Berisha*, 45 AD3d 416; *Wilson v Galicia Contr. & Restoration Corp.*, 10 NY3d 827.) II. New York State requires a showing of excusable neglect in order to vacate a default judgment. (*Dimitriadis v Visiting Nurse Serv. of N.Y.*, 84 AD3d 1150; *Felsen v Stop & Shop Supermarket Co., LLC*, 83 AD3d 656; *Westchester Med. Ctr. v Allstate Ins. Co.*, 80 AD3d 695; *Farrah v Pinos*, 78 AD3d 1115; *Francis v Long Is. Coll. Hosp.*, 45 AD3d 529; *Wilson v Galicia Contr. & Restoration Corp.*, 10 NY3d 827.) III. The Appellate Division, First Department, improperly vacated plaintiff's judgment against defendant on grounds that defendant had never raised in the trial court or in its briefs on appeal. (*Feffer v Malpeso*, 210 AD2d 60; *Perez v Lenox Hill Hosp.*, 159 AD2d 251; *Natradeze v Rubin*, 33 AD3d 535; *DeLeon v Sonin & Genis*, 303 AD2d 291.)

Ofeck & Heinze, LLP, New York City (*Mark F. Heinze* of counsel), for respondent. I. When there is noncompliance with CPLR 3215 (f), a default judgment is a nullity or, at a minimum, subject to vacatur in the court's traditional discretion. (*Woodson v Mendon Leasing Corp.*, 100 NY2d 62; *Misicki v Caradonna*, 12 NY3d 511; *Giordano v Berisha*, 45 AD3d 416; *Natradeze v Rubin*, 33 AD3d 535; *Zaidman v Zaidman*, 90 AD3d 1035; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Ladd v Stevenson*, 112 NY 325; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557.) II. Plaintiff's motion for a default judgment was premature, and Judicial Hearing Officer Gammerman lacked judicial authority to enter any order, and so the judgment was fatally defective. (*Dobkin v Chapman*, 21 NY2d 490; *Matter of Bernstein Family Ltd. Partnership v Sovereign Partners, L.P.*, 66 AD3d 1; *Dunn v Burns*, 42 AD3d 884; *Quality*

Food Oils v Caruso Prods. Distrib. Corp., 127 Misc 2d 1097; *Red Creek Natl. Bank v Blue Star Ranch*, 58 AD2d 983; *Firemen's Fund Ins. Co. v Dietz*, 110 AD2d 1083; *R. L. C. Invs. v Zabski*, 109 AD2d 1053; *Nash v Duroseau*, 39 AD3d 719; *Marazita v Nelbach*, 91 AD2d 604; *Morris v Smithline*, 145 Misc 2d 772.) III. Plaintiff's proof of its cause of action was insufficient as a matter of law, and defendant Ariq Vanunu has a meritorious defense. (*Savoy Record Co. v Cardinal Export Corp.*, 15 NY2d 1; *Salzman Sign Co. v Beck*, 10 NY2d 63; *Bartsch v Bartsch*, 54 AD2d 940; *Giordano v Berisha*, 45 AD3d 416; *Ritzer v 6 E. 43rd St. Corp.*, 47 AD3d 464; *Feffer v Malpeso*, 210 AD2d 60; *IMG Intl. Mktg. Group, Inc. v SDS William St., LLC*, 32 Misc 3d 1233[A], 2011 NY Slip Op 51561[U]; *Rodkinson v Haecker*, 248 NY 480; *Speciner v Parr*, 252 AD2d 554; *Landa v Dratch*, 45 AD3d 646.) IV. Defendant Ariq Vanunu excusably defaulted and has a meritorious defense. (*Woodson v Mendon Leasing Corp.*, 100 NY2d 62.)

OPINION OF THE COURT

SMITH, J.

CPLR 3215 (f) requires an applicant for a default judgment to file “proof of the facts constituting the claim.” In *Woodson v Mendon Leasing Corp.* (100 NY2d 62, 71 [2003]), we left open the question of whether non-compliance with this requirement is a jurisdictional defect that “renders a default judgment a ‘nullity.’” We now hold that the defect is not jurisdictional.

Plaintiff sued a number of corporations and an individual, Ariq Vanunu, alleging that plaintiff had provided telephone service to defendants pursuant to a written agreement, and had not been paid. The complaint alleged that Vanunu was “a principal officer in all the corporate defendant entities”; it did not attach the agreement or allege that Vanunu had signed it in his individual capacity. All defendants defaulted, and a default judgment was entered on November 28, 2008.

On November 5, 2009, Vanunu moved to vacate the judgment, asserting that his default was excusable and that he had meritorious defenses to the action. Supreme Court denied the motion, finding that Vanunu’s delay in defending himself was not excusable. The Appellate Division reversed without reaching the issue of excusable default, holding that because “plaintiff failed to provide . . . evidence that [Vanunu] was personally liable for the stated claims . . . the default judgment was a nullity” (*Manhattan Telecom. Corp. v H & A Locksmith, Inc.*, 82

AD3d 674, 674 [1st Dept 2011]). The Appellate Division granted leave to appeal, certifying the question of whether its order was properly made. We answer the question in the negative, and reverse.

We assume for present purposes that the Appellate Division was correct in holding that plaintiff's complaint, though verified, failed to supply "proof of the facts constituting the claim" against Vanunu, as CPLR 3215 (f) requires. Thus the default judgment was defective, but not every defect in a default judgment requires or permits a court to set it aside. CPLR 5015 (a) (1) authorizes the court that rendered a judgment to relieve a party from it "upon the ground of . . . excusable default"—a ground that Supreme Court found to be absent here. The question raised by this appeal is whether the defect is jurisdictional—i.e., whether it was so fundamental that it deprived the court of power to enter the judgment, rendering the judgment a nullity whether Vanunu's default was excusable or not. This question has divided the Appellate Division departments (*see Natradeze v Rubin*, 33 AD3d 535 [1st Dept 2006] [holding defect jurisdictional]; *State of New York v Williams*, 44 AD3d 1149, 1151-1152 [3d Dept 2007] [same]; *Westcott v Niagara-Orient Agency*, 122 AD2d 557, 558 [4th Dept 1986] [same]; *but see Zaidman v Zaidman*, 90 AD3d 1035, 1036-1037 [2d Dept 2011] [holding defect non-jurisdictional]; *Araujo v Aviles*, 33 AD3d 830 [2d Dept 2006] [same]; *Freccia v Carullo*, 93 AD2d 281, 286-289 [2d Dept 1983] [same]).

As we explained in *Lacks v Lacks* (41 NY2d 71, 74-75 [1976, Breitel, Ch. J.]), the word "jurisdiction" is often loosely used. But in applying the principle "that a judgment rendered without subject matter jurisdiction is void, and that the defect may be raised at any time and may not be waived" (*id.* at 75), it is necessary to understand the word in its strict, narrow sense. So understood, it refers to objections that are "fundamental to the power of adjudication of a court" (*id.* at 74). "Lack of jurisdiction" should not be used to mean merely "that elements of a cause of action are absent" (*id.*), but that the matter before the court was not the kind of matter on which the court had power to rule.

The defect in the default judgment before us is not jurisdictional in this sense. A failure to submit the proof required by CPLR 3215 (f) should lead a court to deny an application for a default judgment, but a court that does not comply with this rule has merely committed an error—it has not usurped a power

it does not have. The error can be corrected by the means provided by law—i.e., by an application for relief from the judgment pursuant to CPLR 5015. It does not justify treating the judgment as a nullity. As the Appellate Division said in *Freccia*: “the court had subject matter jurisdiction over the case which included the concomitant power to enter a default judgment in favor of plaintiff” (93 AD2d at 288-289).

The result we reach today follows from our decision in *Wilson v Galicia Contr. & Restoration Corp.* (10 NY3d 827, 829 [2008]), where we refused to set aside a default judgment despite the defaulting party’s contention “that CPLR 3215 (f) renders the judgment a nullity.” We relied in *Wilson* on the party’s failure to preserve its argument (*id.* at 829-830). But if the defect were truly jurisdictional—if the court that entered it was powerless to do so—a lack of preservation would not matter. *Wilson* thus implies that a defect of this kind is non-jurisdictional, as we now hold.

Accordingly, the order of the Appellate Division should be reversed, with costs, the case remitted to the Appellate Division for consideration of issues raised but not reached on the appeal to that court, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, case remitted to the Appellate Division, First Department, for consideration of issues raised but not determined on the appeal to that court, and certified question answered in the negative.

[991 NE2d 204, 969 NYS2d 430]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
E. GUILFORD, Appellant.

Argued April 25, 2013; decided June 4, 2013

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 8, 2012. The Appellate Division affirmed a judgment of the Onondaga County Court (Joseph E. Fahey, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Guilford, 96 AD3d 1375, reversed.

HEADNOTE

**Crimes — Confession — Voluntariness — Actual Coercion during
Extremely Lengthy Interrogation — Admissibility of Subsequent
Confession**

In a murder prosecution, the trial court, which suppressed statements defendant made during a 49½-hour custodial interrogation, should have also suppressed defendant's inculpatory statements made some 10 hours later and in the presence of appointed counsel, because the taint of the wrongful police action during the initial interrogation was not sufficiently attenuated, as a matter of law, by the break in questioning. Given the extraordinary privation involved—defendant by the interrogation's conclusion had been sleepless for over 50 hours and gone without eating for 30 hours—he could not have rapidly recovered to the point that his basic capacity to exercise independent judgment was restored. His intervening stay in a holding pen and his arraignment did not transform his coerced capitulation into a voluntary disclosure. By the time of defendant's post-arraignment statements, his options would have seemed so constricted by what he had already divulged during the interrogation as to render the intervening temporal buffer practically irrelevant. Furthermore, the entry of counsel did not guarantee the voluntariness of defendant's confession. By the time assigned counsel arrived at the 10 by 10, windowless and clockless chamber in which defendant was interrogated, defendant had already promised to “give everybody what they want” and had been so depleted over two days of constant tag-team interrogation as to raise the most serious doubt as to his ability usefully to confer with counsel. There was no showing that the interposition of defendant's attorney between the pre-entry course of coercion and defendant's subsequent confession enabled a decision by defendant that was not the product of official compulsion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 914–917; AM JUR 2d, Evidence §§ 735, 753, 754.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:82–176:84, 176:96; CARMODY-WAIT 2d, Pretrial Motions §§ 189:270, 189:277, 189:287–189:289.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 6.2.

NY JUR 2d, Criminal Law: Procedure §§ 610–612, 622, 623, 1599, 1600, 1618, 1619.

ANNOTATION REFERENCE

See ALR Index under Confessions and Admissions; Custodial Interrogation; Exclusion and Suppression of Evidence.

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POINTS OF COUNSEL

Hiscock Legal Aid Society, Syracuse (*Piotr Banasiak* of counsel), for appellant. I. James E. Guilford's statements were involuntary and obtained in violation of due process because eight hours in a jail holding cell and two hours with an attorney could not dissipate the debilitating effects of a 50-hour interrogation conducted by rotating teams of detectives, 70 hours without sleep, and 40 hours without food. (*Ashcraft v Tennessee*, 322 US 143; *People v Anderson*, 42 NY2d 35; *Blackburn v Alabama*, 361 US 199; *Miranda v Arizona*, 384 US 436; *Chambers v Florida*, 309 US 227; *Dickerson v United States*, 530 US 428; *People v Valerius*, 31 NY2d 51; *People v Ruppert*, 26 NY2d 437; *Mincey v Arizona*, 437 US 385; *Missouri v Seibert*, 542 US 600.) II. The lower court committed reversible error by denying James E. Guilford's request for a voluntariness instruction on the basis that the evidence did not support such a charge. (*Mincey v Arizona*, 437 US 385; *People v Cefaro*, 23 NY2d 283; *People v Graham*, 55 NY2d 144; *Stein v New York*, 346 US 156; *People v Mezon*, 80 NY2d 155; *People v Prado*, 4 NY3d 725; *People v Florestal*, 53 AD3d 164; *People v Luis*, 189 AD2d 657; *People v Casiano*, 123 AD2d 712; *People v Glover*, 57 NY2d 61.) III. James E. Guilford was deprived of his right to the effective assistance of counsel. (*Strickland v Washington*, 466 US 668; *Hill v Lockhart*, 474 US 52; *Murray v Carrier*, 477 US 478; *United States v Cronin*, 466 US 648; *People v Ennis*, 11 NY3d 403; *People v*

Baldi, 54 NY2d 137; *People v Turner*, 5 NY3d 476; *People v Benvenuto*, 91 NY2d 708; *People v Hobot*, 84 NY2d 1021; *People v Caban*, 5 NY3d 143.)

William J. Fitzpatrick, District Attorney, Syracuse (*James P. Maxwell* and *Victoria M. White* of counsel), for respondent. I. The hearing court properly found that defendant's March 23, 2007 statements were admissible at trial. (*People v Scott*, 86 NY2d 864; *People v Holland*, 18 NY3d 840; *People v Gray*, 86 NY2d 10; *People v Hawkins*, 11 NY3d 484; *People v Mateo*, 2 NY3d 383; *People v Smith*, 275 AD2d 951, 96 NY2d 739; *People v Chapple*, 38 NY2d 112; *People v Bethea*, 67 NY2d 364; *People v Bradford*, 15 NY3d 329; *People v Conyers*, 68 NY2d 982.) II. Defendant was not entitled to a voluntariness instruction. (*People v Mateo*, 2 NY3d 383; *People v Cefaro*, 23 NY2d 283.) III. Defendant received effective assistance of counsel. (*People v Stultz*, 2 NY3d 277; *People v Baldi*, 54 NY2d 137; *People v Rivera*, 71 NY2d 705; *People v Droz*, 39 NY2d 457; *People v Bennett*, 29 NY2d 462; *People v Borrell*, 12 NY3d 365; *People v Satterfield*, 66 NY2d 796; *Strickland v Washington*, 466 US 668; *People v Harris*, 131 AD2d 142; *People v Session*, 34 NY2d 254.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendant appeals from an order of the Appellate Division affirming a judgment convicting him of murder in the second degree. The uncontested circumstance at the root of this appeal is that, before confessing to a detective that he had killed his former paramour, Ms. Nugent, defendant was subjected to a custodial interrogation lasting 49½ hours. It is not now suggested that this evidently uniquely lengthy interrogation was proper, or that the trial court erred when it granted defendant's pretrial suppression motion to the extent of deeming inadmissible the statements made in its course on the ground, among others,¹ that they had been "involuntar[y] . . . in the 'traditional due process sense'." The question posed is rather whether the exclusionary consequence of this marathon interrogation was correctly limited by the trial court to the statements made during the interrogation itself, or whether defendant's suppression

1. They were also suppressed as having been obtained in violation of CPL 60.45, defendant's *Miranda* rights (which were read to defendant only once, at the lengthy interrogation's outset) and, with respect to one statement made in response to a question posed after defendant had requested but had not yet been furnished an attorney, in violation of his right to counsel.

motion should have been granted to the further extent of suppressing his subsequent inculpatory statements.

The Appellate Division held that defendant's subsequent statements, the first and most significant of which—"I killed her"—was made some 10 hours after the 49½-hour interrogation had concluded and in the presence of appointed counsel, had been shown sufficiently attenuated from the prior interrogation to permit the conclusion that they were not the product of official compulsion (96 AD3d 1375, 1377 [2012]). Two Justices disagreed, noting their view that neither the break in questioning nor the entry of counsel satisfied the People's burden to prove that the coercive effects of the interrogation had been neutralized so as to return defendant "in effect, to the status of one who is not under the influence of questioning" (*id.* at 1384 [Lindley and Martoche, JJ., dissenting], quoting *People v Chapple*, 38 NY2d 112, 115 [1975]). One of the dissenting Justices granted defendant permission to appeal, and we now reverse and direct a new trial.

I.

It was, of course, the People's burden to prove the voluntariness of defendant's statements beyond a reasonable doubt as a condition of their receipt at trial (*People v Anderson*, 42 NY2d 35, 38-39 [1977]; *People v Valerius*, 31 NY2d 51, 55 [1972]; *People v Huntley*, 15 NY2d 72, 78 [1965]). Principally at issue here, however, is not the assignment of the burden or the generally applicable standard of proof, but precisely what had to be shown and whether that showing was sufficiently made.

Proof of voluntariness compatible with due process, we have said, will depend upon the particular circumstances—"the totality"—of each case (*Anderson*, 42 NY2d at 38, citing *Clewis v Texas*, 386 US 707, 708 [1967]; *Fikes v Alabama*, 352 US 191, 197 [1957]; see also *Dickerson v United States*, 530 US 428, 434 [2000] ["The due process test takes into consideration the totality of all the surrounding circumstances—both the characteristics of the accused and the details of the interrogation"] [citation and internal quotation marks omitted]). In some situations—where, for example, *Miranda* warnings have been timely given—the requisite inference of voluntariness may be relatively easily drawn. But where there has been official illegality potentially impairing the voluntariness of a subsequent admission, the inference will naturally require a more exacting showing.

We have recognized this principle most frequently in cases involving late *Miranda* warnings. In *People v Chapple* (38 NY2d 112 [1975]) we held that the late interposition of those warnings would be “too late” unless there was a demonstration of a “pronounced break” in interrogation adequate to justify a finding that the defendant was no longer under the sway of the prior questioning when the warnings were given (*id.* at 115). We have since reaffirmed the need for this more precise showing under our state constitution (*People v Bethea*, 67 NY2d 364, 368 [1986]; *People v Paulman*, 5 NY3d 122, 129-130 [2005]), notwithstanding federal precedent (i.e., *Oregon v Elstad*, 470 US 298, 310-311 [1985]) suggesting that, in the absence of actual coercion, *Miranda* warnings will ordinarily suffice to demonstrate the voluntariness of statements subsequently made. A less demanding rule, we noted, would have little deterrent effect, since the police could then “question a suspect in custody without warning, provided only they thereafter question him or her again after warnings have been given” (*Bethea*, 67 NY2d at 366).

Where, as here, the predicate for the claim of involuntariness is actual coercion directed at extracting an inculpatory statement, and not simply the failure timely to administer *Miranda* warnings, the People’s demonstration of voluntariness must, we think, be particularly responsive to the claim actually made.

Under the *Chapple-Bethea* doctrine a suspect’s course of interrogation is assessed using certain fairly objective criteria to characterize it either as unitary or composed of severable, separately Mirandizable segments. But the inquiry as to whether there has been one interrogatory sequence or several does not address the very stubborn problem posed by actual coercion, which involves the physical, cognitive and emotional depletion of the interrogation subject. In situations where the subject has been interrogated over an extremely lengthy period, the existence of objective indicia of separation may well be inadequate to prove that the defendant has been restored to the status of one no longer under the influence of questioning, so as to render plausible the characterization of a subsequent admission as voluntary beyond a reasonable doubt.

II.

The proof at the hearing held on defendant’s suppression motion was that on the evening of March 20, 2007 defendant was escorted from a Syracuse hotel by eight or nine police officers

and transported to the offices of the Syracuse Police Department's Criminal Investigations Division (CID). There, at 11:30 p.m., he was read his *Miranda* rights and placed in what is referred to in the hearing testimony as the "Blue Room"—a 10 by 10, windowless and clockless chamber furnished with three chairs, a table and a one-way mirror. But for accompanied trips to the restroom, defendant remained locked in the Blue Room for the ensuing 49½ hours. He was during this entire time watched and, with only relatively brief intervals, aggressively interrogated by four rotating pairs of detectives, relieving each other pursuant to a schedule devised by the supervising sergeant. Notwithstanding the constant observation of defendant, there is no direct evidence that he slept and, apart from a sandwich he was given on the evening of March 21st, he did not eat. Two of the interrogating detectives testified that by the morning of March 21st, defendant was "defeated" and had "given up," that he constantly stared at the floor, and often wept. As the interrogation progressed, defendant made several statements, which, although not directly inculpatory, suggested his involvement in Ms. Nugent's disappearance and suspected homicide,² among them that "[o]nly me, God, and Sharon know what happened to her."

On the evening of March 22nd, as the interrogation neared the end of its second full day, defendant was interviewed by an Assistant District Attorney. Shortly afterward, the supervising sergeant informed defendant that he would be charged with Ms. Nugent's murder. According to the sergeant, defendant became distraught and the sergeant responded by urging defendant to disclose the location of the body. He told defendant, among other things, that the "dumbest thing you've done is not using that body to make a deal." Defendant then said that he would "give everybody what they want" if he could confer again with the Assistant District Attorney and if he was provided with an attorney of his own.³ After eliciting defendant's assurance that he

2. By the time of defendant's March 2007 interrogation, the investigation into Ms. Nugent's disappearance in early February 2007 had progressed to the point where there was strong circumstantial evidence that she had been the victim of a homicide that had occurred on the early morning of February 6th at the residence she shared with defendant. Her body, however, had not been found and there was no direct evidence tying defendant to her demise.

3. The administration of *Miranda* warnings notwithstanding, defendant evidently perceived a need to barter for an attorney. It would appear that the

(n. cont'd)

was not “wasting [the sergeant’s] time” and that he would enable the police to “physically get [Ms. Nugent’s] body,”⁴ the sergeant contacted the Assistant District Attorney, who, in turn set in motion the process to have counsel appointed.

Upon his arrival at the CID, defendant’s assigned attorney spoke with the Assistant District Attorney for about half an hour and was informed about what was a fairly complex case in summary fashion. He stated in his hearing testimony that he was not told how long defendant had been questioned, and, indeed, the Assistant District Attorney testified that he himself was not aware at the time how long the interrogation had been ongoing. An offer was conveyed to assigned counsel that, if defendant disclosed the location of the body, his sentence would be capped at 18 years to life. Counsel then met in the Blue Room with his new client, whom he described as “[e]motional and distraught.” After about two hours, counsel emerged and announced that his client should not be questioned further. Defendant was at this time—1:30 a.m. on March 23rd—formally arrested and taken to the Justice Center, where he was booked. The record is silent as to how he spent the balance of the night.

On the morning of the same day, at 9:30, defendant was arraigned in Syracuse City Court. He was then returned to the CID where, after conferring briefly with assigned counsel, he was placed yet again in the Blue Room. He was joined by his attorney, the Assistant District Attorney and the supervising sergeant. At about 11:30 a.m., the sergeant opened the interview by asking, “what happened?” and defendant replied, “I killed her.”⁵ Defendant then made statements in which he purported to disclose where he had left the body. He said he had deposited the body in a dumpster, which he described, but no dumpster of that description was found at the specified location and Ms. Nugent’s body was never recovered.⁶

trial court’s finding as to the inadequacy of the single set of warnings given at the outset of the interrogation was well founded.

4. It was this assurance that the trial court deemed to have been elicited in violation of defendant’s right to counsel.

5. Defendant’s assigned attorney evidently anticipated neither the sergeant’s open-ended inquiry, nor his client’s response. He immediately instructed that defendant was not to be questioned respecting Ms. Nugent’s death, only the location of her body.

6. At trial, the People were permitted to introduce evidence that dumpsters at the location pointed out by defendant were regularly emptied and their contents incinerated.

Although defendant's admissions on the morning of March 23rd were made in exchange for sentencing consideration, defendant, in the end, evidently elected to forgo that consideration. He went to trial, was convicted by a jury upon proof including the admissions he made in exchange for the unused sentencing consideration, and was sentenced to a term of 25 years to life.

III.

Courts have long condemned interrogations designed, as this one was, to break a suspect's will to resist self-incrimination by prolonged and virtually continuous questioning coupled with deprivation of basic human needs, most notably sleep. In *Ashcraft v Tennessee* (322 US 143 [1944]), a 36-hour interrogation conducted like the one here, by rotating teams of police officers, was deemed "so inherently coercive that its very existence is irreconcilable with the possession of mental freedom by a lone suspect against whom its full coercive force is brought to bear" (*id.* at 154). And, in *People v Anderson*, this Court similarly characterized a 19-hour interrogation, performed "in relays," noting that "[t]he potential effect on human beings of the lack of such elemental needs as sleep and sustenance requires no elaboration. Case law repeatedly has emphasized the vital effect that the resultant slowly mounting fatigue may be expected to have on a person's judgment and will" (42 NY2d at 40 [internal quotation marks and citations omitted]).

The present interrogation was well over twice the length of that in *Anderson* and significantly longer than the one in *Ashcraft*. Given the extraordinary privation that was involved—defendant by the session's conclusion having been sleepless for well over 50 hours⁷ and having gone without eating for 30 hours—we cannot accept that, once the marathon session was over, defendant commenced rapidly to recover to the point that his basic capacity to exercise independent judgment was restored.

Upon the cessation of questioning on the early morning of March 23rd, defendant was immediately booked and placed in a holding cell to await arraignment. There is no evidence that he slept or ate or even that he was given the opportunity to do so.

7. To be added to defendant's sleepless 50 hours in the Blue Room, are the hours he was awake prior to the commencement of the interrogation (*see Anderson*, 42 NY2d at 39 ["(the defendant's) hours in the interrogation room must be added to those which had elapsed since the time he had arisen from his bed on the morning of the day before"]).

Indeed, the proof does not exclude the very real possibility that defendant's passage of an additional eight hours in custody before arraignment exacerbated, rather than ameliorated, the physical and cognitive debilitation resulting from his 49^{1/2}-hour session in the Blue Room.

We are unwilling to draw the inference, which the People would have us make, that the eight-hour "break" between interrogation and arraignment attenuated the taint of the wrongful interrogation. Defendant's pre- and post-arraignment statements were, despite their temporal separation, in all other ways seamlessly linked. At the end of the marathon session, the utterly spent defendant, in exchange for a lawyer to which he was absolutely entitled, agreed in a statement ultimately suppressed as coerced, to "give everybody what they want," and when he returned to the Blue Room on the morning of the same day and faced the same interrogator across the same table, that is exactly what he did. We do not accept the hypothesis that his intervening stay in a holding pen and arraignment on the charge of murder sufficed to transform his coerced capitulation into a voluntary disclosure. By the time of defendant's post-arraignment statements, his options would have seemed so constricted, by what he had already divulged during the earlier portion of the interrogation,⁸ as to render the intervening temporal buffer practically irrelevant. There was, in any event, no proof adduced by the People to justify a contrary conclusion.

Finally, we reject the contention that the entry of counsel guaranteed the voluntariness of defendant's subsequent statements (*see* 96 AD3d at 1377). This contention misconstrues the statement in *Miranda v Arizona* (384 US 436 [1966]) that

"[t]he presence of counsel, *in all the cases before us today*, would be the adequate protective device necessary to make the process of police interrogation conform to the dictates of the privilege [against self incrimination]. His presence would insure that statements made in the government-established atmosphere are not the product of compulsion" (*id.* at 466 [emphasis supplied]).

Plainly, this language, expressly limited in its reference, was not intended to stand for the proposition that the presence of

8. Defendant, of course, did not know that his statements during the 49^{1/2}-hour session would not be admissible.

counsel will invariably be adequate as an assurance of voluntariness. *Miranda* understood the presence of an attorney to be an effective buffer against the coercion present when a defendant “is first subjected to police interrogation while in custody” (*id.* at 477). The decision nowhere suggests that an attorney should be presumed capable of neutralizing the effects of extensive coercive interrogation conducted prior to his or her arrival, in violation of *Miranda*’s own dictates. No decision should be understood to contemplate its own undoing and particularly not by the conduct it forbids.

By the time assigned counsel arrived at the Blue Room, the die was largely cast. His client had, in exchange for his presence, already promised to “give everybody what they want” and had been so depleted by over two days of constant tag-team interrogation as to raise the most serious doubt, unresolved by the hearing evidence, as to his ability usefully to confer with counsel. Defendant distrusted the attorney seemingly procured by his interrogator—indeed, he thought he was not an attorney at all. For his part, the attorney was at a distinct disadvantage. He knew little about the investigation and nothing about the immediately preceding flagrantly illegal interrogation. He had little basis to judge the advisability of the fateful barter to which his client had already agreed and, demonstrably, his presence did little to blunt the momentum of the interrogation conducted in his absence. Ultimately he became an unintended spectator to his client’s confession and was called as a prosecution witness at trial.

Even if we were to accept in theory the proposition that an attorney in the untenable position of defendant’s assigned counsel could have acted as an equalizer, it is clear that that was not the actual effect of this counsel’s entry. If the presence of counsel is to be relied upon as proof that a subsequent confession was not the product of a pre-entry course of coercion, it must be shown that the interposition of the attorney enabled a decision by the client that was not the product of official compulsion. There was no such showing here.

IV.

We conclude, as a matter of law, that the taint of the wrongful police action was not attenuated. The bar for the prosecution, it is true, has as a practical matter been set very high in this case. But that is what the law requires given the actual coercion inherent in the subject interrogation. Were we in the face of

such circumstances to allow a judgment of conviction premised on statements admitted upon a less exact correspondence between proof and the conclusion of voluntariness, it would raise the possibility that a conviction could be obtained by means demonstrably hazardous to the truth and an anathema to any truly adversarial system of justice.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion to suppress his March 23, 2007 statements granted and a new trial ordered.

Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, defendant's motion to suppress his March 23, 2007 statements granted and a new trial ordered.

[991 NE2d 698, 969 NYS2d 840]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NICHOLAS SANCHEZ, Appellant.

Argued April 30, 2013; decided June 4, 2013

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 10, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Denis J. Boyle, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree.

People v Sanchez, 95 AD3d 241, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Conflict of Interest

In a robbery prosecution wherein defense counsel continued to represent defendant after advising the court and defendant that his office had previously represented, in an unrelated criminal matter, a man who had been a potential suspect during the robbery investigation, defendant failed to establish that his counsel was ineffective based on an alleged conflict of interest. When an ineffective representation claim is premised on a potential conflict of interest, the defendant bears the burden of establishing that the potential conflict affected, operated on or bore a substantial relation to the conduct of the defense. Here, defendant had been identified as the gunman in a two-person taxi robbery by the taxi driver and by detectives who viewed photographs of the robbery taken by a camera in the taxi. During jury selection, defense counsel learned that fingerprints found in the taxi matched those of a second individual and that another man was also rumored to be involved. A potential conflict of interest was established by defense counsel's office's prior representation of the man rumored to be involved and its possession of privileged information connecting him to the man whose fingerprints were found. However, there was no physical evidence linking the former client to the robbery and his connection thereto was based on an unsubstantiated rumor provided to the police by defendant's brother. Defense counsel reasonably concluded that the former client was unlikely to be a necessary component of the overall defense strategy. Counsel was able to present a defense theory without implicating the former client or acting adversely to his interests and mounted a cogent misidentification and third-party culpability defense. Thus, the record did not establish as a matter of law that the potential conflict actually affected the presentation of the defense or otherwise impaired counsel's performance. Defendant, however, was not precluded from raising the issue in a CPL article 440 proceeding in order to supplement the record with additional facts to bolster the contention that the potential conflict affected the presentation of the defense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139.
CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:166,
184:182, 184:183, 184:187, 184:209.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.9.
NY JUR 2d, Criminal Law: Procedure §§ 864, 867, 943.

ANNOTATION REFERENCE

See ALR Index under Attorneys.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: counsel /4 ineffective /s conflict /3 interest &
burden

POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Richard M. Greenberg* and *Margaret E. Knight* of counsel), for appellant. I. Nicholas Sanchez was denied his constitutional right to the effective assistance of counsel where—in the absence of informed consent obtained following an inquiry by the trial court—the Legal Aid Society represented another suspect and, as a result of that conflict of interest, defense counsel did not seek to introduce favorable evidence and failed to fully investigate exculpatory evidence linking the other suspect to an individual whose fingerprints were found at the crime scene. (*People v McDonald*, 68 NY2d 1; *Glasser v United States*, 315 US 60; *People v Harris*, 99 NY2d 202; *People v Gomberg*, 38 NY2d 307; *People v Krausz*, 84 NY2d 953; *People v Whitley*, 14 AD3d 403; *United States v Fulton*, 5 F3d 605; *People v Longtin*, 92 NY2d 640; *People v Perez*, 70 NY2d 773; *People v Wilkins*, 28 NY2d 53.) II. Nicholas Sanchez's conviction must be reversed because the complainant's identification was improperly bolstered by police witnesses who testified that Mr. Sanchez was the person depicted in the crime scene photographs and repeated the complainant's prior description of the perpetrators. (*People v Russell*, 79 NY2d 1024; *People v Rivera*, 259 AD2d 316; *People v Harte*, 29 AD3d 475; *People v Narrod*, 23 AD3d 1061; *People v Pratt*, 266 AD2d 318; *People v Coleman*, 78 AD3d 457; *People v Morgan*, 214 AD2d 809; *People v Steward*, 72 AD3d 524; *People v Borgia*, 263 AD2d 553; *People v Jung Hing*, 212 NY 393.) III.

The prosecution's belated disclosure of favorable evidence that fingerprints were taken from the scene of the crime, one of which was later matched to a confessed robber, and that there existed another suspect constituted violations of *Brady v Maryland* (373 US 83 [1963]) and Criminal Procedure Law § 240.20, which require reversal because it negatively impacted upon the choice of defense and prevented a full investigation. (*People v Germeo*, 188 AD2d 1027; *People v Lyons*, 150 AD2d 804; *People v Williams*, 50 AD3d 1177; *United States v Bagley*, 473 US 667; *Berger v United States*, 295 US 78; *People v Steadman*, 82 NY2d 1; *Banks v Dretke*, 540 US 668; *Strickler v Greene*, 527 US 263; *People v Vilardi*, 76 NY2d 67; *Leka v Portuondo*, 257 F3d 89.) IV. The court erred in denying the motion to set aside the verdict where its decision was based on an incorrect evidentiary finding that Nicholas Sanchez's testimony about admissions by another suspect was inadmissible, and where it credited testimony that was implausible and flatly refuted by other credible witnesses. (*People v Salemi*, 309 NY 208; *People v Settles*, 46 NY2d 154; *Chambers v Mississippi*, 410 US 284.) V. Nicholas Sanchez was denied due process and a fair trial because he was identified based upon unduly suggestive identification procedures, including a photographic array where the fillers were older than Mr. Sanchez who is a light-skinned Hispanic man. (*Solomon v Smith*, 645 F2d 1179; *Neil v Biggers*, 409 US 188; *People v Chipp*, 75 NY2d 327; *Foster v California*, 394 US 440; *United States v Eltayib*, 88 F3d 157; *United States v Wade*, 388 US 218; *People v Gaddy*, 115 AD2d 658; *People v Burwell*, 26 NY2d 331; *People v Carolina*, 184 AD2d 520; *Raheem v Kelly*, 257 F3d 122.) VI. The prosecution's failure to preserve evidence necessary for effective appellate review requires reversal. (*People v Yavru-Sakuk*, 98 NY2d 56; *People v Harrison*, 85 NY2d 794; *People v Rivera*, 39 NY2d 519; *People v Jackson*, 98 NY2d 555.)

Robert T. Johnson, District Attorney, Bronx (Noah J. Chamoy, Joseph N. Ferdenzi and Rafael Curbelo of counsel), for respondent. I. The People proved defendant's guilt beyond a reasonable doubt by overwhelming evidence. II. Defense counsel, from the Legal Aid Society, did not suffer from a conflict of interest affecting the defense from the Legal Aid Society's prior representation of a suspected accomplice. (*Wood v Georgia*, 450 US 261; *Mickens v Taylor*, 535 US 162; *Cuyler v Sullivan*, 446 US 335; *People v Ennis*, 11 NY3d 403; *People v Harris*, 99 NY2d 202; *People v Berroa*, 99 NY2d 134; *People v Jordan*, 83 NY2d 785; *People v Abar*, 99 NY2d 406; *People v Ortiz*, 76 NY2d 652; *Strickland v Washington*, 466 US 668.) III. Supreme Court

exercised sound discretion in allowing detectives to identify defendant as the person depicted in the surveillance photographs and to recount the complainant's description of the perpetrator. (*People v Russell*, 165 AD2d 327, 79 NY2d 1024; *People v Rivera*, 259 AD2d 316; *People v Alvino*, 71 NY2d 233; *People v Lewis*, 69 NY2d 321; *Senecal v Drollette*, 304 NY 446; *People v Spinello*, 303 NY 193; *Ruloff v People*, 45 NY 213; *People v Byrnes*, 33 NY2d 343; *People v Magin*, 1 AD3d 1024; *People v Morgan*, 214 AD2d 809.) IV. A postverdict CPL 330.30 (1) motion cannot preserve a challenge to the timing of the People's pretrial disclosures. (*Brady v Maryland*, 373 US 83; *People v Primo*, 96 NY2d 351; *People v Rogelio*, 79 NY2d 843; *People v Monserate*, 256 AD2d 15; *People v Albert*, 85 NY2d 851; *People v Gray*, 86 NY2d 10; *People v Martin*, 50 NY2d 1029; *People v Carter*, 63 NY2d 530; *People v Harris*, 98 NY2d 452; *People v Davidson*, 98 NY2d 738.) V. Supreme Court exercised sound discretion in rejecting defendant's newly discovered evidence claim on the grounds that there was no probability its admission would affect the verdict. (*People v Salemi*, 309 NY 208; *People v Crimmins*, 38 NY2d 407; *People v Smith*, 63 NY2d 41, 469 US 1227; *People v Settles*, 46 NY2d 154; *People v Bedi*, 299 AD2d 556; *People v Brown*, 126 AD2d 898; *People v Ausserau*, 77 AD2d 152; *People v Ayala*, 142 AD2d 147, 75 NY2d 422; *People v Macana*, 84 NY2d 173.) VI. Substantial record support exists for Supreme Court's finding that the photo array and lineup procedures were not unduly suggestive. (*People v Jackson*, 98 NY2d 555; *People v McBride*, 14 NY3d 440; *People v Jones*, 2 NY3d 235; *People v Chipp*, 75 NY2d 327; *Neil v Biggers*, 409 US 188; *Simmons v United States*, 390 US 377; *United States v Wade*, 388 US 218; *People v Hernandez*, 70 NY2d 833; *People v Banks*, 276 AD2d 294; *People v Galletti*, 239 AD2d 598.) VII. Ample record support exists for the Appellate Division's finding that the absence of some of the exhibits of surveillance photographs did not impede effective appellate review. (*People v Yavru-Sakuk*, 98 NY2d 56; *People v Glass*, 43 NY2d 283; *People v Jackson*, 98 NY2d 555; *People v Parris*, 4 NY3d 41; *People v Rivera*, 39 NY2d 519; *People v Melendez*, 71 AD3d 530, 16 NY3d 869; *People v Bleakley*, 69 NY2d 490.)

OPINION OF THE COURT

GRAFFEO, J.

In this case we consider whether defendant has adequately demonstrated that he was deprived of meaningful legal representation based on defense counsel's alleged conflict of interest.

On this record, we hold that defendant has not sustained his burden of establishing ineffectiveness, but that he is not precluded from raising this issue in a CPL article 440 proceeding that would permit further factual development of the circumstances pertaining to the claimed conflict.

I

One evening in December 2004, Freddy Penalo was working as a taxi driver when he received a call to pick up passengers at a certain location in the Bronx. When he arrived, two young men approached his taxi and asked to be driven to West 233rd Street. Once in the vehicle, Penalo spoke to the men in the rear seat and observed them in the rearview mirror during the 10 to 12 minute trip.

When the taxi was in the vicinity of the destination, one passenger grabbed Penalo, announced a robbery and displayed a handgun. He ordered Penalo to turn over his cash, jewelry and cell phone. The other passenger told the gunman to kill Penalo, but the initial aggressor assured Penalo that he would not be murdered if he gave all of his money to them, which he did. Penalo was then pulled out of the taxi and the men drove away in the vehicle.

The police found the taxi parked near 3460 Bailey Avenue. They discovered that a “taxi cam” inside the vehicle had taken photographs during the robbery. Penalo gave descriptions to the police, stating that the two assailants were Hispanic men, about 20 years old, approximately five feet, eight inches tall and weighed 150 pounds and 160 pounds, respectively. The police also dusted the vehicle for fingerprints.

An investigating detective printed the taxi cam photographs and recognized one of the rear-seat passengers as defendant Nicholas Sanchez, who had been the victim in an earlier case the detective had worked. Another detective who viewed the photographs also identified defendant as someone he had interacted with in the neighborhood during the preceding five years. The officers eventually located defendant at 3340 Bailey Avenue—less than a block from where the taxi had been abandoned—and they took defendant’s photograph. That photograph was included in a photo array that Penalo reviewed and he identified defendant as the man with the gun in his cab. After Penalo subsequently selected defendant in a lineup, defendant was arrested for the robbery. He told the police that he was 20 years old, five feet, six inches tall and weighed 160 pounds.

Attorney Charles Ippolito, from the Legal Aid Society, represented defendant at trial. During jury selection, the People informed defense counsel that a fingerprint found in the taxi matched another person involved in a sealed criminal case. Supreme Court issued an order unsealing the file and the People revealed that the fingerprint was attributed to Elvis Montero. The People also gave defense counsel a copy of a detective's report memorializing a statement from defendant's brother, who indicated that he heard a rumor that the taxi robbery had been committed by "Macho" (also known as Franklin DeJesus). Defense counsel received photographs of Montero and was told that he had been arrested for a robbery in the Bronx two months after the crime involving Penalo, but that Montero had jumped bail.

Prior to opening statements, defense counsel alerted the court to a possible conflict of interest. Legal Aid had represented DeJesus in an unrelated robbery case that ended in an acquittal. Based on certain "privileged information," Legal Aid believed that there was some connection between Montero and DeJesus. After internal discussions, defense counsel advised the trial judge that Legal Aid had concluded that "there is no conflict regarding the issue surrounding Mr. Montero" and that a conflict of interest would arise only if DeJesus had to be mentioned during defendant's trial. Defense counsel stated that this would not be necessary for "evidentiary reasons and for just reasons related to common sense . . . since there is no physical evidence connecting [DeJesus] to this crime." He further indicated that although Legal Aid recognized "the possibility of [a] potential for conflict," it was "not necessarily" an actual one and, therefore, the defense was "not asking the Court to act on this" since counsel wanted to avoid "going into" DeJesus as the possible unapprehended perpetrator in order to prevent a conflict or a mistrial. Counsel remarked that the matter had been discussed with defendant and the defense was "ready to proceed" with the trial. The prosecutor commented that the People had "no information about this Mr. DeJesus" and any link he had to the case was "all based on speculation."

During the trial, Penalo identified defendant as the gunman. The two detectives testified over defendant's objection that they had recognized defendant from the taxi cam photographs and that defendant had gained weight since his arrest. The defense strategy was to establish an alibi for defendant and present evidence to support the theory that Montero was the actual

perpetrator. The jury ultimately found defendant guilty of first-degree robbery.

After defendant's conviction, Legal Aid moved to set aside the verdict on various grounds, including newly discovered evidence consisting of DeJesus' alleged jailhouse confession to defendant. Legal Aid was then relieved as defendant's counsel and defendant was assigned a new attorney. Supreme Court ordered a hearing on DeJesus' purported confession, and defendant testified that DeJesus had admitted to him that he and Montero robbed Penalo. DeJesus, in contrast, acknowledged that he had a conversation with defendant while they were incarcerated, but denied that he confessed to the Penalo robbery or that he knew Montero. According to DeJesus, defendant attempted to bribe him into accepting responsibility for the crime. Defendant's former counsel also testified but did not claim personal knowledge of DeJesus' alleged admission. Supreme Court found DeJesus to be credible, denied the motion to set aside the verdict, and sentenced defendant to eight years of imprisonment and five years of postrelease supervision.

The Appellate Division affirmed (95 AD3d 241 [1st Dept 2012]). It determined that defendant had not been deprived of his right to effective legal assistance due to Legal Aid's dual representation of defendant and DeJesus because there was no conflict between their interests and, even if there were, it did not operate on the defense since defendant was able to present a third-party culpability theory focusing on Montero as the gunman. The dissenting Justice, who believed that defendant was entitled to a new trial because his Legal Aid attorney had a conflict of interest that affected the defense, granted defendant leave to appeal.

II

Defendant contends that trial counsel was ineffective as a result of a conflict of interest stemming from Legal Aid's dual representation of defendant and DeJesus. According to defendant, this conflict of interest provides the only reasonable explanation for his attorney's failure to inform the jury about DeJesus' possible connection to the Penalo robbery. Defendant also maintains that the trial court had a duty to conduct a *Gomberg* inquiry (*People v Gomberg*, 38 NY2d 307 [1975]) in order to ensure that he was aware of the nature of the conflict and the risks associated with it.

The defendant bears the burden of establishing a denial of meaningful representation (*see e.g. People v Baker*, 14 NY3d

266, 270 [2010]). When such a claim is premised on a perceived conflict of interest, our precedent differentiates between actual and potential conflicts (see *People v Solomon*, 20 NY3d 91, 95 [2012]). An actual conflict exists if an attorney simultaneously represents clients whose interests are opposed (see *People v Prescott*, 21 NY3d 925, 927-928 [2013]; *People v Solomon*, 20 NY3d at 97) and, in such situations, reversal is required if the defendant does not waive the actual conflict (see *People v Solomon*, 20 NY3d at 96).

In contrast, a potential conflict that is not waived by the accused requires reversal only if it “operates” on or “affects” the defense (see *People v Abar*, 99 NY2d 406, 409 [2003])—i.e., the nature of the attorney-client relationship or underlying circumstances bear a “‘substantial relation to the conduct of the defense’” (*People v Ennis*, 11 NY3d 403, 410 [2008], quoting *People v Berroa*, 99 NY2d 134, 142 [2002]). The “requirement that a potential conflict have affected, or operated on, or borne a substantial relation to the conduct of the defense—three formulations of the same principle—is not a requirement that [the] defendant show specific prejudice” (*People v Ortiz*, 76 NY2d 652, 657 [1990]). Nevertheless, it is the defendant’s “heavy burden” (*People v Jordan*, 83 NY2d 785, 787 [1994]) to show that a potential conflict actually operated on the defense (see *People v Ennis*, 11 NY3d at 411; *People v Harris*, 99 NY2d 202, 211 [2002]).

Here, defendant has established that a potential conflict of interest was apparent: Legal Aid represented both defendant and DeJesus in unrelated criminal matters; DeJesus had been named as a potential suspect during the police investigation; and Legal Aid possessed privileged information indicating that there was “some connection” between DeJesus and Montero, whose fingerprint had been discovered in the rear passenger area of Penalo’s taxi. Although Legal Aid no longer represented DeJesus because he had been acquitted of his criminal charges, it owed him a continuing professional duty to maintain his confidences¹ and therefore raised the possibility of a conflict between its former and present clients—as defense counsel specifically recognized and attempted to avoid (see *People v Prescott*, 21 NY3d at 928, quoting *People v Ortiz*, 76 NY2d at 656).

Contrary to defendant’s claim, however, the record does not establish as a matter of law that the potential conflict actually

1. Legal Aid supervisors did not allow attorney Ippolito to review its file on DeJesus.

affected the presentation of the defense or otherwise impaired counsel's performance. Defendant's trial lawyer correctly observed that there was no physical evidence that linked DeJesus to the Penalo robbery. Rather, his name had been provided to the police by defendant's brother based on an unsubstantiated neighborhood rumor. Counsel therefore reasonably concluded that DeJesus was unlikely to be a necessary component of the overall defense strategy due to evidentiary restrictions and "common sense."

Moreover, the extent to which DeJesus may have been relevant to the case was significantly diminished by Legal Aid's apparent belief that DeJesus may have been the unidentified accomplice who was sitting behind Penalo on the driver's side of the taxi. Defendant was accused of being the gunman who was depicted in the taxi cam photographs sitting in the rear passenger's side of the vehicle. Since Montero's fingerprint had been found on that side of the cab, the theory of the defense was that defendant had been misidentified as the person on the passenger side and that Montero was the true perpetrator. Defendant's attorney was able to present this theory to the jury without implicating DeJesus or acting adversely to his interests as a former client. Indeed, counsel mounted a cogent misidentification and third-party culpability defense consisting of expert testimony regarding the discovery of Montero's fingerprint in proximity to the area of the taxi where the People claimed defendant had been sitting; the taxi cam photographs; a photograph of Montero, which counsel asked the jury to compare to the taxi cam photos; and a stipulation that Montero confessed to a gunpoint robbery that he committed with two accomplices about seven weeks after Penalo had been robbed. Since this defense strategy did not betray any professional obligations owed to DeJesus or defendant, the record supports the view that the potential conflict was not realized in this case.² As a result, defendant has not adequately demonstrated that he received less than meaningful representation.

Our holding does not preclude defendant from raising this issue in a CPL article 440 proceeding in order to supplement the

2. The lack of a *Gomberg* inquiry does not amount to reversible error because defendant and DeJesus were not codefendants being simultaneously represented by Legal Aid, defense counsel stated that the matter had been explained to defendant and the court was told that it was not being asked to take any action (see e.g. *People v Jordan*, 83 NY2d at 787-788; *People v McDonald*, 68 NY2d 1, 9 [1986]; *People v Macerola*, 47 NY2d 257, 264 [1979]).

record with additional facts to bolster his contention that the potential conflict of interest affected the presentation of the defense (*see e.g. People v Konstantinides*, 14 NY3d 1, 12-13 n 4 [2009]).

III

Defendant's remaining contentions do not require extended discussion. It was not an abuse of discretion to allow the detectives to state their beliefs that defendant was depicted in the taxi cam photographs because it was undisputed that his appearance had changed since the robbery occurred (*see generally People v Russell*, 79 NY2d 1024, 1025 [1992]) and the trial court issued appropriate limiting instructions to the jury. Defendant received the remedy he requested after the People disclosed the Montero fingerprint evidence on the eve of trial and he had a reasonable opportunity to use it as part of his defense (*see People v Cortijo*, 70 NY2d 868, 870 [1987]). Defendant is not entitled to relief on his challenge to the denial of the motion for a new trial on the basis of newly discovered evidence (*see People v Criminals*, 38 NY2d 407, 415 [1975]). And there is support in the record for the finding that the identification procedures were not unduly suggestive (*see People v McBride*, 14 NY3d 440, 448 [2010]).

. . .

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order affirmed.

[991 NE2d 200, 969 NYS2d 426]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHESTER J. THOMAS, Appellant.

Argued April 30, 2013; decided June 4, 2013

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 10, 2011. The Appellate Division affirmed a judgment of the Monroe County Court (Ellen Yacknin, J.), which had convicted defendant, upon a jury verdict, of criminal sexual act in the first degree, criminal contempt in the first degree and assault in the third degree.

People v Thomas, 85 AD3d 1572, affirmed.

HEADNOTES

Crimes — Witnesses — Failure to Call Witness — Jury Instructed to Disregard Missing Witness Argument

1. In the prosecution of defendant for sexually assaulting the mother of his children wherein the People failed to call as a witness the police officer who responded to the complainant's 911 call and took her statement, which omitted any mention of the anal rape and other details that were in the complainant's later testimony, the courts below erred in holding that defense counsel's missing witness argument during summation was improper. When asked why her statement omitted any mention of forced anal intercourse the complainant testified that she had told the officer about that event, and the officer told her that no judge would believe that happened because of the intimate nature of her relationship with defendant. During summation defense counsel questioned whether the officer actually said that to the complainant and asked why the officer didn't testify and explain why he omitted the rape from the complainant's statement, but the trial judge sustained the People's objection and directed the jury to disregard counsel's comment. The trial court erred in holding that counsel should have asked for a missing witness instruction if he wanted to make a missing witness argument. The Appellate Division's alternative grounds for affirming—that the officer's testimony may have been cumulative and defendant failed to make an offer of proof—were also unsound. Just before making the missing witness argument, counsel had attacked as incredible the complainant's uncorroborated testimony as to what the officer said to her; confirmation of that testimony from the officer would not have been cumulative. Moreover, counsel had no obligation to make an offer of proof as a predicate for a missing witness argument.

Crimes — Witnesses — Failure to Call Witness — Jury Instructed to Disregard Missing Witness Argument — Harmless Error

2. In the prosecution of defendant for sexually assaulting the mother of his children wherein the People failed to call as a witness the police officer who responded to the complainant's 911 call and took her statement, which omit-

ted any mention of the anal rape and other details that were in the complainant's later testimony, the trial court's error in prohibiting defense counsel from making a missing witness argument with respect to the police officer during summation was harmless. Strong evidence corroborated the complainant's testimony that defendant anally raped her: rectal bleeding consistent with penetration and a bite mark on her back containing defendant's DNA. Also, the doctor who examined the complainant testified that the complainant told her about the anal rape—thus diminishing the significance of the omission of that incident from the statement the complainant gave the police officer. Although the forensic evidence could not show that the intercourse was not consensual, a finding that it was consensual was unlikely given the long, abusive relationship between defendant and the complainant; the complainant's detailed and consistent account of her ordeal; the bruising and swelling on her body; the bite mark; and her prompt report of the rape to the doctor.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 690, 711; AM JUR 2d, Trial §§ 496, 497, 1111, 1114.
CARMODY-WAIT 2d, Summation §§ 199:6, 199:29, 199:30;
CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:43; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:170, 207:172.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.7, 27.6.
NY JUR 2d, Criminal Law: Procedure §§ 2655, 2748, 3569, 3570, 3572, 3573.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Arguments of Counsel; Harmless and Prejudicial Error; Instructions to Jury; Witnesses.

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Database: NY-ORCS

Query: missing /2 witness /5 argument & jury /s disregard

POINTS OF COUNSEL

Timothy P. Donaher, Monroe County Public Defender, Rochester (Janet C. Somes of counsel), for appellant. The trial court committed reversible error when it prevented defense counsel, in summation, from talking about the People's failure to call Officer McKnees. (*People v Tankleff*, 84 NY2d 992; *People v Williams*, 5 NY3d 732; *People v Brinson*, 265 AD2d 879; *People v Ruine*, 258 AD2d 278; *Noce v Kaufman*, 2 NY2d 347; *People v*

Rodriguez, 38 NY2d 95; *Gordon v People*, 33 NY 501; *People v Gonzalez*, 68 NY2d 424; *People v Concepcion*, 17 NY3d 192; *Williams v Brooklyn El. R.R. Co.*, 126 NY 96.)

Sandra Doorley, District Attorney, Rochester (*Geoffrey Kaeuper* of counsel), for respondent. The court did not prevent the defense from making any legitimate argument in summation. (*People v Tankleff*, 84 NY2d 992; *People v Ashwal*, 39 NY2d 105; *People v Hall*, 18 NY3d 122; *People v Savinon*, 100 NY2d 192; *People v Gonzalez*, 68 NY2d 424; *People v Williams*, 5 NY3d 732; *People v Smith*, 16 NY3d 786; *People v Ortiz*, 83 NY2d 989; *People v McDaniel*, 81 NY2d 10; *People v Edwards*, 14 NY3d 733.)

OPINION OF THE COURT

SMITH, J.

We hold that the trial court erred in prohibiting defendant from making a “missing witness” argument, but that the error was harmless.

I

Defendant was charged with criminal sexual act in the first degree, criminal contempt and two counts of assault. The complainant was a woman with whom defendant had had a turbulent relationship for several years, and with whom he had three children. In the course of the relationship, the complainant had three times called either 911 or the police to complain that defendant was abusing her physically; the most recent of these incidents, in July 2005, had led to a “no contact” order of protection. At the complainant’s request, the order was later replaced by one prohibiting only “offensive contact.” The latter order was in force when the events involved in this case took place in November 2006.

According to the complainant’s testimony, on November 27, she and defendant had an argument in which he pulled her hair and punched her face, leading her to threaten him with a knife and drive him out of the house where they had been living together. She went with her children to her father’s for two days, and returned with them to her home on November 29. Defendant arrived at the house shortly after her return. She asked him to leave and, when he refused, she started preparing to leave herself.

This began, according to the complainant, a series of violent acts that extended over 14 hours. She said that defendant dragged her into a spare room, climbed on top of her and punched her in the face and head. He then ordered her into the bedroom where their baby was sleeping, picked up a box cutter (which she had kept there to protect herself from him), and, by threatening her with this weapon, forced her to submit to anal intercourse, in the course of which he bit her in the back. He then ordered her to tend to the baby while he followed her around, holding the box cutter all the while.

The complainant's account continued: Defendant masturbated on her and then chained her to him by the ankle, using a bicycle chain or dog chain and padlock. The couple lay down, chained together, for a few hours. In the morning, defendant unchained her. After she put one of her children on the bus to school, defendant ordered her upstairs and beat her with the chain. Defendant finally left, after ripping a telephone off the wall, and the complainant ran to a neighbor's house and called 911.

The complainant's testimony was corroborated in part by photographs taken within hours of the incident, which show bruises on her face and back, and by testimony from a doctor who saw her that day and observed bruises and swelling around her eyes, bruises on her back and left ankle, and rectal bleeding that was, in the doctor's opinion, consistent with anal penetration. The doctor also observed a bite mark on the complainant's back; saliva found in the bite mark contained defendant's DNA.

At trial, defendant's counsel focused on what he suggested were weaknesses in the People's case. The box cutter and the chain had not been found; the complainant testified that defendant took them when he left. More important to this appeal, defense counsel emphasized a statement the complainant had given to a police officer who responded to her 911 call. The officer wrote the statement on the basis of his interview with the complainant, and the complainant signed it. It omitted a number of details that were in the complainant's later testimony, including the anal rape.

On redirect examination, the complainant was asked why her statement omitted mention of forced anal intercourse. She replied that she had told the officer about that event, and the officer "told me that no judge would ever believe that happened because me and Chester Thomas was in an intimate relationship." The officer did not testify.

In his summation, defense counsel argued that this part of the complainant's testimony was incredible. "[W]e've changed as a society," he argued. "No police officer is going to come up there and say, 'Oh, no one is going to believe you, this was your boyfriend.' That's not where we are today." That part of his argument drew no objection. But the prosecutor did object when counsel added: "And if that's, in fact, what that police officer said, then where was he, where was that police officer on the stand to say: You know what, I didn't write it down. I didn't think she was telling me the truth. He didn't testify to that." The trial court sustained the objection and directed the jury to disregard counsel's comment. Counsel tried again to make the missing witness argument, with the same result.

After summations, defendant moved for a mistrial on the basis of this ruling. The court denied the motion, saying that counsel should have asked for a missing witness instruction if he wanted to make a missing witness argument. Defendant was convicted of criminal sexual act, criminal contempt and one of the two assault counts; he was acquitted on the other assault charge.

The Appellate Division affirmed (*People v Thomas*, 85 AD3d 1572 [4th Dept 2011]). That court acknowledged that a lawyer who has not sought a missing witness instruction " 'may nonetheless try to persuade the jury to draw inferences from the People's failure to call an available witness with material, noncumulative information about the case' " (*id.* at 1573, quoting *People v Williams*, 5 NY3d 732, 734 [2005]). The court said, however, that "[i]n the event that the officer would have merely confirmed the victim's story, such testimony would have been cumulative" and that "defendant never made an offer of proof with respect to the officer's prospective testimony" (*id.* at 1573). The Appellate Division concluded that "there was no good faith basis" for comment by defense counsel on the People's failure to call the officer (*id.*). A Judge of this Court granted leave to appeal, and we now affirm.

II

[1] The courts below clearly erred in holding that defense counsel's missing witness argument was improper. The trial court's theory that a request for a missing witness instruction is a prerequisite to a missing witness argument is, as the Appellate Division recognized, flatly contrary to what we said in

Williams (5 NY3d at 734). The Appellate Division affirmed on the alternative grounds that the officer's testimony may have been cumulative and defendant failed to make an offer of proof. This approach may have been impermissible under *People v LaFontaine* (92 NY2d 470 [1998]) and *People v Concepcion* (17 NY3d 192 [2011]).

In any event, the Appellate Division's alternative grounds are also unsound. Just before making the missing witness argument, counsel had attacked as incredible the complainant's uncorroborated testimony as to what the officer said to her; confirmation of that testimony from the officer would not have been cumulative (*see People v Rodriguez*, 38 NY2d 95, 101 [1975]). And counsel had no obligation to make an offer of proof as a predicate for a missing witness argument. It is a premise of such an argument, as it is of a missing witness instruction, that the witness is in the control of the party that failed to call him (*see People v Savinon*, 100 NY2d 192, 197 [2003]). A party making such an argument, like one requesting such an instruction, "can hardly know what [the] witness knows or what the witness would say if called" (*People v Kitching*, 78 NY2d 532, 537 [1991]).

[2] The question remains whether the error was harmless. We conclude that it was. Strong evidence corroborated the complainant's testimony that defendant anally raped her: rectal bleeding consistent with penetration and a bite mark on her back containing defendant's DNA. Also, the doctor who examined the complainant testified that the complainant told her about the anal rape—thus diminishing the significance of the omission of that incident from the statement the complainant gave the police officer.

Defendant argues that, while the forensic evidence may show that anal intercourse took place, it cannot show that the intercourse was not consensual. Theoretically, this is a valid point. But in light of all the evidence in this case—the long, abusive relationship, the complainant's detailed and consistent account of her ordeal, the bruising and swelling on her body, the bite mark, her prompt report of the rape to the doctor—it is hard to imagine a juror who would find it reasonable to believe that voluntary sex was part of this evening's events. The possibility that defense counsel could have achieved an acquittal on the criminal sexual act charge had he been allowed to make a missing witness argument is very remote.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order affirmed.

[993 NE2d 374, 970 NYS2d 888]

JAMES SQUARE ASSOCIATES LP et al., Respondents, v DENNIS MULLEN, Commissioner, New York State Department of Economic Development, et al., Appellants.

In the Matter of J-P GROUP, LLC, Respondent, v NEW YORK STATE DEPARTMENT OF ECONOMIC DEVELOPMENT et al., Appellants, et al., Respondent.

In the Matter of MORRIS BUILDERS, LP, et al., Respondents, v EMPIRE ZONE DESIGNATION BOARD et al., Appellants.

In the Matter of HAGUE CORPORATION, Respondent, v EMPIRE ZONE DESIGNATION BOARD et al., Appellants.

In the Matter of WL, LLC, Respondent-Appellant, v DEPARTMENT OF ECONOMIC DEVELOPMENT, Also Known as EMPIRE STATE DEVELOPMENT, et al., Appellants-Respondents.

Argued April 23, 2013; decided June 4, 2013

SUMMARY

APPEAL, in the first above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 18, 2011. The Appellate Division order, insofar as appealed from, affirmed an order and judgment (one paper) of the Supreme Court, Onondaga County (John C. Cherundolo, J.), which had (1) granted defendants' motion for leave to renew and, upon renewal, adhered to that court's prior order and judgment, which had declared that section 3 of the 2009 amendments to the Empire Zones Program, which are set forth in General Municipal Law § 959 (a) (v) (5) and (6), is prospective only and not retroactive to January 1, 2008; and (2) further declared that the August 11, 2010 "clarification" of the 2009 amendments to the Empire Zones Program is, as applied to plaintiffs, an unconstitutional taking of plaintiffs' property.

APPEAL, in the second above-entitled proceeding, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered January 31, 2012. The Appellate Division order, insofar as appealed from, affirmed so much of a judgment (denominated order) of the Supreme Court, Erie County (Joseph R. Glowonia, J.), entered in a proceeding pursuant to CPLR article 78, as had declared that section 3 of the 2009 amendments to the Empire Zones Program, as set forth in General Municipal Law § 959 *et seq.*, is not retroactive.

APPEAL, in the third above-entitled proceeding and action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 3, 2012. The Appellate Division order, insofar as appealed from, modified, on the law, so much of a judgment of the Supreme Court, Albany County (Eugene P. Devine, J.), entered in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, as had dismissed that part of the petition/complaint seeking a declaration that the April 2009 amendments to General Municipal Law § 959 may not be applied retroactively to January 1, 2008. The modification consisted of (1) reversing the dismissal of the part of the petition/complaint seeking a declaration that the April 2009 amendments to General Municipal Law § 959 may not be applied retroactively to January 1, 2008; (2) granting the petition/complaint to that extent; and (3) declaring that the April 2009 amendments shall be applied prospectively.

APPEAL, in the fourth above-entitled proceeding and action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 7, 2012. The Appellate Division order, insofar as appealed from, modified, on the law, so much of a judgment of the Supreme Court, Albany County (Thomas J. McNamara, J.), entered in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, as had dismissed that part of the petition/complaint seeking a declaration that the April 2009 amendments to General Municipal Law § 959 may not be applied retroactively to January 1, 2008. The modification consisted of (1) reversing the dismissal of the part of the petition/complaint seeking a declaration that the April 2009 amendments to General Municipal Law § 959 may not be applied retroactively to January 1, 2008; (2) granting the petition/complaint to that extent; and (3) declaring that said amendments shall be applied prospectively.

CROSS APPEALS, in the fifth above-entitled proceeding and action, on constitutional grounds and by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 3, 2012. The Appellate Division modified, on the law, a judgment of the Supreme Court, Albany County (Henry F. Zwack, J.), entered in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had dismissed petitioner's application to review a determination of respondent

Empire Zone Designation Board revoking petitioner's certification as an Empire Zone business enterprise. The modification consisted of (1) reversing so much of the judgment as had dismissed that part of the petition/complaint seeking a declaration that the April 2009 amendments to General Municipal Law § 959 may not be applied retroactively to January 1, 2008; (2) granting the petition/complaint to that extent; and (3) declaring that the 2009 amendments shall be applied prospectively. The Appellate Division affirmed the judgment as modified.

James Sq. Assoc. LP v Mullen, 91 AD3d 164, affirmed.

Matter of J-P Group, LLC v New York State Dept. of Economic Dev., 91 AD3d 1363, affirmed.

Matter of Morris Bldrs., LP v Empire Zone Designation Bd., 95 AD3d 1381, affirmed.

Matter of Hague Corp. v Empire Zone Designation Bd., 96 AD3d 1144, affirmed.

Matter of WL, LLC v Department of Economic Dev., 97 AD3d 24, affirmed.

HEADNOTES

Statutes — Retroactive Application of Statute — Tax Statute — Due Process Clause

1. In five actions and proceedings challenging the retroactive application of certain amendments to General Municipal Law § 959 (L 2009, ch 57, part S-1, § 3) that introduced two new criteria that businesses must meet to retain their certificates of eligibility for the Empire Zones Program and its state tax incentives, plaintiffs' constitutional challenges to the retroactive application were valid Due Process Clause challenges. While the Fifth Amendment's Takings Clause is but one of many constitutional provisions that express principles of antiretroactivity, plaintiffs' claims were not valid Takings Clause challenges, as characterized by the Appellate Division decisions. The test for whether a retroactive tax violates the Due Process Clause is different from the test for whether a retroactive tax is an unconstitutional taking. An aggrieved taxpayer may choose to make a claim that a retroactive tax violates the Due Process Clause under the multi-factor balancing-of-equities test set forth in *Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.* (70 NY2d 451, 456 [1987]). The taxpayer additionally may choose to challenge the statute under the Takings Clause, but must prove that the tax amounted to flagrant abuse and the seizure of property, a more difficult task.

Statutes — Retroactive Application of Statute — Tax Statute — Due Process Clause

2. The retroactive application of certain amendments (the 2009 Amendments) to General Municipal Law § 959 (L 2009, ch 57, part S-1, § 3) that introduced two new criteria that businesses must meet to retain their certificates of eligibility for the Empire Zones Program and its state tax incentives violated the due process rights of plaintiffs, businesses which were certified under the Program and issued certificates of eligibility by the State prior to

the retroactive application date of January 1, 2008. The three important factors in determining whether a retroactive tax infringes on a taxpayer's due process rights are the taxpayer's forewarning of a change in the legislation and the reasonableness of reliance on the old law, the length of the retroactive period, and the public purpose for retroactive application. The first factor weighed in favor of plaintiffs as they had no warning and no opportunity at any time in 2008 to alter their behavior in anticipation of the impact of the 2009 Amendments. In addition, the 2009 Amendments were not meant to cure an unintended error by the legislature, but rather to increase tax receipts for the state budget. Plaintiffs appeared to have conducted their business affairs in a manner consistent with existing Program requirements in 2008, justifiably relying on the receipt of the tax benefits that were then in effect. The second factor also benefitted plaintiffs since the length of retroactivity, regardless of whether the period of retroactivity was deemed to span 16 or 32 months, was excessive. Moreover, on the third factor, the State failed to set forth a valid public purpose for the retroactive application.

Taxation — Exemptions — Decertification of Empire Zone Business Enterprise — Statutory Procedures

3. Defendant Department of Economic Development's decertification of plaintiff, a commercial real estate company that had obtained certification as an Empire Zone business in 2000, because plaintiff failed the 1:1 benefit-cost test based upon a review of the business annual reports (BARs) plaintiff had filed for 2001-2007, was not arbitrary and capricious. Although plaintiff maintained that its benefit-cost ratio would have been greater than 4:1 if its year 2000 investments were included in the State's evaluation, defendant rationally decided to tally investments beginning in 2001, the first full year of the Empire Zones Program. General Municipal Law § 959 (w) states that defendant's decertification review would be based on at least three BARs that the business had prepared and filed with the Empire Zones Program. Defendant had promulgated regulations in 5 NYCRR 11.9 (c) (2) stating that it would review the BARs from the years 2001 to 2007. Defendant's regulation does not conflict with the statutory directive in General Municipal Law § 959 to consider an Empire Zone business's total performance. The statute did not require that defendant look at all available BARs in making a decertification decision under the 1:1 test.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 635, 736, 737, 974; AM
JUR 2d, State and Local Taxation §§ 83, 258, 618.
MCKINNEY'S, General Municipal Law § 959.
5 NYCRR 11.9 (c).
NY JUR 2d, Constitutional Law §§ 276, 277, 289, 294, 395–
397, 403; NY JUR 2d, Taxation and Assessment §§ 85,
231, 1117–1119.

ANNOTATION REFERENCE

See ALR Index under Due Process; Retrospective Operation and Laws; Taxes.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Andrew D. Bing, Owen Demuth and Barbara D. Underwood of counsel), for appellants in the first and second above-entitled action and proceeding. The limited retroactive application of the April 2009 amendments does not violate the Due Process Clause. (Matter of St. Clair Nation v City of New York, 14 NY3d 452; Majewski v Broadalbin-Perth Cent. School Dist., 91 NY2d 577; United States v Carlton, 512 US 26; Pension Benefit Guaranty Corporation v R. A. Gray & Co., 467 US 717; Welch v Henry, 305 US 134; Matter of Varrington Corp. v City of N.Y. Dept. of Fin., 85 NY2d 28; Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y., 70 NY2d 451; Matter of Neuner v Weyant, 63 AD2d 290; Matter of Roosevelt Raceway v Monaghan, 9 NY2d 293; People v Brooklyn Garden Apts., 283 NY 373.)

Eric T. Schneiderman, Attorney General, Albany (Andrew D. Bing, Owen Demuth and Barbara D. Underwood of counsel), for appellants in the third and fourth above-entitled proceedings and actions and appellants-respondents in the fifth above-entitled proceeding and action. I. The legislature intended the April 2009 amendments to apply to decertified businesses as of January 1, 2008. (Matter of St. Clair Nation v City of New York, 14 NY3d 452; Majewski v Broadalbin-Perth Cent. School Dist., 91 NY2d 577; Long v State of New York, 7 NY3d 269; Matter of OnBank & Trust Co. [Hartnett], 90 NY2d 725; Matter of Duell v Condon, 84 NY2d 773; Matter of Grand Jury Subpoena Duces Tecum Served on Museum of Modern Art, 93 NY2d 729; Matter of Gleason [Michael Vee, Ltd.], 96 NY2d 117; Matter of North v Board of Examiners of Sex Offenders of State of N.Y., 8 NY3d 745; Astoria Fed. Sav. & Loan Assn. v State of New York, 222 AD2d 36, 88 NY2d 1064, 522 US 808; People ex rel. Beck v Graves, 280 NY 405.) II. The limited retroactive application of the April 2009 amendments does not violate the Due Process Clause. (United States v Carlton, 512 US 26; Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y., 70 NY2d 451; Pension Benefit Guaranty Corporation v R. A. Gray & Co., 467 US 717; Welch v Henry, 305 US 134; Matter of Varrington Corp. v City of N.Y. Dept. of Fin., 85 NY2d 28; Matter of Neuner v Weyant, 63 AD2d 290; Matter of Roosevelt Raceway v Monaghan, 9 NY2d 293; Usery v Turner Elkhorn Mining Co., 428 US 1; United States v Darusmont, 449 US 292; Wiggins v Commissioner of Internal Revenue, 904 F2d 311.)

Bond, Schoeneck & King, PLLC, Syracuse (*Jonathan B. Fellows* of counsel), for respondents in the first above-entitled action. I. The legislature did not provide that decertifications under the 2009 Empire Zone Amendments would be retroactive when it adopted them in April 2009. (*Morales v Gross*, 230 AD2d 7; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293, 368 US 12; *Matter of Bright Homes v Weaver*, 7 AD2d 352, 6 NY2d 973.) II. The retroactive decertification of the plaintiffs as Empire Zone enterprises is unconstitutional. (*Eastern Enterprises v Apfel*, 524 US 498; *General Motors Corp. v Romein*, 503 US 181; *Landgraf v USI Film Products*, 511 US 244; *Pension Benefit Guaranty Corporation v R. A. Gray & Co.*, 467 US 717; *United States v Carlton*, 512 US 26; *United States v Darusmont*, 449 US 292; *Oregon v Hass*, 420 US 714; *People v Isaacson*, 44 NY2d 511; *People v Singer*, 44 NY2d 241; *Matter of Varrington Corp. v City of N.Y. Dept. of Fin.*, 85 NY2d 28.)

Mosey Persico, LLP, Buffalo (*Jennifer C. Persico* of counsel), for respondent in the second above-entitled proceeding. The retroactive application of the 2009 amendments violates the Due Process Clause. (*Matter of Chrysler Props. v Morris*, 23 NY2d 515; *Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 70 NY2d 451; *Welch v Henry*, 305 US 134; *Jacobus v Colgate*, 217 NY 235; *United States v Hudson*, 299 US 498; *Holly S. Clarendon Trust v State Tax Commn.*, 43 NY2d 933; *Chrisley v Morin*, 126 AD2d 977; *People v Brooklyn Garden Apts.*, 283 NY 373; *Tate & Lyle, Inc. v Commissioner of Internal Revenue Serv.*, 87 F3d 99; *Canisius Coll. v United States*, 799 F2d 18.)

Collier, Halpern, Newberg, Nolletti & Bock, LLP, White Plains (*Philip M. Halpern* of counsel), for respondents in the third above-entitled proceeding and action. I. The amendments were not made retroactive until 2010. (*Matter of Allied Grocers Coop. v Tax Appeals Trib.*, 162 AD2d 791; *Matter of St. Clair Nation v City of New York*, 14 NY3d 452; *Forti v New York State Ethics Commn.*, 75 NY2d 596; *Matter of Miller v DeBuono*, 90 NY2d 783; *Morales v Gross*, 230 AD2d 7; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Affronti v Crosson*, 95 NY2d 713, 534 US 826; *Matter of Siwek v Mahoney*, 39 NY2d 159; *State of New York v Green*, 96 NY2d 403.) II. The Third Department properly determined that the retroactive application of the April 2009 amendments violated respondent's right

to due process. (*Alliance of Am. Insurers v Chu*, 77 NY2d 573; *Chrisley v Morin*, 126 AD2d 977, 69 NY2d 1037; *Nebbia v New York*, 291 US 502; *Matter of Chrysler Props. v Morris*, 23 NY2d 515; *Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 70 NY2d 451, 485 US 950; *Holly S. Clarendon Trust v State Tax Commn.*, 43 NY2d 933, 439 US 831; *United States v Carlton*, 512 US 26; *Welch v Henry*, 305 US 134; *People v Brooklyn Garden Apts.*, 283 NY 373; *Wittenberg v City of New York*, 135 AD2d 132.)

Hodgson Russ LLP, Albany (Michelle L. Merola and Christopher L. Doyle of counsel), for respondent in the fourth above-entitled proceeding and action. I. The period of retroactivity should be measured from August 2010. (*Morales v Gross*, 230 AD2d 7; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Grand Jury Subpoena Duces Tecum Served on Museum of Modern Art*, 93 NY2d 729; *Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293.) II. Retroactive application of the 2009 amendments to January 1, 2008 violates due process. (*United States v Carlton*, 512 US 26; *Chrisley v Morin*, 126 AD2d 977; *Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 70 NY2d 451; *People v Brooklyn Garden Apts.*, 283 NY 373; *People ex rel. New York Cent. & Hudson Riv. R.R. Co. v Mealey*, 224 NY 187.)

Bousquet Holstein PLLC, Syracuse (Robert K. Weiler, Philip S. Bousquet and Cecelia R.S. Cannon of counsel), for respondent-appellant in the fifth above-entitled proceeding and action. I. The Third Department applied an incorrect legal standard in reviewing the regulation. (*Matter of Daily Star v Board of Trustees of Vil. of Cooperstown*, 164 AD2d 531; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Matter of Murtha v Leonard*, 210 AD2d 411; *Matter of West 90s/W. 100s Neighborhood Coalition v Surles*, 205 AD2d 461.) II. The regulation omitting year 2000 investments was inconsistent with the enabling statute, General Municipal Law § 959. (*Matter of Stryker v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198; *Matter of Blalock v Olney*, 17 AD3d 842; *Matter of Chase Partners, LLC v Incorporated Vil. of Rockville Ctr.*, 43 AD3d 1049; *Pajak v Pajak*, 56 NY2d 394; *Matter of Matthew L.*, 65 AD3d 315; *Knickerbocker Vil. Tenants Assn. v Calogero*, 13 Misc 3d 755; *Weed v Tucker*, 19 NY 422.) III. Even under a rationality review, the

regulation must be overturned. IV. Both the Third and Fourth Departments correctly decided that the retroactive amendments to General Municipal Law § 959 violated due process. (*Andre v City of New York*, 47 AD3d 605; *Brunette v Time Warner Entertainment Co., L.P.*, 32 AD3d 1170; *Mrozinski v St. John*, 304 AD2d 950; *Memphis Light, Gas & Water Div. v Craft*, 436 US 1; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Matter of Gable Transp., Inc. v State of New York*, 29 AD3d 1125; *Chrisley v Morin*, 126 AD2d 977; *Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 70 NY2d 451; *Litod Paper Stock Corp. v City of New York*, 154 AD2d 280; *Beaumont Co. v State of New York*, 125 Misc 2d 87.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The common question presented by these appeals is whether the retroactive application of the 2009 Amendments to the Empire Zones Program complies with the Due Process Clause of the Fifth Amendment. Evaluating these cases under the balancing test of *Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.* (70 NY2d 451, 456 [1987]), we conclude that the retroactive application of the 2009 Amendments violated plaintiffs' due process rights and affirm on slightly different grounds from those invoked by the Appellate Division.

I. Facts and Procedural History

A. The Empire Zones Program

In 1986, the legislature enacted New York State's Economic Development Zones Act (the EDZ Program). The goal of the EDZ Program was to stimulate private investment, private business development, and job creation in certain geographic areas characterized by persistent poverty, high unemployment, shrinking tax bases, and dependence on public assistance (*see* General Municipal Law § 956). The EDZ Program offered a variety of state tax incentives designed to attract new businesses to the state and to enable existing businesses to expand and create more jobs (*see id.*). Over time, the EDZ Program gradually shifted its focus on poverty reduction to business development by relaxing eligibility requirements, and the name of the

program was changed to the Empire Zones Program Act (the Program) in May of 2000 (L 2000, ch 63, part GG).¹

Businesses located in qualifying Empire Zone areas and that otherwise meet the statute's criteria could apply to the Department of Economic Development (DED) for a certificate of eligibility, which they could then submit to the Department of Taxation and Finance in support of their claim for tax credits (*see* General Municipal Law § 959 [a]). Among the tax credits available to qualifying businesses were the Empire Zone Wage Tax Credit, permitting certified Program participants to claim a credit of \$1,500 to \$3,000 per new job created against their New York State tax liability (*see* Tax Law §§ 210 [19]; 606 [k]). Since 2000, the Program has provided that a company's continued eligibility for Program benefits requires it to meet the Program's wage, employment, and investment goals, and new tax credits and exemptions were added for qualified Empire Zone enterprises (*see* Technical Analysis, Dept of Taxation and Finance, Bill Jacket, L 2000, ch 63 at 37-40). The State Comptroller issued two reports (one in 2004 and one in 2007) noting problems with verifying that Program participants were meeting the job creation and investment goals of the Program.

B. The 2009 Amendments

On April 7, 2009, Governor Paterson signed legislation enacting certain amendments (the 2009 Amendments) to General Municipal Law § 959 (L 2009, ch 57, part S-1, § 3). The 2009 Amendments introduced two new criteria that businesses must meet to retain their certificates of eligibility for the Program. The legislature also required the Commissioner of Economic Development to review all certified businesses during 2009 to determine if they should be decertified under the new criteria and closed the Program to new participants (General Municipal Law § 959 [w]). The impetus for the 2009 Amendments was the Governor's Enacted Budget Financial Plan, which stated that reforms were necessary to rein in abuses in the Empire Zones Program. The Governor projected that the 2009 Amendments would provide savings of \$90 million in 2009-2010 to the State.

1. (*See also* New York State Office of the Comptroller, *Assessing the Empire Zones Program: Reforms Needed to Improve Program Evaluation and Effectiveness* [Rep 3-2005, Apr. 2004], available at <http://osc.state.ny.us/reports/empirezone3-2005.pdf> [accessed May 28, 2013].) The Empire Zones Program is overseen by the Department of Economic Development and the Empire State Development Corporation pursuant to General Municipal Law article 18-B.

The new criteria included determining whether Program participants engaged in a practice known as “shirt-changing.” Businesses were prevented from reincorporating or transferring employees or assets among related entities in order to appear to have created new jobs or made new investments to maximize Program benefits (*see* General Municipal Law § 959 [a]). An additional criterion was that a participant must have “provide[d] economic returns to the state in the form of total remuneration to its employees (i.e. wages and benefits) and investments in its facility greater in value to the tax benefits the business enterprise used and had refunded to it” (General Municipal Law § 959 [a] [v] [6]). This requirement was also referred to as the “1:1 benefit-cost standard.” A business that failed to meet either standard was subject to decertification.

The 2009 Amendments were to take effect immediately, and section 44 of the legislation said that the amendments to the Tax Law relating to the carryover of tax credits “shall apply to taxable years beginning on and after January 1, 2008” (L 2009, ch 57, part S-1, § 44 [a]). However, the legislature did not adopt the provisions of the Governor’s 2009 Budget Bill that provided that decertifications made pursuant to the new criteria and required review by the Commissioner would be retroactive to January 1, 2008.² Nevertheless, both the Commissioner of Economic Development and the Department of Taxation and Finance (DTF) announced that the 2009 Amendments applied to the tax years beginning on and after January 1, 2008.

C. The August 2010 Clarification

The legislature amended the statute in August 2010 to state that the decertifications pursuant to the 2009 Amendments were effective as of January 1, 2008. The 2010 update stated, “It is the intent of the legislature to clarify and confirm that the [2009] amendments . . . are intended to be effective for the taxable year . . . [S]uch revocations of certification . . . are

2. The proposed language of the bill stated:

“With respect to any business enterprise decertified pursuant to subparagraph six of paragraph (ii) of this subdivision, that decertification (1) will be effective for a taxable year beginning on or after January first, two thousand eight and before January first, two thousand nine and for subsequent taxable years for a business enterprise for which a review is required to be conducted pursuant to subdivision (w) of this section in calendar year two thousand nine” (2009 NY Senate-Assembly Bill S60-A, A160-A).

This language did not appear in the legislation as ultimately passed and signed by the Governor in 2009.

deemed to be in effect for the taxable year commencing on or after January 1, 2008 and before January 1, 2009” (L 2010, ch 57, part R, § 1).

D. Procedural History

Plaintiffs are businesses which were certified under the Program and were issued certificates of eligibility by the State prior to 2008. On June 29, 2009, the DED issued letters to each of the plaintiffs to notify them of their decertification from the Empire Zones Program. Each letter stated that the revocation was effective January 1, 2008, pursuant to the 2009 Amendments. Plaintiffs were decertified for either “shirt-changing,” failing to meet the 1:1 benefit-cost standard, or for both violations.

In the *James Sq. Assoc. LP v Mullen* action, plaintiffs filed their complaint while their administrative appeals were pending, seeking a declaration that the decertification constituted an improper retroactive application of the 2009 Amendments. Supreme Court granted the *James Sq.* plaintiffs’ summary judgment motion and concluded that the State defendants³ acted without legal authority when they applied the new criteria for the Empire Zones Program retroactively.

After the legislature clarified its intention and stated that the 2009 Amendments to the Empire Zones Program were to be applied retroactively to January 1, 2008, Supreme Court granted the State’s motion to renew its previous motion for summary judgment but adhered to its prior determination. The court determined that the legislature’s “clarification” in fact altered the legislation and created a period of retroactivity of two years and eight months. The court declared that the legislature’s clarification as applied was an unconstitutional taking of the *James Sq.* plaintiffs’ property.

The Appellate Division affirmed in *James Sq.* (91 AD3d 164, 166 [4th Dept 2011]). Though the Court agreed that the legislature made clear its intent to make the Empire Zone Amendments retroactive, the Court concluded that the retroactivity of the 2009 Amendments violated the *James Sq.* plaintiffs’ due process rights. The Court determined that the time period

3. Defendants in these five actions include Dennis Mullen, the Commissioner of the DED; Jamie Woodward, Commissioner of the DTF; the DED; the DTF, the Empire State Development Corporation; and the Empire Zone Designation Board (collectively, the State).

at issue, the lack of warning to plaintiffs, and the lack of legitimate public purpose of the retroactive application of the 2009 Amendments rendered it unconstitutional, null, and void.

Petitioner J-P Group, LLC owns and manages commercial rental properties in Buffalo and was certified as a qualified Empire Zone enterprise in March 2002. J-P Group's certification was revoked retroactively to January 2008 on the ground that it failed the 1:1 benefit-cost test. Supreme Court granted J-P Group's petition to annul the State's decertification of J-P Group as a qualified Empire Zone enterprise. The court stated that the decertification of J-P Group was arbitrary and capricious. The Appellate Division modified, affirming only to the extent that it determined that the amendments to General Municipal Law § 959 are prospective only (91 AD3d 1363, 1364 [4th Dept 2012]). The Court stated, "Although the Legislature intended that the subject amendments were to apply retroactively, we have recently held [in *James Sq.*] that such 'retroactive application . . . violates [a party's] due process rights' " (*id.*).

Plaintiffs Morris Builders, LP and Morris Industrial Builders, LP (Morris Builders) received their Empire Zones Program certification in 2004, and the certification was revoked retroactively on the ground that it failed the 1:1 benefit-cost test. Plaintiff Hague Corporation obtained its certification as an Empire Zone business in 1995, and its certification was also revoked for failing the 1:1 benefit-cost test. In two separate decisions, Supreme Court determined that the retroactive application of the 2009 Amendments did not violate Morris Builders' and Hague's due process rights. In both cases, the Appellate Division modified to the extent of granting the part of plaintiffs' petitions seeking a declaration that the 2009 Amendments could not be applied retroactively to January 1, 2008 (96 AD3d 1144, 1147 [3d Dept 2012]; 95 AD3d 1381, 1384-1385 [3d Dept 2012]).

Plaintiff WL, a commercial real estate company, obtained certification as an Empire Zone business on May 9, 2000. On June 9, 2000, WL acquired commercial real estate and improvements at 217 South Salina Street in Syracuse, a facility in an economically distressed downtown area. In May 2009, WL received an initial letter from the State relaying that an examination of WL's business records revealed that it "appear[ed]" that WL did not meet the qualifications of continued certification. On June 29, 2009, WL received a letter that stated WL's certification was revoked effective on January 1, 2008. WL appealed to

the Board, and the Board determined that WL failed to provide sufficient evidence that the Commissioner's finding was in error. The Board revoked WL's certification because it failed the 1:1 benefit-cost test.

WL maintained that if WL's year 2000 investments were included in the State's evaluation, its benefit-cost ratio would be greater than 4:1. WL reported paying \$1.6 million for its purchase of the building in the year 2000, and received tax credits between 2001 and 2007 amounting to \$473,366. General Municipal Law § 959 (w) states that the DED's decertification review would be based on at least three business annual reports (BARs) that the business had prepared and filed with the Program. DED had promulgated regulations in 5 NYCRR 11.9 (c) (2) stating that it would review the BARs from the years 2001 to 2007, and, as a result, only WL's contributions from 2001 to 2007 were considered in the 1:1 benefit-cost test. WL argued, before the Board and in the present matter, that 5 NYCRR 11.9 (c) (2) conflicts with the statutory directive to consider an Empire Zone business's "total" performance in the Program.

Supreme Court dismissed WL's petition seeking to annul the Board's determination to revoke WL's Empire Zone certification. The court concluded that the State's determination was not arbitrary and capricious and the State was not required by the General Municipal Law to consider documentation from the year 2000. The Appellate Division again modified to the extent of granting that part of the petition seeking a declaration that the 2009 Amendments could not be applied retroactively to January 1, 2008 (97 AD3d 24 [3d Dept 2012]). Additionally, the Court determined that the "2009 amendments do not require that DED examine every BAR filed by an entity" and the Board had a rational basis to base its review on WL's performance during the 2001-2007 time period (*id.* at 29). The Court stated, "[T]he 2001-2007 time frame utilized by DED in its review was uniformly applied to more than 8,000 companies, including those, like [WL], that had been certified prior to 2001 as participants in the EDZP" (*id.* at 30). The Appellate Division noted that the 2009 Amendments only require the Board to review three BARs and so the Board was authorized to conduct a limited review of WL's BARs.

The State appealed as of right pursuant to CPLR 5601 (b) (1) in all of these cases on the issue of whether the 2009 Amendments can be applied retroactively. This Court granted WL leave

to cross-appeal (20 NY3d 853 [2012]). The cross appeal raises the additional issues of whether 5 NYCRR 11.9 (c) (2) can be harmonized with General Municipal Law § 959 and whether DED violated WL's due process right in revoking WL's certification.

II. Retroactive Application of the 2009 Amendments

“[F]or centuries our law has harbored a singular distrust of retroactive statutes” (*Eastern Enterprises v Apfel*, 524 US 498, 547 [1998, Kennedy, J., dissenting in part]). The United States Supreme Court stated in *Landgraf v USI Film Products* that “[e]lementary considerations of fairness dictate that individuals should have an opportunity to know what the law is and to conform their conduct accordingly; settled expectations should not be lightly disrupted” (511 US 244, 265 [1994]). However, the retroactivity provisions of a tax statute are not necessarily unconstitutional and are generally tolerated and considered valid if for a short period (*Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 70 NY2d 451, 455 [1987]). This is because taxation is “but a way of apportioning the cost of government among those who in some measure are privileged to enjoy its benefits and must bear its burdens” (*Welch v Henry*, 305 US 134, 146 [1938]). The courts must examine, “in light of ‘the nature of the tax and the circumstances in which it is laid’, [whether] the retroactivity of the law is ‘so harsh and oppressive as to transgress the constitutional limitation’ ” (*Replan*, 70 NY2d at 455, quoting *Welch v Henry*, 305 US at 147). In *Replan*, this Court laid out a multi-factor balancing-of-equities test to determine whether a retroactive tax infringes on a taxpayer's due process rights (*see* 70 NY2d at 456). The important factors in determining whether a retroactive tax transgresses the constitutional limitation are (1) “the taxpayer's forewarning of a change in the legislation and the reasonableness of . . . reliance on the old law,” (2) “the length of the retroactive period,” and (3) “the public purpose for retroactive application” (*id.*).

[1] The Appellate Division decisions below incorrectly characterize the retroactive application of the tax statute here as an unconstitutional taking of property. While the Fifth Amendment's Takings Clause is but one of many constitutional provisions that express principles of antiretroactivity (*see Landgraf*, 511 US at 266; *see e.g.* Ex Post Facto Clause [US Const, art I, §§ 9 (3); 10 (1)]; prohibition on the impairment of

contracts [US Const, art I, § 10 (1)]; prohibition on Bills of Attainder [US Const, art I, §§ 9 (3); 10 (1)]), plaintiffs' claims are not valid Takings Clause challenges. The Takings Clause prevents government actors "from depriving private persons of vested property rights except for a 'public use' and upon payment of 'just compensation' " (*Landgraf*, 511 US at 266; US Const 5th Amend). "[A] party challenging governmental action as an unconstitutional taking bears a substantial burden," and evaluating whether an action is a "taking" requires a court to consider the "economic impact of the regulation, its interference with reasonable investment backed expectations, and the character of the governmental action" (*Eastern Enterprises*, 524 US at 523-524).

The purported taking here is plaintiffs' obligation to pay tax to the State in the absence of a valid tax credit. However, "[t]he mere imposition of an obligation to pay money . . . does not give rise to a claim under the Takings Clause of the Fifth Amendment" (*Kitt v United States*, 277 F3d 1330, 1336 [Fed Cir 2002], *on rehearing in part* 288 F3d 1355 [2002] [internal quotation marks and citation omitted]). Federal courts have held that "[f]or retroactive taxation to be a taking, it must be 'so arbitrary as to constrain to the conclusion that it was not the exertion of taxation' " (*Kitt*, 277 F3d at 1337, quoting *Brushaber v Union Pacific R. Co.*, 240 US 1, 24-25 [1916]; see *Houck v Little River Drainage Dist.*, 239 US 254, 265 [1915] [a tax is only a taking if it is a "flagrant abuse, and by reason of its arbitrary character is mere confiscation of particular property"])). The retroactive tax liability imposed in the present case cannot be characterized as so flagrant as to constitute the confiscation of property under the Takings Clause. Plaintiffs had no guarantee that they would ever recoup their business investments through the receipt of tax credits, and the New York Constitution provides that tax exemptions are freely repealable (NY Const, art XVI, § 1).⁴

The dissent maintains that examining all retroactive tax statutes as purported takings of vested property rights would help to clarify this area of law. The dissent's view unnecessarily complicates the law because the test for whether a retroactive tax violates the Due Process Clause is different from the test for whether a retroactive tax is an unconstitutional taking. An aggrieved taxpayer may choose to make a claim that a retroactive

4. Moreover, plaintiffs do not argue that their prospective decertifications from the Empire Zones Program constitute unconstitutional takings.

tax violates the Due Process Clause under the standards in *United States v Carlton* (512 US 26 [1994]) and our precedent in *Replan*. The focus of the three-pronged test is fairness. The taxpayer additionally may choose to challenge the statute under the Takings Clause, but must recognize that it is more difficult to prove that the tax amounted to “flagrant abuse” and the seizure of property (see *Houck*, 239 US at 265). The Supreme Court has recognized that it is more difficult to make out violations of the Takings Clause than a violation of the Due Process Clause (see *Concrete Pipe & Products of Cal., Inc. v Construction Laborers Pension Trust for Southern Cal.*, 508 US 602, 641 [1993]). The Takings Clause jurisprudence therefore does not clarify the due process inquiry in *Replan*; it is a different question altogether.

[2] We now turn to that other question: whether plaintiffs’ due process rights were infringed by the statute utilizing the three factors articulated in *Replan*. In terms of “the taxpayer’s forewarning of a change in the legislation and the reasonableness of his reliance on the old law” (*Replan*, 70 NY2d at 456), the plaintiffs had no warning and no opportunity at any time in 2008 to alter their behavior in anticipation of the impact of the 2009 Amendments. The 2009 Amendments were not introduced in the legislature until January 2009. Though the 2004 and 2007 reports from the Comptroller pointed out weaknesses in the Empire Zones Program, it did not spell out the new criteria on shirt-changing and 1:1 benefit-cost calculations to be implemented for existing Program participants in 2009. The taxpayer’s insufficient reliance in *United States v Carlton* can be contrasted because the retroactive effect of the tax deduction was to correct an error made by Congress that created a “significant and unanticipated revenue loss” (512 US at 31-32 [“It seems clear that Congress did not contemplate such broad applicability of the deduction when it originally adopted § 2057”]). In contrast, the 2009 Amendments were not meant to cure an unintended error by the legislature. The main purpose of the 2009 Amendments was to increase tax receipts for the state budget. Plaintiffs appeared to have conducted their business affairs in a manner consistent with existing Program requirements in 2008, justifiably relying on the receipt of the tax benefits that were then in effect. Therefore, the first *Replan* factor weighs in favor of plaintiffs.

The second factor, the length of the period of retroactivity, also benefits plaintiffs. The parties dispute, and indeed the

Third and Fourth Department disagreed, as to whether the period of retroactivity spans 16 or 32 months. Plaintiffs argue that the actual period of retroactive application for the 2009 Amendments should not be measured from January 2008 to April 2009, but from January 2008 to August 2010, a total of 32 months. Plaintiffs contend that the August 2010 legislation was not a “clarification” as stated by the legislature but a substantive act of legislation. The State argues that the period of retroactivity should be measured from January 2008 to April 2009 for a period of 16 months. While the language of the August 2010 bill supports the view that the legislature’s 2010 action was simply a clarification of its previous intent, the legislature’s overt omission of retroactivity language in the 2009 Amendments is indicative that August 2010 was the first time the legislature made the Program criteria retroactive.

Regardless of whether the period of retroactivity is deemed to span 16 or 32 months, the length of retroactivity should be considered excessive and weighs against the State. While one year of retroactivity is not considered excessive according to *Replan*, the period of retroactivity was long enough in the present case so that plaintiffs gained a reasonable expectation that they would “secure repose” in the existing tax scheme (*Replan*, 70 NY2d at 456 [internal quotation marks omitted]). While the State points to various federal and state cases where tax laws with longer periods of retroactivity were upheld, many of the cases concerned curative measures by legislatures to correct errors, instances where logistical issues made retroactivity necessary (e.g. *Welch v Henry*, 305 US 134, 144-149 [1938] [retroactivity period of two years upheld where Wisconsin Legislature only met every two years and acted at its first opportunity]), or the lack of detrimental reliance by the taxpayers (e.g. *Matter of Varrington Corp. v City of N.Y. Dept. of Fin.*, 85 NY2d 28, 33 [1995] [two-year period of retroactivity upheld where taxpayer did not detrimentally rely on the temporarily altered tax policy]). As none of these points is present here, the cases cited by the State are distinguishable.

On the third factor, dispositive in this case, the State fails to set forth a valid public purpose for the retroactive application of the 2009 Amendments. The legislature did not have an important public purpose to make the law retroactive. It was not attempting to correct an error in the tax code as in *Carlton*, or to prevent “the loss of [single room occupancy] housing and to discourage the precipitous eviction of tenants” as in *Replan* (70

NY2d at 457). The Empire Zones Program's cost to the state budget in 2008-2009 was not an unanticipated or unintended consequence of a previous legislative enactment. The legislature's only purposes were to stem abuses in the Empire Zones Program (increasing the benefits to the public relative to the cost of the credits) and to increase tax receipts. However, retroactively denying tax credits to plaintiffs did nothing to spur investment, to create jobs, or to prevent prior shirt-changing. The retroactive application of the 2009 Amendments simply punished the Program participants more harshly for behavior that already occurred and that they could not alter.

Furthermore, raising money for the state budget is not a particularly compelling justification. Absent an unexpected loss of revenue, such a legislative purpose is insufficient to warrant retroactivity in a case where the other factors militate against it, as is the situation here. Raising funds is the underlying purpose of taxation, and such a rationale would justify every retroactive tax law, obviating the balancing test itself. As such, there is no cognizable valid public purpose for the retroactive effect of the 2009 Amendments, and all three factors weigh in favor of plaintiffs. Therefore, we affirm the Appellate Division's determinations in all five cases that the 2009 Amendments should not be applied retroactively.

III. 5 NYCRR 11.9 (c)

[3] On its cross appeal, WL argues that 5 NYCRR 11.9 (c), DED's regulation to limit its review to a Program participant's business annual reports filed between 2001 and 2007 for decertification purposes, is inconsistent with the wording of the statute. We conclude that DED's regulation does not conflict with the statutory directive in General Municipal Law § 959 to consider an Empire Zone business's "total" performance. General Municipal Law § 959 (a) (v) (6) provides that one of the criteria for decertification is that "the business enterprise has failed to provide economic returns to the state in the form of total remuneration to its employees (i.e. wages and benefits) and investments in its facility greater in value to the tax benefits the business enterprise used and had refunded to it." First of all, the word "total" can be read to modify "remuneration to its employees." The legislature provided what "total remuneration" to employees is, by listing "wages and benefits." Additionally, section 959 (w) provides that the Commissioner may base decertification on a review of at least three BARs. While it is

arguable whether this requirement was meant to prevent businesses operating for fewer than three years from being decertified, the statute did not specifically require that the DED look at all available BARs in making a decertification decision under the 1:1 benefit-cost test. The responsible agency, DED, gave the ambiguous statute a rational interpretation that was not inconsistent with the plain language (see *Matter of Brown v Wing*, 93 NY2d 517, 524 [1999] [determining that it is “proper to utilize a rational interpretation by the agency responsible for administering the statute”]).

Moreover, it is unlikely that the legislature would require the DED to look at every business annual report for every business in the Program for every year of participation. Some of the Program businesses have been certified since 1986, and the requirements and benefits of the Program have changed over time. Notably, the Empire Zones Program changed its name in 2000 and implemented new requirements for businesses to pass employment tests to qualify for new credits and benefits. Because of the shift in requirements and benefits and the passage of time, it was practical for remuneration and business investments to be calculated from the start of the Empire Zones Program onwards. Though it may have been more precise to start recognizing investments made on or after May 16, 2000, the inception date of the Program, it was not arbitrary and capricious for the DED to choose to commence recognition of investments as of January 1, 2001 (the beginning of the first full year of the Program). The business annual reports detail the business investments and wages paid per calendar year and do not break down remuneration or investments on a month-to-month basis. It would have been difficult for the DED to collect information regarding investments and wages for only a portion of the year 2000. Therefore, the DED could rationally decide to tally investments beginning in 2001, and its decertification of WL was not arbitrary and capricious.

Accordingly, in each of the first four above-captioned cases, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and in *Matter of WL, LLC v Department of Economic Dev.* the order of the Appellate Division should be affirmed, without costs.

SMITH, J. (dissenting in part). I dissent to the extent that the majority holds the retroactive application of the 2009 Amendments unconstitutional.

The question of when a tax statute may be made retroactive is one on which the decided cases provide frustratingly little guidance. It is clear that some retroactivity is allowed, but not too much. If we ask how much is too much, we are told to consider whether “retroactive application is so harsh and oppressive as to transgress the constitutional limitation” (*Welch v Henry*, 305 US 134, 147 [1938])—guidance hardly more useful than being told to decide whether the State or the taxpayer wins the case. *United States v Carlton* (512 US 26, 30 [1994]) says that the *Welch* formulation “‘does not differ from the prohibition against arbitrary and irrational legislation’ that applies generally to enactments in the sphere of economic policy” (quoting *Pension Benefit Guaranty Corporation v R. A. Gray & Co.*, 467 US 717, 733 [1984]). *Carlton* also says: “Tax legislation is not a promise, and a taxpayer has no vested right in the Internal Revenue Code” (512 US at 33). Yet the *Carlton* opinion itself examines a retroactive tax statute more minutely than the language I have quoted would seem to suggest, stressing the benign motive of Congress (*id.* at 32) and the promptness with which Congress acted (*id.* at 32-33). *Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.* (70 NY2d 451, 456 [1987]) establishes a balancing test and lists the factors to be considered, chief among which are “the taxpayer’s forewarning of a change . . . and the reasonableness of his reliance,” but it is no more precise than other authorities in stating the question that the balancing is supposed to answer.

I do not have a formula for bringing great clarity and certainty to this area. But I think the majority creates more confusion by saying, in substance, that the “property” that is protected by the Due Process Clause is different from the property rights protected by other clauses of the Constitution (majority op at 246-247). I would approach retroactive taxation cases in the opposite way: I think it is helpful, and consistent with precedent, to ask whether it was reasonable for the taxpayer to rely on favorable tax treatment as it might rely on a property or contract right protected under the Takings Clause or the Contract Clause of the Constitution. This, it seems to me, is the idea suggested by the traditional term “vested right”—a term long out of fashion (see *Matter of Chrysler Props. v Morris*, 23 NY2d 515, 521 [1969]), but at least as useful as any of the terminology used in later cases. The approach I suggest would by no means eliminate the vagueness that pervades this area of the law; nor would it supersede the *Replan* balancing test. But I think it may help to clarify the question we are trying to answer when we apply *Replan*.

Rejecting this approach, the majority seems to say that the difference between a retroactive tax statute that is a taking and one that only violates due process is between one that is so “arbitrary” as not to be “the exertion of taxation” at all (majority op at 247, quoting *Kitt v United States*, 277 F3d 1330, 1337 [Fed Cir 2002]; *Brushaber v Union Pacific R. Co.*, 240 US 1, 24-25 [1916]), and one that is less arbitrary but still fails the test of “fairness” (majority op at 248). The majority does not say how courts are to distinguish the greater unfairness from the lesser one, nor explain why it is useful to do so. Nor does it explain how this distinction squares with *Carlton*’s statement, which I quoted above (at 252) that only “arbitrary and irrational” retroactive tax legislation violates the Due Process Clause. I think it is the majority’s approach, not mine, that “unnecessarily complicates the law” (majority op at 247).

Applying the approach I think correct to this case, I cannot see that the taxpayers were justified in relying on their Empire Program certifications as though they were property or contract rights. In general, as *Carlton* makes clear, taxpayers are on notice that the tax laws are subject to change. The balancing of the *Replan* factors, as I would perform it, favors the State. The length of the retroactive period, even putting it at 32 months, was not outrageous; and for 19 of those 32 months—from the time the Governor proposed the 2009 Amendments, in January 2009, until the retroactive legislation was enacted in August 2010—it was public knowledge that a change retroactive to January 1, 2008 was being sought. Indeed, after the 2009 Amendments were passed in April 2009, the Governor and his appointees openly stated their belief that retroactivity had already been accomplished; even if they were wrong, the very debate on the subject gave the taxpayers reason to be cautious in relying on their certifications. The reason for the retroactive amendments was, as the majority acknowledges, to remedy “weaknesses in the Empire Zones Program” (majority op at 248) and “to stem abuses” in that program (*id.* at 250). The majority says that the legislation was not designed “to correct an error” (*id.* at 249)—but the distinction between correcting errors and stemming abuses is a thin one, if it exists at all. It is also true, of course, that the legislation was designed to raise revenues and balance the budget—but that is what all taxation does.

I would hold this legislation to be constitutional.

Judges GRAFFEO, READ, PIGOTT and RIVERA concur with Chief Judge LIPPMAN; Judge SMITH dissents in an opinion; Judge ABDUS-SALAAM taking no part.

In *James Sq. Assoc. LP v Mullen*, *Matter of J-P Group, LLC v New York State Dept. of Economic Dev.*, *Matter of Morris Bldrs., LP v Empire Zone Designation Bd.* and *Matter of Hague v Empire Zone Designation Bd.*: Order, insofar as appealed from, affirmed, with costs.

Judges GRAFFEO, READ, PIGOTT and RIVERA concur with Chief Judge LIPPMAN; Judge SMITH dissents in part in an opinion; Judge ABDUS-SALAAM taking no part.

In *Matter of WL, LLC v Department of Economic Dev.*: Order affirmed, without costs.

[993 NE2d 386, 970 NYS2d 900]

In the Matter of CHENANGO FORKS CENTRAL SCHOOL DISTRICT,
Appellant, v NEW YORK STATE PUBLIC EMPLOYMENT RELATIONS BOARD et al., Respondents.

Argued April 25, 2013; decided June 6, 2013

SUMMARY

APPEAL from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 10, 2012, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division, with two Justices dissenting, (1) confirmed a determination of respondent Public Employment Relations Board which had found that petitioner had committed an improper employer practice; and (2) dismissed the petition.

Matter of Chenango Forks Cent. School Dist. v New York State Pub. Empl. Relations Bd., 95 AD3d 1479, affirmed.

HEADNOTES

Civil Service — Public Employment Relations Board — Improper Employer Practice — Discontinuing Reimbursement of Medicare Part B Premiums of Certain Retirees

1. Respondent Public Employment Relations Board's determination that petitioner School District had committed an improper employer practice by discontinuing petitioner's practice of reimbursing Medicare Part B premiums of certain retirees, made after the arbitrator in a related contract grievance arbitration ruled that petitioner was not contractually obligated to reimburse the premiums, was not based upon an error of law or arbitrary and capricious, and was supported by substantial evidence. In order for respondent in an improper practice proceeding to defer to an arbitration award it must be satisfied that the issues raised by the improper practice charge were fully litigated in the arbitration proceeding, that arbitral proceedings were not tainted by unfairness or serious procedural irregularities, and that the determination of the arbitrator was not clearly repugnant to the purposes and policies of the Taylor Law. It was reasonable for respondent not to defer to any finding of the arbitrator that there was no binding past practice under the Taylor Law: identity of issues was lacking and, to the extent the arbitrator purported to determine there was no past practice within the meaning of the Taylor Law, he exceeded his authority and his finding was repugnant to that statute. Moreover, respondent's decision in regard to past practice was supported by substantial evidence. Petitioner's knowledge of the payments was shown by the managerial oversight necessary to make them, as well as the memorandum circulated to its faculty and staff, announcing termination of petitioner's practice of reimbursing the premiums. Respondent Union's and bargaining unit employees' knowledge was established by the testimony given at the hearing.

Constitutional Law — Gift of Public Funds — Reimbursement of Medicare Part B Premiums of Certain School District Retirees

2. Reimbursement by petitioner School District of the Medicare Part B premiums of certain retirees was not an unconstitutional gift of public funds (see NY Const, art VIII, § 1). Respondent Public Employment Relations Board, in determining that petitioner had committed an improper employer practice by discontinuing petitioner's practice of reimbursing Medicare Part B premiums of certain retirees, found that the practice was a binding past practice under the Taylor Law. Although school districts may not "give or loan any money or property" (NY Const, art VIII, § 1) unless expressly authorized by law or pursuant to a contract term, the statutory permission here came from the definition of "terms and conditions of employment" (Civil Service Law § 201 [4]) and the bargaining right in certain binding past practices. As respondent Union had the right to reimbursement under the Taylor Law, the reimbursement could not be an unconstitutional gift of public funds.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618, 619; AM JUR 2d, Civil Service § 94; AM JUR 2d, Labor and Labor Relations § 397; AM JUR 2d, Pensions and Retirement Funds § 1228.

CARMODY-WAIT 2d, Appeals in General §§ 70:94, 70:95.

McKINNEY'S, Civil Service Law § 201 (7); NY Const, art VIII, § 1.

NY JUR 2d, Appellate Review §§ 540, 563–565; NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 408, 435, 440, 441, 464, 469, 470; NY JUR 2d, Public Funds §§ 38, 86–89.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Civil Service; Pension and Retirement; Public Moneys; Schools and Education.

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POINTS OF COUNSEL

Coughlin & Gerhart LLP, Endicott (*Lars P. Mead* of counsel), for appellant. I. The Public Employment Relations Board improperly refused to defer to the arbitrator's finding that there was insufficient evidence of a binding past practice. (*Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*,

93 NY2d 132; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Matter of Roma v Ruffo*, 92 NY2d 489.) II. The Chenango Forks Teachers Association does not have a contractual right to continued Medicare Part B reimbursement; as such, the Public Employment Relations Board's decision is based upon an error of law. (*Matter of Bryant v Board of Educ., Chenango Forks Cent. School Dist.*, 21 AD3d 1134.) III. The provision of Medicare Part B reimbursement to certain district retirees does not constitute a term and condition of employment; thus, the Public Employment Relations Board's determination was based upon an error of law. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326.) IV. The Public Employment Relations Board erred in failing to find that the improper practice charge is moot, as the Chenango Forks Central School District and the Chenango Forks Teachers Association negotiated a new collective bargaining agreement which contains a "complete agreement" clause but does not provide for Medicare Part B benefits. V. The Chenango Forks Central School District's continued provision of Medicare Part B benefits would constitute an impermissible gift of public funds and the Public Employment Relations Board's determination was based upon an error of law. (*Piro v Bowen*, 76 AD2d 392, 52 NY2d 702; *Matter of Karp v North Country Community Coll.*, 258 AD2d 775.) VI. The Public Employment Relations Board's decision is not based upon substantial evidence. (*300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179; *People ex rel. Vega v Smith*, 66 NY2d 130.)

David P. Quinn, Albany, for New York State Public Employment Relations Board, respondent. I. The Public Employment Relations Board was not arbitrary, capricious or affected by error of law in concluding that the reimbursement of Medicare Part B insurance premiums for active employees after they retire upon reaching age 65 is mandatorily negotiable under the Taylor Law. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122.) II. The Public Employment Relations Board was not arbitrary, capricious or affected by error of law in concluding that the Chenango Forks Central School District's practice of reimbursing Medicare Part

B insurance premiums for active employees after they retire upon reaching age 65 established a negotiable past practice cognizable under the Taylor Law. (*Matter of Manhasset Union Free School Dist. v New York State Pub. Empl. Relations Bd.*, 61 AD3d 1231; *Matter of Fashion Inst. of Tech. v New York State Pub. Empl. Relations Bd.*, 68 AD3d 605; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Bergstein v Board of Educ., Union Free School Dist. No. 1 of Towns of Ossining, New Castle & Yorktown*, 34 NY2d 318; *Matter of Gray v Adduci*, 73 NY2d 741; *Matter of Berenhaus v Ward*, 70 NY2d 436.) III. The Public Employment Relations Board was not arbitrary, capricious or affected by error of law in concluding that it was not bound by the arbitrator's opinion that the Chenango Forks Central School District had no binding past practice of reimbursing active employees for Medicare Part B premiums after they retire upon reaching age 65. (*Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, Erie County Local 815, Erie County White Collar Empls. Unit v State of N.Y., Publ. Empl. Relations Bd.*, 213 AD2d 897; *Matter of Manhasset Union Free School Dist. v New York State Pub. Empl. Relations Bd.*, 61 AD3d 1231; *Board of Educ. for City School Dist. of City of Buffalo v Buffalo Teachers Fedn.*, 89 NY2d 370; *Matter of Poughkeepsie Professional Firefighters' Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 6 NY3d 514; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *National Labor Relations Bd. v Owners Maintenance Corp.*, 581 F2d 44; *Ciba-Geigy Pharms. Div. v National Labor Relations Bd.*, 722 F2d 1120; *Mobil Exploration & Producing U.S., Inc. v National Labor Relations Bd.*, 200 F3d 230.) IV. The Public Employment Relations Board was not arbitrary, capricious or affected by error of law in concluding that the record does not support the Chenango Forks Central School District's affirmative defenses that it satisfied its duty to negotiate with the Chenango Forks Teachers Association concerning its announcement that it was terminating the at-issue practice or that the Association waived its bargaining rights concerning that announcement. (*Matter of Ferreri v New York State Thruway Auth.*, 62 NY2d 855; *Matter of Civil Serv. Empls. Assn. v Newman*, 88 AD2d 685, 61 NY2d 1001; *Matter of Monroe County v New York State Pub. Empl. Relations Bd.*, 85 AD3d 1439; *Matter of Patrolmen's Benevolent Assn. of Vil. of Walden v Kinsella*, 263

AD2d 885; *Matter of Greece Support Serv. Empls. Assn., NEA/ N.Y. v Public Empl. Relations Bd.*, 250 AD2d 980.)

Richard E. Casagrande, Latham, for Chenango Forks Teachers Association, respondent. I. Judicial deference should be given to Public Employment Relations Board's determination. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46.) II. The continuation of Medicare Part B reimbursement to current bargaining unit members who retire and reach age 65 is a mandatory subject of negotiation. (*Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Bryant v Board of Educ., Chenango Forks Cent. School Dist.*, 21 AD3d 1134; *Matter of Baker v Board of Educ.*, 29 Misc 3d 706, 29 AD3d 574, 7 NY2d 708.) III. An enforceable Taylor Law past practice exists. (*Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Matter of Manhasset Union Free School Dist. v New York State Pub. Empl. Relations Bd.*, 61 AD3d 1231; *Matter of Fashion Inst. of Tech. v New York State Pub. Empl. Relations Bd.*, 68 AD3d 605; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Roma v Ruffo*, 92 NY2d 489; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York*, 94 NY2d 321; *Steelworkers v Enterprise Wheel & Car Corp.*, 363 US 593.) IV. Substantial evidence supports the Public Employment Relations Board's determination that the relevant history of reimbursing Medicare Part B insurance premiums constitutes a negotiable past practice. (*Matter of Manhasset Union Free School Dist. v New York State Pub. Empl. Relations Bd.*, 61 AD3d 1231; *Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO v New York State Pub. Empl. Relations Bd.*, 301 AD2d 946; *Matter of Uniondale Union Free School Dist. v Newman*, 167 AD2d 475, 77 NY2d 809; *Matter of Collins v Codd*, 38 NY2d 269; *Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO v New York State Pub. Empl. Relations Bd.*, 2 AD3d 1197; *Matter of Romaine v Cuevas*, 305 AD2d 968; *Matter of Bergstein v Board of Educ., Union Free School Dist. No. 1 of Towns of Ossining, New Castle & Yorktown*, 34 NY2d 318; *Matter of Gray v Adduci*, 73 NY2d 741; *Matter of JMH, Inc. v New York State Liq. Auth.*, 61 AD3d 1260.) V. The Court should defer to the

Public Employment Relations Board's determination that the record does not establish that the Chenango Forks Central School District satisfied its duty to negotiate with the Chenango Forks Teachers Association or that the Association waived its bargaining rights. (*Matter of Civil Serv. Empls. Assn. v Newman*, 88 AD2d 685, 57 NY2d 775; *Matter of Greece Support Serv. Empls. Assn., NEA/N.Y. v Public Empl. Relations Bd.*, 250 AD2d 980.) VI. The at-issue benefit is not an unconstitutional gift of public funds. (*Gagliardo v Dinkins*, 89 NY2d 62; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of Fashion Inst. of Tech. v New York State Pub. Empl. Relations Bd.*, 68 AD3d 605.)

OPINION OF THE COURT

READ, J.

On June 12, 2003, the Chenango Forks Central School District (the School District or the District) circulated a memorandum to its faculty and staff, represented by the Chenango Forks Teachers Association, NYSUT, AFT, AFL-CIO, Local 2651 (the Union), announcing termination, due to costs, of the District's practice of reimbursing Medicare Part B premiums of retirees 65 years of age or older. The School District was at one time required by its health care insurance plan to reimburse these premiums. But in 1988, the parties negotiated a switch to a new plan, which was reflected in the collective bargaining agreement (CBA) they entered into in 1990. Although the new plan did not require provision of this benefit, the District nonetheless continued it.¹ The 2001-2004 CBA, in place in June 2003, said nothing about Medicare Part B premium reimbursement. Similarly, the 2004-2007 CBA, entered into in January 2005, was silent on this issue, and the parties agree that the topic was not raised during contract negotiations.

The Union filed a contract grievance on July 24, 2003, claiming that the School District had violated the CBA by failing to negotiate cancellation of Medicare Part B premium reimbursement. And on September 12, 2003, the Union filed an improper practice charge with the New York State Public Employment Relations Board (PERB or the Board). There, the Union asserted that the District had violated the Public Employees' Fair Employment Act (the Taylor Law), Civil Service Law § 209-a (1) (d), by unilaterally discontinuing Medicare Part B premium

1. The School District later stated this was an administrative oversight.

reimbursement. The Union characterized these reimbursements as a benefit that accrues to employees while they are employed, to be paid to them when they retire. On December 12, 2003, Administrative Law Judge (ALJ) Quinn, at the District's request, conditionally dismissed the improper practice charge, subject to a motion to reopen. In light of the pending grievance, he noted, "it [was] PERB's policy to refrain from asserting jurisdiction over the at-issue dispute until a determination is made as to whether the parties' [CBA] provide[d] a source of right to the charging party."

A hearing was held on the contract grievance in September 2004. In his opinion and award executed on November 6, 2004, the arbitrator concluded there was no language in the CBA requiring the School District to reimburse retirees' Medicare Part B premiums, or clauses extending to matters not covered by the CBA or mandating maintenance of standards.² As a result, he found "no basis in the [CBA] upon which to sustain the grievance." In ruling that the District was not contractually obligated to reimburse Medicare Part B premiums, the arbitrator commented that he was

"mindful of the evidence regarding historical practices. As to Medicare Part B reimbursements, however, such practices originated from the former [health care plan] and a now repealed statutory obligation on the part of the District, and once the statutory obligation was removed, the District made voluntary Medicare Part B reimbursement payments to retirees. *The voluntariness of the District's conduct, given the origin of the District's Medicare Part B reimbursements, does not contain sufficient evidence of a mutual understanding and agreement to establish a binding past practice*" (emphasis added).

2. A "maintenance of standards" or "maintenance of benefits" clause in a labor contract requires all existing conditions of employment, except those specifically changed by the contract, to be continued during the term of a new contract. Such a clause effectively confirms past practices contractually (see *Matter of Meegan v Brown*, 81 AD3d 1403, 1404-1405 [4th Dept 2011]; see also *Matter of City of Buffalo [Fire Dept.] [Buffalo Professional Firefighters Assn., Inc., Local 282, I.A.F.F., AFL-CIO]*, 17 PERB ¶ 3090 [1984] [noting that "a maintenance of benefits clause . . . may, with respect to a mandatory subject of negotiation, . . . create a contractual right that complements the statutory right to the maintenance of past practices. The contractual right, however, does not extinguish the statutory right"]).

After the arbitrator's decision was issued, the Union asked PERB to reopen the improper practice charge. On December 31, 2004, ALJ Quinn granted the Union's request, over the School District's opposition. He opined that because "the arbitrator found no [contractual] source of right to [the Union] with respect to the dispute at issue . . . , [the Union was] not seeking to enforce an agreement in the context of the charge, and PERB [had] jurisdiction over the alleged failure to continue a non-contractual practice." ALJ Quinn transmitted the charge for reassignment to a decisional ALJ.

In a decision dated August 22, 2006, based on stipulated facts, ALJ Comenzo concluded that the School District had violated Civil Service Law § 209-a (1) by circulating the June 12, 2003 memorandum. She found that there existed a past practice of providing a benefit—i.e., the promise to reimburse current employees' post-retirement Medicare Part B premiums—which is a mandatory subject of bargaining. Accordingly, the ALJ directed the District to rescind the memorandum.

In so ruling, ALJ Comenzo rejected several defenses advanced by the School District; in particular, that "the arbitrator's finding that there [was] no past practice is binding" on PERB. In that regard, she noted that

"in addressing the [Union's] grievance, the arbitrator specifically observed that his jurisdiction lay within the four corners of the [CBA], which, he found, contains no maintenance of standards clause to cover past practices. Thus, his opinion that there is no past practice concerning the at-issue benefit is entirely *dicta*, which is neither binding nor convincing."

The School District filed exceptions, dated October 2, 2006, requesting that PERB rescind the ALJ's decision. In its ensuing decision and order dated July 25, 2007, the Board focused on whether the District's long-standing reimbursement of Medicare Part B premiums constituted a binding past practice within the meaning of the Taylor Law. The School District cited the arbitrator's decision as proof there was no past practice; the Union pointed out that this benefit had been afforded employees since at least 1980. PERB endorsed the ALJ's view that the arbitrator's statement, relied upon by the District, was "entirely *dicta*" and "neither convincing nor binding." The Board added that, to the extent the "arbitrator's statement . . . may have

been intended to apply the [Taylor Law's] criteria for the establishment of a past practice, it was repugnant to [that statute]" (40 PERB ¶ 3012 [2007]).

PERB stated that the test for establishing a binding past practice under the Taylor Law was set out in its decision in *Matter of County of Nassau* (24 PERB ¶ 3029 [1991]); namely, that the "practice was unequivocal and was continued uninterrupted for a period of time sufficient under the circumstances to create a reasonable expectation among the affected [bargaining] unit employees that the [practice] would continue" (*id.* ¶ 3058). Further, "the expectation of the continuation of the practice is something that may be presumed from its duration with consideration of the specific circumstances under which the practice has existed."

Applying the *County of Nassau* test to the facts, PERB found that the School District had actual or constructive knowledge of the practice, given the level of expenditure of revenue to multiple retirees (about \$500,000 between 1988 and 2003), with such payments being documented in the District's records and subject to review during the preparation of annual budgets. The Board added that, even without these circumstances, "the extended period of the practice alone . . . would have constituted circumstantial evidence sufficient to establish a *prima facie* proof of the employer's knowledge."

PERB decided, however, that it was unable to apply the "reasonable expectation" prong of the *County of Nassau* test because the stipulated record was inadequate. Specifically, the record was "ambiguous" regarding whether active employees and the Union had knowledge of the payments to retirees, and thus harbored a "reasonable expectation" that they would receive this benefit, too. Accordingly, the Board remanded the charge for the ALJ to take additional evidence and decide this issue.

On January 30, 2008, the School District and the Union participated in an evidentiary hearing before ALJ Comenzo. The Union presented 11 witnesses who were employees of the District and Union members; these witnesses generally testified that they had been aware of the Medicare Part B premium reimbursements prior to June 12, 2003 as a result of conversations with current and former colleagues. The School District's two witnesses were responsible for conducting informal pre-retirement interviews with faculty and staff. Both testified that they did not recall anyone ever inquiring about reimbursement of Medicare Part B premiums.

In her decision dated May 7, 2009, the ALJ first reviewed and evaluated the testimony of each of these witnesses. She then found that

“[d]espite some weaknesses in the testimony of certain of the [Union’s] witnesses, the record credibly evidences that both the [Union], through some of its officials, and [bargaining] unit employees employed as of June 12, 2003, among them witnesses who testified at the instant hearing and those identified individually and collectively in the record testimony, had been aware of the at-issue reimbursement for many years prior to the June 12, 2003 memorandum.”³

The ALJ therefore confirmed her original ruling and order. On June 1, 2009, the School District again filed exceptions.

In its final decision and order dated April 22, 2010, PERB concluded that, based on

“examination of the record, including the testimony of [the School District’s witnesses], . . . the supplemental evidence presented by the [Union’s] witnesses is sufficient to resolve the ambiguity we found in the wording of the parties’ stipulation of facts. The evidence presented at the hearing demonstrates that both the [Union] and [bargaining] unit employees had sufficient knowledge of the District’s practice at the time of the announced discontinuation of that practice to demonstrate a reasonable expectation that the practice would continue” (43 PERB ¶ 3017 [2010]).

Thus, PERB denied the District’s exceptions, affirmed the ALJ and ordered the District to rescind the June 12, 2003 memorandum.

The School District commenced this CPLR article 78 proceeding by petition dated May 24, 2010, claiming that PERB’s determination was based upon an error of law, arbitrary and capricious and not supported by substantial evidence. In a memorandum and judgment decided and entered on May 10, 2012, the Appellate Division, with two Justices dissenting, confirmed PERB’s determination and dismissed the District’s

3. The ALJ disregarded entirely the testimony of two of the Union’s witnesses because she concluded they had nothing relevant to say about the narrow issue on remand.

petition (95 AD3d 1479 [3d Dept 2012]). The District appeals to us as of right,⁴ and we now affirm.

“As the agency charged with implementing the fundamental policies of the Taylor Law, [PERB] is presumed to have developed an expertise and judgment that requires us to accept” its decisions with respect to matters within its competence (see *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398, 404 [1979]). Our standard of review has been variously stated, but boils down to whether PERB’s decision was legally permissible, rational and thus not arbitrary and capricious (see *id.* at 402, 405; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]). And where there has been a hearing, as happened here, PERB’s determination must be supported by substantial evidence (*Pell*, 34 NY2d at 231).

[1] In this case, the School District takes the position that PERB should have deferred to the arbitrator’s finding there was no past practice, citing *Matter of New York City Tr. Auth. (Bordansky)* (4 PERB ¶ 3031 [1971]). In *Bordansky*, the Board subscribed to a policy of deferral to arbitral awards “under well defined standards,” stating that

“in order for [PERB] in an improper practice proceeding to defer to an arbitration award it must be satisfied that the issues raised by the improper practice charge were fully litigated in the arbitration proceeding, that arbitral proceedings were not tainted by unfairness or serious procedural irregularities[,] and that the determination of the arbitrator was not clearly repugnant to the purposes and policies of the [Taylor Law].”

Considering the facts of this case in light of the *Bordansky* factors, it was reasonable for PERB not to defer to the arbitrator: identity of issues was lacking and, to the extent the arbitrator purported to determine there was no past practice within the meaning of the Taylor Law, he exceeded his authority and his finding was repugnant to that statute.

4. At the Appellate Division, the majority and the dissent disagreed on a question of law; namely, whether the School District adequately preserved the issue of whether PERB should have deferred to the arbitrator’s finding that a past practice did not exist. We conclude that the District preserved this issue for appellate review.

First, any of the arbitrator's findings relating to past practice within the meaning of the Taylor Law fell outside the scope of his authority. This conclusion is supported by the way in which the arbitrator himself portrayed his charge (*see e.g.* the arbitrator's statement that he "approache[d] the Parties' contractual interpretation dispute with the primary understanding that *his jurisdiction [was] limited to and derived from the Parties' Collective Bargaining Agreement . . .* Accordingly, . . . Taylor Law obligations cannot alter this Arbitrator's responsibility to render a decision *based on the language contained in the Parties' Agreement*" [emphases added]). And as a matter of contract interpretation, the arbitrator's pronouncement about past practice was dictum, as the ALJ and PERB correctly recognized. Past practice would only become relevant to the parties' contractual rights and responsibilities if the CBA committed the School District to maintain existing benefits, and the arbitrator found it did not.

PERB additionally decided that any determination by the arbitrator with respect to past practice under the Taylor Law was repugnant to that statute. For example, the arbitrator opined that the voluntary nature of the payments, especially since they effectively originated as a mandate, meant there was no mutual understanding and agreement sufficient to establish a binding past practice. A binding past practice under the Taylor Law, however, does not require mutual understanding and agreement (*see County of Nassau*, discussed *supra*).

Finally, in our view the arbitrator did not, in fact, rule there was no past practice within the meaning of the Taylor Law. Instead, he merely stated that historical practices were insufficient to establish a *contract* right to reimbursement of Medicare Part B premiums. This is why he mentioned mutual understanding and agreement, a contract concept. In short, the arbitrator did not purport to decide the same issue as was litigated in the improper practice proceeding (*see Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO v New York State Pub. Empl. Relations Bd.*, 267 AD2d 935, 937 [1999] [PERB improperly relied upon its policy of deference as the sole basis for resolving an improper practice charge because the relevant inquiry in the prior disciplinary proceeding—whether there was cause for the employee's dismissal—was "very different than" the inquiry in an improper practice proceeding, which was whether the employer's action was motivated by anti-union bias, even if cause existed]).

Further, PERB's decision in regard to past practice was supported by substantial evidence (*see Pell*, 34 NY2d at 231). The School District's knowledge of the payments is shown by the managerial oversight necessary to make them, as well as the June 12, 2003 memorandum itself. The Union's and bargaining unit employees' knowledge was established by the testimony given at the hearing. The District protests that the testimony of the Union's witnesses was incredible and consisted entirely of inadmissible hearsay; however, credibility determinations are the province of the ALJ, in the first instance, and PERB, not us. And the testimony was not hearsay because, as the Board observed in its final decision and order, "it relates to [the witnesses'] awareness of the practice, rather than the truth of the matter asserted" (43 PERB ¶ 3017). Moreover, the ALJ was not bound by the rules of evidence, and hearsay evidence may properly inform PERB's decisions.

[2] The School District also contends that continued Medicare Part B premium reimbursement absent a contractual requirement constitutes a gift of public funds and is therefore unconstitutional (*see* NY Const, art VIII, § 1). School districts may not "give or loan any money or property" (*id.*) unless "expressly authorized by statute, local law, resolution or pursuant to a contract term" (*see Matter of Karp v North Country Community Coll.*, 258 AD2d 775, 775 [3d Dept 1999]). The statutory permission here comes from the definition of "terms and conditions of employment" (Civil Service Law § 201 [4]) and the bargaining right in certain binding past practices. The District simply presumes the conclusion for which it argues, as the reimbursement of Medicare Part B premiums can only be an unconstitutional gift of public funds if the Union has no right under the Taylor Law to such reimbursement.

We have examined the School District's remaining arguments and likewise consider them to be without merit. Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Judgment affirmed, with costs.

[992 NE2d 414, 970 NYS2d 486]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KENNETH PADILLA, Appellant.

Argued May 2, 2013; decided June 6, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 10, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Daniel Conviser, J., at suppression hearing; Wayne M. Ozzi, J., at trial and sentence; *see* 25 Misc 3d 1228[A], 2009 NY Slip Op 52332[U] [2009]), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree.

People v Padilla, 89 AD3d 505, affirmed.

HEADNOTES

Crimes — Unlawful Search and Seizure — Inventory Search of Impounded Vehicle — People's Satisfaction of Burden of Showing Valid Search

1. In a prosecution for criminal possession of a weapon discovered during an inventory search of defendant's impounded vehicle, the People met their burden of establishing a valid inventory search of the vehicle where they proffered written guidelines for conducting the search, the searching officer's testimony regarding his search of the vehicle, and the resulting list of items retained. The police may conduct an inventory search of an impounded vehicle to properly catalogue its contents but an inventory search must not be a ruse for a general rummaging in order to discover incriminating evidence. The officer's testimony that it was police protocol to remove any owner-installed equipment, and that in accordance with that protocol he removed with a screwdriver stereo equipment filling the entire cargo area of the vehicle's trunk, thereby gaining access to the spare tire compartment where the contraband was discovered, was accepted by the hearing court and there were no grounds upon which to overturn that determination, notwithstanding defendant's contention that the officer's action was a ruse designed to search for drugs. Thus, the People met their burden of establishing that the search was in accordance with established procedure and resulted in a meaningful inventory list.

Crimes — Unlawful Search and Seizure — Inventory Search of Impounded Vehicle — Failure to Strictly Follow Procedure for Search Not Fatal

2. In a prosecution for criminal possession of a weapon discovered during an inventory search of defendant's impounded vehicle, the search was not invalidated by the officer's failure to follow written police procedure when he gave some of the contents of the vehicle to defendant's sister without itemizing that property. It was defendant himself who called his sister to come to the

precinct to retrieve his property. The primary objectives of the search—to preserve the property of defendant, to protect the police from a claim of lost property and to protect the police and others from dangerous instruments—were met when the officer complied with defendant’s request and gave the items to his sister and then prepared a list of the other items retained by the police.

Crimes — Unlawful Search and Seizure — Inventory Search of Impounded Vehicle — Search of Seat Panels

3. In a prosecution for criminal possession of a weapon discovered during an inventory search of defendant’s impounded vehicle, the search was not invalidated by the officer’s looking into the askew back seat panels for evidence of narcotics. It was clear the officer’s intention for the search was to inventory the items in the vehicle. It was reasonable for the officer to have checked in the rear seat panels that were askew as part of his inventory, and the fact that the officer knew that contraband is often hidden by criminals in the panels did not invalidate the entire search.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Searches and Seizures §§ 292, 293.

CARMODY-WAIT 2d, Search and Seizure §§ 173:331, 173:352.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.7.

NY JUR 2d, Criminal Law: Procedure §§ 503, 522.

ANNOTATION REFERENCE

Lawfulness of “inventory search” of motor vehicle impounded by police. 48 ALR3d 537.

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POINTS OF COUNSEL

Randall D. Unger, Bayside, for appellant. I. The People failed to establish that the police conducted a valid inventory search of appellant’s vehicle. The firearm seized during that search should therefore have been suppressed. (*Katz v United States*, 389 US 347; *United States v Jeffers*, 342 US 48; *People v Sullivan*, 29 NY2d 69; *People v Johnson*, 254 AD2d 500; *Colorado v Bertine*, 479 US 367; *Florida v Wells*, 495 US 1; *People v Galak*, 80 NY2d 715; *People v Miles*, 3 Misc 3d 566; *United States v Dugway*, 93 F3d 346; *People v Schwing*, 13 AD3d 725.) II. The People failed to prove appellant’s guilt beyond a reasonable doubt. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60

NY2d 620; *People v Lemmons*, 40 NY2d 505; *People v Rivera*, 77 AD2d 538; *County Court of Ulster Cty. v Allen*, 442 US 140; *People v Ballard*, 133 Misc 2d 584; *People v Hicks*, 138 AD2d 519, 71 NY2d 969; *People v Wilt*, 105 AD2d 1089; *People v Olivo*, 120 AD2d 466; *People v Brown*, 181 AD2d 1041.) III. Appellant was deprived of his due process right to a fair trial by the numerous, egregious improprieties committed by the trial prosecutor. (*People v Steinhardt*, 9 NY2d 267; *Berger v United States*, 295 US 78; *People v Moye*, 12 NY3d 743; *People v Lovello*, 1 NY2d 436; *People v Bailey*, 58 NY2d 272; *People v Diaz*, 170 AD2d 202; *People v Butler*, 185 AD2d 141; *People v Paperno*, 54 NY2d 294; *People v Webb*, 68 AD2d 331; *People v Posner*, 273 NY 184.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Matthew T. Murphy* and *Christopher P. Marinelli* of counsel), for respondent. I. The hearing court properly denied defendant's motion to suppress the gun. (*Coolidge v New Hampshire*, 403 US 443; *People v Spinelli*, 35 NY2d 77; *Colorado v Bertine*, 479 US 367; *People v Gear*, 232 AD2d 578; *People v Johnson*, 1 NY3d 252; *People v Sullivan*, 29 NY2d 69; *United States v James Daniel Good Real Property*, 510 US 43; *County of Nassau v Canavan*, 1 NY3d 134; *Krimstock v Kelly*, 306 F3d 40; *People v Galak*, 80 NY2d 715.) II. The People proved all elements of defendant's crime beyond a reasonable doubt. (*People v Bleakley*, 69 NY2d 490; *People v Tejeda*, 73 NY2d 958; *People v Kennedy*, 47 NY2d 196; *People v Romero*, 7 NY3d 633; *People v Gaimari*, 176 NY 84; *People v Saunders*, 85 NY2d 339; *People v Manini*, 79 NY2d 561; *People v Muhammad*, 16 NY3d 184; *People v Lemmons*, 40 NY2d 505; *People v Verez*, 83 NY2d 921.) III. Nothing in the People's summation or redirect examination of Officer Christopher White was improper. (*People v Harris*, 98 NY2d 452; *People v Charleston*, 56 NY2d 886; *People v Balls*, 69 NY2d 641; *People v Tonge*, 93 NY2d 838; *People v Kello*, 96 NY2d 740; *People v Santiago*, 52 NY2d 865; *People v Halm*, 81 NY2d 819; *People v Galloway*, 54 NY2d 396; *People v Seit*, 86 NY2d 92; *People v Smith*, 82 NY2d 731.)

OPINION OF THE COURT

PIGOTT, J.

The issue on this appeal is whether the People met their burden of establishing a valid inventory search of defendant's vehicle. We hold that they did.

On June 7, 2008, defendant was arrested for operating a motor vehicle while under the influence of alcohol. Pursuant to police

protocol, defendant and his vehicle were taken to the police precinct. An officer conducted an inventory search of the vehicle, during which he recovered a loaded .357 Magnum revolver and ammunition. Defendant was charged with criminal possession of a weapon in the second degree (Penal Law § 265.03 [3]) in addition to operating a motor vehicle while under the influence of alcohol (Vehicle and Traffic Law § 1192 [3]).

Prior to trial, defendant moved to suppress the weapon as a result of an illegal search. At the suppression hearing, the officer who conducted the inventory testified at length. He explained that it was custom and procedure for the police to impound a vehicle if the person arrested for driving while under the influence of alcohol is the registered owner. The officer, who had done “several, dozens” of inventory searches, testified that the purpose of the search was to inventory “everything” before the vehicle was taken to the impound lot.

Prior to completing the inventory, defendant’s sister, a police officer, arrived at the precinct and the officer released some of the items from defendant’s vehicle to her at her request. The officer recorded this in his memo book without specifically identifying each item. Defendant’s sister then signed the memo book. The officer admitted at the hearing that no authority exists for an officer to remove property from a vehicle and give it to a family member, but explained that it was customary for him, and the New York City police in general, to give family members property, as a courtesy, in similar circumstances.

A copy of the relevant pages of the New York City Police Department’s Patrol Guide was entered into evidence at the hearing. The officer explained that, pursuant to this procedure, the property recovered during the search that remained at the precinct was listed on a property voucher or in his memo book.

The officer then testified that, while searching the back seat, he noticed that panels were askew. He admitted that he looked into the panels because he was “looking for evidence of narcotics in a place where [he knew] criminals hid[] narcotics.” Nothing was found. When the officer opened the trunk, he found that audio speakers and an amplifier filled the entire cargo area, and he retrieved a screwdriver to remove the equipment. He testified that because the speakers were not “factory-issued” the vehicle would not be accepted at the impound facility unless they were removed. After removing the equipment, he checked the spare tire compartment where he found a black leather bag containing the gun and ammunition.

Supreme Court, finding the search to be valid, denied defendant's motion to suppress (25 Misc 3d 1228[A], 2009 NY Slip Op 52332[U] [Sup Ct, NY County 2009]). Defendant was thereafter convicted, after a jury trial, of criminal possession in the second degree and sentence was imposed. The Appellate Division affirmed (89 AD3d 505 [1st Dept 2011]). A Judge of this Court granted defendant leave to appeal (19 NY3d 965 [2012]).

Defendant argues that the manner in which the officer conducted his inventory search was not proper and thus the entire search was invalid. He contends that the purpose of the search was not only to inventory its contents, but to search for contraband. He also claims that because the officer did not follow all the written standard procedures for conducting the inventory search, the entire search was illegal. We disagree.

Our jurisprudence in this area is clear. Following a lawful arrest of a driver of a vehicle that is required to be impounded, the police may conduct an inventory search of the vehicle. The search is "designed to properly catalogue the contents of the item searched" (*People v Johnson*, 1 NY3d 252, 256 [2003]). However, an inventory search must not be "a ruse for a general rummaging in order to discover incriminating evidence" (*id.*). To guard against this danger, the search must be conducted pursuant to an established procedure "clearly limiting the conduct of individual officers that assures that the searches are carried out consistently and reasonably" (*id.*, citing *People v Galak*, 80 NY2d 715, 719 [1993]). "While incriminating evidence may be a consequence of an inventory search, it should not be its purpose" (*Johnson*, 1 NY3d at 256). The People bear the burden of demonstrating the validity of the inventory search (*see People v Gomez*, 13 NY3d 6, 11 [2009]).

[1] Here the People proffered written guidelines, the officer's testimony regarding his search of the vehicle, and the resulting list of items retained. Although defendant takes issue with the officer's removal of the speakers by arguing that such action was a ruse designed to search for drugs, the officer's testimony that it was police protocol to remove any owner-installed equipment, was accepted by the hearing court and we perceive no grounds upon which to overturn that determination. Thus, the People met their burden of establishing that the search was in accordance with procedure and resulted in a meaningful inventory list.

[2] The fact that the officer did not follow the written police procedure when he gave some of the contents of the vehicle to

defendant's sister without itemizing that property, did not invalidate the search. Notably, it was defendant himself who called his sister to come to the precinct to retrieve his property. The primary objectives of the search—to preserve the property of defendant, to protect the police from a claim of lost property and to protect the police and others from dangerous instruments—were met when the officer complied with defendant's request and gave the items to his sister and then prepared a list of the other items retained by the police.

[3] Finally, it is clear the officer's intention for the search was to inventory the items in the vehicle. It was reasonable for the officer to check in the seat panels that were askew as part of his inventory. The fact that the officer knew that contraband is often hidden by criminals in the panels did not invalidate the entire search.

Having considered defendant's remaining contentions, we find them without merit.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). The officer's search of a vehicle which involved intentional violations of the police department's official vehicle inventory guidelines, the surrender of property from the vehicle to a third party in abrogation of those guidelines, the exclusion of that property from the official inventory list, and a warrantless search for narcotics, and which culminated in the complete physical disassembly of the contents of the trunk compartment, exceeded the bounds of a permissible warrantless search. I therefore dissent from the majority opinion's conclusion that such conduct is permissible so long as part of an asserted "inventory" of an impounded vehicle.

It is well established that "searches conducted outside the judicial process, without prior approval by judge or magistrate, are per se unreasonable under the Fourth Amendment—subject only to a few specifically established and well-delineated exceptions" (*Katz v United States*, 389 US 347, 357 [1967]; see also *United States v Jeffers*, 342 US 48, 51 [1951]). While an inventory search is an exception to the warrant requirement (see *People v Sullivan*, 29 NY2d 69, 77 [1971]), the term "inventory search" is not a euphemism for a fishing expedition for incriminating materials (see *People v Johnson*, 1 NY3d 252, 256 [2003]; *People v Galak*, 80 NY2d 715, 719 [1993]). For an inventory search to be valid it must "be conducted pursuant to 'an

established procedure clearly limiting the conduct of individual officers that assures that the searches are carried out consistently and reasonably' ” (*Johnson*, 1 NY3d at 256, quoting *Galak*, 80 NY2d at 719). To protect against the conversion of a valid inventory search into a warrantless search, where police “rummag[e] in order to discover incriminating evidence” (*Florida v Wells*, 495 US 1, 4 [1990]), “[t]he procedure must be standardized so as to ‘limit the discretion of the officer in the field’ ” (*Johnson*, 1 NY3d at 256, quoting *Galak*, 80 NY2d at 719). Such cabining of the officer’s discretion ensures that “[a]n inventory search is exactly what its name suggests, a search designed to properly catalogue the contents of the item searched” (*Johnson*, 1 NY3d at 256).

Here, the officer conducting the search admitted that when he turned over some of defendant’s property to his sister, he did so without authorization, and in violation of the guidelines.¹ Further, he admitted that he failed to properly inventory all of the items he released to her, also a violation of the guidelines, which require that the officer conducting the inventory “[r]emove all valuables from the vehicle and voucher on a separate **PROPERTY CLERK’S INVOICE**” (NY City Police Dept Patrol Guide Procedure No. 218-13 [“Inventory Searches of Automobiles and Other Property”] [hereinafter guidelines]). The guidelines could not be clearer, given this unmistakable directive to produce a list on a specified official form.

The officer not only violated the guidelines’ procedure for securing and listing property found in the vehicle, but he failed to create a meaningful inventory list—“the hallmark of an inventory search” (*Johnson*, 1 NY3d at 256). Although an inventory list may be meaningful even though not detailed (*see e.g. People v Walker*, 20 NY3d 122, 127 [2012]), it would defy logic to permit an officer to create an inventory list that explicitly excludes property turned over to a third party in contravention of official policy. It is one thing to summarize items, even in the most general of terms, and it is quite another to have a partial listing that intentionally excludes personal items removed in large bags from the vehicle and turned over to someone else. As we have stated previously, “[a]rbitrary decision-making about what to seize, no less than arbitrary decision-making about

1. It is irrelevant that the officer released the property to defendant’s sister. Nothing in the facts suggest that by permitting his sister to take some of his property defendant waived protections afforded under the Constitution against warrantless searches.

what to search, creates unacceptable risks of unreasonableness in an inventory search policy” (*Galak*, 80 NY2d at 721).

If the officer’s transgressions were limited to his violations of the guidelines by his release of defendant’s property to his sister, and the failure to list that property, then this exercise of unauthorized discretion might very well be insufficient support for defendant’s motion to suppress. However, there was other conduct which, along with this failure to comply with the guidelines, in my opinion, supports suppression.

Here, the officer admitted that his search for items to inventory transformed into a deliberate and typical warrantless search for drugs. The officer conducting the search testified, and the trial court found, that when he saw the vehicle’s seat panels were “askew” he specifically looked inside them for narcotics. Nothing in the record supports a conclusion that once the search for contraband in one section of the vehicle (the askew panels) proved fruitless, the search of any other section of the vehicle (i.e., the trunk) regained its status under the protective cover of a valid inventory. “While incriminating evidence may be a consequence of an inventory search, it should not be its purpose” (*Johnson*, 1 NY3d at 256).

Having failed to find any contraband in the interior of the vehicle during the admitted warrantless search, the officer then proceeded to search the trunk by fully disassembling its contents. This search of items attached to the vehicle’s interior casts further doubt on the inventory nature of the vehicle search. There is no dispute as to the condition of the trunk, its contents and the officer’s actions. The contents were described as speakers physically attached to the interior, large “[e]nough to take up the entire trunk space.” The officer admitted that in order to remove the speakers he had to unscrew them, disconnect them and remove the wiring, a process that required him leaving the vehicle to find a screwdriver, and which took time and effort to complete. The officer described this process as “laborious.” In other words, this was not a simple collection and removal of items for cataloguing purposes. Thus, the alleged “inventory” nature of the search of the remaining parts of the vehicle is questionable in light of the assiduousness of the officer’s deconstruction of the trunk, completed on the heels of his admitted search for narcotics in the interior of the vehicle.

As the majority notes, it is the People’s burden to demonstrate the validity of the inventory search (majority op at 272,

citing *People v Gomez*, 13 NY3d 6, 11 [2009]). There is nothing in the record to support a finding that the officer here followed proper protocol in dismantling the trunk's contents. The trial court found that the officer testified he removed the speakers because they were not an original part of the automobile and would not have been accepted by the pound. Where the officer admitted to a flagrant digression from the guidelines, conducted a warrantless search for drugs in the seat pockets, followed by a time-consuming disassembling of the trunk's contents, I would require more than the officer's statements that he was following protocol, or that the property would not be accepted at the pound. After all, the guidelines contemplate that some items may be left in the vehicle.² Thus, his testimony and the written guidelines at least suggest that the officer did not have a full and correct understanding concerning items that could be left in the vehicle, and whether a full dismantling of an attached speaker system was permissible as part of the inventory.

Today's decision has the potential to encourage officers to ignore established written police protocols, and use the opportunity provided by circumstances supporting a valid inventory search to instead exercise discretion in such a way as to convert a valid vehicle inventory into a constitutionally impermissible warrantless search. Therefore, I dissent.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge RIVERA dissents in an opinion; Judge ABDUS-SALAAM taking no part.

Order affirmed.

2. The guidelines state that an officer may force open certain compartments, including the trunk, only if this can be accomplished with minimal damage, and also states that the officer may list "[p]roperty of little value that is left inside the car," in the officer's activity log (NY City Police Dept Patrol Guide Procedure No. 218-13). Thus, it is not accurate that everything must be removed during the inventory.

[992 NE2d 1059, 970 NYS2d 716]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GRADY
HAMPTON, Appellant.

Argued April 23, 2013; decided June 4, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 21, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (Jerald S. Carter, J., at trial; Daniel Palmieri, J., at posttrial motions and sentencing; *see* 27 Misc 3d 492 [2010]), which had convicted defendant, upon a jury verdict, of murder in the second degree and criminal possession of a weapon in the second degree (two counts).

People v Hampton, 85 AD3d 1055, affirmed.

HEADNOTES

Judges — Review of Matter Pending before Judge of Coordinate Jurisdiction — Review of Transcript of Oral Argument of Motion — Lack of Prejudice

1. Judiciary Law § 21 does not bar a substitute judge from deciding a question of law presented in a motion argued orally before another judge so long as a transcript or recording of the prior argument is available for review, and the substitute indicates on the record the requisite familiarity with the proceedings and no undue prejudice occurs to the parties. Thus, section 21 did not mandate a mistrial or that a pending motion be reargued orally in front of a substitute judge, where the trial judge had reserved decision on the criminal defendant's motion for a trial order of dismissal at the close of proof but, following the verdict convicting defendant and before the trial judge's decision on the motion, the trial judge recused himself and the case was reassigned to the substitute judge. First, the legal sufficiency of the prosecution's case presented a pure question of law. A verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt. Questions of quality or the weight to be given to the proof are not to be considered in such an evaluation. Next, the substitute judge made it clear in his decision that he had reviewed and was familiar with the prior proceedings in the case. Finally, defendant demonstrated no prejudice. Although the original trial judge may have expressed some reservations about the proof, nothing in the Judiciary Law entitles a defendant to have a particular judge decide a motion.

Crimes — Verdict — Sufficiency of Evidence — Internal Consistency of Witness's Testimony

2. In a prosecution for murder and criminal possession of a weapon, there was legally sufficient evidence to support defendant's convictions in light of the testimony of five witnesses, taken together with cell phone records. A legal

sufficiency review requires evaluation of the evidence in the light most favorable to the People, and it must be assumed that the jury credited the People's witnesses and gave the prosecution's evidence the full weight it might reasonably be accorded. The testimony of one prosecution witness was not incredible as a matter of law. Incredibility as a matter of law may result when all of the evidence of guilt comes from a single prosecution witness who gives irreconcilable testimony pointing both to guilt and innocence. However, the witness in question did not provide internally inconsistent testimony, and she was not the source of all of the evidence of defendant's guilt. While her testimony differed in some respects from that of other, primarily defense, witnesses, resolution of such inconsistencies was for the jury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 212, 618, 627; AM JUR 2d, Evidence § 1387; AM JUR 2d, Judges §§ 36, 39, 40.
CARMODY-WAIT 2d, Officers of Court §§ 3:51, 3:57, 3:59;
CARMODY-WAIT 2d, Trial Order of Dismissal §§ 198:3, 198:4, 198:8; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:34, 207:149, 207:169, 207:170, 207:172.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.2.
MCKINNEY'S, CPL 470.05 (2); Judiciary Law § 21.
NY JUR 2d, Courts and Judges § 320; NY JUR 2d, Criminal Law: Procedure §§ 2706-2712, 2857, 3637, 3643, 3644.

ANNOTATION REFERENCE

Substitution of judge in state criminal trial. 45 ALR5th 591.

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POINTS OF COUNSEL

Frankie & Gentile, P.C., Mineola (*Joseph A. Gentile* of counsel), for appellant. I. It was error and a violation of Judiciary Law § 21 for a substitute judge to adjudicate and decide a trial order of dismissal motion which had been argued and litigated before the original trial court judge who subsequently recused himself from the litigation. (*Smith v State of New York*, 214 NY 140; *Evans v State of New York*, 29 AD2d 611; *Matter of Connelly-Logal v West*, 272 AD2d 920; *Gayle v Port Auth. of N.Y. & N.J.*, 6 AD3d 183; *Michel v Michel*, 31 AD2d 313; *People v Cameron*, 194 AD2d 438; *State of New York v General Elec. Co.*, 215 AD2d 928; *People v Hooper*, 22 AD2d 1006; *Clover-East*

Assoc. v Bachler, 23 AD2d 620; *Morris-Imhoff v State of New York*, 22 Misc 3d 545.) II. The testimony of Shamiqia Nelson is legally insufficient to support the conviction for homicide and weapons possession in this case. (*People v Danielson*, 9 NY3d 342; *People v Brun*, 58 AD3d 862; *People v Acosta*, 80 NY2d 665; *People v Diaz*, 201 AD2d 580; *People v Carthrens*, 171 AD2d 387; *People v Garcia*, 237 AD2d 42; *People v Contes*, 60 NY2d 620; *People v Arroyo*, 54 NY2d 567.)

Kathleen M. Rice, District Attorney, Mineola (*Barbara Kornblau*, *Tammy J. Smiley* and *Judith R. Sternberg* of counsel), for respondent. I. To the extent defendant's arguments concerning the legal sufficiency of the evidence were not raised during trial, they are unpreserved for review as a matter of law. In any event, the evidence was legally sufficient to prove defendant's guilt beyond a reasonable doubt. (*People v Hawkins*, 11 NY3d 484; *People v Hines*, 97 NY2d 56; *People v Gray*, 86 NY2d 10; *People v Santi*, 3 NY3d 234; *Jackson v Virginia*, 443 US 307; *People v Ramos*, 19 NY3d 133; *People v Bleakley*, 69 NY2d 490; *People v Malizia*, 62 NY2d 755; *People v Calabria*, 3 NY3d 80; *People v Jackson*, 65 NY2d 265.) II. Defendant has waived and failed to preserve for review his argument that even purely legal issues may not be determined by a substitute judge. In any event, Judiciary Law § 21 did not preclude the substitute judge from ruling on purely legal matters raised in defendant's CPL 330.30 motion. (*People v Danielson*, 9 NY3d 342; *Cohen v Hallmark Cards*, 45 NY2d 493; *People v Brun*, 58 AD3d 862; *People v Spellman*, 233 AD2d 254; *People v Beecher*, 225 AD2d 943; *People v Turner*, 212 AD2d 1000; *People v Contes*, 60 NY2d 620; *People v Sabella*, 35 NY2d 158; *People v Carter*, 63 NY2d 530; *Gayle v Port Auth. of N.Y. & N.J.*, 6 AD3d 183.)

OPINION OF THE COURT

READ, J.

We hold that Judiciary Law § 21 does not bar a substitute judge from deciding a question of law presented in a motion argued orally before another judge so long as a transcript or recording of the prior argument is available for review, and “the substitute indicates on the record the requisite familiarity with the proceedings and no undue prejudice occurs to the defendant or the People” (*People v Thompson*, 90 NY2d 615, 621 [1997]). Put another way, section 21 does not mandate a mistrial or that the pending motion be reargued orally in front of the substitute judge.

I.

On December 18, 2007, defendant Grady Hampton was at the house in Uniondale, New York where he lived with family members and his girlfriend of five years, Martinique (Nikki) G. After getting off from work at 4:00 p.m., Nikki returned to the house to get ready for her night school class at 5:45 p.m. She had intended to drive defendant's car, but the tank was low on gas, and defendant would not give Nikki money to fill it up. In front of defendant, in the bedroom they shared, Nikki telephoned Kareem S. (Kareem), a friend since childhood. Cell phone records show this call was made at 4:57 p.m.

Nikki asked Kareem if he would give her a lift to her class, which he agreed to do. About a year before, while Nikki was dating defendant, she had engaged in a short-lived affair with Kareem. Defendant, who had heard rumors of this sexual relationship, left the room before Nikki finished the phone call. There was no love lost between defendant and Kareem; Nikki acknowledged they exchanged "dirty looks" when they encountered one another.

Kareem arrived in short order to pick up Nikki. There were two passengers in his car—his then girlfriend, Sharnae M. (Sharnae), who sat in the front passenger seat, and a friend, Joel D. (Joel), who sat in the backseat, directly behind Sharnae. Kareem parked across the street from defendant's house; either shortly before or just after arriving, he called Nikki on his cell phone to alert her he was there. Cell phone records show this call was placed at 5:03 p.m.

Nikki walked across the street to Kareem's car. Kareem removed his jacket and other items from the backseat to make room for Nikki and her belongings, which she placed there; he opened the trunk of the car. Meanwhile, Nikki walked back across the street to defendant's parked car to retrieve her pocketbook. As she put the key into the car lock, she heard three or four gunshots and ducked down.

When the shooting stopped, Nikki saw Kareem staggering with his hands up before falling to the ground. Sharnae and Joel, who had remained inside Kareem's car, also heard the gunshots. Joel heard Kareem say, "yo, yo, chill, chill" as he stumbled backwards. Through the rear window (the trunk was still open, narrowing his field of view), Joel glimpsed a tall, thin figure, dressed all in black, including a black hoodie, running away from the car. Later that evening, Sharnae, while seated in

a police car, saw defendant walking down the street and into a house a few doors down from his own. He sported an Afro and was wearing a black hoodie.

Kareem was taken by ambulance to the hospital, where he was pronounced dead. He suffered gunshot wounds to the chest, back, and buttocks; the shots to his chest and back, both described as “lethal” by the medical examiner, perforated his heart and lungs. The chest wound was inflicted from a distance of an inch or less. Kareem was 19 years old.

Shamiquia N. (Shamiquia) saw defendant on the day of the shooting, both before and later, when he arrived at the house where she was living with her boyfriend and his family. This residence is located a few doors down from defendant’s house. Defendant had changed his appearance from earlier in the day by taking his cornrow braids out and styling his hair in an Afro. Shamiquia overheard defendant say that he shot Kareem because Nikki “tested his manhood,” and that he “put [the gun] in the woods.”

In the summer of 2008, defendant was arrested and charged with intentional murder (Penal Law § 125.25 [1]) for the killing of Kareem, and second-degree weapon possession (Penal Law § 265.03 [1] [b]; [3]) (two counts) in connection with this crime. After his arrest, defendant was interrogated by a police detective. When confronted with cell site records contradicting his account of when he left his house before the shooting and where he went,¹ defendant changed his story. He also conceded that he knew that Kareem and Nikki “were having sex.” Further, in response to the detective’s comment that everyone makes mistakes, defendant replied that “sometimes people make big mistakes.” According to the detective, defendant’s eyes were watery and he put his head down in his hands. The detective took a break, during which defendant’s attorney called and further questioning ceased.

Defendant’s first trial resulted in a hung jury and mistrial; he was re-tried in September 2009 in a jury trial presided over by Supreme Court Justice Jerald S. Carter. After the close of the People’s case, defense counsel moved to dismiss the charges, arguing that defendant’s identity as the shooter had not been established. The People opposed the motion, and Justice Carter reserved decision. The defense then called five witnesses to

1. Cell site records also contradicted statements that Nikki made to the police tending to distance defendant from the crime.

testify in defendant's behalf. These witnesses were family members and friends who disputed parts of Shamiqia's testimony. At the close of all the proof, defense counsel again moved for a trial order of dismissal. The judge reserved decision, commenting that he harbored "concerns" about whether or not the People had met their burden.

The jury convicted defendant of the crimes charged. The following colloquy took place between the judge and defense counsel after the jurors left the courtroom:

"THE COURT: . . . I know you may have a motion. But do you want to make it now, or [do you] wish to put it on papers?

"[DEFENSE COUNSEL]: Regarding a trial order of dismissal that you reserved?

"THE COURT: I suggest that you put that on papers.

"[DEFENSE COUNSEL]: All right."

The judge then set a date for sentencing.

After the jury verdict was handed down, an article about defendant's conviction appeared in Long Island Newsday. As Justice Carter explained on the record at the previously scheduled sentencing hearing, this publicity prompted "a telephone call from an individual advising" him that Kareem, the victim, "was the nephew of a good friend of [his] and also a former associate minister of [his] church, which was unknown to [him] during the course of the trial." Justice Carter immediately notified the attorneys of his discovery; he ultimately concluded that the "relationship [he had] with the uncle render[ed his] appearance in this case a conflict." The judge noted there was a motion that defense counsel wished to file, and also "a further application . . . with respect to a mistrial, as to the fact that this case was tried, and now, because of the outstanding motion, apparently is not going to be decided by the judge who tried the case." Justice Carter set dates for defendant's motion and the People's reply. On December 2, 2009, he issued an order recusing himself and referring the case to the supervising judge.

In the meantime, defense counsel filed a motion seeking an order granting his prior applications for a trial order of dismissal (CPL 290.10 [1]) or, alternatively, setting aside the jury verdict based upon lack of evidence (CPL 330.30 [1]). He also

requested a mistrial “[s]hould the Judge actually recuse [himself] from deciding [this motion], which is [his] stated intent,” citing Judiciary Law § 21. This provision says that

“[a] judge other than a judge of the court of appeals, or of the appellate division of the supreme court, shall not decide or take part in the decision of a question, which was argued orally in the court, when he was not present and sitting therein as a judge” (Judiciary Law § 21).

Defense counsel took the position that because “[t]he issue before [the] Court . . . , although in writing now, was first argued orally before [Justice Carter] at the appropriate stages of the trial” and the written motion involved “issues of fact and credibility[,] . . . only the Judge who heard and witnessed the testimony of the witnesses at the trial [could] rule on the factual and legal issues” presented.

The People opposed the motion. They argued that the evidence was legally sufficient and Judiciary Law § 21 did not foreclose a substitute judge from deciding the pending motion, which raised purely legal questions and did not permit determinations of credibility. In reply, defendant insisted that a trial judge must assess witness credibility when making a legal sufficiency determination. And since Justice Carter was unavailable to decide the pending motion on account of his recusal, defendant urged that a mistrial was the only option.

In a decision and order dated February 17, 2010, Acting Supreme Court Justice Daniel R. Palmieri, the judge to whom the case was reassigned, denied defendant’s motion (27 Misc 3d 492 [Sup Ct, Nassau County 2010]). As to the Judiciary Law claim, Justice Palmieri determined that, because a motion to set aside a verdict concerns only questions of law, a substitute judge familiar with the proceedings could decide it and, thus, a mistrial was not warranted. He declared that he had “read and become familiar with the entire record of the trial . . . submitted by the parties,” consisting of “the complete trial transcript, including all recorded colloquy, legal arguments and rulings” (*id.* at 495, 496). Upon applying the standard for assessing legal sufficiency to the evidence at hand, Justice Palmieri concluded that the People had presented a legally sufficient case to the jury that defendant committed the crimes for which he was convicted. He subsequently sentenced defendant to concurrent terms of imprisonment of 20 years to life on the murder conviction and 10 years on the gun possession convictions, to be followed by five years of postrelease supervision.

Defendant appealed, arguing that his conviction should be reversed and the indictment dismissed because the evidence was legally insufficient to prove his guilt. He also protested that he was entitled to a new trial because his original oral motion for a trial order of dismissal was argued before Justice Carter, and Judiciary Law § 21 barred any other judge from deciding the subsequently-filed written motion.

In a decision and order entered on June 21, 2011, the Appellate Division unanimously affirmed (85 AD3d 1055 [2d Dept 2011]). The court held that Judiciary Law § 21 did not prevent Justice Palmieri from deciding defendant's motion because " 'purely legal questions were involved, all discussion was recorded in the minutes, and the successor Judge was not called upon to weigh conflicting testimony or assess credibility' " (85 AD3d at 1056, quoting *Plunkett v Emergency Med. Serv. of N.Y. City*, 234 AD2d 162, 163 [1996]). The Appellate Division further ruled that the evidence, viewed in the light most favorable to the prosecution, as was required, was legally sufficient to establish defendant's guilt beyond a reasonable doubt, and that his conviction was not against the weight of the evidence. A Judge of this Court granted defendant leave to appeal (18 NY3d 924 [2012]), and we now affirm.²

II.

In *Thompson*, a judge became incapacitated while presiding over a jury trial. When another judge was assigned to finish the trial, the defendant objected that Judiciary Law § 21 precluded this, and argued that a mistrial was therefore required. We concluded that Judiciary Law § 21

"does not prevent the substitution of a Judge in a jury trial since *the ultimate determination of guilt or innocence belongs to the jury and not the Trial Judge*.

"Generally, a Judge may be substituted for another

2. The People contend that defendant did not preserve the argument he now makes that Judiciary Law § 21 prohibits a substitute judge from deciding questions argued orally before another judge, even where the issue in dispute is purely legal in nature. In fact, defendant did not state this basis for his objection in the trial court. Nonetheless, Justice Palmieri "expressly decided the question raised on appeal" in response to defendant's objection (*see* CPL 470.05 [2]; Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 470.05 at 10-11 [2009 ed], citing *People v Hawkins*, 11 NY3d 484 [2008] and *People v Prado*, 4 NY3d 725 [2004]).

. . . as long as the substitute *indicates on the record the requisite familiarity with the proceedings and no undue prejudice occurs to the defendant or the People*” (90 NY2d at 621 [emphases added]).

There were no motions or decisions outstanding when the substitution was made in *Thompson*. At the time we handed down our decision, though, there was Appellate Division authority for applying Judiciary Law § 21 “not only to oral argument of motions, but to the taking of testimony” (*People v Cameron*, 194 AD2d 438, 438 [1st Dept 1993] [suppression motion], citing *Michel v Michel*, 31 AD2d 313 [4th Dept 1969] [support proceeding where the testimony was heard by two different judges]). Our decision implicitly accepts this premise, and interprets section 21 by looking at whether the replacement judge will be asked to make factual determinations, as opposed to reaching legal conclusions, and overall fairness.

This is the same general approach taken by the First Department in *Plunkett*. There, plaintiffs made an oral application to set aside a jury verdict, and the court directed the parties to brief and submit their positions for his consideration. The judge thereafter informally indicated that the motion should be denied, but he died before making a decision. On appeal, the First Department concluded that

“[i]n the circumstances presented, it was not error for the successor Judge to consider the motion to set aside the verdict. Since purely legal questions were involved, all discussion was recorded in the minutes, and the successor Judge was not called upon to weigh conflicting testimony or assess credibility, Judiciary Law § 21 would not preclude its reconsideration” (234 AD2d at 163).

The trial judge here relied on the rule articulated in *Plunkett*, which the Second Department adopted when affirming his decision. *Plunkett* is arguably at odds with language in the First Department’s earlier decision in *Cameron* (as defendant argues), although not the facts: in *Cameron*, the substitute judge was asked to decide an outstanding motion in a suppression hearing, where credibility determinations would have been involved. Moreover, in *Weiss v City of New York* (277 AD2d 36 [1st Dept 2000]), the First Department held that a judge assigned a case after the original judge retired should have decided a restored motion to reargue, citing *Plunkett*.

The Third and Fourth Departments have also considered section 21 in the context of motion practice. In *State of New York v General Elec. Co.* (215 AD2d 928 [3d Dept 1995]), the Third Department found the bar of section 21 applicable to a discovery motion decided by a successor judge on the papers after oral argument to his predecessor, who retired before deciding the motion. The court cited *Cameron* and *Michel*. The Fourth Department remitted for a new coram nobis hearing in *People v Hooper* (22 AD2d 1006 [4th Dept 1964]), and reversed in *Clover-East Assoc. v Bachler* (23 AD2d 620 [4th Dept 1965]), where the order appealed from denied an application to strike the case from the jury calendar and direct a nonjury trial. In *People v Nenni* (261 AD2d 900 [4th Dept 1999]), the judge who heard the defendant's omnibus motion granted his request for a suppression hearing, but the successor judge later denied suppression without a hearing. The Fourth Department held that the first judge's decision was law of the case and added that the successor judge, who was not present for oral argument, was prohibited from deciding the motion by virtue of Judiciary Law § 21, citing *Cameron* and *Hooper*. The court remitted for a suppression hearing.

In sum, this Court and the Appellate Divisions have rarely reversed on the basis of Judiciary Law § 21, or its predecessor statutes,³ in a case where a substitute trial judge decided a purely legal question. The other side of the coin is that the Appellate Division has remanded for further proceedings where the substitute judge was required to weigh conflicting testimony he did not hear or assess credibility of witnesses he did not view, as is the case, for example, with respect to a suppression motion. Finally, in *Thompson* we emphasized overall fairness. We specified that the substitute judge must have reviewed the record of the prior proceedings and substantiate that he did this, and that there could be no undue prejudice to the parties resulting from the substitution.

3. Judiciary Law § 21 derives from statutes adopted in the mid-nineteenth century—i.e., in the days before oral arguments were routinely transcribed (much less recorded) (*see generally* McKinney's Cons Laws of NY, Book 29, Judiciary Law § 21, Historical and Statutory Notes at 127). The legislature amended the law in 1850 to include an exception for arguments in the Court of Appeals (*see* Throop, Code of Civil Procedure, § 46 at 20 [1877]). This exception was subsequently expanded to cover the Appellate Division. Further, "the word 'orally' [was] added" to the statute as originally enacted "because taking part in the decision of a cause submitted [was] not within the [statute's] intent" (*id.*).

[1] Looking at the facts of this case through the lens of *Thompson* and *Plunkett*, we conclude that Judiciary Law § 21 did not bar Justice Palmieri from ruling on the motion at issue. First, legal sufficiency presents a pure question of law; specifically,

“[a] verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt. A sufficiency inquiry requires a court to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof” (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks and citations omitted]).

Questions of quality or the weight to be given to the proof are not to be considered in such an evaluation (*see People v Sabella*, 35 NY2d 158, 167 [1974]).⁴ This is also the case when deciding a motion to set aside the verdict (*see People v Carter*, 63 NY2d 530, 536-537 [1984]). Trial judges are prohibited from setting aside a verdict as against the weight of the evidence (*id.* at 536). This power is reserved to the Appellate Division, which essentially sits as a thirteenth juror (*see Danielson*, 9 NY3d at 348 [discussing the nature and parameters of the Appellate Division’s weight-of-the-evidence review]).

Next, Justice Palmieri made clear in his decision that he had reviewed and was familiar with the prior proceedings in the case. And, of course, he had the benefit of the parties’ motion papers, submitted after Justice Carter indicated his intention to recuse himself. Finally, defendant has shown no prejudice. It is not sufficient that Justice Carter may have expressed some reservations about the proof, leading defendant to speculate that Justice Carter might have issued a favorable ruling. Nothing in the Judiciary Law entitles a defendant to have a particular judge decide a motion.⁵

4. To the extent defendant still argues that a trial judge must make factual and credibility determinations when deciding a trial order of dismissal, this is simply not correct.

5. We note that even if we had decided that Judiciary Law § 21 was violated

(n. cont’d)

III.

[2] Reaching the merits of defendant's motion, we conclude that legally sufficient evidence supports his convictions. Again, a legal sufficiency review requires evaluation of the evidence in the light most favorable to the People. We must assume that the jury credited the People's witnesses and gave the prosecution's evidence the full weight it might reasonably be accorded. Here, the testimony of Nikki, Sharnae, Joel, Shamiqia and the detective, as well as the cell site evidence, taken together, was legally sufficient to support defendant's convictions for murder and weapon possession.

Defendant principally complains that Shamiqia's testimony was incredible as a matter of law.

"Incredibility as a matter of law may result '[w]hen all of the evidence of guilt comes from a single prosecution witness who gives irreconcilable testimony pointing both to guilt and innocence,' because in that event 'the jury is left without basis, other than impermissible speculation, for its determination of either' " (see *People v Calabria*, 3 NY3d 80, 82 [2004], quoting *People v Jackson*, 65 NY2d 265, 272 [1985]).

But Shamiqia did not provide internally inconsistent testimony, and she was not the source of "all of the evidence of [defendant's] guilt." While her testimony differed in some respects from that of other witnesses (primarily defense witnesses), resolution of such inconsistencies is for the jury (*Jackson*, 65 NY2d at 272).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order affirmed.

in this case, the remedy would have been remittal for a new oral argument and decision at the trial level, subject to appellate review, not a mistrial as defendant contends.

[993 NE2d 393, 970 NYS2d 907]

GREATER NEW YORK TAXI ASSOCIATION et al., Respondents, v
STATE OF NEW YORK et al., Appellants, and LIVERY BASE
OWNERS INC. et al., Intervenors-Appellants.

TAXICAB SERVICE ASSOCIATION et al., Respondents, v STATE OF
NEW YORK et al., Appellants, and LIVERY BASE OWNERS INC.,
et al., Intervenors-Appellants.

METROPOLITAN TAXICAB BOARD OF TRADE et al., Respondents,
and THE LIVERY ROUNDTABLE, INC., et al., Intervenors-
Respondents, v MICHAEL R. BLOOMBERG, as Mayor of the
City of New York, et al., Appellants, and LIVERY BASE OWN-
ERS INC., et al., Intervenors-Appellants.

Argued and submitted April 24, 2013; decided June 6, 2013

SUMMARY

APPEALS, in the first above-entitled action, on constitutional grounds, from a judgment of the Supreme Court, New York County (Arthur F. Engoron, J.; *see* 2012 NY Slip Op 32221[U] [2012]), entered September 12, 2012. The judgment, insofar as appealed from, nullified chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012, and declared that it violated NY Constitution, article IX, § 2 (b) (2) (Municipal Home Rule Clause) and NY Constitution, article III, § 17 (Exclusive Privileges Clause).

APPEALS, in the second above-entitled action, on constitutional grounds, from a judgment of the Supreme Court, New York County (Arthur F. Engoron, J.; *see* 2012 NY Slip Op 32221[U] [2012]), entered September 7, 2012. The judgment, insofar as appealed from, nullified chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012, and declared that it violated NY Constitution, article IX, § 2 (b) (2) (Municipal Home Rule Clause).

APPEALS, in the third above-entitled action, on constitutional grounds, from a judgment of the Supreme Court, New York County (Arthur F. Engoron, J.; *see* 2012 NY Slip Op 32221[U] [2012]), entered September 12, 2012. The judgment, insofar as appealed from, nullified chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012, and declared that it violated NY Constitution, article IX, § 2 (b) (2) (Municipal Home Rule Clause), NY Constitution, article IX, § 2 (b) (1) (Double Enactment Clause), and NY Constitution, article III, § 17 (Exclusive Privileges Clause).

HEADNOTES**Constitutional Law — Validity of Statute — Statute Regulating Medallion Taxicabs and Livery Vehicles in City of New York — Municipal Home Rule Clause**

1. Chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012 (HAIL Act), which regulates medallion taxicabs and livery vehicles and addresses certain mobility deficiencies in the City of New York, does not violate NY Constitution, article IX, § 2 (b) (2) (Municipal Home Rule Clause). Although the HAIL Act is a special law and the Municipal Home Rule Clause could be read to direct that a home rule message was required before the Act's enactment, there is an exception to that requirement where the State possesses a substantial interest in the subject matter and the enactment bears a reasonable relationship to the legitimate, accompanying substantial State concern. In addressing the lack of yellow cabs within the Manhattan central business district that are accessible to the disabled and the general shortage of available yellow cab and livery vehicle transportation in underserved areas of the City, the HAIL Act addresses a substantial state concern. Efficient transportation services in the State's largest city and international center of commerce are important to the entire State. Moreover, the Act bears a reasonable relationship to that substantial State concern. It consists of a series of interlocking provisions to address its stated purposes. The delegation of a portion of the Act's implementation to the Mayor pursuant to section 8 of the Act was within the State legislature's purview and did not transfer any of the City Council's powers to the Mayor. Section 9's requirement calling for the Taxi and Limousine Commission's establishment of a grant program to distribute up to \$54 million in grants for the purchase or retrofitting of accessible HAIL vehicles does not interfere with the City Council's budgeting authority. Nor does section 23 of the Act, which requires that penalties for violations of the Act be transferred to the entity that issued the summons for a HAIL vehicle violation, intrude on the City's finances, as the City maintains control over the funds derived from its law enforcement entities that enforce the Act, while the New York State Police receive monies for the summonses they issue.

Constitutional Law — Validity of Statute — Statute Regulating Medallion Taxicabs and Livery Vehicles in City of New York — Double Enactment Clause

2. Chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012 (HAIL Act), which regulates medallion taxicabs and livery vehicles and addresses certain mobility deficiencies in the City of New York, does not violate NY Constitution, article IX, § 2 (b) (1) (Double Enactment Clause). It has not been demonstrated that the HAIL Act "repealed, diminished, impaired or suspended" any power in "a statute of local governments" so as to require reenactment and approval of the Act the year after it was enacted. The HAIL Act, which addresses the lack of yellow cabs within the Manhattan central business district that are accessible to the disabled and the general shortage of available yellow cab and livery vehicle transportation in underserved areas of the City, addresses a matter of substantial state concern and bears a reasonable relationship to that concern. The Double Enactment Clause is no more exacting on the limits of state power than the Municipal Home Rule Clause, which the Act does not violate.

Constitutional Law — Validity of Statute — Statute Regulating Medallion Taxicabs and Livery Vehicles in City of New York — Exclusive Privileges Clause

3. Chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012 (HAIL Act), which regulates medallion taxicabs and livery vehicles and

addresses certain mobility deficiencies in the City of New York, does not violate NY Constitution, article III, § 17 (Exclusive Privileges Clause). The Exclusive Privileges Clause, which targets monopolies, may only be violated if the private or local bill is directed at a single entity and it confers a privilege upon the single entity to the exclusion of all others. The HAIL Act's licensing provisions apply to a class consisting of close to 60,000 livery vehicle drivers and owners. Although the Act provides that within the first three years of the first issuance, HAIL licenses may be issued only to owners of for-hire vehicles or for-hire drivers who have been licensed by the Taxi and Limousine Commission (TLC) for at least one year and are in good standing with the TLC (HAIL Act § 5 [b]), that does not limit the number of people who may obtain one. In order to qualify, all one needs to do is obtain a TLC license, operate a livery vehicle for one year and maintain good standing with the TLC. Thus, the number of persons who are able to obtain HAIL licenses will likely vary over time. That is not the type of "exclusivity" that the clause was meant to prohibit.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 109–116, 127.
McKINNEY'S, NY Const, art III, § 17; art IX, § 2 (b) (1), (2).
NY JUR 2d, Constitutional Law § 381; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 116, 117, 154, 156, 157; NY JUR 2d, Statutes §§ 32, 34.

ANNOTATION REFERENCE

See ALR Index under Constitutional Law; Home Rule; Municipal Corporations; Taxicabs.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Scott Shorr, Leonard J. Koerner and Francis F. Caputo of counsel), for Michael R. Bloomberg and others, appellants in the first, second and third above-entitled actions. I. Because the HAIL Act furthers, and bears a direct and reasonable relationship to, the State's substantial concern with New York City's for-hire transportation system, the Act did not require a home rule message. (Patrolmen's Benevolent Assn. of City of N.Y. v City of New York, 97 NY2d 378; Adler v Deegan, 251 NY 467; Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.,

46 NY2d 358; *City of New York v State of New York*, 94 NY2d 577; *Matter of Kelley v McGee*, 57 NY2d 522; *Bugeja v City of New York*, 24 AD2d 151, 17 NY2d 606; *Wambat Realty Corp. v State of New York*, 41 NY2d 490; *People v Grant*, 306 NY 258; *New York State Pub. Empls. Fedn., AFL-CIO v City of Albany*, 72 NY2d 96; *City of New York v Rice*, 198 NY 124.) II. Because the HAIL Act involves a substantial state interest, the state constitution did not require double enactment. (*Wambat Realty Corp. v State of New York*, 41 NY2d 490; *Floyd v New York State Urban Dev. Corp.*, 33 NY2d 1.) III. The HAIL Act does not grant for-hire vehicle drivers, owners or base stations unconstitutional exclusive privileges. (*Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *Matter of Union Ferry Co. of Brooklyn*, 98 NY 139; *City of Rochester v Gutberlett*, 211 NY 309; *Matter of New York El. R.R. Co.*, 70 NY 327; *Matter of Corning v Donohue*, 37 AD2d 213, 29 NY2d 209; *Fox v Mohawk & Hudson Riv. Humane Socy.*, 165 NY 517; *American Consumer Indus. v City of New York*, 28 AD2d 38; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Trustees of Exempt Firemen's Benevolent Fund of City of N.Y. v Roome*, 93 NY 313; *People v Griswold*, 213 NY 92.)

Eric T. Schneiderman, Attorney General, New York City (Richard Dearing, Barbara D. Underwood, Andrew W. Amend and Claude S. Patton of counsel), for State of New York and others, appellants in the first and second above-entitled actions and intervenor-appellant in the third above-entitled action. I. The legislature acted well within its constitutional authority in ensuring access to safe and reliable transportation for millions of New York City residents and visitors. (*Wambat Realty Corp. v State of New York*, 41 NY2d 490; *People v De Jesus*, 54 NY2d 465; *Matter of Town of Islip v Cuomo*, 64 NY2d 50; *Matter of Kelley v McGee*, 57 NY2d 522; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Adler v Deegan*, 251 NY 467; *City of New York v State of New York*, 67 Misc 2d 513, 31 NY2d 804; *New York Steam Corp. v City of New York*, 268 NY 137; *Bugeja v City of New York*, 24 AD2d 151, 17 NY2d 606; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 97 NY2d 378.) II. The HAIL Act does not give present holders of livery licenses a monopoly prohibited by the Exclusive Privileges Clause. (*Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *Matter of Union Ferry Co. of Brooklyn*, 98 NY 139; *Trustees of Exempt Firemen's Benevolent Fund of City of N.Y. v Roome*, 93 NY 313; *Fox v Mohawk & Hudson Riv. Humane Socy.*, 165 NY 517; *19th St. Assoc. v State of New York*,

172 AD2d 380, 79 NY2d 434; *Matter of New York El. R.R. Co.*, 70 NY 327; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *People v Knox*, 12 NY3d 60; *City of Rochester v Gutberlett*, 211 NY 309.)

Greenberg Taurig, LLP, New York City (*Stephen L. Saxl, Israel Rubin* and *Ryan F. Harsch* of counsel), for Livery Base Owners Inc. and another, intervenors-appellants in the first, second and third above-entitled actions. I. Because the state legislature enacted the Street Hail Livery Law in furtherance of the substantial state interest in New York City's for-hire transportation system, and the Act bears a direct and reasonable relationship to that substantial state interest, the Act did not require a home rule message. (*Adler v Deegan*, 251 NY 467; *Wambat Realty Corp. v State of New York*, 41 NY2d 490; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 97 NY2d 378; *City of New York v State of New York*, 94 NY2d 577; *City of New York v State of New York*, 67 Misc 2d 513, 31 NY2d 804; *Uniformed Firefighters Assn. v City of New York*, 50 NY2d 85; *Matter of Town of Islip v Cuomo*, 64 NY2d 50; *Robertson v Zimmermann*, 268 NY 52; *Bugeja v City of New York*, 24 AD2d 151, 17 NY2d 606; *City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380.) II. Because the Street Hail Livery Law involves a substantial state interest, the state constitution did not require double enactment. (*Wambat Realty Corp. v State of New York*, 41 NY2d 490.) III. The Street Hail Livery Law does not grant unconstitutional exclusive privileges to livery drivers or owners. (*Matter of Union Ferry Co. of Brooklyn*, 98 NY 139; *Fox v Mohawk & Hudson Riv. Humane Socy.*, 165 NY 517; *American Consumer Indus. v City of New York*, 28 AD2d 38; *Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *City of Rochester v Gutberlett*, 211 NY 309.)

Mintz & Gold LLP, New York City (*Steven G. Mintz* and *Lisabeth Harrison* of counsel), for respondents in the first above-entitled action. I. The HAIL Act violates the Home Rule Clause of the state constitution. (*City of New York v State of New York*, 94 NY2d 577; *Wambat Realty Corp. v State of New York*, 41 NY2d 490; *City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380; *Adler v Deegan*, 251 NY 467; *Matter of New York El. R.R. Co.*, 70 NY 327; *Newell v People*, 7 NY 9; *Matter of Osborn v Cohen*, 272 NY 55; *Matter of Town of Islip v Cuomo*, 64 NY2d 50; *New York Steam Corp. v City of New York*, 268 NY 137; *Bugeja v City of New York*, 24 AD2d 151, 17 NY2d 606.) II. The HAIL Act violates the Double Enactment Clause of

the state constitution. (*Wambat Realty Corp. v State of New York*, 41 NY2d 490; *Floyd v New York State Urban Dev. Corp.*, 33 NY2d 1; *People v Rathbone*, 145 NY 434; *Newell v People*, 7 NY 9.) III. The HAIL Act violates the Exclusive Privileges Clause of the state constitution. (*Wambat Realty Corp. v State of New York*, 41 NY2d 490; *19th St. Assoc. v State of New York*, 79 NY2d 434.)

Gibson, Dunn & Crutcher LLP, New York City (*Randy M. Mastro, Akiva Shapiro, Paul Kremer and Seth Rokosky* of counsel), for respondents in the second above-entitled action. I. The State does not have a substantial interest in private transportation in New York City; and there are no other substantial state interests advanced by the HAIL Act. (*City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380; *Adler v Deegan*, 251 NY 467; *Matter of McAneny v Board of Estimate & Apportionment of City of N.Y.*, 232 NY 377; *Matter of Osborn v Cohen*, 272 NY 55; *Admiral Realty Co. v City of New York*, 206 NY 110; *Salzman v Impellitteri*, 203 Misc 486, 305 NY 414; *Noel v New York City Taxi & Limousine Commn.*, 687 F3d 63; *Freidman v General Motors Corp.*, 721 F Supp 2d 218; *Matter of Rudack v Valentine*, 163 Misc 326; *Robertson v Zimmermann*, 268 NY 52.) II. There is no "reasonable relationship" between the HAIL Act and the interests it allegedly advances. (*City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 97 NY2d 378; *City of New York v Village of Lawrence*, 250 NY 429; *Adler v Deegan*, 251 NY 467; *New York Steam Corp. v City of New York*, 268 NY 137; *Bugeja v City of New York*, 24 AD2d 151; *Robertson v Zimmermann*, 268 NY 52; *Metropolitan Transp. Auth. v County of Nassau*, 28 NY2d 385; *City of New York v State of New York*, 31 NY2d 804; *Wambat Realty Corp. v State of New York*, 41 NY2d 490.)

Emery Celli Brinckerhoff & Abady LLP, New York City (*Richard D. Emery* of counsel), for respondents in the third above-entitled action. I. The HAIL Act is an unconstitutional infringement on New York City's power of home rule. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 97 NY2d 378; *City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380; *Baldwin v City of Buffalo*, 6 NY2d 168; *Matter of Mayor of City of N.Y.*, 246 NY 72; *Adler v Deegan*, 251 NY 467; *Matter of Osborn v Cohen*, 272 NY 55; *Matter of Torsoe Bros. Constr. Corp. v Board of Trustees of Inc. Vil. of Monroe*, 49 AD2d 461; *Suffolk County Bldrs. Assn. v County of Suffolk*, 46

NY2d 613; *Matter of United States Steel Corp. v Gerosa*, 7 NY2d 454; *City of New York v Village of Lawrence*, 250 NY 429.) II. The HAIL Act violates the Exclusive Privileges Clause of the state constitution. (*19th St. Assoc. v State of New York*, 172 AD2d 380, 79 NY2d 434; *Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *Matter of Henneberger*, 155 NY 420; *Fox v Mohawk & Hudson Riv. Humane Socy.*, 165 NY 517; *Matter of New York El. R.R. Co.*, 70 NY 327; *Matter of Union Ferry Co. of Brooklyn*, 98 NY 139; *People v Griswold*, 213 NY 92; *City of Rochester v Gutberlett*, 211 NY 309; *Matter of Corning v Donohue*, 37 AD2d 213, 29 NY2d 209; *City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380.)

The Shanker Law Firm, P.C., New York City (Steven J. Shanker of counsel), and *Davis Wright Tremaine LLP* (Robert Balin of counsel) for intervenors-respondents in the third above-entitled action. The HAIL Act is an unconstitutional intrusion into local government affairs in violation of home rule. (*Baldwin v City of Buffalo*, 6 NY2d 168; *Adler v Deegan*, 251 NY 467; *City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380; *Matter of Mayor of City of N.Y.*, 246 NY 72; *City of New York v Village of Lawrence*, 250 NY 429; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 63 AD2d 157, 46 NY2d 358.)

Office of the Manhattan Borough President, New York City (Andrew L. Kalloch of counsel), for Manhattan Borough President Scott M. Stringer in the first, second and third above-entitled actions, amicus curiae. I. The constitutional history of home rule in New York shows that while municipal governments exercise control over purely local affairs, the state retains plenary authority over issues of statewide concern. (*Hunter v Pittsburgh*, 207 US 161; *Adler v Deegan*, 251 NY 467; *Robertson v Zimmermann*, 268 NY 52; *Berenson v Town of New Castle*, 38 NY2d 102.) II. Transportation in the City of New York and its surrounding counties is clearly a matter of substantial state concern. (*Giuliani v Council of City of N.Y.*, 181 Misc 2d 830; *Matter of New York City Comm. for Taxi Safety v New York City Taxi & Limousine Commn.*, 256 AD2d 136; *People v Kerr*, 27 NY 188; *City of New York v State of New York*, 94 NY2d 577; *Whelan v Wagner*, 4 NY2d 575; *Morin v Foster*, 45 NY2d 287.) III. New York City exercises considerable control over the implementation of the HAIL Act. (*New York Steam Corp. v City of New York*, 268 NY 137; *Sonmax, Inc. v City of New York*, 43 NY2d 253.) IV. The HAIL Act will fundamentally transform taxi

service in northern Manhattan, the Bronx, Queens, Brooklyn, and Staten Island, and will vastly improve accessibility in the New York City metropolitan area. (*Noel v New York City Taxi & Limousine Commn.*, 687 F3d 63.) V. Courts have historically shown due deference toward the legislature. (*City of New York v State of New York*, 76 NY2d 479; *Matter of Board of Supervisors of Ontario County v Water Power & Control Commn.*, 227 App Div 345, 255 NY 531; *Robertson v Zimmermann*, 268 NY 52; *Elmwood-Utica Houses v Buffalo Sewer Auth.*, 65 NY2d 489; *Matter of Taylor v Sise*, 33 NY2d 357.)

OPINION OF THE COURT

PIGOTT, J.

At issue on this appeal is the constitutionality of chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012 (“HAIL Act”), which regulates medallion taxicabs (or “yellow cabs”) and livery vehicles, vital parts of New York City’s transportation system. The Act’s stated aim is to address certain mobility deficiencies in the City of New York, namely: the lack of accessible vehicles for residents and nonresidents with disabilities; the dearth of available yellow cabs in the four boroughs outside Manhattan (“outer boroughs”), where residents and nonresidents must instead rely on livery vehicles; and the sparse availability of yellow cab service outside Manhattan’s central business district¹ and the two Queens airports, locations where close to 95% of yellow cabs pick up their customers (*see* Sponsor’s Mem, Bill Jacket, L 2012, ch 9).

I

Because the HAIL Act arguably affects the yellow cab and livery vehicle enterprises in significant ways, we first address the traditional distinctions between them before addressing the substance of the Act itself. Both enterprises are regulated by the Taxi and Limousine Commission (TLC), but are subject to different rules of operation.

Yellow cabs operate under a transferable license or medallion, which is a numbered plate issued by the TLC that is affixed to the outside of a taxicab as physical evidence that the taxicab has been licensed to operate as a medallion taxicab (*see* 35 RCNY 51-03). These cabs are metered vehicles that must charge uniform rates (*see* Administrative Code of City of NY §§ 19-502

1. The central business district is the part of Manhattan that is south of East 96th Street and West 110th Street (*see e.g.* HAIL Act § 4 [c]).

[k]-[l]; 19-514 [a]; 35 RCNY 58-38). They possess the exclusive right to pick up passengers pursuant to street “hails” from any location in the City (*see* Administrative Code of City of NY § 19-504 [a] [1]).

In 1956, the New York State Legislature delegated to the City Council the discretionary authority to register, license and limit the number of yellow cabs, and to establish ordinances and regulations regulating parking and passenger pick-up and discharges (*see* General Municipal Law § 181 [1], [2]; *see also* NY City Charter § 2303 [b] [4]).² Prior to 1996, the City Council had capped the number of medallions that the TLC was permitted to issue at 11,787. Between 1996 and 2008, the City Council approved the issuance of 1,450 additional medallions, resulting in a total of 13,237. Given the limited supply of medallions, their value has increased yearly and the competition for obtaining one is fierce. Moreover, according to the TLC, out of the 13,237 issued medallions, only 231 are cabs that are accessible to people with disabilities.

In contrast to yellow cabs, livery vehicles are prohibited from picking up street hails and may accept passengers only on the basis of telephone contract or other prearrangement (*see* Administrative Code of City of NY § 19-507 [a] [4]). The livery client contacts a “base station” that dispatches a livery vehicle to the requested location (Administrative Code of City of NY § 19-511). However, this has not prevented some livery vehicles from illegally accepting street hails, where the price of the fare is not regulated. As with yellow cabs, a substantial number of livery vehicles are ill-equipped to provide service to persons with disabilities.

II

Enacted by the New York State Legislature in the latter part of 2011 and the early part of 2012, the HAIL Act creates, among other things, a “HAIL License Program” that calls for the TLC to issue 18,000 “**H**ail **A**ccessible **I**nter-borough **L**icenses” allowing “for-hire vehicles,”³ i.e., livery vehicles, to accept street

2. Because the sale of medallions above their administrative cost implicates the New York State Legislature’s taxing power, the City Council must first obtain legislative approval before auctioning the medallions (*see* NY Const, art XVI, § 1).

3. A “for-hire vehicle” is “a motor vehicle carrying passengers for-hire in the city, with a seating capacity of twenty passengers or less, not including the

(n. cont’d)

hails in the outer boroughs and those areas in Manhattan outside its central business district (HAIL Act §§ 4 [b]; 5 [a]). TLC-licensed yellow cabs retain “the exclusive right . . . to pick up passengers via street hail in such areas of the city of New York wherein HAIL license holders are prohibited from accepting such passengers” (*id.* § 11). The Act demarcates these areas—Manhattan’s central business district and the two Queens airports—as the “HAIL Exclusionary Zone” (*id.* § 4 [c]).

Livery vehicles without a HAIL license are permitted to accept prearranged calls from a base station established pursuant to New York City Administrative Code § 19-511 inside the HAIL Exclusionary Zone, while livery vehicles possessing a HAIL license may accept prearranged calls outside the HAIL Exclusionary Zone and at airports (*id.* § 5 [f]). HAIL vehicles,⁴ however, may not accept prearranged calls within the HAIL Exclusionary Zone (*id.* § 4 [c]). Drivers with a valid HAIL license who accept street hails in areas where such vehicles are not permitted to do so are subject to various penalties (*id.* §§ 25, 26; see Administrative Code of City of NY § 19-506 [k], [l]).

The Act calls for HAIL licenses to be distributed in increments of 6,000 over three years, with 20% of the first 6,000 earmarked for accessible vehicles⁵ (*id.* § 5 [b]). Subject to a “HAIL market analysis,” which the TLC must prepare and submit to the City Council and the New York State Department of Transportation “examining HAIL vehicle rider demand, shortages and the need for adequate and affordable transportation” (*id.* § 6), the TLC may issue up to 6,000 HAIL licenses in the second and third years (“second issuance” and “third issuance,” respectively) (*id.* § 5 [b]). The second and third issuances are likewise subject to the 20% accessibility requirement unless the TLC, having conducted a study and issued a report relative

driver, *other than a taxicab*, coach, commuter van or an authorized bus operating pursuant to applicable provisions of law” (HAIL Act § 4 [d] [emphasis supplied]).

4. A “HAIL vehicle” is “a for-hire vehicle having a taximeter and a TLC-sanctioned trip record system and [is] subject to a HAIL license” (HAIL Act § 4 [f]).

5. Accessible vehicles are “for-hire” vehicles that are “designed for the purpose of transporting persons in wheelchairs or contain[] a physical device or alteration designed to permit access to and enable the transportation of persons in wheelchairs in accordance with the Americans with Disabilities Act” (HAIL Act § 4 [a]).

to “the accessibility of vehicles with HAIL licenses in the Disabled Accessibility Plan,”⁶ recommends a different percentage (*id.*; see HAIL Act § 10). HAIL licenses issued during the first, second and third years will cost \$1,500, \$3,000 and \$4,500, respectively (*id.* § 5 [d]).

In order to introduce accessible vehicles into the HAIL vehicle fleet, the TLC must launch a program that provides “grants to purchasers of HAIL licenses restricted to accessible vehicles as provided in [HAIL Act § 9 (b)]” or provide “vehicles to purchasers of HAIL licenses restricted to accessible vehicles on affordable and financially feasible terms” (HAIL Act § 9 [a] [i], [ii]). HAIL Act § 9 (b) provides that “[p]urchasers of hail licenses restricted to accessible vehicles . . . shall be eligible to apply for grants” of up to \$15,000 to apply toward either the purchase of “an accessible vehicle for use as a HAIL vehicle” or toward “retrofitting a vehicle to be an accessible vehicle,” with the total amount of such grants not to exceed \$54 million.

As it relates to yellow cabs, the Act creates an “Accessible Taxicab Program,” which allows the Mayor to administratively authorize the TLC to issue by public sale up to 2,000 taxicab licenses (or medallions) that are restricted to vehicles designated for the purpose of transporting persons in wheelchairs or containing a physical device or alteration designed to permit access to and enable the transportation of persons in wheelchairs in accordance with the Americans with Disabilities Act (*see* HAIL Act § 8). The Act states that not more than 400 of such licenses may be issued until the Disabled Accessibility Plan is approved by the New York State Department of Transportation. Moreover, the Mayor’s authority to issue these licenses is conditioned upon the TLC making both the HAIL licenses in section 5 of the Act and the “hail privilege vehicle permits” authorized pursuant to section 4 of chapter 602 of the Laws of 2011 available for issuance. These new accessible taxicabs will possess the exclusive right to pick up passengers via street hail from any location within the city of New York where HAIL license holders are prohibited from accepting such passengers (*id.* § 11).

6. The “Disabled Accessibility Plan” is, among other things, a “comprehensive plan” that provides “an accessibility plan (i) that will lead to meaningful accessibility over a period of years for individuals with disabilities to all taxicabs, for-hire vehicles and HAIL vehicles through gradual phase-in of accessible vehicles to the taxicab, for-hire vehicle and HAIL vehicle transport system” (HAIL Act § 10 [a]).

Finally, as relevant here, the Act contains what has been termed a “poison pill.” It “shall be construed as a whole, and all parts of it shall be read and construed together” such that “[i]f any part” of or any amendment made to it by chapter 9 of the Laws of 2012 “shall be adjudged by any court of competent jurisdiction to be invalid, the remainder of [the] act shall be invalidated and shall be deemed to have not taken effect” (L 2011, ch 602, § 6, as amended by L 2012, ch 9, § 3).

III

Plaintiffs, who are medallion owners and their representatives, an association of credit union lenders and credit unions that finance medallion purchases, and a member of the New York City Council, challenge the HAIL Act on the ground that regulation of yellow cab and livery enterprises has always been a matter of local concern. All plaintiffs claim that the Act violates NY Constitution, article IX, § 2 (b) (2) (“Municipal Home Rule Clause”). Certain plaintiffs allege that the Act violates NY Constitution, article IX, § 2 (b) (1) (“Double Enactment Clause”) and NY Constitution, article III, § 17 (“Exclusive Privileges Clause”).

Shortly after the Governor signed the Act, plaintiffs commenced these actions against defendants, all seeking, among other relief, judgments declaring the Act unconstitutional and seeking injunctions against the Act’s implementation. At plaintiffs’ request, Supreme Court issued an order temporarily restraining the State from implementing any section of the Act.⁷ The parties moved to either dismiss the complaint or for summary judgment. As relevant here, Supreme Court granted plaintiffs’ motions, entered judgments nullifying the Act, and declaring that it violated the Municipal Home Rule, Double Enactment and Exclusive Privileges Clauses of the New York Constitution (*see* 2012 NY Slip Op 32221[U] [2012]). These direct appeals are before us on CPLR 5601 (b) constitutional grounds, the parties having stipulated that they would not appeal the nonconstitutional claims decided adversely to them by Supreme Court.

IV

The Municipal Home Rule Clause grants local governments considerable independence relative to local concerns. Just as

7. Supreme Court also granted the motions of certain livery car companies to intervene on behalf of plaintiffs and defendants.

there are affairs that are exclusively those of the State, “[t]here are some affairs intimately connected with the exercise by the city of its corporate functions, which are city affairs only” (*Adler v Deegan*, 251 NY 467, 489 [1929, Cardozo, Ch. J., concurring]). Nonetheless, “[a] zone . . . exists . . . where State and city concerns overlap and intermingle” (*id.*).

Enacted to protect the autonomy of local governments, the Municipal Home Rule Clause allows the legislature to

“act in relation to the property, affairs or government of any local government only by general law, or by special law only (a) on request of two-thirds of the total membership of its legislative body or on request of its chief executive officer concurred in by a majority of such membership” (NY Const, art IX, § 2 [b] [2]).

Subdivision (a)’s directives are commonly referred to as the “home rule message” requirement because whenever a special law is enacted, it should be at the locality’s request.

As plaintiffs point out, the HAIL Act is a special law, i.e., it is a law that “in terms and in effect applies to one or more, but not all . . . cities” (NY Const, art IX, § 3 [d] [4]). Although the Municipal Home Rule Clause could be read to direct that a home rule message was required before the Act’s enactment, there is an exception to that requirement where the State possesses a “substantial interest” in the subject matter and “the enactment . . . bear[s] a reasonable relationship to the legitimate, accompanying substantial State concern” (*City of New York v Patrolmen’s Benevolent Assn. of City of N.Y.*, 89 NY2d 380, 391 [1996] [*PBA I*]; see *Empire State Ch. of Associated Bldrs. & Contrs., Inc. v Smith*, 21 NY3d 309 [2013] [decided today]; *Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 97 NY2d 378, 386 [2001] [*PBA II*]). The latter requirement serves “as a corollary to the constitutional balancing of overlapping local and state interests requiring that the ‘subjects of State concern [be] *directly* and substantially involved’ ” (*PBA I*, 89 NY2d at 391, quoting *Adler*, 251 NY at 490).

Plaintiffs challenge the Act on the ground that the State lacks a substantial interest in the regulation of the yellow cab and livery enterprises in the City, claiming that such regulation has historically been within the province of the City itself. Although the State has delegated certain powers to the City Council

concerning the regulation of yellow cabs (*see* General Municipal Law § 181), that does not mean that it has surrendered its authority to regulate in that area, particularly where the proposed regulation promotes a substantial state interest (*see e.g. Adler*, 251 NY at 488 [Cardozo, Ch. J., concurring] [noting that the power to regulate tenements “was subject in its creation to the overriding action of the State”]).

Our review concerning what constitutes a substantial state interest is not dependent on what historically has been the domain of a given locality. Rather, our determination is dependent on the “stated purpose and legislative history of the act in question” (*PBA I*, 89 NY2d at 392; *see City of New York v State of New York*, 94 NY2d 577, 590 [2000] [conducting a substantial state interest analysis of a special law rescinding a state tax on resident commuters by looking at the legislation’s “stated justification” and legislative history]; *PBA II*, 97 NY2d at 389 [finding a special law constitutional because it expressly stated “the substantial State concern sought to be addressed” and ensured that the law was “rationally related to that concern”]; *Matter of Town of Islip v Cuomo*, 64 NY2d 50, 53-54 [1984] [reviewing the legislative history of a special law limiting the disposal of solid waste by landfill in Suffolk and Nassau counties]; *Matter of Kelley v McGee*, 57 NY2d 522, 539-540 [1982] [reviewing legislation concerning salaries of District Attorneys]).

In the cases where we have found a special law to be unconstitutional, we have done so, in part, because the legislation failed to identify a substantial state interest and/or the legislative history did not support the State’s reason for enacting it (*see PBA I*, 89 NY2d at 392-393 [reviewing legislative history only after recognizing that the legislation failed to “expressly identify any State concern motivating its enactment,” and concluding that the statute bore no reasonable relationship to the state concern asserted during litigation]; *Matter of Osborn v Cohen*, 272 NY 55, 59 [1936] [finding no “foundation in the record” that the establishment and control of fire departments are matters of state concern]).

[1] We conclude that the HAIL Act addresses a matter of substantial state concern. This is not a purely local issue. Millions of people from within and without the State visit the City annually. Some of these visitors are disabled, and will undoubtedly benefit from the increase in accessible vehicles in the Manhattan central business district and in the outer boroughs. The Act is for the benefit of all New Yorkers, and not merely

those residing within the City. Efficient transportation service in the State's largest city and international center of commerce is important to the entire State. The Act plainly furthers all of these significant goals.

Section one of the Act explains “that the public health, safety and welfare of the residents of the state of New York *traveling to, from and within* the city of New York is a matter of substantial state concern, including access to safe and reliable mass transportation such as taxicabs” (HAIL Act § 1 [emphasis supplied]). The Act is aimed at accommodating able-bodied and disabled residents and nonresidents of the City who “do not currently have sufficient access to legal, licensed taxicabs available for street hails.” Specifically as it relates to residents and nonresidents with disabilities, the legislature concluded that only 1.8% of yellow cabs are accessible, and that an even smaller percentage of the approximately 23,000 livery vehicles are so equipped. The lack of accessible yellow cabs and livery vehicles impacts residents and nonresidents by “inhibit[ing] their basic daily activities” and preventing them “from being able to rely on the street hail system to get to a destination quickly, particularly in an emergency, or to travel to a location not near a subway or bus stop” (*id.*). Thus, it cannot be said that the legislature has offered only “speculative assertions” concerning the “possible State-wide implications of the subject matter” (*PBA I*, 89 NY2d at 391).

Plaintiffs find significance in the fact that in the years between 1996 and 2008 when the New York State Legislature approved the issuance of 1,450 new medallions, it did so only after the City Council issued a home rule message requesting such an increase. However, the fact that the legislature has previously entertained home rule messages in this field “is not determinative of the issue before us—whether such messages were constitutionally required” (*City of New York*, 94 NY2d at 591 [citation omitted]). Indeed, that the City Council must make a request to the legislature in order to issue and sell new medallions at a market rate only underscores that the State has an interest in the regulation of yellow cab services.

As its sponsor explained, the Act's purpose is to “allow the City to implement a taxi plan that will more effectively service all five boroughs of New York City and greatly increase the availability of accessible taxicabs and for-hire vehicles” (Sponsor's Mem, Bill Jacket, L 2012, ch 9). The issues the Act addresses are the lack of yellow cabs within the Manhattan

central business district that are accessible to the disabled and the general shortage of available yellow cab and livery vehicle transportation in underserved areas of the city, i.e., outside Manhattan's central business district and the two airports.

Plaintiffs next assert that the stated reasons for the Act's enactment must be viewed skeptically because it was not enacted until after negotiations broke down between the Mayor and City Council concerning the increase in taxicab and livery vehicle service in the underserved areas. However, we need not speculate on the legislature's motives "as a judicial construct for statutory analysis" and, instead, must direct our attention to whether the legislature acted within its constitutional purview in passing the legislation (*City of New York*, 94 NY2d at 591). To that end, we conclude that the Act addresses a substantial state interest.

That does not end the inquiry, however, because in order to be upheld as constitutional, the Act must "bear a reasonable relationship" to that state concern (*PBA I*, 89 NY2d at 391). As we explain in *Empire State Ch. of Associated Bldrs. & Contrs., Inc.*, (21 NY3d 309 [2013]), this requirement serves to establish that the legislation does in fact advance the asserted state interest, i.e. that the state interest is bona fide, not merely pretextual (*see PBA I* at 393). We conclude that a reasonable relationship exists. The Act consists of a series of interlocking provisions to address its stated purposes. The potential issuance of 18,000 HAIL licenses, dispersed in equal amounts over three years, will allow livery vehicles to legally accept street hails from residents and nonresidents in the outer boroughs and in Manhattan outside its central business district. That 20% of the first 6,000 HAIL licenses must be earmarked for accessible vehicles advances the state interest in providing street hail vehicles in those areas for residents and visitors with disabilities. To ensure that the market does not become saturated, the Act gives the TLC the authority to issue an additional 12,000 HAIL licenses once it conducts a market analysis to determine whether the issuance of additional HAIL licenses is necessary. Furthering the legislature's goals, the Act also allows HAIL licensees to apply for grants that will enable them to either purchase accessible vehicles or retrofit existing vehicles to meet the accessibility requirements.

Addressing the legislative finding concerning the lack of accessible yellow cabs in Manhattan's central business district, the Act permits the Mayor to "administratively authorize" the

TLC, an executive branch commission, to publicly sell up to 2,000 additional medallions that are restricted to accessible yellow cabs operating within zones where HAIL licensees are prohibited from accepting street hails (HAIL Act § 8). Only 400 of these medallions may be issued initially, with the remainder being issued only after the New York State Department of Transportation approves the Disabled Accessibility Plan as set forth in section 10 of the Act. Construed together, the Act's provisions bear a reasonable relationship to a substantial state interest.

Plaintiffs assert that the Act does not satisfy the “reasonable relationship” prong, claiming that it “eviscerates” the City's separation of powers by transferring to the Mayor the authority to issue up to 2,000 new medallions, and intrudes upon the City's budgeting authority to the extent that it allows the TLC to award \$54 million in grants to HAIL licensees without giving the City Council any input as to how much money should be appropriated. Although it remains an open question whether our home rule analysis requires us to find each individual piece of legislation satisfies a substantial state interest, we address plaintiffs' arguments individually here because the “poison pill” provision contained in section 6 of the Act (L 2011, ch 602, § 6, as amended by L 2012, ch 9, § 3) provides that if one provision fails, the entire Act must fail.

Section 8 of the Act does not “transfer” any of the City Council's powers to the Mayor. Rather, it allows the Mayor to “administratively authorize the TLC” to issue “by public sale” up to 2,000 medallions. This is merely an implementation device and it does not encroach on the City Council's authority under section 2303 (b) (4) of the New York City Charter to issue additional taxicab licenses. As the governing body that passed this Act, it was within the state legislature's purview to delegate a portion of the Act's implementation to the Mayor, whose administrative authorization of the sale of the medallions advances a legitimate goal of this law, by securing accessible vehicles where they are needed most. Therefore, section 8 bears a reasonable relationship to the substantial state interest of increasing the supply of accessible yellow cabs.

It also cannot be reasonably argued that section 9's requirement calling for the TLC's establishment of a grant program to distribute up to \$54 million in grants for the purchase or retrofitting of accessible HAIL vehicles interferes with the City Council's “power of the purse.” First, the requirement furthers

the substantial state interest in providing accessible yellow cabs and livery vehicles and bears a reasonable relationship to those goals. Second, the Act does not direct the Mayor to include these grants in the TLC budget, nor does it direct the City Council to appropriate funds to support such grants. Third, the Act purports to raise revenue through the HAIL licensing fees and the potential auctioning off of the medallions, which may presumably offset the up to \$54 million in grant money.

Nor does section 23 of the Act, which requires that penalties for violations of the Act be “transferred to the entity that issued the summons for [a HAIL vehicle] violation,” intrude on the city’s finances, as plaintiffs suggest. Section 23 provides, in pertinent part, that “[n]otwithstanding the provisions of any other law to the contrary, the New York state police may enforce any laws, rules or regulations related to vehicles with HAIL licenses,” and requires that the commission or tribunal adjudicating liability for a violation pay “the money owed and collected to the entity that issued the summons for the violation.” According to the New York City Charter, however, city revenues and those of the New York City Police Department that are “not required by law to be paid into any other fund or account shall be paid into . . . the ‘general fund’ ” (NY City Charter § 109). In other words, the City maintains control over the funds derived from its law enforcement entities that enforce the Act, while the New York State Police receive monies for the summonses they issue.

Plainly, not only does the Act, including its challenged provisions, address substantial state concerns, but it also “bear[s] a reasonable relationship” to those concerns. Therefore, Supreme Court erred in concluding that the Act violates the Municipal Home Rule Clause.

V

Certain plaintiffs assert that the HAIL Act violates the “Double Enactment Clause,” which states that, with certain exceptions, the legislature:

“Shall enact, and may from time to time amend, a statute of local governments granting to local governments powers including but not limited to those of local legislation and administration in addition to the powers vested in them by this article. A power granted in such statute may be repealed,

diminished, impaired or suspended only by enactment of a statute by the legislature with the approval of the governor at its regular session in one calendar year and the re-enactment and approval of such statute in the following year” (NY Const, art IX, § 2 [b] [1]).

The Double Enactment Clause “was intended to afford localities protection from hasty and ill-considered legislative judgments” but “was not . . . designed as a rigid impenetrable barrier to ordinary legislative enactments in matters of State concern” (*Wambat Realty Corp. v State of New York*, 41 NY2d 490, 491-492 [1977]).

[2] It has not been demonstrated that the Act “repealed, diminished, impaired or suspended” any power in “a statute of local governments.” The Double Enactment Clause is no more exacting on the limits of state power than the Home Rule Clause, and, because we conclude that the Act addresses a substantial state concern, plaintiffs’ Double Enactment Clause argument necessarily fails.

VI

Finally, certain plaintiffs argue that the HAIL Act violates the Exclusive Privileges Clause. That clause provides that “[t]he legislature shall not pass a private or local bill . . . [g]ranting to any private corporation, association or individual any exclusive privilege, immunity or franchise whatever” (NY Const, art III, § 17). The Exclusive Privileges Clause, which targets monopolies, may only be violated if the “private or local bill” is “directed at a single entity” *and* it confers “a privilege upon the single entity to the exclusion of all others” (*Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327, 360-361 and n 27 [2005]).

[3] Plaintiffs claim that the Act grants exclusive privileges to the livery industry at the expense of all others, including the yellow cab industry, because it prohibits members of the yellow cab industry, or members of the general public, from obtaining a HAIL license. According to plaintiffs, because the HAIL Act authorizes the issuance of up to 18,000 licenses and allows only the current livery industry members to purchase them, it grants an exclusive privilege to those members. We disagree.

The licensing provisions apply to a class consisting of close to 60,000 livery vehicle drivers and owners. To be sure, the Act

provides that “[w]ithin the first three years of the first issuance, HAIL licenses may be issued only to owners of for-hire vehicles or for-hire drivers who have been licensed by the TLC for at least one year and are in good standing with the TLC” (HAIL Act § 5 [b]), but that does not limit the number of people who may obtain one. Indeed, in order to qualify, all one needs to do is obtain a TLC license, operate a livery vehicle for one year and maintain good standing with the TLC. Thus, the number of persons who are able to obtain HAIL licenses will likely vary over time. This is not the type of “exclusivity” that the clause was meant to prohibit.

Accordingly, in all three appeals, the judgment of Supreme Court, insofar as appealed from, should be reversed, with costs, and judgment should be granted to defendants declaring that chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012, is constitutional.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and RIVERA concur; Judge ABDUS-SALAAM taking no part.

In each case: Judgment, insofar as appealed from, reversed, with costs, and judgment granted to defendants declaring that chapter 602 of the Laws of 2011, as amended by chapter 9 of the Laws of 2012, is constitutional.

[992 NE2d 1067, 970 NYS2d 724]

EMPIRE STATE CHAPTER OF ASSOCIATED BUILDERS AND CONTRACTORS, INC., et al., Appellants, v M. PATRICIA SMITH, in Her Official Capacity as Commissioner, New York State Department of Labor, et al., Respondents.

Argued April 24, 2013; decided June 6, 2013

SUMMARY

APPEAL, on constitutional and other grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 6, 2012. The Appellate Division, with two Justices dissenting, modified, on the law, a judgment (denominated order) of the Supreme Court, Erie County (Joseph R. Glowonia, J.), which had granted a motion by defendants to dismiss the complaint. The modification consisted of (1) denying defendants' motion to the extent that it had sought dismissal of the complaint, (2) reinstating the complaint insofar as declaratory relief was sought, and (3) granting judgment in favor of defendants by adjudging and declaring that the 2008 amendments to the Wicks Law were valid and constitutional. The Appellate Division affirmed the judgment as modified.

Empire State Ch. of Associated Bldrs. & Contrs., Inc. v Smith, 98 AD3d 335, modified.

HEADNOTES

Municipal Corporations — Home Rule Powers — Special Law Serving Substantial State Concern — Concurrent Authority of State and Local Legislatures

1. The Home Rule section of the State Constitution (art IX, § 2 [b] [2]) does not require an examination into the reasonableness of the distinctions the legislature has made where it has enacted a law of statewide impact on a matter of substantial state concern but has not treated all areas of the state alike. While the language of article IX, § 2 seems broadly to prohibit, in the absence of either a "home rule message" or a certificate of necessity from the governor, the enactment of any special law, i.e., one which applies to one or more, but not all, counties, in relation to the property, affairs or government of any local government, it was long ago recognized that there must be a sizeable area of overlap in which the state legislature acting by special law and local governments have concurrent powers. Article IX, § 3 (a) (3) of the State Constitution, which provides that "Except as expressly provided, nothing in this article shall restrict or impair any power of the legislature in relation to . . . [m]atters other than the property, affairs or government of a local government," is not a mere redundancy. A great deal of legislation relates both to "the property, affairs or government of a local government" and to "[m]atters other than the property, affairs or government of a local government"—i.e., to matters of substantial state concern. Where that is true, section 3 (a) (3),

establishes that section 2 (b) (2) does not prevent the state from acting by special law.

Municipal Corporations — Home Rule Powers — Special Law Serving Substantial State Concern — Reasonableness Analysis Not Required — Public Works Contracts

2. Amendments to the Wicks Law, which requires public entities seeking bids on construction contracts to obtain “separate specifications” for plumbing, electrical and HVAC (heating, ventilating and air conditioning) work where contract costs exceed a certain threshold amount, were not forbidden by the Home Rule section of the State Constitution (art IX, § 2 [b]) notwithstanding that the amendments set differing monetary thresholds for the applicability of the Wicks Law for different counties (L 2008, ch 57, part MM, §§ 1, 2-6, 14) and neither a “home rule message” nor a certificate of necessity from the governor accompanied the legislation. There is a sizeable area of overlap in which the state legislature and local governments have concurrent powers and where there is a matter of substantial state concern the State can act by special law. Inasmuch as it was obvious and undisputed that the manner of bidding on public construction contracts is a matter of substantial state concern, an examination into the reasonableness of the distinctions the legislature made by setting different contract cost thresholds for different counties was not required. The Home Rule provisions were intended to prevent unjustifiable state interference in matters of purely local concern and no such interference occurred here.

Constitutional Law — Interstate Commerce — Challenge to Legislation Favoring In-State over Out-of-State Contractors

3. On a CPLR 3211 motion to dismiss, plaintiffs’ complaint sufficiently alleged that the apprenticeship requirements in the second sentence of Labor Law § 222 (2) (e), which requires contractors bidding on public construction contracts exceeding certain cost thresholds to “participate in apprentice training programs in the trades of work it employs that have been approved by the department [of labor] for not less than three years and shall have graduated at least one apprentice in the last three years and shall have at least one apprentice currently enrolled in such apprenticeship training program,” unconstitutionally excluded out-of-state contractors from some public construction work in New York. The Federal Commerce Clause has a “dormant” aspect, and along with the Privileges and Immunities Clause, limits the power of states to give preferential treatment to their own citizens. If the effect of the second sentence of section 222 (2) (e) is to exclude out-of-state contractors from bidding on certain New York contracts, both the Privileges and Immunities Clause and the dormant Commerce Clause would be violated. While defendants’ contention that the challenged provision does not apply to all projects but only to those projects that are undertaken pursuant to project labor agreements is a reasonable one, and minimizes the constitutional problem, if section 222 (2) (e) unconstitutionally discriminates against out-of-state contractors, it is invalid whether it applies to many projects or to relatively few. From the face of the complaint, the statute and the relevant regulations, it could not be concluded that the apprenticeship requirements were not exclusionary.

Constitutional Law — Equal Protection of Laws — Substantive Due Process — Amendments to Wicks Law

4. Amendments to the Wicks Law which set differing monetary thresholds for the applicability of the law for different counties and establish apprenticeship

requirements applicable to bidders for public contracts (L 2008, ch 57, part MM) did not deprive plaintiffs either of equal protection or of substantive due process under the Federal or State Constitution. The allegations of the complaint did not show that any provision of the amendments to the Wicks Law divided persons into classes, or deprived any person of property, without a rational basis, or that any such provision infringed any plaintiff's fundamental right or intentionally discriminated against a protected class.

Parties — Standing — Citizen Taxpayer Challenge to Amendments to Wicks Law

5. Plaintiffs lacked standing to challenge certain amendments to the Wicks Law which set differing monetary thresholds for the applicability of the law for different counties and establish apprenticeship requirements applicable to bidders for public contracts (L 2008, ch 57, part MM) pursuant to State Finance Law § 123-b, which permits any “citizen taxpayer” to bring an action against a state officer or employee for causing “a wrongful expenditure, misappropriation, misapplication, or . . . other illegal or unconstitutional disbursement of state funds.” To the extent that plaintiffs’ claims related to state expenditures, they were merely claims that state funds were not being spent wisely, not that it was illegal to spend money at all for the questioned activity. Accordingly, plaintiffs failed to allege a sufficient nexus to fiscal activities of the state to allow for section 123-b standing.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Commerce §§ 1, 2, 35–39, 75; AM JUR 2d, Constitutional Law §§ 628, 853–855; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 109, 111, 115, 116; AM JUR 2d, Parties §§ 28, 33; AM JUR 2d, Public Funds §§ 46–49; AM JUR 2d, Taxpayers’ Actions § 7.

CARMODY-WAIT 2d, Taxpayers’ Actions §§ 128:8, 128:9, 128:14, 128:15.

McKINNEY’S, Labor Law § 222 (2) (e); State Finance Law § 123-b; NY Const, art IX, §§ 2 (b) (2); 3 (a) (3).

12 NYCRR 601.4 (a) (5).

NY JUR 2d, Constitutional Law §§ 51, 77, 124, 125, 276, 277, 338, 347, 348; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 116–119, 123–125, 154, 156, 157; NY JUR 2d, Parties § 17; NY JUR 2d, Public Funds §§ 69, 173; NY JUR 2d, Taxpayers’ Actions §§ 8, 9.

ANNOTATION REFERENCE

See ALR Index under Business and Commerce; Due Process; Equal Protection; Home Rule; Public Works and Contracts; Taxpayer Actions.

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POINTS OF COUNSEL

Phillips Lytle LLP, Buffalo (*Timothy W. Hoover*, *Michael B. Powers* and *William J. Simon* of counsel), for appellants. I. The differential thresholds enacted by the 2008 amendments are an invalid and unconstitutional special law, as they were enacted without any reasonable relationship to a substantial statewide concern. (*City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380; *Town of Black Brook v State of New York*, 41 NY2d 486; *Adler v Deegan*, 251 NY 467; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 97 NY2d 378; *Farrington v Pinckney*, 1 NY2d 74; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Lincoln Bldg. Assoc. v Barr*, 1 NY2d 413; *Uniformed Firefighters Assn. v City of New York*, 50 NY2d 85; *Port Jefferson Health Care Facility v Wing*, 94 NY2d 284; *Paterson v University of State of N.Y.*, 14 NY2d 432.) II. The Labor Law § 222 (2) (e) apprenticeship requirements apply to both Wicks Law multi-prime and Wicks Law project labor agreement opt-out contracting, and violate the Privileges and Immunities Clause and the Commerce Clause, as they exclude all out-of-state contractors from all Wicks Law contracting. (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *A.J. Temple Marble & Tile v Union Carbide Marble Care*, 87 NY2d 574; *Squadrito v Griebisch*, 1 NY2d 471; *Feher Rubbish Removal, Inc. v New York State Dept. of Labor, Bur. of Pub. Works*, 28 AD3d 1; *Meghrig v KFC Western, Inc.*, 516 US 479; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Matter of Sbriglio v Novello*, 44 AD3d 1212; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Daimler-Chrysler Corp. v Spitzer*, 7 NY3d 653; *Christensen v Harris County*, 529 US 576.) III. The 2008 amendments violate the Equal Protection and Substantive Due Process Clauses of the New York and United States Constitutions, and State Finance Law § 123-b. (*Massachusetts Bd. of Retirement v Murgia*, 427 US 307; *Alevy v Downstate Med. Ctr. of State of N.Y.*, 39 NY2d 326; *Washington v Glucksberg*, 521 US 702; *Hernandez v Robles*, 7 NY3d 338; *Schnaier v Navarre Hotel & Importation Co.*, 182 NY 83; *Godfrey v Spano*, 13 NY3d 358.)

Eric T. Schneiderman, Attorney General, Albany (*Andrea Oser*, *Barbara D. Underwood* and *Allyson B. Levine* of counsel), for respondents. I. The Appellate Division properly rejected

plaintiffs' home rule challenge to the three-tiered monetary thresholds. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 97 NY2d 378; *Wambat Realty Corp. v State of New York*, 41 NY2d 490; *Matter of Town of Islip v Cuomo*, 64 NY2d 50; *Matter of Kelley v McGee*, 57 NY2d 522; *City of New York v Patrolmen's Benevolent Assn. of City of N.Y.*, 89 NY2d 380; *City of New York v Village of Lawrence*, 250 NY 429; *Baldwin v City of Buffalo*, 6 NY2d 168; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Farrington v Pinckney*, 1 NY2d 74; *Matter of Wood v Irving*, 85 NY2d 238.) II. The Appellate Division properly rejected plaintiffs' equal protection challenge to the tiered monetary threshold. (*Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Affronti v Crosson*, 95 NY2d 713; *Maresca v Cuomo*, 64 NY2d 242; *Port Jefferson Health Care Facility v Wing*, 94 NY2d 284; *Schneider v Sobol*, 76 NY2d 309.) III. The Appellate Division properly rejected plaintiffs' constitutional challenges to Labor Law § 222. (*Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443; *Cohen v State of New York*, 94 NY2d 1; *McGowan v Burstein*, 71 NY2d 729; *United States v Salerno*, 481 US 739; *Alliance of Am. Insurers v Chu*, 77 NY2d 573; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56; *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Washington v Davis*, 426 US 229.) IV. Plaintiffs lack standing to bring a citizen-taxpayer claim, and any such claim lacks merit. (*Rudder v Pataki*, 93 NY2d 273; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Transactive Corp. v New York State Dept. of Social Servs.*, 92 NY2d 579; *Godfrey v Spano*, 13 NY3d 358.)

OPINION OF THE COURT

SMITH, J.

We hold that, where the legislature has enacted a law of statewide impact on a matter of substantial state concern but has not treated all areas of the state alike, the Home Rule section of the State Constitution does not require an examination into the reasonableness of the distinctions the legislature has made.

I

The Wicks Law, originally enacted in 1912, requires public entities seeking bids on construction contracts to obtain "separate specifications" for three "subdivisions of the work to be

performed”—generally, plumbing, electrical and HVAC (heating, ventilating and air conditioning) work (L 1912, ch 514, § 50, now codified in General Municipal Law § 101, Public Housing Law § 151-a, State Finance Law § 135 and elsewhere). The law has long been controversial; public entities have complained that it makes contracting more burdensome and expensive (*see generally* Rosenstein & O’Reilly, *Wicks Law Revisited*, NYLJ, Nov. 13, 2007 at S1). Until 2008, the Wicks Law applied everywhere in the state to contracts whose cost exceeded \$50,000.

This case concerns amendments to the Wicks Law enacted in 2008 that raised the \$50,000 threshold, imposed so-called “apprenticeship requirements” on some public contracting, and made other changes not relevant here (L 2008, ch 57, part MM). The new, higher thresholds, unlike the old one, are not uniform throughout the state. They are \$3 million in the five counties located in New York City; \$1.5 million in Nassau, Suffolk and Westchester Counties; and \$500,000 in the other 54 counties (*see id.* §§ 1, 2-6, 14).

Plaintiffs’ main claim, asserted in their first cause of action, is that the 2008 legislation violates article IX, § 2 of the State Constitution (the Home Rule section) by unjustifiably favoring the eight counties with higher thresholds—i.e., by loosening Wicks Law restrictions to a greater extent for them than for the other counties. Plaintiffs also assert 20 other claims, largely directed at the apprenticeship requirements imposed by the 2008 legislation.

On defendants’ motion pursuant to CPLR 3211, Supreme Court dismissed the complaint, holding, as to the Home Rule cause of action, that plaintiffs lacked standing to assert it and that in any event the challenged amendments to the Wicks Law did not violate the Home Rule section because they “were enacted in furtherance of and bear a reasonable relationship to a substantial statewide concern” (*Empire State Ch. of Associated Bldrs. & Contrs., Inc. v Smith*, 30 Misc 3d 455, 457 [Sup Ct, Erie County 2010]). Supreme Court also rejected plaintiffs’ other claims. The Appellate Division held that one plaintiff, the County of Erie, did have standing to sue, but agreed with Supreme Court that plaintiffs’ Home Rule claim and all of their other claims failed on the merits; it modified Supreme Court’s judgment by reinstating the complaint to the extent it sought declaratory relief, and declaring the 2008 legislation valid and constitutional (98 AD3d 335 [4th Dept 2012]). Two Appellate

Division Justices dissented; they agreed with the majority that the amendments addressed substantial state concerns, but concluded that the three-tiered classification of counties was not “rational and reasonably related to those State concerns” and was therefore invalid under the Home Rule section (*id.* at 351 [Peradotto, J., dissenting]).

Plaintiffs appeal to us as of right, pursuant to CPLR 5601 (a) and (b) (1). Like the Appellate Division majority, we conclude that at least one plaintiff, the County of Erie, has standing to assert the Home Rule claim (*see Town of Black Brook v State of New York*, 41 NY2d 486 [1977]), but that that claim fails on the merits. We find that most of plaintiffs’ other claims fail also, but modify the Appellate Division order to reinstate four causes of action challenging the apprenticeship requirements as applied to out-of-state contractors.

II

The Home Rule section of the State Constitution says:

“(b) Subject to the bill of rights of local governments and other applicable provisions of this constitution, the legislature: . . .

“(2) Shall have the power to act in relation to the property, affairs or government of any local government only by general law, or by special law only (a) on request of two-thirds of the total membership of its legislative body or on request of its chief executive officer concurred in by a majority of such membership, or (b) except in the case of the city of New York, on certificate of necessity from the governor reciting facts which in the judgment of the governor constitute an emergency requiring enactment of such law and, in such latter case, with the concurrence of two-thirds of the members elected to each house of the legislature.” (NY Const, art IX, § 2 [b] [2].)

It is undisputed that neither of the prerequisites described in subdivisions (a) and (b) of section 2 (b) (2)—a so-called “home rule message” or a certificate of necessity from the governor—was met in this case. And we assume, without deciding, that the distinctions drawn between counties in the 2008 legislation make that legislation a “special law,” defined in article IX, § 3 (d) (4), as relevant here, to be “[a] law which in terms and in

effect applies to one or more, but not all, counties.” Nevertheless, we conclude that the legislation was not forbidden by the Home Rule section.

The language of article IX, § 2 (b) (2) seems broadly to prohibit, where the specified prerequisites are not met, the enactment of any special law “in relation to the property, affairs or government of any local government.” Another subdivision of the same section, section 2 (c) (i), uses similar language in granting power to local governments:

“every local government shall have power to adopt and amend local laws not inconsistent with the provisions of this constitution or any general law relating to its property, affairs or government.”

[1] These two provisions might be read to mean that, in the absence of a home rule message or certificate of necessity, a local government’s “property, affairs or government” is an area in which local governments are free to act, but from which the state legislature is excluded unless it legislates by general law. It was long ago recognized, however, that such a reading of the Constitution would not make sense—that there must be an area of overlap, indeed a very sizeable one, in which the state legislature acting by special law and local governments have concurrent powers. As Chief Judge Cardozo put it in his concurring opinion in *Adler v Deegan* (251 NY 467, 489 [1929]) (interpreting similar language in an earlier Constitution): “The Constitution . . . will not be read as enjoining an impossible dichotomy.” He added:

“The test is . . . that if the subject be in a substantial degree a matter of State concern, the Legislature may act, though intermingled with it are concerns of the locality . . . I do not say that an affair must be one of city concern exclusively to bring it within the scope of the powers conferred upon the municipality . . . I assume that if the affair is partly State and partly local, the city is free to act until the State has intervened. As to concerns of this class there is thus concurrent jurisdiction for each in default of action by the other.” (*Id.* at 491.)

We have adopted in later cases the test as Chief Judge Cardozo formulated it (*e.g.* *Wambat Realty Corp. v State of New York*, 41 NY2d 490, 494 [1977]; *Matter of Town of Islip v Cuomo*, 64 NY2d 50, 56-57 [1984]; *City of New York v Patrolmen’s*

Benevolent Assn. of City of N.Y., 89 NY2d 380, 390-391 [1996]; *Greater N.Y. Taxi Assn. v State of New York*, 21 NY3d 289 [2013] [decided today]). And we have found support in the Constitution's text for the view that the permitted spheres of the state legislature and localities overlap. We relied in *Town of Islip* on article IX, § 3 (a) (3) of the Constitution, which says:

“Except as expressly provided, nothing in this article shall restrict or impair any power of the legislature in relation to . . . [m]atters other than the property, affairs or government of a local government.” (See *Town of Islip*, 64 NY2d at 55-56.)

This language is not a mere redundancy—a statement that article IX, § 2 (b) (2) does not prohibit what it does not prohibit. A great deal of legislation relates *both* to “the property, affairs or government of a local government” and to “[m]atters other than the property, affairs or government of a local government”—i.e., to matters of substantial state concern. Where that is true, section 3 (a) (3), as we interpreted it in *Town of Islip*, establishes that section 2 (b) (2) does not prevent the State from acting by special law.

[2] This principle controls this case. It can hardly be disputed, and plaintiffs here do not dispute, that the manner of bidding on public construction contracts is a matter of substantial state concern. The existence of the Wicks Law itself for the last century, and of much other legislation governing public contracting (e.g. General Municipal Law § 100-a [requiring competitive bidding]) attests to this. The very amendments of which plaintiffs complain, though they do not treat all counties alike, unquestionably affect the state as a whole.

Plaintiffs argue, however, that a finding that the legislation addresses a substantial state concern is not the end of the analysis. Relying on *City of New York v Patrolmen's Benevolent Assn. of City of N.Y.* (89 NY2d 380 [1996]) (*PBA I*), they say that the Home Rule section also imposes a separate reasonableness test on “special” legislation. Plaintiffs read too much into the *PBA I* decision.

PBA I involved an intervention by the state legislature in a dispute between New York City and one of its employee unions. The City and the PBA had failed to negotiate a collective bargaining agreement, and the City had requested its local Board of Collective Bargaining (BCB) to appoint an impasse arbitration panel. “[A]t that time,” the legislature, acting

without a home rule message, passed a bill “which purported to give . . . exclusive jurisdiction over negotiation impasses between the City and the New York City police” to the BCB’s state counterpart, the Public Employment Relations Board (PERB) (*id.* at 387). The legislature thus sought to create an exception, applicable only to negotiations between New York City and the police, to the statewide rule that local governments could “completely opt out of PERB’s jurisdiction over impasse procedures” (*id.* at 388).

We held the legislation invalid under the Home Rule section, finding that it “cannot be upheld under any substantial State interest” (*id.* at 392). To the assertion that the expressed purposes of the legislation—“to create State-wide uniformity with respect to impasse procedures” and to “provide a fairer forum for the New York City police”—were of statewide import, we responded that the legislation “bears no reasonable relationship to those goals” (*id.* at 392-393 [emphasis removed]). Uniformity could hardly be advanced by legislation applicable to one jurisdiction only, and the “fairness” rationale was shown to be pretextual, because of the “unchallenged substantial equivalency” between PERB’s impasse arbitration procedures and those of local bodies (*id.* at 393).

In short, we found in *PBA I* that the challenged legislation was the sort of state meddling in purely local affairs that the Home Rule section was enacted to prohibit. By contrast, five years later in a second PBA case, *Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York* (97 NY2d 378, 387 [2001]), we upheld legislation providing “that *all* collective bargaining impasses reached between local governments and their police and fire unions are resolved by PERB” (emphasis added). This new statute, we said, “was enacted in furtherance of and bears a reasonable relationship to a substantial State-wide concern” (*id.* at 388).

The legislation here is nothing like the legislation at issue in *PBA I*; its relationship to matters of substantial state concern is obvious and undisputed. Plaintiffs claim that the relationship is not “reasonable” in that nothing in the legislative history, or in the arguments now made by the State, provides a reasonable explanation for the disparity that the 2008 legislation introduced into the Wicks Law thresholds—which are now six times as high in New York City, and three times as high in certain surrounding counties, as in the rest of the state. But *PBA I* did not use “reasonable relationship” in this sense; that case is not an

invitation to subject every geographical disparity in statewide legislation to a freestanding reasonableness analysis. The absence of a “reasonable relationship” in *PBA I* established that the challenged legislation was purely parochial, and of no real statewide importance; it could not reasonably be said to advance a substantial state interest. No such claim can be made in this case.

To subject legislation like the 2008 amendments to the Wicks Law to Home Rule analysis would lead us into a wilderness of anomalies. If statewide legislation like this is subject to Home Rule restrictions, how are the restrictions to be implemented? From where must a home rule message come? Plaintiffs’ logic leads to the conclusion that there should have been such a message from every one of the 62 counties affected. And if the law was passed in violation of the Home Rule provisions, what is the remedy? Are we to cure the disparity between counties by raising the Wicks Law threshold in 54 counties, or by reducing it in eight counties to the level established elsewhere? Or should we hold the 2008 legislation wholly invalid—so that the Wicks Law threshold remains at \$50,000 throughout the state, a result that surely would not please plaintiffs?

We conclude that the Home Rule provisions of the Constitution were never intended to apply to legislation like this. They were intended to prevent unjustifiable state interference in matters of purely local concern. No one contends such interference has occurred here.

III

[3] In addition to challenging the differences among the new Wicks Law thresholds, plaintiffs also challenge the apprenticeship provisions of the 2008 legislation. We conclude that four of plaintiffs’ claims relating to these provisions—the second through fifth causes of action, alleging that the apprenticeship provisions favor in-state over out-of-state contractors in violation of the Federal Constitution—should not have been dismissed.

The 2008 legislation (L 2008, ch 57, part MM, § 18) added a new section 222 to the Labor Law. Section 222 makes the Wicks Law’s bidding requirements inapplicable where a governmental entity requires its contractors to enter a “project labor agreement” (PLA) establishing a labor organization as the collective bargaining representative for all workers on the project (*see* Labor Law § 222 [1], [2] [a], [b]). One subdivision of that

section, Labor Law § 222 (2) (e), is of concern to us here. The first sentence of subdivision (2) (e)—which plaintiffs do not challenge—requires a governmental entity entering into a contract for a “project undertaken pursuant to this section” to consider a number of factors in choosing and approving contractors and subcontractors. The second sentence, which plaintiffs do challenge, says that “[w]ith respect to any contract” that exceeds the new Wicks Law thresholds:

“the entity shall further require that each contractor and subcontractor shall participate in apprentice training programs in the trades of work it employs that have been approved by the department [of labor] for not less than three years and shall have graduated at least one apprentice in the last three years and shall have at least one apprentice currently enrolled in such apprenticeship training program.”

Among the plaintiffs in this action are a Pennsylvania-based contractor, its owner-president, and one of its employees. In the second through fifth causes of action, these plaintiffs assert that the programs to which the second sentence of Labor Law § 222 (2) (e) refers—“apprentice training programs . . . approved by” the New York State Department of Labor—are not open to out-of-state contractors and subcontractors, and thus that section 222 (2) (e) effectively excludes them from all work on public construction projects whose costs exceed the Wicks Law thresholds. This exclusion, these plaintiffs allege, violates two clauses of the Federal Constitution, the Privileges and Immunities Clause (art IV, § 2, cl 1) and the Commerce Clause (art I, § 8, cl 3).

Defendants respond that the challenged sentence of the statute has much less impact than plaintiffs claim—that it applies not to all projects, but only to those that proceed under PLAs. Defendants stress that the title of section 222 is “Project labor agreements”; that its opening subsections define that term and set forth requirements for the use of PLAs; and that the first sentence of section 222 (2) (e) is made applicable “with respect to each project undertaken pursuant to this section”—i.e., that sentence is plainly limited to projects proceeding under PLAs. While the second sentence contains language that seems broader—referring to “any contract” that exceeds the new Wicks Law thresholds—defendants point out that the word “further” in the second sentence (“the entity shall further require”)

links it to the first. Thus defendants say that the limited scope of the other provisions of section 222 should be read into the second sentence of section 222 (2) (e).

We accept, as did the courts below, defendants' view of the scope of the statute. This reading is a reasonable one, and it minimizes the constitutional problem. Unfortunately, however, it only minimizes the problem; it does not eliminate it. If the second sentence of Labor Law § 222 (2) (e) unconstitutionally discriminates against out-of-state contractors, it is invalid whether it applies to many projects or to relatively few.

Defendants do not appear to dispute that, if the effect of the second sentence of Labor Law § 222 (2) (e) is to exclude out-of-state contractors from bidding on certain New York contracts, both the Privileges and Immunities Clause and the dormant Commerce Clause have been violated. The Privileges and Immunities Clause says that “[t]he Citizens of each State shall be entitled to all Privileges and Immunities of Citizens in the several States.” The Commerce Clause empowers Congress “[t]o regulate Commerce . . . among the several States”; it has long been understood that this clause, though phrased as a grant of power to Congress, has a “dormant,” or “negative,” aspect that restricts state regulation of interstate commerce in the absence of congressional action. Both clauses significantly limit the power of states to give preferential treatment to their own citizens (*e.g.* *Hicklin v Orbeck*, 437 US 518 [1978] [Privileges and Immunities Clause]; *Oregon Waste Systems, Inc. v Department of Environmental Quality of Ore.*, 511 US 93 [1994] [dormant Commerce Clause]), and defendants do not argue that an outright exclusion of non-New York businesses from a class of public construction contracts would comply with these limitations. Rather, defendants argue that no such exclusion exists—that out-of-state contractors are able to “participate in” apprentice training programs as required by the second sentence of section 222 (2) (e), and so are not excluded from New York construction work that proceeds under PLAs.

On this motion to dismiss pursuant to CPLR 3211 we are unable to conclude, from the face of the complaint, the statute and the relevant regulations, that the apprenticeship requirements are not exclusionary. A Department of Labor regulation requires that the “sponsor” of each approved apprenticeship program have “a permanent facility located in New York State” (12 NYCRR 601.4 [a] [5]); thus, subject to a limited exception, a firm whose facilities are entirely outside New York cannot sponsor

an apprenticeship program. The exception is that out-of-state sponsors can obtain “reciprocal approval” for their own apprenticeship programs—but only to the extent that apprentices work on “projects funded, in whole or in part, with Federal money” (12 NYCRR 601.15 [c]; *see also* 12 NYCRR 601.3 [s]).

Defendants say that the inability of an out-of-state contractor to be a sponsor is immaterial, because Labor Law § 222 (2) (e) requires contractors only to “participate in” a program, not to sponsor one. Defendants suggest—but nothing in the record proves—that out-of-state contractors may “participate” in programs sponsored by New York labor organizations. (Defendants do not discuss the question of whether such programs are open to workers who do not live in New York. If not, the constitutional problem is not solved.) Indeed, defendants argue, with the support of an interpretative letter from the Department of Labor, that any contractor doing work on a project where a PLA is in effect automatically becomes a participant in the apprenticeship program of the union that is a party to the PLA. How this will work in practice for out-of-state contractors is not explained.

Plaintiffs reply by pointing out that the statute says not only that “each contractor and subcontractor shall participate in apprentice training programs” but also that the contractor or subcontractor “shall have graduated at least one apprentice in the last three years and shall have at least one apprentice currently enrolled.” As plaintiffs argue, this seems to imply that the contractor must sponsor its own apprenticeship program, not merely have its employees trained in a program sponsored by others.

We conclude that plaintiffs’ second through fifth causes of action sufficiently allege that the second sentence of Labor Law § 222 (2) (e) unconstitutionally excludes out-of-state contractors from some public construction work in New York. Perhaps defendants can show, on a motion for summary judgment or at trial, that no such exclusion exists, but on this record they have not done so.

IV

[4] Plaintiffs’ remaining causes of action require only brief discussion. All but one of them assert that plaintiffs have been deprived either of equal protection or of substantive due process under the Federal or State Constitution. But no equal protection or due process violation is sufficiently alleged. The allegations

of the complaint do not show that any provision of the 2008 amendments to the Wicks Law divides persons into classes, or deprives any person of property, without a rational basis, or that any such provision infringes any plaintiff's fundamental right or intentionally discriminates against a protected class. The courts below properly dismissed all of these claims.

[5] The remaining cause of action, the sixth, which challenges both the Wicks Law thresholds and the apprenticeship requirements of the 2008 legislation, is brought pursuant to State Finance Law § 123-b. That statute permits any "citizen taxpayer" to bring an action against a state officer or employee for causing "a wrongful expenditure, misappropriation, misapplication, or . . . other illegal or unconstitutional disbursement of state funds." We agree with the courts below that the statute has no application here. To the extent that plaintiffs' claims relate to state expenditures, they are merely claims "that state funds are not being spent wisely" not "that it is illegal to spend money *at all* for the questioned activity" (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 813-814 [2003]). Plaintiffs have not alleged "a sufficient nexus to fiscal activities of the State to allow for section 123-b standing" (*Rudder v Pataki*, 93 NY2d 273, 281 [1999]).

Accordingly, the order of the Appellate Division should be modified to reinstate the second, third, fourth and fifth causes of action in the complaint, and as so modified affirmed, without costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order modified, without costs, by reinstating the second, third, fourth and fifth causes of action of the complaint and, as so modified, affirmed.

[992 NE2d 1076, 970 NYS2d 733]

J.P. MORGAN SECURITIES INC. et al., Appellants, v VIGILANT INSURANCE COMPANY et al., Respondents.

Argued May 1, 2013; decided June 11, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 13, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.; op 2010 NY Slip Op 33799[U] [2010]), which had denied defendants' motions to dismiss the complaint, (2) granted the motions, and (3) directed the clerk to enter judgment dismissing the complaint.

J.P. Morgan Sec. Inc. v Vigilant Ins. Co., 91 AD3d 226, reversed.

HEADNOTES

Insurance — Business Insurance — Indemnification — Public Policy Exception for Intentionally Harmful Conduct

1. In an insurance dispute arising from the insured broker-dealer and clearing firm's monetary settlement of a Securities and Exchange Commission (SEC) proceeding and related private litigation predicated on the insured's violations of federal securities laws, the primary and excess insurers were not entitled to dismissal of the insured's claims for indemnification based on a public policy exception for intentionally harmful conduct. The professional liability policies issued to the insured provided that the insurers were to pay on behalf of the insured all loss for which the insured became legally obligated to pay as a result of any claim for any wrongful act of the insured. According to the policies, loss included compensatory damages, judgments, settlements, costs, charges and expenses. Generally, parties to an insurance arrangement may contract as they wish and courts will enforce their agreements without passing on the substance of them. However, as a matter of public policy, an insured may not seek coverage when it engages in conduct with the intent to cause injury. Under this narrow public policy exception, the insurer must establish that the insured acted both intentionally and with the intent to harm or injure others. Here, the order issued by the SEC after accepting the insured's offer of settlement stated that the insured "willfully" violated numerous federal securities laws through its active facilitation of late trading and market timing activities on behalf of its customers. In consenting to the settlement, the insured made no admissions or denials of guilt with regard to the findings. While the SEC order found the insured's securities laws violations to be willful, it did not conclusively demonstrate that the insured had the requisite intent to cause harm. Thus, it could not be said, as a matter of law, that the public policy exception clearly barred the insured's claims.

Insurance — Business Insurance — Indemnification — Disgorgement Payment

2. In an insurance dispute arising from the insured broker-dealer and clearing firm's monetary settlement of a Securities and Exchange Commission

(SEC) proceeding and related private litigation predicated on the insured's violations of federal securities laws, the primary and excess insurers were not entitled to dismissal of the insured's coverage claim for that portion of the settlement that was paid to the SEC as disgorgement. The professional liability policies issued to the insured provided that the insurers were to pay on behalf of the insured all loss for which the insured became legally obligated to pay as a result of any claim for any wrongful act of the insured. According to the policies, loss included compensatory damages, judgments, settlements, costs, charges and expenses. The policy rationale for precluding indemnity for disgorgement is to prevent the wrongdoer from retaining the proceeds of its illegal acts by shifting the loss to the insurer. Here, the order issued by the SEC after accepting the insured's settlement offer recited that the insured's misconduct enabled its "customers to generate hundreds of millions of dollars in profits." The findings in the order did not establish that the disgorgement payment was predicated on moneys the insured itself improperly earned as a result of its securities violations. Hence, the documentary evidence did not decisively repudiate the insured's allegation that the disgorgement payment amount was calculated in large measure on the profits of others.

Insurance — Exclusions — Claims Arising out of Gain of Illegal Profits

3. In an insurance dispute arising from the insured broker-dealer and clearing firm's monetary settlement of a Securities and Exchange Commission (SEC) proceeding and related private litigation predicated on the insured's violations of federal securities laws, the primary and excess insurers were not entitled to dismissal of the insured's coverage claim based on a policy exclusion for claims "arising out of [the insured] gaining in fact any personal profit or advantage to which [the insured] was not legally entitled." The order issued by the SEC after accepting the insured's offer of settlement stated that the insured "willfully" violated numerous federal securities laws through its active facilitation of late trading and market timing activities on behalf of its customers and that the insured's misconduct enabled its "customers to generate hundreds of millions of dollars in profits." In consenting to the settlement, the insured made no admissions or denials of guilt with regard to the findings. Because the insured alleged, and the SEC order did not conclusively refute, that its misconduct profited others, not itself, the exclusion did not defeat coverage under CPLR 3211.

Insurance — Exclusions — Wrongful Acts Committed before Policy's Effective Date

4. In an insurance dispute arising from the insured broker-dealer and clearing firm's monetary settlement of a Securities and Exchange Commission (SEC) proceeding and related private litigation predicated on the insured's violations of federal securities laws, defendant excess insurance carrier was not entitled to dismissal of the insured's coverage claims based on a policy exclusion for claims arising from a wrongful act committed before the policy's March 21, 2000 effective date if any officer of the insured knew or could have reasonably foreseen that the wrongful act could lead to a claim. The order issued by the SEC after accepting the insured's offer of settlement set forth detailed findings stating that, between 1999 and 2003, the insured "willfully" violated numerous federal securities laws through its active facilitation of late trading and market timing activities on behalf of its customers. However, in consenting to the settlement, the insured made no admissions or denials of guilt with regard to the findings. Moreover, numerous disputed factual assertions remained concerning the insured's knowledge of the relevant facts prior

to March 21, 2000, and whether a person in the insured's position could have reasonably foreseen that those facts might be the basis of a claim under the policies. Thus, the insurer did not meet its burden of establishing, as a matter of law, that the insured was barred from pursuing coverage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 38, 40, 44, 52, 76–87, 396.

NY JUR 2d, Government Tort Liability §§ 17–19, 194.

PROSSER AND KEETON, TORTS (5th ed) §§ 53, 131.

ANNOTATION REFERENCE

Liability for negligence of ambulance attendants, emergency medical technicians and the like, rendering emergency medical care outside hospital. 16 ALR5th 605.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: 911 /2 call & government! /2 function /p special /2 duty

POINTS OF COUNSEL

Proskauer Rose LLP, New York City (*John H. Gross*, *Steven E. Obus*, *Seth B. Schafner*, *Francis D. Landrey* and *Matthew J. Morris* of counsel), for appellants. I. Bear Stearns Companies LLC incurred a covered loss, and neither received ill-gotten gains nor was unjustly enriched. (*MBIA Inc. v Federal Ins. Co.*, 652 F3d 152; *Vigilant Ins. Co. v Credit Suisse First Boston Corp.*, 6 Misc 3d 1020[A], 2003 NY Slip Op 51747[U], 10 AD3d 528; *Level 3 Communications, Inc. v Federal Ins. Co.*, 272 F3d 908; *Genzyme Corp. v Federal Ins. Co.*, 622 F3d 62; *Unified W. Grocers, Inc. v Twin City Fire Ins. Co.*, 457 F3d 1106; *Ryerson Inc. v Federal Ins. Co.*, 676 F3d 610; *Pan Pac. Retail Props., Inc. v Gulf Ins. Co.*, 471 F3d 961; *CNL Hotels & Resorts, Inc. v Houston Cas. Co.*, 505 F Supp 2d 1317; *Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 34 AD3d 300, 10 NY3d 170; *Millennium Partners, L.P. v Select Ins. Co.*, 24 Misc 3d 212, 68 AD3d 420.) II. The Appellate Division contravened New York public policy when it held that coverage for Bear Stearns Companies LLC's loss should be nullified, whether or not the loss constituted the return of Bear Stearns' own ill-gotten gain, to preserve the deterrent effect of the Securities and Exchange Commission's disgorgement action. (*Miller v Continental Ins. Co.*, 40 NY2d 675;

Public Serv. Mut. Ins. Co. v Goldfarb, 53 NY2d 392; *Messersmith v American Fid. Co.*, 232 NY 161; *New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Morris v Snappy Car Rental*, 84 NY2d 21; *Charlebois v Weller Assoc.*, 72 NY2d 587; *Slayko v Security Mut. Ins. Co.*, 98 NY2d 289; *Joseph R. Loring & Assoc. v Continental Cas. Co.*, 56 NY2d 848; *Hartford Acc. & Indem. Co. v Village of Hempstead*, 48 NY2d 218.) III. The Appellate Division erroneously assumed that Bear Stearns Companies LLC engaged in wrongful conduct warranting the nullification of its insurance coverage. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *Pendergest-Holt v Certain Underwriters at Lloyd's of London*, 600 F3d 562; *Little v MGIC Indem. Corp.*, 836 F2d 789; *Lipsky v Commonwealth United Corp.*, 551 F2d 887; *In re Platinum & Palladium Commodities Litig.*, 828 F Supp 2d 588; *Matter of Halyalkar v Board of Regents of State of N.Y.*, 72 NY2d 261; *Raychem Corp. v Federal Ins. Co.*, 853 F Supp 1170; *Cambridge Fund, Inc. v Abella*, 501 F Supp 598; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Xerox Corp.*, 25 AD3d 309.)

DLA Piper LLP (US), New York City (Joseph G. Finnerty III, Megan Shea Harwick, Eric S. Connuck and Miles D. Norton of counsel), Kaufman Borgeest & Ryan LLP (Scott A. Schechter and Sergio Alves of counsel), D'Amato & Lynch, LLP (Luke D. Lynch, Jr., Richard F. Russell and Liza A. Chafian of counsel), Drinker Biddle & Reath LLP (Marsha J. Indych, Douglas M. Mangel and David F. Abernethy of counsel), Clyde & Co. US LLP (Edward J. Kirk and Allison M. Calkins of counsel), Landman Corsi Ballaine & Ford P.C. (Michael L. Gioia of counsel) and Bates Carey Nicolaides LLP, Chicago, Illinois (Ommid C. Farashahi, Kristi S. Nolley and R. Patrick Bedell of counsel), for respondents. I. The First Department correctly held that Bear Stearns' disgorgement payment is not an insurable loss as a matter of New York law and public policy. (*Securities & Exch. Commn. v First Jersey Sec., Inc.*, 101 F3d 1450; *United States Sec. & Exch. Commn. v Svoboda*, 409 F Supp 2d 331; *United States Sec. & Exch. Commn. v Universal Express, Inc.*, 646 F Supp 2d 552; *212 Inv. Corp. v Kaplan*, 16 Misc 3d 1125[A], 2007 NY Slip Op 51577[U]; *Securities & Exch. Commn. v First City Fin. Corp., Ltd.*, 890 F2d 1215; *Securities & Exch. Commn. v Warde*, 151 F3d 42; *Securities & Exch. Commn. v Patel*, 61 F3d 137; *Federal Trade Commn. v Bronson Partners, LLC*, 654 F3d 359; *Securities & Exch. Commn. v Fischbach Corp.*, 133 F3d

170; *Securities & Exch. Commn. v DiBella*, 587 F3d 553.) II. Bear Stearns is bound by the consented-to and stipulated findings in the Securities and Exchange Commission order and New York Stock Exchange decision. (*Ark Bryant Park Corp. v Bryant Park Restoration Corp.*, 285 AD2d 143; *Wilhelmina Models, Inc. v Fleisher*, 19 AD3d 267; *Biondi v Beekman Hill House Apt. Corp.*, 257 AD2d 76, 94 NY2d 659; *International Telephone & Telegraph Corp. v Electrical Workers*, 419 US 428; *Levy v United States Sec. & Exch. Commn.*, 462 F Supp 2d 64; *Millennium Partners, L.P. v Select Ins. Co.*, 24 Misc 3d 212, 68 AD3d 420; *Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *Bankwest v Fidelity & Deposit Co. of Md.*, 63 F3d 974; *Travelers Ins. Co. v Waltham Indus. Labs. Corp.*, 883 F2d 1092; *Northland Cas. Co. v HBE Corp.*, 160 F Supp 2d 1348.) III. The Securities and Exchange Commission findings set forth Bear Stearns' inherently harmful and fraudulent conduct. (*Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435; *Austro v Niagara Mohawk Power Corp.*, 66 NY2d 674; *Hertz Corp. v Government Empls. Ins. Co.*, 250 AD2d 181; *Public Serv. Mut. Ins. Co. v Goldfarb*, 53 NY2d 392; *Messersmith v American Fid. Co.*, 232 NY 161; *Dodge v Legion Ins. Co.*, 102 F Supp 2d 144; *Allstate Ins. Co. v Mugavero*, 79 NY2d 153; *Accessories Biz, Inc. v Linda & Jay Keane, Inc.*, 533 F Supp 2d 381; *DeSantis Enters. v American & Foreign Ins. Co.*, 241 AD2d 859; *Syvertsen v Great Am. Ins. Co.*, 267 AD2d 854.) IV. The policies exclude coverage for claims based upon or arising out of any improper profit or advantage obtained by Bear Stearns. (*United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229; *Bassuk Bros. v Utica First Ins. Co.*, 1 AD3d 470; *Jahier v Liberty Mut. Group*, 64 AD3d 683; *Jarvis Christian Coll. v National Union Fire Ins. Co. of Pittsburgh, PA.*, 197 F3d 742; *TIG Specialty Ins. Co. v Pinkmonkey.com Inc.*, 375 F3d 365; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Continental Ill. Corp.*, 666 F Supp 1180; *Steadfast Ins. Co. v Stroock & Stroock & Lavan LLP*, 277 F Supp 2d 245; *Penna v Peerless Ins. Co.*, 510 F Supp 2d 199; *Excess Ins. Co. Ltd. v Factory Mut. Ins. Co.*, 3 NY3d 577; *Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467.) V. The insurers did not agree to indemnify Bear Stearns for the disgorgement of ill-gotten gains created by its willful collaboration in an illegal mutual fund trading scheme. (*Public Serv. Mut. Ins. Co. v Goldfarb*, 53 NY2d 392; *Messersmith v American Fid. Co.*, 232 NY 161; *Official Comm. of Unsecured Creditors of WorldCom, Inc. v Securities & Exch. Commn.*, 467 F3d 73; *Securities & Exch. Commn. v Cavanagh*, 445 F3d 105; *Securities*

& Exch. Commn. v Tome, 833 F2d 1086; *Securities & Exch. Commn. v Commonwealth Chem. Sec., Inc.*, 574 F2d 90; *Securities & Exch. Commn. v Drexel Burnham Lambert, Inc.*, 956 F Supp 503; *Ryerson, Inc. v Federal Ins. Co.*, 796 F Supp 2d 911; *Continental Cas. Co. v Pittsburgh Corning Corp.*, 917 F2d 297; *Raymond Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 5 NY3d 157.) VI. The prior wrongful acts exclusion applies to bar coverage under underwriters' excess policies. (*Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *McKee v City of Cohoes Bd. of Educ.*, 99 AD2d 923; *Matter of Miller v Captain Brereton*, 98 AD3d 824; *Clayton B. Obersheimer, Inc. v Travelers Cas. & Sur. Co. of Am.*, 96 AD3d 1284; *Matter of Tristram K.*, 65 AD3d 894; *Securities & Exch. Commn. v Durgarian*, 477 F Supp 2d 342; *Securities & Exch. Commn. v Pimco Advisors Fund Mgt., LLC*, 341 F Supp 2d 454; *Executive Risk Indem. Inc. v Pepper Hamilton LLP*, 13 NY3d 313; *CPA Mut. Ins. Co. of Am. Risk Retention Group v Weiss & Co.*, 80 AD3d 431.) VII. Defense costs are uninsurable where, as here, no coverage is triggered by the claim. (*Vigilant Ins. Co. v Credit Suisse First Boston Corp.*, 10 AD3d 528; *Millennium Partners, L.P. v Select Ins. Co.*, 24 Misc 3d 212, 68 AD3d 420; *Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178.)

Melito & Adolfsen PC, New York City (S. Dwight Stephens of counsel), and *Wiley Rein LLP*, Washington, D.C. (*Daniel J. Standish* and *Cara Tseng Duffield* of counsel), for American Insurance Association, amicus curiae. I. The public policy prohibition against insuring disgorgement payments is critical to the sound functioning of the insurance market. (*Securities & Exch. Commn. v Fischbach Corp.*, 133 F3d 170; *Securities & Exch. Commn. v Drexel Burnham Lambert, Inc.*, 956 F Supp 503; *Reliance Group Holdings v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 188 AD2d 47; *Vigilant Ins. Co. v Credit Suisse First Boston Corp.*, 10 AD3d 528; *Millennium Partners, L.P. v Select Ins. Co.*, 68 AD3d 420; *Soto v State Farm Ins. Co.*, 83 NY2d 718; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *Public Serv. Mut. Ins. Co. v Goldfarb*, 53 NY2d 392; *Hartford Acc. & Indem. Co. v Village of Hempstead*, 48 NY2d 218; *Allstate Ins. Co. v Mugavero*, 79 NY2d 153.) II. Allowing insureds to recast the terms of regulatory settlements would alter the nature of the insured risk and obstruct the claims handling process. (*Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 34 AD3d 300; *Vigilant Ins. Co. v Credit Suisse First Boston Corp.*, 10 AD3d 528; *Millennium Partners, L.P. v Select Ins. Co.*, 68 AD3d 420; *Level 3 Communications, Inc. v Federal Ins. Co.*, 272 F3d 908; *Ryerson Inc. v Federal Ins. Co.*, 676 F3d 610.)

OPINION OF THE COURT

GRAFFEO, J.

In this insurance dispute arising from the insured's monetary settlement of a Securities and Exchange Commission (SEC) proceeding and related private litigation predicated on the insured's violations of federal securities laws, we conclude that the insurers are not entitled to a CPLR 3211 dismissal of the insured's coverage claims. We therefore reverse and reinstate the insured's complaint.

In 2003, the SEC and other regulatory entities undertook an investigation of Bear Stearns & Co., Inc., a broker-dealer, and Bear Stearns Securities Corp., a clearing firm, for allegedly facilitating late trading and deceptive market timing on behalf of certain customers (predominately large hedge funds) for the purchase and sale of shares in mutual funds.¹ During the course of the investigation, the SEC notified Bear Stearns of its intention to commence a civil proceeding charging Bear Stearns with violations of federal securities laws and seeking injunctive relief and sanctions of \$720 million. Bear Stearns disputed the proposed charges in a "Wells Submission" in which it claimed that, as a clearing broker that processed transactions initiated by others, it did not knowingly violate any law; its management did not facilitate the late trading or market timing; and it did not share in the profits or benefits from the late trading, from which it received only \$16.9 million in commissions.

Nevertheless, Bear Stearns made a formal offer of settlement in November 2005. The SEC accepted the offer and in March 2006 it issued an "Order Instituting Administrative and Cease-and-Desist Proceedings, Making Findings, and Imposing Remedial Sanctions" (the SEC order). "Solely for the purpose of these proceedings" and "without admitting or denying the findings," Bear Stearns agreed to pay \$160 million as "disgorgement"

1. Late trading is the practice of placing orders to buy, redeem or exchange mutual fund shares after the 4:00 p.m. close of trading, but receiving the price based on the net asset value set at the close of trading. The practice allows traders to obtain improper profits by using information obtained after the close of trading. Market timing involves the frequent buying and selling of shares of the same mutual fund or the buying or selling of mutual fund shares to exploit inefficiencies in mutual fund pricing. Although market timing is not per se improper, it can be deceptive if it induces a mutual fund to accept trades it otherwise would not accept under its own market timing policies.

and \$90 million as a civil penalty.² The agreed-upon \$250 million payment was deposited in a fund to compensate any mutual fund investors who had been harmed by Bear Stearns' conduct. The SEC order provided that, "[t]o preserve the deterrent effect of the civil penalty," Bear Stearns agreed that it would not benefit from an offset in any related private litigation for sums distributed to those private litigants that were attributable to the \$90 million penalty. The SEC order did not contain a similar restriction regarding the right to offset the \$160 million disgorgement payment.

The SEC order also set forth detailed findings stating that, between 1999 and 2003, Bear Stearns "facilitated a substantial amount of late trading and deceptive market timing"; "knowingly or recklessly processed thousands of late trades"; "took no steps to alter [its] procedures or to implement effective measures to stop deceptive timing"; "took affirmative steps to hide from mutual funds the identity of customers that were known market timers by, for example, assigning multiple account numbers to customers"; and "knew or [was] reckless in not knowing" that its brokers' use of multiple account numbers for certain customers "would be used for market timing." Based on its role in supporting the late trading and market timing activities of its customers, the SEC found that Bear Stearns "willfully" violated section 17 (a) of the Securities Act of 1933 (*see* 15 USC § 77q [a]); sections 10 (b) and 15 (c) of the Securities Exchange Act of 1934 (*see* 15 USC §§ 78j [b]; 78o [c]); and SEC Rules 10b-5 and 22c-1 (a) (*see* 17 CFR 240.10b-5, 270.22c-1 [a]).

Meanwhile, during the pendency of the SEC matter, Bear Stearns was named as a defendant in a number of private class action lawsuits brought by various mutual funds based on similar late trading and market timing allegations. Following the SEC settlement and the establishment of the \$250 million fund, Bear Stearns settled the private actions for \$14 million. According to Bear Stearns, it incurred \$40 million in defense costs attributable to defending both the SEC proceeding and the private litigation.

Bear Stearns then sought indemnification from its insurers—defendants Vigilant Insurance Company, its primary carrier,

2. Defendants in SEC enforcement proceedings commonly consent to sanctions without admitting or denying guilt (*see* 6 Hazen, *Treatise on the Law of Securities Regulation* § 16.2 [1] [B] at 171 [6th ed 2009]).

and six excess carriers (collectively, the Insurers).³ It requested indemnity for three claims: the \$160 million SEC disgorgement payment (less a \$10 million self-insured retention); \$40 million in defense costs; and the \$14 million private settlement. Bear Stearns did not seek coverage for the \$90 million SEC penalty.

The primary professional liability policy, to which the excess policies follow form, provides that the Insurers are to “pay on behalf of [Bear Stearns] all Loss which [Bear Stearns] shall become legally obligated to pay as a result of any Claim . . . for any Wrongful Act of [Bear Stearns].” “Loss” is defined as:

“(1) compensatory damages, multiplied damages, punitive damages where insurable by law, judgments, settlements, costs, charges and expenses or other sums [Bear Stearns] shall legally become obligated to pay as damages resulting from any Claim or Claim(s);

“(2) costs, charges and expenses or other damages incurred in connection with any investigation by any governmental body or self-regulatory organization (SRO), provided however, Loss shall not include:

“(i) fines or penalties imposed by law; or . . .

“(v) matters which are uninsurable under the law pursuant to which this policy shall be construed.”

The term “Wrongful Act” under the policy means “any actual or alleged act, error, omission, misstatement, misleading statement, neglect or breach of duty by [Bear Stearns].” A “Claim” includes both private civil actions as well as investigations and proceedings initiated by governmental bodies or SROs. The Insurers had no separate duty to defend; rather, defense costs expended by Bear Stearns could be recouped if they fell within the definition of Loss. Finally, although the policy contains an exclusion for “deliberate, dishonest, fraudulent or criminal” acts or omissions, it provides that Bear Stearns would remain “protected under the terms of this policy” unless and until a “judgment or other final adjudication” established that Bear Stearns committed such acts or omissions.

After the Insurers denied coverage for all three claims, plaintiffs J.P. Morgan Securities Inc., J.P. Morgan Clearing Corp.

3. The excess carriers are The Travelers Indemnity Company, Federal Insurance Company, National Union Fire Insurance Company of Pittsburgh, Pa., Liberty Mutual Insurance Company, Certain Underwriters at Lloyd's, London, and American Alternative Insurance Corporation.

and The Bear Stearns Companies LLC (collectively, Bear Stearns)⁴ commenced this breach of contract and declaratory judgment action against the Insurers. Bear Stearns asserted that its claims all fell within the definition of Loss and alleged that a substantial portion of the SEC disgorgement payment (\$140 million) represented illicit profits obtained by its hedge fund customers rather than gains enjoyed by Bear Stearns itself. The Insurers moved to dismiss the complaint pursuant to CPLR 3211 (a) (1) and (7) arguing, among other things, that Bear Stearns could not be indemnified for any portion of the SEC disgorgement payment as a matter of public policy.

Supreme Court denied the Insurers' dismissal motions, holding that it was unable to conclude, on the basis of the SEC order alone, that the \$160 million disgorgement payment was "specifically linked" to Bear Stearns' improperly acquired funds, as opposed to profits that flowed to its customers (2010 NY Slip Op 33799[U], *10 [2010]). The Appellate Division reversed and dismissed the complaint in its entirety, holding that, as a matter of public policy, Bear Stearns could not seek recoupment of the \$160 million disgorgement payment (91 AD3d 226 [1st Dept 2011]).⁵ We granted Bear Stearns leave to appeal (19 NY3d 806 [2012]).

Bear Stearns submits that the Appellate Division erred in concluding, as a matter of law, that it could not pursue coverage under its policies for any of the \$160 million SEC disgorgement payment. It acknowledges that it is reasonable to preclude an insured from obtaining indemnity for the disgorgement of its own ill-gotten gains, but contends that it was not unjustly enriched by at least \$140 million of the disgorgement payment because that portion was attributable to the profits of its customers. In response, the Insurers do not earnestly dispute that the claims fall within the policy's definition of Loss. Rather, they posit that the Appellate Division correctly concluded, for public policy reasons, that Bear Stearns should not be entitled to seek indemnity for the \$160 million disgorgement payment because Bear Stearns enabled its customers to make millions through its trading tactics. The Insurers also argue that there is

4. In 2008, Bear Stearns merged with J.P. Morgan. After the merger, Bear Stearns & Co., Inc. became J.P. Morgan Securities Inc. and Bear Stearns Securities Corp. was renamed J.P. Morgan Clearing Corp.

5. The Appellate Division did not separately address Bear Stearns' claims for \$40 million in defense costs or the \$14 million it paid to settle the private class actions.

a separately applicable public policy category that prohibits insurance coverage for intentionally-caused harm. Aside from these two public policy rationales, the Insurers also invoke two insurance policy exclusions, one applicable to all the Insurers and one limited to an excess carrier.

At the outset, the rules governing CPLR 3211 motions to dismiss are well established. In assessing the adequacy of a complaint under CPLR 3211 (a) (7), the court must give the pleading a liberal construction, accept the facts alleged in the complaint to be true and afford the plaintiff “the benefit of every possible favorable inference” (*AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 5 NY3d 582, 591 [2005] [internal quotation marks and citations omitted]). Whether the plaintiff “can ultimately establish its allegations is not part of the calculus in determining a motion to dismiss” (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]). And to prevail on a motion to dismiss pursuant to CPLR 3211 (a) (1), the moving party (here, the Insurers) must establish that the documentary evidence “conclusively refutes” the plaintiff’s allegations (*AG Capital Funding*, 5 NY3d at 591).

Analysis of the claims in this action begins with the basic principle that insurance contracts, like other agreements, will ordinarily be enforced as written (see *White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007]). Freedom of contract “is deeply rooted in public policy” (*New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74, 81 [1989]). As a result, parties to an insurance arrangement may generally “contract as they wish and the courts will enforce their agreements without passing on the substance of them” (*id.*; see also *Slayko v Security Mut. Ins. Co.*, 98 NY2d 289, 295 [2002] [explaining that courts “are reluctant to inhibit freedom of contract by finding insurance policy clauses violative of public policy”]).

Our cases, however, have recognized two situations in which a countervailing public policy will override the freedom to contract, thereby precluding enforcement of an insurance agreement. First, an insurer may not indemnify an insured for a punitive damages award, and a policy provision purporting to provide such coverage is unenforceable (see *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309, 316-317 [1994]). The rationale underlying this public policy exception emphasizes that allowing coverage “would defeat the purpose of punitive damages, which is to punish and to deter others from acting similarly” (*Home Ins. Co. v American Home Prods. Corp.*, 75

NY2d 196, 200 [1990] [internal quotation marks omitted]). Second, as a matter of public policy, an insured may not seek coverage when it engages in conduct “with the intent to cause injury” (*Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435, 445 [2002]; see also *Austro v Niagara Mohawk Power Corp.*, 66 NY2d 674, 676 [1985] [“Indemnification agreements are unenforceable as violative of public policy only to the extent that they purport to indemnify a party for damages flowing from the intentional causation of injury”]).

[1] Relying on the findings in the SEC order, the Insurers claim that the latter public policy exception for intentional injury precludes coverage of any of Bear Stearns’ claims. The Insurers note that the SEC order determined that Bear Stearns willfully violated numerous federal securities laws through its active facilitation of late trading and market timing activities on behalf of its hedge fund customers. But the public policy exception for intentionally harmful conduct is a narrow one, under which it must be established not only that the insured acted intentionally but, further, that it acted with the intent to harm or injure others (see *Public Serv. Mut. Ins. Co. v Goldfarb*, 53 NY2d 392, 399 [1981] [“Whether such coverage is permissible depends upon whether the insured, in committing his criminal act, intended to cause injury”]). On the limited record before us, we are unable to say, as a matter of law, that this public policy exception clearly bars Bear Stearns’ coverage claims. The SEC order, while undoubtedly finding Bear Stearns’ numerous securities laws violations to be willful, does not conclusively demonstrate that Bear Stearns also had the requisite intent to cause harm.⁶

The Insurers also maintain—and the Appellate Division agreed—that, on a separate public policy ground, Bear Stearns is not entitled to recover any portion of the \$160 million SEC disgorgement payment. Although we have not considered the issue, other courts have held that the risk of being ordered to return ill-gotten gains—disgorgement—is not insurable. Some courts reached this conclusion because, as a matter of contract

6. Notably, the Insurers did not predicate their dismissal motions on the exclusion in the insurance policy for “deliberate, dishonest, fraudulent or criminal” acts or omissions. The parties apparently dispute whether Bear Stearns’ conduct fell within the meaning of this language and, if so, whether the SEC order is a “judgment or other final adjudication”—a prerequisite for the application of the exclusion. We have no occasion to address these questions on this appeal.

interpretive principles, the return of improperly acquired funds does not constitute a “loss” or “damages” within the meaning of insurance policies (see e.g. *Level 3 Communications, Inc. v Federal Ins. Co.*, 272 F3d 908, 910 [7th Cir 2001] [stating that “a ‘loss’ within the meaning of an insurance contract does not include the restoration of an ill-gotten gain”]; *Vigilant Ins. Co. v Credit Suisse First Boston Corp.*, 10 AD3d 528, 528 [1st Dept 2004] [same]). Others have emphasized that public policy prohibits an insured from receiving indemnification for the disgorgement of its own illicit gains (see *Bank of the W. v Superior Ct.*, 2 Cal 4th 1254, 1269, 833 P2d 545, 555 [1992] [“Otherwise, the wrongdoer would retain the proceeds of his illegal acts, merely shifting his loss to an insurer”]).

[2] Bear Stearns does not disagree with these principles, but urges that they do not prohibit coverage here since the bulk of the disgorgement payment—approximately \$140 million—represented the improper profits acquired by third-party hedge fund customers, not revenue that Bear Stearns itself pocketed.⁷ Put differently, Bear Stearns alleges that much of the payment, although labeled disgorgement by the SEC, did not actually represent the disgorgement of its own profits. It submits that the rule precluding coverage for disgorgement should apply only where the insured requests coverage for the disgorgement of its own illicit gains. On the record before us, we agree with Bear Stearns that the Insurers are not entitled to dismissal of its coverage claim premised on the SEC disgorgement payment.

In the context of these dismissal motions, we must assume Bear Stearns’ allegations to be true unless conclusively refuted by the relevant documentary evidence, in this case, the SEC order. Contrary to the Insurers’ position, the SEC order does not establish that the \$160 million disgorgement payment was predicated on moneys that Bear Stearns itself improperly earned as a result of its securities violations. Rather, the SEC order recites that Bear Stearns’ misconduct enabled its “customers to generate hundreds of millions of dollars in profits.” Hence, at this CPLR 3211 stage, the documentary evidence does not decisively repudiate Bear Stearns’ allegation that the SEC disgorgement payment amount was calculated in large measure on the profits of others.

7. There is authority for the SEC’s ability to hold one party liable in disgorgement for the improper profits of another (see *Securities & Exch. Commn. v First Jersey Sec., Inc.*, 101 F3d 1450, 1475 [2d Cir 1996], *cert denied* 522 US 812 [1997]).

Moreover, the cases upon which the Insurers rely are distinguishable (see e.g. *Millennium Partners, L.P. v Select Ins. Co.*, 68 AD3d 420 [1st Dept 2009], *appeal dismissed* 14 NY3d 856 [2010]; *Credit Suisse*, 10 AD3d at 528). In each, the insured was barred from obtaining coverage for SEC-ordered disgorgement because the SEC's findings "conclusively link[ed]" the disgorgement payment to improperly acquired funds in the hands of the insured (*Millennium Partners*, 68 AD3d at 420 [internal quotation marks omitted]; see also *Credit Suisse*, 10 AD3d at 529). In other words, they directly implicated the policy rationale for precluding indemnity for disgorgement—to prevent the unjust enrichment of the insured by allowing it to, in effect, retain the ill-gotten gains by transferring the loss to its carrier. In this case, in contrast, Bear Stearns alleges that it is not pursuing recoupment for the turnover of its own improperly acquired profits and, therefore, it would not be unjustly enriched by securing indemnity. The Insurers have not identified a single precedent, from New York or otherwise, in which coverage was prohibited where, as Bear Stearns claims, the disgorgement payment was (at least in large part) linked to gains that went to others. Consequently, at this early juncture, we conclude that the Insurers are not entitled to dismissal of Bear Stearns' insurance claims related to the SEC disgorgement payment.

[3, 4] Finally, the Insurers rely on two policy exclusions to bar coverage. One exclusion, applicable to all the Insurers, disclaims coverage for claims "arising out of [Bear Stearns] gaining in fact any personal profit or advantage to which [Bear Stearns] was not legally entitled, including but not limited to any actual or alleged commingling of funds or accounts." Because Bear Stearns alleges, and the SEC order does not conclusively refute, that its misconduct profited others, not itself, this exclusion does not defeat coverage under CPLR 3211. The other exclusion, which relates solely to one excess carrier (Lloyd's), negates coverage for any claim arising from a wrongful act committed before March 21, 2000 (the effective date of the Lloyd's policy) if any officer of Bear Stearns, by that date, "knew or could have reasonably foreseen" that such wrongful act could lead to a claim. But as Supreme Court below noted, "numerous disputed factual assertions remain concerning Bear Stearns' knowledge of the relevant facts prior to March 21, 2000, and whether a person in Bear Stearns' position could have reasonably foreseen that those facts might be the basis of a claim under the Policies" (2010 NY Slip Op 33799[U], *12).

In sum, although we certainly do not condone the late trading and market timing activities described in the SEC order, the Insurers have not met their heavy burden of establishing, as a matter of law on their CPLR 3211 dismissal motions, that Bear Stearns is barred from pursuing insurance coverage under its policies.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendants' motions to dismiss the complaint denied.

Judges READ, SMITH, PIGOTT and RIVERA concur; Chief Judge LIPPMAN and Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, and defendants' motions to dismiss the complaint denied.

[993 NE2d 1241, 971 NYS2d 221]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v GEORGE
OLIVERAS, Respondent.

Argued April 25, 2013; decided June 6, 2013

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 27, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (David Stadtmauer, J.), which had denied defendant's CPL 440.10 motion to vacate a judgment of that court convicting defendant, upon a jury verdict, of murder in the second degree, (2) granted the motion, (3) remanded the matter for a new trial, and (4) dismissed, as academic, the appeal from the judgment.

People v Oliveras, 90 AD3d 563, affirmed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Duty to Investigate

In a murder prosecution where the only evidence directly connecting defendant with the crime was his inculpatory statements, trial counsel's failure to secure and review crucial records pertaining to defendant's psychiatric history to assist in the development of counsel's strategy to challenge the voluntariness of defendant's admissions deprived defendant of the effective assistance of counsel (US Const 6th Amend; NY Const, art I, § 6) as a matter of law and compromised his right to a fair trial. At a post-conviction CPL 440.10 hearing, trial counsel testified that he decided not to obtain defendant's psychiatric records because of defendant's objections and instead sought to rely on the testimony of defendant's mother to establish defendant's mental history. Counsel acknowledged that his strategy was "born in the blind" without those records but he was concerned that he would be required to turn the records over to the prosecution if he obtained them. Given that the People's case rested almost entirely on defendant's inculpatory statements, trial counsel's ability to undermine the voluntariness of those statements was crucial. The strategy to present defendant's mental capacity and susceptibility to police interrogation could only be fully developed after counsel's investigation of the facts and law, which required review of records that would reveal and explain defendant's mental illness history. At a bare minimum, trial counsel should have obtained and reviewed the relevant records, and, after considering the pertinent information contained in the records, considered the contents of those records and pursued a strategy informed by both the available evidence and defendant's concerns.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139.

CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:220, 184:221.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.6, 11.7, 11.10.

NY JUR 2d, Criminal Law: Procedure §§ 859, 864–870, 875, 879.

ANNOTATION REFERENCE

See ALR Index under Attorneys.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: counsel /5 ineffective & fail! /s psych! /4 record history

POINTS OF COUNSEL

Robert T. Johnson, District Attorney, Bronx (Mary Jo L. Blanchard and Joseph N. Ferdenzi of counsel), for appellant. The Appellate Division erred, as a matter of law, when it found trial counsel ineffective for presenting a defense based on lay witness testimony rather than obtaining psychiatric records and presenting an expert witness where counsel explained that his actions were dictated by his client and part of a strategy to avoid a damaging battle of the experts. (*Strickland v Washington*, 466 US 668; *Tippins v Walker*, 77 F3d 682; *United States v Ortiz Oliveras*, 717 F2d 1; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Borrell*, 12 NY3d 365; *People v Rivera*, 71 NY2d 705; *People v Bell*, 48 NY2d 933; *People v Zaboriski*, 59 NY2d 863; *People v Evans*, 16 NY3d 571.)

Office of the Appellate Defender, New York City (Richard M. Greenberg and Risa Gerson of counsel), for respondent. Trial counsel was ineffective for failing to do what he said he would do: obtain defendant's psychiatric and Social Security records to support the defense that the statement made by defendant after hours of interrogation was not voluntary nor reliable because defendant's history of mental illness and intellectual deficits rendered him vulnerable to police coercion. (*People v Pulecio*, 237 AD2d 633; *Wainwright v Sykes*, 433 US 72; *Jones v Barnes*, 463 US 745; *Strickland v Washington*, 466 US 668; *People v Porter*, 9 NY3d 966; *People v McRay*, 51 NY2d 594; *Singletary v Fischer*, 365 F Supp 2d 328; *People v Bedessie*, 19 NY3d 147; *People v Ciaccio*, 47 NY2d 431; *People v Gruden*, 42 NY2d 214.)

Milbank, Tweed, Hadley & McCloy LLP, New York City (Dorothy Heyl of counsel), for The Innocence Network, amicus

curiae. Given the power of confession evidence, defense attorneys must provide jurors with an explanation of *why* their client falsely confessed; in the absence of a recorded interrogation, the best and often only explanation is defendant's intellectual disability. (*McMann v Richardson*, 397 US 759; *People v Benevento*, 91 NY2d 708; *Strickland v Washington*, 466 US 668; *Adams v United States ex rel. McCann*, 317 US 269; *Powell v Alabama*, 287 US 45; *People v Claudio*, 83 NY2d 76; *People v Hobot*, 84 NY2d 1021; *People v Flores*, 84 NY2d 184; *People v Rivera*, 71 NY2d 705; *Williams v Taylor*, 529 US 362.)

OPINION OF THE COURT

RIVERA, J.

The People appeal an order of the Appellate Division granting defendant George Oliveras' motion to vacate his conviction, and remanding for a new trial on the ground that defendant was deprived adequate assistance of counsel (90 AD3d 563 [1st Dept 2011]). We affirm and reject the People's argument that defendant received adequate assistance where trial counsel failed to conduct an appropriate investigation of records critical to the defense.

I. Facts and Procedural History

A. Defendant's Interrogation and Inculpatory Statements

New York City Police Department detectives suspected defendant of the November 24, 1999 shooting and murder of Marvin Thompson. Upon defendant's voluntary appearance at the police station two days after the shooting, detectives immediately arrested and placed defendant in a windowless interrogation room. Prior to the interrogation, defendant's mother, who had gone to the station with him, informed the detectives that defendant had been hospitalized for mental illness as a child.

Detectives proceeded to interrogate defendant over the next 6½ hours.¹ During the course of the interrogation, defendant made three statements. His first statement, made within the first 30 minutes of the interrogation, asserted his innocence and that he was at his girlfriend's home when the shooting occurred. The officers then left defendant alone for several hours. When they returned to resume their questioning, defendant appeared

1. A police officer read defendant his *Miranda* rights and recorded defendant's waiver of those rights prior to the first interview (*Miranda v Arizona*, 384 US 436 [1966]).

tired and upset and explained to the detectives he felt overwhelmed. At 12:50 a.m. the detectives recorded defendant's second statement, that he had killed the victim because he had reached into his coat pocket as if to pull out a gun to shoot defendant. At approximately 2:00 a.m., defendant made a third statement repeating he had shot the victim when he saw him reach in his pocket for what he thought was a gun. He made this statement in the presence of an Assistant District Attorney who had joined the interrogation and asked defendant questions about the shooting,² including if the gun he used was an automatic or a revolver, to which defendant replied "I think revolver. I'm not sure."³

B. Trial Counsel's Pretrial Motions

In early 2000, trial counsel moved for a psychiatric examination pursuant to CPL article 730. Two reports from psychiatric experts concluded defendant was fit to stand trial, but also noted he has a learning disability and certain mental health issues. Specifically, both psychiatric experts separately noted that defendant demonstrated a mild impairment of concentration and memory and was previously evaluated for auditory hallucinations. They both noted that defendant's intelligence was in the low average range. Supreme Court eventually found defendant fit to stand trial.

At the psychological evaluation hearing, trial counsel also announced his intention to present his client's psychiatric records to an expert in order to challenge the voluntariness of the admissions. The court issued judicial subpoenas for those records.

Months later, by early 2001, trial counsel had neither sought to execute the subpoenas nor otherwise reviewed these or other documents related to defendant's mental illness or condition. Nevertheless, without supporting witnesses and relying solely on the existing CPL article 730 report, trial counsel moved to suppress the incriminating statements based on involuntariness. Supreme Court denied the motion, concluding that the CPL article 730 report did not support the defense claim that defendant was unable to knowingly and voluntarily waive his *Miranda* rights due to mental illness. The court specifically noted the failure to produce defendant's psychiatric records.

2. The Assistant District Attorney re-Mirandized defendant on the record before asking him any questions.

3. The two inculpatory statements were inconsistent and contradicted the evidence which established that the victim was not wearing a coat and the gun used in the shooting was not a revolver.

After another nine months, trial counsel belatedly moved under CPL 250.10 for permission to serve and file late notice of intent to proffer psychiatric evidence. In response, the People objected and requested by motion in limine a ruling precluding trial counsel from raising any psychiatric or psychological issues during the trial. Supreme Court denied defendant's motion, predicated its denial on trial counsel's failure to proffer a reasonable explanation for the notification delay, and the failure to produce the aforementioned records in support of the motion. The court observed that the medical records "were never delivered to the Police Department" and were never seen by trial counsel. The court then observed that "we don't know what the abnormality is and we don't have any records and we don't have any consultation report to go on." The court ultimately found that trial counsel was "just fishing" for any useful information. Supreme Court granted the People's motion, holding that CPL 250.10 notice "is required in all sorts of different situations, including situations where . . . the defense might wish to call a lay person to testify about psychiatric difficulties." In response to trial counsel's assertions at the hearing that he intended to present defendant's mental health history through testimony of defendant's mother but "not in an expert format," the court ruled that defendant's mother could give "non-expert" testimony, if relevant to the issue in the case, provided that she did not allude "to psychiatric records or the contents thereof," or otherwise give "the patina of psychological expertise" to her testimony.

C. Trial and Sentence

At the trial, the People's case consisted of testimony from a witness who saw the shooter running from the scene and who called 911 to report the incident; testimony from the detective who collected bullet casings from the crime scene; testimony from a medical examiner who reviewed the autopsy records describing the victim's wounds; testimony of the police officer who arrested, interrogated, and obtained defendant's inculpatory statements; and the submission into evidence of the defendant's statements. However, other than defendant's statements to the police, no other evidence directly connected defendant with the murder. The 911 caller's description of the perpetrator did not match defendant's ethnicity or attire, and the ballistic evidence recovered from the scene of the crime did not link defendant to the homicide.

Trial counsel called one witness, defendant's mother, who testified that her son attended special education classes as a

child, was committed to the Bronx Children's Psychiatric Center as a teen, and receives Social Security disability benefits as an adult. However, the court's limiting instruction precluded trial counsel from asking the mother about defendant's psychiatric history, mental issues, and the basis for his receipt of government benefits.⁴

After several requests to review the evidence and for a clarification on *Miranda*, the jury found defendant guilty of murder in the second degree. The court sentenced him to 25 years to life.

D. Defendant's Motion to Vacate the Conviction

Defendant obtained new counsel who moved to vacate the conviction pursuant to CPL 440.10, arguing that defendant's trial counsel was ineffective based on several enumerated failures and errors. The motion raised trial counsel's failure to provide timely notice pursuant to CPL 250.10, to present evidence of defendant's psychiatric history, to obtain defendant's psychiatric records, to consult an expert to explain the relationship between defendant's psychiatric history and the voluntariness and reliability of his statements, and trial counsel's ignorance of the law regarding the CPL 250.10 notice.

At the hearing, trial counsel testified about his representation of defendant, and explained his decision to not obtain defendant's records. He stated that while he initially intended to obtain defendant's psychiatric records to show that defendant's inculpatory statements were involuntary, he did not pursue this approach because of defendant's objections. He testified that defendant said he was innocent, and "shut [him] down" from pursuing a psychiatric defense. According to trial counsel, defendant "did not want to be portrayed as someone suffering from a psychiatric mental illness." He said he believed that defendant did not want to "end up in a mental institution." He further stated that it was his understanding that defendant "didn't want psychiatric mumbo jumbo, whatever you want to call it, because he felt it would paint him in a bad way."

Trial counsel explained that he then decided to present defendant's mental capacity without the records and as a result decided to forgo obtaining them. Trial counsel claimed that he "stood to gain nothing by getting those records . . . unless [he] was headed towards [putting on] a psychiatric defense." Counsel

4. The court also instructed the jury during the charge that "there [was] no evidence concerning any psychological or psychiatric issues."

further claimed: “And my feeling is and has been, and I’ve done it in many cases, is that you’re better off . . . without having so many experts on the witness stand and getting bogged up in that, and just giving the jury a good gut feeling.” Thus, trial counsel sought to secure his client’s acquittal by demonstrating to the jury that his client was “not playing with a full deck” and arguing on summation that the police took advantage of him.

Trial counsel said he intended to convince the jury that defendant’s will was overborne by the police due to his mental history and the affects of the interrogation. According to trial counsel, he wanted to “build” this idea “in the minds of the jury” by demonstrating that defendant “had no work history,” “was on SSI,” “had a grade school education at the most,” “was in special ed,” “had some hospitalizations,” and was someone “whose mind could be played with.” Trial counsel sought to have this history introduced by defendant’s mother, who would discuss her son’s educational, institutional, and occupational history.

At the hearing, trial counsel admitted that he developed this defense approach without the full benefit of defendant’s psychiatric and government records. He stated that he never saw defendant’s psychiatric records or Social Security Administration records, and that he did not know the diagnosis contained in those records. Trial counsel also admitted that he did not get the records because he believed that he would have to turn them over to the People, even if he never introduced them at trial or presented a formal psychiatric defense.

“And you know, yes, the strategy was born in the blind without those [records], but I felt that number one, if I have the records, I got to turn them over. Number two, I don’t gain anything by having those records. The fact that he was—his history is what it was should have been good enough.”

In an attempt to explain his late filed CPL 250.10 motion, trial counsel stated that he initially declined to file a CPL 250.10 application because he believed at the time that no such application was required where an attorney seeks to present psychiatric evidence through a layperson. Concerned that he might have made an error, he decided to submit a late motion.

Supreme Court denied the motion to vacate, holding that trial counsel pursued a legitimate trial strategy, despite the seemingly insurmountable obstacles posed by defendant.

E. Appellate Division Decision

On appeal, the Appellate Division reversed the denial of the motion to vacate and remanded the matter for a new trial.⁵ The majority held that trial counsel's failure to obtain and review the psychiatric records deprived defendant of meaningful representation under federal and state law. As relevant here, the majority determined that trial counsel misapprehended the law pertaining to criminal discovery, and further held that his failure to review the relevant records could not be deemed a reasonable trial strategy. The dissent argued that trial counsel's conduct was not so egregious and prejudicial as to deprive defendant of the right to a fair trial because trial counsel's decision not to obtain the psychiatric records was a reasonable and legitimate trial strategy. The People appeal to this Court by permission of a dissenting Justice of the Appellate Division.

II. Analysis

The right to effective assistance of counsel in a criminal matter is guaranteed by the Federal and State Constitutions (*see* US Const 6th Amend; NY Const, art I, § 6). In determining whether a defendant has been deprived of effective assistance, a court must examine whether "the evidence, the law, and the circumstances of a particular case, viewed in totality and as of the time of the representation, reveal that the attorney provided meaningful representation" (*People v Baldi*, 54 NY2d 137, 147 [1981]).

Essential to any representation, and to the attorney's consideration of the best course of action on behalf of the client, is the attorney's investigation of the law, the facts, and the issues that are relevant to the case (*see Strickland v Washington*, 466 US 668, 690-691 [1984]). An attorney's strategy is shaped in significant part by the results of the investigation stage of the representation. Thus, "[a] defendant's right to representation does entitle him to have counsel conduct appropriate investigations, both factual and legal, to determine if matters of defense can be developed, and to allow himself time for reflection and preparation for trial" (*People v Bennett*, 29 NY2d 462, 466 [1972] [internal quotation marks omitted]; *see also People v Droz*, 39 NY2d 457, 462 [1976] ["it is elementary that the right

5. Based on its ruling on the motion to vacate, the Appellate Division dismissed, as academic, defendant's appeal from the judgment of conviction and sentence.

to effective representation includes the right to assistance by an attorney who has taken the time to review and prepare both the law and the facts relevant to the defense”)].⁶

The People argue that trial counsel made a reasonable choice not to use defendant’s psychiatric records even though trial counsel had elected to portray defendant as a person with mental problems that made him vulnerable to police interrogation tactics. The People further assert that trial counsel strategically chose not to obtain the documents in order to prevent the People from obtaining certain information concerning defendant’s purportedly violent tendencies. More specifically, the People claim that trial counsel’s approach to the case was based on his assessment of the options available to him after defendant had precluded him from presenting a psychiatric defense. Under these circumstances, the People argue, trial counsel made a proper choice to introduce critical aspects of defendant’s mental state through the mother rather than the records.

The record reveals that trial counsel sought to build a defense based on defendant’s mental weakness undermining the voluntariness of his admissions of guilt. Despite the focus on defendant’s mental abilities, trial counsel chose to forgo any investigation of the critical documents concerning defendant’s mental condition, and instead, sought to present this defense through the testimony of defendant’s mother, an obviously biased witness. Regardless of whether the decision to present defendant’s condition through his mother’s testimony was a valid strategy, it was, as trial counsel admitted at the post-conviction hearing, a “strategy” “born in the blind”—one he admittedly pursued without benefit of the contents of defendant’s records.

6. The American Bar Association has set forth standards articulating this duty to investigate:

“Defense counsel should conduct a prompt investigation of the circumstances of the case and explore all avenues leading to facts relevant to the merits of the case and the penalty in the event of conviction. The investigation should include efforts to secure information in the possession of the prosecution and law enforcement authorities. The duty to investigate exists regardless of the accused’s admissions or statements to defense counsel of facts constituting guilt or the accused’s stated desire to plead guilty” (American Bar Association, ABA Standards for Criminal Justice, Prosecution Function and Defense Function, standard 4-4.1 at 181 [3d ed 1993], available at http://www.americanbar.org/content/dam/aba/publications/criminal_justice_standards/prosecution_defense_function.authcheckdam.pdf [accessed May 21, 2013]).

This is not simply a case of a failed trial strategy (*see Baldi*, 54 NY2d at 146 [“trial tactics which terminate unsuccessfully do not automatically indicate ineffectiveness”]). Rather, this is a case of a lawyer’s failure to pursue the minimal investigation required under the circumstances. Given that the People’s case rested almost entirely on defendant’s inculpatory statements, trial counsel’s ability to undermine the voluntariness of those statements was crucial. The strategy to present defendant’s mental capacity and susceptibility to police interrogation could only be fully developed after counsel’s investigation of the facts and law, which required review of records that would reveal and explain defendant’s mental illness history, and defendant’s diagnosis supporting his receipt of federal Supplemental Security Income benefits.

The People’s argument that the contested records would not have helped the defense, regardless of trial counsel’s choices, misconstrues the central issue in this case. The issue is not whether trial counsel’s choice to have certain documents excluded from the record constitutes a legitimate trial strategy, but whether the failure to secure and review crucial documents, that would have undeniably provided valuable information to assist counsel in developing a strategy during the pretrial investigation phase of a criminal case, constitutes meaningful representation as a matter of law. The utter failure to obtain these documents constituted denial of effective assistance.

Trial counsel did not fully investigate the case and did not collect the type of information that a lawyer would need in order to determine the best course of action for his or her client. It simply cannot be said that a total failure to investigate the facts of a case, or review pertinent records, constitutes a trial strategy resulting in meaningful representation. There is simply no legitimate explanation for this purported strategy (*see generally People v Benevento*, 91 NY2d 708, 712 [1998]; *see also People v Caban*, 5 NY3d 143, 152 [2005]; *People v Rivera*, 71 NY2d 705, 709 [1988]). At a bare minimum, trial counsel should have obtained and reviewed the relevant records, and, after considering the pertinent information contained in the records, considered the contents of those records and pursued a strategy informed by both the available evidence and defendant’s concerns. This failure seriously compromised defendant’s right to a fair trial (*see generally People v Hobot*, 84 NY2d 1021, 1022 [1995]). Based on the foregoing, the order of the Appellate Division should be affirmed.

SMITH, J. (dissenting). I agree with the majority that counsel's performance was deficient, in that he should have subpoenaed defendant's psychiatric records, and examined them, before trial. As it turns out, however, if the records had been available they would have been worse than useless to defendant—they would have hurt his case. Since a claim of ineffective assistance requires not only a showing of deficient performance, but also a showing that counsel's errors prejudiced defendant's right to a fair trial (*People v Stultz*, 2 NY3d 277, 283-284 [2004]; *People v Benevento*, 91 NY2d 708, 713-714 [1998]), I conclude that ineffectiveness has not been established.

As the majority opinion explains, the case against defendant rested heavily on his confession, and the essence of his defense at trial was that the confession was false. This was not a hopeless defense. The confession was short on detail and some of the details, as the majority opinion points out, were incorrect (*see* majority op at 342 n 3). Defense counsel sought to bolster his attack on the confession by showing that defendant was a mentally limited and disturbed man, vulnerable to manipulation by the police who interrogated him. To this end, counsel elicited the following testimony from defendant's mother:

"Q And was he in any particular educational program during his schooling?

"A Yes.

"Q What was that?

"A Special Education. . . .

"Q How far did he get in school?

"A Eight.

"Q And where did he go or what did he do after eighth grade?

"A After eighth grade he was in a hospital for five months.

"Q And do you know the name of the hospital?

"A The Bronx Children's Psychiatric Center.

"Q And between the time that he got out of that particular hospital until the time of his arrest, did George have a work history?

“A No.

“Q How did he support himself?

“A SSI.

“Q Is that Social Security Disability?

“A Yes.”

The gist of defendant’s argument here is that, because of his counsel’s failings, he did not have more and better evidence than this—specifically, he did not have the records of his psychiatric history. In theory, those records could have shown, or provided an expert with a basis for opining, that he was, for example, submissive to authority, or easily misled and confused, or perhaps even that he had a history of admitting to things he did not do. Counsel certainly should have subpoenaed the records, looked for such evidence and preserved his right to offer it at trial, and I offer no excuse for his failure to do so.

But the records of defendant’s stay when he was 15 years old at the Bronx Children’s Psychiatric Center, which were finally obtained by successor counsel and presented on a motion pursuant to CPL article 440 to vacate the judgment of conviction, do not say what defense counsel would have wanted them to say. They do show that he had learning difficulties (as the jury, knowing that he had been in special education and that his schooling ended in eighth grade, presumably inferred) and that his IQ was low. An expert retained by defendant for his posttrial motion prepared a report dwelling on these facts, and others that the expert thought might predispose defendant to making a false confession.

The records also contained, however, facts that the defense expert understandably did not dwell on. They showed that defendant’s psychiatric problems included violent—indeed, homicidal—impulses and fantasies. A doctor who interviewed him found a “strong streak of paranoia,” and added:

“He feels that people were against him at school and didn’t treat him with the respect that he deserved and therefore he had to carry a gun and act very tough in order to demand respect. He says that he wouldn’t hesitate to beat people up in order to get the respect he deserves.”

Later in the same examination, the doctor noted: “What he would like to do in the future is to join the army and travel

around the world and kill people. He says that would be quite enjoyable and exciting.” Eight days later, the doctor assessed the adolescent defendant by saying: “George’s weak superego certainly will allow him to kill somebody with no remorse if he felt appropriately aggrieved.”

It hardly seems necessary to argue that these psychiatric records would not have improved defendant’s chances of acquittal. Indeed, his counsel, though perhaps more through luck than skill, achieved what seems the best of all possible worlds from his point of view: the jury knew that defendant had psychiatric problems requiring hospitalization, but never found out what those problems were. As it happens, the jury convicted defendant anyway, but it is hard to imagine a trial that gave him a better chance of acquittal.

In arguing that he was indeed prejudiced by his counsel’s failure to obtain and offer psychiatric evidence, defendant suggests that he would have been allowed to offer at trial the favorable parts of the records, and exclude all reference to the unfavorable parts. I think that highly unlikely; such a trial would not have been the fair one to which defendant was entitled, but one decidedly unfair to the People. I do not recommend to the counsel who represents defendant on his retrial the strategy of relying on part of the psychiatric records, in the hope that the jury will never find out about the rest. To pursue that strategy would be to invite an ineffective assistance claim much better, in my judgment, than the one the Court upholds today.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and PIGOTT concur with Judge RIVERA; Judge SMITH dissents in an opinion; Judge ABDUS-SALAAM taking no part.

Order affirmed.

[995 NE2d 110, 972 NYS2d 148]

ALTSHULER SHAHAM PROVIDENT FUNDS, LTD., Appellant, v GML
TOWER, LLC, et al., Defendants, THE PIKE COMPANY, INC.,
et al., Respondents.

Argued May 2, 2013; decided June 11, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment (denominated order) of the Supreme Court, Onondaga County (Deborah H. Karalunas, J.), entered July 13, 2012. The Supreme Court confirmed a referee's report of a foreclosure sale. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 29, 2011. The Appellate Division had affirmed an order of that Supreme Court (op 28 Misc 3d 475 [2010]), which had (1) granted the motion of defendant The Hayner Hoyt Corporation for an order declaring that plaintiff's March 4, 2008 mortgage increase, modification and spreader agreement is subordinate to defendant's mechanic's lien filed on October 31, 2008; (2) granted the cross motion of defendant Syracuse Merit Electric, a division of O'Connell Electric Company, Inc., for summary judgment directing that plaintiff's mortgage and defendant Hayner Hoyt's mechanic's lien are subordinate to defendant Syracuse Merit Electric's mechanic's lien filed on December 3, 2008; and (3) granted the cross motion of defendant The Pike Company, Inc. for a declaration that plaintiff's mortgage increase, modification and spreader agreement and all other mechanic's liens involved in this action are subordinate to defendant Pike Company's mechanic's lien filed on September 18, 2008 to the extent of declaring that plaintiff's mortgage is subordinate to defendant Pike Company's mechanic's lien.

Altshuler Shaham Provident Funds, Ltd. v GML Tower LLC,
83 AD3d 1563, modified.

HEADNOTES

Liens — Mechanic's Lien — Building Loan Contract — What Constitutes

1. A loan agreement between plaintiff's predecessor and defendant borrowers for a certain sum of money bifurcated into two tranches, with one tranche used to pay off an existing mortgage on defendants' properties and the other deposited into a restricted account to be used solely to finance improvements of one of defendants' buildings, was a "building loan contract" as defined

under Lien Law § 2 (13). The agreement called for the funds in the restricted account to be “released if, when and as required to finance and pay [for] the construction of” the improvements to the building, “subject to the terms and conditions of” the construction plans, and those loan proceeds were to be secured by a mortgage. Because the loan agreement was a building loan contract, Lien Law § 22 obligated plaintiff to file the agreement in the appropriate county clerk’s office prior to the recording of any mortgage made pursuant thereto, or suffer loss of lien priority.

Liens — Mechanic’s Lien — Building Loan Contract — Filing Requirements

2. Plaintiff lender violated Lien Law § 22 by failing to file the loan agreement between plaintiff’s predecessor and defendant borrowers, which constituted a “building loan contract” as defined under Lien Law § 2 (13), and the amendment to the loan agreement, which was not a stand-alone document but a compilation of edits of various provisions in the initial agreement. Lien Law § 22 specifies that modifications of building loan contracts must be filed. Regardless of whether or not the loan agreement, as modified by the amendment, was no longer a building loan contract as defined by Lien Law § 2 (13), plaintiff was still obligated to file the amendment. Lien Law § 22 does not state that modifications to a building loan contract must be filed only so long as the contract, as modified, remains a building loan contract within the meaning of the Lien Law.

Liens — Priority — Mortgage Made Pursuant to Unfiled Building Loan Contract

3. Plaintiff lender’s mortgage, made pursuant to an unfiled building loan contract for a certain sum of money bifurcated into two tranches, with one tranche used to pay off an existing mortgage on defendants’ properties and the other deposited into a restricted account to be used solely to finance improvements of one of defendants’ buildings, was subordinate to subsequently filed mechanic’s liens only to the extent of the amount of the second tranche. Lien Law § 22 requires that a building loan contract, with or without the sale of land and before or simultaneously with the recording of a building loan mortgage made pursuant to it, must be filed in the clerk’s office of the county where land subject to the contract is located, along with a borrower’s affidavit stating the consideration paid or to be paid for the loan, any expenses incurred or to be incurred in connection with the loan, and the net sum available for the construction project. Failure to comply with the filing requirements changes the ordinary priority of liens, with a properly filed mechanic’s lien taking priority over the interests of the parties to the contract. The purpose of Lien Law § 22 is to give contractors and material suppliers notice of how much money a building loan makes available for construction. The statute does not state that the entire interest of each party to an unfiled building loan contract is subject to a later-filed notice of lien. The subordination penalty logically applies only to funds loaned to pay for improvements. The tranche used to pay off the existing mortgage closed before any monies were advanced for construction, and was not subject to the subordination penalty.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Mechanics’ Liens §§ 87, 93, 170, 178, 179, 264, 270, 273.

CARMODY-WAIT 2d, Establishment, Discharge, and Enforcement of Mechanics' Liens §§ 97:46, 97:47.

McKINNEY'S, Lien Law §§ 2 (13); 22.

NY JUR 2d, Mechanics' Liens §§ 116, 164, 171, 174–178.

ANNOTATION REFERENCE

See ALR Index under Mechanics' Liens; Mortgages.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: building /2 loan /2 contract /p priority /4 lien

POINTS OF COUNSEL

D'Agostino, Levine, Landesman & Lederman, LLP, New York City (*Bruce H. Lederman, Eric R. Garcia* and *Christopher M. Tarnok* of counsel), and *Hancock & Estabrook, LLP*, Syracuse (*John G. Powers* of counsel), for appellant. I. The 2008 consolidated mortgage was recorded pursuant to the 2008 amended commitment and not pursuant to the 2007 commitment. II. The 2008 consolidated mortgage is not a building loan mortgage under Lien Law § 22 because it was not made pursuant to a building loan contract providing for future advances and expressly requiring use of mortgage proceeds for improvements to real property. (*Alden State Bank v Sunrise Bldrs., Inc.*, 48 AD3d 1162; *Pawling Sav. Bank v Hunt Props.*, 225 AD2d 678; *Juszek v Lily & Don Holding Corp.*, 224 AD2d 588; *Finest Invs. v Security Trust Co. of Rochester*, 96 AD2d 227; *Weaver Hardware Co. v Solomovitz*, 235 NY 321.) III. The public policy of enabling contractors to learn what sums would be available from a mortgage does not require filing an expired and unenforceable agreement. (*Rosenblum v Tilden Improvement Co.*, 136 App Div 743.) IV. The subsequently filed mechanic's liens should be subordinate to the original \$5,500,000 acquisition refinancing if Lien Law § 22 applies. (*Yankee Bank for Fin. & Sav., FSB v Task Assoc., Inc.*, 731 F Supp 64; *HNC Realty Co. v Golan Hgts. Devs.*, 79 Misc 2d 696.) V. Issues of law presented on the face of the record may be raised on appeal whether or not specifically raised below. (*Telaro v Telaro*, 25 NY2d 433; *Persky v Bank of Am. N.A.*, 261 NY 212.) VI. Defendants could not be misled by filed documents because there was a \$5,500,000 mortgage of record when they commenced work, and when the 2008 consolidated mortgage of \$10,000,000 was filed, it was

fully funded. (*Dearstine v Carpenter*, 106 Misc 102; *Sackman-Gilliland Corp. v Lupo*, 55 AD2d 1008.) VII. Claims of priority over the interim unsecured loans are moot because the real property sold at auction for less than the acquisition mortgage and/or lump sum financing at closing.

Hahn, Loeser & Parks, LLP (Timothy M. Bittel, of the Ohio bar, admitted pro hac vice, of counsel), and *Gilberti Stinziano Heintz & Smith, P.C.*, Syracuse (Kevin Roe and John L. Stinziano of counsel), for The Hayner Hoyt Corporation, respondent. I. Appellant is barred by judicial estoppel. (*Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Moore v County of Clinton*, 219 AD2d 131; *Secured Equities Invs. v McFarland*, 300 AD2d 1137; *Kimco of N.Y. v Devon*, 163 AD2d 573.) II. Because appellant failed to raise the argument that the original loan agreement was either “preliminary,” “expired” or “unenforceable” in the lower court, this Court should not consider such argument on appeal. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *ICS/Executone Telecom v Performance Parts Warehouse*, 171 AD2d 1066; *Catamount Enters. v Town of Lyons Assessors*, 244 AD2d 913; *Arvantides v Arvantides*, 106 AD2d 853; *Enderby v Kepler*, 184 AD2d 1058; *Matter of Van Wormer v Leversee*, 87 AD2d 942; *Rentways, Inc. v O’Neill Milk & Cream Co.*, 308 NY 342; *Lindlots Realty Corp. v County of Suffolk*, 278 NY 45.) III. The three loan agreements are unfiled building loan contracts. (*HNC Realty Co. v Bay View Towers Apts.*, 64 AD2d 417; *Oriskany Falls Fuel v Finger Lakes Gas Co.*, 186 AD2d 1021; *Olson v Kehoe Component Sales*, 242 AD2d 902; *Fishler v Fishler*, 2 AD3d 487; *805 Third Ave. Co. v M.W. Realty Assoc.*, 58 NY2d 447; *Nichols v Nichols*, 306 NY 490; *Slatt v Slatt*, 64 NY2d 966; *Havel v Kelsey-Hayes Co.*, 83 AD2d 380; *Allright N.Y. Parking v Shumway*, 94 AD2d 962.) IV. Failure to file the original loan agreement is the first violation of Lien Law § 22. (*Nanuet Natl. Bank v Eckerson Terrace*, 47 NY2d 243.) V. Failure to file the memorandum of understanding dated May 1, 2007 is a second violation of Lien Law § 22. (*Security Natl. Bank v Village Mall at Hillcrest*, 85 Misc 2d 771.) VI. Failure to file amendment No. 1 dated March 4, 2008 is a third violation of Lien Law § 22. (*Security Natl. Bank v Village Mall at Hillcrest*, 85 Misc 2d 771.) VII. The failure of appellant Altshuler Shaham Provident Funds, Ltd. to file the three loan agreements makes The Hayner Hoyt Corporation mechanic’s lien superior to any mortgage claim of appellant Altshuler. (*McDermott v Lawyers’ Mtge. Co.*, 232 NY 336; *Dearstine v Carpenter*, 106 Misc 102; *Sackman-Gilliland Corp. v Lupo*, 55 AD2d 1008; *Rosenblum v Tilden Improvement*

Co., 136 App Div 743; *Pennsylvania Steel Co. v Title Guar. & Trust Co.*, 50 Misc 51, 120 App Div 879, 193 NY 37; *HNC Realty Co. v Bay View Towers Apts.*, 64 AD2d 417.)

Pappas, Cox, Kimpel, Dodd & Levine, P.C., Syracuse (Thomas P. Givas of counsel), for L.A. Painting, Inc., respondent. I. The March 29, 2007 agreement was a building loan contract. (*Matter of Cohen*, 209 App Div 415; *Howard Sav. Bank v Lefcon Partnership*, 209 AD2d 473; *Alden State Bank v Sunrise Bldrs., Inc.*, 48 AD3d 1162; *Pawling Sav. Bank v Hunt Props.*, 225 AD2d 678; *Finest Invs. v Security Trust Co. of Rochester*, 96 AD2d 227; *Amsterdam Sav. Bank v Terra Domus Corp.*, 97 AD2d 41; *Security Natl. Bank v Village Mall at Hillcrest*, 85 Misc 2d 771.) II. Plaintiff's failure to file the loan agreement requires that its entire interest be subordinated.

Byrne, Costello & Pickard, P.C., Syracuse (Jordan R. Pavlus and Terry R. Pickard of counsel), for TAG Mechanical Systems, Inc. and others, respondents. I. Plaintiff's new arguments need not be considered. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 540 US 1017.) II. Plaintiff's contradictory arguments are precluded by the doctrine of judicial estoppel. (*Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *North Fork Bank v Cohen & Krassner*, 44 AD3d 375; *Kimco of N.Y. v Devon*, 163 AD2d 573; *Moore v County of Clinton*, 219 AD2d 131; *Secured Equities Invs. v McFarland*, 300 AD2d 1137.) III. Plaintiff is precluded from making arguments for the first time on appeal. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355.) IV. The rarely invoked exception for new points of law does not apply. (*Misicki v Caradonna*, 12 NY3d 511; *Matter of State of New York v Avco Fin. Serv. of N.Y.*, 50 NY2d 383; *Morgan v State of New York*, 90 NY2d 471; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Atlantic Bank of N.Y. v Forrest House Holding Co.*, 234 AD2d 491; *HNC Realty Co. v Golan Hgts. Devs.*, 79 Misc 2d 696; *Nanuet Natl. Bank v Eckerson Terrace*, 47 NY2d 243; *Matter of Gregory v Board of Appeals of Town of Cambria*, 57 NY2d 865; *County of Nassau v Cuomo*, 69 NY2d 737; *Gramercy Equities Corp. v Dumont*, 72 NY2d 560.) V. Plaintiff entered into a series of unique transactions which also failed to comply with Lien Law § 13 and it concedes this point on appeal. (*Monroe Sav. Bank v First Natl. Bank of Waterloo*, 50 AD2d 314; *Quain v Buzzetta Constr. Corp.*, 69 NY2d 376.)

Phillips Lytle LLP, Rochester (Mark J. Moretti of counsel), for The Pike Company, Inc., respondent.

Stewart L. Weisman, Manlius, for Pyramid Roofing & Sheet Metal Co., Inc., respondent.

OPINION OF THE COURT

READ, J.

This mortgage foreclosure action arises from a failed redevelopment of the Hotel Syracuse complex in downtown Syracuse, New York. The complex consists of several properties interconnected by pedestrian bridges: the hotel, built in 1924 and closed in 2004, and its separate garage (the hotel property); a 15-story tower constructed in the early 1980s as an addition to the hotel (the tower building); and a building formerly housing a major department store, vacant since the early 1990s (the Addis building). The lender for the redevelopment and numerous mechanic's lienors dispute the priority of their respective claims to the foreclosure sale proceeds from the auction of the tower building, a matter governed by Lien Law § 22.

I.

In September 2005, defendant GML Tower, LLC (GML Tower) purchased the tower building for \$7 million, and GML Syracuse LLC (GML Syracuse) and GML Addis LLC (GML Addis) bought the other two parcels making up the hotel complex for an additional \$2.75 million. The predecessor of a now-defunct Illinois-based bank loaned the GML entities \$7 million for acquisition of these properties, as evidenced by a promissory note and secured by the purchase-money mortgage in that amount, both dated September 7, 2005. The mortgage, recorded in the Onondaga County Clerk's office on September 8, 2005, encumbered all three parcels.

On March 29, 2007, Perfect Provident Fund Ltd., the predecessor of plaintiff Altshuler Shaham Provident Funds, Ltd. (collectively, Altshuler) entered into a "Loan Agreement" (the 2007 loan agreement or the agreement) with GML Tower and its parent company, Ameris Holdings, Inc. (Ameris), whereby Altshuler agreed to loan them \$10 million, bifurcated into tranches of \$5.5 and \$4.5 million. The entire principal amount of the loan was due and payable, with accrued interest at 12% per annum, on March 29, 2010. To secure payment of the amounts owing to Altshuler under the agreement, GML Tower and Ameris undertook to grant Altshuler a "first ranking senior [l]ien, mortgage, pledge, charge and security interest" (which the agreement referred to collectively as the security interest) in, among other collateral, the property and improvements made thereon.

The loan proceeds were to be deposited in a trust account as of the date of the agreement's execution and delivery (i.e., Mar.

29, 2007), and released by the trustee on the closing date, April 30, 2007, “for immediate repayment” to the Illinois-based bank of the outstanding principal amount of the original \$7 million dollar acquisition financing (the \$5.5 million tranche); and for deposit into another dedicated bank account (the restricted account) to be “held . . . and disbursed, used and applied solely to finance” improvements of the tower building, based upon construction progress as determined by an inspector appointed by Altshuler (the \$4.5 million tranche). The 2007 loan agreement seems to have contemplated redevelopment of the tower building into residential condominiums and commercial space.¹

When the transaction did not close on April 30, 2007, Altshuler entered into a “Memorandum of Understanding” (the MOU) with GML Tower and Ameris “[i]n connection with” the agreement. The MOU, dated May 1, 2007, set closing dates for the \$5.5 million and \$4.5 million tranches of May 1 and May 15, 2007, respectively. The first of the two tranches timely closed, resulting in transfer of \$5.5 million from the trust account to the Illinois-based bank on May 2, 2007. By an “Assignment of Note and Mortgage,” executed April 19, 2007, the bank assigned the September 7, 2005 promissory note and mortgage to Altshuler. Altshuler recorded this instrument in the Onondaga County Clerk’s office on May 3, 2007, along with a “Mortgage Extension and Modification Agreement,” dated April 30, 2007, which established \$5.5 million as the maximum principal indebtedness secured by the mortgage covering the hotel complex (the 2007 mortgage).

The parties failed to close on the \$4.5 million tranche in accordance with the MOU. Instead, on six separate occasions from May 24, 2007 through February 21, 2008, the trustee released monies totaling \$2.5 million from the trust account to GML Tower, pursuant to the parties’ joint instructions and advance letters. These disbursements were personally guaranteed by Ameris’s principal.

Then on March 4, 2008, GML Tower and Ameris entered into “Amendment No. 1” (the 2008 amendment or the amendment) of the 2007 loan agreement with Altshuler. The 2008 amendment changed the improvements to be built and the terms and conditions of the release to GML Tower and Ameris of the remaining funds held in the trust account (defined as the

1. The plans for renovation, improvements and marketing of the tower building, exhibit B to the agreement, are not included in the record.

remaining loan proceeds in the principal sum of \$2 million plus accrued interest and less certain outstanding fees and expenses); and provided for the delivery of additional collateral to Altshuler as security for the \$10 million loan.² To these ends, the 2008 amendment called for construction of residential and commercial rental units in the tower building rather than condominiums; added the Addis building as collateral; and eliminated the restricted account, providing instead for the trustee to release the remaining funds to GML Tower on March 6, 2008, the new closing date, as an unrestricted lump sum. With the disbursement of these funds, the existing promissory note was canceled and replaced and restated by a replacement note (the 2008 note), the guaranties covering the \$2.5 million were rescinded, and Ameris's principal gave a new personal guaranty in the principal sum of \$250,000. Additionally, the lien of the mortgage was apparently released with respect to the hotel property owned by GML Syracuse.

Concomitantly, GML Tower and GML Addis entered into a "Mortgage Increase, Modification, and Spreader Agreement" (the 2008 mortgage) with Altshuler on March 4, 2008. The 2008 mortgage extended the reach of the 2007 mortgage to cover the Addis building in addition to the tower building, and increased the principal amount secured from \$5.5 to \$10 million. The 2008 mortgage was recorded in the Onondaga County Clerk's office on March 7, 2008. To provide Altshuler with additional collateral, GML Tower and GML Addis also executed an "Assignment of Leases and Rents" with respect to the tower and Addis buildings, dated March 4, 2008 and recorded in the Onondaga County Clerk's office on March 7, 2008 (the 2008 assignment).

On December 4, 2008, Altshuler commenced this foreclosure action against Ameris, GML Tower and GML Addis,³ and other defendants, including The Hayner Hoyt Corporation (Hayner), Syracuse Merit Electric (Merit) and the Pike Company, Inc. (Pike) (collectively, the mechanic's lienors). Hayner, Merit and

2. The 2008 amendment, a 41-page document plus annexes and exhibits, refers to the 2007 loan agreement as the "Original Loan Agreement," as "supplemented and modified" by the MOU.

3. These GML entities and Ameris eventually defaulted in this litigation, as did another defendant, Ameris's principal, who had given his personal guaranty for \$250,000 when Altshuler transferred the loan proceeds remaining in the trust account (roughly \$2 million) to GML Tower and Ameris on March 6, 2008 pursuant to the 2008 amendment.

Pike began work on the tower building on July 16, 2007, January 20, 2008 and September 4, 2007, respectively; and filed notices of mechanic's liens on October 31, 2008, December 3, 2008, and September 18, 2009, respectively. Altshuler alleged that GML Tower and Ameris were in default under the terms of the 2007 loan agreement, as modified by the 2008 amendment, and the 2008 note, and that GML Tower and GML Addis were in default under the terms of the 2008 mortgage and the 2008 assignment because mechanic's liens totaling more than \$3.755 million had been filed against the tower building, and because they failed to pay real property taxes on the tower and Addis buildings.

Altshuler sought foreclosure of both buildings and recoupment of the full amount of its \$10 million loan, together with interest and late charges, and first priority to the proceeds of the foreclosure sales of the two properties. The mechanic's lienors, for their part, moved or cross-moved for summary judgment, seeking an order that their liens were superior to the 2008 mortgage that Altshuler sought to foreclose. The mechanic's lienors also contested the priority of liens as amongst themselves.

In a decision dated May 17, 2010, Supreme Court observed that the parties acknowledged that Lien Law § 22 subordinates a building loan mortgage made pursuant to an unfiled building loan contract to subsequently filed mechanic's liens, but disputed whether the 2007 loan agreement was a building loan contract (*see* 28 Misc 3d 475, 478 [Sup Ct, Onondaga County 2010]). The judge ultimately concluded that it was: the loan agreement was made between a lender and an owner of real property; GML Tower and Ameris made an express promise to construct improvements to the property; Altshuler agreed to make periodic advances of \$4.5 million to fund these improvements; Altshuler was to be informed of construction progress; and the \$10 million loan was to be secured by a mortgage on real property, and “even label[ed] itself a ‘construction loan transaction[]’ ” (*id.* at 479-480).

The judge additionally rejected Altshuler's alternative argument that it was at least entitled to priority with respect to the \$5.5 million used to refinance the tower building's acquisition. She concluded that the entire \$10 million mortgage was subordinate to the subsequently filed mechanic's liens, relying on *Atlantic Bank of N.Y. v Forrest House Holding Co.* (234 AD2d 491, 492 [2d Dept 1996]), and declining to follow *Yankee Bank*

for *Fin. & Sav., FSB v Task Assoc., Inc.* (731 F Supp 64, 71 n 2 [ND NY 1990]).

Accordingly, Supreme Court granted Hayner’s motion and Merit’s and Pike’s cross motions to the extent they argued their mechanic’s liens were superior to Altshuler’s mortgage. The judge further agreed with Merit that its lien was superior to Hayner’s under Lien Law § 56 “because it was a subcontractor to [Hayner] as general contractor” (*id.* at 482); and turned down Pike’s argument that “its lien [was] superior to all others pursuant to section 13 [of the Lien Law] because it performed labor” (*id.*). Altshuler appealed Supreme Court’s ensuing order, entered May 20, 2010.

On April 29, 2011, the Appellate Division affirmed “for reasons stated in the decision at Supreme Court” (83 AD3d 1563, 1563 [4th Dept 2011]). The Court did not address Altshuler’s argument that the 2007 loan agreement was merely “a preliminary agreement that expired before the mortgage at issue was filed” because this contention was “raised for the first time on appeal and could have been obviated or cured by factual showings or legal countersteps in Supreme Court” (*id.* [internal quotation marks omitted]).⁴ On July 1, 2011, the same panel denied Altshuler’s motion for leave to appeal to us (86 AD3d 934 [4th Dept 2011]).

On October 26, 2011, Supreme Court issued an agreed-upon “Final Order for Judgment of Foreclosure and Sale,” which awarded Altshuler a judgment of \$10 million; dismissed Altshuler’s causes of action seeking a declaration that its mortgage enjoyed first priority; set out the priority and amounts of the mechanic’s liens; ordered sale of the tower and Addis buildings;⁵ and directed the referee to file his report afterwards. The order also stayed the foreclosure sale of the tower building pending disposition of Altshuler’s appeal. Since Altshuler contested only the priority of rights to the proceeds from the sale, however, we

4. Although not pursuing the option in this case, the Appellate Division may, in the exercise of its “interests of justice” jurisdiction, always reach an issue not preserved at Supreme Court (see *Martin v City of Cohoes*, 37 NY2d 162, 165 [1975]). The Court of Appeals, by contrast, generally lacks power to review unpreserved issues even where the Appellate Division has chosen to do so (see *Brown v City of New York*, 60 NY2d 893, 894 [1983]; see also *Hecker v State of New York*, 20 NY3d 1087, 1087 [2013]).

5. There were no mechanic’s liens filed against the Addis building, which sold at public auction on August 7, 2012 for \$200,000. Altshuler was paid \$198,750, the sale proceeds less the referee’s fee.

declined to apply the exception to the finality rule for irreparable injury, and dismissed Altshuler's appeal on February 9, 2012 (18 NY3d 892 [2012]); on May 3, 2012, we denied reargument (19 NY3d 837 [2012]). In the meantime, Supreme Court, by order signed March 29, 2012, vacated the stay of enforcement.

The tower building was sold at public auction on June 6, 2012 for \$1,396,633.82, and Supreme Court confirmed the referee's report on July 12, 2012. Hayner was the purchaser.⁶ Altshuler then again sought leave to appeal, which we granted on October 23, 2012 (19 NY3d 814 [2012]).

II.

Section 22 of the Lien Law requires that a building loan contract, with or without the sale of land and before or simultaneously with the recording of a building loan mortgage made pursuant to it, must be filed in the clerk's office of the county where land subject to the contract is located, along with a borrower's affidavit stating the consideration paid or to be paid for the loan, any expenses incurred or to be incurred in connection with the loan, and the net sum available for the construction project. Section 22 also mandates the filing of any subsequent modifications of a building loan contract within 10 days after their execution. Failure to comply with these filing requirements changes the ordinary priority of liens, with a properly filed mechanic's lien taking priority over the interests of the parties to the contract.⁷ Thus, a construction lender must

6. The tower building's sale price was just sufficient to pay Pike, to pay Hayner's subcontractors, to reimburse Altshuler for expenses incurred during the pendency of the foreclosure, and to pay the referee's expenses, with \$1,711.89 left over to refund to Hayner.

7. Section 22, in relevant part, states as follows:

"A building loan contract either with or without the sale of land, and any modification thereof, must be in writing and duly acknowledged, and must contain a true statement under oath, verified by the borrower, showing the consideration paid, or to be paid, for the loan described therein, and showing all other expenses, if any, incurred, or to be incurred in connection therewith, and the net sum available to the borrower for the improvement, and, on or before the date of recording the building loan mortgage made pursuant thereto, to be filed in the office of the clerk of the county in which any part of the land is situated, except that any subsequent modification of any such building loan contract so filed must be filed within ten days after the execution of any such modification. . . . *If not so filed the interest of each party to such contract in the real property affected thereby, is subject to the*

(n. cont'd)

file the building loan contract in order to achieve lien priority, or, put the opposite way, the statute imposes a so-called “subordination penalty” on a lender who does not do this. We have said that the legislature enacted section 22 to permit contractors on construction projects “to learn exactly what sum the loan in fact made available to the owner of the real estate for the project” (*Nanuet Natl. Bank v Eckerson Terrace*, 47 NY2d 243, 247 [1979] [holding that section 22 subjects a lender’s interest to the subordination penalty when the lender knowingly files a materially false borrower’s statement]).

Section 2 (13) of the Lien Law, defines a “building loan contract” as

“a contract whereby a . . . ‘lender,’ in consideration of the express promise of an owner to make an improvement^[8] upon real property, agrees to make advances to or for the account of such owner to be secured by a mortgage on such real property, whether such advances represent moneys to be loaned or represent moneys to be paid.”

And a “building loan mortgage” is “a mortgage made pursuant to a building loan contract . . . includ[ing] an agreement wherein and whereby a building loan mortgage is consolidated with existing mortgages so as to constitute one lien upon the mortgaged property” (Lien Law § 2 [14]).

[1] The 2007 loan agreement is a building loan contract as defined under section 2 (13) of the Lien Law: the agreement called for transfer of \$4.5 of the \$10 million deposited by Altshuler into the trust account to a dedicated bank account of GML Tower/Ameris (the restricted account), to be “released if, when and as required to finance and pay [for] the construction of” the improvements to the tower building, “subject to the terms and conditions of” the construction plans, and these loan proceeds were to be secured by a mortgage. Because the 2007 loan agreement was a building loan contract, Lien Law § 22 obligated Altshuler to file the agreement in the Onondaga County

lien and claim of a person who shall thereafter file a notice of lien under [the Lien Law]” (emphasis added).

8. Section 2 (4) of the Lien Law defines “improvement” to include, among other things,

“the demolition, erection, alteration or repair of any structure upon, connected with, or beneath the surface of, any real property and any work done upon such property or materials furnished for its permanent improvement.”

Clerk's office prior to the recording of any mortgage made pursuant thereto, or suffer loss of lien priority. Altshuler never filed the 2007 loan agreement; it recorded the 2007 mortgage on May 3, 2007.

Altshuler counters that the 2007 mortgage was not recorded "pursuant []to" the 2007 loan agreement as required by Lien Law § 22; however, the recorded mortgage states that it is "to secure . . . payment and/or performance of all indebtedness and obligations of [GML Tower] and/or Ameris described in the [2007 loan agreement]." Additionally, the 2007 loan agreement directed that Altshuler's security interest in the property be "perfected and duly recorded" in Onondaga County, and the agreement defined a security interest to include a mortgage. In short, the 2007 mortgage was made pursuant to the unfiled agreement.

[2] Next, the 2008 amendment is explicitly labeled an "amendment" to the 2007 loan agreement, designed to "amend the terms and conditions for release of the [r]emaining [f]unds" to GML Tower and Ameris, and to "revise" the improvement plans in the agreement to fit the new plan to construct rental apartments rather than condominiums. In fact, the 2008 amendment is not a stand-alone document; it is essentially a compilation of edits of various provisions in the 2007 loan agreement, and must be read together with that earlier document in order to be intelligible. Altshuler never filed the 2008 amendment. This was another violation of section 22, which specifies that modifications of building loan contracts must be filed.

Altshuler contends, though, that assuming the 2007 loan agreement is a building loan contract (and we have now held that it is), the 2008 amendment converted the agreement into a standard loan contract, and the 2008 mortgage was recorded pursuant to the amendment, not the agreement. But even if Altshuler is correct that the 2007 loan agreement, as modified by the 2008 amendment, was no longer a building loan contract as defined by Lien Law § 2 (13)—a question we need not and do not decide—it does not follow that Altshuler was relieved of the obligation to file the amendment. Lien Law § 22 does not state that modifications to a building loan contract must be filed *only* so long as the contract, as modified, remains a building loan contract within the meaning of the Lien Law. This makes sense, given that the reason for public filing is to allow any interested contractors, subcontractors and material suppliers to discover the level of financing available for construction so that they

might guide their actions accordingly (see *Nanuet*, 47 NY2d at 247). Further, if the 2007 loan agreement had been filed, as it should have been, Altshuler’s failure to file the 2008 amendment clearly would have violated the statute.⁹ Altshuler should not benefit from an earlier violation of the law.

III.

Finally, we consider whether Altshuler is entitled to priority with respect to the \$5.5 million of the loan proceeds used to refinance the existing mortgage, which covered the tower building, the Addis building, and the hotel property. Before this litigation, the *Atlantic Bank* and *Yankee Bank* courts considered whether a subordination penalty applies to funds loaned in a building loan contract for financing the purchase of the property on which the improvements are to be made. They reached opposite conclusions.

9. Although section 22 states that “any subsequent modification” (emphasis added) to a building loan contract must be filed, this language, which also appeared in section 22’s predecessor statute, former Mechanics’ Lien Law § 21, has always been interpreted to mean any “material” subsequent modification (see *Pennsylvania Steel Co. v Title Guar. & Trust Co.*, 193 NY 37, 42 [1908], *rearg denied* 193 NY 682 [1908]). The Appellate Divisions have set out a test for determining when a modification qualifies as material (see *HNC Realty Co. v Bay View Towers Apts.*, 64 AD2d 417, 426 [2d Dept 1978] [“a modification of a building loan contract is ‘material’ if it (1) alters the rights and liabilities otherwise existing between the parties to the agreement or (2) enlarges, restricts or impairs the rights of any third-party beneficiary”]; *Howard Sav. Bank v Lefcon Partnership*, 209 AD2d 473, 475 [2d Dept 1994] [same]). In the absence of precedent from our court, the federal courts have applied the *HNC Realty* test (see *Yankee Bank*, 731 F Supp at 70 [holding that unfiled modification was material because it restricted or impaired the rights of a third-party beneficiary]; *In re Lynch III Props. Corp.*, 125 BR 857, 861 [Bankr ED NY 1991] [holding that the unfiled modification was “not a material modification . . . within the meaning of section 22 of the New York Lien Law” because “(t)he rights of the mechanics’ lienors, even if they would be third-party beneficiaries, have not been restricted or impaired and they retain all of the rights that exist under the filed Building Loan Agreements”]; *but see In re Admiral’s Walk, Inc.*, 134 BR 105, 121 [Bankr WD NY 1991] [criticizing *HNC Realty*, and suggesting that the underlying facts in cases considering the materiality of a modification have never shown that “alteration of rights as between the lender and borrower is . . . alone sufficient to warrant subordination—there must also be some element of impairment of rights of section 22 beneficiaries in order that a modification be so ‘material’ or ‘essential’ as to warrant its filing, on penalty of subordination”]).

We do not need to address the proper test for materiality on this appeal. By arguing that the 2008 amendment transformed the fundamental character of the 2007 loan agreement, Altshuler effectively concedes that the amendment worked a material modification under any conceivable test.

In *Atlantic Bank*, a foreclosure action, the plaintiff bank sought summary judgment against the mechanic's lienor defendants on the ground that its recorded mortgage had priority, at least to the extent of the \$2.2 million loan given by it to the borrower for land acquisition. Applying a liberal interpretation, the Appellate Division took inclusion of the phrase "either with or without the sale of land" in section 22 to "impl[y] that if a lender fails to comply with the requirements of the Lien Law, *its entire mortgage, including that part securing loan proceeds advanced for the purchase of the property*, would become subordinate to any subsequently filed mechanic's liens" (234 AD2d at 492 [emphasis added]).

Yankee Bank was a foreclosure action that was removed to federal court when the Federal Home Loan Bank Board found the plaintiff bank to be insolvent and appointed the Federal Deposit Insurance Corporation (FDIC) as receiver. The FDIC was consequently effectively substituted for the bank as plaintiff. The subject of the litigation was another building in Syracuse, New York, and the issue before the District Court Judge was the priority of rights to the foreclosure sale proceeds as between the FDIC and the mechanic's lienor defendants.

The Judge first decided that New York law supplied the rule of decision. In this particular case, the building loan contract between the bank and the developers allowed the bank to advance up to \$610,000 for the acquisition of the building, and provided that no additional funds would be released until the developers obtained a surety payment bond. The bank, however, advanced funds beyond \$610,000 without the required bond being in place. The mechanic's lienor defendants argued that this was an unfiled modification of the contract in violation of Lien Law § 22. The Judge agreed, and so held that the bank's mortgage would be subordinated to the defendants' interests. He then turned his attention to the question of the degree of subordination.

The building loan contract apparently earmarked this first advance of \$610,000 for acquisition of the building, and the parties do not seem to have disputed that money loaned for this purpose was not subject to the subordination penalty. In this regard, the Judge observed that

"[b]y definition a 'building loan contract' and 'building loan mortgage' only operate with respect to money lent for *improvements* on real property.

Therefore, the proceeds from the loan which were lent for the purchase of the property are not subject to the subordination penalty of Lien Law § 22” (731 F Supp at 71 n 2 [citation omitted]).

In fact, though, the amount of the loan proceeds expended to buy the building was only approximately \$250,000. As a result, the dispute between the FDIC and the mechanic’s lienor defendants centered on whether the FDIC had a first priority lien in the foreclosure sale proceeds for \$610,000, or the lesser amount actually expended toward purchase of the building. The Judge ruled that the FDIC would enjoy first priority in an amount equivalent to what was actually spent (to be determined by the magistrate)¹⁰ rather than the full \$610,000 in the first advance, and the mechanic’s lienor defendants would be paid any foreclosure sale proceeds beyond this amount.

[3] This result is consistent with the language of Lien Law §§ 22 and 2 (3), (13) and (14), and does not contravene the statute’s purpose, to give contractors and material suppliers notice of how much money a building loan makes available for construction. Section 22 does not state that the *entire* interest of each party to an unfiled building loan contract is subject to a later-filed notice of lien, and we do not infer such a limitation from the phrase “either with or without the sale of land,” as did the *Atlantic Bank* court. As the *Yankee Bank* court pointed out, the subordination penalty logically applies only to funds loaned to pay for improvements. Here, the 2007 loan agreement

10. The dissent opines that the subordination penalty will “likely . . . prove difficult to enforce” if loan proceeds for property acquisition are excluded from its scope, commenting that “it may be difficult to discern precisely what proportion of a loan was earmarked for acquisition expenses and what portion was actually expended for that purpose,” pointing to the referral to the magistrate in *Yankee Bank* as an example (dissenting op at 372). First, there does not seem to have been much dispute in *Yankee Bank* over how much of the loan was actually applied to the building’s purchase price (there was a deed filed in the county clerk’s office, after all). Rather, the record was apparently incomplete on this score because the magistrate had concluded that the rights of the mechanic’s lienor defendants were to be determined with reference to the amount committed by the loan agreement toward acquisition rather than the amount actually spent for that purpose. In this case there is no difference between the amount of the loan “earmarked” and “actually expended” to refinance the loan made to acquire the three properties making up the hotel complex—i.e., \$5.5 million. This is probably by far the more common situation. In any event, given that the amount “earmarked” and the amount “actually expended” are identical in this case, we need not resolve and express no opinion as to which would be properly excluded from the scope of the subordination penalty in a case, like *Yankee Bank*, where there is a difference.

allocated \$5.5 million of the loan proceeds to pay off the existing purchase-money mortgage. This tranche closed before any monies were advanced for construction, and the 2007 mortgage in this amount was recorded before any contractor began work on the project. The 2008 mortgage, which Altshuler foreclosed in this litigation, simply extended the reach of and increased the principal amount secured by the 2007 mortgage. We therefore conclude that \$5.5 million of the loan proceeds, secured by the 2007 and 2008 mortgages, was not subject to the subordination penalty.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be modified, without costs, in accordance with this opinion and, as so modified, affirmed.

GRAFFEO, J. (concurring in part and dissenting in part). I join that part of the majority opinion determining that the 2007 Loan Agreement was a building loan contract within the meaning of Lien Law § 22. However, because I read the plain language of the subordination penalty in this statute to apply to the lender's "interest . . . in the real property"—the total mortgage and not just the portion attributable to construction funds—I respectfully dissent from the majority's conclusion that \$5.5 million of the loan proceeds was not subject to the subordination penalty.

As the majority explains, Lien Law § 22 establishes a recording requirement relating to a "building loan contract" as follows:

"A building loan contract either with or without the sale of land, and any modification thereof, must be in writing and duly acknowledged, and must contain a true statement under oath, verified by the borrower, showing the consideration paid, or to be paid, for the loan described therein, and showing all other expenses, if any, incurred, or to be incurred in connection therewith, and the net sum available to the borrower for the improvement, and, on or before the date of recording the building loan mortgage made pursuant thereto, to be filed in the office of the clerk of the county in which any part of the land is situated, except that any subsequent modification of any such building loan contract so filed must be filed within ten days after the execution of any such modification" (emphasis added).

As a consequence of the failure to comply with the recording requirement, Lien Law § 22 imposes what has come to be known as the subordination penalty, providing that if the building loan contract is “not so filed the interest of each party to such contract in the real property affected thereby, is subject to the lien and claim of a person who shall thereafter file a notice of lien under this chapter.” In other words, even though a lender’s mortgage might have been recorded first, if it was issued pursuant to a building loan contract that was not properly recorded, the lender’s mortgage loses its first-in-time priority and becomes subordinate to subsequently-recorded mechanic’s liens.

The recording requirement is intended to benefit contractors, laborers and material suppliers who work on construction projects. Its purpose is “to readily enable a contractor to learn exactly what sum the loan in fact made available to the owner of the real estate for the project” (*Nanuet Natl. Bank v Eckerson Terrace*, 47 NY2d 243, 247 [1979] [inclusion of false information in building loan contract that was recorded triggered subordination penalty]; see also *Howard Sav. Bank v Lefcon Partnership*, 209 AD2d 473, 476 [2d Dept 1994], *lv dismissed* 86 NY2d 837 [1995]), and to preclude lenders and owners from entering into “secret agreements” in that regard.

Plaintiff lender argues—and the majority accepts—that Lien Law § 22 does not require that the subordination penalty apply to the entire mortgage but covers only the portion relating to the advancement of construction funds. It further asserts that, since the purpose of the statute is to protect contractors, laborers and material suppliers, it makes no sense to preclude a lender from claiming priority with respect to the portion of the loan that had nothing to do with construction but related to the initial acquisition of the property. In my view, this argument should be rejected because the plain language of the statute directs that the full mortgage interest—not just the part securing the funds used for construction purposes—is subject to the subordination penalty, as two New York courts had held before the Appellate Division reached the same conclusion in this case (see *Atlantic Bank of N.Y. v Forrest House Holding Co.*, 234 AD2d 491 [2d Dept 1996]; *HNC Realty Co. v Golan Hgts. Devs.*, 79 Misc 2d 696 [Sup Ct 1974]).

Critically, Lien Law § 22 begins by indicating that the statute applies to “[a] building loan contract *either with or without the sale of land*,” thereby contemplating building loan agreements in which money is loaned both to purchase the property and

construct improvements. Thus, just because some of the funds disbursed relate to the acquisition of the real property to be improved (or, in this case, the refinance of a mortgage previously used to acquire the real property to be improved), this does not prevent a loan agreement that otherwise meets the building loan contract criteria from being subject to the recording rule (as the majority also concludes). It is therefore clear that the legislature understood that there would be contracts like the one here where acquisition funds and construction monies would be addressed in a single loan secured by a mortgage. Nonetheless the subordination penalty that appears later in the statute does not include any language indicating an intent to exclude that portion of a mortgage securing acquisition funds from its scope. Rather, it provides, in broad terms, that “*the interest of each party to such contract in the real property affected thereby*, is subject to the lien and claim of a person” who later files a mechanic’s lien (Lien Law § 22 [emphasis added]). It is the “interest” of the lender “in the real property” that is subordinated to later-filed mechanic’s liens—and the lender’s interest in the real property is reflected in the entire mortgage, not merely a portion of it. As the Appellate Division explained in *Atlantic Bank*,

“if a lender fails to comply with the requirements of the Lien Law, its entire mortgage, including that part securing loan proceeds advanced for the purchase of the property, would become subordinate to any subsequently filed mechanic’s liens. This interpretation is consistent with the overriding concern that the lender is the party responsible for compliance and that the threat of the loss of priority is an effective deterrent against a lender shirking this responsibility . . . To the extent that this outcome may be harsh, it must be understood that we are here dealing not with equitable redress, but with a statutorily imposed penalty” (*Atlantic Bank*, 234 AD2d at 492 [internal quotation marks and citation omitted]).

In arguing to the contrary, the lender relies on *Yankee Bank for Fin. & Sav., FSB v Task Assoc., Inc.* (731 F Supp 64 [ND NY 1990]), a federal district court decision that was issued before the Appellate Division decided *Atlantic Bank*. Although the majority finds this case to be persuasive, I believe that reliance is misplaced. First, as the majority acknowledges, in *Yankee*

Bank neither party asserted that funds used for acquisition of the building were subject to the subordination penalty so the court was not confronted with the precise issue presented here. Second, without addressing the plain language in the subordination penalty, the District Court held in summary fashion that the lender retained its first priority interest in the foreclosure sale proceeds “only up to that amount actually expended toward the purchase of the . . . building,” with the remainder of its interest subordinated to the mechanic’s lienors (731 F Supp at 71-72). It is evident from a footnote that, rather than interpreting the subordination penalty itself, the court considered only the definitions of “building loan contract” and “building loan mortgage.” Noting (erroneously, in my view) that these definitions relate only to monies advanced for improvements on property, the court reasoned that “the proceeds from the loan which were lent for the purchase of the property [were] not subject to the subordination penalty” (731 F Supp at 71 n 2). But I believe that the Lien Law takes a more encompassing view. Section 22 makes clear that the subordination penalty applies to a building loan contract, regardless of whether it involves the sale of land, and then indicates it is the lender’s *interest in the real property* that is subordinated. The lender’s interest in the property is the total mortgage, not just the portion that correlates to the loan of construction funds. I therefore prefer the better-reasoned New York precedent.

Since the statutory language warrants a finding that the entire mortgage is subordinated when a building loan contract is not recorded, both Supreme Court and the Appellate Division properly concluded in this case that the lender’s \$10 million mortgage was subordinate to the mechanic’s liens. Although this appears to wipe out any recovery for the lender, the legislature adopted this statutory penalty to dissuade lenders from engaging in the very conduct that occurred here: failing to comply with the building loan contract recording requirement. Here, none of the agreements relating to this loan were recorded: not the Loan Agreement, the Memorandum of Understanding nor Amendment No. 1, which was executed contemporaneously with the 2008 mortgage. And timely filing of documents and amendments is particularly necessary in cases such as this where aspects of the loan fail to close on time and material terms are amended while the project is ongoing—facts that can raise red flags to interested contractors, laborers and material suppliers if revealed.

I believe that the rule the majority has fashioned is antithetical to the purpose of the penalty and is likely to prove difficult to enforce. The subordination penalty is triggered when a lender fails to record a building loan contract or amendments thereto, or when information in filed agreements proves to be false. The burden it imposes on lenders is minimal—the statutory requirement is met merely by filing the pertinent documents in the county clerk's office. One of the purposes behind the recording requirement is to make future contractors, laborers and material suppliers aware of the funds available for construction so that, prior to working on a project, they can make knowledgeable decisions concerning the amount of labor or materials to expend and the type of payment and security terms to demand. When acquisition funds are part of the loan, this necessarily diminishes the amount available to fund improvements on the real property. But if contractors are unaware of the extent to which the loan covers acquisition costs due to the failure to file a building loan contract, they may expend more labor and materials, and on different terms, than would have been the case had they been provided with the accurate information that the statute requires.

Moreover, if documents are not timely filed prior to the recording of the mortgage, resulting in the terms of the loan not being reflected in the public record, courts will be left to reconstruct the loan agreement between the lender and the building owner after the fact during a foreclosure action or other litigation when there may be disputes concerning the scope of the contract and the intent and effect of various written and oral modifications. This problem is apparent here where the lender's view concerning the terms of the arrangement—whether certain documents were superceded or remained in effect—has evolved over the course of litigation and where the defaulting borrower did not participate and clarify the record. The bottom line is that, after a deal has gone south, it may be difficult to discern precisely what proportion of a loan was earmarked for acquisition expenses and what portion was actually expended for that purpose (a dispute of that kind apparently arose in *Yankee Bank*)—and the courts, as well as the contractors, laborers and material suppliers will be at the mercy of the parties to the loan to resolve the controversy. Timely recording of the proper documents when the loan occurs and prior to the filing of the mortgage obviates this problem. Of course, the subordination penalty will only come into play when that

has not happened and I fear that the rule the majority adopts today will add to the confusion.

For all of these reasons, I conclude that the majority's bifurcation rule unnecessarily complicates the application of the subordination penalty which, as constructed by the legislature, should be straightforward and require nothing more than giving the lender's mortgage the priority it would have had if it had been recorded after the mechanic's liens. The legislature appears to have made a considered decision that as between the lender, who could have protected its investment in full merely by timely recording its documents, and the contractors, laborers and material suppliers, who were inappropriately kept in the dark, it is the lender who should bear the loss. It is not for the courts to disturb that decision by creating a limitation on the subordination penalty that does not appear anywhere in the statute. Because the majority does so, I respectfully dissent from the majority's opinion to the extent that it holds that \$5.5 million of the loan proceeds was not subject to the subordination penalty.

Chief Judge LIPPMAN and Judges SMITH, PIGOTT and RIVERA concur with Judge READ; Judge GRAFFEO dissents in part in an opinion; Judge ABDUS-SALAAM taking no part.

Judgment appealed from and order of the Appellate Division brought up for review modified, without costs, in accordance with the opinion herein and, as so modified, affirmed.

[993 NE2d 1257, 971 NYS2d 237]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JEAN CANTAVE, Appellant.

Argued May 29, 2013; decided June 25, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 6, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Michael B. Aloise, J.), which had convicted defendant, upon a jury verdict, of assault in the third degree.

People v Cantave, 93 AD3d 677, reversed.

HEADNOTES**Crimes — Appeal — Preservation of Issue for Review**

1. Defendant's objection to the trial court's *Sandoval* ruling permitting the People to cross-examine defendant during his assault trial about his recent rape conviction, which was still pending on direct appeal at the time, was preserved for appellate review. To preserve an issue for review, counsel must register an objection and apprise the court of grounds upon which the objection is based "at the time" of the allegedly erroneous ruling "or at any subsequent time when the court had an opportunity of effectively changing the same" (CPL 470.05 [2]). After the defense rested but before either side presented closing remarks, defense counsel asked the court to reconsider its *Sandoval* ruling, specifically informing the court that the rape conviction was then "under appeal," and asserting that defendant's Fifth Amendment privilege against self-incrimination should preclude cross-examination about it. That objection was lodged at a time when the court had the "opportunity of effectively changing" its ruling since neither side had yet presented closing remarks and the jury had not yet commenced deliberations.

Crimes — Defendant as Witness — Impeachment — Unrelated Criminal Conviction on Appeal

2. The prosecution may not cross-examine a criminal defendant about the underlying facts of an unrelated criminal conviction on appeal, for the purpose of impeaching his credibility. Accordingly, the trial court's *Sandoval* ruling permitting the People to cross-examine defendant during his assault trial about his recent rape conviction, which was still pending on direct appeal, violated the defendant's privilege against self-incrimination with respect to the admission of the underlying facts of the rape conviction. Being questioned about the facts underlying a previous conviction while it is pending appeal would unduly compromise the defendant's right to testify with respect to the case on trial and simultaneously jeopardize the correspondingly important right not to incriminate oneself as to the pending matter. The practical effect of the trial court's *Sandoval* ruling was to prevent defendant's testimony entirely, as the assertion by defendant of his Fifth Amendment privilege in re-

sponse to questions about the underlying rape conviction would have been highly prejudicial as to both the assault prosecution and the rape conviction pending appeal.

**Crimes — Evidence — Tape Recordings — 911 Emergency Call —
Excited Utterance**

3. In the prosecution of defendant for assaulting a neighbor and acquaintance whom defendant claimed was the initial aggressor and had hit defendant in the face with a gun, the trial court did not abuse its discretion by excluding defendant's 911 call, which recorded defendant seeking police assistance and reporting an attack by a man with a gun who was still at the scene, because neither the tenor nor timing of the call served to qualify it as an excited utterance. The excited utterance hearsay exception applies when the declarant is exposed to a startling or upsetting event that is sufficiently powerful to render the declarant's normal reflective power inoperative. While somewhat agitated on the call, defendant's voice did not evidence an inability to reflect upon the events. It was somewhat suspect that defendant failed to report the names of his victim and the victim's wife to the 911 operator, since he knew them well. Additionally, despite claiming to have been assaulted, defendant did not complain of an injury or request an ambulance until questioned by the 911 operator. Defendant's statements on the recording could have reflected an evolving fabrication prompted by the operator's questioning. Defendant's failure to mention that he had bit off a part of the victim's ear and injured his finger was evidence that defendant had the opportunity, and likely the intent, to distort the facts. Moreover, defendant's medical records refuted any claim that defendant was injured in a way that would detract from his ability to reflect upon events.

**Crimes — Evidence — Tape Recordings — 911 Emergency Call —
Present Sense Impression**

4. In the prosecution of defendant for assaulting a neighbor and acquaintance whom defendant claimed was the initial aggressor and had hit defendant in the face with a gun, the trial court did not abuse its discretion by excluding defendant's 911 call, which recorded defendant seeking police assistance and reporting an attack by a man with a gun who was still at the scene, because neither the tenor nor timing of the call served to qualify it as a present sense impression. To qualify as a present sense impression, the out-of-court statement must be made by a person perceiving the event as it is unfolding or immediately afterward, and corroborated by independent evidence establishing the reliability of the contents of the statement. There was no evidence to show that defendant's statements were made spontaneously and contemporaneously with the events described, nor was defendant's description of what happened corroborated by other evidence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 409, 413, 418, 422, 423, 878, 879, 896.

CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:18–193:20; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:80, 194:82, 194:105, 194:106; CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:145–195:147,

195:152, 195:160–195:165; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:33.

McKINNEY'S, CPL 470.05 (2).

NY JUR 2d, Criminal Law: Procedure §§ 894, 2025, 2028, 2118, 2120, 2340–2342, 2356, 2360, 3462, 3637, 3640.

ANNOTATION REFERENCE

When is a hearsay statement made to 911 operator admissible as “excited utterance” under Uniform Rule of Evidence 803 (2) or similar state rule. 7 ALR6th 233.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (*De Nice Powell* of counsel), for appellant. I. The court violated appellant’s Fifth Amendment privilege against self-incrimination and due process right to testify at his trial when it granted the People’s request to cross-examine him about the underlying facts of a conviction that was then pending on direct appeal. (*People v Betts*, 70 NY2d 289; *Rock v Arkansas*, 483 US 44; *Spradling v Texas*, 455 US 971; *Chambers v Mississippi*, 410 US 284; *Brooks v Tennessee*, 406 US 605; *Jones v Barnes*, 463 US 745; *Culombe v Connecticut*, 367 US 568; *Lefkowitz v Turlay*, 414 US 70; *Grunewald v United States*, 353 US 391; *Estelle v Smith*, 451 US 454.) II. The court erred when it refused to admit appellant’s 911 call into evidence as an excited utterance or present sense impression when he made the call immediately after the complainant confronted and attacked him with a gun, while the complainant remained at the scene. (*People v Vasquez*, 88 NY2d 561; *People v Nieves*, 67 NY2d 125; *People v Johnson*, 1 NY3d 302; *People v Brown*, 70 NY2d 513; *People v Caviness*, 38 NY2d 227; *People v Marks*, 6 NY2d 67; *People v Cotto*, 92 NY2d 68; *People v Edwards*, 47 NY2d 493; *People v Brooks*, 71 NY2d 877; *People v Perez*, 221 AD2d 169.)

Richard A. Brown, District Attorney, Kew Gardens (*William H. Branigan, Robert J. Masters and John M. Castellano* of counsel), for respondent. I. Defendant failed to preserve his claim that the trial court’s *Sandoval* ruling was improper. In any event, the trial court acted consistent with precedent from

this Court, the federal courts, and the majority of other jurisdictions in permitting questions about defendant's prior conviction that was pending appeal. (*People v Brady*, 97 NY2d 233; *People v Betts*, 70 NY2d 289; *Ottomano v United States*, 468 F2d 269; *People v Sandoval*, 34 NY2d 371; *People v Walker*, 83 NY2d 455; *People v Bonaparte*, 78 NY2d 26; *People v Whipple*, 97 NY2d 1; *People v Mackey*, 49 NY2d 274; *People v Shields*, 46 NY2d 764.) II. The court properly excluded the recording of defendant's call to 911. (*People v Melendez*, 296 AD2d 424; *People v Marks*, 6 NY2d 67; *People v Vasquez*, 88 NY2d 561; *People v Brown*, 70 NY2d 513; *People v Edwards*, 47 NY2d 493; *People v Cotto*, 92 NY2d 68; *People v Sostre*, 51 NY2d 958; *People v Johnson*, 1 NY3d 302; *People v Kello*, 96 NY2d 740; *People v Paige*, 283 AD2d 445.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue presented by this appeal is whether the court violated defendant's Fifth Amendment privilege against self-incrimination when it granted the People's request to cross-examine him about the underlying facts of a rape conviction that was then on direct appeal. For the reasons discussed below, we hold that a defendant with a conviction pending appeal may not be cross-examined in another matter about the underlying facts of that conviction until direct appeal has been exhausted.

Defendant was charged with second-degree and third-degree assault as a result of a confrontation outside his place of business at which only defendant, complainant Andre Elbresius, and Elbresius's wife were present. Defendant and Elbresius were neighbors and acquaintances. A few hours before their altercation, Elbresius had given defendant a ride in his car, and they had argued about defendant's unauthorized use of Elbresius's spare license plate. The argument escalated to a confrontation at defendant's place of business. Elbresius claimed that defendant was the sole aggressor, pushing and biting Elbresius on his finger and ear, for which he required surgery. Defendant claimed that Elbresius was the initial aggressor and hit defendant in the face with a gun, which he reported to a 911 emergency operator.

At trial, the defense was justification and defendant planned to testify, but the People received permission, after a *Sandoval* hearing, to cross-examine him about his recent rape conviction, still pending on direct appeal, as well as the underlying facts,

and the sentence he received. After the defense rested, defense counsel asked the court to reconsider the *Sandoval* ruling, objecting that an appeal of the rape conviction was pending and, therefore, cross-examination about the conviction and its underlying facts would violate defendant's constitutional privilege against self-incrimination, but the court adhered to its ruling. Defendant did not testify and was convicted of third-degree assault. Subsequently, his conviction for rape was reversed for ineffective assistance of counsel, his prior attorney having failed to impeach the complainant with exculpatory hospital records (*People v Cantave*, 83 AD3d 857 [2d Dept 2011], *lv denied* 17 NY3d 857 [2011]). Defendant was retried and acquitted.

Defense counsel also sought to admit defendant's 911 call, which recorded defendant seeking police assistance and reporting an attack by a man with a gun who was still at the scene. Counsel argued that the call should be admitted under either the excited utterance or present sense impression exception to the hearsay rule. Although the court acknowledged that of the two theories of admission, present sense impression would be the hearsay exception that would allow the call to be admitted, the court excluded the call, finding that defendant "had sufficient time to think about what he was going to say to 911."

The Appellate Division affirmed (93 AD3d 677 [2d Dept 2012]), finding the *Sandoval* issue unpreserved, and in any event found that the admission of the underlying facts of defendant's rape conviction was not an abuse of discretion. The court also held the 911 call properly excluded, finding it neither an excited utterance nor a present sense impression. A Judge of this Court granted leave to appeal (19 NY3d 958 [2012]), and we now reverse.

I.

[1] As a threshold matter, we find the *Sandoval* issue preserved. To preserve an issue for review, counsel must register an objection and apprise the court of grounds upon which the objection is based "at the time" of the allegedly erroneous ruling "or at any subsequent time when the court had an opportunity of effectively changing the same" (CPL 470.05 [2]). After the defense rested but before either side presented closing remarks, defense counsel asked the court to reconsider its *Sandoval* ruling, specifically informing the court that the rape conviction was then "under appeal," and asserting that defendant's Fifth Amendment privilege against self-incrimination

should preclude cross-examination about it. This objection was lodged at a time when the court had the “opportunity of effectively changing” its ruling (CPL 470.05 [2]), since neither side had yet presented closing remarks and the jury had not yet commenced deliberations (*People v Olsen*, 34 NY2d 349, 353 [1974] [court has power to alter order of proof and, concomitantly, reopen the proof, at least until the jury commences deliberations]; CPL 260.30). Therefore, we may review the *Sandoval* issue on the merits.

II.

The privilege against self-incrimination, which “must be accorded liberal construction in favor” of the protection it affords the accused (*Hoffman v United States*, 341 US 479, 486 [1951]), allows him to not answer “official questions put to him in any . . . proceeding, civil or criminal, formal or informal, where the answers might incriminate him in future criminal proceedings” (*Lefkowitz v Turley*, 414 US 70, 77 [1973]). A defendant who elects to testify places his credibility at issue and may generally be cross-examined about past criminal or immoral acts that bear upon his credibility, veracity, or honesty (*People v Bennett*, 79 NY2d 464, 468 [1992]), but he does not automatically waive the constitutional protection against cross-examination regarding pending criminal charges (*People v Betts*, 70 NY2d 289, 292 [1987]).

[2] In *Betts*, defense counsel objected to cross-examination about a pending, unrelated charge, asserting that, if questioned about it, Mr. Betts would invoke his Fifth Amendment privilege against self-incrimination. The trial court, however, allowed the cross-examination and ruled that Mr. Betts would not be permitted to assert his Fifth Amendment right (*Betts*, 70 NY2d at 291-292). We reversed the judgment and ordered a new trial and held that the prosecution may not cross-examine a defendant about a pending, unrelated criminal matter for the purpose of impeaching his credibility (*id.* at 295). We stated,

“Allowing a defendant-witness’ credibility to be assailed through the use of cross-examination concerning an unrelated pending criminal charge unduly compromises the defendant’s right to testify with respect to the case on trial, while simultaneously jeopardizing the correspondingly important right not to incriminate oneself as to the pending matter.” (*Id.*)

Defendant urges us to extend the *Betts* holding to apply not only to a pending criminal charge, but also to facts underlying a conviction pending appeal.¹ We are persuaded that the same concerns that animated *Betts* apply here. When tried in the instant case, defendant had been convicted of rape, but he was pursuing a direct appeal, as of right, of that conviction. Thus, he remained at risk of self-incrimination until he exhausted his right to appeal (*cf. Mitchell v United States*, 526 US 314, 326 [1999] [“If no adverse consequences can be visited upon the convicted person by reason of further testimony, then there is no further incrimination to be feared”]). If defendant testified in the instant case, any testimony elicited on cross-examination about the rape case could later be used against him at a new trial, which is “further incrimination to be feared” (*Mitchell*, 526 US at 326).²

Although the record is sparse on the issue, in ruling that the prosecution could cross-examine defendant about the underlying facts of his rape conviction, presumably the court was not implying that defendant could not assert his Fifth Amendment privilege in response to those questions. However, “taking the Fifth” is highly prejudicial as to both the instant case and the conviction pending appeal. To a jury, it appears as though defendant is admitting the truth of the leading questions posed by the prosecutor; “[i]t exerts an undeniable chilling effect upon a real ‘choice’ whether to testify in one’s own behalf” (*Betts*, 70 NY2d at 292). More problematic, defendant must invoke the Fifth Amendment as to both exculpatory and inculpatory questions to protect himself; otherwise he might waive the privilege (*Brown v United States*, 356 US 148, 156 [1958]; *see also People v Bagby*, 65 NY2d 410, 414 [1985] [“(A) witness who foregoes

1. We have extended the *Betts* ruling before. In *People v Smith* (87 NY2d 715 [1996]), in the context of grand jury testimony, we emphasized that allowing questioning about an unrelated pending criminal matter has an impermissible “chilling effect” on the accused’s “significant” and “valued” statutory right to testify, which must be “scrupulously protected.” We held in *Smith* that when a defendant testifies before a grand jury, the prosecution may not cross-examine him about a pending, unrelated criminal matter in order to assail his credibility (87 NY2d at 720-721).

2. In that regard, this case is distinguishable from *People v Brady* (97 NY2d 233 [2002]), in which we upheld a *Sandoval* ruling permitting cross-examination of a defendant about a prior, unrelated crime to which he waived his Fifth Amendment right and pleaded guilty 18 months earlier. During the plea colloquy, Brady waived his right to appeal, and for the subsequent 18 months his plea was undisturbed and unchallenged (*id.* at 235-237). Thus, unlike this case, the defendant in *Brady* had no fear of exposure from the prosecution’s use of his testimony.

the protection of the constitutional privilege against self-incrimination by giving testimony to his advantage . . . cannot in the same proceeding assert the privilege and refuse to answer questions that are to his disadvantage” (citing *People v Cassidy*, 213 NY 388, 394 [1915])). The risk of this cross-examination would place defendant in a similar quandary to that faced by Mr. Betts. Being questioned about the facts underlying the previous conviction while it is pending appeal “unduly compromises the defendant’s right to testify with respect to the case on trial, while simultaneously jeopardizing the correspondingly important right not to incriminate oneself as to the pending matter” (*Betts*, 70 NY2d at 295). The practical effect of the court’s *Sandoval* ruling was to prevent defendant’s testimony entirely.³

We hold that the prosecution may not cross-examine a defendant about the underlying facts of an unrelated criminal conviction on appeal, for the purpose of impeaching his credibility. The trial court’s ruling violated the defendant’s privilege against self-incrimination with respect to the admission of the underlying facts of the rape conviction.

III.

[3, 4] The trial court did not abuse its discretion by excluding the 911 call, because neither the tenor nor timing of the call served to qualify it as an excited utterance or a present sense impression. Defendant, as the proponent of admission, had, but did not satisfy, the burden of proving that the call fell under the excited utterance exception (*People v Brensic*, 70 NY2d 9, 14 [1987], citing *People v Nieves*, 67 NY2d 125, 131 [1986]). Excited utterances are exceptions to the hearsay rule because the declarant is exposed to a startling or upsetting event that is “sufficiently powerful to render [his] normal reflective processes inoperative” (*People v Vasquez*, 88 NY2d 561, 574 [1996]). “The essential element” of this hearsay exception “is that the declarant spoke while under the stress or influence of the excitement caused by the event, so that his reflective capacity was stilled” (*Nieves*, 67 NY2d at 135). The spontaneity of the declaration guarantees its trustworthiness and reliability (see *People v Johnson*, 1 NY3d 302 [2003]).

3. Whether the court properly balanced the *Sandoval* factors—the prejudicial nature of the evidence, and its relative probative value—is not a question before us. We are only concerned with defendant’s rights with respect to the Fifth Amendment privilege against self-incrimination.

While somewhat agitated on the call, defendant's voice did not evidence an inability to reflect upon the events, which would have supported an excited utterance exception to hearsay. It is somewhat suspect that defendant failed to report the names of Mr. and Mrs. Elbresius to the 911 operator, since he knew them well, and instead seemed to refer to them as unknown assailants. Additionally, despite claiming to have been assaulted, defendant did not complain of an injury or request an ambulance until questioned specifically about an injury, pain and the need for emergency services by the 911 operator. Defendant's statements on the recording could reflect an evolving fabrication prompted by the operator's questioning (*see People v Edwards*, 47 NY2d 493, 499 [1979] [whether a statement is prompted by inquiry is one factor to consider in determining whether statement was spontaneous]). Most notably, defendant omitted entirely that he had bit off a part of the victim's ear and injured his finger. Such an omission is evidence that defendant had the opportunity, and likely the intent, to distort the facts. Additionally, defendant's medical records refute any claim that defendant was injured in a way that would detract from his ability to reflect upon events, because they contain no evidence of an injury to defendant's face (*see Johnson*, 1 NY3d at 307 [citing to medical records and officer's testimony to determine that victim's statement was not excited]). In deciding to exclude the call, the court acted within its discretion, which is apparent from its careful review of the details of the 911 call, and applicable case law (*see e.g. People v Melendez*, 296 AD2d 424, 425-426 [2d Dept 2002] [declarant's statement that she stabbed a man who pursued her with a gun was admissible]).

[4] It was also not error to preclude the 911 call based on defendant's alternative theory of admission. To qualify as a present sense impression, the out-of-court statement must be (1) made by a person perceiving the event as it is unfolding or immediately afterward (*Vasquez*, 88 NY2d at 574-575; *People v Brown*, 80 NY2d 729, 732-734 [1993]), and (2) corroborated by independent evidence establishing the reliability of the contents of the statement (*id.*). There was no evidence to show that defendant's statements were made spontaneously and contemporaneously with the events described, nor was defendant's description of what happened corroborated by other evidence (*Brown*, 80 NY2d at 734-735).

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order reversed and a new trial ordered.

[993 NE2d 1249, 971 NYS2d 229]

K2 INVESTMENT GROUP, LLC, et al., Respondents-Appellants, v
AMERICAN GUARANTEE & LIABILITY INSURANCE COMPANY,
Appellant-Respondent.

Argued April 25, 2013; decided June 11, 2013

SUMMARY

CROSS APPEALS, as of right and by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 3, 2012. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Ira Gammerman, J.H.O.), which had awarded money damages in favor of plaintiffs on their causes of action to enforce a default judgment, and dismissed their causes of action alleging defendants' bad faith failure to settle an underlying lawsuit.

K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co., 91 AD3d 401, affirmed.

HEADNOTES

Insurance — Duty to Defend and Indemnify — Policy Exclusions Irrelevant if Duty to Defend Breached

1. A liability insurer that has breached its duty to defend its insured may not later rely on policy exclusions to escape its duty to indemnify the insured for a judgment against him. Accordingly, in an action against the legal malpractice insurer of an attorney who assigned all his rights against the insurer to plaintiffs with respect to a default judgment they obtained against the attorney on legal malpractice claims, defendant insurer, by breaching its duty to defend the attorney, lost its right to rely on certain policy exclusions in litigation over its indemnity obligation. The complaint in plaintiffs' underlying action against the attorney unmistakably pleaded a claim for legal malpractice, and it was clear that defendant breached its duty to defend. While defendant had reason to be skeptical of the claim, that meant only that the claim against the attorney may have been groundless or not covered, but it did not allow defendant to escape its broader duty to defend. An insurance company that has disclaimed its duty to defend may litigate only the validity of its disclaimer. If the disclaimer is found bad, the insurance company must indemnify its insured for the resulting judgment, even if policy exclusions would otherwise have negated the duty to indemnify. It would be unfair to insureds, and would promote unnecessary and wasteful litigation, if an insurer, having wrongfully abandoned its insured's defense, could then require the insured to litigate the effect of policy exclusions on the duty to indemnify.

Insurance — Unfair Claim Settlement Practices — Bad Faith Failure to Settle Legal Malpractice Claim

2. In an action against the legal malpractice insurer of an attorney who assigned all his rights against the insurer to plaintiffs with respect to a default

judgment they obtained against the attorney on legal malpractice claims, plaintiffs' claims based on defendant's alleged bad faith failure to settle the malpractice claim against the attorney for a sum lower than the policy limit were properly dismissed. An insurer's rejection of a settlement offer for less than the full amount of its policy does not by itself establish the insurer's bad faith, even when the insured later suffers a judgment greater than the policy limit. A plaintiff claiming bad faith must establish that the defendant insurer engaged in a pattern of behavior evincing a conscious or knowing indifference to the probability that an insured would be held personally accountable for a large judgment if a settlement offer within the policy limits were not accepted. Plaintiffs alleged no facts showing that "bad faith" in that sense was present. Nothing in the record suggested that defendant knew or should have known that the malpractice claim against its insured was worth significantly more than the settlement offer—let alone more than the far greater policy limit.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1396, 1397, 1401, 1402, 1406, 1415–1417.

COUCH ON INSURANCE (3d ed) §§ 202:7–202:9, 202:12, 203:12–203:14.

NY JUR 2d, Insurance §§ 2068–2070, 2076–2084, 2113.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: insurer /s breach! /4 duty /3 defend /p policy /2 exclusion

POINTS OF COUNSEL

Coughlin Duffy LLP, New York City (*Robert J. Kelly* and *Michael S. Chuven* of counsel), and *Steinberg & Cavaliere, LLP*, White Plains, for appellant-respondent. I. The lower court erred as a matter of law in affording the insured status exclusion and business enterprise exclusion an unduly narrow scope. (*Fox v Employers' Liab. Assur. Corp., Ltd., of London*, 243 App Div 325, 267 NY 609; *Wenig v Glens Falls Indem. Co.*, 294 NY 195; *Holmes v Allstate Ins. Co.*, 33 AD2d 96; *Maurice Goldman & Sons v Hanover Ins. Co.*, 80 NY2d 986; *American Guar. & Liab. Ins. Co. v Timothy S. Keiter, P.A.*, 360 F3d 13; *Niagara Fire Ins. Co. v Pepicelli, Pepicelli, Watts & Youngs, P.C.*, 821 F2d 216; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46; *Maroney v New York Cent. Mut. Fire Ins. Co.*, 5 NY3d 467; *Regal Constr.*

Corp. v National Union Fire Ins. Co. of Pittsburgh, PA, 15 NY3d 34; *Salzman & Salzman v Home Ins. Co.*, 258 AD2d 455.) II. The Appellate Division majority committed reversible error in limiting its consideration of relevant facts to the allegations contained in the complaint. (*Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *Fitzpatrick v American Honda Motor Co.*, 78 NY2d 61; *Robbins v Michigan Millers Mut. Ins. Co.*, 236 AD2d 769; *Atlantic Mut. Ins. Co. v Terk Tech. Corp.*, 309 AD2d 22; *First State Ins. Co. v J & S United Amusement Corp.*, 67 NY2d 1044; *Rucaj v Progressive Ins. Co.*, 19 AD3d 270; *Lang v Hanover Ins. Co.*, 3 NY3d 350; *Hough v USAA Cas. Ins. Co.*, 93 AD3d 405; *Utica First Ins. Co. v Star-Brite Painting & Paperhanging*, 36 AD3d 794; *Dimond v Kazmierczuk & McGrath*, 15 AD3d 526, 5 NY3d 715.) III. The case law relied on by the Appellate Division majority supports a reversal of its decision. (*American Guar. & Liab. Ins. Co. v Moskowitz*, 58 AD3d 426; *Oot v Home Ins. Co. of Ind.*, 244 AD2d 62; *Niagara Fire Ins. Co. v Pepicelli, Pepicelli, Watts & Youngs, P.C.*, 821 F2d 216; *Servidone Constr. Corp. v Security Ins. Co. of Hartford*, 64 NY2d 419; *Forrest v Jewish Guild for the Blind*, 3 NY3d 295.) IV. Respondents' summary judgment motion should have been denied because material questions of fact exist. (*Groves v Land's End Hous. Co.*, 80 NY2d 978.)

Law Offices of Michael A. Haskel, Mineola (Michael A. Haskel, Susan Haskel and Brandon M. Zlotnick of counsel), for respondents-appellants. I. The Appellate Division order correctly affirmed the Supreme Court's grant of summary judgment to K2 Investment Group, LLC/ATAS Management Group, LLC on their claims under Insurance Law § 3420 (a). (*Ramos v National Cas. Co.*, 227 AD2d 250; *Rosenberg v Litas Inv. Co.*, 212 AD2d 686; *Goldstein v Engel*, 240 AD2d 280; *Worldwide Asset Purch., LLC v Karafotias*, 9 Misc 3d 390; *Cobb v City of New York*, 272 AD2d 117; *Lang v Hanover Ins. Co.*, 3 NY3d 350; *Rucaj v Progressive Ins. Co.*, 19 AD3d 270; *Nelson v Kalathara*, 48 AD3d 528; *Hallman v Kantor*, 72 AD3d 895, 15 NY3d 706; *Mendoza v Schlossman*, 87 AD2d 606.) II. Instead of granting summary judgment dismissing the bad faith claims of K2 Investment Group, LLC/ATAS Management Group, LLC, the Appellate Division order should have awarded summary judgment to K2/ATAS on these claims. (*Automobile Ins. Co. of Hartford v Cook*, 7 NY3d 131; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.*, 91 NY2d 169; *Sport Rock Intl., Inc. v American Cas. Co. of Reading, Pa.*, 65 AD3d 12; *Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435; *Panasia Estates, Inc.*

v Hudson Ins. Co., 39 AD3d 343, 10 NY3d 200; *Sukup v State of New York*, 19 NY2d 519; *Birsett v General Acc. Ins. Co. of Am.*, 226 AD2d 1027, 88 NY2d 1005; *Pavia v State Farm Mut. Auto. Ins. Co.*, 82 NY2d 445; *Federal Ins. Co. v North Am. Specialty Ins. Co.*, 83 AD3d 401; *Daus v Lumbermen's Mut. Cas. Co.*, 241 AD2d 665.) III. Summary judgment awarded in favor of American Guarantee and Liability Insurance Co. on the third and fourth causes of action was reversible error. (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851.)

OPINION OF THE COURT

SMITH, J.

[1] We hold that, when a liability insurer has breached its duty to defend its insured, the insurer may not later rely on policy exclusions to escape its duty to indemnify the insured for a judgment against him.

I

Plaintiffs are two limited liability companies that made loans totaling \$2.83 million to a third such company, Goldan, LLC. The loans were to be secured by mortgages. Goldan failed to repay the loans, and plaintiffs discovered that their mortgages had not been recorded. A bankruptcy petition was later filed against Goldan.

Plaintiffs brought a lawsuit against Goldan and its two principals, Mark Goldman and Jeffrey Daniels, asserting a number of claims. One claim was asserted by each plaintiff against Daniels, a lawyer, for legal malpractice. Plaintiffs alleged that Daniels acted as their attorney with respect to their loans to Goldan, and that his failure to record the mortgages was “a departure from good and accepted legal practice.”

Daniels notified his malpractice carrier, American Guarantee and Liability Insurance Company, of the malpractice claims against him, and forwarded a copy of the complaint. American Guarantee refused to provide “either defense or indemnity coverage,” for the reason, among others, that the allegations against Daniels “are not based on the rendering or failing to render legal services for others.” After this disclaimer, plaintiffs made a settlement demand on Daniels for \$450,000—significantly less than the \$2 million limit of American Guarantee’s policy. Daniels transmitted the demand to American Guarantee, which rejected it for the reasons it had previously given for denying coverage.

Daniels defaulted in plaintiffs' action against him, and plaintiffs obtained a default judgment in excess of the policy limit. The judgment was entered only as to plaintiffs' legal malpractice claims; their other claims against Daniels were discontinued. After judgment was entered, Daniels assigned to plaintiffs all his rights against American Guarantee and plaintiffs, as Daniels's assignees, brought the present action against American Guarantee for breach of contract and bad faith failure to settle the underlying lawsuit. On their contract claims, plaintiffs seek to recover the \$2 million policy limit, and on their bad faith claims they seek to recover the full amount of their default judgment.

American Guarantee moved for summary judgment dismissing the complaint, relying on two policy exclusions, the so-called "insured's status" and "business enterprise" exclusions. The policy issued by American Guarantee says, in relevant part:

"This policy shall not apply to any Claim based upon or arising out of, in whole or in part . . .

"D. the Insured's capacity or status as:

"1. an officer, director, partner, trustee, shareholder, manager or employee of a business enterprise . . .

"E. the alleged acts or omissions by any Insured, with or without compensation, for any business enterprise, whether for profit or not-for-profit, in which any Insured has a Controlling Interest."

According to American Guarantee, the claim against Daniels arose out of his "capacity or status" as a member and owner (and thus presumably at least a "manager") of Goldan, and out of his "acts or omissions" on Goldan's behalf.

Plaintiffs cross-moved for summary judgment in their favor. Supreme Court granted plaintiffs' motion as to the breach of contract claims, holding that American Guarantee breached its duty to defend Daniels, and was therefore bound, up to the \$2 million limit of its policy, to pay the resulting judgment against him. The court dismissed the bad faith claims (2010 NY Slip Op 33801[U] [2010]).

The Appellate Division affirmed, with two justices dissenting in part (*K2 Inv. Group, LLC v American Guar. & Liab. Ins. Co.*, 91 AD3d 401 [1st Dept 2012]). The majority held that the exclusions American Guarantee relied on were inapplicable to the malpractice claim on which the default judgment against

Daniels was based (*id.* at 403-405). The dissent concluded that issues of fact existed as to whether the exclusions applied (*id.* at 405-411 [Andrias, J., dissenting]).

American Guarantee appeals to us as of right pursuant to CPLR 5601 (a), on the basis of the two-justice dissent in its favor. Plaintiffs cross-appeal pursuant to leave granted by this Court. We now affirm on both the appeal and the cross appeal.

II

We affirm the summary judgment in plaintiffs' favor on the breach of contract claims without reaching the question that divided the Appellate Division: the applicability of the insured's status exclusion and the business enterprise exclusion to American Guarantee's duty to indemnify Daniels for a judgment based on legal malpractice. We hold that, by breaching its duty to defend Daniels, American Guarantee lost its right to rely on these exclusions in litigation over its indemnity obligation.

It is quite clear that American Guarantee breached its duty to defend—indeed, it does not seem to contend otherwise now. We summarized the law applicable to this issue in *Automobile Ins. Co. of Hartford v Cook* (7 NY3d 131, 137 [2006]):

“It is well settled that an insurance company's duty to defend is broader than its duty to indemnify. Indeed, the duty to defend is exceedingly broad and an insurer will be called upon to provide a defense whenever the allegations of the complaint suggest a reasonable possibility of coverage. If, liberally construed, the claim is within the embrace of the policy, the insurer must come forward to defend its insured no matter how groundless, false or baseless the suit may be.

“The duty remains even though facts outside the four corners of the pleadings indicate that the claim may be meritless or not covered Thus, an insurer may be required to defend under the contract even though it may not be required to pay once the litigation has run its course.” (Citations, internal quotation marks, elision and bracketing omitted.)

Here, the complaint in the underlying lawsuit against Daniels unmistakably pleads a claim for legal malpractice. American Guarantee no doubt had reason to be skeptical of the claim; it is

unusual, in a loan transaction, for lenders to retain a principal of the borrower to act as their lawyer, as plaintiffs here claimed they did. But that means only that the claim against Daniels may have been “groundless, false or baseless . . . meritless or not covered”—it does not allow American Guarantee to escape its duty to defend. It would be different if the claim were collusive, but American Guarantee has neither claimed that plaintiffs and Daniels were colluding against it nor alleged any facts to support such a claim.

It is also well established that, when an insurer has breached its duty to defend and is called upon to indemnify its insured for a judgment entered against it, the insurer may not assert in its defense grounds that would have defeated the underlying claim against the insured (*Lang v Hanover Ins. Co.*, 3 NY3d 350, 356 [2004]). As the court said in *Mendoza v Schlossman* (87 AD2d 606, 607 [2d Dept 1982]):

“A default judgment on the issue of liability in a legal malpractice action disposes of the issue of the lawyer’s negligence and the validity of the underlying claim.”

The rule as we have just stated it does not dispose of the present case, because American Guarantee is not relying on defenses that would have shielded Daniels from malpractice liability; it is relying on exclusions in its insurance contract with Daniels. In *Lang*, however, we stated the rule more broadly:

“[A]n insurance company that disclaims in a situation where coverage may be arguable is well advised to seek a declaratory judgment concerning the duty to defend or indemnify the purported insured. If it disclaims and declines to defend in the underlying lawsuit without doing so, it takes the risk that the injured party will obtain a judgment against the purported insured and then seek payment . . . Under those circumstances, having chosen not to participate in the underlying lawsuit, *the insurance carrier may litigate only the validity of its disclaimer* and cannot challenge the liability or damages determination underlying the judgment.” (Emphasis added.)

While *Lang* did not involve a situation like the one we have here, we now make clear that *Lang*, at least as it applies to such situations, means what it says: an insurance company that has

disclaimed its duty to defend “may litigate only the validity of its disclaimer.” If the disclaimer is found bad, the insurance company must indemnify its insured for the resulting judgment, even if policy exclusions would otherwise have negated the duty to indemnify. This rule will give insurers an incentive to defend the cases they are bound by law to defend, and thus to give insureds the full benefit of their bargain. It would be unfair to insureds, and would promote unnecessary and wasteful litigation, if an insurer, having wrongfully abandoned its insured’s defense, could then require the insured to litigate the effect of policy exclusions on the duty to indemnify.

Perhaps there are exceptions to the rule that we stated in *Lang* and now reaffirm. Thus, we do not necessarily reject (though we do not necessarily endorse) the decision of the Appellate Division in *Hough v USAA Cas. Ins. Co.* (93 AD3d 405 [1st Dept 2012]). There, the court held that an insurer’s “disclaimer of its duty to defend its insured in the underlying action does not bar it from asserting that its insured injured plaintiff intentionally.” (*Id.* at 405.) The *Hough* decision could arguably be justified on the ground that insurance for one’s own intentional wrongdoing is contrary to public policy (see *Messersmith v American Fid. Co.*, 232 NY 161, 165 [1921]). But no public policy argument is available to American Guarantee here, and there is no reason to make this case an exception to the general rule. American Guarantee, having chosen to breach its duty to defend, cannot rely on policy exclusions to escape its duty to indemnify.

III

[2] The courts below properly dismissed plaintiffs’ claims based on American Guarantee’s alleged bad faith failure to settle the malpractice claim against Daniels for a sum lower than the policy limit.

An insurer’s rejection of a settlement offer for less than the full amount of its policy does not by itself establish the insurer’s bad faith, even when the insured later suffers a judgment greater than the policy limit.

“[A] bad-faith plaintiff must establish that the defendant insurer engaged in a pattern of behavior evincing a conscious or knowing indifference to the probability that an insured would be held personally accountable for a large judgment if a settlement

offer within the policy limits were not accepted.”
(*Pavia v State Farm Mut. Auto. Ins. Co.*, 82 NY2d
445, 453-454 [1993].)

Plaintiffs have alleged no facts showing that “bad faith” in this sense was present here. Indeed, nothing in this record suggests that American Guarantee knew or should have known that the malpractice claim against Daniels was worth significantly more than \$450,000—let alone more than the \$2 million policy limit. As we have mentioned, it may well have been reasonable for American Guarantee to believe that the malpractice claim lacked any merit.

Plaintiffs’ claim in this case is not really for a bad faith failure to settle, but for an alleged bad faith failure to defend. Plaintiffs allege that American Guarantee repudiated its duty to defend without any basis for doing so. We need not decide, however, whether such an allegation could ever support a claim for damages in excess of policy limits. Such a claim would require the insured to show, at a minimum, that the judgment against him would not have been entered if the insurer had defended the case. Plaintiffs have not alleged that that is true here, and they would face an awkward task in making that case: it would require them to prove that the judgment against Daniels that they obtained by default could not have been obtained if Daniels had been defended. They have not alleged this, and therefore their bad faith claims cannot stand.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order affirmed, without costs.

[994 NE2d 820, 971 NYS2d 729]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAY J.
BARBONI, Appellant.

Argued April 25, 2013; decided June 11, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 23, 2011. The Appellate Division affirmed a judgment of the Oswego County Court (Walter W. Hafner, Jr., J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and manslaughter in the first degree.

People v Barboni, 90 AD3d 1548, affirmed.

HEADNOTES

Crimes — Murder — Depraved Indifference Murder of Child — Mens Rea — Utter Disregard for Value of Human Life

1. In a prosecution in which defendant was accused of repeatedly striking or shaking his girlfriend's 15-month-old boy so brutally as to cause multiple skull fractures, and subsequently failing to summon medical assistance before the child died, the evidence was legally sufficient to prove the first mens rea element required to support defendant's conviction of depraved indifference murder of a child (Penal Law § 125.25 [4]): defendant's state of mind was one of utter disregard for the value of human life, i.e., that he did not care whether his victim lived or died. Defendant was the actor who had inflicted the injuries. Given his knowledge of how the injuries were inflicted and his failure to seek immediate medical attention, either directly or via consultation with his girlfriend, until it was too late, there was sufficient evidence for a jury to conclude that defendant evinced a wanton and uncaring state of mind. His dispassionate voice on the telephone, reporting to his girlfriend that the child was not breathing, was further, albeit circumstantial, evidence of that callous indifference to the child's life. The horrific nature of the assault was clearly intended to be encompassed within Penal Law § 125.25 (4), and the jury could properly find defendant guilty of that crime even if the murderous acts did not occur over an extended duration. While the physical assault may have been brief, by his failure, over some two hours, to seek medical attention for the child, defendant turned a brutal assault into a brutal and prolonged course of conduct against a vulnerable victim. There is no requirement that a violent course of conduct must occur over days or months, in order to be prolonged.

Crimes — Murder — Depraved Indifference Murder of Child — Mens Rea — Recklessness

2. In a prosecution in which defendant was accused of repeatedly striking or shaking his girlfriend's 15-month-old boy so brutally as to cause multiple skull fractures, and subsequently failing to summon medical assistance before the child died, the evidence was legally sufficient to prove the second mens rea element required to support defendant's conviction of depraved indifference

murder of a child (Penal Law § 125.25 [4]): recklessness as to a grave risk of serious physical injury or death. While the evidence presented may have led inexorably to the conclusion that defendant acted voluntarily in his course of conduct against the child, it did not show that he intended to cause death or serious physical injury in the sense of having that as a conscious objective or purpose. The extensive injuries suffered by the child were explicable in light of his tender age and did not in themselves require the conclusion that defendant intended to cause serious physical injury or death. Rather, the jury could have rationally found beyond a reasonable doubt that defendant consciously disregarded the substantial and unjustifiable risk that death or serious physical injury would result, in a manner that constituted a gross deviation from the standard of conduct that a reasonable person would have observed (*see* Penal Law § 15.05 [3]).

Crimes — Manslaughter — Mens Rea

3. In a prosecution in which defendant was accused of repeatedly striking or shaking his girlfriend's 15-month-old boy so brutally as to cause multiple skull fractures, resulting in the child's death two hours later, the evidence was legally sufficient to prove that defendant possessed the requisite mens rea of "intent to cause physical injury to a person less than eleven years old" to support his conviction of manslaughter in the first degree (Penal Law § 125.20 [4]). The jury could have rationally inferred that defendant intended to injure the child, because physical injury is the probable consequence of inflicting blunt force trauma on a young child.

Crimes — Right to Counsel — Effective Representation — Decision Not to Challenge Prospective Juror

4. In a homicide prosecution, trial counsel's decision not to challenge a prospective juror who was unsure whether he would give more weight to a police officer's testimony, if it conflicted with civilian testimony, did not constitute ineffective assistance of counsel, where defendant failed to show the absence of a legitimate explanation for counsel's decision. The record showed that counsel was only fleetingly confused when she thought for a moment that the prospective juror had already been removed, then recalled that he was one she wished to keep. Furthermore, a defense counsel may legitimately decide not to challenge a prospective juror, notwithstanding his or her willingness to attach more credibility to police officers' testimony, because the prospective juror is attractive to the defense in other respects. This is particularly likely in a case, such as here, where there was no expectation of a conflict between the police officers' and civilians' testimony, such that defense counsel would seek to undermine police testimony. Moreover, trial counsel may have considered the prospective juror to be beneficial to the defense on the basis of his jury questionnaire. The record did not show a substantial risk that the prospective juror would not properly discharge his responsibilities, nor did it cast doubt on his ability to be fair.

Crimes — Right to Counsel — Effective Representation — Consent to Seizure of Defendant's Clothing at Police Station

5. In a homicide prosecution, the trial court did not err when it denied defendant's motion to suppress the clothing that was seized from him during questioning at the police station and then subjected to forensic analysis, on the basis that his attorney was ineffective in consenting to the seizure. Even assuming that the right to effective assistance of counsel attached prior to the seizure of the clothing and that suppression is the appropriate remedy where a seizure arises from ineffective assistance of counsel, defendant failed to

demonstrate the absence of a strategic explanation for his attorney's alleged shortcomings.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Evidence §§ 660, 662–664; AM JUR 2d, Homicide §§ 9, 44, 46, 47, 79, 84, 88.
CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:166, 184:174, 184:175, 184:219, 184:234, 184:252.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.10, 10.1, 11.10.
MCKINNEY'S, Penal Law §§ 125.20 (4); 125.25 (4).
NY JUR 2d, Criminal Law: Procedure §§ 864–870, 901, 1594, 1598; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 512, 514, 515, 544, 581, 614.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting “depraved indifference.” 25 ALR4th 311.

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POINTS OF COUNSEL

Davison Law Office PLLC, Canandaigua (*Mary P. Davison* of counsel), for appellant. I. The conviction of murder in the second degree was not based on legally sufficient evidence that Jay J. Barboni acted with depraved indifference to human life. (*People v Danielson*, 9 NY3d 342; *People v Poplis*, 30 NY2d 85; *People v Register*, 60 NY2d 270; *People v Gonzalez*, 1 NY3d 464; *People v Payne*, 3 NY3d 266; *People v Suarez*, 6 NY3d 202; *People v Feingold*, 7 NY3d 288; *People v Matos*, 19 NY3d 470; *People v Lewie*, 17 NY3d 348; *People v Bussey*, 19 NY3d 231.) II. The conviction of manslaughter in the first degree was not based on legally sufficient evidence that Mr. Barboni acted with intent to cause physical injury. (*People v Hayes*, 163 AD2d 165, 78 NY2d 876; *People v Lilly*, 71 AD2d 393; *People v Maddox*, 31 AD3d 970, 7 NY3d 868; *People v McLain*, 80 AD3d 992, 16 NY3d 897; *People v Heslop*, 48 AD3d 190; *People v Varmette*, 70 AD3d 1167, 14 NY3d 845; *People v Manos*, 73 AD3d 1333, 15 NY3d 807; *People*

v Griffin, 48 AD3d 1233, 10 NY3d 840; *People v Bowman*, 48 AD3d 178, 10 NY3d 808; *People v Jeffries*, 56 AD3d 1166, 12 NY3d 759.) III. Mr. Barboni was denied his right to a fair trial under the Federal and State Constitutions, based on his attorney's failure to request removal of a juror who stated that he was biased in favor of police witnesses. (*People v Rodriguez*, 71 NY2d 214; *People v Buford*, 69 NY2d 290; *Morgan v Illinois*, 504 US 719; *People v Blyden*, 55 NY2d 73; *People v Biondo*, 41 NY2d 483, 434 US 928; *People v Butler*, 221 AD2d 918; *People v Johnson*, 17 NY3d 752; *United States v Cronin*, 466 US 648; *People v Claudio*, 83 NY2d 76; *People v Benevento*, 91 NY2d 708.) IV. The trial court erred in denying suppression of physical evidence seized in violation of Mr. Barboni's right to counsel. (*People v Yukl*, 25 NY2d 585; *People v Lopez*, 16 NY3d 375; *People v West*, 81 NY2d 370; *People v Carranza*, 3 NY3d 729; *People v Rogers*, 48 NY2d 167; *People v Claudio*, 83 NY2d 76; *People v Burdo*, 91 NY2d 146; *Montejo v Louisiana*, 556 US 778; *Hurrell-Harring v State of New York*, 15 NY3d 8; *United States v Gonzalez-Lopez*, 548 US 140.)

Gregory S. Oakes, District Attorney, Oswego, for respondent. I. This Court should affirm the conviction for murder in the second degree since the jury heard legally sufficient evidence to support every element of the offense, including that defendant acted with the culpable mental state of depraved indifference. (*People v Danielson*, 9 NY3d 342; *People v Contes*, 60 NY2d 620; *People v Hafeez*, 100 NY2d 253; *People v Maddox*, 31 AD3d 970, 7 NY3d 868; *People v Gallagher*, 69 NY2d 525; *People v Payne*, 3 NY3d 266; *People v Suarez*, 6 NY3d 202; *People v Baker*, 14 NY3d 266; *People v Trappier*, 87 NY2d 55; *People v Griffin*, 48 AD3d 1233, 10 NY3d 840.) II. This Court should affirm the conviction for manslaughter in the first degree since the jury heard legally sufficient evidence that defendant intended to cause injury to the victim. (*People v Baker*, 14 NY3d 266; *People v Bueno*, 18 NY3d 160; *People v Steinberg*, 79 NY2d 673; *People v Hayes*, 163 AD2d 165; *People v Hines*, 97 NY2d 56, 678; *People v Williams*, 84 NY2d 925; *People v Stokes*, 28 AD3d 1094, 7 NY3d 795, 7 NY3d 870; *People v McLain*, 80 AD3d 992.) III. Trial counsel's strategic decision to keep prospective juror Randall did not constitute ineffective assistance of counsel or deny defendant his right to a fair trial. (*People v Thomas*, 244 AD2d 271, 91 NY2d 898; *People v Baldi*, 54 NY2d 137; *People v Rivera*, 71 NY2d 705; *People v Martin*, 79 AD3d 1793, 16 NY3d 861; *People v Colon*, 90 NY2d 824; *People v Montana*, 71 NY2d 705; *People v Evans*, 232 AD2d 170, 89 NY2d 863; *People v Vilfort*, 33

AD3d 368, 7 NY3d 929; *People v Rivera*, 45 AD3d 1249, 10 NY3d 770; *People v Ostas*, 179 AD2d 893, 80 NY2d 932.) IV. The trial court properly denied defendant's motion to suppress physical evidence based upon the grounds presented by trial counsel. Further, this Court should deny defendant's request to suppress physical evidence because (i) there is no constitutional right to effective representation during the pre-accusatory state of an investigation, (ii) defendant received meaningful representation, and (iii) suppression of physical evidence is not the appropriate remedy to address ineffective assistance of counsel. (*People v Farrell*, 42 AD3d 954; *People v Beam*, 57 NY2d 241; *People v Claudio*, 83 NY2d 76; *People v Burdo*, 91 NY2d 146; *Mickens v Taylor*, 535 US 162; *United States v Gonzalez-Lopez*, 548 US 140; *Kansas v Ventris*, 556 US 586; *People v Rivera*, 71 NY2d 705; *People v Martin*, 79 AD3d 1793; *People v Guilford*, 96 AD3d 1375.)

OPINION OF THE COURT

PIGOTT, J.

On this appeal, we are called upon to address the impact of this Court's recent jurisprudence concerning depraved indifference to human life, where defendant is accused of repeatedly striking a victim less than 11 years old and failing to summon medical assistance before the child dies. In this case we hold that there was sufficient evidence to convict defendant of depraved indifference murder as well as first-degree manslaughter. We also conclude that County Court committed no reversible error and that defendant's right to effective assistance of counsel was not violated.

I.

The facts pertinent to this appeal are as follows. Shortly after 8 p.m. on August 18, 2008, the mother of a 15-month-old boy received a telephone call from her boyfriend, defendant Barboni. Barboni, who had been alone with the child since around 4:45 p.m., told her, in what was described as a calm tone of voice, that she needed to come home because the child was not breathing. The mother rushed home to find her son in his crib, badly bruised, and unconscious. Defendant denied knowing what had happened. The child was pronounced dead at a nearby hospital shortly thereafter.

Defendant was interviewed that night at the police station. He had no explanation for the child's death, and could not

account for reddish stains that the police observed on his clothing. At approximately 1:20 a.m., an attorney called the police station, and questioning stopped. The attorney spoke with defendant, and then with the investigator, who asked for defendant's clothes. Both the attorney and defendant consented, and the clothing was then subjected to forensic analysis.

Defendant was arrested and charged with murder in the second degree (Penal Law § 125.25 [4]) and manslaughter in the first and second degrees (Penal Law §§ 125.20 [4]; 125.15 [1]). As part of his omnibus motion, submitted by new defense counsel, defendant sought suppression of the clothing taken from him at the station house, arguing that the seizure violated his right to counsel. Following a hearing, County Court denied the motion, reasoning that the police legitimately concluded that defendant was acting on the advice of counsel when he consented to the seizure of his clothing. Defendant then proceeded to a jury trial in County Court.

II.

During voir dire, one prospective juror indicated that he was unsure whether he would apply a different, more favorable standard with respect to the credibility of testimony by police officers when it directly conflicted with civilian testimony. Neither the prosecution nor the defense challenged this prospective juror for cause. When County Court asked the attorneys to state their peremptory challenges, defense counsel displayed a moment's uncertainty concerning whether this prospective juror had already been challenged. Informed that he was still unchallenged, counsel said, "Then we are fine . . . we are going to keep him. I'm sorry, I got my people mixed up." County Court reminded counsel that the prospective juror was the one who "was unsure." "I know that," counsel responded, "I wanted to keep him. I just confused myself." The prospective juror was seated and served throughout the trial.

At trial, the jury heard evidence from three police officers regarding their questioning of defendant and his inability to explain the stains on his clothing. Forensic scientists testified that the stains on defendant's clothing were positive for blood, and that the blood matched the child's DNA.

The jury heard extensive testimony concerning the autopsy. A medical examiner testified that the child had approximately 25 "fresh" injuries, including two "clusters" of injuries to the face. The child had suffered four distinct skull fractures. The

examiner opined that the child's injuries had been caused by "blunt force trauma," involving a minimum of "five strikes" or "impacts."

An ocular pathologist, who had examined the child's eyes during a postmortem examination, testified that his eye injuries were consistent with "vigorous shaking with or without impact." Significantly, a neuropathologist, who had examined the child's brain and spinal cord, opined that he had survived for approximately two hours following onset of the trauma.

The defense called a pediatrician, who was unable to give a precise time as to when the injuries had occurred, but testified that a neuropathologist would be in a better position to do so. The pediatrician opined that signs of the child's extensive bruising would have been recognizable "[w]ithin a half hour" of the traumatic injury, and that he would have been in a substantial amount of pain and probably crying, screaming, or else "lethargic."

Finally, an anatomic pathologist was called by the defense. He opined that the interval between the child's injuries and death was at least two hours; like the pediatrician, he testified that a neuropathologist would be in a better position to give an estimate.

Defendant moved, unsuccessfully, for a trial order of dismissal on all counts. With respect to depraved indifference murder, defense counsel claimed that the People were obliged, but had failed, to prove "that the child was . . . likely to die or that the attack was prolonged." He also argued that, if there was sufficient evidence of any type of murder, it could not be depraved indifference murder, because defendant's conduct was "in essence, intentional, not reckless."

Following deliberations, the jury found defendant guilty of one count each of murder in the second degree (Penal Law § 125.25 [4] [depraved indifference murder of a child]) and manslaughter in the first degree (Penal Law § 125.20 [4] [intent to cause child physical injury; recklessly causes child's death]).

III.

Defendant appealed the judgment of conviction, alleging insufficiency of the evidence on both counts, ineffective assistance of counsel, and error as to the suppression motion. The Appellate Division affirmed, holding that the evidence was legally sufficient to establish the mens rea elements necessary for

depraved indifference murder, noting that “the child’s suffering yielded an apathetic response from defendant,” who “did not seek medical assistance for him” (90 AD3d 1548, 1549 [4th Dept 2011]). It also ruled that there was legally sufficient evidence to support the first-degree manslaughter conviction. As to the claimed ineffective assistance of trial counsel, the Court held that defendant had failed to establish the absence of a legitimate explanation for defense counsel’s alleged error during jury selection. Finally, as to suppression of defendant’s clothing, the Court determined that there was no error, because defendant and his then attorney had consented to the seizure. Moreover, defendant had not been denied effective assistance of counsel during his questioning by the police.

A Judge of this Court granted defendant leave to appeal. We now affirm.

IV.

A person is guilty of depraved indifference murder of a child, under Penal Law § 125.25 (4), when “[u]nder circumstances evincing a depraved indifference to human life, and being eighteen years old or more the defendant recklessly engages in conduct which creates a grave risk of serious physical injury or death to another person less than eleven years old and thereby causes the death of such person.” Defendant argues that the evidence was legally insufficient to establish circumstances evincing a depraved indifference to human life or that he recklessly engaged in conduct that created a grave risk of death or serious physical injury to the child.

[1, 2] This appeal is governed by the requirement that, in proving the existence of “circumstances evincing a depraved indifference to human life,” the People must show that, at the time the crime occurred, defendant had a mens rea of “utter disregard for the value of human life” (*People v Feingold*, 7 NY3d 288, 296 [2006], quoting *People v Suarez*, 6 NY3d 202, 214 [2005]). Put simply, the People must prove that defendant did not care whether his victim lived or died (see *People v Matos*, 19 NY3d 470, 476 [2012]; *People v Lewie*, 17 NY3d 348, 360 [2011]; *Feingold*, 7 NY3d at 296). Additionally, the People must prove a second mens rea, namely recklessness. Under Penal Law § 125.25 (4), this element is recklessness as to a grave risk of serious physical injury or death.

In two recent cases, which, like this one, involved a very young victim, this Court held that the evidence was insufficient to

prove the mens rea of wanton indifference. The first of those cases was *People v Lewie*, where we vacated a conviction for reckless endangerment in the first degree (Penal Law § 120.25), which contains the same two mens rea elements as depraved indifference murder. Lewie persistently left her eight-month-old son alone with her boyfriend, whom she knew to be violent and cruel, and the man inflicted numerous injuries on the child, finally causing a brain injury that led to his death. We reasoned that the evidence was insufficient to support the conclusion that Lewie “did not care at all” about her child’s safety (*Lewie*, 17 NY3d at 359).

“On the contrary, the evidence shows that defendant feared the worst and . . . hoped for the best. A witness . . . testified that defendant seemed ‘worried,’ and no witness’s testimony points to a contrary finding. . . . [Defendant’s] statement that she ‘was scared’ and ‘never knew what she was going to go home to’ shows that she was fearful of harm to her baby, not that she was indifferent to the possibility” (*id.*).

Then, in *People v Matos* (19 NY3d 470 [2012]), this Court dismissed a depraved indifference murder count against a woman whose intimate partner severely beat her 23-month-old son, resulting in his death. The Court held that “the People failed to prove that [the mother] did not care whether her son lived or died” (19 NY3d at 476), given the evidence that she splinted her son’s leg, gave him anti-inflammatory medication, exhibited other measures to comfort him, and, when she found him bleeding and unresponsive, called 911 for help.

Defendant concedes that his case is factually distinct from *Lewie* and *Matos* in that his indictment required the jury to find that he was the actor who had inflicted the injuries that resulted in the child’s death. But this difference, he argues, should not alter the analysis; the evidence was insufficient to establish the mens rea of depraved indifference in his case, just as it was lacking in *Lewie* and *Matos*. We disagree.

Here, viewing the evidence in the light most favorable to the People, as we must, the jury heard testimony—including medical and forensic proof—that defendant inflicted injuries on a 15-month-old child by striking or shaking the child so brutally as to cause four distinct skull fractures. The nature of defendant’s assault on the child rendered his course of conduct more clearly depraved than had he only suspected that a third party had

injured the child. Knowing the brutal origin of the injuries and the force with which they were inflicted makes it much less likely that defendant was holding out hope, as Lewie and Matos perhaps were, that the child's symptoms were merely signs of a trivial injury or illness. Thus, contrary to defendant's contention, it is significant that defendant was the actor who had inflicted the injuries in the first place.

Defendant also argues that the People did not prove that his state of mind at the time that the child was injured was one of depraved indifference to human life. He argues that it is, for example, consistent with the evidence presented that he experienced a fit of rage in which he repeatedly struck the child. In such a scenario, his state of mind might better be described as blind anger, rather than wanton indifference. However, the charge of depraved indifference murder here is comprised of more than the physical assault on the child; it also encompasses defendant's inaction for the two hours that elapsed between the injuries and death. In light of the child's vulnerability and utter dependence on a caregiver, defendant's post-assault failure to treat the child or report his obvious injuries must be considered in assessing whether depraved indifference was shown. The People demonstrated that defendant, at the very least, left the child unattended for two hours, either disregarding, or not bothering to look for, obvious, perceptible signs that the child was seriously injured. Given defendant's knowledge of how the injuries were inflicted and his failure to seek immediate medical attention, either directly or via consultation with his girlfriend, until it was too late, there was sufficient evidence for a jury to conclude that defendant evinced a wanton and uncaring state of mind. His dispassionate voice on the telephone, reporting that the child was not breathing, is further, albeit circumstantial, evidence of this callous indifference to the child's life.

Defendant further contends that insufficient evidence was presented to support the prosecution's theory that he "engaged in a brutal and prolonged and ultimately fatal course of conduct" against the child. He contrasts his own actions with those underlying *People v Best* (85 NY2d 826 [1995] [defendant repeatedly beat her nine-year-old son, inflicting large open wounds through which bacteria entered, eventually causing his death]) and *People v Poplis* (30 NY2d 85 [1972] [defendant caused the death of a 3½-year-old child by repeatedly beating her over a course of several days]). Defendant points out that the evidence presented in this case, in contrast to those, is consistent with an attack that was of short duration.

The language of the prosecution theory originates in this Court's decision in *Suarez* (6 NY3d at 212). There, the Court set out the "few rare circumstances" in which a defendant may be convicted of depraved indifference murder based on conduct that endangers only one person. The Court outlined two recurring fact patterns—"abandon[ing] a helpless and vulnerable victim in circumstances where the victim is highly likely to die" and "engag[ing] in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim" (*id.* at 212). However, the Court, in noting the existence of "other extraordinary cases" (*id.* at 213), accepted that these fact patterns did not constitute an exhaustive list of situations in which a defendant may properly be convicted of depraved indifference murder based on a one-on-one killing.¹ The standard is whether the People have shown that defendant's state of mind was one of utter disregard for the value of human life. Here, the People met this standard because the horrific nature of defendant's assault of the child was clearly intended to be encompassed within the depraved indifference murder of a child statute, and the jury could properly find defendant guilty of that crime even if the murderous acts did not occur over an extended duration.

A brutal course of conduct against a vulnerable victim occurring over a prolonged or extended period of time is more likely to be associated with the mental state of depraved indifference to human life than brutality that is short in duration and is not repeated. This is because the actor had the opportunity to regret his actions and display caring, but failed to take the opportunity. In the present case, defendant argues that his course of conduct against the child was not prolonged. But defendant's argument focuses exclusively on the duration of his physical assault on the child, which may have been brief. However, this argument ignores the evidence that, by his later inaction—his failure, over some two hours, to seek medical attention for the child—defendant

1. The Court's pronouncements concerning rare fact patterns occurred in the context of the evolution towards *Feingold*; they were well suited to warning prosecutors—accustomed to thinking that "circumstances evincing a depraved indifference to human life" referred to "the factual setting" or "objective circumstances" in which the risk-creating conduct occurred (*People v Register*, 60 NY2d 270, 276, 278 [1983])—that the factual patterns underlying depraved indifference murder were unique and very rare. Now that the Court has made it clear that the depraved indifference element of depraved indifference murder is a *mens rea* (see *Feingold*), the emphasis on the two fact patterns is perhaps redundant.

turned a brutal assault into a brutal and prolonged course of conduct against a vulnerable victim.² There is no requirement in our case law that a violent course of conduct must occur over days or months, in order to be “prolonged.”

We conclude that, viewing the facts in a light most favorable to the People, a rational jury could have found beyond a reasonable doubt that defendant’s state of mind was one of utter indifference to the value of human life.

V.

[2] Defendant’s final challenge specific to his murder conviction is that the evidence was insufficient to prove the second mens rea element of depraved indifference murder of a child: recklessness as to a grave risk of serious physical injury or death. Defendant argues that the evidence, such as the multiple skull fractures inflicted on the child, is consistent only with the conclusion that the person who inflicted the child’s injuries “acted intentionally,” and therefore a conviction of depraved indifference murder cannot stand. We disagree.

It may be true that the evidence presented to the jury leads inexorably to the conclusion that the perpetrator acted *voluntarily* in his course of conduct against the child. However, it does not show that he *intended* to cause death or serious physical injury, in the sense of having that as a conscious objective or purpose. Defendant did not use a weapon, nor was there any evidence that defendant tried to smother the child—acts that of themselves tend to imply intent to cause death or serious physical injury. The extensive injuries suffered by the child are explicable in light of his tender age and do not in themselves require the conclusion that the perpetrator intended to cause serious physical injury or death. The present case is therefore clearly distinguishable from those in which the Court has had occasion to note that “a one-on-one shooting or knifing (or similar killing) can almost never qualify as depraved indifference murder” (*Suarez*, 6 NY3d at 211-212, quoting *People v Payne*, 3 NY3d 266, 272 [2004]).

In short, there was no evidence that would have compelled the jury to infer that defendant’s state of mind was one of intent

2. We agree with the concurring opinion that under *Suarez* “maltreatment of a ‘particularly vulnerable victim’ is an important factor in deciding whether the statute applies” (concurring op at 410). But we do not agree that an exception to the mens rea requirement of *Feingold* and *Lewie* should be created for “severe, fatal abuse of a young child” (*id.* at 409).

rather than recklessness with respect to the risk of the child's death or serious physical injury. By contrast, the jury could have rationally found beyond a reasonable doubt that defendant consciously disregarded the substantial and unjustifiable risk that death or serious physical injury would result, in a manner that constituted a gross deviation from the standard of conduct that a reasonable person would have observed (*see* Penal Law § 15.05 [3] [definition of “recklessly”]).

VI.

[3] Defendant next argues that the evidence was legally insufficient to prove beyond a reasonable doubt that he had the requisite mens rea of “intent to cause physical injury to a person less than eleven years old,” required for conviction of manslaughter in the first degree (Penal Law § 125.20 [4]).

“A jury is entitled to infer that a defendant intended the natural and probable consequences of his acts. The element of intent is rarely proved by an explicit expression of culpability by the perpetrator; and competing inferences to be drawn regarding the defendant's intent, if not unreasonable, are within the exclusive domain of the finders of fact, not to be disturbed” by the Court of Appeals (*People v Bueno*, 18 NY3d 160, 169 [2011] [internal quotation marks, citations, and brackets omitted]). Here, the jury could have rationally inferred that defendant intended to injure the child, because physical injury is the probable consequence of inflicting “blunt force trauma” on a young child. Consequently, the evidence of first-degree manslaughter was sufficient.

VII.

[4] Procedurally, defendant contends that the failure of his trial attorneys to challenge the prospective juror who was unsure whether he would give more weight to a police officer's testimony amounted to ineffective assistance of counsel. He relies on *People v Turner* (5 NY3d 476 [2005]), and claims that trial counsel, though otherwise competent, committed “a single failing” that was “so egregious and prejudicial as to deprive [him] of his constitutional right” to the effective assistance of counsel (*Turner*, 5 NY3d at 480 [internal quotation marks omitted]; *see also e.g. People v Brown*, 17 NY3d 742, 743-744 [2011]).

It is well settled that “[t]o prevail on a claim of ineffective assistance of counsel, it is incumbent on defendant to demonstrate the absence of strategic or other legitimate explanations

for counsel's failure Absent such a showing, it will be presumed that counsel acted in a competent manner and exercised professional judgment" (*People v Rivera*, 71 NY2d 705, 709 [1988]). The burden is on the defendant to show that there was no legitimate explanation for defense counsel's alleged error. We must decide whether, "[v]iewed objectively, the transcript and the submissions reveal the existence of a trial strategy that might well have been pursued by a reasonably competent attorney" (*People v Satterfield*, 66 NY2d 796, 799 [1985]).

Defendant points to the fact that defense counsel said on the record that she was "mixed up" and "confused" about whether a prospective juror had been challenged, and he suggests that her failure to challenge therefore cannot have been a matter of strategy. However, the record shows that counsel was only fleetingly confused, in that she thought for a moment that the prospective juror had already been removed, and then quickly regained herself. Counsel then recalled that the prospective juror was one she wished to keep, even though she knew that he had said he was unsure whether he would apply a different standard for judging the credibility of a police officer's testimony, if it conflicted with civilian testimony.

Defendant also argues that there cannot be a legitimate explanation for failing to challenge a prospective juror who is not sure whether he would apply a different standard for the credibility of police officers. We disagree. A defense counsel may legitimately decide not to challenge a prospective juror in such circumstances because the prospective juror is attractive to the defense in other respects, which outweigh his or her willingness to attach more credibility to police officers' testimony when it directly contradicts civilian testimony. This is particularly likely in a case, such as this one, where there was no expectation of a conflict between the police officers' and civilians' testimony, such that defense counsel would seek to undermine police testimony. "The record does not reveal on what basis counsel might have concluded that" the prospective juror was a "desirable juror[] for the defense, and that further inquiry was unnecessary. In particular, counsel may have been influenced by the[] juror[s] demeanor, which is not reflected in the record" (*People v Vilfort*, 33 AD3d 368, 369 [1st Dept 2006]). Demeanor may include such entirely nonverbal cues as eye contact and posture. In addition, trial counsel may have considered the prospective juror to be beneficial to the defense on the basis of his

jury questionnaire. Importantly, the record does not show a substantial risk that the prospective juror would not properly discharge his responsibilities, nor does it cast doubt on his ability to be fair. In sum, defendant's ineffective assistance argument fails because he does not meet his burden of showing the absence of a legitimate explanation for the perceived error.

VIII.

[5] Finally, defendant argues that County Court erred in denying his motion to suppress the clothing that was seized from him. He frames the argument in terms of ineffective assistance of counsel; County Court, he says, should have granted the motion on the basis that the attorney who consented to the seizure of defendant's clothing was ineffective. Defendant acknowledges our holding in *People v Claudio* (83 NY2d 76 [1993]) that, "except in most unusual circumstances . . . the State is not charged with the responsibility of guaranteeing effective legal representation upon the entry of counsel at the preaccusatory, investigatory stage of a criminal matter, i.e., before the commencement of formal adversarial judicial criminal proceedings" (*id.* at 78), but urges us to overrule *Claudio*.

The present case does not require us to decide whether *Claudio* is still good law, because we agree with the Appellate Division that "[e]ven assuming arguendo, that the right to effective assistance of counsel attached prior to the seizure of the physical evidence in question and that suppression is the appropriate remedy where a seizure arises from ineffective assistance of counsel," defendant "failed to demonstrate the absence of a strategic explanation for that attorney's alleged shortcomings" (90 AD3d at 1550, quoting *People v Carncross*, 14 NY3d 319, 331 [2010] [ellipsis and brackets omitted]).

IX.

Accordingly, the order of the Appellate Division should be affirmed.

SMITH, J. (concurring). I concur in the result the majority reaches, but not in its reasoning. I do not think this case fits with our depraved indifference jurisprudence as it has developed over the last decade. Rather, I think that a case like this—a severe beating that killed an infant—is a justified, narrow exception to the rule established by our recent cases that a depraved indifference murder conviction cannot be sustained unless a

jury could find, beyond a reasonable doubt, that the defendant was literally indifferent to whether the victim lived or died.

This is the first case since *People v Sanchez* (98 NY2d 373 [2002]) in which we have found the evidence sufficient to support a jury finding of depraved indifference to human life. In the interim, we have found insufficient evidence of depraved indifference in 17 cases,* and have overruled *Sanchez* and *People v Register* (60 NY2d 270 [1983]) (see *People v Feingold*, 7 NY3d 288, 295-296 [2006]). We have decided in three recent cases that neither a brutal, fatal assault (*People v Bussey*, 19 NY3d 231 [2012]) nor a reckless failure to protect or get help for an abused child (*People v Lewie*, 17 NY3d 348 [2011]; *People v Matos*, 19 NY3d 470 [2012]) is proof of depraved indifference.

This case is different from those three because in *Bussey* the victim was an adult, and in *Lewie* and *Matos* the defendants were not the people who physically abused the children. I agree with the majority that these differences justify a difference in result. While *Bussey*, *Lewie* and *Matos* were guilty of “shocking behavior [which] in ordinary speech people might call . . . ‘depraved’ ” (*Lewie*, 17 NY3d at 359), the depravity in a crime like this is of a different order. An assault against a young child is immeasurably worse than an assault against an adult, both because the child is so much more vulnerable and because the child could have done nothing to provoke the offense. And the offender who actually beats the child commits a much worse offense than one who only fails to prevent the beating or to forestall its consequences. If ever there was conduct

“so wanton, so deficient in a moral sense of concern,
so devoid of regard of the life or lives of others, and
so blameworthy as to warrant the same criminal liability
as that which the law imposes upon a person
who intentionally causes the death of another”

(*People v Suarez*, 6 NY3d 202, 211 [2005], quoting earlier cases),
the conduct of this defendant is it.

* *People v Hafeez*, 100 NY2d 253 (2003); *People v Gonzalez*, 1 NY3d 464 (2004); *People v Payne*, 3 NY3d 266 (2004); *People v Suarez*, 6 NY3d 202 (2005); *People v McPherson*, 6 NY3d 202 (2005); *People v Feingold*, 7 NY3d 288 (2006); *People v Atkinson*, 7 NY3d 765 (2006); *People v Mancini*, 7 NY3d 767 (2006); *People v Swinton*, 7 NY3d 776 (2006); *People v George*, 11 NY3d 848 (2008); *People v Taylor*, 15 NY3d 518 (2010); *People v Prindle*, 16 NY3d 768 (2011); *People v Lewie*, 17 NY3d 348 (2011); *People v Martinez*, 20 NY3d 971 (2012); *People v Bussey*, 19 NY3d 231 (2012); *People v Matos*, 19 NY3d 470 (2012); *People v Bell*, 21 NY3d 915 (May 2, 2013).

Still, there is a problem. Under our recent cases, the depraved indifference statutes are not an invitation for juries and judges to make moral judgments about how bad the conduct was in each particular case. We have insisted on a narrow, literal reading of “depraved indifference”:

“Our cases make clear that the word ‘indifference’ is to be taken literally: ‘depraved indifference is best understood as an utter disregard for the value of human life—a willingness to act . . . because one simply doesn’t care whether grievous harm results or not’ ” (*Lewie*, 17 NY3d at 359, quoting earlier cases).

I find it hard to see how this defendant was any more indifferent to whether the victim lived or died than the defendant in *Bussey* was. *Bussey* establishes that we would not uphold a depraved indifference murder conviction on facts like the ones before us if the victim were an adult; yet the age of the victim hardly seems relevant to the question of whether the defendant was indifferent to the victim’s fate. As the majority opinion shows, the strongest evidence of indifference in this case is in defendant’s callous behavior in the hours between the assault and the child’s death. But *Matos* establishes that we would not uphold the depraved indifference murder conviction of a defendant who reacted with equal callousness to child abuse that someone else had committed. I disagree with the heavy emphasis that the majority puts on defendant’s post-assault behavior (*cf.* *Suarez*, 6 NY3d at 210 [depraved indifference should be decided “irrespective of what the actor does or does not do after inflicting the fatal injury”]). I think the evidence on that subject was relevant here, but I also think there was sufficient evidence without it to sustain the conviction. I would say that anyone who beats a baby to death in the way that this defendant did could be found to be a murderer, even if the assault was immediately followed by tears of remorse.

I conclude that the extraordinary evil of this kind of crime—severe, fatal abuse of a young child—warrants an exception to the rule of *Lewie* that “the word ‘indifference’ is to be taken literally.” I am fortified in this conclusion by the legislature’s recognition in the text of the murder statute that child abuse is in a class by itself. The broader depraved indifference murder statute, Penal Law § 125.25 (2), applies to a person who “[u]nder circumstances evincing a depraved indifference to human life . . . recklessly engages in conduct which creates a

grave risk of death to another person.” But this defendant was prosecuted under Penal Law § 125.25 (4), applicable to one who “[u]nder circumstances evincing a depraved indifference to human life, and being eighteen years old or more . . . recklessly engages in conduct which creates a grave risk of *serious physical injury* or death to another person less than eleven years old” (emphasis added). Thus the legislature clearly intended to make child abusers punishable for murder when their victims died, even where the risk that they recklessly created was a risk of something less than death; the idea that “depraved indifference” can only exist when a defendant does not care whether the victim lives or dies seems incompatible with that intention.

I also find support for the application of the statute to this case in our decision in *Suarez*. There, we said that “[t]wo fact patterns have recurred” under the depraved indifference murder statute (6 NY3d at 212). One of those consists of defendants who engage “in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim” (*id.*). Defendant argues here that his case does not fit this category because his brutality was not “prolonged,” but the argument misses the point; the *Suarez* categories are not the only possible kinds of depraved indifference murder. More relevant is *Suarez*’s recognition that maltreatment of a “particularly vulnerable victim” is an important factor in deciding whether the statute applies. Logically, the vulnerability of the victim may not justify an inference that the perpetrator was literally indifferent between life and death; but the moral enormity of a crime against such a victim does justify a less literal reading of the statute in this narrow class of cases.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and RIVERA concur with Judge PIGOTT; Judge SMITH concurs in result in an opinion; Judge ABDUS-SALAAM taking no part.

Order affirmed.

[995 NE2d 123, 972 NYS2d 161]

In the Matter of NORMAN E. ROTH et al., Appellants, v CITY OF SYRACUSE et al., Respondents. (And Other Proceedings.)

Argued May 1, 2013; decided June 11, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment (denominated order) of the Supreme Court, Onondaga County (Donald A. Greenwood, J.), entered March 20, 2012. The Supreme Court granted a motion by petitioner to voluntarily discontinue the remainder of his claims in related proceedings pursuant to RPTL article 7 for certain tax years concerning properties he owned, and ordered those claims discontinued with prejudice. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 12, 2010. The Appellate Division affirmed an order of the Supreme Court, Onondaga County (Donald A. Greenwood, J.), which had denied the petition challenging the real property tax assessments on five of petitioner's buildings for the tax years 2001-2004.

Matter of Roth v City of Syracuse, 78 AD3d 1590, affirmed.

HEADNOTES

Taxation — Assessment — Presumption of Validity — Failure to Demonstrate Diminution in Market Value by Presence of Lead Paint

1. In an RPTL article 7 proceeding challenging the tax assessments on certain of petitioner's residential properties the trial court did not err by failing to consider the impact of lead paint contamination upon the market value of the properties where petitioner failed to proffer substantial evidence demonstrating a diminution in market value to his properties caused by the presence of the lead paint and consequently did not rebut the presumption of validity that attached to the tax assessments by respondent local taxing authority. A petitioner challenging the accuracy of a tax valuation has the initial burden of rebutting the presumption of validity attaching to the valuation made by the taxing authority, and only where petitioner meets that burden must the court weigh the entire record to determine if petitioner has established by a preponderance of the evidence that the property in question was overvalued. Notwithstanding the alleged presence of lead paint during the tax years in question, petitioner's properties continued to generate rental income, and petitioner did not otherwise demonstrate that the presence of lead-based contaminants depressed the market value of the properties. Moreover, there was no evidence that a buyer of the properties would have demanded an abatement in the purchase price to account for the contamination. There was no immediate legal requirement to abate the lead paint from

the properties, and the ubiquitous nature of lead paint in residential properties undermined petitioner's unsupported contention that there was a lead paint "stigma" depressing market value. Thus, petitioner's proposed remediation costs were not an appropriate factor to be considered in evaluating the tax assessments of his properties.

Taxation — Assessment — Appraisal Reports of Taxing Authority — Procedural Deficiency

2. In an RPTL article 7 proceeding to review tax assessments on property allegedly contaminated by lead paint, the fact that Supreme Court struck the appraisal reports of respondent municipal taxing authority because of a procedural deficiency did not require a finding in favor of petitioner, who bore the ultimate burden to rebut the presumption of validity accorded to the tax assessments issued by respondent municipality. To carry his burden, petitioner had to show that the market value of the properties was diminished by the presence of lead paint, not its mere existence. To hold otherwise would permit a taxpayer to avoid his or her fair share of the tax burden while, as in petitioner's case, reaping the benefits of a rental market that was unaffected by the presence of the contaminant, without having incurred any costs to remediate or abate the lead-based conditions. Accordingly, where the trial court declined to credit petitioner's appraisal reports, and the record did not demonstrate a diminution in market value caused by environmental contamination or hazards, petitioner failed to meet his burden and there was no basis to disturb the presumption of validity in favor of the municipality.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 681, 682, 689–691.
CARMODY-WAIT 2d, Judicial Review of Assessments and
Taxes §§ 146:3, 146:15, 146:66, 146:108.
NY JUR 2d, Taxation and Assessment §§ 417, 420, 455, 456,
458.
NEW YORK REAL PROPERTY SERVICE § 62:6.

ANNOTATION REFERENCE

See ALR Index under Appraisal or Appraisers; Taxes.

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tion /3 validity

POINTS OF COUNSEL

Hancock Estabrook, LLP, Syracuse (*Alan J. Pierce* of counsel), for appellants. I. Petitioners established the requested reduction in value in the subject properties by the cost to cure the lead contamination at each parcel, and Supreme Court's conclusion

to the contrary is erroneous as a matter of law. (*Matter of Commerce Holding Corp. v Board of Assessors of Town of Babylon*, 88 NY2d 724; *Criscuola v Power Auth. of State of N.Y.*, 81 NY2d 649; *Matter of Bass v Tax Commn. of City of N.Y.*, 179 AD2d 387; *Matter of Northville Indus. Corp. v State of New York*, 14 AD3d 817; *Welch Foods v Town of Westfield*, 222 AD2d 1053; *Matter of Alexander's Dept. Store of Val. Stream v Board of Assessors*, 227 AD2d 549; *Matter of Northville Indus. Corp. v Board of Assessors of Town of Riverhead*, 143 AD2d 135; *Adams v Rizzo*, 13 Misc 3d 1235[A], 2006 NY Slip Op 52135[U]; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337.) II. Even disregarding the lead paint contamination, petitioners established that each of the subject properties was over-assessed.

D.J. & J.A. Cirando, Esqs., Syracuse (*John A. Cirando, Bradley E. Keem and Elizabeth deV. Moeller* of counsel), and *Mary Anne Doherty, Corporation Counsel* (*Shannon M. Jones* of counsel) for respondents. I. *Matter of Commerce Holding Corp. v Board of Assessors of Town of Babylon* (88 NY2d 724 [1996]) does not require a reduction of the tax assessments based on “cost to cure.” (*Matter of Consolidated Edison Co. of N.Y., Inc. v City of New York*, 8 NY3d 591; *Matter of B. Altman & Co. v City of White Plains*, 57 NY2d 904; *Matter of City of Syracuse Indus. Dev. Agency [Alterm, Inc.]*, 20 AD3d 168; *Matter of Northville Indus. Corp. v State of New York*, 14 AD3d 817; *Matter of Bass v Tax Commn. of City of N.Y.*, 179 AD2d 387; *Matter of Northville Indus. Corp. v Board of Assessors of Town of Riverhead*, 143 AD2d 135; *Matter of Atkin v Board of Assessors of Town of Greece*, 19 Misc 3d 1125[A], 2007 NY Slip Op 52552[U]; *Matter of Allied Corp. v Town of Camillus*, 80 NY2d 351; *Adams v Rizzo*, 13 Misc 3d 1235[A], 2006 NY Slip Op 52135[U].) II. The tax assessments, on the record, are not overvalued or incorrect. (*Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179; *Farash v Smith*, 59 NY2d 952; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of Commerce Holding Corp. v Board of Assessors of Town of Babylon*, 88 NY2d 724; *People ex rel. Claflin Co. v Feitner*, 58 App Div 468; *Matter of Villa Roma Country Club v Fulton*, 301 AD2d 911; *Rushford v Facticeau*, 280 AD2d 787; *Thoreson v Penthouse Intl.*, 80 NY2d 490.)

New York State Conference of Mayors and Municipal Officials, Albany (*Jane E. Tsamardinos* of counsel), and *Association of Towns of the State of New York* (*Michael E. Kenneally, Jr.*, of

counsel) for New York State Conference of Mayors and Municipal Officials and another, amici curiae. I. This Court's decision in *Matter of Commerce Holding Corp. v Board of Assessors of Town of Babylon* (88 NY2d 724 [1996]) does not mandate an annual per se reduction in assessed valuation where lead paint is present. (*Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179; *People ex rel. Wallington Apts. v Miller*, 288 NY 31; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176.) II. *Matter of Commerce Holding Corp. v Board of Assessors of Town of Babylon* (88 NY2d 724 [1996]) does not require the immediate recognition of the full cost to remediate a property in each year that a land owner fails to remediate the environmental contamination. (*Chapman v Silber*, 97 NY2d 9.)

OPINION OF THE COURT

RIVERA, J.

In this Real Property Tax Law article 7 proceeding challenging the tax assessments of certain residential properties located in Syracuse, New York, petitioner contends that the trial court erred by failing to consider the impact of contamination—specifically, lead paint—upon the market value of the properties. We hold that petitioner failed to rebut the presumption of validity that attaches to the tax assessments of the properties by the City of Syracuse. That is, petitioner failed to proffer substantial evidence demonstrating a diminution in market value to his properties caused by the mere presence of lead paint.

In this action, petitioner challenges the valuation by the City's Board of Assessment Review of five single-family, five-bedroom houses near Syracuse University used as rental housing for local college students. Petitioner commenced an RPTL article 7 proceeding to challenge the tax assessments of each property for the years 2001-2004, alleging that the City had overvalued the homes by a total of \$825,000 over the four-year period. Specifically, petitioner alleges that the property valuations did not account for the adverse effect that the presence of lead paint would have upon market value.¹

At the nonjury trial, on these consolidated proceedings, petitioner presented the expert testimony of G. Richard Kelley, a licensed real estate appraiser who concluded that the fair

1. Petitioner alleged in his complaints of asbestos contamination, but on this appeal, focuses on the negative impact of lead paint on the market values of the five properties.

market value of the properties had been negatively impacted by the presence of lead-based contaminants. Based upon an inspection of the properties, and pertinent income and expense data, Mr. Kelley adopted an income capitalization method that determines market value based upon a property's ability to generate income. Under this approach, Mr. Kelley first determined the hypothetical non-contaminated market values of the five properties. Mr. Kelley then relied upon the testimony of other witnesses, certified environmental testing companies and contractors hired by petitioner, who had examined the interiors, exteriors and soil of the five properties in 2008, and had positively confirmed the presence of lead-based contaminants. Those witnesses had proposed the approximate remediation and construction costs that would be incurred to remove the lead paint conditions from each property. Reducing the non-contaminated market values of the properties by their respective "cost to cure" figures, Mr. Kelley concluded that each of the five properties had a market value of \$1 for each year from 2001-2004.² Petitioner, however, continues to profit from the rental income generated by the five properties. Further, the lead paint conditions have not been abated, and therefore, no remediation costs have been incurred.

The City's expert, William J. Kimball, a licensed real estate appraiser, determined the market value of the five properties using both a sales comparison approach and an income capitalization method. Under both methods, however, Mr. Kimball concluded that the mere presence of lead paint, without more, did not diminish the market value of the five properties. Local property owners and brokers indicated that lead-based paint would have no adverse effect upon either the sales of the properties or their continued profitable use as student rental housing. Furthermore, City witnesses testified that absent evidence of flaking, chipping or peeling paint, lead paint did not present a hazardous condition.

Supreme Court denied the petition. As an initial matter, the court struck Mr. Kimball's appraisal reports, and trial testimony

2. Mr. Kelley's calculations actually resulted in negative market values for each of the five properties because the "cost to cure" exceeded the market value of the properties in a non-contaminated state. Relying on the concept of residual value, Mr. Kelley consequently assigned each property a market value of \$1 under the theory that a theoretical buyer would purchase property for \$1.

pertaining to those reports, because he failed to include supporting documentation required under 22 NYCRR 202.59 (g) (2), namely, the income and expense statements for the properties for the years in question. Nevertheless, the trial court concluded that Mr. Kimball's testimony challenging petitioner's appraisal reports would stand. On the merits, Supreme Court held that "[p]etitioner ha[d] failed to meet its burden of proof that for any of the years in question the subject properties are overvalued or that the assessments are incorrect." The court rejected Mr. Kelley's appraisals, finding that the reports' use of income and expense figures was unreliable, as evidenced by "large variance[s] in year to year expenses" that "raises red flags." Thus, finding that petitioner's expert "lack[s] credibility for a number of reasons," Supreme Court determined that petitioner had failed to satisfy his burden to demonstrate that the City overvalued the properties for tax assessment purposes.³

The Appellate Division unanimously affirmed for the reasons stated in Supreme Court's decision (78 AD3d 1590 [4th Dept 2010]). This Court granted petitioner leave to appeal, pursuant to CPLR 5602 (a) (1) (ii), from a judgment (denominated order) of Supreme Court that granted petitioner's motion to voluntarily discontinue its remaining claims with respect to other properties in these RPTL article 7 proceedings, bringing up for our review the prior nonfinal Appellate Division order (19 NY3d 806 [2012]). We now affirm.

It is well settled that property "[a]ssessments shall in no case exceed full value" (NY Const, art XVI, § 2). The ultimate goal of property valuation in any tax proceeding "is to arrive at a fair and realistic value of the property involved" (*Matter of Great Atl. & Pac. Tea Co. v Kiernan*, 42 NY2d 236, 242 [1977]) so that "all property owners contribute equitably to the public fisc" (*Matter of Allied Corp. v Town of Camillus*, 80 NY2d 351, 356 [1992]).

3. The parties contest whether lead-based contaminants were present in the five properties for tax years 2001-2004. Given that the presence of lead was common until 1970 when the use of lead paint was declared unlawful (*see* Public Health Law § 1372), petitioner contends that the positive confirmation of lead in 2008 permits the reasonable inference that the lead paint conditions existed from 2001-2004. Supreme Court drew a positive inference of the existence of lead paint, but concluded that absent evidence of flaking, chipping or peeling paint, "no such inference may be drawn as to the condition of the paint three to seven years earlier based upon the tests performed." For the purposes of this appeal, we assume that lead paint was present in the five properties for the subject four-year period.

In an RPTL article 7 proceeding, a rebuttable presumption of validity attaches to the valuation of property made by the taxing authority (see *Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179, 188 [1998]). Thus, a petitioner challenging the accuracy of a tax valuation has the initial burden to rebut the presumption by introducing substantial evidence that the property was overvalued (see *Matter of Bass v Tax Commn. of City of N.Y.*, 179 AD2d 387, 387 [1st Dept 1992] [“The presumption of validity of an assessment by the taxing authority is rebutted where, as here, credible evidence to the contrary is received”]; *Matter of FMC Corp.*, 92 NY2d at 188 [a “petitioner (must) demonstrate the existence of a valid and credible dispute regarding valuation”]; see also *Matter of Alexander’s Dept. Store of Val. Stream v Board of Assessors*, 227 AD2d 549, 550 [2d Dept 1996] [“The burden of proof is upon the taxpayer to establish, by substantial evidence, that the property was overvalued for taxation purposes”]). Only where the petitioner meets this burden and rebuts the presumption must the court “weigh the entire record, including evidence of claimed deficiencies in the assessment, to determine whether petitioner has established by a preponderance of the evidence that its property has been overvalued” (*Matter of FMC Corp.*, 92 NY2d at 188).

[1] Here, petitioner failed to proffer substantial evidence demonstrating that the presence of lead paint resulted in a diminution or devaluation in the market value of the five properties for the tax years 2001-2004. Relying primarily upon *Matter of Commerce Holding Corp. v Board of Assessors of Town of Babylon* (88 NY2d 724 [1996]), petitioner argues that the presence of lead paint and the attendant costs to cure lead-based contaminants should be factored because “the assessment of property value for tax purposes must take into account any factor affecting a property’s marketability” (*id.* at 729). In *Commerce Holding*, the taxpayer, Commerce Holding Corp., owned a parcel of land marred by severe subsurface environmental contamination caused by toxic leakage from industrial metal plating operations that occurred on the premises. As a result of the contamination, the property was designated a Superfund site pursuant to the Comprehensive Environmental Response, Compensation and Liability Act of 1980 (CERCLA), making Commerce Holding strictly liable for cleanup costs (see *id.* at 727-728). Consequently, Commerce Holding contended that the tax assessors “should have reduced the assessed property value to account for environmental contamination” (*id.* at 728). We agreed, remarking that to the extent it impairs market value, “contamination

must be considered in property tax assessment” (*id.* at 729). However, we also made clear that the effect of environmental contamination or hazards should be considered only if the “environmental contamination is shown to depress a property’s value” (*id.* at 729; *see also Criscuola v Power Auth. of State of N.Y.*, 81 NY2d 649, 652 [1993]). Here, notwithstanding the alleged presence of lead paint during the tax years 2001-2004, the five properties continued to generate rental income for petitioner, and he did not otherwise demonstrate that the presence of lead-based contaminants depressed the market value of the five properties.⁴ This is unsurprising, as petitioner did not discover the lead contamination until 2008, so neither he nor his renters were aware of any lead-based contaminants on the properties during the relevant period.

[2] The fact that Supreme Court struck the City’s appraisal reports because of a procedural deficiency does not, contrary to petitioner’s argument, require a finding in his favor. Petitioner bears the ultimate burden to rebut the presumption of validity accorded to the tax assessments issued by the City. To carry his burden, petitioner must show that the market value of the properties was diminished by the presence of lead paint, not its mere existence. To hold otherwise would permit a taxpayer to avoid his or her fair share of the tax burden, while, as in petitioner’s case, reaping the benefits of a rental market that is unaffected by the presence of the contaminant without having incurred any costs to remediate or abate the lead-based conditions.

4. [1] The nature of the contamination and market factors in this case further distinguish petitioner from the property owner in *Commerce Holding*. The property in *Commerce Holding* was a designated Superfund site, and the property owner was strictly liable pursuant to CERCLA and a consent order with the Environmental Protection Agency to remediate the site (*see* 88 NY2d at 728). Thus, we concluded that “cleanup costs are an acceptable, if imperfect, surrogate to quantify the environmental damage and provide a sound measure of the reduced amount a buyer would be willing to pay for the contaminated property” (*id.* at 732). Here, in contrast, there was no evidence that “a buyer of the property would have demanded an abatement in the purchase price to account for the contamination” (*id.* at 730). Petitioner admits there was no immediate legal requirement to abate the lead paint from the properties, and the ubiquitous nature of lead paint in residential properties, unlike the unique contamination of the Superfund site in *Commerce Holding*, undermines petitioner’s unsupported contention that there is a lead paint “stigma” depressing market value. Thus, petitioner’s proposed remediation costs are not an appropriate factor to be considered in evaluating the tax assessments of these properties.

Where the trial court declined to credit petitioner's appraisal reports, and the record does not demonstrate a diminution in market value caused by environmental contamination or hazards, petitioner failed to meet his burden and there is no basis to disturb the presumption of validity in the City's favor.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and FIGOTT concur; Judge ABDUS-SALAAM taking no part.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[995 NE2d 131, 972 NYS2d 169]

TIFFANY APPLEWHITE, an Infant, by SAMANTHA APPLEWHITE,
Her Mother and Natural Guardian, et al., Respondents, v
ACCUHEALTH, INC., et al., Defendants, and CITY OF NEW
YORK, Appellant.

Argued January 7, 2013; reargued May 30, 2013; decided June 25, 2013

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 15, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Douglas E. McKeon, J.), which had granted defendant City of New York's motion for summary judgment dismissing the complaint as against it; (2) denied the motion; and (3) reinstated the complaint as against defendant City of New York. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

Applewhite v Accuhealth, Inc., 90 AD3d 501, affirmed.

HEADNOTES

Municipal Corporations — Tort Liability — Governmental Function — Emergency Medical Technicians Responding to 911 Emergency Call

1. In a negligence action against defendant municipality arising from the provision of emergency medical care by emergency medical technicians (EMTs) in response to a 911 call for assistance for the infant plaintiff, defendant was acting in a governmental capacity at the time the claim arose and could not be held liable unless it owed a "special duty" to plaintiffs. When a negligence claim is asserted against a municipality, it must be determined whether the municipal entity was engaged in a proprietary function, which would subject it to suit under the ordinary rules of negligence applicable to nongovernmental parties, or acted in a governmental capacity at the time the claim arose. A government entity performs a purely proprietary role when its activities essentially substitute for or supplement traditionally private enterprises. In contrast, it will be deemed to have been engaged in a governmental function when its acts are undertaken for the protection and safety of the public pursuant to the general police powers. Publicly-employed, front-line EMTs and other first responders, who routinely place their own safety and lives in peril in order to rescue others, fulfill a government function because they exist for the protection and safety of the public and not as a substitute for private enterprises.

Municipal Corporations — Tort Liability — Special Relationship — Emergency Medical Technicians Responding to 911 Emergency Call

2. In a negligence action against defendant municipality arising from the provision of emergency medical care by emergency medical technicians (EMTs)

in response to a 911 call for assistance for the infant plaintiff, plaintiffs adequately established questions of fact on the applicability of the special duty doctrine, thereby precluding summary judgment for defendant. Whether a municipality has voluntarily assumed a “special relationship” with the plaintiffs in a negligence action beyond the duty that is owed to the public generally depends on the presence of four elements: an assumption by the municipality of an affirmative duty to act on behalf of the injured party; knowledge on the part of the municipality’s agents that inaction could lead to harm; some form of direct contact between the municipality’s agents and the injured party; and the injured party’s justifiable reliance on the municipality’s affirmative undertaking. There was a question of fact as to whether the EMTs who responded to the 911 call placed after the infant plaintiff experienced an episode of anaphylactic shock, through their actions or promises, assumed an affirmative duty in deciding to wait for advanced life support (ALS) paramedics to arrive and undertake more sophisticated medical treatment rather than immediately transporting the child to a nearby hospital. There was also a question of fact as to whether it was reasonable for plaintiff mother to rely on the EMTs’ alleged assurances rather than seek an alternative method for transporting the child to the nearby hospital since plaintiff mother claimed that she was not informed that it would take about 20 minutes for the ALS ambulance to arrive. Although plaintiffs had not specifically identified any other available avenues of protection to which plaintiff mother could have resorted, the allegations raised the question of whether the EMTs may have lulled plaintiffs into a false sense of security.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 38, 40, 44, 52, 76–87, 396.
NY JUR 2d, Government Tort Liability §§ 17–19, 194.
PROSSER AND KEETON, TORTS (5th ed) §§ 53, 131.

ANNOTATION REFERENCE

Liability for negligence of ambulance attendants, emergency medical technicians and the like, rendering emergency medical care outside hospital. 16 ALR5th 605.

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Query: 911 /2 call & government! /2 function /p special /2 duty

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Drake A. Colley, Fay Leoussis, Amy G. London, Margaret G. King and Edward F.X. Hart of counsel), for appellant. I. The Appellate Division correctly ruled that plaintiff’s claim that

emergency medical services should immediately have transported her daughter to the hospital implicated a governmental function, but erred in assuming a special duty pleading where plaintiff plainly never alleged one. (*Valdez v City of New York*, 18 NY3d 69; *McLean v City of New York*, 12 NY3d 194; *Kovit v Estate of Hallums*, 4 NY3d 499; *Pelaez v Seide*, 2 NY3d 186; *Cuffy v City of New York*, 69 NY2d 255; *Laratro v City of New York*, 8 NY3d 79; *Silver v City of New York*, 281 AD2d 233.) II. Assuming plaintiff had pleaded a special duty, the Appellate Division erred in finding that the emergency medical technicians' response to plaintiff's request that they immediately transport her daughter constituted an assurance or guarantee of safety and that plaintiff acted in justifiable reliance on that response. (*Valdez v City of New York*, 18 NY3d 69; *Cuffy v City of New York*, 69 NY2d 255; *Dinardo v City of New York*, 13 NY3d 872; *McLean v City of New York*, 12 NY3d 194; *Kircher v City of Jamestown*, 74 NY2d 251; *Silver v City of New York*, 281 AD2d 233; *Lauer v City of New York*, 95 NY2d 95; *Laratro v City of New York*, 8 NY3d 79; *Mollerson v City of New York*, 8 AD3d 70; *Clark v Town of Ticonderoga*, 291 AD2d 597, 98 NY2d 604.)

Kramer, Dillof, Livingston & Moore, New York City (*Matthew Gaier* and *Thomas A. Moore* of counsel), *Norman Bard* and *Murray S. Axelrod*, for respondents. I. The allegations at issue in this case involve proprietary functions of ambulance attendants rather than governmental functions of the City of New York. (*Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Sebastian v State of New York*, 93 NY2d 790; *Balsam v Delma Eng'g Corp.*, 90 NY2d 966; *Clinger v New York City Tr. Auth.*, 85 NY2d 957; *Schrempf v State of New York*, 66 NY2d 289; *Miller v State of New York*, 62 NY2d 506; *Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175; *Riss v City of New York*, 22 NY2d 579; *Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592; *Matter of Beary v City of Rye*, 44 NY2d 398.) II. This case involves misfeasance by the City of New York's emergency medical technicians to which the special duty doctrine does not apply. (*Fonville v New York City Health & Hosps. Corp.*, 300 AD2d 623; *Badillo v City of New York*, 35 AD3d 307; *Haggerty v Diamond*, 251 AD2d 455, 92 NY2d 814; *LaLonde v Hurteau*, 239 AD2d 858; *Walsh v Town of Cheektowaga*, 237 AD2d 947; *Rodriguez v City of New York*, 189 AD2d 166; *McLean v City of New York*, 12 NY3d 194; *Parvi v City of Kingston*, 41 NY2d 553; *Wolf v City of New York*, 39 NY2d 568; *Marks v Nambil Realty Co.*, 245 NY 256.) III. The Appellate Division properly found that defendants were not entitled to summary judgment on the

issue of whether there was a special duty. (*Misicki v Caradonna*, 12 NY3d 511; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Fischer v Zepa Consulting*, 95 NY2d 66; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Nicole V.*, 71 NY2d 112; *County of Nassau v Cuomo*, 69 NY2d 737; *Utica Mut. Ins. Co. v Prudential Prop. & Cas. Ins. Co.*, 64 NY2d 1049; *McClelland v Mutual Life Ins. Co. of N.Y.*, 217 NY 336; *Smalls v AJI Indus., Inc.*, 10 NY3d 733; *JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373.)

John A. Mancini, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. Abandoning the long-held standard that there can be no liability against a municipality without plaintiff demonstrating that a special duty was owed to that person would expose local governments and the state to an avalanche of litigation and potential liability, stressing municipal and state resources that are already stretched to the breaking point. (*Valdez v City of New York*, 18 NY3d 69; *Laratro v City of New York*, 8 NY3d 79; *Cuffy v City of New York*, 69 NY2d 255.) II. Judgment against defendants could have a tremendous chilling effect on other municipalities across the state that provide on-scene emergency medical services, as well as police and fire protection. III. Municipal emergency responders should not have to fear liability when exercising their professional judgment. (*Mon v City of New York*, 78 NY2d 309; *Arias v City of New York*, 22 AD3d 436.)

Michael Jaffee, New York City, and *Pollack Pollack Isaac & De Cicco* (*Brian J. Isaac* of counsel) for New York State Trial Lawyers Association, amicus curiae. Governmental immunity does not apply to the provision of on-the-scene medical care, which is governed by ordinary negligence principles in which special duty/relationship rules have no application. (*Valdez v City of New York*, 18 NY3d 69; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *McLean v City of New York*, 12 NY3d 194; *Dinardo v City of New York*, 13 NY3d 872; *Lauer v City of New York*, 95 NY2d 95; *Sebastian v State of New York*, 93 NY2d 790; *Schrempf v State of New York*, 66 NY2d 289; *Riss v City of New York*, 22 NY2d 579; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Eiseman v State of New York*, 70 NY2d 175.)

OPINION OF THE COURT

GRAFFEO, J.

When a municipality provides ambulance service by emergency medical technicians in response to a 911 call for assistance, it performs a governmental function and cannot be held

liable unless it owed a “special duty” to the injured party. Based on the specific allegations interposed in this case, plaintiffs have adequately established questions of fact on the applicability of the special duty doctrine, thereby precluding summary judgment for the municipal defendants.

I

In 1998, plaintiff Tiffany Applewhite suffered from uveitis, an eye condition, which required the intravenous administration of a prescribed medication. After a visiting nurse injected Tiffany with the drug at her home, the 12-year-old girl experienced an episode of anaphylactic shock. When Tiffany’s breathing difficulties worsened, her mother dialed 911 seeking assistance. While the nurse performed whatever emergency care that she could provide, Tiffany had a seizure followed by cardiac arrest.

Within minutes after the 911 call was placed, two emergency medical technicians (EMTs) employed by the New York City Fire Department arrived at the Applewhite apartment, having traveled in a basic life support ambulance. The EMTs had been dispatched because no advanced life support (ALS) ambulance transporting paramedics was available at the time. One EMT immediately began performing cardiopulmonary resuscitation (CPR) on Tiffany while the other called for an ALS ambulance and then retrieved equipment from the ambulance.

At some point, Tiffany’s mother allegedly requested that the EMTs transport Tiffany to nearby Montefiore Hospital. The EMT continued to conduct CPR on Tiffany until paramedics from a private hospital, who arrived in an ALS ambulance, appeared at the scene. The paramedics injected Tiffany with epinephrine to counter the effects of anaphylactic shock, intubated her, administered oxygen and then transported her to Montefiore Hospital. Tiffany survived the ordeal but tragically suffered serious brain damage.

Tiffany and her mother commenced this action against the nurse, her employer (Accuhealth, Inc.), and the City of New York and its emergency medical services (EMS). Accuhealth dissolved in bankruptcy and the lawsuit against the nurse was settled. Thus, the only claims that remain outstanding are those against the municipal defendants (referred to collectively as the City).

The City moved for summary judgment, primarily contending that it was immune from liability because it did not owe a special duty to plaintiffs. In the alternative, the City maintained

that the actions of its personnel were not the proximate cause of Tiffany's injuries; rather, Tiffany's allergic reaction was the result of the drug administered to the child by the nurse. Supreme Court granted the City's motion, concluding that plaintiffs could not prove that the City owed them a special duty or that the municipal defendants were the proximate cause of the harm.

The Appellate Division reversed and reinstated the claims against the City (90 AD3d 501 [1st Dept 2011]). It determined that the City's emergency medical response was governmental in nature, but found that plaintiffs raised triable issues of fact as to whether the City had assumed a special duty to plaintiffs and whether it proximately caused their injuries. The Appellate Division certified a question to us asking if its decision was correct.

II

When a negligence claim is asserted against a municipality, the first issue for a court to decide is whether the municipal entity was engaged in a proprietary function or acted in a governmental capacity at the time the claim arose. If the municipality's actions fall in the proprietary realm, it is subject to suit under the ordinary rules of negligence applicable to non-governmental parties (*see Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428, 446-447 [2011], *cert denied sub nom. Ruiz v Port Auth. of New York & New Jersey*, 568 US —, 133 S Ct 133 [2012]). A government entity performs a purely proprietary role when its "activities essentially substitute for or supplement traditionally private enterprises" (*Sebastian v State of New York*, 93 NY2d 790, 793 [1999] [internal quotation marks omitted]). In contrast, a municipality will be deemed to have been engaged in a governmental function when its acts are "undertaken for the protection and safety of the public pursuant to the general police powers" (*id.* [internal quotation marks omitted]).

Because this dichotomy is easier to state than to apply in some factual scenarios, the determination categorizing the conduct of a municipality may present a close question for the courts to decide (*see Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d at 446-447; *Sebastian*, 93 NY2d at 793-794). Police and fire protection are examples of long-recognized, quintessential governmental functions (*see e.g. Valdez v City of New York*, 18 NY3d 69, 75 [2011]; *Harland Enters. v Commander Oil Corp.*, 64 NY2d 708, 709 [1984]). Additional examples include security operations at the World Trade Center (*see Matter of World Trade*

Ctr. Bombing Litig., 17 NY3d at 450); oversight of juvenile delinquents (see *Sebastian*, 93 NY2d at 796); issuance of building permits or certificates of occupancy (see *Rottkamp v Young*, 15 NY2d 831, 833 [1965], *affg* 21 AD2d 373 [2d Dept 1964]; *Worth Distribs. v Latham*, 59 NY2d 231, 237 [1983]); certifying compliance with fire safety codes (see *Garrett v Holiday Inns*, 58 NY2d 253, 261-262 [1983]); teacher supervision of a public school playground (see *Bonner v City of New York*, 73 NY2d 930, 932 [1989]); boat inspections (see *Metz v State of New York*, 20 NY3d 175, 179-180 [2012]); and garbage collection (see *Nehrbas v Incorporated Vil. of Lloyd Harbor*, 2 NY2d 190, 194-195 [1957]). On the other hand, we have recognized that certain medical services delivered by the government in hospital-type settings are more akin to private, proprietary conduct (see *e.g. Schrempf v State of New York*, 66 NY2d 289 [1985]; *Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592 [1999]; *Matter of Murray v City of New York*, 30 NY2d 113 [1972]). As a general rule, the distinction is that the government will be subject to ordinary tort liability if it negligently provides “services that traditionally have been supplied by the private sector” (*Sebastian*, 93 NY2d at 795).

If it is determined that a municipality was exercising a governmental function, the next inquiry focuses on the extent to which the municipality owed a “special duty” to the injured party. The core principle is that to “‘sustain liability against a municipality, the duty breached must be more than that owed the public generally’ ” (*Valdez*, 18 NY3d at 75, quoting *Lauer v City of New York*, 95 NY2d 95, 100 [2000]). We have recognized that a special duty can arise in three situations: (1) the plaintiff belonged to a class for whose benefit a statute was enacted; (2) the government entity voluntarily assumed a duty to the plaintiff beyond what was owed to the public generally; or (3) the municipality took positive control of a known and dangerous safety condition (see *e.g. Metz*, 20 NY3d at 180). It is the plaintiff’s obligation to prove that the government defendant owed a special duty of care to the injured party because duty is an essential element of the negligence claim itself (see *Lauer*, 95 NY2d at 100; see also *Valdez*, 18 NY3d at 75). In situations where the plaintiff fails to meet this burden, the analysis ends and liability may not be imputed to the municipality that acted in a governmental capacity.¹

1. Contrary to the parties’ arguments, our precedent does not differentiate between misfeasance and nonfeasance, and such a distinction is irrelevant to

(n. cont’d)

III

In this case, the parties dispute whether the City exercised a governmental or proprietary function when the EMTs initiated emergency care. The City asserts that the provision of 911 referrals and emergency medical service responses are within the traditional responsibilities of municipal government, similar in nature to emergency fire protection services. Plaintiffs, however, maintain that the governmental function terminated with the arrival of the EMTs at Tiffany’s home and a proprietary function arose once emergency medical care was undertaken since treatment of this nature is generally offered by private parties (e.g., doctors and hospital personnel) and the City charges fees for its ambulance services. Consistent with their respective arguments, the City asserts that plaintiffs failed, as a matter of law, to establish triable issues of fact pertaining to the creation of a special relationship,² and plaintiffs urge that summary judgment was inappropriate because there are factual disputes to be resolved before the issue of special duty can be determined.

In *Laratro v City of New York* (8 NY3d 79 [2006]), the plaintiff sued the City for responding too slowly to a 911 call (the ambulance took 35 minutes to arrive, as opposed to the several-minute response time in this case). Our analysis began with the recognition that “[p]rotecting health and safety is one of municipal government’s most important duties” (*id.* at 81) and this responsibility extends to “the duty to provide police protection, fire protection or ambulance service” to the general public (*id.* at 82-83 [emphasis added]). We proceeded to determine whether the plaintiff had sufficiently established the existence of a special duty—an inquiry that would have been unnecessary had we viewed the City’s response to the 911 call as a proprietary function. Hence, we have previously viewed municipal emergency systems and responses to 911 calls to be within the sphere of governmental functions.

Our concurring colleagues contend that the EMTs acted in a proprietary capacity when they began to render aid, equating their conduct with medical services such as mental health care

the special duty analysis (see generally *McLean v City of New York*, 12 NY3d 194, 202 [2009]; *Schuster v City of New York*, 5 NY2d 75, 82 [1958]).

2. Although the City claims that plaintiffs were required to specifically plead the existence of a special duty in their complaint, we decline to address this issue because it was not properly raised in Supreme Court. Additionally, the City does not challenge the Appellate Division’s determination that the EMTs were “acting in a ministerial capacity” (90 AD3d at 503).

(see *Schrempf v State of New York*, 66 NY2d 289 [1985]), obstetrics (see *Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592 [1999]) and surgery (see *Matter of Murray v City of New York*, 30 NY2d 113 [1972]). In those situations, however, the “governmental activities . . . displaced or supplemented traditionally private enterprises” (*Riss v City of New York*, 22 NY2d 579, 581 [1968]). Emergency medical services, in contrast, have widely been considered one of government’s critical duties (see e.g. 1982 Ops St Comp No. 82-182; *Edwards v City of Portsmouth*, 237 Va 167, 171, 375 SE2d 747, 750 [1989]; *Ross v Consumers Power Co.*, 420 Mich 567, 654, 363 NW2d 641, 677 [1984]; *King v Williams*, 5 Ohio St 3d 137, 140, 449 NE2d 452, 455 [1983]; *Thornton v Shore*, 233 Kan 737, 742, 666 P2d 655, 659 [1983]; *McIver v Smith*, 134 NC App 583, 587, 518 SE2d 522, 525 [1999]; *Wanzer v District of Columbia*, 580 A2d 127, 131 [DC Ct App 1990]; *Ayala v City of Corpus Christi*, 507 SW2d 324, 328 [Tx Civ App 1974]; *Smith v City of Lexington*, 307 SW2d 568, 569-570 [Ky Ct App 1957]).

[1] Consistent with this view and our reasoning in *Laratro* (8 NY3d 79), we believe that publicly-employed, front-line EMTs and other first responders, who routinely place their own safety and lives in peril in order to rescue others, surely fulfill a government function—certainly no less so than municipal garbage collectors and school playground supervisors (see *Nehrbas*, 2 NY2d at 194-195; *Bonner*, 73 NY2d at 932; see also *Edwards v City of Portsmouth*, 237 Va at 171, 375 SE2d at 750)—because they exist “for the protection and safety of the public” and not as a “substitute for . . . private enterprises” (*Sebastian*, 93 NY2d at 793 [internal quotation marks omitted]). The facts of this case reinforce this view since the purportedly negligent EMTs were employees of the City’s fire department using City resources in an effort to fulfill the City’s obligation to answer an emergency 911 dispatch and attempt to save Tiffany Applewhite’s life. And contrary to the belief expressed in the concurring opinions, the fact that private entities operate ambulance services in New York City is not determinative because those companies provide supplemental support for a critical governmental duty rather than vice versa (see *Edwards v City of Portsmouth*, 237 Va at 171-172, 375 SE2d at 750 [“the test cannot be whether the same thing is done by private entities, but rather whether, in providing such services, the governmental entity is exercising the powers and duties of

government conferred by law for the general benefit and well-being of its citizens’)].³ Nor does the City’s policy of charging a fee for its ambulance service (*see* 3 RCNY 4900-02 [b]) alter the analysis because it is designed to defray the cost of maintaining this essential component of the City’s emergency response system, not to create a profit for the taxpayers (*see* General Municipal Law § 122-b [2]; 2005 Ops St Comp No. 05-8; *see also* *Wanzer*, 580 A2d at 131; *Edwards*, 237 Va at 172, 375 SE2d at 750; *Smyser v City of Peoria*, 215 Ariz 428, 435-436, 160 P3d 1186, 1193-1194 [Ct App 2007]; *McIver v Smith*, 134 NC App at 587, 518 SE2d at 526).

Moreover, and unlike the types of medical providers identified by the concurrences, the EMTs employed by the New York City Fire Department (FDNY) and deployed via the 911 system receive training in basic life support techniques and their range of approved emergency services is limited by law (*see* Public Health Law § 3001 [6] [defining the term “emergency medical technician”]; 10 NYCRR 800.6 [c] [listing eight types of emergency medical services personnel]; 10 NYCRR 800.20 [c] [5] [i] [describing the required curricula for various classes of first responders]). Basic EMTs function in a “pre-hospital setting” and their activities are generally restricted to “CPR, oxygen administration, bleeding control, foreign body airway obstruction removal, and spinal immobilization.”⁴ Most EMTs (who are not specially certified as paramedics) are not authorized by law to administer medication, such as epinephrine, or perform invasive procedures, and do not have access to advanced diagnostic and medical treatment equipment or physician assistance (*see generally* 10 NYCRR 800.20 [c] [5] [i] [a]-[c]), all of which are common in public and private hospital facilities. EMTs cannot be realistically compared to the proprietary medical professionals whose licensure requires extensive educational and training credentials, and who typically provide services at hospital or medical facilities rather than in the unpredictable community-at-large.

3. In fact, as Judge Abdus-Salaam’s concurrence observes (*see* concurring op at 437), government-operated ambulances handle approximately two thirds of EMS tours in New York City (*see* 2012/2013 Ann Rep of Fire Dept of City of New York at 27, available at http://www.nyc.gov/html/fdny/pdf/publications/annual_reports/2012_annual_report.pdf [accessed June 19, 2013]).

4. *See* Fire Dept of City of New York, http://www.nyc.gov/html/fdny/html/community/emt_medic_faqs.html (accessed June 19, 2013).

Public policy considerations support this analysis. The rationale underlying the government-function doctrine rests on several critical concerns: that the costs of tort recoveries would be excessively burdensome for taxpayers; the threat of liability could dissuade municipalities from maintaining emergency medical and ambulance services; and extensive exposure to liability could consequently render municipal governments less, not more, effective in protecting their citizens (*see Laratro*, 8 NY3d at 82). This, in turn, would place the public at greater risk of danger, particularly in locales that are a considerable distance from private medical or hospital emergency care. Even a metropolis like New York City could feel a chilling effect when it considers the prospect of unknown liability exposure from the thousands of EMS runs it performs on a daily basis.⁵ It would be an unfortunate consequence if municipal emergency response systems were limited to mere transport service rather than emergency medical stabilization measures. We therefore decline to adopt a rule that has the potential to undermine this significant aspect of the government's 911 emergency response system.

Hence, we hold that a municipal emergency response system—including the ambulance assistance rendered by first responders such as the FDNY EMTs in this case—should be viewed as “a classic governmental, rather than proprietary, function” (*Valdez*, 18 NY3d at 75).

IV

[2] Our conclusion does not necessarily immunize the City from liability because plaintiffs may yet establish that a special duty was owed to them. Of the three ways that a plaintiff may prove the existence of a special duty, only the second is at issue in this appeal—whether the City voluntarily assumed a “special relationship” with the plaintiffs beyond the duty that is owed to the public generally. The response to that question requires the presence of four elements:

“ ‘(1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the party who was injured; (2) knowledge

5. During the 2012 fiscal year alone, there were approximately 1.4 million EMS apparatus responses in New York City—an average of approximately 3,800 per day—most of which were performed by municipal employees (*see* 2012/2013 Ann Rep of Fire Dept of City of New York at 26-27, available at http://www.nyc.gov/html/fdny/pdf/publications/annual_reports/2012_annual_report.pdf [accessed June 19, 2013]).

on the part of the municipality's agents that inaction could lead to harm; (3) some form of direct contact between the municipality's agents and the injured party; and (4) that party's justifiable reliance on the municipality's affirmative undertaking' " (*Laratro*, 8 NY3d at 83, quoting *Cuffy v City of New York*, 69 NY2d 255, 260 [1987]).

A plaintiff must satisfy each of these factors in order to establish a special relationship. Here, the parties' dispute centers on the first and fourth elements. We agree with the Appellate Division that plaintiffs have adequately presented questions of fact on both of these factors.

Tiffany's mother recalled that once she realized the treatment provided by the EMTs would be limited to CPR, she "asked them to please take Tiffany to Montefiore Hospital right away, because it was only a few minutes away from our house at that time." The EMT apparently continued performing CPR and allegedly indicated that he was awaiting the arrival of ALS ambulance personnel. This poses a question of fact as to whether the EMTs, through their actions or promises, assumed an affirmative duty in deciding to have ALS paramedics undertake more sophisticated medical treatment rather than transporting the child to a hospital.

A factual resolution by a jury is also necessary to resolve the justifiable reliance element. It is possible that a fact finder could conclude that it was reasonable for Tiffany's mother to rely on the EMTs' alleged assurances rather than seek an alternative method for transporting Tiffany to the nearby hospital since the child's mother claims that she was not informed that it would take about 20 minutes for the ALS ambulance to arrive. Although it is true, as the City contends, that plaintiffs have not specifically identified any " 'other available avenues of protection' " to which the mother could have resorted (*Dinardo v City of New York*, 13 NY3d 872, 874 [2009], quoting *Cuffy*, 69 NY2d at 261), the allegations raise the question of whether the EMTs may have "lulled" plaintiffs "into a false sense of security" (*Dinardo*, 13 NY3d at 874 [internal quotation marks omitted]). Plaintiffs are therefore entitled to show how the EMTs' statements or "conduct deprived [plaintiffs] of assistance that reasonably could have been expected from another source" (*Merced v City of New York*, 75 NY2d 798, 800 [1990]). In this regard, plaintiffs have the ultimate burden of establishing that some other reasonable alternative was available (*see Valdez*, 18 NY3d at 75).

In sum, because there are issues of fact associated with the eventual determination as to whether the City owed a special duty to plaintiffs, the City is not entitled to summary judgment dismissing the complaint against it.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

SMITH, J. (concurring). I concur in the result, but not the reasoning, of the majority opinion. I am unable to find in this record evidence either of a promise (implicit or explicit) by the EMTs to do anything other than what they in fact did, or of any justifiable reliance by either plaintiff on such a promise. I would vote to dismiss the complaint if I thought, as the majority does, that the EMTs were performing a governmental function.

But the provision of medical care—including emergency medical care—is not something that only government does or can do. I think the label “proprietary” better suits the activity of the EMTs here, and thus I conclude that the doctrine of governmental immunity does not apply to this case.

The doctrine has always been limited to those functions that are unique to government. For example, we have held that, in the absence of a special duty, a suit cannot be based on negligence in providing police protection (*Valdez v City of New York*, 18 NY3d 69 [2011]); maintaining a registry of child care centers (*McLean v City of New York*, 12 NY3d 194 [2009]); performing safety inspections of public vessels (*Metz v State of New York*, 20 NY3d 175 [2012]); or issuing a death certificate (*Lauer v City of New York*, 95 NY2d 95 [2000]). Governmental immunity does not apply when a public employee, acting in the course of his or her employment, commits an ordinary tort that anyone else might commit—for example, when the employee is negligent in driving a car (*Dooley v State of New York*, 254 App Div 381 [1938], *affd* 280 NY 748 [1939]) or firing a gun (*Buckley v City of New York*, 56 NY2d 300 [1982]). There are difficult, borderline cases: when a public entity is sued for failing to protect from harm the occupants of a building that it owns, it may not be obvious whether it is acting as a landlord providing security—in which case it is held to the same standards as a private landlord (*Miller v State of New York*, 62 NY2d 506 [1984])—or as a government deciding on the allocation of police resources—in which case it may claim immunity (*Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428 [2011]).

It has long been accepted that the provision of medical care by a governmental entity falls on the “proprietary” side of the line, so that in such cases the doctrine of governmental immunity is inapplicable. There are many cases involving alleged medical malpractice in publicly-owned hospitals, in which the unavailability of immunity has apparently been assumed without discussion (*e.g. Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592 [1999]; *Matter of Beary v City of Rye*, 44 NY2d 398 [1978]; *Matter of Murray v City of New York*, 30 NY2d 113 [1972]; *Schempp v City of New York*, 25 AD2d 649 [1st Dept 1966], *affd* 19 NY2d 728 [1967]). In *Schrempf v State of New York* (66 NY2d 289, 293-294 [1985]), we expressly held that the rule that “the State cannot be held liable for negligent failure to perform governmental activities . . . has no application in cases where the State engages in a proprietary function . . . such as providing medical and psychiatric care.” No exception has been made where the care is provided on an “emergency” basis (*see Murray*, 30 NY2d at 115; *Garcia v New York City Health & Hosps. Corp.*, 299 AD2d 268, 269 [1st Dept 2002]).

Yet the majority today concludes that the emergency medical care provided by the City-employed EMTs in this case was a governmental function, because the EMTs arrived at plaintiffs’ home in a City ambulance. The majority points out that in *Laratro v City of New York* (8 NY3d 79, 82-83 [2006]) we listed “the duty to provide . . . ambulance service” as among those that “the municipality owes to the general public,” and accordingly applied the governmental immunity doctrine (majority op at 427). But the service we were referring to in *Laratro* was the *dispatching* of an ambulance in response to a 911 call; the claim in *Laratro*, which we held barred by governmental immunity, was that a City-employed 911 operator was negligent in transmitting a request for emergency help. Answering a 911 call and seeing that help, where needed, is promptly sent is clearly a governmental function—so clearly that *Laratro* does not even discuss the governmental-proprietary distinction. The majority also relies on a number of out-of-state cases (*see* majority op at 428-429), but many of those are more similar to *Laratro* than to this case; only one, *Smyser v City of Peoria* (215 Ariz 428, 435-436, 160 P3d 1186, 1193-1194 [Ct App 2007]), involved alleged negligence in providing emergency medical care after an ambulance arrived.

Where that is the allegation, I see no reason why immunity should be more available to a city than if city employees were

providing similar care in the emergency room of a city hospital; or why a city should be immune for acts that could clearly be the basis of suit if the EMTs were employed by a private ambulance service responding to the same call. Of course it is true, as the majority says, that EMTs do not provide the broad range of medical care that would be available in a hospital or a doctor's office (*see* majority op at 429); but why does that make one activity governmental and the other proprietary? The more important fact, I suggest, is that the services of ambulance-dispatched EMTs, like other forms of medical care, can be and often are furnished by private providers.

The majority emphasizes "public policy considerations" (majority op at 430), arguing essentially that tort liability will burden municipalities excessively, and dissuade them from offering life-saving services. I agree that this is a legitimate concern—but it seems to me to apply no less to the equally important services provided in municipal hospitals. In general, it may well be a bad idea, where no special duty is found, to subject municipalities to potentially huge liability in cases involving such catastrophic injuries as the one suffered by the child plaintiff here. But it may be an even worse idea to exempt municipal agencies from that liability without also exempting their competitors in the private sector. If the burden is too heavy for the taxpayers to bear, why should the owner of a private ambulance service be asked to bear it? And if government is to be exempt from such liability when private providers are not, does that not invite the government to load excessive burdens on the private sector, without worrying about the consequences to itself?

I am not an uncritical admirer of our tort system, but I think it is best administered when public and private parties similarly situated are bound by the same rules. I therefore disagree with the favored treatment that the majority would accord to public entities that provide emergency medical care.

ABDUS-SALAAM, J. (concurring). This Court must balance the important public policy of insulating the government from tort liability for essential services it provides to the public, with the equally important principle that those who undertake to provide medical treatment must do so with reasonable care. While I agree that the Appellate Division properly reinstated the complaint against the City, I believe that the majority's rationale is incorrect. I would hold that the EMTs performed a proprietary function, and that there is a triable issue of fact concerning proximate cause.

As an initial matter, I differ with the majority's interpretation of the Appellate Division's decision. According to the majority, the Appellate Division held that the EMTs' actions were governmental in nature and that issues of fact existed as to whether the City had assumed a special duty to plaintiffs and had proximately caused their injuries (*see* majority op at 425).

My reading of the decision is that the Appellate Division determined that the City "assumed a special duty toward th[ese] plaintiff[s]" (90 AD3d 501, 504 [1st Dept 2011]), and that no issues of fact remained as to this point. The court held that the EMTs' "assurances and advice" that it would be best to wait for the ALS ambulance rather than transport Tiffany to the hospital "constituted an assumption, through promises or actions, to act on behalf of infant plaintiff" (*id.* [internal alterations and quotation marks omitted]), and that "[t]he mother justifiably relied on the EMS technicians, who had taken control of the emergency situation, and who elected to await the arrival of the ALS ambulance" (*id.* at 505). There was no dispute between the parties as to whether the remaining two factors required for a special relationship were satisfied. Thus, the dispositive issue of fact discerned by the Appellate Division was with respect to proximate cause, not special relationship.¹

I disagree with the majority's conclusion that municipal EMTs perform a governmental function. The provision of medical treatment, whether by an EMT or a doctor, either in an emergency or a non-emergency situation, simply is not a governmental function.

Here, the City, by dispatching an ambulance to plaintiffs' home where EMTs treated Tiffany, acted in a dual proprietary and governmental capacity. As we observed in *Matter of World Trade Ctr. Bombing Litig.* (17 NY3d 428 [2011]):

"[I]n light of the fact that the varied functions of a governmental entity can be interspersed with both governmental and proprietary elements, the determination of the primary capacity under which a governmental agency was acting turns solely on the acts or omissions claimed to have caused the injury" (17 NY3d at 447).

1. The Appellate Division did indicate that the mother's affidavit in opposition to a different motion made by another defendant, nurse Russo, might have raised an issue of fact because it did not specifically allege that the mother asked the EMTs to transport her daughter to the hospital. But the court found her affidavit "irrelevant" to the City's motion (90 AD3d at 505).

I agree with plaintiffs and my concurring colleagues that the dispatch of the ambulance by the 911 operator was a governmental act (see *Laratro v City of New York*, 8 NY3d 79, 82-83 [2006]; *Sherpa v New York City Health & Hosps. Corp.*, 90 AD3d 738, 740 [2d Dept 2011]), while the EMTs' care and treatment of Tiffany was proprietary (see e.g. *Schrempf v State of New York*, 66 NY2d 289, 293-294 [1985] [state mental hospital engaged in proprietary function by treating and releasing patient]; *Kowal v Deer Park Fire Dist.*, 13 AD3d 489, 491 [2d Dept 2004] ["mifeasance with respect to medical treatment . . . is not a governmental function" and special relationship not applicable where fire department ambulance crew member "undertook the duty to treat the decedent"]; *Fonville v New York City Health & Hosps. Corp.*, 300 AD2d 623, 624 [2d Dept 2002] [claim that EMT rendered improper treatment reinstated, even absent a showing of special duty, because EMT had duty to perform with due care]). That the City's emergency medical services are assigned to the fire department does not mean, as suggested by the majority, that the entire EMS operation, including medical treatment, is a governmental function.

Nor does our decision in *Laratro* mandate that the entire EMS operation be considered a governmental function. In *Laratro*, we determined that, absent a special relationship, the City could not be held liable for the alleged negligence of a 911 operator because the dispatch of ambulances in response to 911 calls is a governmental function (see 8 NY3d at 82-83). This case does not involve a 911 operator's delay in responding to an emergency call; rather, it concerns the allegedly negligent medical care and treatment rendered by the EMTs once they arrived at plaintiffs' home. Thus, as plaintiffs and my concurring colleagues point out, *Laratro* does not necessarily extend to, or control the outcome, in this case.

It is beyond dispute that in New York, government hospitals are subject to liability for negligent medical treatment without any required showing by a plaintiff of a special relationship (see e.g. *Schrempf*, 66 NY2d at 293-294; *Sukhraj v New York City Health & Hosps. Corp.*, 106 AD3d 809 [2d Dept 2013]).² By grouping the provision of medical treatment by EMTs with the

2. In this regard, the majority's citation to *Edwards v City of Portsmouth* (237 Va 167, 375 SE2d 747 [1989]), a decision by the Supreme Court of Virginia, is inapposite. The Virginia court has held, in contrast to New York jurisprudence, that "hospital services provided by a city [are] an exercise of a governmental function" (*Edwards*, 237 Va at 171, 375 SE2d at 749, citing *City*

(n. cont'd)

actions of “other first responders” (majority op at 428), the majority misses the point that unlike fire and police protection—services not traditionally provided by the private sector—the private sector has long been involved in the provision of ambulance and emergency medical services (*cf. Sebastian v State of New York*, 93 NY2d 790, 795 [1999] [patient’s placement and escape from a facility for juvenile delinquents “derives from State activities that are distinctly governmental and have no private sector counterpart”]). In fact, roughly 35% of all 911 ambulance tours in New York City are operated by private ambulances.³ Those who undertake to provide medical treatment must exercise reasonable care—regardless of whether the caregiver is a doctor, nurse, or EMT, or whether the care occurs in a “pre-hospital setting” (majority op at 429) or a hospital setting—and this duty should not be circumscribed by the constraints of governmental immunity.

I share the concerns of my colleagues that tort liability for negligent treatment rendered by municipal EMTs and other medical personnel will burden the public fisc and possibly dissuade municipalities from continuing to provide emergency medical treatment in connection with their ambulance services. However, I do not believe this concern should cause us to employ a strained legal analysis in order to reach a desired result.

In the majority’s view, defining medical treatment by EMTs as a governmental function, and requiring plaintiffs to demonstrate that a special duty exists, advances public policy by limiting the exposure of municipalities to excessive tort recoveries. This decision will not achieve the majority’s goal. It will be the

of *Richmond v Long*, 58 Va [17 Gratt] 375 [1867]). Similarly, many of the other out-of-state cases cited by the majority, which address a municipality’s general authority to operate a public ambulance system (*see Ayala v City of Corpus Christi*, 507 SW2d 324, 328 [Tx Civ App 1974]) and its potential liability for the negligent actions of 911 dispatchers (*see Ross v Consumers Power Co.*, 420 Mich 567, 654, 363 NW2d 641, 677 [1984]; *Wanzer v District of Columbia*, 580 A2d 127, 131 [DC Ct App 1990]), ambulance drivers (*see King v Williams*, 5 Ohio St 3d 137, 140, 449 NE2d 452, 455 [1983]; *McIver v Smith*, 134 NC App 583, 587, 518 SE2d 522, 525 [Ct App 1999]; *Smith v City of Lexington*, 307 SW2d 568, 569-570 [Ky Ct App 1957]), and operators of police vehicles (*see Thornton v State*, 233 Kan 737, 742, 666 P2d 655, 659 [1983]), do not support the conclusion that the provision of medical care by EMTs must be classified as a governmental function.

3. *Hearing on the Fiscal Year 2013 Executive Budget*, Finance Division Briefing Paper, Fire Department, June 1, 2012 at 5, available at <http://council.nyc.gov/downloads/pdf/budget/2013/execbudget/057%20Fire%20Department.pdf> (last visited June 19, 2013).

rare case where an injured party, having been assessed and treated by an EMT, will not be able to demonstrate the four elements of a special relationship: (1) assumption by the EMT of an affirmative duty to act on behalf of the injured party, (2) knowledge by the EMT that inaction could lead to harm, (3) some form of direct contact between the EMT and the injured party, and (4) that party's justifiable reliance on the EMT's affirmative undertaking (see *Mastroianni v County of Suffolk*, 91 NY2d 198, 204 [1997]; *Cuffy v City of New York*, 69 NY2d 255, 260 [1987]). Thus, even in special duty cases, municipalities will likely be exposed to liability.

In that regard, unlike my concurring colleagues who find no record evidence of a special relationship, I think the facts of this case demonstrate that the EMTs assumed a special duty toward plaintiffs (see 90 AD3d at 504). Merely by undertaking to treat Tiffany, the EMTs assumed an affirmative duty to act on her behalf (see *Cuffy*, 69 NY2d at 260 [a municipality assumes an affirmative duty to act "through promises or actions"]) and plaintiffs justifiably relied on the EMTs "who had taken control of the emergency situation" (90 AD3d at 505). Even if I could agree with the majority that the EMTs were performing a governmental function, I would nonetheless conclude that there is no triable issue regarding a special relationship between plaintiffs and the EMTs.

Chief Judge LIPPMAN and Judges READ and RIVERA concur with Judge GRAFFEO; Judge SMITH concurs in result in an opinion in which Judge PIGOTT concurs; Judge ABDUS-SALAAM concurs in result in a separate opinion.

Order affirmed, with costs, and certified question answered in the affirmative.

[994 NE2d 838, 971 NYS2d 747]

THE PEOPLE OF THE STATE OF NEW YORK, by ANDREW M. CUOMO,
Attorney General of the State of New York, Respondent, v
MAURICE R. GREENBERG et al., Appellants.

Argued May 28, 2013; decided June 25, 2013

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 8, 2012. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, New York County (Charles E. Ramos, J.; op 2010 NY Slip Op 33216[U] [2010]), as had denied defendants Maurice R. Greenberg's and Howard I. Smith's motions for summary judgment dismissing the Martin Act (General Business Law § 352-c [1] [a], [c]) and Executive Law § 63 (12) claims as against them. The following question was certified by the Appellate Division: "Was the order of this Court, which modified and otherwise affirmed the order of the Supreme Court, properly made?"

People v Greenberg, 95 AD3d 474, affirmed.

HEADNOTES

Attorney General — Enjoining Fraudulent or Illegal Acts — Martin Act and Executive Law Claims to Enjoin Corporate Fraud — Summary Judgment

1. In a civil suit brought by the Attorney General based on allegations that defendants, the former chief executive officer and chief financial officer of American International Group, Inc. (AIG), violated Executive Law § 63 (12) and the Martin Act (General Business Law art 23-A) and committed common-law fraud, there was evidence sufficient for trial that both defendants participated in a fraud. The Attorney General claimed that defendants participated in causing AIG to enter into a sham transaction with a reinsurance corporation in which AIG purported to reinsure that corporation on certain insurance contracts. The claim asserted that the sole purpose of the transaction was to increase the insurance reserves shown on AIG's financial statements, thereby creating the impression of a healthy insurance business and bolstering AIG's stock price. The federal appeals court, in the criminal case arising from the same transaction, held that there was sufficient evidence to support a jury finding, beyond a reasonable doubt, that a fraudulent conspiracy had its inception in a telephone call from defendant former chief executive officer to the reinsurance corporation's chief executive officer. Thus, the evidence of defendants' knowledge of the fraudulent nature of the transaction was sufficient to raise an issue of fact for trial.

Appeal — Preservation of Issue for Review

2. In a civil suit brought by the Attorney General based on allegations that defendants, the former chief executive officer and chief financial officer of

American International Group, Inc., violated Executive Law § 63 (12) and the Martin Act (General Business Law art 23-A) and committed common-law fraud, the Attorney General sufficiently preserved its argument that a basis exists for granting equitable relief, including a ban on defendants' participation in the securities industry and a ban on defendants' serving as officers or directors of a public company. The Attorney General specifically disputed in Supreme Court defendants' assertion that the claim for equitable relief was barred by a settlement in the litigation brought by the Securities and Exchange Commission. It was irrelevant to the preservation issue whether the argument was made in the Appellate Division.

Attorney General — Enjoining Fraudulent or Illegal Acts — Martin Act and Executive Law Claims to Enjoin Corporate Fraud — Equitable Relief

3. In a civil suit brought by the Attorney General based on allegations that defendants, the former chief executive officer and chief financial officer of American International Group, Inc., violated Executive Law § 63 (12) and the Martin Act (General Business Law art 23-A) and committed common-law fraud, the Attorney General was not barred as a matter of law from obtaining any equitable relief. Notwithstanding defendants' agreement, in their settlement of litigation brought by the Securities and Exchange Commission, to permanent injunctions against violations of the anti-fraud provisions of the federal securities laws, the Attorney General sought further equitable relief, including a ban on defendants' participation in the securities industry and a ban on defendants' serving as officers or directors of a public company. Whether the lifetime bans proposed would be a justifiable exercise of a court's discretion and the availability of any other equitable relief sought are questions that must be decided by the lower courts in the first instance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 618; AM JUR 2d, Consumer and Borrower Protection §§ 255, 258, 268, 277; AM JUR 2d, Injunctions §§ 302–304, 311.

CARMODY-WAIT 2d, Appeals in General § 70:94; CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:32; CARMODY-WAIT 2d, Injunctions § 78:191.

McKINNEY'S, Executive Law § 63 (12); General Business Law art 23-A.

NY JUR 2d, Appellate Review §§ 136, 137, 563, 601, 604; NY JUR 2d, Consumer and Borrower Protection §§ 5, 11, 18.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorney General; Consumer Protection; Fraud and Deceit; Injunctions.

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POINTS OF COUNSEL

Boies, Schiller & Flexner LLP, Armonk (*David Boies* of counsel), and *Boies, Schiller & Flexner LLP*, New York City (*Nicholas A. Gravante, Jr.* and *Robert J. Dwyer* of counsel), *Skadden, Arps, Slate, Meagher & Flom LLP* (*John L. Gardiner* of counsel), *Charles Fried*, of the Massachusetts bar, admitted pro hac vice, of counsel, *Kaye Scholer LLP* (*Vincent A. Sama* and *Catherine B. Schumacher* of counsel) and *Andrew M. Lawler, PC.* (*Andrew M. Lawler* of counsel), for appellants. I. The Attorney General of the State of New York lacks standing and authority to pursue this action under the Martin Act and the Executive Law seeking to recover monetary damages on behalf of a class of private shareholders and its efforts to do so here also conflict with, and are preempted by, the federal laws governing nationally traded securities. (*United States v Ferguson*, 676 F3d 260; *Matter of Graziano v County of Albany*, 3 NY3d 475; *Central States Southeast & Southwest Areas Health & Welfare Fund v Merck-Medco Managed Care, L.L.C.*, 433 F3d 181; *People v Grasso*, 54 AD3d 180; *People v Lowe*, 117 NY 175; *Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148; *People of State of New York by Abrams v Seneci*, 817 F2d 1015; *Matter of State of New York v New York City Conciliation & Appeals Bd.*, 123 Misc 2d 47; *Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592.) II. The courts below improperly denied appellants' motions for summary judgment with respect to the General Reinsurance Corporation transaction by relying on irremediable hearsay evidence. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *IDX Capital, LLC v Phoenix Partners Group LLC*, 19 NY3d 850; *Verizon N.Y., Inc. v Garvin*, 13 NY3d 851; *Zuckerman v City of New York*, 49 NY2d 557; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Di-Giantomasso v City of New York*, 55 AD3d 502; *Matter of New York City Asbestos Litig.*, 7 AD3d 285; *Presbyterian Church Of Sudan v Talisman Energy, Inc.*, 582 F3d 244; *Raskin v Wyatt Co.*, 125 F3d 55; *LaSalle Bank N.A. v Nomura Asset Capital Corp.*, 424 F3d 195.)

Eric T. Schneiderman, Attorney General, New York City (*Barbara D. Underwood*, *Richard Dearing*, *Won S. Shin* and *David Ellenhorn* of counsel), for respondent. I. The Martin Act and Executive Law § 63 (12) expressly grant the Attorney General authority to maintain civil enforcement actions to prevent, remedy, and deter fraud. (*Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592; *State of New York v Cortelle Corp.*, 38

NY2d 83; *People v Grasso*, 54 AD3d 180, 11 NY3d 64; *Commonwealth of Pennsylvania v Mid-Atlantic Toyota Distribs., Inc.*, 704 F2d 125; *People v Coventry First LLC*, 52 AD3d 345, 13 NY3d 108; *State of New York v McLeod*, 12 Misc 3d 1157[A], 2006 NY Slip Op 50942[U]; *State of Alaska v United States Dept. of Transp.*, 868 F2d 441; *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236; *Assured Guar. [UK] Ltd. v J.P. Morgan Inv. Mgt. Inc.*, 18 NY3d 341; *People v Bunge Corp.*, 25 NY2d 91.) II. Federal securities law does not preempt this action under the Martin Act and Executive Law § 63 (12). (*Wyeth v Levine*, 555 US 555; *Medtronic, Inc. v Lohr*, 518 US 470; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Lee v Astoria Generating Co., L.P.*, 13 NY3d 382; *Planned Consumer Mktg. v Coats & Clark*, 71 NY2d 442; *Matter of Disney Enters., Inc. v Tax Appeals Trib. of State of N.Y.*, 10 NY3d 392; *Cipollone v Liggett Group, Inc.*, 505 US 504; *Hall v Geiger-Jones Co.*, 242 US 539; *Leroy v Great Western United Corp.*, 443 US 173; *Bluebird Partners v First Fid. Bank*, 297 AD2d 223.) III. Overwhelming evidence precludes the grant of summary judgment to defendants on the General Reinsurance Corporation fraud. (*Jacqueline S. v City of New York*, 81 NY2d 288; *Mastroianni v County of Suffolk*, 91 NY2d 198; *People v Apple Health & Sports Clubs*, 80 NY2d 803; *Marine Midland Bank v Russo Produce Co.*, 50 NY2d 31; *People v Sala*, 258 AD2d 182, 95 NY2d 254; *Ernst & Ernst v Hochfelder*, 425 US 185; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *People v Federated Radio Corp.*, 244 NY 33; *In re Scholastic Corp. Sec. Litig.*, 252 F3d 63; *Novak v Kasaks*, 216 F3d 300.)

James J. Park, Brooklyn, amicus curiae. I. The Attorney General is not a private class action attorney. (*Kardon v National Gypsum Co.*, 69 F Supp 512; *Superintendent of Ins. of N.Y. v Bankers Life & Casualty Co.*, 404 US 6; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164; *Stoneridge Investment Partners, LLC v Scientific-Atlanta, Inc.*, 552 US 148.) II. The Attorney General plays an important role in deterring securities fraud.

Kate Stith, of the Connecticut bar, admitted pro hac vice, amicus curiae. I. This Court's decisions allow the use of inadmissible evidence to oppose summary judgment only when the party has "demonstrat[ed an] acceptable excuse." (*Hyman v Queens County Bancorp, Inc.*, 3 NY3d 743; *IDX Capital, LLC v Phoenix Partners Group LLC*, 19 NY3d 850; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Brill v City of New York*, 2 NY3d 648; *Zuckerman v*

City of New York, 49 NY2d 557; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Chemical Bank v PIC Motors Corp.*, 58 NY2d 1023; *Indig v Finkelstein*, 23 NY2d 728; *Egleston v Kalamarides*, 58 NY2d 682.) II. The rule followed by the court below conflicts with this Court's decisions and the decisions of every other jurisdiction in the country. (*Matter of New York City Asbestos Litig.*, 7 AD3d 285; *Zuckerman v City of New York*, 49 NY2d 557; *Brill v City of New York*, 2 NY3d 648.) III. Other lower court decisions repeating the rule applied by the court below result from a misunderstanding of this Court's holdings. (*Phillips v Kantor & Co.*, 31 NY2d 307; *Horowitz v Kevah Konner, Inc.*, 67 AD2d 38; *Freedman v Chemical Constr. Corp.*, 43 NY2d 260; *Kwong On Bank, Ltd. v Monroe Knitwear Corp.*, 74 AD2d 768; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Wertheimer v New York Prop. Ins. Underwriting Assn.*, 85 AD2d 540; *Zuilkowski v Sentry Ins.*, 114 AD2d 453; *Guzman v Strab Constr. Corp.*, 228 AD2d 645; *Callari v Pellitieri*, 130 AD2d 935; *Sunfirst Fed. Credit Union v Empire Ins. Co./All City Ins. Co.*, 239 AD2d 894.)

Susan Ann Silverstein, Washington, D.C. (*Michael Schuster* of counsel), for AARP, amicus curiae. I. Complex securities create considerable challenges for investors. II. The prevalence of securities fraud requires that investors have a full range of strong, flexible enforcement tools. III. Upholding state anti-fraud enforcement actions in the face of arguments asserting federal securities law preemption would place New York in line with other state and federal courts that have addressed the issue. (*Missouri ex rel. Carnahan v Stifel, Nicolaus & Co., Inc.*, 648 F Supp 2d 1095; *Zuri-Invest AG v Natwest Fin. Inc.*, 177 F Supp 2d 189.)

Mayer Brown LLP, Washington, D.C. (*Andrew J. Pincus*, *Paul W. Hughes* and *Michael B. Kimberly* of counsel), *Robin S. Conrad*, *Kathryn Comerford Todd*, *Maria Ghazal* and *Kevin Carroll*, for Chamber of Commerce of the United States of America and others, amici curiae. I. This suit endangers national uniformity with respect to securities litigation and jeopardizes investment in New York. (*Pinter v Dahl*, 486 US 622; *CTS Corp. v Dynamics Corp. of America*, 481 US 69; *Dirks v SEC*, 463 US 646; *TSC Industries, Inc. v Northway, Inc.*, 426 US 438.) II. Federal law precludes this action. (*New York SMSA Ltd. Partnership v Town of Clarkstown*, 612 F3d 97; *Altria Group, Inc. v Good*, 555 US 70; *Wachovia Bank, N.A. v Burke*, 414 F3d

305; *Romano v Kazacos*, 609 F3d 512; *Kircher v Putnam Funds Trust*, 547 US 633; *Wisconsin Cent., Ltd. v Shannon*, 539 F3d 751; *Sturge v Northwest Airlines, Inc.*, 658 F3d 832; *United States v Locke*, 529 US 89; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *Island Park, LLC v CSX Transp.*, 559 F3d 96.)

Joseph Brady, General Counsel, North American Securities Administrators Association, Inc., Washington, D.C. (*Rick A. Fleming*, *A. Valerie Mirko* and *Joseph J. Opron, III*, of counsel), for North American Securities Administrators Association, Inc., amicus curiae. I. The authority of state securities regulators to bring enforcement actions to protect investors and maintain the integrity of the capital markets was not diminished by the National Securities Markets Improvement Act of 1996. (*CPC Intl. v McKesson Corp.*, 120 AD2d 221; *Connecticut Nat. Bank v Germain*, 503 US 249.) II. The Securities Litigation Uniform Standards Act of 1998 did not alter the role of state securities regulators or limit their ability to pursue enforcement actions. III. The New York Attorney General's action is not preempted by the National Securities Markets Improvement Act of 1996 or the Securities Litigation Uniform Standards Act of 1998. (*Zuri-Invest AG v Natwest Fin. Inc.*, 177 F Supp 2d 189; *CSX Transp., Inc. v Easterwood*, 507 US 658; *Rice v Santa Fe Elevator Corp.*, 331 US 218; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *EEOC v Waffle House, Inc.*, 534 US 279; *Cipollone v Liggett Group, Inc.*, 505 US 504; *Rousseff v Dean Witter & Co., Inc.*, 453 F Supp 774; *Stoneridge Investment Partners, LLC v Scientific-Atlanta, Inc.*, 552 US 148.)

O'Melveny & Myers LLP, Washington, D.C. (*Walter Dellinger* and *Deanna Rice* of counsel), and *O'Melveny & Myers LLP*, New York City (*Andrew J. Frackman* and *Anton Metlitsky* of counsel), for former state and federal governmental officials, amicus curiae. I. There is an overwhelming national interest in regulating securities markets, and Congress has vindicated that interest by mandating one uniform federal standard for most securities regulation. (*Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164; *Blue Chip Stamps v Manor Drug Stores*, 421 US 723; *Dura Pharmaceuticals, Inc. v Broudo*, 544 US 336; *Lander v Hartford Life & Annuity Ins. Co.*, 251 F3d 101.) II. The Attorney General's use of the Martin Act in this case flies in the face of the federal securities laws established by Congress. (*Kerusa Co. LLC v W10Z/515 Real*

Estate Ltd. Partnership, 12 NY3d 236; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *People v Federated Radio Corp.*, 244 NY 33; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105; *Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *Dura Pharmaceuticals, Inc. v Broudo*, 544 US 336; *People v Federated Radio Corp.*, 244 NY 33.) III. The Attorney General's Martin Act action for damages on behalf of a nationwide group of former American International Group, Inc. shareholders is preempted. (*Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592; *Dura Pharmaceuticals, Inc. v Broudo*, 544 US 336; *People v Grasso*, 11 NY3d 64; *People of State of New York by Vacco v Operation Rescue Natl.*, 80 F3d 64; *People of State of New York by Abrams v Seneci*, 817 F2d 1015; *Stoneridge Investment Partners, LLC v Scientific-Atlanta, Inc.*, 552 US 148; *Aaron v SEC*, 446 US 680; *Lander v Hartford Life & Annuity Ins. Co.*, 251 F3d 101.) IV. Federalism supports one, uniform federal standard in the circumstances of this case. (*U.S. Term Limits, Inc. v Thornton*, 514 US 779; *Alden v Maine*, 527 US 706; *Baltimore & Ohio R. Co. v Baugh*, 149 US 368; *McCulloch v Maryland*, 17 US 316; *North American Co. v SEC*, 327 US 686; *Northern Securities Co. v United States*, 193 US 197; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *Lander v Hartford Life & Annuity Ins. Co.*, 251 F3d 101; *Bluebird Partners, L.P. v First Fid. Bank*, 896 F Supp 152; *People v Coventry First LLC*, 52 AD3d 345.)

George Jepsen, Attorney General, Hartford, Connecticut (*Dinah J. Bee* of counsel), and *William H. Sorrell, Attorney General*, Montpelier, Vermont, for the State of Connecticut and another, amici curiae. I. The National Securities Markets Improvement Act of 1996 does not preempt state Blue Sky laws. (*Lander v Hartford Life & Annuity Ins. Co.*, 251 F3d 101; *Medtronic, Inc. v Lohr*, 518 US 470; *Retail Clerks v Schermerhorn*, 375 US 96; *Aaron v SEC*, 446 US 680.) II. New York Attorney General's action is an enforcement action for fraud. (*Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592; *Castillo v Cameron County, Tex.*, 238 F3d 339; *People of State of California v Federal Communications Commn.*, 75 F3d 1350; *Texas Off. of Pub. Util. Counsel v Federal Communications Commn.*, 183 F3d 393; *Connecticut v Moody's Corp.*, 664 F Supp 2d 196; *All Seasons Resorts v Abrams*, 68 NY2d 81; *Levin v Barry Kaye & Assoc., Inc.*, 858 F Supp 2d 914; *Hood ex rel. Miss. v Microsoft Corp.*, 428 F Supp 2d 537; *Wisconsin v Abbott Labs.*, 341 F Supp 2d 1057; *State of Maine v Data Gen. Corp.*, 697 F Supp 23.)

OPINION OF THE COURT

SMITH, J.

We hold that the Attorney General's claims against two former officers of American International Group, Inc. (AIG) have sufficient support in the record to withstand summary judgment.

The Attorney General began this civil suit against AIG, Maurice Greenberg and Howard Smith in 2005. Until shortly before the suit was brought, Greenberg was the chief executive officer, and Smith the chief financial officer, of AIG. AIG has settled the case; Greenberg and Smith remain as defendants.

The Attorney General alleges that Greenberg and Smith violated section 63 (12) of the Executive Law and article 23-A of the General Business Law (the Martin Act), and committed common-law fraud. The statutes on which the Attorney General relies are broadly worded anti-fraud provisions, prohibiting among other things "repeated fraudulent or illegal acts" (Executive Law § 63 [12]), "persistent fraud or illegality" (*id.*), and "fraud, deception, concealment, suppression [or] false pretense" (General Business Law § 352-c [1] [a]). It is not disputed that the Attorney General is empowered to sue for violation of these statutes.

The gist of the Attorney General's claim, to the extent that it is now before us, is that Greenberg and Smith participated in causing AIG to enter into a sham transaction with General Reinsurance Corporation (GenRe) in which AIG purported to reinsure GenRe on certain insurance contracts. The Attorney General asserts that the transaction transferred no real risk from GenRe to AIG, and therefore should not have been treated as an insurance transaction on AIG's books; and that the transaction's sole purpose was to increase the insurance reserves shown on AIG's financial statements, thereby creating the impression of a healthy insurance business and bolstering AIG's stock price. The transaction has been the subject of a federal criminal case in which Greenberg and Smith were identified as alleged coconspirators, but were not defendants (*see United States v Ferguson*, 676 F3d 260 [2d Cir 2011]).

The course of the litigation has been long, and some issues once important have fallen by the wayside. Most recently, as a result of the settlement of a federal class action (*see In re American Intl. Group, Inc. Sec. Litig.*, 2013 WL 1499412, 2013 US Dist LEXIS 52624 [SD NY, Apr. 11, 2013, No. 04-Civ-8141

(DAB)]), the Attorney General has withdrawn his claims for damages and now seeks only equitable relief. The parties agree that, because of this development, the issue of federal preemption, discussed in the majority and dissenting opinions at the Appellate Division (*People v Greenberg*, 95 AD3d 474, 479-482, 489-492 [1st Dept 2012]), is out of the case. The Attorney General has not appealed from the Appellate Division order denying him summary judgment. And Greenberg and Smith do not challenge here the denial to them of summary judgment on a transaction not involving GenRe.

We are left with two questions to address: whether the evidence of Greenberg's and Smith's knowledge of the fraudulent nature of the AIG-GenRe transaction is sufficient to raise an issue of fact for trial; and whether, on the present record, the Attorney General is barred as a matter of law from obtaining any equitable relief. We answer yes to the first question and no to the second, and therefore affirm the Appellate Division's order denying Greenberg and Smith summary judgment.

[1] We will answer the first question without a detailed discussion of the facts. Much of the relevant evidence is summarized in other decisions, including the opinion of the Court of Appeals for the Second Circuit in *United States v Ferguson*, which held, among other things, that there was sufficient evidence to support a jury finding—in a criminal case, beyond a reasonable doubt—that a fraudulent conspiracy had its inception in a telephone call from Greenberg to GenRe's chief executive officer (see 676 F3d 260, 289 [2011]). We have no difficulty in concluding that, in this civil case, there is evidence sufficient for trial that both Greenberg and Smith participated in a fraud. The credibility of their denials is for a fact finder to decide.

Greenberg's and Smith's remaining argument is that no basis exists for granting equitable relief. They argue, in substance, that all such relief that could possibly be awarded has already been obtained in litigation brought by the Securities and Exchange Commission (SEC), which Greenberg and Smith settled in 2009. In the settlement, without admitting or denying the allegations against them, Greenberg and Smith agreed among other things to permanent injunctions against violations of the anti-fraud provisions of the federal securities laws. The Attorney General responds that more relief could be granted in this case “including but not limited to a ban on [Greenberg's and Smith's] participation in the securities industry and a ban on serving as an officer or director of a public company.”

[2] We reject the contention of Greenberg and Smith that the Attorney General failed to preserve this argument for our review. While the sufficiency of the claim for equitable relief was not a major focus of any party's attention below, the Attorney General did specifically dispute, in Supreme Court, Greenberg's and Smith's assertion that that claim was barred by the SEC settlement. It is irrelevant to the preservation issue whether the argument was made in the Appellate Division (*Matter of Couch v Perales*, 78 NY2d 595, 605 n 5 [1991]; *Matter of Seitelman v Lavine*, 36 NY2d 165, 170 n 2 [1975]).

[3] On the merits, we cannot say as a matter of law that no equitable relief may be awarded. There is no doubt room for argument about whether the lifetime bans that the Attorney General proposes would be a justifiable exercise of a court's discretion; but that question, as well as the availability of any other equitable relief that the Attorney General may seek, must be decided by the lower courts in the first instance.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

Judges GRAFFEO, READ, PIGOTT, RIVERA, ABDUS-SALAAM and MASTRO* concur; Chief Judge LIPPMAN taking no part.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the affirmative.

* Designated pursuant to NY Constitution, article VI, § 2.

[994 NE2d 831, 971 NYS2d 740]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LESTER
Q. JONES, Appellant.

Argued May 28, 2013; decided June 25, 2013

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 23, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Maxwell Wiley, J., at suppression hearing; Thomas A. Farber, J., at trial and sentencing), which had convicted defendant, upon a jury verdict, of burglary in the first degree and robbery in the second degree.

People v Jones, 85 AD3d 612, affirmed.

HEADNOTES

Crimes — Identification of Defendant — Lineup Identification Sufficiently Attenuated from Wrongful Arrest

1. There was record support for the Appellate Division's determination that the connection between defendant's illegal arrest by a police sergeant and his subsequent lineup identification as the perpetrator of a robbery was sufficiently attenuated as to dissipate the taint of the wrongful arrest, and since attenuation of evidence from police misconduct is generally a mixed question of law and fact, the issue was beyond further review by the Court of Appeals. While the defendant's initial arrest was without probable cause and therefore illegal, evidence discovered subsequent to an illegal arrest is not indiscriminately subject to the exclusionary rule. The People were required to demonstrate that the identification was acquired by means sufficiently distinguishable from the arrest to be purged of the illegality, i.e., that the taint of the illegal arrest was "attenuated." By the time defendant was illegally arrested, the detective investigating the robbery already had in his possession sufficient evidence to establish probable cause for defendant's arrest. Within 30 minutes of arriving at the precinct, the sergeant who had arrested defendant was in contact with that detective, and that conversation led the sergeant to the detective's case folder and a photograph of defendant. At that point, the sergeant possessed probable cause to detain defendant until the lineup identification eight hours later.

Crimes — Arrest — Identification of Defendant — Exploitation of Illegal Arrest

2. There was record support for the Appellate Division's finding that defendant's illegal arrest by a police sergeant was not exploited to obtain defendant's subsequent lineup identification as the perpetrator of a robbery. While the defendant's initial arrest was without probable cause and therefore illegal, evidence discovered subsequent to an illegal arrest is not indiscriminately subject to the exclusionary rule; instead, the People must have exploited or benefited from the illegal conduct such that there is a connection between the violation

of a constitutional right and the derivative evidence obtained by the police. The arresting officer admitted that, in addition to a disorderly conduct charge, he took defendant into custody because he also believed defendant to be the perpetrator of the earlier robbery. The Appellate Division concluded that the sergeant possessed some information connecting defendant to the robbery and acted in good faith on that information, but that it fell short of probable cause. Consequently, the issue was beyond further review by the Court of Appeals.

Crimes — Witnesses — Identification Witness Permitted to Testify as to Threats Made Relative to His Testimony

3. In a prosecution for burglary and robbery, the Appellate Division correctly held that the trial court properly exercised its discretion by allowing a store employee, who had identified defendant, to testify concerning threats made to him by third parties both before and during the trial relative to his testimony. There was sufficient circumstantial evidence to connect those threats to defendant, and the court charged the jury that it needed to determine first whether the threats had, in fact, occurred, and, if so, then whether the threats demonstrated consciousness of guilt on defendant's part.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Arrest §§ 32–34, 129; AM JUR 2d, Evidence §§ 318, 540, 554, 636, 643, 648, 660, 665.

CARMODY-WAIT 2d, Eyewitness Identification Procedures §§ 174:3, 174:5; CARMODY-WAIT 2d, Arrest or Other Detention; Post-Arrest Procedure §§ 177:11, 177:12, 177:15–177:17; CARMODY-WAIT 2d, Pretrial Motions §§ 189:242, 189:277, 189:278; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:279, 194:280, 194:285.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1, 3.3, 7.1, 10.3–10.6, 24.4, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 69, 70, 74, 673, 678, 1599, 1600, 2091, 2092, 2221, 2222, 2226.

ANNOTATION REFERENCE

See ALR Index under Arrest; Exclusion and Suppression of Evidence; Lineups; Probable Cause; Witnesses.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: line-up /s identif! /p illegal wrongful /2 arrest /p attenuated

POINTS OF COUNSEL

Dechert LLP, New York City (*Matthew L. Mazur* and *Jonathan R. Streeter* of counsel), and *Richard M. Greenberg*, Office of the

Appellate Defender, for appellant. I. The lineup identification should have been suppressed as the fruit of a pretextual and flagrantly unconstitutional arrest. (*United States v Crews*, 445 US 463; *People v Dodt*, 61 NY2d 408; *Wong Sun v United States*, 371 US 471; *People v Bradford*, 15 NY3d 329; *People v Conyers*, 68 NY2d 982; *Brown v Illinois*, 422 US 590; *People v Johnson*, 66 NY2d 398; *People v Watson*, 200 AD2d 643; *People v De Bour*, 40 NY2d 210; *Johnson v Louisiana*, 406 US 356.) II. Evidence of witness intimidation by third parties should have been excluded in the absence of evidence that Lester Q. Jones authorized or directed the alleged threats. (*People v Buzzi*, 238 NY 390; *People v Bennett*, 79 NY2d 464; *People v Plummer*, 36 NY2d 161; *People v Shilitano*, 218 NY 161; *People v Davis*, 43 NY2d 17; *People v Sanchez*, 61 NY2d 1022; *People v Pignataro*, 263 NY 229; *People v Myrick*, 31 AD3d 668; *People v Spruill*, 299 AD2d 374; *People v Moses*, 35 AD3d 766.) III. The prosecutor's improper arguments during summation denied Mr. Jones a fair trial. (*People v Fisher*, 18 NY3d 964; *People v Calabria*, 94 NY2d 519; *Berger v United States*, 295 US 78; *People v Ashwal*, 39 NY2d 105; *People v Smith*, 288 AD2d 496; *People v Bailey*, 58 NY2d 272; *People v Collins*, 12 AD3d 33; *People v World*, 157 AD2d 567; *People v Mirenda*, 23 NY2d 439; *United States v Wade*, 388 US 218.) IV. The summary denial of Mr. Jones's motion to set aside the verdict violated the criminal procedure law and due process. (*People v Salemi*, 309 NY 208; *People v Savinon*, 100 NY2d 192.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Grace Vee* and *Susan Gliner* of counsel), for respondent. I. As defendant concedes, the decision reached by the lower courts, which employed the doctrine of attenuation to deny defendant's motion to suppress the victim's lineup identification on Fourth Amendment grounds, presents this Court with a mixed question of law and fact. Since there is support in the record for the Appellate Division's ruling that the identification testimony was properly admitted at trial, defendant's appeal to this Court should be rejected out of hand. (*People v Harrison*, 57 NY2d 470; *People v McRay*, 51 NY2d 594; *People v Francois*, 14 NY3d 732; *People v Williams*, 17 NY3d 834; *People v McIntosh*, 96 NY2d 521; *People v Greenidge*, 91 NY2d 967; *People v Campbell*, 87 NY2d 855; *People v Bianchi*, 85 NY2d 1022; *People v Bradford*, 15 NY3d 329; *People v Divine*, 6 NY3d 790.) II. Justice Farber properly exercised his discretion when he admitted evidence of implied threats made to a witness for the People by

third parties, after finding that there was sufficient circumstantial evidence to connect the threats to defendant and to warrant an inference as to his consciousness of guilt. (*People v Moses*, 35 AD3d 766; *People v Myrick*, 31 AD3d 668; *People v Spruill*, 299 AD2d 374; *People v Bennett*, 79 NY2d 464; *People v Plummer*, 36 NY2d 161; *People v Holland*, 174 AD2d 508; *People v Cintron*, 95 NY2d 329; *People v Singleton*, 121 AD2d 752; *People v Gonzalez*, 253 AD2d 674; *People v Shilitano*, 218 NY 161.) III. Defendant's challenges to the prosecutor's summation are unpreserved and without merit. (*People v Romero*, 7 NY3d 911; *People v Tardbania*, 72 NY2d 852; *People v Tonge*, 93 NY2d 838; *People v Dien*, 77 NY2d 885; *People v Balls*, 69 NY2d 641; *People v Medina*, 53 NY2d 951; *People v Galloway*, 54 NY2d 396; *People v Nai Hing Liang*, 208 AD2d 401; *People v D'Alessandro*, 184 AD2d 114; *People v Halm*, 81 NY2d 819.) IV. The trial court properly denied defendant's motion to set aside the verdict on the ground of newly discovered evidence. This court has no power to review the discretionary denial of that motion. (*People v Crimmins*, 38 NY2d 407; *People v Schulz*, 4 NY3d 521, 528 F Supp 2d 77; *People v Salemi*, 309 NY 208; *People v Wainwright*, 285 AD2d 358; *People v Davis*, 43 NY2d 17; *People v Johnson*, 208 AD2d 562; *People v Copeland*, 185 AD2d 280.)

OPINION OF THE COURT

FIGOTT, J.

The principal issue on this appeal is whether the connection between defendant's illegal arrest and his subsequent lineup identification was sufficiently attenuated as to dissipate the taint of the wrongful arrest. The Appellate Division determined that it was and, because there is record support for that conclusion, we affirm.

In the early hours of May 16, 2006, a New York City detective responded to a distress call at an apartment building in Manhattan and spoke with the victim and her neighbor about an incident that occurred that morning. According to the victim, a man, whom she later identified as defendant, followed her onto the elevator and demanded money. A struggle ensued. When they reached the fifth floor, the elevator opened and they fell into the hallway. The man rifled through the victim's wallet and took her cash and credit cards. The victim described the man as six feet tall, in his early to mid-thirties with dark skin and a large build. The neighbor who had witnessed the incident gave the detective a similar description, adding that the perpetrator had a large nose and went by the street name "Izz."

The detective contacted a colleague from the Manhattan Gang Unit, who ran the nickname through a database. The detective learned that “Izz” was also known as “Michael Wright.” With that information, the detective obtained a rap sheet and photograph of Michael Wright, both of which he placed in his case folder. The rap sheet indicated that Michael Wright also went by defendant’s given name, Lester Jones. The physical attributes listed on the rap sheet matched those relayed to the detective by the victim and her neighbor.

Several days later, a sergeant was reviewing the robbery report when he recognized the name of a worker at the store that the victim had visited before she was attacked. The employee had told the detective that he saw the man leaving the apartment building 5 to 10 minutes after the incident. The sergeant contacted the store employee, who told him that he knew the man who had committed the crime. The sergeant gave the employee his cell phone number and asked the employee to call him the next time he saw the man.

On May 31, 2006, at approximately 2:00 a.m., while the sergeant was on duty, the store employee called and told him that the man was at the store. When the sergeant arrived with two other officers, the employee told him that the man, who was wearing white pants, had just left. The sergeant located the man—defendant—around a nearby corner, and when asked, the defendant identified himself as “Michael Wright” but was unable to produce identification.

Here, the story takes an unfortunate turn. The sergeant concluded that the defendant was blocking the sidewalk and, because he had no identification, handcuffed the defendant and escorted him to an unmarked police car, with the intention of charging him with disorderly conduct. In later testimony, it was the sergeant’s view that the defendant was not free to go because he had been identified as a person involved in the robbery. As the sergeant and defendant were walking to the police car, the sergeant contacted the store employee, who told the sergeant that he had arrested the right man.

Defendant was transported to the precinct six blocks away. Within 15 minutes of his arrival, the sergeant contacted the detective at his home (at approximately 2:30 a.m.) and learned that the detective had placed a photograph of the suspect in his case folder. The sergeant retrieved the folder from the detective’s desk and found a picture of the defendant. Five hours later,

when the detective arrived at the precinct, he made arrangements for defendant to be placed in a lineup. The victim identified defendant as the perpetrator. Defendant was arrested for and charged with burglary in the first degree (Penal Law § 140.30 [2]) and robbery in the second degree (Penal Law § 160.10 [2] [a]).

Following his conviction, defendant appealed. The Appellate Division held the judgment in abeyance and remitted the matter for a *Dunaway* hearing (*Dunaway v New York*, 442 US 200 [1979]), finding that defendant had made sufficient allegations concerning the propriety of his arrest to warrant such a hearing (73 AD3d 662, 663 [1st Dept 2010]). At the hearing, the detective and sergeant, the only two witnesses called, testified essentially to the facts set forth above. The hearing court credited their testimony and concluded that the sergeant lacked probable cause to stop and arrest defendant on May 31, 2006 for the earlier robbery. The court did, however, find that because the detective had independently gathered sufficient evidence tying defendant to the robbery, the sergeant's discovery of the "fruits" of the detective's investigation within 30 minutes of defendant's detention broke the causal connection between the illegal arrest and the lineup identification. The hearing court concluded that the call between the sergeant and the detective constituted an "intervening event" that attenuated the causal connection between the arrest and the lineup identification.

The Appellate Division affirmed, holding, among other things, that although the police lacked probable cause for the arrest, the lineup identification "was based on intervening probable cause," which sufficiently attenuated the taint of the illegal arrest (85 AD3d 612, 612 [1st Dept 2011]). A Judge of this Court granted defendant leave to appeal (19 NY3d 962 [2012]).

The sergeant's initial arrest of defendant was without probable cause and therefore illegal. But evidence discovered subsequent to an illegal arrest is not indiscriminately subject to the exclusionary rule (see *People v Jones*, 2 NY3d 235, 241-242 [2004]). Instead, the People "must have 'somehow exploited or benefited from [the] illegal conduct' such that 'there is a connection between the violation of a constitutional right and the derivative evidence' obtained by the police" (*id.* at 242, quoting *People v Burr*, 70 NY2d 354, 362 [1987], *cert denied* 485 US 989 [1988]).

Defendant claims that the lineup identification must be suppressed because it was the product of an illegal arrest. In order

to counter that challenge, the People were required to demonstrate that the identification was “acquired by means sufficiently distinguishable from the arrest to be purged of the illegality” (*People v Conyers*, 68 NY2d 982, 983 [1986]), i.e., that the taint of the illegal arrest was “attenuated” (see *Wong Sun v United States*, 371 US 471, 491 [1963]). In order to determine whether attenuation exists, the court must “consider ‘the temporal proximity of the arrest and [the evidence at issue], the presence of intervening circumstances and, particularly, the purpose and flagrancy of the official misconduct’ ” (*People v Bradford*, 15 NY3d 329, 333 [2010], quoting *Conyers*, 68 NY2d at 983).

[1] Defendant acknowledges that “attenuation of evidence from police misconduct” is generally a mixed question of law and fact that is beyond our review unless there is no record support for the Appellate Division’s determination (*People v Williams*, 17 NY3d 834, 835 [2011]; but cf. *Matter of Leroy M.*, 16 NY3d 243, 247 [2011]). Here, we conclude that there was record support at the hearing to support the Appellate Division’s attenuation finding.

The hearing testimony established that prior to the arrest, the detective had gathered detailed descriptions of the perpetrator from two witnesses, and learned from one witness—who was acquainted with the perpetrator—that he was known by the street name “Izz.” The detective’s investigation further uncovered that “Izz” was the same man known to police as “Michael Wright” and that the physical description on his rap sheet matched the physical descriptions the witnesses gave the detective. The rap sheet also indicated that “Michael Wright” was also known as “Lester Jones.” Finally, even before the illegal arrest, the detective had obtained a photograph of a person he believed to be the perpetrator and placed it in his case folder.

By the time the sergeant effected the illegal arrest, the detective already had in his possession sufficient evidence to establish probable cause for defendant’s arrest.¹ Within 30 minutes of arriving at the precinct, the sergeant was in contact with the detective, and that conversation led the sergeant to the detective’s case folder and the photograph of defendant. At that

1. The dissent believes that the detective was obligated to verify that the nickname “Izz,” which he obtained from his colleague at the Manhattan Gang Unit, was reliable (dissenting op at 458). However, a police officer is entitled to rely on a name given him by a fellow officer as part of his investigation (see *People v Ketcham*, 93 NY2d 416, 420 [1999]).

point, the sergeant possessed probable cause to detain defendant until the lineup identification eight hours later. Thus, there is clear record support for the Appellate Division's finding that, at the time of the lineup identification, any taint of the illegal arrest had been attenuated.²

[2] Defendant, nonetheless, argues that the disorderly conduct charge was a "mere pretext" and that "there is no record support for any conclusion but that the police obtained the lineup identification 'by exploitation' of [defendant's] illegal arrest." The sergeant plainly admitted at the hearing that, in addition to the disorderly conduct charge—for which he could not issue a summons because defendant lacked identification—he took defendant into custody because he also believed defendant to be the perpetrator of the earlier robbery. The Appellate Division concluded that the sergeant possessed some information connecting defendant to the robbery and acted in good faith on that information, but that it fell short of probable cause (*see e.g. Bradford*, 15 NY3d at 334 [noting that there was "no demonstrable proof in the record that the initial detention of defendant was motivated by bad faith or a nefarious police purpose," and observing that although the Appellate Division concluded that the trooper lacked probable cause upon the initial arrest, it found that he possessed a "fair basis" to approach and detain the defendant]). Here, there is record support for the Appellate Division's finding that the police did not exploit the illegal arrest.

[3] We also conclude that the Appellate Division correctly held that the trial court properly exercised its discretion by allowing the store employee to testify concerning threats made to him by third parties both before and during trial relative to his testimony. There was sufficient circumstantial evidence to connect those threats to defendant, and the court charged the jury that it needed to determine first whether the threats had, in fact, occurred, and, if so, then whether the threats demonstrated consciousness of guilt on defendant's part.

Defendant's remaining contentions are either unpreserved or without merit. Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). I find no record support for the Appellate Division's finding of attenuation. Rather, the rec-

2. Given our holding in this regard, we need not reach defendant's argument concerning the "fellow officer" rule.

ord demonstrates that the lineup identification was directly caused by, and the result of the exploitation of the illegal, indeed pretextual, arrest. Because I would find no attenuation as a matter of law, I respectfully dissent and would suppress the lineup identification.

As the majority correctly notes, in applying the attenuation doctrine, courts must consider the “temporal proximity” between the arrest and the discovery of the challenged evidence, “the presence of intervening circumstances, and, particularly, the purpose and flagrancy of the official misconduct” (*Brown v Illinois*, 422 US 590, 603-604 [1975] [citation omitted]; *People v Bradford*, 15 NY3d 329, 333 [2010]). But the majority glosses over the actual application of this doctrine: “intervening circumstances” typically include either release from custody or some action taken by a court (see *Johnson v Louisiana*, 406 US 356, 365 [1972] [intervening circumstances found where, “(p)rior to the lineup, at which (defendant) was represented by counsel, he was brought before a . . . magistrate to advise him of his rights and set bail”]; *People v Wilson*, 57 NY2d 786, 787-788 [1982] [intervening circumstances found because release followed by voluntary participation in lineup]; *People v Pleasant*, 54 NY2d 972, 974 [1981], *cert denied* 455 US 924 [1982] [intervening circumstances found because issuance of warrant followed illegal seizure, but preceded lineup]; *People v Poventud*, 300 AD2d 223, 223 [1st Dept 2002] [intervening circumstances where lineup was held two weeks after illegal arrest]). Here, there was no warrant issued, no judge involved, and defendant remained in custody from the time of his arrest until he was required to participate in the lineup, which occurred mere hours after he was placed in a holding cell. Moreover, the official misconduct was particularly flagrant: defendant was arrested on pretextual charges of disorderly conduct for blocking a sidewalk, in the wee hours of the morning, when there were no pedestrians around to be blocked.

There is no support for the determination that the telephone call between Sergeant Miller and Detective Sucic broke the causal chain between the illegal arrest and the lineup, and provided the intervening circumstances necessary for a finding of attenuation. The illegal arrest was the very event that facilitated the arresting officer’s acquisition of information tying Mr. Jones to the robbery. It was the illegal arrest that directly prompted Miller to call Sucic. The illegal arrest also allowed Miller to make the comparison between the photograph

and Mr. Jones. In other words, the pretextual arrest was not “sufficiently distinguishable” from Miller’s observation that Mr. Jones was the same person depicted in the photograph from Sucic’s file, and thus there was a *direct* “‘connection between the violation of a constitutional right and the derivative evidence’ ” obtained by the police (*People v Jones*, 2 NY3d 235, 242 [2004], quoting *People v Burr*, 70 NY2d 354, 362 [1987], *cert denied* 485 US 989 [1988]).

Furthermore, Detective Sucic did not possess sufficient evidence to establish probable cause to arrest defendant at the time Miller took defendant into custody, or at the time Miller called Sucic. Sucic only had a vague description of the perpetrator, as being a large, six-foot tall black male, in his thirties, with a big nose. And although Sucic knew the possible street name of the perpetrator, “Izz,” Sucic had no reliable way of knowing that the Gang Unit gave him the correct person matching the nickname “Izz.” In fact, Detective Sucic was told that Michael Wright, or Lester Jones, was only “a possible name” corresponding to “Izz.” Because Sucic never followed up his investigation by showing the photograph to either of the eyewitnesses, he could not know whether there were other people named “Izz” or whether the person with the nickname “Izz” was the person that the neighbor saw committing the robbery. Sucic’s next step, in the normal course of his police investigation, would be to show the photograph to the eyewitness who told him the robber’s street name was “Izz,” question Mr. Jones, or show his photo to the complainant, not to arrest Mr. Jones.

Moreover, there was no evidence that Sucic communicated any information to Miller that would have established probable cause. Miller initially took defendant into custody based on the identification of an employee of a store close to the robbery scene. But that store employee merely saw defendant enter and exit the building around the time of the robbery; he did not see the actual robbery taking place. Then, the only information Sucic communicated to Miller was that he had a photograph of a suspect in his file. Two people with less than probable cause talking on the phone about their respective suspicions does not create probable cause. Indeed, that conversation was itself a part of Miller’s investigation and by definition the opposite of attenuation.

Perhaps most troubling, the majority rests its affirmance on the Appellate Division’s conclusion that Sergeant Miller acted in “good faith” in making the pretextual arrest (*see* majority op

at 456). “Good faith” or “fair basis” for an illegal arrest should not be confused with the well-meaning goal of trying to catch a criminal (see *United States v Voustianiouk*, 685 F3d 206, 216-217 [2d Cir 2012]). It is society’s most basic understanding of law enforcement that police officers may not violate constitutional rights to effectuate the capture of lawbreakers. In *People v Bradford* (15 NY3d 329), the case cited by the majority, we held that a state trooper had a good faith basis to arrest a defendant known to the troopers as a 37-year-old registered sex offender in the company of two young teenage girls who had been reported missing by their mother. The girls were at defendant’s apartment late at night and defendant tried to evade police contact by changing direction when he spotted a police car in the parking lot of his building, while he was exiting his apartment with the two young girls (see *id.* at 334-335). Our finding of “fair basis” to approach and detain in that case meant that, although lacking probable cause, the police officers had a reason to intervene in a suspected crime in progress to prevent potential imminent harm to two young children. Here, however, the robbery occurred over two weeks prior, so there were no safety concerns, no illegal activity was in progress and no reason compelled the officers to make the arrest (see e.g. *People v Martinez*, 37 NY2d 662, 668-669 [1975] [improper stop of vehicle was followed by necessary arrest after a gun was discovered on the rear floor of the automobile]). There was no fair basis or good faith to detain and transport Mr. Jones for disorderly conduct, a crime completely unrelated to robbery. Unlike *Bradford*, this was a sham arrest. Thus, the majority chips away at one of the most basic tenets of the Fourth Amendment:* a police officer may not place a defendant under arrest in order to obtain sufficient evidence to arrest him (see *Brown v Illinois*, 422 US at 605; *Dunaway v New York*, 442 US 200, 218 [1979]; *People v Robinson*, 13 NY2d 296, 301 [1963]).

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents in an opinion in which Judge RIVERA concurs; Judge ABDUS-SALAAM taking no part.

Order affirmed.

* “The right of the people to be secure in their persons . . . against unreasonable . . . seizures, shall not be violated, and no Warrants shall issue, but upon probable cause, supported by Oath or affirmation, and particularly describing . . . the persons . . . to be seized” (US Const Amend IV).

[995 NE2d 153, 972 NYS2d 191]

JEANA BARENBOIM et al., Appellants, v STARBUCKS CORPORATION,
Respondent.

EUGENE WINANS et al., Appellants, et al., Plaintiff, v STARBUCKS
CORPORATION, Respondent.

Argued May 28, 2013; decided June 26, 2013

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. What factors determine whether an employee is an ‘agent’ of his employer for purposes of N.Y. Lab. Law § 196-d and, thus, ineligible to receive distributions from an employer-mandated tip pool? In resolving this question for purposes of this case, the Court of Appeals may also consider the following subsidiary questions: a. Is the degree of supervisory or managerial authority exercised by an employee relevant to determining whether the employee is a ‘manager [or] supervisor’ under N.Y. Lab. Law § 2(8-a) and, thus, an employer’s ‘agent’ under § 196-d? b. If an employee with supervisory or managerial authority renders services that generate gratuities contributed to a common tip pool, does § 196-d preclude that employee from sharing in the tip pool? c. To the extent that the meaning of ‘employer or his agent’ in § 196-d is ambiguous, does the Department of Labor’s New York State Hospitality Wage Order constitute a reasonable interpretation of the statute that should govern disposition of these cases? d. If so, does the Hospitality Wage Order apply retroactively? 2. Does New York Labor law permit an employer to exclude an otherwise eligible tip-earning employee under § 196-d from receiving distributions from an employer-mandated tip pool?” The first certified question was reformulated by the New York State Court of Appeals, as authorized by the United States Court of Appeals, to read: “What factors determine whether an employee is eligible or ineligible to receive distributions from an employer-mandated tip-splitting arrangement?”

HEADNOTES**Labor — Hours and Wages — Gratuities — Employer-Mandated Tip Pool — Who May Participate**

1. An employee whose personal service to patrons is a principal or regular part of his or her duties may participate in an employer-mandated tip allocation arrangement under Labor Law § 196-d, even if that employee possesses limited supervisory responsibilities. But an employee granted meaningful authority or control over subordinates can no longer be considered similar to waiters and busboys within the meaning of section 196-d and, consequently, is not eligible to participate in a tip pool. The Department of Labor's long-standing construction of section 196-d, as codified in the Hospitality Industry Wage Order, limits tip-pool eligibility to workers who "perform, or assist in performing, personal service to patrons at a level that is a principal and regular part of their duties and is not merely occasional or incidental" (12 NYCRR 146-2.14 [e]). Accordingly, employer-mandated tip splitting should be limited to employees who, like waiters and busboys, are ordinarily engaged in personal customer service, a rule that comports with the expectations of the reasonable customer. Moreover, the Department has consistently and reasonably maintained that employees who regularly provide direct service to patrons remain tip-pool eligible even if they exercise a limited degree of supervisory responsibility.

Labor — Hours and Wages — Gratuities — Employer-Mandated Tip Pool — Employer's Right to Exclude Certain Employees

2. Labor Law § 196-d, which excludes certain people from an employer-mandated tip pool if they are granted meaningful authority or control over subordinates, does not require the inclusion of all employees not statutorily barred from participation, although there may be an outer limit to an employer's ability to excise certain classifications of employees from a tip pool. Defendant employer's decision to exclude assistant store managers from the employer-mandated tip pool was not contrary to Labor Law § 196-d. Assistant store managers helped store managers interview applicants, assigned work shifts to baristas and shift supervisors, evaluated employee performance, participated in decisions to hire or fire employees, recommended corrective action for employee infractions and processed payroll. They were full-time employees who received a salary if they worked at least 37 hours per week and were eligible for quarterly bonuses and certain benefits, including holiday and sick pay.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship § 60.
McKINNEY'S, Labor Law § 196-d.
12 NYCRR 146-2.14 (e).
NY JUR 2d, Employment Relations § 159.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Tips and Gratuities.

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Query: tip /5 pool! split! & supervisory manage!

POINTS OF COUNSEL

Lichten & Liss-Riordan, P.C., Boston, Massachusetts (*Shannon Liss-Riordan* of counsel), and *Joseph, Herzfeld, Hester & Kirschenbaum LLP*, New York City (*Daniel Maimon Kirschenbaum* of counsel), for appellants in the first above-entitled action. I. An employee who is a supervisor is an “agent” under Labor Law § 196-d. (*People v Dugan*, 91 Misc 2d 239; *O’Neil v Roman Catholic Diocese of Brooklyn*, 31 Misc 3d 1219, 98 AD3d 485; *Southern Ind. Gas & Elec. Co. v National Labor Relations Bd.*, 657 F2d 878; *Herman v RSR Sec. Servs. Ltd.*, 172 F3d 132; *Lauria v Heffernan*, 607 F Supp 2d 403.) II. The Department of Labor’s Wage Order concerning Labor Law § 196-d is not entitled to judicial deference. (*Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.*, 467 US 837; *Matter of Albano v Board of Trustees of N.Y. City Fire Dept., Art. II Pension Fund*, 98 NY2d 548; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of Action Elec. Contrs. Co. v Goldin*, 64 NY2d 213; *Boreali v Axelrod*, 71 NY2d 1; *Matter of John Paterno, Inc. v Curiale*, 88 NY2d 328; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Doo Nam Yang v ACBL Corp.*, 427 F Supp 2d 327.)

Outten & Golden LLP, New York City (*Adam T. Klein, Lewis M. Steel* and *Molly A. Brooks* of counsel), and *Outten & Golden LLP*, Chicago, Illinois (*Paul W. Mollica* of counsel), for appellants in the second above-entitled action. I. An “agent” under Labor Law § 196-d is an employee who has full authority on management decisions. (*Matter of Board of Educ. of City School Dist. of City of N.Y. v Mills*, 250 AD2d 122; *Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272; *Matter of Leshner v Hynes*, 19 NY3d 57; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21; *Ayres v 127 Rest. Corp.*, 12 F Supp 2d 305; *Chu Chung v New Silver Palace Rests., Inc.*, 272 F Supp 2d 314; *Herman v RSR Sec. Servs. Ltd.*, 172 F3d 132; *Carter v Dutchess Community Coll.*, 735 F2d 8.) II. Labor Law § 196-d prohibits employers from excluding otherwise tip-eligible employees from participating in a tip pool. III. The Labor Law should be liberally construed in favor of employees.

(*In re Novartis Wage & Hour Litig.*, 611 F3d 141; *Martin v Malcolm Pirnie, Inc.*, 949 F2d 611.)

Akin Gump Strauss Hauer & Feld LLP, Los Angeles, California (Rex S. Heinke, Gregory W. Knopp, Katharine J. Galston and L. Rachel Lerman, of the California bar, admitted pro hac vice, of counsel), *Akin Gump Strauss Hauer & Feld LLP*, New York City (Samidh Guha of counsel), and *Akin Gump Strauss Hauer & Feld LLP*, Washington, D.C. (Daniel L. Nash and Nathan J. Oleson, of the District of Columbia bar, admitted pro hac vice, of counsel), for respondent in the first and second above-entitled actions. I. New York's tipping statute permits tip sharing and pooling arrangements among employees "similar" to waiters and busboys, who are "primarily engaged" in customer service, while prohibiting those with true, managerial authority and control from sharing tips with subordinates. (*Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Riley v County of Broome*, 95 NY2d 455; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597; *Ayres v 127 Rest. Corp.*, 12 F Supp 2d 305; *Ferraiolo v O'Dwyer*, 302 NY 371; *Matter of Golf v New York State Dept. of Social Servs.*, 91 NY2d 656; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Doo Nam Yang v ACBL Corp.*, 427 F Supp 2d 327; *Matter of American Tel. & Tel. Co. v State Tax Commn.*, 61 NY2d 393.) II. Starbucks Corporation's policy of including shift supervisors in its tip pools is fully consistent with New York law. (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Samiento v World Yacht Inc.*, 10 NY3d 70; *People v Illardo*, 48 NY2d 408; *In re Novartis Wage & Hour Litig.*, 611 F3d 141; *Matamoros v Starbucks Corp.*, 699 F3d 129; *LaForte v Horner*, 833 F2d 977; *American Fedn. of State, County & Mun. Empls., AFL-CIO [AFSCME] v Nassau County*, 609 F Supp 695.) III. Starbucks Corporation's policy of not including assistant store managers in its tip pools, but instead agreeing to compensate those managerial employees in other ways, is fully consistent with New York law. (*Abdu-Brisson v Delta Air Lines, Inc.*, 239 F3d 456; *Ayres v 127 Rest. Corp.*, 12 F Supp 2d 305; *Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Henry Modell & Co. v Minister, Elders & Deacons of Ref. Prot. Dutch Church of City of N.Y.*, 68 NY2d 456; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Scotto v Almenas*, 143 F3d 105; *Argus Inc. v Eastman Kodak Co.*, 801 F2d 38.) IV. Starbucks Corporation's tip policy is consistent with this Court's directive that labor laws be liberally construed in favor of employees. (*Samiento v World Yacht Inc.*, 10 NY3d 70.)

Eric T. Schneiderman, Attorney General, New York City (Steven C. Wu, Barbara D. Underwood and Julie M. Sheridan of counsel), for New York State Department of Labor, amicus curiae in the first and second above-entitled actions. I. Eligibility to participate in a tip-splitting arrangement depends on the extent to which an employee performs direct customer service. (*Commissioner v Soliman*, 506 US 168; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of County of Albany v Hudson Riv.-Black Riv. Regulating Dist.*, 97 AD3d 61, 19 NY3d 816; *Matter of Judd v Constantine*, 153 AD2d 270; *Ayres v 127 Rest. Corp.*, 12 F Supp 2d 305; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *Columbus 95th St., LLC v New York State Div. of Hous. & Community Renewal*, 81 AD3d 269.) II. It is premature to rule on the propriety of Starbucks Corporation's specific exclusionary policy here. (*New York Pub. Interest Research Group v Carey*, 42 NY2d 527; *Samiento v World Yacht Inc.*, 10 NY3d 70.)

Jackson Lewis LLP, New York City (Jeffrey W. Brecher, Felice B. Ekelman, Noel P. Tripp and Tara Touloumis of counsel), for New York State Restaurant Association, Inc., amicus curiae in the first and second above-entitled actions. I. Labor Law § 196-d prohibits an "employer" or anyone acting on its behalf from misappropriating tips received by employees who participate in providing personal service to patrons; it does not prohibit "agents" or "supervisors" or any other person from participating in a tip pool so long as he or she provides personal service to patrons. (*Samiento v World Yacht Inc.*, 10 NY3d 70; *Wildenstein & Co. v Wallis*, 79 NY2d 641; *Matter of Southeast Banking Corp.*, 93 NY2d 178; *Herman v RSR Sec. Servs. Ltd.*, 172 F3d 132; *Stoganovic v Dinolfo*, 92 AD2d 729, 61 NY2d 812; *Andux v Woodbury Auto Park, Inc.*, 30 AD3d 362; *Renzler v D.F. White, Inc.*, 267 AD2d 443.) II. New York Labor Law permits employees who provide personal service to patrons to retain tips they receive directly from patrons and participate in a tip splitting arrangement with coworkers who also provide personal service to patrons. (*Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *CFCU Community Credit Union v Hayward*, 552 F3d 253; *Jacobus v Colgate*, 217 NY 235; *Matter of City of New York [Long Is. Sound Realty Co.]*, 160 AD2d 696; *Shahriar v Smith & Wollensky Rest. Group, Inc.*, 659 F3d 234.) III. Nothing in Labor Law § 196-d requires an employer to include all employees who perform personal service in a tip pool. (*Kronick v L.P. Thebault Co., Inc.*, 70 AD3d 648;

Cole v Mandell Food Stores, 93 NY2d 34; *Hines v State Room, Inc.*, 665 F3d 235.)

Gladstein, Reif & Meginniss LLP, New York City (*James Reif* of counsel), and *Harrison, Harrison & Associates, Ltd.* (*David Harrison* of counsel) for UNITE HERE! Local 100 and others, amici curiae in the first and second above-entitled actions. I. The Court should apply Labor Law § 196-d as written to exclude supervisors and managers from employee tip pools. (*Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563; *Matamoros v Starbucks Corp.*, 699 F3d 129; *Chung v New Silver Palace Rest., Inc.*, 246 F Supp 2d 220; *Ayres v 127 Rest. Corp.*, 12 F Supp 2d 305.) II. The Court should interpret Labor Law § 196-d to ensure maximum protection of tips to non-agent employees. (*Matter of Angello v Labor Ready, Inc.*, 7 NY3d 579.) III. The Court need not give deference to the tip pooling portion of the Department of Labor’s hospitality order because it does not derive from the language of the statute. (*Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Chung v New Silver Palace Rest., Inc.*, 246 F Supp 2d 220; *Barrentine v Arkansas-Best Freight System, Inc.*, 450 US 728.)

Fox Rothschild LLP, New York City (*Carolyn D. Richmond, Eli Z. Freedberg* and *Rosemary P. Joyce* of counsel), for New York City Hospitality Alliance, amicus curiae in the first and second above-entitled actions. I. The Labor Law’s definition of “agent” is not relevant to the analysis of who is entitled to participate in a tip pool. (*Matter of Charter Dev. Co., L.L.C. v City of Buffalo*, 6 NY3d 578; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Chu Chung v New Silver Palace Rests., Inc.*, 272 F Supp 2d 314; *Saunders v Big Brothers*, 115 Misc 2d 845; *P & L Group v Garfinkel*, 150 AD2d 663; *Matter of Hartnett v Wade-Mark Eleven*, 156 AD2d 559; *Lanzetta v Florio’s Enters., Inc.*, 763 F Supp 2d 615; *Hai Ming Lu v Jing Fong Rest., Inc.*, 503 F Supp 2d 706; *Ayres v 127 Rest. Corp.*, 12 F Supp 2d 305.) II. Employees who possess some supervisory authority are not prohibited from participating in a tip pool. (*Fowler v Scores Holding Co., Inc.*, 677 F Supp 2d 673; *Shahriar v Smith & Wollensky Rest. Group, Inc.*, 659 F3d 234; *Hai Ming Lu v Jing Fong Rest., Inc.*, 503 F Supp 2d 706; *Kilgore v Outback Steakhouse of Fla., Inc.*, 160 F3d 294; *Myers v Copper Cellar Corp.*, 192 F3d 546; *Samiento v World Yacht Inc.*, 10 NY3d 70.) III. To the extent the definition of the term “agent” is material, food service employees with some supervisory responsibilities do not qualify as “agents.” (*Ayres v 127 Rest. Corp.*, 12 F Supp 2d 305; *Shahriar*

v Smith & Wollensky Rest. Group, Inc., 659 F3d 234.) IV. Labor Law § 196-d does not compel an employer to include all service employees in a tip pool. (*People ex rel. Harris v Sullivan*, 74 NY2d 305; *Samiento v World Yacht Inc.*, 10 NY3d 70.)

OPINION OF THE COURT

GRAFFEO, J.

The United States Court of Appeals for the Second Circuit has posed two questions regarding the legality of Starbucks Corporation's tip-splitting policy under Labor Law § 196-d.

I.

Defendant Starbucks Corporation is a Washington-based coffeehouse company that operates hundreds of outlets in New York State. In each store, Starbucks employs four categories of employees: baristas, shift supervisors, assistant store managers and store managers. Baristas are the front-line, entry-level employees responsible for tasks such as taking orders, making and serving the company's coffee, tea and food offerings, operating the cash register, cleaning tables and stocking product. They work on a part-time, hourly basis.

After six months' employment, baristas may become eligible for promotion to shift supervisors. Like baristas, shift supervisors are primarily responsible for serving food and beverages to customers. In fact, they spend nearly all their time performing the same customer-related duties undertaken by baristas. They also work on a part-time basis and are paid an hourly wage. As their title suggests, however, shift supervisors have some supervisory responsibilities, such as assigning baristas to particular positions during their shifts, directing the flow of customers and providing baristas with feedback about their performance. Shift supervisors may also open and close stores, change the cash register tills and, if neither an assistant store manager nor store manager is present, make bank deposits.

Assistant store managers represent the third rung in the Starbucks hierarchy. Although assistant store managers devote the majority of their time performing customer-oriented services, they also possess greater managerial and supervisory authority than shift supervisors. For example, they assist store managers in interviewing applicants, assigning work shifts to baristas and shift supervisors, and evaluating employee performance. They also participate in decisions to hire or fire employees, recommend corrective action for employee infractions and process

payroll. In essence, an assistant store manager functions as the store manager's deputy. In contrast to baristas and shift supervisors, assistant store managers are full-time employees who receive a salary if they work at least 37 hours per week. And unlike baristas and shift supervisors, they are eligible for quarterly bonuses and certain benefits, including holiday and sick pay.

Finally, store managers constitute the highest rank in the workforce structure. With the support of assistant store managers, store managers are responsible for the overall operation of the store. They have the power to hire, promote, transfer, schedule, discipline and terminate baristas and shift supervisors. Store managers, like assistant store managers, are full-time, salaried employees who are eligible for various benefits.

Starbucks maintains a written policy governing the collection, storage and distribution of customer tips. Pursuant to this policy, each Starbucks store places a plexiglass container at the counter where patrons may deposit tips. Once these tip canisters become full, Starbucks requires that they be emptied into a bag and the money is stored in a safe. At the end of each week, the tips are tallied and distributed in cash to two categories of employees—baristas and shift supervisors—in proportion to the number of hours each employee worked. Starbucks does not permit its assistant store managers or store managers to share in the weekly distribution of tips. The company's decision to include shift supervisors in these tip pools was the impetus for the first lawsuit before us, while its exclusion of assistant store managers underlies the claims in the second action.

In 2008, plaintiffs Jeana Barenboim and Jose Ortiz (collectively, Barenboim), two former Starbucks baristas, brought a putative class action in the United States District Court for the Southern District of New York alleging that Starbucks' policy of including shift supervisors in the tip pools was unlawful under Labor Law § 196-d. In particular, Barenboim claimed that shift supervisors should not be able to receive distributions from a store's tip pool because they are Starbucks "agents" who may not "demand or accept, directly or indirectly, any part of the gratuities, received by an employee" (Labor Law § 196-d). In other words, Barenboim contended that the tip jar proceeds belong exclusively to Starbucks baristas. On cross motions for summary judgment, the District Court granted Starbucks' motion, concluding that Labor Law § 196-d does not bar shift supervisors from participating in tip pools because their limited

supervisory responsibilities “do not carry the broad managerial authority or power to control employees that courts have held to be sufficient to render an employee an ‘employer or [employer’s] agent’ within the meaning of Section 196-d” (*In re Starbucks Empl. Gratuity Litig.*, 264 FRD 67, 72 [SD NY 2009]). Barenboim appealed.

Meanwhile, plaintiff Eugene Winans and four other former Starbucks assistant store managers (collectively, Winans) filed a separate complaint in the same court asserting that assistant store managers are not ineligible “agents” and, therefore, they should be entitled to participate in the tip pools under Labor Law § 196-d. Put differently, they claimed that the tips should be distributed among baristas, shift supervisors *and* assistant store managers. On cross motions for summary judgment, the District Court concluded that there was a triable issue of fact as to whether assistant store managers are tip-pool eligible but awarded Starbucks summary judgment on the ground that, although Labor Law § 196-d excludes an employer or its agent from retaining tips, it does not compel an employer to include any particular eligible employee in a tip pool (*Winans v Starbucks Corp.*, 796 F Supp 2d 515 [SD NY 2011]). Winans appealed.

Recognizing that the two appeals presented unresolved questions of New York law, the Second Circuit certified the following questions to us:

“1. What factors determine whether an employee is an ‘agent’ of his employer for purposes of N.Y. Lab. Law § 196-d and, thus, ineligible to receive distributions from an employer-mandated tip pool? In resolving this question for purposes of this case, the Court of Appeals may also consider the following subsidiary questions:

“a. Is the degree of supervisory or managerial authority exercised by an employee relevant to determining whether the employee is a ‘manager [or] supervisor’ under N.Y. Lab. Law § 2(8-a) and, thus, an employer’s ‘agent’ under § 196-d?

“b. If an employee with supervisory or managerial authority renders services that generate gratuities contributed to a common tip pool, does § 196-d preclude that employee from sharing in the tip pool?

“c. To the extent that the meaning of ‘employer or his agent’ in § 196-d is ambiguous, does the Department of Labor’s New York State Hospitality Wage Order constitute a reasonable interpretation of the statute that should govern disposition of these cases?

“d. If so, does the Hospitality Wage Order apply retroactively?

“2. Does New York Labor law permit an employer to exclude an otherwise eligible tip-earning employee under § 196-d from receiving distributions from an employer-mandated tip pool?” (698 F3d 104, 118 [2d Cir 2012]).

The Second Circuit clarified that it did not intend to “bind” us “to the particular questions stated” and invited this Court to “expand these certified inquiries to address any further pertinent question of New York law as it might pertain to the particular circumstances presented in these appeals” (*id.*).

II.

Labor Law § 196-d, admittedly not a model of clarity, provides in relevant part as follows:

“No employer or his agent or an officer or agent of any corporation, or any other person shall demand or accept, directly or indirectly, any part of the gratuities, received by an employee, or retain any part of a gratuity or of any charge purported to be a gratuity for an employee. . . . Nothing in this subdivision shall be construed as affecting the . . . sharing of tips by a waiter with a busboy or similar employee.”

The first sentence of the statute, adopted in 1968, was intended to “end the unfair and deceptive practice of an employer retaining money paid by a patron under the impression that he is giving it to the employee, not to the employer” (*Samiento v World Yacht Inc.*, 10 NY3d 70, 79 n 4 [2008] [internal quotation marks and citation omitted]). The last sentence, which preserves tip sharing among waiters, busboys and “similar employee[s],” was added at the request of the restaurant and hotel industries to preserve the legality of commonplace tip-splitting practices in those businesses (*see* Mem of Indus Commr, June 6, 1968, Bill Jacket, L 1968, ch 1007 at 4).

On this appeal, Barenboim and Winans focus on the first sentence of Labor Law § 196-d and, in particular, on the term “agent.”¹ Barenboim asserts that any supervisory responsibility, however slight, renders an employee (such as a shift supervisor) an agent and, therefore, ineligible to participate in a tip pool. Winans argues the opposite position, contending that only employees with “full” managerial authority—i.e., the ability to hire and fire subordinates—should be viewed as agents and, as a result, assistant store managers remain eligible for tip distribution. Taking a different tack, Starbucks relies on the final sentence of the statute in claiming that shift supervisors are sufficiently similar to waiters, busboys and the like, and should be viewed as eligible to share in tips, while assistant store managers, by virtue of their significant managerial responsibility, stand on substantially different footing from baristas and shift supervisors, making them tip-pool ineligible.

Aside from the arguments of the parties themselves, the New York State Department of Labor (DOL) appears as amicus curiae, lending us its view of the case. Like Starbucks, the DOL draws our attention to the last sentence of Labor Law § 196-d and submits that it contains the operative language relevant to tip-splitting practices. According to the DOL, employees who are “similar” to waiters and busboys may share in tips while employees who are dissimilar to those positions may not. Because the first certified question, as framed by the Second Circuit, centers on the term “agent” rather than the phrase “similar employee,” the DOL suggests that we slightly reformulate it to ask:

“What factors determine whether an employee is eligible or ineligible to receive distributions from an employer-mandated tip-splitting arrangement?”

We accept the DOL’s reframed first question and now turn to the task of answering it.²

We have recognized that the DOL’s “interpretation of a statute it is charged with enforcing is entitled to deference”

1. The Labor Law elsewhere defines an “[a]gent” of a corporation to include, but not be limited to, “a manager, superintendent, foreman, supervisor or any other person employed acting in such capacity” (Labor Law § 2 [8-a]).

2. Notably, although the Second Circuit singled out the word “agent” in its first question, it recognized the import of Labor Law § 196-d’s last sentence—and the “similar employee” language—to this case throughout its opinion (*see* 698 F3d at 106, 109, 111, 113, 115). We believe that in certifying

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(*Samiento*, 10 NY3d at 79; see also *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597, 604 [2005] [explaining that the “construction given statutes and regulations by the agency responsible for their administration, if not irrational or unreasonable, should be upheld” (internal quotation marks and citation omitted)]). Indeed, we previously deferred to the DOL’s reading of Labor Law § 196-d, the very statute at the heart of this case (see *Samiento*, 10 NY3d at 79 [agreeing with the DOL that a charge that is not voluntary may nevertheless be a “charge purported to be a gratuity” within the meaning of the first sentence of section 196-d such that the employer may not pocket it]). Hence, our analysis begins with the DOL’s interpretation of the tip-sharing language of section 196-d and, in particular, the meaning of the phrase “similar employee.”

[1] In January 2011, the DOL promulgated the Hospitality Industry Wage Order (the Wage Order), codified at 12 NYCRR part 146. As relevant to this case, the Wage Order clarified and unified the DOL’s tip-splitting policies previously found in a patchwork of opinion letters and a set of written guidelines dating back to 1972.³ The Wage Order makes clear that an employee’s ability to participate in a tip pool under the last sentence of Labor Law § 196-d “shall be based upon duties and not titles” (12 NYCRR 146-2.14 [e]). The Wage Order also codified the DOL’s long-standing construction of section 196-d as limiting tip-pool eligibility to workers who “perform, or assist in performing, personal service to patrons at a level that is a principal and regular part of their duties and is not merely occasional or incidental” (*id.*). It is therefore evident that employer-mandated tip splitting should be limited to employees

the first question, the Second Circuit was interested in knowing both whether an employee’s supervisory responsibilities are relevant to ascertaining tip-pool eligibility and, if so, the point at which an employee’s authority becomes too great to remain eligible to participate in a tip pool. The reformulated question addresses these inquiries.

3. The Wage Order defines tip sharing as “the practice by which a directly tipped employee gives a portion of his or her tips to another service employee or food service worker who participated in providing service to customers and keeps the balance” (12 NYCRR 146-2.14 [a]). It describes tip pooling as “the practice by which the tip earnings of directly tipped employees are intermingled in a common pool and then redistributed among directly and indirectly tipped employees” (12 NYCRR 146-2.14 [b]). In its brief, the DOL notes that Starbucks’ tip distribution plan “shares features of both practices” and interchangeably refers to it as a policy of tip sharing, tip pooling or tip splitting, as do we.

who, like waiters and busboys, are ordinarily engaged in personal customer service, a rule that comports with the “expectation[s] of the reasonable customer” (*Samiento*, 10 NY3d at 79).

Moreover, contrary to Barenboim’s (i.e., the baristas’) position, the DOL has consistently and, in our view, reasonably, maintained that employees who regularly provide direct service to patrons remain tip-pool eligible even if they exercise a limited degree of supervisory responsibility. Both the 1972 guidelines and the Wage Order identify “captains” as employees who are able to participate in tip sharing under Labor Law § 196-d (see 12 NYCRR 146-2.14 [e] [8] [“captains who provide direct food service to customers”]). Manifestly, captains enjoy some supervisory authority over other waitstaff, yet such responsibility does not, by itself, render them sufficiently dissimilar to waiters and busboys so as to preclude their participation in tip pools. Consequently, we cannot agree with Barenboim’s contention that even the slightest degree of supervisory responsibility automatically disqualifies an employee from sharing in tips under Labor Law § 196-d.⁴

Barenboim relies heavily on *Matamoros v Starbucks Corp.* (699 F3d 129 [1st Cir 2012]) in support of her section 196-d claim, but that case is readily distinguishable. In *Matamoros*, a class of baristas in Massachusetts similarly challenged Starbucks’ policy of including shift supervisors in the communal tip pool, arguing that it violated the Massachusetts Tips Act. That statute, unlike section 196-d, contained an express limitation—wait staff employees could only share tips with fellow wait staff who had “no managerial responsibility” (*id.* at 133). The First Circuit held that the Tips Act created a bright-line rule excluding employees with any level of managerial responsibility, however minimal, from tip sharing and concurred with the baristas that Starbucks shift supervisors could not receive distributions.

4. The Second Circuit queried whether the relevant tip-splitting provisions of the Wage Order, promulgated in 2011, could be applied to these 2008 lawsuits. We discern no retroactivity problem. Although retroactive operation of an enactment is generally disfavored, retroactive effect occurs only when the enactment’s application “would impair rights a party possessed when he acted, increase a party’s liability for past conduct, or impose new duties with respect to transactions already completed” (*Landgraf v USI Film Products*, 511 US 244, 280 [1994]). Here, the pertinent portions of the Wage Order do not create new rights or duties and merely elaborate upon the DOL’s preexisting understanding of Labor Law § 196-d.

In reaching this conclusion, the First Circuit relied on the unequivocal language of the Massachusetts statute (*see id.* at 134 [“ ‘no’ means ‘no’ ”]) as well as interpretive guidance from the Massachusetts Attorney General, who had likewise construed the provision in a manner consistent with the baristas’ claim. In stark contrast, New York’s Labor Law § 196-d does not set forth a categorical prohibition against tip splitting by employees with any inkling of supervisory responsibility. Further, the DOL—the agency charged with the enforcement of section 196-d—directly opposes Barenboim’s proposed construction. As such, we decline to apply the analysis in *Matamoros*.

On the other hand, Winans, on behalf of the assistant store managers, suggests that employees should be deemed “similar” to waiters and busboys—and eligible to share in tips—so long as they do not have full or final authority to terminate subordinates. But we believe that there comes a point at which the degree of managerial responsibility becomes so substantial that the individual can no longer fairly be characterized as an employee similar to general wait staff within the meaning of Labor Law § 196-d. We conclude that the line should be drawn at meaningful or significant authority or control over subordinates. Meaningful authority might include the ability to discipline subordinates, assist in performance evaluations or participate in the process of hiring or terminating employees, as well as having input in the creation of employee work schedules, thereby directly influencing the number and timing of hours worked by staff as well as their compensation. In other words, contrary to Winans’ view, the power to hire and fire is not the exclusive test. The Second Circuit recognized that the parties’ dispute in the *Winans* case “is more legal than factual, with resolution depending on whether New York views final decisionmaking authority as necessary” (698 F3d at 114). Meaningful authority, not final authority, should be the standard.

In sum, an employee whose personal service to patrons is a principal or regular part of his or her duties may participate in an employer-mandated tip-allocation arrangement under Labor Law § 196-d, even if that employee possesses limited supervisory responsibilities. But an employee granted meaningful authority or control over subordinates can no longer be considered similar to waiters and busboys within the meaning of section 196-d and, consequently, is not eligible to participate in a tip pool. We

leave it to the federal courts to apply these principles to the *Barenboim* and *Winans* cases.⁵

III.

Turning to the second certified question, the Second Circuit asks whether an employer may deny tip-pool distributions to an employee who is nevertheless eligible to split tips under Labor Law § 196-d. The second question relates to the *Winans* case because, should the federal courts determine that assistant store managers are eligible to participate in tip pools (on the basis that they do not possess meaningful authority), the legality of Starbucks' policy of excluding them from the tip jars would be implicated.

[2] The District Court in *Winans* reached this issue and upheld Starbucks' practice, reasoning that Labor Law § 196-d merely defines who is eligible or ineligible to join in a tip pool and does not grant an otherwise eligible employee an affirmative right to participate in tip pools or receive tip distributions. Put differently, the District Court effectively answered the second question in the affirmative, holding that Labor Law § 196-d excludes certain people from an employer-mandated tip pool but does not require the inclusion of all employees not statutorily barred from participation. We generally agree with the District Court's reading of the statute but leave open the possibility that there may be an outer limit to an employer's ability to excise certain classifications of employees from a tip pool. For example, the DOL suggests that an employer should not be permitted to "give *all* of the distributions from a tip-splitting arrangement to only the highest-ranking eligible employee." We need not resolve this hypothetical scenario, however, because it is clear that Starbucks' decision to exclude assistant store managers from the tip pool is not contrary to Labor Law § 196-d.

5. Judge Smith's dissent, giving no deference to the DOL, relies on a California case to support his view that Labor Law § 196-d has no application to the distribution of a communal tip pool (*see Jou Chau v Starbucks Corp.*, 174 Cal App 4th 688, 94 Cal Rptr 3d 593 [Ct App, 4th Dist 2009]). But the statute at issue in *Jou Chau* contains no tip-sharing language analogous to the last sentence of New York's Labor Law § 196-d. Moreover, the court in *Jou Chau* stated that its analysis related solely to Starbucks shift supervisors (*id.* at 704-705 ["Our ruling is based only on the particular and narrow facts before us"]) and acknowledged that its "legal reasoning and conclusions would not be controlling" were assistant store managers at issue (*id.* at 705)—as they are here.

Accordingly, the first certified question, as reformulated, and the second certified question should be answered in accordance with this opinion.

SMITH, J. (dissenting in part). I agree with the majority to the extent that I too would answer the Second Circuit's questions in a way favorable to Starbucks and adverse to plaintiffs in both cases. I would proceed by a simpler route, however: I think Labor Law § 196-d is inapplicable to this case.

The conduct forbidden by the statute is to “demand or accept . . . any part of the gratuities . . . received by an employee” or to “retain any part of a gratuity or of any charge purported to be a gratuity for an employee.” In plainer language, neither the boss nor (with some exceptions) a fellow worker may take or demand part of a worker's tips. No one is doing that in this case. This case involves tips not given to any particular employee, but put into a common pool. The only issue is how the pool is to be shared among the people who earn the tips—a subject on which the statute has nothing to say. No doubt, if Starbucks itself were taking a piece of the pool, or if higher-level employees were coercing baristas to give up part of the share that Starbucks allotted them, the statute would be triggered, but that is not what is going on.

The purpose of the statute is no less plain than its language. As we said in *Samiento v World Yacht Inc.* (10 NY3d 70, 79 n 4 [2008]), quoting from the legislative history:

“The drafters of Labor Law § 196-d sought to end the ‘unfair and deceptive practice’ of an employer retaining money paid by a patron ‘under the impression that he is giving it to the employee, not to the employer’ (see Mem of Indus Commr, June 6, 1968, Bill Jacket, L 1968, ch 1007, at 4).”

This case does not involve that “unfair and deceptive practice” or anything resembling it, and that should end the case.

Some federal decisions have made the New York law of tipping more complicated than it needs to be by drawing an analogy between Labor Law § 196-d, a simple prohibition of a rather clear abuse, and 29 USC § 203 (m), which deals with a less simple question of federal law: the extent to which an employer may credit tips against the minimum wage (see *Shahriar v Smith & Wollensky Rest. Group, Inc.*, 659 F3d 234, 241 [2d Cir 2011] [“Thus, 29 U.S.C. § 203(m) and § 196-d bar the same

types of tipping practices, and actions that violate the tip pooling provision of 29 U.S.C. § 203(m) may also violate § 196-d”). But we are not bound by the federal courts’ interpretation of New York law, and I would not follow it here. I think more useful guidance can be found in *Jou Chau v Starbucks Corp.* (174 Cal App 4th 688, 94 Cal Rptr 3d 593 [2009]), in which the court interpreted California Labor Code § 351, a statute quite similar to our section 196-d. Under the California statute: “No employer or agent shall collect, take, or receive any gratuity or a part thereof that is paid, given to, or left for an employee by a patron.”

Jou Chau was a class action by Starbucks baristas essentially identical to the *Barenboim* case we have here. The court dismissed the case, drawing a distinction between an employer’s authority to compel the sharing of a tip “given to an individual service employee” and the authority “to require equitable allocation of tips placed in a collective tip box” (174 Cal App 4th at 691, 94 Cal Rptr 3d at 594-595 [emphasis omitted]). The *Jou Chau* court decided the case without interpreting the term “agent” in Labor Code § 351, concluding that “[e]ven if shift supervisors can be considered ‘agents’ . . . Starbucks did not violate section 351 by permitting shift supervisors to share in the tip proceeds that were left in a collective tip box for baristas and shift supervisors” (174 Cal App 4th at 696, 94 Cal Rptr 3d at 598). The policy behind section 351, the court explained, was “to protect employees from employers who used their positions to unfairly command a share of the employee’s tip” (*id.*). Because the distribution of a common tip pool does not implicate that policy, the court held section 351 not to be violated. I would adopt a similar line of reasoning here.

Because I think the statute is inapplicable, I would answer no to question 1 (b) (asking whether Labor Law § 196-d precludes an employee with supervisory or managerial authority from sharing in a common tip pool) and yes to question 2 (asking whether an employer may exclude an otherwise eligible tip-earning employee from such a pool), and would treat the other questions as academic. The majority’s contrary approach extends the statute to a situation that does not involve the abuse the legislature sought to prohibit—or, as far as I can see, any abuse at all. This has the unfortunate effect of leaving open a large category of tips to regulation by the Department of Labor and to litigation over when the tips have and have not been properly distributed. What good this does, other than the full employment of regulators and of lawyers, is not clear to me.

RIVERA, J. (concurring in part, dissenting in part). I agree with the majority's conclusion, with respect to the first question certified from the United States Court of Appeals for the Second Circuit, that an employee who exercises meaningful authority or control over subordinates is an employer's "agent" ineligible to receive and retain gratuities under Labor Law § 196-d. However, based on our answer to the first certified question, the complex factual issues that may impact the application of section 196-d as suggested by the majority's discussion of the second certified question, and the current posture of the *Winans* case in the federal courts, I would decline to answer the second certified question.

Our answer to the first certified question sets forth the "meaningful authority standard" as the proper standard to determine whether an employee is an agent of the employer under section 196-d. The application of that standard in *Winans* is left to the federal courts, and the Second Circuit may decide the appeal based solely on our answer to the first certified question, obviating the need to consider the majority's answer to the second certified question.

The majority's answer to the second certified question, "whether an employer may deny tip-pool distributions to an employee who is nevertheless eligible to split tips under Labor Law § 196-d" (majority op at 474), is qualified. The majority asserts its general agreement with the District Court that section 196-d does not mandate inclusion of all employees not statutorily barred from participation, but "leave[s] open the possibility that there may be an outer limit to an employer's ability to excise certain classifications of employees from a tip pool" (*id.*). That is, the majority recognizes that there are statutory reins on the employer's attempts to exclude tip-eligible employees from the tip pool. However, the majority refrains from considering the statutory boundaries because it concludes that Starbucks' policy to exclude assistant store managers from the tip pool "is not contrary to Labor Law § 196-d" (*id.*). This determination must rest on the majority's conclusion that assistant store managers have the type of meaningful authority or control over subordinates making this class of employees ineligible to participate in the tip pool. If that is the majority's conclusion, then it does not matter what, if any, discretionary authority the employer may have under section 196-d to exclude an otherwise eligible employee. Put otherwise, the majority's suggestion that

assistant store managers are employer's agents ineligible to participate in a tip pool renders unnecessary its further consideration of the second certified question.

If that is not the logical import of the majority's assessment of the Starbucks policy in *Winans*, then at a minimum, the majority leaves too much unsaid about the boundaries potentially applicable here. As the Department of Labor notes, there remain crucial factual issues that weigh in favor of declining this question.* As it currently stands, the record indicates that all four classes of Starbucks employees are garbed in similar uniforms and engaged in customer service duties. Thus, whether the customer service responsibilities of an assistant store manager constitute a principal or regular part of his or her duties remains unresolved, and the propriety of Starbucks' tipping policy turns on factual issues pertaining to the appropriate classification of assistant store managers as either employer's agents, or tip-eligible employees.

I believe the more prudent course is for us to allow the Second Circuit to consider the possible applicability of our answer to the first certified question to the *Winans* case, and to decline to answer the second certified question. Given that the federal courts may resolve the case without reference to our answer, and because the majority's resolution of the second question raises, without addressing, certain undefined parameters of the statute, I join in the majority's answer to the first certified question and dissent from its answer to the second (see *Yesil v Reno*, 92 NY2d 455, 456-457 [1998]; *Retail Software Servs. v Lashlee*, 71 NY2d 788 [1988]).

Chief Judge LIPPMAN and Judges READ, PIGOTT and ABDUS-SALAAM concur with Judge GRAFFEO; Judge SMITH dissents in part in an opinion; Judge RIVERA dissents in part in a separate opinion.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals, and after hear-

* If we were to be presented with this question in the future, we would also benefit from more extensive briefing by the Department of Labor based upon a fully developed factual record (see *Samiento v World Yacht Inc.*, 10 NY3d 70, 79 [2008]; *Matter of Chesterfield Assoc. v New York State Dept. of Labor*, 4 NY3d 597, 604 [2005]).

ing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[995 NE2d 148, 972 NYS2d 186]

KEVIN KOWALSKI, Appellant, v ST. FRANCIS HOSPITAL AND
HEALTH CENTERS et al., Respondents, et al., Defendants.

Argued May 28, 2013; decided June 26, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 1, 2012. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Dutchess County (Christine A. Sproat, J.), as had denied the motions of defendants St. Francis Hospital and Health Centers, Emergency Physician Services of New York, P.C. and Chandra Chintapalli for summary judgment dismissing the complaint insofar as asserted against them, and (2) granted the motions.

Kowalski v St. Francis Hosp. & Health Ctrs., 95 AD3d 834, affirmed.

HEADNOTE

Negligence — Duty — No Duty to Prevent Intoxicated Patient from Leaving Hospital

Defendants were properly granted summary judgment dismissing plaintiff's negligence and medical malpractice action to recover for injuries plaintiff sustained when he was hit by a car sometime after leaving defendant hospital, where he had been brought by a friend seeking the severely intoxicated plaintiff's admission to defendant's detoxification facility, since the hospital and defendant emergency room doctor did not owe plaintiff a duty to prevent him from leaving the hospital. Defendants had no right, and therefore had no duty, to prevent plaintiff from leaving the emergency room. Although Mental Hygiene Law § 22.09 authorizes the retention of an intoxicated person brought to a hospital "with his or her objection," the Mental Hygiene Law makes no provision for the involuntary retention of people who, like plaintiff, come to the hospital voluntarily. Furthermore the hospital and the doctor could not have had a common-law duty to restrain plaintiff since there can be no duty to do that which the law forbids. To restrain plaintiff on these facts would have exposed defendants to liability for false imprisonment. While plaintiff had previously been hospitalized at defendant's facility, a patient cannot be confined simply because he had been having suicidal thoughts a month ago. In addition, defendant physician had no duty to call the police upon learning of plaintiff's departure; the police could not, on the facts known to defendant doctor at that time, have forced plaintiff to return. Moreover, nothing in the record would support an inference that there was any causal connection between any alleged departure from the hospital's protocol and plaintiff's injury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Hospitals and Asylums §§ 25, 26; AM JUR 2d,

Negligence §§ 73–79, 106, 107, 417; AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 183, 184.

NY JUR 2d, Hospitals and Related Health Care Facilities §§ 29, 37, 38; NY JUR 2d, Physicians, Surgeons, and Other Healers § 200.

PROSSER AND KEETON, TORTS (5th ed) §§ 41, 42, 53.

ANNOTATION REFERENCE

See ALR Index under Hospitals; Physicians and Surgeons.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: hospital doctor /s duty /s prevent! /s intox! /s leav! depart!

POINTS OF COUNSEL

Bleakley Platt & Schmidt, White Plains (Susan E. Galvão, John P. Hannigan, Vincent W. Crowe and Robert D. Meade of counsel), for appellant. I. The medical defendants had a common-law duty to safeguard and protect appellant, measured in part by reference to his capacity to provide for his own safety. (*Tagle v Jakob*, 97 NY2d 165; *Di Ponzio v Riordan*, 89 NY2d 578; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247; *Santos v Unity Hosp.*, 301 NY 153; *Zophy v State of New York*, 27 AD2d 414, 22 NY2d 921; *White v Sheehan Mem. Hosp.*, 119 AD2d 989; *Horton v Niagara Falls Mem. Med. Ctr.*, 51 AD2d 152; *Freeman v St. Clare's Hosp. & Health Ctr.*, 156 AD2d 300; *Sanchez v State of New York*, 99 NY2d 247; *Parvi v City of Kingston*, 41 NY2d 553.) II. The Appellate Division order carves out an impermissible exception to the common-law duty of care owed by health care providers to the patients within their care. III. The cases cited by the Appellate Division only exacerbate the error and deepen the confusion regarding the proper standard of care. (*Lawlor v Lenox Hill Hosp.*, 74 AD3d 695, 15 NY3d 713; *Matter of Michael S.*, 166 Misc 2d 875; *Mottau v State of New York*, 174 Misc 2d 884.) IV. The Appellate Division erred in deciding this case as a matter of law, rather than allowing a jury to consider the reasonableness of the medical defendants' acts and omissions on the date in question. (*Parvi v City of Kingston*, 41 NY2d 553; *Santos v Unity Hosp.*, 301 NY 153; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247; *Herrera v Lever*, 35 Misc 3d 1209; *Sanchez v State of New York*, 99 NY2d 247; *Haber v Cross County Hosp.*, 37 NY2d 888; *Juseinoski v New York Hosp. Med. Ctr. of Queens*, 18 AD3d 713; *Kadyszewski v Ellis Hosp. Assn.*,

192 AD2d 765; *Pedraza v Wyckoff Hgts. Med. Ctr.*, 191 Misc 2d 659.)

The Law Offices of Steinberg, Symer & Platt, LLP, Poughkeepsie (Robert R. Haskins of counsel), for St. Francis Hospital and Health Centers, respondent. I. The medical defendants did not breach any duty in determining it was appropriate to discharge appellant. (*N.X. v Cabrini Med. Ctr.*, 97 NY2d 247; *Freeman v St. Clare's Hosp. & Health Ctr.*, 156 AD2d 300; *Zophy v State of New York*, 27 AD2d 414, 22 NY2d 921; *Warner v State of New York*, 297 NY 395; *Parvi v City of Kingston*, 41 NY2d 553; *Walsh v Town of Cheektowaga*, 237 AD2d 947; *Maldonado v County of Suffolk*, 10 AD3d 387; *Fagan v Atlantic Coast Line R.R. Co.*, 220 NY 301; *Haber v Cross County Hosp.*, 37 NY2d 888; *Juseinoski v New York Hosp. Med. Ctr. of Queens*, 18 AD3d 713.) II. Appellant did not put forth sufficient evidentiary proof at the trial court level to defeat the prima facie showing of entitlement to summary judgment. (*Zuckerman v City of New York*, 49 NY2d 557; *Romano v Stanley*, 90 NY2d 444; *Kornfeld v NRX Tech.*, 93 AD2d 772; *Alvarez v Prospect Hosp.*, 68 NY2d 320.)

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, New York City (Robert A. Spolzino, Judy C. Selmeci, Marshal S. Endick and Jeffrey B. Araten), of counsel for Chandra Chintapalli, M.D., respondent. I. Dr. Chintapalli had no authority under the Mental Hygiene Law to detain plaintiff since plaintiff came to the hospital voluntarily. (*Lawlor v Lenox Hill Hosp.*, 74 AD3d 695, 15 NY3d 713; *Matter of Bates v Lang*, 26 AD2d 462; *Randall v Bailey*, 288 NY 280; *Matter of Prime*, 136 NY 347; *Moore v Mausert*, 49 NY 332; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *People ex rel. Pilgrim v Quick*, 34 AD2d 562; *Matter of James*, 22 NY2d 545; *People ex rel. Ordway v St. Saviour's Sanitarium*, 34 App Div 363; *Matter of K.L.*, 1 NY3d 362.) II. A physician has no common-law duty or authority to detain an intoxicated person involuntarily. (*Haymon v Pettit*, 9 NY3d 324; *Lauer v City of New York*, 95 NY2d 95; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Darby v Compagnie Natl. Air France*, 96 NY2d 343; *Galindo v Town of Clarkstown*, 2 NY3d 633; *D'Amico v Christie*, 71 NY2d 76; *Martino v Stolzman*, 18 NY3d 905; *Purdy v Public Adm'r of County of Westchester*, 72 NY2d 1; *Engelhart v County of Orange*, 16 AD3d 369; *Cartier v Long Is. Coll. Hosp.*, 111 AD2d 894.) III. Dr. Chintapalli had no duty to plaintiff because plaintiff had terminated the physician-patient relationship. (*Garofalo v State of New York*, 17 AD3d 1109, 5 NY3d 707; *Zimmerly v Good Samaritan Hosp.*, 261

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AD2d 614; *Lee v City of New York*, 162 AD2d 34; *Blythe v City of New York*, 119 AD2d 615; *Heller v Peekskill Community Hosp.*, 198 AD2d 265; *Marabello v City of New York*, 99 AD2d 133; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247; *Santos v Unity Hosp.*, 301 NY 153; *Freeman v St. Clare's Hosp. & Health Ctr.*, 156 AD2d 300.) IV. Dr. Chintapalli's decision not to detain plaintiff was an exercise of professional judgment for which he cannot be liable, even if his judgment was inconsistent with hospital protocols. (*Weinreb v Rice*, 266 AD2d 454; *Fiederlein v City of New York Health & Hosps. Corp.*, 80 AD2d 821; *Schrempf v State of New York*, 66 NY2d 289; *Darren v Safier*, 207 AD2d 473; *Topel v Long Is. Jewish Med. Ctr.*, 55 NY2d 682; *Davis v Patel*, 287 AD2d 479; *Conrad v County of Westchester*, 259 AD2d 724; *Brown v Metropolitan Tr. Auth.*, 281 AD2d 159.)

Phelan, Phelan & Danek, LLP, Albany (Timothy S. Brennan of counsel), for Emergency Physician Services of New York, P.C., respondent. I. Plaintiff knowingly refused medical treatment and could not have been detained under New York's statutory and constitutional provisions. (*Matter of Delio v Westchester County Med. Ctr.*, 129 AD2d 1; *Schloendorff v Society of N.Y. Hosp.*, 211 NY 125; *Matter of Boggs v New York City Health & Hosps. Corp.*, 132 AD2d 340; *Humphrey v Cady*, 405 US 504; *Addington v Texas*, 441 US 418; *Schrempf v State of New York*, 66 NY2d 289; *Pingtella v Jones*, 305 AD2d 38; *Engelhart v County of Orange*, 16 AD3d 369.) II. Plaintiff failed to demonstrate the existence of a material issue of fact requiring jury resolution. (*Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Matter of Delio v Westchester County Med. Ctr.*, 129 AD2d 1; *Schloendorff v Society of N.Y. Hosp.*, 211 NY 125; *Warner v State of New York*, 297 NY 395; *Siegel v City of New York*, 43 AD2d 271; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247; *Santos v Unity Hosp.*, 301 NY 153; *Zophy v State of New York*, 27 AD2d 414; *White v Sheehan Mem. Hosp.*, 119 AD2d 989.) III. To the extent that plaintiff's experts disagreed, their opinions, at best, established a difference in medical judgment that was insufficient to oppose the motion for summary judgment. (*Fiederlein v City of New York Health & Hosps. Corp.*, 80 AD2d 821; *Bell v New York City Health & Hosps. Corp.*, 90 AD2d 270.)

OPINION OF THE COURT

SMITH, J.

We hold that, on the facts of this case, a hospital and an emergency room doctor did not owe an intoxicated patient a duty to prevent him from leaving the hospital.

I

Plaintiff was brought by a friend to the emergency room of defendant St. Francis Hospital and Health Centers, seeking admission to St. Francis's detoxification facility, known as "Turning Point." This was at least plaintiff's second visit to St. Francis; he had been admitted there in the previous month with suicidal thoughts and had been placed on a "one-to-one watch." On that occasion, he improved after receiving medication and was discharged. Apparently, no one at the hospital consulted the record of plaintiff's previous visit when he returned.

There is no evidence that plaintiff was suicidal on his later visit to St. Francis. But he showed signs of severe intoxication, including red eyes, garbled speech and a strong smell of alcohol. His blood-alcohol content was extremely high: .369%. He was, however, alert and able to walk. He was seen by an emergency room doctor, defendant Chandra Chintapalli, and was accepted to the Turning Point program.

About four hours after his arrival, plaintiff was waiting to be transported to Turning Point when he removed an IV from his arm and told a nurse he planned to go home in a taxi. She urged him to call a friend to pick him up, and he agreed. The nurse went to tell Dr. Chintapalli that plaintiff wanted to leave; when she returned, plaintiff was gone. The nurse asked Dr. Chintapalli if she should call the police. The doctor said no, but notified hospital security. Plaintiff left unescorted, and was hit by a car an hour or two later.

Plaintiff sued the hospital, Dr. Chintapalli and the doctor's professional corporation (defendants in this opinion) for negligence and medical malpractice. Supreme Court denied defendants' motions for summary judgment. The Appellate Division reversed and granted the motions, holding that defendants had shown prima facie "that they lacked authority to confine the plaintiff upon his departure from St. Francis" and that plaintiff had failed to contradict that showing (*Kowalski v St. Francis Hosp. & Health Ctrs.*, 95 AD3d 834, 835 [2d Dept 2012]). We granted leave to appeal (19 NY3d 809 [2012]) and now affirm.

II

The gist of plaintiff's claim is that defendants should have prevented him from leaving the emergency room. We agree with

the Appellate Division that defendants had no right, and therefore could have had no duty, to do so.

There are surely few principles more basic than that the members of a free society may, with limited exceptions, come and go as they please. Of course there are people so mentally impaired that they must be denied this right, but that category is a narrow one and does not include everyone who would be safer in a detoxification facility than on the street. Thus the common law permitted the restraint of people whose mental state might make them a danger to themselves or others only in extreme circumstances. As Judge Fuld explained in *Warner v State of New York* (297 NY 395, 401 [1948]):

“The common law recognized the power to restrain, summarily and without court process, an insane person who was dangerous at the moment. The power was to be exercised, however, only when necessary to prevent the party from doing some immediate injury either to himself or others and only when the urgency of the case demands immediate intervention. On the other hand, insane persons who were not dangerous were not liable to be thus arrested or restrained . . . *Emmerich v. Thorley* [(35 App Div 452 [1st Dept 1898])] . . . is a striking illustration of the sort of case wherein summary restraint is justifiable. There, the plaintiff who had been summarily and forcibly restrained was actually in the act of throwing herself out of a window to escape fancied pursuers” (internal quotation marks and citations omitted).

Today, Mental Hygiene Law § 22.09 specifically addresses the question of when a hospital may retain “a person whose mental or physical functioning is substantially impaired as a result of the presence of alcohol . . . in his or her body” (Mental Hygiene Law § 22.09 [a] [1]). The statute deals separately with the case of an intoxicated person “who comes voluntarily or is brought without his or her objection” to a hospital or other treatment facility (§ 22.09 [d]) and one “who is brought with his or her objection” (§ 22.09 [e]). In the latter case, the person “may be retained for emergency treatment” if he or she is examined by a doctor and found to be incapacitated to such a degree that “there is a likelihood to result in harm to the person or others” (§ 22.09 [e]); a “likelihood to result in harm” to oneself must be “manifested by threats of or attempts at suicide or serious

bodily harm or other conduct” that demonstrates a danger of self-injury (Mental Hygiene Law § 22.09 [a] [3]). For the former category—people who, like plaintiff, come to the hospital voluntarily—the Mental Hygiene Law makes no provision for involuntary retention.

Plaintiff concedes that he could not have been retained under Mental Hygiene Law § 22.09. He argues that the Mental Hygiene Law is not the only possible source of a right to confine an intoxicated person. We need not decide that question: Plaintiff cites no other statute, and there is no principle of common law, that would permit the restraint of a patient on the facts of this case. Plaintiff argues that a duty to restrain him flowed from the hospital’s and the doctor’s common-law duty of care, but there can be no duty to do that which the law forbids. To restrain plaintiff on these facts would have exposed defendants to liability for false imprisonment.

Plaintiff points to two specific features of this case which show, he says, that defendants were at fault: the failure to consult the record of plaintiff’s previous hospitalization, when he was contemplating suicide, and Dr. Chintapalli’s rejection of a nurse’s suggestion to call the police. Neither fact changes the result. A patient cannot be confined simply because he was having suicidal thoughts a month ago. And the doctor had no duty to call the police; the police could not, on the facts known to Dr. Chintapalli when plaintiff left the hospital, have forced plaintiff to return.

The dissent advances two theories. First, it says that the Mental Hygiene Law is not “implicated” here (dissenting op at 487)—but Mental Hygiene Law § 22.09 (c), (d) and (e) apply on their face to a “general hospital.” Secondly, the dissent argues, not that defendants could or should have prevented plaintiff from leaving the hospital, but that defendants failed “to follow their own protocols” in other ways (dissenting op at 487). Nothing in this record, however, supports an inference that there was any causal connection between any of the alleged departures from protocol that the dissent relies on and plaintiff’s injury. This case is about whether defendants had a duty to prevent plaintiff from leaving the hospital, and nothing else.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). I would reverse on two grounds: the first based upon the Appellate Division’s erroneous holding that

the Mental Hygiene Law is implicated here, and the second based upon what I view as defendants' common-law duty to plaintiff.

With respect to the Appellate Division's analysis, it is clear that article 22 of the Mental Hygiene Law does not apply. Article 22, entitled "Chemical Dependence Programs, Treatment Facilities, and Services," is primarily addressed to an entirely different category of medical providers, not general hospitals, with a limited exception for emergency treatment (*see* Mental Hygiene Law § 22.09 [c], [d], [e]). The Appellate Division held that a person, "brought voluntarily to a medical facility for treatment of alcoholism[,] cannot be involuntarily confined solely for that treatment" (95 AD3d 834 [2d Dept 2012]). But article 22 does not, as the Appellate Division seems to imply, displace a medical provider's common-law duty relative to patients, incapacitated by alcohol or any other affliction, who voluntarily present themselves for emergency treatment. To hold otherwise distorts both article 22 and the common-law duty of health care providers.

Once the Mental Hygiene Law is removed from the equation, the issue then becomes: what is the common-law duty of defendants to a concededly intoxicated patient once he presents himself to the hospital and comes under the care of a physician? Defendants' argument in support of their motion for summary judgment is straightforward—plaintiff did not meet the legal standard for *involuntary* confinement, i.e., he was not an imminent danger to himself or others, and, because he was not such a danger, they owed him no duty. He was free to leave and there was nothing defendants could have done to legally stop him.

But this case has nothing to do with whether "free" individuals may "come and go as they please" (majority op at 485), and has everything to do with defendants' duty to a patient, like plaintiff, who presents to the emergency department in an intoxicated state. Because plaintiff submitted evidence through expert affidavits establishing that defendants failed to follow their own protocols in treating him, defendants' motion for summary judgment should have been denied.

Defendants supported their position with three experts, but the opinions of only two of them—a psychiatrist and an RN with a doctorate in the field of adult nursing practice—merit discussion here. The psychiatrist opined that the "undisputed facts demonstrate that [plaintiff] was not suicidal, and had not

manifested any signs of [being an] imminent [danger] to himself [and] others.” The RN, who submitted an affidavit on behalf of St. Francis, claimed that there was nothing the nursing staff could have done to stop plaintiff because it had no authority to restrain plaintiff, particularly where he had not expressed any desire to harm anyone.

However, these opinions, drawn from the Mental Hygiene Law, are tangential to the basic question of the defendants’ common-law duty to a patient such as this plaintiff, who presented with a fractured nose and in an inebriated state. Underscoring St. Francis’s duty in this regard is the fact that, just one month prior to this admission, plaintiff presented to the same emergency department in an intoxicated and suicidal state. In response to that, St. Francis placed plaintiff on a “one-to-one watch,” consistent with its written policy, until he was discharged to his family two days later. The majority acknowledges that St. Francis’s staff in all likelihood failed to consult the medical records concerning plaintiff’s recent visit (majority op at 484).

In opposition to the motion, plaintiff presented affidavits from his own experts—a board-certified emergency medicine physician and an expert in psychiatry and neurology. These medical experts found fault with plaintiff’s care and treatment by defendants, beginning with St. Francis’s failure to abide by its own policies for a patient, such as plaintiff, with a history of psychiatric hospitalization, suicidal ideations and heavy drinking, all of which indicated that one-to-one surveillance may be needed. They also opined that, based on plaintiff’s behavior, defendant Chintapalli should have assigned a one-to-one watch. These experts explained that the decision by St. Francis and Chintapalli not to monitor plaintiff deviated from the standard of care and violated hospital protocol. Moreover, St. Francis failed to abide by its policy that “potentially unstable patients by history will not be left unattended while in the Emergency Department” (emphasis omitted), which is clearly what occurred here. These aforementioned failures were compounded by Chintapalli’s instructions; when asked, after the patient had left against medical advice, whether the police should be called, he answered “no.”

The majority’s opinion implies that this is an “all or nothing” issue, namely, that because St. Francis had no authority to restrain plaintiff, it owed him no further duty. In my view, plaintiff, through his experts, raised a triable issue of fact with

respect to the defendants' common-law duty as outlined in the hospital's own protocols. Whether plaintiff would prevail at trial is another question; but serious issues of fact with respect to defendants' conduct remain, as do triable issues of fact concerning proximate cause. I would reverse the Appellate Division order, deny the defendants' motion for summary judgment and reinstate the complaint.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and RIVERA concur with Judge SMITH; Judge PIGOTT dissents and votes to reverse in an opinion in which Judge ABDUS-SALAAM concurs.

Order affirmed, with costs.

[995 NE2d 144, 972 NYS2d 182]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHRISTOPHER BRINSON, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LAWRENCE BLANKYMSEE, Appellant.

Argued May 30, 2013; decided June 26, 2013

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 6, 2011. The Appellate Division affirmed a resentence of the Supreme Court, Queens County (Robert C. Kohm, J.), which had imposed a period of postrelease supervision in addition to the previously imposed determinate term of imprisonment.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 21, 2012. The Appellate Division affirmed a resentence of the Supreme Court, Queens County (Stephen A. Knopf, J.), which had imposed periods of postrelease supervision in addition to the previously imposed determinate terms of imprisonment.

People v Brinson, 90 AD3d 670, affirmed.

People v Blankymsee, 92 AD3d 890, affirmed.

HEADNOTE

Crimes — Sentence — Resentence — Postrelease Supervision — Double Jeopardy

The Double Jeopardy Clause of the Fifth Amendment did not bar the imposition of postrelease supervision (PRS) at the resentencing of defendants, notwithstanding their contention that they had completed serving their determinate sentences of imprisonment for the counts subject to PRS, because defendants could not have a legitimate expectation of finality in the determinate sentences until they had completed their aggregated sentences reflecting the time imposed for all of their convictions. Defendants were resented because the respective sentencing courts failed to impose PRS as part of the original sentences, and a determinate sentence without a term of PRS is illegal. The Double Jeopardy Clause's prohibition against multiple punishments for the same crime prevents a sentence from being increased once the defendant has a legitimate expectation in the finality of the sentence. Defendants' multiple sentences were subject to aggregation and/or merger under Penal Law § 70.30, and they would not have a legitimate expectation of

finality until they completed their aggregated sentences. Their respective sentences should not be treated as separate and discrete because under Penal Law § 70.30 consecutive and concurrent sentences are merged or aggregated and thus made into one.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 275–278, 296.
CARMODY-WAIT 2d, Exemption from Prosecution By Reason of Previous Prosecution §§ 185:1, 185:53; CARMODY-WAIT 2d, Sentencing Procedures §§ 203:209, 203:210.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 25.1, 26.7.
MCKINNEY'S, Penal Law § 70.30.
NY JUR 2d, Criminal Law: Procedure §§ 1931, 1958, 2927, 2928.
US Const 5th Amend.

ANNOTATION REFERENCE

See ALR Index under Double Jeopardy; Sentence and Punishment.

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Query: double /2 jeopardy /s post-release /2 supervision /s resentencing /p expect! /4 final!

POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Paul Skip Laisure of counsel), for appellant in the first above-entitled action. Adding a five-year term of postrelease supervision to Christopher Brinson's determinate sentence after he had finished serving that sentence and was incarcerated only on consecutive indeterminate sentences violated double jeopardy. (*United States v DiFrancesco*, 449 US 117; *People v Lingle*, 16 NY3d 621; *People v Williams*, 14 NY3d 198; *United States v Silvers*, 90 F3d 95; *People v Sparber*, 10 NY3d 457; *People v Ramirez*, 89 NY2d 444; *Earley v Murray*, 451 F3d 71; *People v Buss*, 11 NY3d 553; *Matter of State of New York v Rashid*, 16 NY3d 1; *People v Mills*, 11 NY3d 527.)

Lynn W.L. Fahey, Appellate Advocates, New York City (Paul Skip Laisure of counsel), for appellant in the second above-entitled action. Adding a five-year term of postrelease supervision

to Lawrence Blankymsee's two determinate sentences after he had finished serving those sentences and was incarcerated only on concurrent indeterminate sentences violated double jeopardy. (*United States v DiFrancesco*, 449 US 117; *People v Lingle*, 16 NY3d 621; *People v Williams*, 14 NY3d 198; *United States v Silvers*, 90 F3d 95; *People v Ramirez*, 89 NY2d 444; *People v Sparber*, 10 NY3d 457; *Earley v Murray*, 451 F3d 71; *People v Buss*, 11 NY3d 553; *Matter of State of New York v Rashid*, 16 NY3d 1; *People v Mills*, 11 NY3d 527.)

Richard A. Brown, District Attorney, Kew Gardens (Anastasia Spanakos and John M. Castellano of counsel), for respondent in the first and second above-entitled actions. Defendants' resentencings did not violate double jeopardy because they had not completed their original sentences, and, under this Court's precedent, they had no legitimate expectation of finality in those illegal sentences. (*People v Lingle*, 16 NY3d 621; *People v Williams*, 14 NY3d 198; *People v Buss*, 11 NY3d 553; *People v Sparber*, 10 NY3d 457; *People v Velez*, 19 NY3d 642; *Morrissey v Brewer*, 408 US 471; *Gonzalez-Fuentes v Molina*, 607 F3d 864; *People v Gammon*, 19 NY3d 893; *United States v Pettus*, 303 F3d 480; *Missouri v Hunter*, 459 US 359.)

OPINION OF THE COURT

RIVERA, J.

In these unrelated cases, each defendant claims that the imposition of mandatory postrelease supervision (PRS) to his determinate sentence at resentencing violates the Fifth Amendment Double Jeopardy Clause of the federal constitution. Defendants claim that they have completed their determinate sentences, therefore imposition of PRS violates the prohibition against multiple punishments. We conclude that the respective resentences do not constitute violations of the Double Jeopardy Clause because defendants do not have a legitimate expectation of finality until they have completed their aggregated sentences under Penal Law § 70.30.

In both these cases, defendants were resentenced because the sentencing court failed to impose PRS as part of the original sentence (*see People v Sparber*, 10 NY3d 457, 469-470 [2008] [holding that a judge must pronounce a defendant's PRS sentence in open court and that a court's failure to impose PRS as part of the original sentence requires resentencing of the defendant to correct the error]). Defendant Christopher Brinson

was arrested on December 8, 1998,¹ and sentenced on July 14, 2000 to a determinate term of 10 years' imprisonment for robbery in the second degree (Penal Law § 160.10 [1]), an indeterminate term of 3 to 6 years' imprisonment for robbery in the third degree (Penal Law § 160.05), and an indeterminate term of 2 to 4 years' imprisonment for grand larceny in the fourth degree (Penal Law § 155.30 [5]). The court ordered the indeterminate counts to run concurrent with each other but consecutive to the determinate count. On April 28, 2010, approximately 11 years and four months after his incarceration following his arrest, Supreme Court resentenced defendant, imposing upon him five years' PRS nunc pro tunc on the determinate count.

Defendant Lawrence Blankymsee was sentenced, on May 20, 2004, as a second felony offender, to seven concurrent prison terms consisting of determinate sentences of five years on two loaded firearm possession counts (Penal Law § 265.02 [4]), indeterminate sentences of 3 to 6 years on other weapons possession counts (Penal Law § 265.02 [1]), indeterminate sentences of 8 to 16 years on two felony controlled substance possession counts (Penal Law § 220.16 [12]), and a definite sentence of one year on a misdemeanor drug possession count (Penal Law § 220.03). Six years and five months later, on October 20, 2010, Supreme Court resentenced defendant and imposed five years' PRS on the two counts of criminal possession in the third degree involving the unlawful possession of loaded firearms, for which he had received determinate sentences.

The Appellate Division unanimously affirmed the resentences in separate appeals, concluding that defendants did not have a legitimate expectation of finality in their respective determinate sentences because they had not completed their properly aggregated sentences prior to resentencing (*People v Brinson*, 90 AD3d 670 [2d Dept 2011]; *People v Blankymsee*, 92 AD3d 890 [2d Dept 2012]).² A Judge of this Court granted leave to appeal in both cases.

1. The briefs on appeal appear to erroneously state that defendant was arrested in December 1999. The record indicates that the indictment was filed in January 1999 and the presentence investigation report states that the arrest occurred on the above-mentioned date.

2. The Appellate Division also concluded that resentencing did not violate defendants' rights to due process (92 AD3d at 890; 90 AD3d at 672). On appeal, defendants' arguments concern the Double Jeopardy Clause, but even construing defendants' appeals to include separate due process arguments, we find them to be without merit.

The Fifth Amendment's Double Jeopardy Clause prohibits multiple punishments for the same crime (*see United States v DiFrancesco*, 449 US 117, 129 [1980]; *People v Biggs*, 1 NY3d 225, 228-229 [2003]). This prohibition "prevents a sentence from being increased once the defendant has a legitimate expectation in the finality of the sentence" (*People v Williams*, 14 NY3d 198, 215 [2010], citing *DiFrancesco*, 449 US at 135-136). However, "defendants are 'presumed to be aware that a determinate prison sentence without a term of PRS is illegal' " (*People v Lingle*, 16 NY3d 621, 630 [2011], quoting *Williams*, 14 NY3d at 217), and courts have an inherent authority to correct illegal sentences (*see e.g. People v Richardson*, 100 NY2d 847, 852-853 [2003]).

We have held that the opportunity to correct such illegality is not without end. As we stated in *Williams*, "there must be a temporal limitation on a court's ability to resentence a defendant since criminal courts do not have perpetual jurisdiction over all persons who were once sentenced for criminal acts" (*Williams*, 14 NY3d at 217 [citation omitted]). The temporal limitation demarcation occurs once the sentence is served and the appeal is completed, or the time for such appeal has expired. In *Lingle*, we stated that the defendant's "expectation of finality arises for purposes of double jeopardy when a defendant *completes* the lawful portion of an illegal sentence and exhausts any appeal taken" (*Lingle*, 16 NY3d at 630, citing *Williams*, 14 NY3d at 217). In that case, we rejected defendants' argument that the completion of less than the entire "originally-imposed sentence" could be the basis for a legitimate expectation of finality (*Lingle*, 16 NY3d at 631).

We thus consider the issues raised in the appeals currently before us with the understanding that we must presume defendants knew that their determinate sentences were illegal, and that they knew they were subject to resentencing until such time as they completed their respective sentences. We must also presume defendants understood that their multiple sentences were subject to aggregation and/or merger under Penal Law § 70.30, and our prior case law interpreting this provision (*see Lingle*, 16 NY3d at 633 ["defendants are charged with knowledge of the law"]).

The central dispute in these cases is whether the defendants have a legitimate expectation of finality in the determinate sentences which are subject to PRS, given the fact that, at the time of resentencing, they had not completed, and remained incarcerated pursuant to, an aggregate sentence which reflected the

time imposed for all of the convictions. Defendants state that they have an expectation of finality because at the time of resentencing they had already completed the determinate sentences for the counts subject to PRS. They contend that their multiple sentences must be measured as discrete and insular for purposes of the Double Jeopardy Clause.

The People argue that because the defendants were incarcerated and serving aggregate sentences calculated in accordance with Penal Law § 70.30 at the time of resentencing, they did not have a legitimate expectation in the finality of their sentences. The People further argue that the defendants' multiple sentences were properly aggregated under Penal Law § 70.30, and thus are not measured as discrete sequential terms of imprisonment, but rather constitute one punishment of incarceration, with a release date calculated in accordance with section 70.30.

As relevant to these appeals, Penal Law § 70.30 establishes the methodology for calculating a defendant's multiple terms of imprisonment, including determinate and indeterminate terms. Section 70.30 allows a court to merge concurrent sentences and add consecutive sentences (*see* Penal Law § 70.30 [1]; *see also* William C. Donnino, Practice Commentary, McKinney's Cons Laws of NY, 2011 Electronic Update, Penal Law § 70.30). In defendant Brinson's case, his indeterminate sentences were merged with one another and added to the determinate sentence to produce an aggregate maximum term of 13 years. In defendant Blankymsee's case, his sentences were merged so that the largest indeterminate term of 8 to 16 years controls.

Our prior analysis of section 70.30 does not support defendants' argument that their respective sentences must be treated as separate and discrete. In *People v Buss* (11 NY3d 553 [2008]), we held that under Penal Law § 70.30 consecutive and concurrent sentences are merged or aggregated and thus "*made into one*" (*id.* at 557). The defendant there pleaded guilty to unrelated crimes that occurred years apart, but the Board of Examiners of Sex Offenders sought to have defendant registered under the Sex Offender Registration Act (SORA) for the first crime even though his sentence for that crime had expired before SORA became effective. We applied Penal Law § 70.30 to the question "whether a prisoner who has been given multiple sentences is subject to all his sentences for the duration of his term of imprisonment," and answered that question in the affirmative on the basis that Penal Law § 70.30 converts multiple sentences into a "single, indeterminate sentence" (*id.*). We held

that “for SORA purposes a prisoner serving multiple sentences is subject to all the sentences, whether concurrent or consecutive, that make up the merged or aggregate sentence he is serving” (*id.* at 557-558).

Defendants argue that *Buss* is distinguishable because that case involved registration under SORA. However, our analysis of section 70.30 did not depend on SORA. Quite the contrary. In *Buss* we analyzed section 70.30 based on the language of the statute, and applied our interpretation of the requirements of section 70.30 to SORA. Nothing in the case suggests that our interpretation of section 70.30 was dependent on SORA, or limited to SORA cases.

Defendants’ reliance on *Matter of State of New York v Rashid* (16 NY3d 1 [2010]) in support of their argument that section 70.30 does not apply to their sentences is unavailing. In that case, we concluded that section 70.30 could not be used to bring an ineligible sex offender under the civil management provisions of Mental Hygiene Law article 10 because that article contains its own rules for determining which crimes count for eligibility under the statute. Thus, *Rashid* recognized that superimposing section 70.30 on the detailed legislative scheme applicable to article 10 would “distort th[e] statutory scheme” (*id.* at 19). There is no similar statutory scheme involved in the appeals before us, only the original sentences which were properly calculated and aggregated in accordance with section 70.30.

As we stated in *Williams* and *Lingle*, a legitimate expectation of finality turns on the completion of a sentence. Where multiple sentences are properly aggregated into a single sentence, that expectation arises upon completion of that sentence. Defendants Brinson and Blankymsee will have a legitimate expectation of finality upon completion of their respective aggregated sentences. Until such time, resentencing for purposes of correcting their illegal determinate sentences does not run afoul of the Double Jeopardy Clause and the prohibition against “multiple punishments.” The Appellate Division orders should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and ABDUS-SALAAM concur.

In each case: Order affirmed.

[997 NE2d 457, 974 NYS2d 885]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v REECE
RUDOLPH, Appellant.

Argued May 29, 2013; decided June 27, 2013

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 30, 2011. The Appellate Division affirmed a judgment of the Warren County Court (John S. Hall, Jr., J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the third degree.

People v Rudolph, 85 AD3d 1492, reversed.

HEADNOTES

Infants — Youthful Offenders — Sentencing Court Must Determine Status

1. *People v McGowen* (42 NY2d 905 [1977]), which held that a defendant who made no assertion at the time of sentence that he was entitled to an adjudication of his youthful offender status waived his right thereto, incorrectly interpreted the youthful offender statute (CPL 720.20 [1]) and is overruled.

Infants — Youthful Offenders — Sentencing Court Must Determine Status — Nonwaivable Determination

2. Compliance with the statutory command of CPL 720.20 (1), which provides that where a defendant is eligible to be treated as a youthful offender, the sentencing court “must” determine whether he or she is to be so treated, cannot be dispensed with, even where defendant has failed to ask to be treated as a youthful offender, or has purported to waive his or her right to make such a request. The legislature’s use of the word “must” in that context reflects a policy choice that there be a youthful offender determination in every case where the defendant is eligible, even where the defendant fails to request it, or agrees to forgo it as part of a plea bargain. To disable a court from making a decision as to whether youthful offender treatment would be justified is effectively to hold that the defendant may not have the opportunity for a fresh start, without a criminal record, even if the judge would conclude that that opportunity was likely to turn the young offender into a law-abiding, productive member of society. The judgment of a court as to which young people have a real likelihood of turning their lives around is just too valuable, both to the offender and to the community, to be sacrificed in plea bargaining.

Crimes — Sentence — Collateral Attack on Final Sentences Follow- ing Overrule of Case Interpreting Youthful Offender Statute

3. The overruling of *People v McGowen* (42 NY2d 905 [1977]), which held that a defendant who made no assertion at the time of sentence that he was entitled to an adjudication of his youthful offender status waived his right

thereto, should not have any application to cases where the appellate process has been completed. While there is a possibility that the overruling of *McGowen* might permit collateral attacks on sentences that have already become final, in light of the factors that determine the retroactivity of judicial decisions, the impact of *McGowen*'s overrule will be limited to cases still on direct review.

Crimes — Plea of Guilty — Withdrawal of Plea — Overrule of Case Interpreting Youthful Offender Statute

4. The decision to overrule *People v McGowen* (42 NY2d 905 [1977]) and require a sentencing court to determine whether an eligible defendant should be treated as a youthful offender even where defendant has failed to ask to be treated as a youthful offender, or has purported to waive his or her right to make such a request, should not allow any defendants who have pleaded guilty to withdraw their pleas. Defendant, who failed to make a request for juvenile offender consideration when he pleaded guilty, did not and could not seek plea withdrawal. The Court's interpretation of the youthful offender statute (CPL 720.20 [1]) provides no reason that defendant's plea, or that of any other defendant similarly situated, was not knowing and voluntary. If anything, defendant pleaded guilty under the impression that the law was less favorable to him than the Court has held that it is—in other words, the plea offer he accepted may have been better than he thought. That was not a misapprehension that would support an application to withdraw a plea. Therefore, the only remedy that any defendant would be entitled to under the decision to overrule *McGowen* would be consideration by the sentencing court of whether youthful offender treatment were appropriate or not.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Courts §§ 154, 155; AM JUR 2d, Criminal Law §§ 687, 688; AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children § 56.

CARMODY-WAIT 2d, Juvenile and Youthful Offenders §§ 206:55, 206:57, 206:58, 206:62.

McKINNEY'S, CPL 720.20 (1).

NY JUR 2d, Courts and Judges § 235; NY JUR 2d, Criminal Law: Procedure §§ 1517, 1521, 1527, 1810–1812, 1816, 1820.

ANNOTATION REFERENCE

See ALR Index under Guilty Plea; Juvenile Courts and Delinquent Children; Retrospective Operation and Laws; Sentence and Punishment.

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POINTS OF COUNSEL

Jack H. Weiner, Chatham, for appellant. The sentence was improperly imposed without considering Reece Rudolph for

youthful offender status and should be vacated and the case remanded for resentencing consistent with the provisions of CPL 710.20, with a direction that appellant Rudolph receive “youthful offender” treatment and full credit for time already served. (*People v Drayton*, 39 NY2d 580; *Matter of Capital Newspapers Div. of Hearst Corp. v Moynihan*, 71 NY2d 263; *People v Barlette*, 83 AD2d 695; *People v Evelyn J.*, 11 Misc 3d 277; *People v Barrow*, 51 AD2d 912; *People v Mendoza*, 57 AD2d 846; *People v Miles*, 244 AD2d 433; *People v McGowen*, 42 NY2d 905, 42 NY2d 1015; *People v Gregory*, 290 AD2d 810; *People v Hopper*, 39 AD3d 1030.)

Kathleen B. Hogan, District Attorney, Lake George (*Emilee B. Davenport* of counsel), for respondent. I. The Appellate Division, Third Department properly found that defendant waived youthful offender treatment. (*Matter of Capital Newspapers Div. of Hearst Corp. v Moynihan*, 71 NY2d 263; *People v Drayton*, 39 NY2d 580, 39 NY2d 1058; *People v McGowen*, 42 NY2d 905; *People v Rogers*, 5 AD3d 871; *People v Sharlow*, 12 AD3d 724; *People v McClain*, 35 NY2d 483; *People ex rel. Gallagher v Follette*, 22 NY2d 239; *People v Miles*, 244 AD2d 433; *People v Mendoza*, 57 AD2d 846; *People v Cunningham*, 238 AD2d 350, 90 NY2d 857; *People v Barlette*, 83 AD2d 695.) II. The Appellate Division properly found that defendant’s waiver of appeal precluded his claim of ineffective assistance of counsel. (*People v Hopper*, 39 AD3d 1030; *People v McGowen*, 42 NY2d 905; *People v Rogers*, 5 AD3d 871, 3 NY3d 711; *People v Howard*, 1 AD3d 718; *People v Richardson*, 295 AD2d 704, 98 NY2d 709; *People v Gregory*, 290 AD2d 810, 98 NY2d 675; *People v Barrow*, 51 AD2d 912; *People v Johnson*, 54 AD3d 1133; *People v Parara*, 46 AD3d 936; *People v Robinson*, 42 AD3d 581.)

OPINION OF THE COURT

SMITH, J.

CPL 720.20 (1) says that, where a defendant is eligible to be treated as a youthful offender, the sentencing court “must” determine whether he or she is to be so treated. We hold that compliance with this statutory command cannot be dispensed with, even where defendant has failed to ask to be treated as a youthful offender, or has purported to waive his or her right to make such a request. In so holding, we overrule *People v McGowen* (42 NY2d 905 [1977]).

I

Defendant was charged with several counts of felony drug possession, committed when he was 17 years old. He pleaded

guilty to one count of criminal possession of a controlled substance in the third degree, and orally waived his right to appeal. At the time of the plea, the prosecutor said that he “cannot extend YO as part of this offer” and that “we can eliminate YO as part of the plea bargain,” because of the seriousness of the crime. Neither defendant nor the court commented on these remarks. Defendant was later sentenced to five years in prison plus two years of postrelease supervision. There was no mention at sentencing of defendant’s eligibility for youthful offender status.

Defendant argued on appeal that the sentencing court erred in failing to address the question of youthful offender treatment at sentencing. The Appellate Division affirmed, saying that defendant “waived his right to be considered for youthful offender treatment by failing to make a request for such consideration” (*People v Rudolph*, 85 AD3d 1492, 1493 [3d Dept 2011]). A Judge of this Court granted leave to appeal (19 NY3d 977 [2012]) and we now reverse.

II

[1] The result reached by the Appellate Division was consistent with our decision in *McGowen*, which held that where a defendant “made no assertion at the time of sentence that he was entitled to an adjudication of his youthful offender status, his right thereto was waived” (42 NY2d at 906). We conclude, however, that *McGowen* interpreted the youthful offender statute incorrectly.

Under CPL 720.10 (1) and (2), a defendant is “eligible” for youthful offender status if he or she was younger than 19 at the time of the crime, unless the crime is one of several serious felonies excluded by the statute, or unless defendant has a prior felony conviction or has been adjudicated a youthful offender in a previous case. For some eligible youths convicted of misdemeanors, youthful offender treatment is mandatory (*see* CPL 720.20 [1] [b]). For all other eligible defendants, whether to grant youthful offender status lies in the discretion of the sentencing court (CPL 720.20 [1] [a]).

If youthful offender status is granted, the conviction is “deemed vacated and replaced by a youthful offender finding” (CPL 720.20 [3]). That finding brings with it certain advantages, including a four-year limit on the maximum sentence that can be imposed in a felony case (CPL 720.20 [1] [a]; [3]; Penal Law §§ 60.02 [2]; 70.00 [2] [e]), the sealing of records

relating to the prosecution, and the avoidance of disabilities that might otherwise result from a conviction, including disqualification from public office and public employment (CPL 720.35).

This case depends on the interpretation of the following language in CPL 720.20 (1):

“Upon conviction of an eligible youth, the court must order a pre-sentence investigation of the defendant. After receipt of a written report of the investigation and at the time of pronouncing sentence the court *must* determine whether or not the eligible youth is a youthful offender.” (Emphasis added.)

[2] We read the legislature’s use of the word “must” in this context to reflect a policy choice that there be a youthful offender determination in every case where the defendant is eligible, even where the defendant fails to request it, or agrees to forgo it as part of a plea bargain. Ordinarily, of course, defendants may choose to give up their rights, even very important ones, and indeed are deemed to have done so if they do not timely assert them. But this right—not a right to receive youthful offender treatment, but to have a court decide whether such treatment is justified—is different. To disable a court from making that decision is effectively to hold that the defendant may not have the opportunity for a fresh start, without a criminal record, even if the judge would conclude that that opportunity is likely to turn the young offender into a law-abiding, productive member of society.

The judgment of a court as to which young people have a real likelihood of turning their lives around is just too valuable, both to the offender and to the community, to be sacrificed in plea bargaining. Of course there will be many cases in which the interests of the community demand that youthful offender treatment be denied, and that the young offender be sentenced like any other criminal; indeed, there will be cases in which that is obviously the right course—but the court must make the decision in every case. Where the court’s ruling is a foregone conclusion, no purpose is served by a plea bargain that takes the decision out of the court’s hands.

Our decision in *McGowen*, we have concluded, did not give adequate weight to the importance of a judicial decision on youthful offender treatment, and therefore *McGowen* is overruled. We do not make this decision lightly. We agree with our

dissenting colleagues that the claims of stare decisis are weighty, particularly when the issue is one of statutory interpretation. We have, however, overruled cases interpreting statutes more frequently than the dissenters seem to believe (*see* dissenting op at 512).^{*} On this occasion, as on a number of others, we find the reasons for adopting what we think the correct interpretation of the statute to be more compelling than the reasons for adhering to a mistaken one.

We have tried to foresee any harmful consequences our departure from precedent may have. Unquestionably, there is some risk that prosecutors will be more reluctant to offer plea bargains if they cannot foreclose the possibility of youthful offender treatment. But we think this will not happen often, since prosecutors remain free to oppose such treatment and to make the court aware of reasons that might make it inappropriate in a particular case. In the unusual situation where a prosecutor is unwilling to take the chance that a judge will disagree with his or her recommendation, that prosecutor may bargain for the right to withdraw consent to the plea agreement if youthful offender treatment is granted.

[3] We have also considered the possibility that our holding will permit collateral attacks on sentences that have already become final. In view of the factors that determine the retroactivity of judicial decisions (*see People v Pepper*, 53 NY2d 213 [1981]), we are satisfied that there is no reason why the overruling of *McGowen* should have any application to cases where the appellate process has been completed. We base today's holding in part on our conclusion that its impact will be limited to cases still on direct review.

[4] Finally, our decision today should not allow any defendants who have pleaded guilty to withdraw their pleas. Defendant here does not and could not seek plea withdrawal; our interpretation of CPL 720.20 (1) gives no reason to think that this defendant's plea, or that of any other defendant similarly situated, was not knowing and voluntary. If anything, defendant pleaded guilty under the impression that the law was less favorable to him than we have held that it is—in other words, the

^{*} *See e.g. People v Reome*, 15 NY3d 188 (2010), overruling *People v Hudson*, 51 NY2d 233 (1980); *Matter of Hyde*, 15 NY3d 179 (2010), overruling *Matter of Dillon*, 28 NY2d 597 (1971); *People v Feingold*, 7 NY3d 288 (2006), overruling *People v Register*, 60 NY2d 270 (1983); *Lusenskas v Axelrod*, 81 NY2d 300 (1993), overruling *Brown v Poritzky*, 30 NY2d 289 (1972); *People v Levy*, 15 NY2d 159 (1965), overruling *People v Florio*, 301 NY 46 (1950).

plea offer he accepted may have been better than he thought. This is not a misapprehension that would support an application to withdraw a plea. The only remedy that any defendant is entitled to under our decision today is consideration by the sentencing court of whether youthful offender treatment is appropriate or not.

Accordingly, the order of the Appellate Division should be reversed, and the case remitted to County Court for a determination of whether defendant is a youthful offender.

GRAFFEO, J. (concurring). I agree with the majority that the holding in *People v McGowen* (42 NY2d 905 [1977]) that a young person who fails to request a discretionary youthful offender adjudication at sentencing is precluded from raising the court's failure to rule on youthful offender treatment as an issue on appeal should be overruled and that this case must be reversed and remitted to the sentencing court for further proceedings. An eligible youth should not, by mere silence, be held to have waived youthful offender consideration. But I write separately because I disagree with the majority to the extent that it concludes that a defendant may not expressly waive youthful offender status as part of a negotiated plea. In my view, young defendants should be afforded the same plea bargaining rights as adult offenders.

At the time of defendant Reece Rudolph's arrest, 40 bags of heroin were found in his truck, 330 bags of heroin were discovered in his apartment and he also possessed a quantity of cocaine and \$5,500 in alleged drug proceeds. He was subsequently indicted and charged with three counts of criminal possession of a controlled substance in the third degree and two counts of criminal possession of a controlled substance in the fourth degree. A month later, pursuant to a negotiated settlement of the charges, defendant pleaded guilty to one count of criminal possession of a controlled substance in the third degree in satisfaction of the five-count indictment and other uncharged crimes. As part of the plea, defendant waived the right to appeal.

Defendant's plea bargain included a range of permissible sentences of imprisonment that depended on the extent of defendant's cooperation with the District Attorney's office pursuant to a cooperation agreement. If defendant fully cooperated, the District Attorney would urge that defendant receive a three-year prison sentence with a recommendation that he participate in a Shock Incarceration program, plus two years of postrelease

supervision. On the other hand, if defendant failed to comply with the cooperation agreement, he could receive a sentence of up to nine years in prison with two years of postrelease supervision. During the plea proceeding, after engaging in a brief off-the-record colloquy with defense counsel, the Assistant District Attorney stated on the record that he was not offering youthful offender status as part of the plea because of the serious nature of the offenses charged. Neither defense counsel nor defendant responded, although the court acknowledged the statement. This is the only reference to youthful offender status during judicial proceedings in this case.

Subsequently at sentencing, the Assistant District Attorney reported that defendant had not provided adequate assistance under the cooperation agreement and therefore requested that defendant receive a sentence of six years plus two years post-release supervision, which proposed term of imprisonment fell in the middle of the agreed-upon range. Defense counsel asked the court to sentence defendant at the lower end of the negotiated range and recommend his participation in the Shock Incarceration program. The court imposed a sentence of five years in prison plus two years of postrelease supervision, including a recommendation that defendant attend a substance abuse program while incarcerated. But the court declined to issue a Shock Incarceration recommendation in light of “the amount of drugs and cash and the activity that’s alleged.” Defendant’s status as an eligible youth for purposes of a discretionary youthful offender adjudication was not discussed at sentencing.

Defendant appealed, arguing that the sentencing court erred in failing to adjudicate him a youthful offender. The Appellate Division rejected this argument and affirmed the judgment of conviction, noting that defendant “waived his right to be considered for youthful offender treatment by failing to make a request for such consideration” and, as a result, “County Court was not required to address the issue at sentencing” (85 AD3d 1492, 1493 [3d Dept 2011]).

In this Court, defendant reasserts the same contentions made in the Appellate Division. Although he does not dispute the validity of his guilty plea nor proffer any basis for withdrawing it, he maintains that his sentence should be vacated based on the court’s failure to address youthful offender adjudication at sentencing. I agree with the majority that defendant is entitled to relief and that the Appellate Division order must be reversed.

Youthful offender adjudication is governed by CPL article 720. Under the New York procedure in effect since 1971, youthful offender status is resolved at sentencing, after guilt for the crime has been determined either by guilty plea or trial (*see* L 1971, ch 981). CPL 720.10 (1) and (2) set forth various eligibility criteria, as described by the majority. If an eligible youth is convicted in a local criminal court (meaning the conviction is for a misdemeanor), has no prior convictions and has never previously been adjudicated a youthful offender, youthful offender status is mandatory. For all other eligible youth, the determination of whether to grant such status lies in the discretion of the sentencing court. Upon conviction, CPL 720.20 (1) directs that “the court must determine whether or not the eligible youth is a youthful offender.” If youthful offender status is granted, the conviction is “deemed vacated and replaced by a youthful offender finding” (CPL 720.20 [3]) and the youth receives certain advantages, including limitations on the maximum sentence that can be imposed (CPL 720.20 [1] [a]; [3]), sealing of records and the like (CPL 720.35). Thus, if it is applicable, article 720 permits the sentencing court to vacate a criminal conviction that has been lawfully obtained—an extraordinary benefit unlike any other right granted in the Criminal Procedure Law. In adopting such a procedure, the legislature meant to ameliorate the sometimes harsh effect of trying eligible youth in adult courts—and it gave sentencing courts a critical role in dispensing justice for young offenders.

In 1977, a few years after New York adopted its post-conviction youthful offender scheme, we decided *People v McGowen* (42 NY2d 905 [1977]), a case in which an eligible youth pleaded guilty to assault in the first degree in satisfaction of an indictment charging him with more serious offenses and received a negotiated sentence. On appeal, defendant claimed that his sentence was defective because the court failed to expressly determine at the sentencing proceeding whether he was entitled to youthful offender status. We rejected that argument, reasoning that, “in view of the fact that the defendant made no assertion at the time of sentence that he was entitled to an adjudication of his youthful offender status, his right thereto was waived” (*id.* at 906). In essence, we applied the preservation rule to defendant’s youthful offender argument, concluding that defendant’s failure to object to the sentencing court’s omission precluded review of the issue on appeal. If we were to apply the *McGowen* preservation analysis in this case, we would be

precluded from considering defendant's argument that the court erred in failing to conduct a youthful offender adjudication at sentencing because defendant did not raise the issue in the sentencing court.

In the years since we decided *McGowen*, society's understanding of juvenile brain function and the relationship between youth and unlawful behavior has significantly evolved. As the United States Supreme Court has recognized, "developments in psychology and brain science continue to show fundamental differences between juvenile and adult minds. For example, parts of the brain involved in behavior control continue to mature through late adolescence" (*Graham v Florida*, 560 US 48, 68 [2010]). As compared to adults, sociological studies establish that young people often possess "an underdeveloped sense of responsibility," which can "result in impetuous and ill-considered actions and decisions" (*Johnson v Texas*, 509 US 350, 367 [1993]). These developments in the body of knowledge concerning juvenile development underscore the need for judicial procedures that are solicitous of the interests of vulnerable youth, especially under New York's current youthful offender process in which guilt is determined in the context of a criminal justice system designed for adults. Young people who find themselves in the criminal courts are not comparable to adults in many respects—and our jurisprudence should reflect that fact.

Given the essential role that courts play in deciding whether, despite a felony conviction, a young person is entitled to discretionary youthful offender treatment, I believe that the preservation rule should not preclude an eligible youth from seeking review of a sentencing court's failure to conduct a discretionary youthful offender adjudication. This conclusion mandates that *McGowen* be overruled to the extent it held otherwise.¹ Although it is rarely necessary or appropriate to overrule a long-standing precedent, this is one of those unusual occasions when a rule deemed reasonable over 35 years ago must give way to "the lessons of experience and the force of better reasoning" (*People v Bing*, 76 NY2d 331, 338 [1990] [internal quotation marks and citation omitted]). *McGowen*'s application of the general preservation rule in this unique

1. The youthful offender issue was not the only argument addressed by the Court in *McGowen*; under the majority analysis as well as my rationale, we overrule only that part of the decision discussing youthful offender adjudication, leaving the remainder of the decision undisturbed.

context falls into that category. A discretionary youthful offender adjudication—a procedure that can result in vacatur of an otherwise valid criminal conviction—is too essential to the fair administration of justice to be deemed waived by silence or acquiescence at sentencing. I therefore agree with the majority that, going forward, in cases involving eligible youth, our courts must adhere to the letter and spirit of CPL 720.20 by addressing the discretionary youthful offender issue on the record when resolving a prosecution involving an eligible youth.² I therefore concur with the majority’s conclusion that defendant’s failure to request a youthful offender adjudication at sentencing does not foreclose his challenge to the sentencing court’s failure to do so on appeal.

But I part company with the majority’s conclusion that a youthful defendant cannot waive youthful offender status as part of a negotiated plea agreement. Because it indicates waiver is not possible, the majority does not address the People’s argument that defendant agreed to forgo youthful offender status when he entered into the plea agreement and waived his right to appeal. I find it necessary to consider this question because, although I conclude that a court must engage in a youthful offender adjudication at sentencing, in my view a defendant should be able to waive the right to youthful offender status as part of a negotiated plea and, if defendant does so, the sentencing court should take that waiver into account when determining whether a youthful offender finding is warranted. In this case, however, I conclude that no such waiver occurred.

When defendant pleaded guilty and waived his right to appeal during the plea proceeding, he did not forfeit the statutory right to have the court engage in a youthful offender adjudication—an event that typically does not occur until sentencing. It is true that defendant received a sentence within the negotiated range, but at the time that he waived his right to appeal he did not know that a prerequisite to the imposition of that sentence—a youthful offender adjudication—would not occur. The People rely on the fact that the Assistant District Attorney stated at

2. I am also in agreement that our decision to change course should neither result in the imposition of a significant administrative burden on the courts nor disrupt the finality of criminal judgments. Since we have established a new rule relating to a statutory right that is unrelated to the factual determination of guilt, and there has been substantial reliance on the long-standing precedent we now overrule, our decisions militate against giving this decision retroactive effect (*see People v Mitchell*, 80 NY2d 519 [1992]; *People v Pepper*, 53 NY2d 213 [1981], *cert denied* 454 US 967 [1981]).

the plea proceeding that a grant of youthful offender status was not part of the plea agreement. But the People are not in control of whether a defendant will be declared a youthful offender—the sentencing court may make such an adjudication over the objection of the District Attorney (*see People v Barlette*, 83 AD2d 695 [3d Dept 1981]).

That being said—and contrary to the majority holding—a juvenile offender, represented by counsel, should be able to knowingly and voluntarily waive the right to a youthful offender finding as part of a negotiated plea. In this respect, youthful offender status should be treated similarly to other important statutory rights that can be waived, even though they are not subject to the preservation rule (*see People v Antommarchi*, 80 NY2d 247 [1992] [right to be present at certain sidebar conferences during voir dire not subject to preservation rule]; *People v Vargas*, 88 NY2d 363 [1996] [right to be present at certain sidebar conferences during voir dire can be waived by defendant]; *see also People v Webb*, 78 NY2d 335 [1991] [although a defendant need not preserve a challenge to the court’s failure to comply with jury sequestration requirements, the statutory right to jury sequestration can be waived]).

“Plea and sentence negotiation further important policy considerations, conserving law enforcement, judicial and penal resources, and permitting the parties to avoid the uncertainties inherent in the lengthy process of charge, trial, sentence and appeals, thereby ‘starting the offender on the road to possible rehabilitation’ as soon as practicable” (*People v Avery*, 85 NY2d 503, 506 [1995], quoting *People v Selikoff*, 35 NY2d 227, 233 [1974], *cert denied* 419 US 1122 [1975]). As the American Bar Association Task Force on Youth in the Criminal Justice System has concluded, young offenders should be afforded “the same right and opportunity to plead guilty . . . as adult defendants” (ABA Task Force on Youth in the Criminal Justice System, *Youth in the Criminal Justice System: Guidelines for Policymakers and Practitioners* at 18 [2001], available at <http://www.campaignforyouthjustice.org/documents/natlres/ABA%20-%20Youth%20in%20the%20Criminal%20Justice%20System%20Guidelines%20for%20Policymakers.pdf> [last accessed June 19, 2013]). The majority’s rule, which apparently would preclude eligible youth from waiving a youthful offender finding as part of a negotiated plea, could place them at a significant disadvantage during plea negotiations. The consent of the District Attorney is required before a defendant may plead guilty to less

than the entire indictment (CPL 220.10 [3], [4]) and discretionary youthful offender status significantly impacts the lawful sentence that may be imposed on a defendant convicted of a felony as it caps the maximum term of incarceration at four years (*see* CPL 720.20 [1] [a]; [3]; Penal Law § 60.02; *see* Penal Law § 70.00 [2] [e]). If waiver is not an option, the People are less likely to offer favorable pleas in cases where they feel strongly that youthful offender treatment is inappropriate.

To be sure, the court retains the last word on whether youthful offender status is warranted. But this is true with respect to any sentence negotiated as part of a guilty plea. Such agreements are conditional in the sense that the sentencing court must, in every case, exercise its independent discretion to impose an appropriate sentence, regardless of whether the parties have reached a sentencing bargain (*People v Farrar*, 52 NY2d 302 [1981] [even in instances where a defendant has entered a plea of guilty based on a negotiated plea with a promised sentence, the sentencing court may not abdicate its discretion to determine the proper sentence even if inconsistent with the parties' agreement]).

Although inherently conditional, sentencing agreements are nonetheless important—we have described them as “an integral part of the plea bargaining process” (*id.* at 306)—and the parties' compromise view of what constitutes a fair resolution of the case is usually accorded significant weight. For this reason, sentencing courts typically do not disturb the expectations of the parties in relation to sentencing agreements absent compelling circumstances—and, when they do, the aggrieved party is generally given the opportunity to move to vacate the plea (*see e.g. People v Johnson*, 14 NY3d 483 [2010] [where the parties agreed in the plea bargain that defendant would be adjudicated a youthful offender but the court declined to grant such status at sentencing, the court gave defendant the option of withdrawing his plea]; *Farrar*, 52 NY2d at 307-308 [in the event sentencing court determined that a more lenient sentence was warranted than that agreed to by the parties, the People should be given the opportunity to move to withdraw their consent to the plea]). Since a young offender—no less than any other defendant—should have the opportunity to secure the considerable benefits that a plea bargain may provide, I think it is inappropriate to take the youthful offender issue off the negotiating table, given its significant impact on the lawful sentence defendant may ultimately receive. I would hold that a plea bargain

that addresses youthful offender status is permissible even though the ultimate disposition remains in the hands of the sentencing court.³

I find the majority's analysis of this issue to be puzzling. On the one hand, it asserts that youthful offender status is not waivable but, on the other, it indicates that the People can bargain for the right to withdraw their consent to the plea if the court imposes youthful offender status. How is this different from permitting a defendant to agree to a negotiated plea that does not include youthful offender status (subject, of course, to the requirement that the court make its own determination of the issue at sentencing)? If the People can scuttle the plea based on the court's subsequent decision to grant youthful offender status, won't the net result be the same as permitting the parties to bargain in relation to the subject? The majority's view gives young defendants the worst of both worlds: the People can condition their consent to the plea on denial of youthful offender status but defendant cannot gain anything in exchange since he or she cannot agree to waive youthful offender status.

I would hold that it is possible for an eligible youth to knowingly and voluntarily waive youthful offender status as part of a negotiated plea agreement⁴—but I would reject the People's argument that such a waiver occurred in this case. Beyond their reliance on the general waiver of appeal, the People point only to the Assistant District Attorney's statements during the plea proceeding indicating that a youthful offender finding was not part of the deal. There is no indication that, prior to the plea proceeding, the parties had discussed the inclusion of a youthful offender waiver as a component of the negotiated plea, much less that the defense had consented to a waiver. Nor did the Assistant District Attorney state that defendant had agreed to waive youthful offender status—his comments suggest only that the People would oppose such a finding. And defendant's counsel said nothing on the topic. Notably, the sentences at the lower

3. This conclusion appears to be consistent with existing plea bargaining practices as a review of New York cases reveals many in which youthful offender status was incorporated in a negotiated plea, including at least one decision from this Court (*see Johnson*, 14 NY3d 483).

4. Of course, there is a significant difference between an agreement that defendant should not receive discretionary youthful offender status—and an agreement that the court will not undertake a discretionary youthful offender adjudication. In my view, the former is the proper subject of a plea agreement but the latter is not.

end of the negotiated range would have fallen under the four-year youthful offender cap, leaving the court the option of sentencing defendant within the negotiated range while at the same time adjudicating him a youthful offender.

Although we have never required rigid formalism in relation to the waiver of statutory rights (*Vargas*, 88 NY2d at 376; see e.g. *People v Williams*, 15 NY3d 739 [2010] [record as a whole demonstrated that defendant had waived *Antommarchi* right]), the record here fails to establish that defendant knowingly and voluntarily waived a youthful offender finding either during the plea proceeding or at sentencing. Due to the sentencing court's failure to conduct a youthful offender adjudication, reversal is warranted and the case must be remitted to the sentencing court. I express no opinion concerning whether defendant should receive youthful offender status on remittal; such a determination continues to rest, as it always has, in the sound discretion of the sentencing court.

READ, J. (dissenting). The majority "read[s] the legislature's use of the word 'must' in [CPL 720.20 (1)] to reflect a policy choice that there be a youthful offender determination in every case where the defendant is eligible, even where the defendant fails to request it, or agrees to forgo it as part of a plea bargain" (majority op at 501). But clearly, this is not the legislature's policy choice—it's the majority's, made in disregard of the legislature and precedent. I respectfully dissent.

Thirty-six years ago, in *People v McGowen* (42 NY2d 905 [1977]), a different Court of Appeals rejected the interpretation of section 720.20 (1) that the majority now adopts—"that the [defendant's] sentence [was] defective because the court did not expressly make a determination on the record, regarding his eligibility for youthful offender treatment, before imposing sentence" (*id.* at 906). That earlier Court, unlike this one, concluded that the right to a youthful offender determination was waivable, and, in fact, had been waived because McGowen (like defendant) "made no assertion at the time of sentence that he was entitled to an adjudication of his youthful offender status" (*id.*).

What's changed in 36 years other than the composition of the Court of Appeals and the policy views of at least four of the judges? Nothing. Whether the 1977 Court's or the 2013 Court's reading of section 720.20 (1) is "right" or "more correct" or "better" may be debatable. It is not debatable, however, that what the Court has done was, until today, essentially unheard

of as an *institutional* matter. As Judge Simons pointed out in *People v Damiano* (87 NY2d 477, 490 [1996, Simons, J., concurring]),

“[t]here may be cases in which the Court has overruled its own prior interpretation of a statute, but I cannot recall any. The reason why such decisions are rare is obvious. If the Court is wrong in its interpretation of a legislative enactment, the Legislature can readily correct the statute to make its meaning clear.”

We have made this same basic point many times (*see e.g. People v Hobson*, 39 NY2d 479, 489 [1976, Breitel, Ch. J.] [“Precedents involving statutory interpretation are entitled to great stability. After all, in such cases courts are interpreting legislative intention and a sequential contradiction is *a grossly (arrogated) legislative power*. Moreover, if the precedent or precedents have ‘misinterpreted’ the legislative intention, the Legislature’s competency to correct the ‘misinterpretation’ is readily at hand” (citations omitted and emphasis added)]; *People v Concepcion*, 17 NY3d 192, 201 [2011] [“Legislative inaction (which just may, after all, signal satisfaction with [an existing interpretation of a statute]) is not a license for us . . . (to) refashion (a) statute’s settled meaning with the freedom we enjoy in matters of common law”]). Of course, stare decisis is not inflexible, but, in general, we have always required some evidence that “our interpretation is contrary to the legislative purpose underlying the statute, that it is unworkable or that, when properly applied, it imposes . . . hardship on litigants or the trial courts” (87 NY2d at 490).

It is not surprising, then, that I (like Judge Simons in 1996) have difficulty identifying cases where the Court “has overruled its own prior interpretation of a statute” (*Damiano*, 87 NY2d at 490). There have been many cases throughout the years, however, where the legislature, either disagreeing with our interpretation or seeking to correct an unintended consequence brought to its attention by one of our decisions, has amended a statute to clarify legislative intent (*see e.g.* the classic example of *Feathers v McLucas*, 15 NY2d 443 [1965] [holding that CPLR 302 provided a basis for jurisdiction only where a nondomiciliary committed a tortious act within the state], as modified by L 1966, ch 590 [expanding CPLR 302 to provide for jurisdiction over any nondomiciliary who “commits a tortious act without the state causing injury to person or property within the state”], and, more recently, *Desiderio v Ochs*, 100 NY2d 159 [2003]

[holding that, under CPLR 5031, the jury's award of future damages must be construed as the total amount to be paid to plaintiff over the compensation period, such that, at the end of 55 years, the plaintiff would have received \$40 million, the jury's award, in actual dollars], as modified by L 2003, ch 86 [altering CPLR 5031 to require the court to instruct the jury to specify the growth rate applicable to any award of future damages and clarifying the basis for a court's structuring of such an award]; *People v Kozlow*, 8 NY3d 554, 559 [2007] [holding that "depicts" in former Penal Law § 235.22 was not intended to limit the scope of the statute "to sexual predators who use images, rather than words, to lure minors"], as modified by L 2007, ch 8 [changing "depicts" to "depicts or describes, either in words or images," following Appellate Division's reversal of defendant's conviction]; *Kolnacki v State of New York*, 8 NY3d 277 [2007] [holding that personal injury action that failed to state the amount of monetary damages being sought was jurisdictionally defective under Court of Claims Act § 11 (b), which required that every claim state the "total sum claimed"], as modified by L 2007, ch 606 [excepting personal injury actions from the requirement to state the "total sum claimed"]; *Ehrenfeld v Bin Mahfouz*, 9 NY3d 501, 504 [2007] [holding that CPLR 203 (a) (1) does not confer personal jurisdiction over a person "who sued a New York resident in a non-U.S. jurisdiction() and . . . whose contacts with New York stemmed from the foreign lawsuit and whose success in the foreign suit resulted in acts that must be performed by the subject of the suit in New York"], as modified by L 2008, ch 66 [enacting "Libel Terrorism Protection Act," which clarifies when New York courts have jurisdiction to render declaratory relief with respect to defamation judgments secured in foreign jurisdictions that provide for less protection for freedom of speech and press than the United States and New York Constitutions afford]; *People v Sparber*, 10 NY3d 457 [2008] [holding that administrative imposition of post-release supervision did not satisfy CPL 380.30 and 380.40, which required that judges "pronounce sentence in every case where a conviction is entered," but remitting for resentencing because postrelease supervision was mandatory in the cases at bar, and the error was essentially clerical], as modified by L 2008, ch 141 [establishing procedures for reviewing sentencing minutes and timetables for courts to schedule resentencing hearings where postrelease supervision periods were not properly imposed]; *People v Kent*, 19 NY3d 290 [2012] [holding that merely "accessing and displaying" images of child pornography did not

constitute knowing possession under the Penal Law, even where images were automatically embedded in the computer], as modified by L 2012, ch 456 [adding “or knowingly accesses with intent to view” to Penal Law § 263.16]). Tellingly, the legislature never chose to amend section 720.20 (1) to mandate, contrary to our holding in *McGowen*, “a youthful offender determination in every case where the defendant is eligible, even where the defendant fails to request it, or agrees to forgo it as part of a plea bargain” (majority op at 501).

In addition to the jurisprudential and reputational considerations that properly discourage an appellate court from revising its prior statutory interpretations, there are inevitably practical concerns whenever any precedent is overruled. And those concerns multiply with the precedent’s age and the frequency of its application. The majority highlights two obvious potential consequences that it claims to have weighed and discounted before deciding to cast *McGowen* aside. First, the majority declares itself “satisfied that there is no reason why the overruling of *McGowen* should have any application to cases where the appellate process has been completed” (majority op at 502). Further, the majority expresses its hope that “our decision today should not allow any defendants who have pleaded guilty to withdraw their pleas” (*id.*).* In short, the majority seems to have fallen prey to the common human tendency to see the wish as father to the thought. Apparently, the Court of Appeals, circa 2013, expects a future Court of Appeals to give more deference to its aspirational dicta than it was willing to afford *McGowen*’s precedent.

Chief Judge LIPPMAN and Judges RIVERA and ABDUS-SALAAM concur with Judge SMITH; Judge GRAFFEO concurs in result in an opinion; Judge READ dissents in an opinion in which Judge PIGOTT concurs.

Order reversed and case remitted to County Court, Warren County, for further proceedings in accordance with the opinion herein.

* The majority does not even venture a prediction about the implications of today’s decision for predicate sentencing (*see People v Taylor*, 86 Misc 2d 445 [1976] [in case decided before *McGowen*, holding that prior sentencing court’s failure to consider the defendant’s eligibility for youthful offender status required the court to sentence defendant as a first felony offender]).

[997 NE2d 468, 974 NYS2d 896]

In the Matter of MICHAEL A. CUNNINGHAM, Appellant, v NEW
YORK STATE DEPARTMENT OF LABOR, Respondent.

Argued May 29, 2013; decided June 27, 2013

SUMMARY

APPEAL, on constitutional and other grounds, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 23, 2011, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division, with two Justices dissenting, (1) confirmed a determination of the Commissioner of Labor which had found petitioner guilty of misconduct and terminated his employment; and (2) dismissed the petition.

Matter of Cunningham v New York State Dept. of Labor, 89 AD3d 1347, reversed.

HEADNOTES

Searches and Seizures — Warrantless Workplace Searches — Global Positioning Device Attached to Public Employee's Car

1. The attachment of a global positioning system (GPS) device to petitioner state employee's personal car as part of respondent employer's investigation into whether petitioner was submitting false time reports was a search within the meaning of the State and Federal Constitutions that fell within the workplace exception to the warrant requirement. Although the object of the search was petitioner's personal car, a public employer is not required to get a warrant for a search designed to find out the location of the automobile an employee is using when that employee is, or claims to be, working for the employer. When an employee chooses to use his or her car during the business day, GPS tracking of the car may be considered a workplace search. Items such as a personal photograph on an employee's desk, or a personal letter posted on an employee bulletin board, are part of the workplace, and the location of a personal car used by the employee during working hours is not more private. The requirement that petitioner report his arrival and departure times to his employer diminished any expectation he might have had that the location of his car during the hours he claimed to be at work was no one's concern but his.

Searches and Seizures — Warrantless Workplace Searches — Global Positioning Device Attached to Public Employee's Car — Reasonableness

2. The attachment of a global positioning system (GPS) device to petitioner state employee's personal car that recorded all of the car's movements all day every day for a month as part of respondent employer's investigation into whether petitioner was submitting false time reports was not a reasonable search under either the State or Federal Constitution. Although the search did

not require a warrant because it fell within the workplace exception to the warrant requirement, it had to be reasonable in its scope. The GPS tracking of petitioner's car on all evenings, all weekends, and several days while petitioner was on vacation was excessively intrusive. Respondent managed to remove a GPS device from petitioner's car three times when it suited respondent's convenience to do so—twice to replace it with a new device, and a third time after the surveillance ended—yet failed to remove it, for example, when petitioner started his annual vacation. Where, as here, an employer conducts a GPS search without making a reasonable effort to avoid tracking an employee outside of business hours, the search as a whole must be considered unreasonable. Suppression of the GPS evidence used against petitioner in the disciplinary proceeding was required even though none of the evidence resulted from surveillance outside of business hours.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 12–14, 42, 82, 170, 356.

CARMODY-WAIT 2d, Search and Seizure §§ 173:52, 173:90, 173:92, 173:339.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.2, 3.7.

NY JUR 2d, Criminal Law: Procedure §§ 216, 217, 255, 273, 289, 292, 511.

ANNOTATION REFERENCE

Fourth Amendment protections, and equivalent state constitutional protections, as applied to the use of GPS technology, transponders, or the like, to monitor movement of motor vehicle, aircraft, or watercraft. 5 ALR6th 385.

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POINTS OF COUNSEL

New York Civil Liberties Union Foundation, New York City (Corey L. Stoughton, Arthur Eisenberg and Christopher Dunn of counsel), for appellant. I. The government's global positioning system surveillance of the Cunningham family car was unconstitutional because it failed to comply with the warrant requirement. (*People v Weaver*, 12 NY3d 433; *Matter of Caruso v Ward*, 72 NY2d 432; *O'Connor v Ortega*, 480 US 709; *Delia v City of Rialto*, 621 F3d 1069; *National Assn. of Letter Carriers, AFL-CIO v United States Postal Serv.*, 604 F Supp 2d 665; *Matter of Delaraba v Nassau County Police Dept.*, 83 NY2d 367; *Matter of Seelig v Koehler*, 76 NY2d 87; *Matter of Patchogue-Medford*

Congress of Teachers v Board of Educ. of Patchogue-Medford Union Free School Dist., 70 NY2d 57.) II. The government's global positioning system surveillance of the Cunningham family car was unconstitutional even under the workplace-search exception to the warrant requirement. (*Matter of Caruso v Ward*, 72 NY2d 432; *O'Connor v Ortega*, 480 US 709; *New Jersey v T. L. O.*, 469 US 325; *Matter of Delaraba v Nassau County Police Dept.*, 83 NY2d 367; *People v Weaver*, 12 NY3d 433.) III. The exclusionary rule applies to administrative proceedings and should have barred consideration of the global positioning system evidence. (*Matter of Boyd v Constantine*, 81 NY2d 189; *Matter of Finn's Liq. Shop v State Liq. Auth.*, 24 NY2d 647, 396 US 840; *Matter of Charles Q. v Constantine*, 85 NY2d 571; *Matter of Gaglia v Starr*, 59 AD2d 839; *Matter of McPherson v New York City Hous. Auth.*, 47 AD2d 828; *Battaglia v New York City Tr. Auth.*, 225 AD2d 384; *Matter of Crockett v Bratton*, 199 AD2d 1079; *Matter of Moore v Constantine*, 191 AD2d 769; *Matter of Barretto v City of New York*, 157 AD2d 116; *Worrel v Brown*, 177 AD2d 446.)

Eric T. Schneiderman, Attorney General, Albany (Kate H. Nepveu, Barbara D. Underwood and Andrea Oser of counsel), for respondent. I. Petitioner waived his claim that the global positioning system search was invalid in the absence of a warrant. (*Matter of Delaraba v Nassau County Police Dept.*, 83 NY2d 367; *Matter of Caruso v Ward*, 72 NY2d 432; *O'Connor v Ortega*, 480 US 709; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.) II. The global positioning system search did not require a warrant; it was properly analyzed under the standard of reasonableness applicable to investigations of work-related misconduct. (*Matter of Delaraba v Nassau County Police Dept.*, 83 NY2d 367; *Matter of Caruso v Ward*, 72 NY2d 432; *O'Connor v Ortega*, 480 US 709; *Delia v City of Rialto*, 621 F3d 1069; *Payton v New York*, 445 US 573; *National Assn. of Letter Carriers, AFL-CIO v United States Postal Serv.*, 604 F Supp 2d 665; *People v Weaver*, 12 NY3d 433; *Matter of Abe A.*, 56 NY2d 288; *Matter of Patchogue-Medford Congress of Teachers v Board of Educ. of Patchogue-Medford Union Free School Dist.*, 70 NY2d 57; *Matter of Seelig v Koehler*, 76 NY2d 87.) III. The global positioning system data was obtained in a search that was reasonable at inception and in scope. (*Matter of Moro v Mills*, 70 AD3d 1269; *Matter of Boyd v Constantine*, 81 NY2d 189; *O'Connor v Ortega*, 480 US 709; *People v Weaver*, 52 AD3d 138, 12 NY3d 433; *New Jersey v T. L. O.*, 469 US 325.) IV. Alternatively, the Court should sustain so much of the Appellate Division's decision as found

that the global positioning system evidence was harmless as to seven of the underlying charges. (*Matter of Wojewodzie v O'Neill*, 295 AD2d 670.)

Richard E. Casagrande, New York City (*Wendy M. Star* and *Keith J. Gross* of counsel), for New York State United Teachers, amicus curiae. I. The government's surreptitious placement of a global positioning system device on appellant's private car without obtaining a warrant was unconstitutional. (*People v Weaver*, 12 NY3d 433; *Skinner v Railway Labor Executives' Assn.*, 489 US 602.) II. The warrant exception for workplace searches does not permit the government's warrantless search of appellant's car via global positioning system tracking. (*O'Connor v Ortega*, 480 US 709; *Matter of Caruso v Ward*, 72 NY2d 432.) III. The Office of the State Inspector General's function as an investigatory agency further supports that a warrant is required to conduct a search via a global positioning system. IV. The exclusionary rule should be applied to exclude the illegally obtained global positioning system information. (*Matter of Finn's Liq. Shop v State Liq. Auth.*, 24 NY2d 647, 396 US 840; *Matter of Allen v Murphy*, 37 AD2d 117; *O'Connor v Ortega*, 480 US 709; *Matter of Caruso v Ward*, 72 NY2d 432; *People v Weaver*, 12 NY3d 433.)

OPINION OF THE COURT

SMITH, J.

The State of New York, suspecting that one of its employees was submitting false time reports, attached a global positioning system (GPS) device to the employee's car. Under *People v Weaver* (12 NY3d 433 [2009]) and *United States v Jones* (565 US —, 132 S Ct 945 [2012]), the State's action was a search within the meaning of the State and Federal Constitutions. We hold that the search did not require a warrant, but that on the facts of this case it was unreasonable.

I

Petitioner became a state employee in 1980, and in 1989 was appointed as Director of Staff and Organizational Development of the State Department of Labor. In 2008, the Department began an investigation relating to petitioner's alleged unauthorized absences from duty and the falsification of records to conceal those absences. That investigation led to a disciplinary proceeding that resulted in a two-month suspension; it also led to a second investigation, because, after petitioner eluded an

investigator who was following his car, the Department referred petitioner's conduct to the Office of the State Inspector General. The Inspector General's investigation resulted in a second disciplinary proceeding, the one now before us.

As far as the record shows, the first step in the Inspector General's investigation was to attach a GPS device to petitioner's car, without petitioner's knowledge, while the car was parked in a lot near the Department of Labor offices. This device and two later replacements recorded all of the car's movements for a month, including evenings, weekends and several days when petitioner was on vacation in Massachusetts. Later, the Inspector General pursued other avenues of investigation: surveillance of an apartment building petitioner was suspected of visiting during working hours, subpoenas for E-ZPass records and interviews of petitioner and his secretary.

After receiving the Inspector General's report, the Department brought new charges against petitioner, of which 11 were sustained by a Hearing Officer. Four of those 11 charges were dependent on evidence obtained from the GPS device. As to three charges, the GPS information showed that petitioner's times of arrival at and departure from his office were inconsistent with the number of hours he claimed, on time records he submitted, to have worked. A fourth charge was based on petitioner's approval of time records showing his secretary was working during hours when the GPS information showed that he was visiting her home. Four other charges were supported by GPS evidence and other evidence as well; they related to the time when petitioner claimed that he and his secretary returned home from a business trip to Syracuse. Both GPS information and E-ZPass records showed they had returned in the middle of the workday, not at the end of it as documents submitted or approved by petitioner had said. The GPS information was irrelevant to the remaining three sustained charges.

The Commissioner of Labor affirmed the Hearing Officer's determination, and terminated petitioner's employment. Petitioner brought this CPLR article 78 proceeding to challenge that ruling. On transfer from Supreme Court, the Appellate Division, with two Justices dissenting, confirmed the Commissioner's determination and dismissed the petition (*Matter of Cunningham v New York State Dept. of Labor*, 89 AD3d 1347 [3d Dept 2011]). Petitioner appeals as of right, pursuant to CPLR 5601 (a) and (b) (1), and we now reverse the Appellate Division's judgment.

II

[1] We decided in *Weaver*, and the Supreme Court decided in *Jones*, that the attachment by law enforcement officers of a GPS device to the automobile of a criminal suspect, and the use of that device to track the suspect's movements, was a search subject to constitutional limitations. *Weaver* and *Jones* establish that what happened in this case was a search also, within the meaning of article I, § 12 of the New York Constitution and the Fourth Amendment; the State does not contend otherwise. But neither *Weaver* nor *Jones* presented the question of when, if ever, a GPS search is permissible in the absence of a search warrant (*see Weaver*, 12 NY3d at 444-445 [the search “comes within no exception to the warrant requirement, and the People do not contend otherwise”]; *Jones*, 565 US at —, 132 S Ct at 954 [holding the argument that the search without a warrant was “reasonable—and thus lawful” to be forfeited]). Here, the State argues, and we agree, that this search is within the “workplace” exception to the warrant requirement recognized in *O'Connor v Ortega* (480 US 709 [1987]) and *Matter of Caruso v Ward* (72 NY2d 432 [1988]).

O'Connor involved the warrantless search by a public employer of the office of an employee suspected of misconduct. The Supreme Court upheld the search. The plurality opinion explained:

“In our view, requiring an employer to obtain a warrant whenever the employer wished to enter an employee's office, desk, or file cabinets for a work-related purpose would seriously disrupt the routine conduct of business and would be unduly burdensome. Imposing unwieldy warrant procedures in such cases upon supervisors, who would otherwise have no reason to be familiar with such procedures, is simply unreasonable” (480 US at 722; *see also id.* at 732 [Scalia, J., concurring] [warrantless searches “to investigate violations of workplace rules” do not violate the Fourth Amendment]).

In *Caruso*, we made clear that we would follow *O'Connor* in deciding the constitutionality of searches conducted by public employers, whether for “noninvestigatory, work-related purposes” or for “investigations of work-related misconduct,” under the New York as well as the Federal Constitution (72 NY2d at 437 [internal quotation marks omitted]). *Caruso*

applied *O'Connor* to uphold random urinalysis testing of certain police officers. (See also *Matter of Seelig v Koehler*, 76 NY2d 87 [1990] [upholding urinalysis testing of uniformed correction officers]; *Matter of Delaraba v Nassau County Police Dept.*, 83 NY2d 367 [1994] [upholding urinalysis testing of police officers].)

Petitioner here does not challenge the existence of a workplace exception to the warrant requirement, but argues that it is inapplicable because the object of the search in this case was petitioner's personal car. Petitioner asks us to confine the exception to "the workplace itself, or . . . workplace-issued property that can be seen as an extension of the workplace" (brief of petitioner-appellant at 13). We reject the suggestion, at least insofar as it would require a public employer to get a warrant for a search designed to find out the location of the automobile an employee is using when that employee is, or claims to be, working for the employer.

The *O'Connor* plurality observed that such items as a personal photograph on an employee's desk, or a personal letter posted on an employee bulletin board, are part of the workplace (480 US at 716). The location of a personal car used by the employee during working hours does not seem to us more private. Petitioner was required to report his arrival and departure times to his employer; this surely diminished any expectation he might have had that the location of his car during the hours he claimed to be at work was no one's concern but his. We are unpersuaded by the suggestion in the concurring opinion that, on our reasoning, a GPS device could, without a warrant, be attached to an employee's shoe or purse (concurring op at 527). People have a greater expectation of privacy in the location of their bodies, and the clothing and accessories that accompany their bodies, than in the location of their cars.

The reasons that led the *O'Connor* Court to dispense with the warrant requirement—the serious disruption that such a requirement would entail, and the burden it would impose on supervisors who "are hardly in the business of investigating the violation of criminal laws" (480 US at 722 [plurality op]; see also *id.* at 732 [Scalia, J., concurring])—apply no less to an investigation of the kind at issue here than to the investigations in *O'Connor* and in *Ontario v Quon* (560 US 746 [2010]), which involved a scrutiny of text messages on an employer-issued pager. We thus conclude that when an employee chooses to use his car during the business day, GPS tracking of the car may be considered a workplace search.

The Inspector General did not violate the State or Federal Constitution by failing to seek a warrant before attaching a GPS device to petitioner's car.

III

[2] While the search did not require a warrant, it did not comply with either the State or Federal Constitution unless it was a reasonable search. We conclude that the State has failed to demonstrate that this search was reasonable.

The *O'Connor* plurality, quoting from *Terry v Ohio* (392 US 1, 20 [1968]) and *New Jersey v T. L. O.* (469 US 325, 341-342 [1985]), summarized the approach of courts to the question of reasonableness in this way:

“Determining the reasonableness of any search involves a twofold inquiry: first, one must consider whether the action was justified at its inception; second, one must determine whether the search as actually conducted was reasonably related in scope to the circumstances which justified the interference in the first place

“The search will be permissible in its scope when the measures adopted are reasonably related to the objectives of the search and not excessively intrusive in light of the nature of the misconduct” (480 US at 726 [citations, internal quotation marks, ellipses and brackets omitted]).

Under *O'Connor*, a workplace search based on a reasonable suspicion of employee misconduct is “justified at its inception” (480 US at 726 [plurality op]; *id.* at 732 [Scalia, J., concurring]). The search in this case clearly meets that test. Petitioner's employer had ample grounds to suspect him of submitting false time records.

We cannot find, however, that this search was reasonable in its scope. It was, in the words of the *T. L. O.* Court quoted in *O'Connor*, “excessively intrusive.” It examined much activity with which the State had no legitimate concern—i.e., it tracked petitioner on all evenings, on all weekends and on vacation. Perhaps it would be impossible, or unreasonably difficult, so to limit a GPS search of an employee's car as to eliminate all surveillance of private activity—especially when the employee chooses to go home in the middle of the day, and to conceal this from his employer. But surely it would have been possible to

stop short of seven-day, 24-hour surveillance for a full month. The State managed to remove a GPS device from petitioner's car three times when it suited the State's convenience to do so—twice to replace it with a new device, and a third time after the surveillance ended. Why could it not also have removed the device when, for example, petitioner was about to start his annual vacation?

It is true that none of the evidence used against petitioner in this case resulted from surveillance outside of business hours. Ordinarily, when a search has exceeded its permissible scope, the suppression of items found during the permissible portion of the search is not required (*see United States v Martell*, 654 F2d 1356, 1361 [9th Cir 1981] [excessive length of detention did not taint search where nothing new was learned “during the unlawful portion” of the detention]; *United States v Clark*, 891 F2d 501, 505 [4th Cir 1989] [same]). But we hold that rule to be inapplicable to GPS searches like the present one, in light of the extraordinary capacity of a GPS device to permit “[c]onstant, relentless tracking of anything” (*Weaver*, 12 NY3d at 441). Where an employer conducts a GPS search without making a reasonable effort to avoid tracking an employee outside of business hours, the search as a whole must be considered unreasonable. That conclusion concededly requires suppression of the GPS evidence here; the State has disclaimed any reliance on the balancing test that we use when deciding whether to invoke the suppression remedy in administrative proceedings (*see Matter of Boyd v Constantine*, 81 NY2d 189 [1993]).

The consequence of suppression in this case is not to preclude the State from disciplining petitioner. As the majority and the dissenting Justices in the Appellate Division agreed, only four of the 11 counts on which petitioner was found guilty depended on GPS evidence, and only those four charges need be dismissed. As to the others, the GPS evidence was either substantially duplicated by E-ZPass records or was wholly irrelevant. Whether the seven surviving charges warrant the same or a lesser penalty is a matter to be decided, in the first instance, by the Commissioner of Labor on remand.

Accordingly, the judgment of the Appellate Division should be reversed, with costs, charges one, two, three and six against petitioner dismissed, and the matter remitted to the Appellate Division with directions to remand to the Commissioner of Labor for redetermination of the penalty.

ABDUS-SALAAM, J. (concurring). The majority's application of the workplace exception to the warrant requirement may be a well-intentioned effort to smooth the way for government employers to investigate time theft and other workplace misconduct. However, the majority's decision has expanded this exception well beyond its intended scope, and has run afoul of the protections afforded by New York Constitution, article I, § 12 and the Fourth Amendment by infringing on a government employee's "reasonable expectation of privacy" (*Katz v United States*, 389 US 347, 360 [1967, Harlan, J., concurring]).

I would hold that the State cannot, without a warrant, place a GPS on a personal, private car to investigate workplace misconduct. Accordingly, the warrantless search in this case was unconstitutional under both the Federal and State Constitutions, and the evidence obtained by the warrantless search must be excluded from the disciplinary hearing.

We held in *People v Weaver* (12 NY3d 433 [2009]), and the Supreme Court held in *United States v Jones* (565 US —, 132 S Ct 945 [2012]), that the use of a GPS device by government law enforcers to track the movements of a vehicle is a search subject to constitutional protections. In *Weaver*, we explained that GPS tracking is more intrusive than simply following a car, and that GPS surveillance is not analogous to visual surveillance for the purposes of constitutional analysis (*see Weaver*, 12 NY3d at 441).

"GPS is not a mere enhancement of human sensory capacity, it facilitates a new technological perception of the world in which the situation of any object may be followed and exhaustively recorded over, in most cases, a practically unlimited period. The potential for a similar capture of information or 'seeing' by law enforcement would require, at a minimum, millions of additional police officers and cameras on every street lamp" (*id.* at 441).

It took "little imagination" for us to conjure the types of "indisputably private" information that would be "[d]isclosed in the data" from a GPS device planted on a person's vehicle:

"[T]rips to the psychiatrist, the plastic surgeon, the abortion clinic, the AIDS treatment center, the strip club, the criminal defense attorney, the by-the-hour motel, the union meeting, the mosque, synagogue or church, the gay bar and on and on. What the technology yields and records with breathtaking

quality and quantity is a highly detailed profile, not simply of where we go, but by easy inference, of our associations—political, religious, amicable and amorous, to name only a few—and of the pattern of our professional and avocational pursuits” (*id.* at 441-442; see *Jones*, 565 US at —, 132 S Ct at 955 [Sotomayor, J., concurring] [citing *Weaver* for the proposition that “GPS monitoring generates a precise, comprehensive record of a person’s public movements that reflects a wealth of detail about (his or her familial, political, professional, religious, and sexual associations”)]).

Recognizing that, “[w]ithout judicial oversight, the use of [GPS] devices presents a significant and, to our minds, unacceptable risk of abuse” (*Weaver*, 12 NY3d at 447), we held that “[u]nder our State Constitution . . . the installation and use of a GPS device to monitor an individual’s whereabouts requires a warrant supported by probable cause” (*id.*).

The privacy and constitutional concerns recognized in *Weaver* and *Jones* apply equally in this case. GPS is a “sophisticated and powerful technology that is easily and cheaply deployed and has virtually unlimited and remarkably precise tracking capability” (*Weaver*, 12 NY3d at 441). Surely, a government employer’s interest in determining whether its employees are falsifying time records is just as important as the State’s interest in protecting the public from dangerous criminals. Yet, the majority, ignoring our concerns in *Weaver*, would permit government employers who suspect employees of misconduct to use GPS devices, without first obtaining a warrant, to track and monitor those employees’ precise whereabouts during business hours. As we noted in *Weaver*, it is not difficult to imagine the inherently personal and private information such surveillance will yield, even if limited to working hours. While government employers need to know whether their employees actually worked during the hours for which they were paid, public employees are entitled to at least some expectation of privacy concerning their movements throughout the workday. A search as intrusive as GPS surveillance, which, as this case demonstrates, is highly susceptible to abuse without judicial oversight, requires a warrant.

Investigating workplace misconduct is indisputably an important responsibility of a government employer. As the Supreme Court stated in *O’Connor v Ortega* (480 US 709 [1987]):

“Public employers have an interest in ensuring that their agencies operate in an effective and efficient manner, and the work of these agencies inevitably suffers from the inefficiency, incompetence, mismanagement, or other work-related misfeasance of its employees” (480 US at 724).

O'Connor involved the warrantless search of a government employee's office and seizure of personal items from his desk and file cabinet (*see id.* at 713). The Supreme Court applied “the standard of reasonableness under all the circumstances” (*id.* at 725-726) rather than a probable cause standard, and upheld the search. Importantly, in analyzing the Fourth Amendment restraints upon a workplace search, the Court stated that it was “essential first to delineate the *boundaries* of the workplace context” (*id.* at 715 [emphasis added]).

“The workplace includes those areas and items that are related to work and are generally within the employer's control. At a hospital, for example, the hallways, cafeteria, offices, desks, and file cabinets, among other areas, are all part of the workplace. These areas remain part of the workplace context even if the employee has placed personal items in them, such as a photograph placed in a desk or a letter posted on an employee bulletin board” (*id.* at 715-716).

Other courts interpreting *O'Connor* have limited application of the workplace exception to the workplace itself. The Ninth Circuit held that the “workplace warrant exception” did not apply where, although the search arose in the context of a workplace investigation, it was carried out in the home (*Delia v City of Rialto*, 621 F3d 1069, 1076 n 4 [9th Cir 2010], *revd on other grounds sub nom. Filarsky v Delia*, 566 US —, 132 S Ct 1657 [2012]). In a case involving the United States Postal Service's attempt to gain access to its employee's medical records in connection with an investigation into potential criminal misconduct and liability for health benefits and workers' compensation, the District Court of the Southern District of New York rejected the Postal Service's argument that, based on *O'Connor*, a reasonableness standard applied and a search warrant was not required. The court held:

“*O'Connor* applied solely to searches of the workplace. The Supreme Court defined the workplace as

‘those areas and items that are related to work and are generally within the employer’s control.’ *Although the term ‘work-related’ was used by the O’Connor Court, neither O’Connor nor the cases considered by the Court in reaching its holding involved any area physically outside of the workplace*” (*National Assn. of Letter Carriers, AFL-CIO v United States Postal Serv.*, 604 F Supp 2d 665, 675-676 [SD NY 2009] [emphasis added and citation omitted]).

The majority’s decision extends “the boundaries of the workplace” (*O’Connor*, 480 US at 715) far beyond the parameters delineated by the *O’Connor* Court. This case involves the search of an employee’s personal car, not his office, desk, file cabinets (*see id.* at 715-716), or any other area physically inside the workplace. I reject the notion that government employees who use their cars for travel to and from work and work-related obligations place those cars within the ambit of their “employer[s] control” such that they could be subjected to a warrantless search (*id.* at 715). A personal car is also not akin to a letter posted on a bulletin board, a photograph displayed on a desk, or other personal items an employee may bring within the “areas” traditionally understood as “part of the workplace context” (*id.* at 716).

The potential dangers of the majority’s decision are evident when one considers a government employee, suspected of falsifying time records, who does not drive a car during the workday, but instead leaves the office on foot or takes public transit. There is now little to prevent a government employer from placing a GPS device on that person’s bag, briefcase, shoe, cell phone, watch, or purse—anything that is used during the workday (like petitioner’s car)—to determine whether, based on the tracking data transmitted by that device, the employee is located where he or she purports to be. The majority’s statement that people have a greater expectation of privacy in the location of their bodies than in the location of their cars (*see majority op* at 521) avoids addressing the point that petitioner’s employer was using electronic surveillance to track *petitioner’s* location; tracking his personal car was only a means to that end. The location of petitioner’s car was relevant only insofar as it indicated petitioner’s whereabouts. It all comes down to electronically tracking the movements of the employee, which could be accomplished by tracking the employee’s personal car (as in this

case) or any other personal property that the employee “chooses to use . . . during the business day” (majority op at 521).

I also disagree with the majority’s suggestion that the concerns that “led the *O’Connor* Court to dispense with the warrant requirement” are present here (*see* majority op at 521). There would be no serious disruption to the “routine conduct of business” by requiring a government employer to obtain a warrant to search an employee’s personal car (*O’Connor*, 480 US at 722). And mandating that government employers navigate “unwieldy warrant procedures” hardly seems “unreasonable” (*id.*) given the bevy of personal information they will likely uncover from a GPS search tracking an employee’s personal car. Ultimately, the alleged burden imposed upon government employers by requiring a warrant for the search of a personal car should have little bearing on the question of whether they are constitutionally required to obtain one before conducting the search.

Critical here is that the warrantless search was of petitioner’s *personal* car, and not employer-issued property (*see Ontario v Quon*, 560 US 746, —, 130 S Ct 2619, 2624 [2010] [applying the *O’Connor* workplace exception to the warrantless search of text messages sent and received on a pager “the employer owned and issued to an employee”]; *Leventhal v Knapek*, 266 F3d 64, 75-76 [2d Cir 2001] [applying workplace exception to search of office computer]; *Matter of Moore v Constantine*, 191 AD2d 769, 771 [3d Dept 1993] [upholding warrantless search of a police locker]). Ownership allows the government employer some level of control over its property, and may diminish the expectation of privacy employees enjoy in that property (*see Quon*, 560 US at —, 130 S Ct at 2629). Indeed, this may have been a different case if the vehicle searched was owned by and had been issued to petitioner by the State (*see Demaine v Samuels*, 29 Fed Appx 671, 675 [2d Cir 2002] [workplace exception applied to search of employer-issued car]). But that is not what occurred here: instead, the State searched petitioner’s personal car that he and his family used on a daily basis. No New York court has ever permitted government employers to search employees’ personal cars without a warrant, and the majority creates a dangerous precedent by allowing them to do so now.

The ramifications of the majority’s decision will extend far beyond this case. All government employees, at all levels, in all three branches of government, may now be subject to electronic surveillance based upon a mere “reasonableness” standard,

without any judicial oversight at the inception of the search. Given the majority's imprimatur of warrantless GPS tracking, less intrusive methods for investigating government employees will almost certainly be replaced with electronic surveillance. The potential for abuse that we recognized in *Weaver* is now closer to becoming a reality.

Judges GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge ABDUS-SALAAM concurs in result in an opinion in which Chief Judge LIPPMAN and Judge RIVERA concur.

Judgment reversed, with costs, and matter remitted to the Appellate Division, Third Department, with directions to remand to the Commissioner of Labor for further proceedings in accordance with the opinion herein.

[997 NE2d 1223, 975 NYS2d 371]

MANUEL DE LA CRUZ et al., Appellants, v CADDELL DRY DOCK &
REPAIR CO., INC., et al., Respondents.

Argued May 30, 2013; decided June 27, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 12, 2012. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Wilma Guzman, J.), which had (1) denied plaintiffs' cross motion for partial summary judgment on the issue of liability; and (2) granted defendants' motion for summary judgment dismissing the complaint.

De La Cruz v Caddell Dry Dock & Repair Co., Inc., 95 AD3d 297, reversed.

HEADNOTE

Labor — Prevailing Rate of Wages — Municipal Vessel as Public Work

Plaintiffs, who repaired and maintained municipal vessels pursuant to contracts between defendant employer and municipal agencies, were entitled to be paid the prevailing rate of wages and supplemental benefits for work performed on public works (see Labor Law § 220 [3] [a]). A municipal vessel is a public work within the meaning of Labor Law § 220 and article I, § 17 of the State Constitution—so that workers involved in its construction, maintenance or repair must be paid prevailing wages—if the vessel's primary objective is to benefit the general public. For a particular project to be subject to the prevailing wage requirements a public agency must be a party to a contract involving the employment of laborers, workers, or mechanics; the contract must concern a project that primarily involves construction-like labor and is paid for by public funds; and the primary objective or function of the work product must be the use or other benefit of the general public. Plaintiffs worked on such vessels as the Staten Island Ferry boats, New York City fireboats, and New York City Department of Sanitation garbage barges. A ferry boat is made for the use of the general public, and although a fireboat, tug or barge is not made to be used by the public, its function is to serve the general public.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Public Works and Contracts §§ 213, 216, 224.

MCKINNEY'S, Labor Law § 220 (3) (a); NY Const, art I,
§ 17.

NY JUR 2d, Public Works and Contracts §§ 94, 95.

ANNOTATION REFERENCE

What entities or projects are public for purpose state

statutes requiring payment of prevailing wages on public works projects. 5 ALR5th 470.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prevailing /2 wage & municipal /2 vessel

POINTS OF COUNSEL

Virginia & Ambinder, LLP, New York City (*James Emmet Murphy* and *Lloyd R. Ambinder* of counsel), for appellants. I. The work performed by plaintiffs-appellants constituted “public work.” (*Matter of New York Charter School Assn. v Smith*, 15 NY3d 403; *Matter of Miele v Joseph*, 305 NY 667; *Matter of Golden v Joseph*, 307 NY 62; *Title Guaranty & Trust Co. of Scranton v Crane Co.*, 219 US 24; *Ellis v United States*, 206 US 246; *United States for Use & Benefit of Owens v Olympic Mar. Servs., Inc.*, 827 F Supp 1232; *Jewett v Commonwealth Bond Corp.*, 241 App Div 131; *Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327; *All Seasons Resorts v Abrams*, 68 NY2d 81; *Matter of Fink v Lefkowitz*, 47 NY2d 567.) II. The Appellate Division’s holding misconstrues the definition of the term “construction.” (*Matter of Gaston v Taylor*, 274 NY 359; *Matter of Sewer Envtl. Contrs. v Goldin*, 98 AD2d 606; *Bruckhman v Giuliani*, 94 NY2d 387; *Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532, 63 NY2d 810; *Title Guaranty & Trust Co. of Scranton v Crane Co.*, 219 US 24; *Matter of Twin State CCS Corp. v Roberts*, 125 AD2d 18, 72 NY2d 897; *Miele v Joseph*, 280 App Div 408, 305 NY 667; *Aguilar v Henry Mar. Serv., Inc.*, 12 AD3d 542; *Caddy v Interborough R.T. Co.*, 195 NY 415; *Lee v Astoria Generating Co., L.P.*, 13 NY3d 382.) III. The Appellate Division misinterpreted this Court’s holding in *Bruckhman v Giuliani* (94 NY2d 387 [2000]). (*United States v City of New York*, 359 F3d 83; *Stone v McGowan*, 308 F Supp 2d 79; *Matter of Carver v State of New York*, 87 AD3d 25; *Matter of Onondaga-Cortland-Madison Bd. of Coop. Educ. Servs. v McGowan*, 285 AD2d 36; *Matter of Pansini Stone Setting Inc. v Crow & Sutton Assoc. Inc.*, 20 AD3d 481; *Matter of Lantry v State of New York*, 6 NY3d 49; *Bucci v Village of Port Chester*, 22 NY2d 195; *Matter of Gaston v Taylor*, 274 NY 359; *Austin v City of New York*, 258 NY 113; *Varsity Tr. v Saporita*, 71 AD2d 643, 48 NY2d 767.)

Blank Rome LLP, New York City (*Richard V. Singleton II* and *Anthony A. Mingione* of counsel), and *Frank & Associates, P.C.*, Farmingdale (*Peter A. Romero* of counsel), for respondents. I.

The Appellate Division correctly concluded that the Prevailing Wage Act did not apply because the work performed under the Caddell contracts was not “public work.” (*People v Crane*, 214 NY 154; *Bruckhman v Giuliani*, 94 NY2d 387; *Bucci v Village of Port Chester*, 22 NY2d 195; *Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532, 63 NY2d 810; *Caddy v Interborough R.T. Co.*, 195 NY 415; *Aguilar v Henry Mar. Serv., Inc.*, 12 AD3d 542; *Madden v Hughes*, 104 App Div 101; *Flannigan v Ryan*, 89 App Div 624; *Chaffee v Union Dry Dock Co.*, 68 App Div 578; *Brian Hoxie’s Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207.) II. New York’s Constitution and the Prevailing Wage Act should be interpreted in accordance with their legislative history and New York law—not in accordance with federal law. (*Bruckhman v Giuliani*, 94 NY2d 387; *Varsity Tr. v Saporita*, 71 AD2d 643; *Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327; *State of New York v Mobil Oil Corp.*, 38 NY2d 460; *All Seasons Resorts v Abrams*, 68 NY2d 81; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Marx v Bragalini*, 6 NY2d 322; *Title Guaranty & Trust Co. of Scranton v Crane Co.*, 219 US 24; *Building & Constr. Trades Dept. AFL-CIO v United States Dept. of Labor Wage Appeals Bd.*, 932 F2d 985; *Safari Circuits, Inc. v Chicago School Reform Bd. of Trustees*, 474 F Supp 2d 993.)

OPINION OF THE COURT

PIGOTT, J.

We hold that a municipal vessel is a public work within the meaning of Labor Law § 220 and article I, § 17 of the State Constitution—so that workers involved in its construction, maintenance or repair must be paid prevailing wages—if the vessel’s primary objective is to benefit the general public.

I

Plaintiffs were employed by defendant Caddell Dry Dock & Repair Co., Inc. (Caddell), which operates six floating dry docks on Staten Island, where workers repair, refurbish and maintain vessels for various tug and barge companies, and for the City of New York. The vessels serviced there have included the Staten Island Ferry vessels, New York City fireboats, and New York City Department of Sanitation garbage barges. In September 2002, plaintiffs, as third-party beneficiaries of contracts between Caddell and New York City agencies, began this action against Caddell and its sureties, seeking enforcement of contractual provisions requiring the payment of the prevailing

rate of wages and supplemental benefits. Plaintiffs, relying on Labor Law § 220 and article I, § 17 of the New York State Constitution, contend that the vessels they labored on were “public works” within the meaning of those laws. They sued individually and on behalf of a putative class of approximately 750 Caddell employees who repaired and maintained New York City vessels under contracts between Caddell and city agencies.¹

Following discovery, defendants moved for summary judgment dismissing the complaint on the ground that no “public work” was involved. Plaintiffs cross-moved for partial summary judgment as to liability. Supreme Court denied plaintiffs’ cross motion and granted defendants’ motion, dismissing the complaint. The Appellate Division affirmed, holding that it was “constrained” by our decision in *Bruckhman v Giuliani* (94 NY2d 387 [2000]) to find that the city vessels in question were not “public works” within the meaning of Labor Law § 220 (95 AD3d 297, 298 [1st Dept 2012]). We granted plaintiffs leave to appeal, and now reverse.

II

Pursuant to Labor Law § 220, contractors engaged in public projects must pay their workers wages and supplemental benefits that “shall be not less than the prevailing rate for a day’s work in the same trade or occupation in the locality within the state where such public work . . . is to be situated, erected or used” (Labor Law § 220 [3] [a]). The substance of the statutory requirement dates to the 1890s.² The State Constitution was amended in 1905 to authorize such prevailing wage legislation, and the law was preserved as a constitutional requirement in its present form in the 1938 State Constitution (*see* 3 Rev

1. On appeal from an order dismissing plaintiffs’ claims, the Appellate Division reinstated two of plaintiffs’ claims, breach of contract against Caddell and joint and several liability against the sureties (*see* 22 AD3d 404 [1st Dept 2005]). Upon remittal to Supreme Court, the action was certified as a class action.

2. The particular language quoted from section 220 was contained in L 1899, ch 567, § 1. As Judge Cardozo wrote,

“[t]he public policy of the State declared by successive Legislatures during a period of thirty years (L. 1897, ch. 415; L. 1899, ch. 567; L. 1900, ch. 298; L. 1906, ch. 506; L. 1909, ch. 292; L. 1913, ch. 494; L. 1916, ch. 152; L. 1921, ch. 642) exacts the payment of the rate of wages prevailing in the vicinage to laborers and mechanics employed upon the public works” (*Campbell v City of New York*, 244 NY 317, 324 [1927]; *see also* L 1894, ch 622).

Rec, 1938 NY Constitutional Convention at 2201; *see generally Matter of Cayuga-Onondaga Counties Bd. of Coop. Educ. Servs. v Sweeney*, 89 NY2d 395, 401 [1996]). Under article I, § 17 of the State Constitution,

“[n]o laborer, worker or mechanic, in the employ of a contractor or sub-contractor engaged in the performance of any public work, . . . shall . . . be paid less than the rate of wages prevailing in the same trade or occupation in the locality within the state where such public work is to be situated, erected or used.”

In the past, we adopted a two-prong test to determine whether a particular project is bound by the constitutional prevailing wage rate requirement, namely the standard set out in *Matter of Erie County Indus. Dev. Agency v Roberts* (94 AD2d 532 [4th Dept 1983], *affd for reasons stated below* 63 NY2d 810 [1984]). “(1) [T]he public agency must be a party to a contract involving the employment of laborers, workmen, or mechanics, and (2) the contract must concern a public works project” (*Matter of New York Charter School Assn. v Smith*, 15 NY3d 403, 413 [2010], quoting *Erie County Indus. Dev. Agency*, 94 AD2d at 537). In the present case, the second prong of the *Erie County* test is at issue; the question is whether a “public work” must be a structure attached to land. In the absence of direct and specific evidence of the legislative intent regarding the term, a proper analysis may be informed by three sources: first and most importantly, the language of the statute and constitutional provision itself; second, precedent; and third, dictionary definition.

III

The term “public work” is used in two, distinct ways: first, to denote a public undertaking or endeavor performed by workers, and second, to refer to the physical product of such work.³ It is the second meaning of the term that is relevant here.

Labor Law § 220 and the constitutional provision have some common language: a laborer, worker, or mechanic, employed by a contractor or subcontractor upon a public work, shall not be paid less than the rate of wages prevailing “in the same trade

3. For example, in NY Constitution, article I, § 17, the term is used initially in the first sense (“in the performance of any public work”) and then in the second sense (“where such public work is to be situated, erected or used”).

or occupation in the locality within the state *where such public work is to be situated, erected or used*” (NY Const, art I, § 17 [emphasis added]; *see also* Labor Law § 220 [3] [a]; L 1899, ch 567, § 1). It is clear from the words “situated, erected or used” that the term “public works” was intended to extend beyond structures that are erected, and also include at least some things for which the participles “situated” or “used” are more fitting. While a vessel would not be described as being “erected,” it would be appropriate to describe it as being “situated” or “used.” The language of the statute and constitutional provision, therefore, supports the interpretation advanced by the plaintiffs in this case, as has the practical view taken by federal authorities that have considered the term, in the corresponding federal wage law (*see* 40 USC § 3142 [Davis-Bacon Act]; 38 US Atty Gen 418 [1936] [interpreting Davis-Bacon Act (former 40 USC § 276a)]) and in other similar contexts (*see Title Guaranty & Trust Co. of Scranton v Crane Co.*, 219 US 24, 33 [1910]; *see also e.g. United States for Use & Benefit of Owens v Olympic Mar. Servs., Inc.*, 827 F Supp 1232, 1233-1234 [ED Va 1993]). In the words of Justice Holmes, “[w]hether a work is public or not does not depend upon its being attached to the soil” (*Title Guaranty & Trust Co.*, 219 US at 33).

IV

Our case law makes clear that Labor Law § 220 “is an attempt by the State to hold its territorial subdivisions to a standard of social justice in their dealings with laborers, workmen and mechanics. It is to be interpreted with the degree of liberality essential to the attainment of the end in view” (*Austin v City of New York*, 258 NY 113, 117 [1932]). In *Matter of Gaston v Taylor* (274 NY 359 [1937]), we held that workers may be “employed upon ‘public works’ within the meaning of the statute” even when “their work relates to repairing and maintaining public works rather than constructing them” (274 NY at 363). However, the work must be “construction-like labor” in order to qualify (*Matter of Twin State CCS Corp. v Roberts*, 72 NY2d 897, 899 [1988]). The prevailing wage requirement “applies only to workers involved in the construction, replacement, maintenance [or] repair of ‘public works’ ” (*Bruckhman*, 94 NY2d at 396, quoting *Varsity Tr. v Saporita*, 71 AD2d 643, 644 [2d Dept 1979], *affd* 48 NY2d 767 [1979]). Finally, “[t]o be a public work the project’s primary objective must be to benefit the public” (*Matter of 60 Mkt. St. Assoc. v Hartnett*, 153 AD2d

205, 207 [3d Dept 1990], *affd for reasons stated below* 76 NY2d 993 [1990]; *see also e.g. Matter of Hart v Holtzman*, 215 AD2d 175, 176 [1st Dept 1995]; *Matter of Vulcan Affordable Hous. Corp. v Hartnett*, 151 AD2d 84, 86-87 [3d Dept 1989]; *Matter of Miele v Joseph*, 280 App Div 408, 409-410 [1952], *affd* 305 NY 667 [1953]).

Here, the Appellate Division believed itself to be bound by *Bruckhman v Giuliani*. That case presented the “question whether the prevailing wage provision of the New York State Constitution (art I, § 17) applies to public assistance beneficiaries who are statutorily required to participate in a Work Experience Program . . . as a condition of continued receipt of monetary grants” from the New York City Department of Social Services (*Bruckhman*, 94 NY2d at 390). Recipients, who were assigned to work at not-for-profit organizations and New York City agencies, challenged a method of calculation of the required hours of participation, whereby the amount of benefits received was divided by the federal minimum wage. Recipients wanted the calculations to be based on the applicable prevailing wage rate under New York law, which was a higher rate, thus generating a lower number of hours they would have to work. The work in question “ranged from skilled electrical and painting work to office clerical functions” (*id.* at 391).

We held that the recipients were not entitled to the requested prevailing wage calculations for two principal reasons. They were not “in the employ of” anyone within the meaning of the constitutional provision (*id.* at 395-396). Additionally, “a department of a municipality—even though it may enter into agreements with the municipality to provide Program positions—does not qualify as a ‘contractor or subcontractor’ within the meaning of the constitutional provision” and “the other entities cooperating with the Work Experience referrals do not fall within the classification of construction and organized labor-related contractors” (*id.* at 395). Although at one point we stated that “plaintiffs were not engaged in ‘public work’ within the envisioned scope of that constitutional term of art” (*id.* at 393), we noted that “since plaintiffs do not meet the other requisites of this constitutional entitlement, we need not parse these facial claims to determine whether some might be deemed to squeeze into the ‘public work’ column” (*id.* at 396). To the extent we decided the issue, our holding was that the recipients were not employed upon “public works” simply because they

were assigned to work at a city agency or an entity cooperating with a city program; they would have to show that they were involved in “construction, replacement, maintenance [or] repair” (*id.* at 396)—a factor that is not disputed in the present case. In short, *Bruckhman* is not instructive on the issue of whether a vessel is a “public work” and the Appellate Division erred in considering the case dispositive. Far more instructive is the above-cited case law holding that the primary purpose or objective of a project must be public in order for it to be a public work.

V

The current edition of Black’s Law Dictionary defines “public works” as “[s]tructures (such as roads or dams) built by the government for public use and paid for by public funds” (Black’s Law Dictionary 1746 [9th ed 2009]). More pertinently, given the nineteenth-century origin of the law we are concerned with, the first edition of Black’s Law Dictionary defined “public works” as “[w]orks, whether of construction or adaptation, undertaken and carried out by the national, state, or municipal authorities, and designed to subserve some purpose of public necessity, use, or convenience; such as public buildings, roads, aqueducts, parks, etc.” (Black’s Law Dictionary 964 [1st ed 1891]; *see also* Black’s Law Dictionary 1231 [2d ed 1910] [same]).⁴

Similarly broad definitions of “public works” are found in other dictionaries—“works such as roads, railways, bridges, etc. constructed for public use or service at public cost” (Webster’s New Twentieth Century Dictionary of the English Language Unabridged 1368 [25th ed 1950]); “works (as schools, highways, docks) constructed for public use or enjoyment esp[ecially] when financed and owned by the government” (Merriam-Webster’s Collegiate Dictionary 1006 [11th ed 2003]); or “construction or engineering operations carried out by or for the State or local government on behalf of the community” (The Oxford English

4. It is true that for a time Black’s Law Dictionary included, as a second, alternative definition, the words “[a]ll fixed works constructed for public use” (*see* Black’s Law Dictionary 1856 [3d ed 1933], citing *State v A.H. Read Co.*, 33 Wyo 387, 399, 240 P 208, 211 [Wyo 1925]; Black’s Law Dictionary 1781 [4th ed 1951]; Black’s Law Dictionary 1440 [5th ed 1979]; Black’s Law Dictionary 1606 [6th ed 1990]). This alternative definition was removed for the publication of the seventh edition (*see* Black’s Law Dictionary 1601 [7th ed 1999]).

Dictionary Third Edition [published on OED Online while in progress], available at <http://www.oed.com>).⁵

Two central aspects of the meaning of “public works” may be discerned from the dictionaries—public works are works paid for by public funds and made for public use or other benefit. Although the illustrative examples given in dictionary entries are frequently fixed structures, it is clear that the notion that a “public work” must be attached to the land is not part of its central meaning.

VI

We therefore conclude that a three-prong test should be applied to determine whether a particular project is subject to the prevailing wage requirements of Labor Law § 220 and article I, § 17 of the State Constitution. First, a public agency must be a party to a contract involving the employment of laborers, workers, or mechanics. Second, the contract must concern a project that primarily involves construction-like labor and is paid for by public funds. Third, the primary objective or function of the work product must be the use or other benefit of the general public.

We recognize that this test will have to be applied on a case-by-case basis in order for its contours to be fully explored. Our holding is consistent, however, with Appellate Division cases ruling that a work is not public when—although “it serves a public function” such as “the rehabilitation of neighborhoods” (*Vulcan Affordable Hous. Corp.*, 151 AD2d at 87) and is paid for in large part by public funds—its objective is private residence (*see id.*), or it “is used for a specific and narrowly defined group” of private citizens (*Cattaraugus Community Action v Hartnett*, 166 AD2d 891, 891 [4th Dept 1990]).

As to the facts underlying this appeal, the application of the law is straightforward. Plaintiffs worked on such vessels as the Staten Island Ferry boats, city fireboats, and municipal garbage barges. A ferry boat is, of course, made for the use of the general public, as is a bus or train. While we recognize that a fireboat, tug or barge is not made to be used by the public, there is no doubt that its function is to serve the general public. For example, a New York City fireboat is used by firefighters for the

5. Merriam-Webster’s Third New International Dictionary favors a narrower definition (*see Webster’s Third New International Dictionary of the English Language Unabridged 1836 [2002]*) incorporating the word “fixed.”

benefit of the entire City's public. There is no justification for making fine distinctions between vessels according to whether or not members of the public have access to them. We have not differentiated buildings used by public employees according to whether there is public access (*see Twin State CCS Corp.*, 72 NY2d at 899). The dispositive question is whether their primary function is to serve the general public.

Accordingly, the order of the Appellate Division should be reversed, with costs, and plaintiffs' motion for partial summary judgment on the issue of liability granted.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and RIVERA concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, and plaintiffs' motion for partial summary judgment on the issue of liability granted.

[997 NE2d 133, 974 NYS2d 308]

MARGUERITE JAMES, Appellant, v DAVID WORMUTH, M.D., et al.,
Respondents.

Argued May 28, 2013; decided June 27, 2013

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 23, 2012. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Onondaga County (Brian F. DeJoseph, J.), which had dismissed the amended complaint. The judgment was entered upon an order of that court granting defendants' motion at the conclusion of plaintiff's evidence at trial to dismiss the amended complaint pursuant to CPLR 4401.

James v Wormuth, 93 AD3d 1290, affirmed.

HEADNOTES

Physicians and Surgeons — Malpractice — Wire Intentionally Left in Patient's Body after Surgery — Failure to Introduce Evidence Regarding Standard of Medical Care

1. Plaintiff's amended complaint in a medical malpractice action was properly dismissed where plaintiff failed to present evidence of the appropriate standard of medical care with regard to defendant doctor's decision, after an unsuccessful 20-minute search for a guide wire that had dislodged inside plaintiff during a lung biopsy surgery, to leave the wire inside plaintiff and end the surgery. Ordinarily, a plaintiff asserting a medical malpractice claim must demonstrate that the doctor deviated from acceptable medical practice, and that such deviation was a proximate cause of the plaintiff's injury. Since plaintiff's theory of the case focused on defendant doctor's intentional choice to leave the wire, rather than the initial dislodgment of the wire, plaintiff was required to establish that the doctor's judgment deviated from accepted community standards of practice, and that such deviation was a proximate cause of the injury. The doctor claimed to have exercised his professional judgment in deciding that extending the period under which plaintiff was anaesthetized and making a larger incision to find and remove the wire was riskier than leaving the wire inside plaintiff. Because the doctor's testimony could not be assessed by the jury based on common knowledge of lay persons, expert opinion evidence was needed to assist the jury's understanding of whether the occurrence would have taken place in the absence of negligence.

Negligence — Res Ipsa Loquitur — Dislodged Wire Left in Patient's Body after Surgery — Exclusive Control

2. In an action arising out of defendant doctor's failure to remove, after an unsuccessful 20-minute search, a guide wire that had dislodged during plaintiff's lung biopsy surgery, plaintiff failed to demonstrate a prima facie case of medical malpractice based upon res ipsa loquitur. The theory of res ipsa loquitur is applied to occurrences where the actual or specific cause of an

accident is unknown. To establish a prima facie case of negligence in support of a res ipsa loquitur charge, a plaintiff must establish that the event is of a kind that ordinarily does not occur in the absence of someone's negligence, that the event was caused by an agency or instrumentality within the exclusive control of the defendant, and that the event was not due to any voluntary action or contribution on the part of the plaintiff. While plaintiff argued that the wire could only have dislodged due to the doctor's negligence, she failed to produce any evidence to contradict the doctor's testimony that there were other medical personnel involved in the process of inserting the wire and transporting plaintiff prior to the doctor's discovery that the wire had dislodged. Whether the doctor was in control of the operation did not address the question of whether he was in exclusive control of the instrumentality. Since plaintiff failed to produce any evidence that the doctor had exclusive control of the wire or sufficient proof that eliminated within reason all explanations for the injury other than the doctor's negligence, the control element was not satisfied. Moreover, res ipsa loquitur applies in the context of a medical malpractice action based upon a foreign object only where the object is unintentionally left in a patient following an operative procedure. Here, plaintiff's theory of the case was that the doctor negligently chose to leave the wire.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Negligence §§ 1193–1195, 1214, 1215, 1262; AM
JUR 2d, Physicians, Surgeons and Other Healers §§ 186,
187, 195, 196, 241, 312, 314.
NY JUR 2d, Malpractice §§ 133, 134, 175, 361, 369–371; NY
JUR 2d, Negligence §§ 30, 194, 195.
PROSSER AND KEETON, TORTS (5th ed) §§ 32, 33, 39, 40.

ANNOTATION REFERENCE

See ALR Index under Malpractice By Medical or Health
Professions; Res Ipsa Loquitur.

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POINTS OF COUNSEL

Woodruff L. Carroll, Syracuse, for appellant. I. A jury could infer without an expert that the wire would not have been left in the patient absent negligence. (*Rockefeller v Moront*, 81 NY2d 560; *Kambat v St. Francis Hosp.*, 89 NY2d 489; *States v Lourdes Hosp.*, 100 NY2d 208; *Critelli v Long Is. Jewish-Hillside Med. Ctr.*, 115 AD2d 632; *Gravitt v Newman*, 114 AD2d 1000; *Con-nors v University Assoc. in Obstetrics & Gynecology, Inc.*, 4 F3d

123.) II. The case is simple enough for a jury to understand without an expert. (*States v Lourdes Hosp.*, 100 NY2d 208; *Kambat v St. Francis Hosp.*, 89 NY2d 489; *Rockefeller v Moront*, 81 NY2d 560.) III. No expert is needed because the medical judgment defense is not compatible with *res ipsa loquitur*. (*Rockefeller v Moront*, 81 NY2d 560; *Nestorowich v Ricotta*, 97 NY2d 393.) IV. No expert is needed because the medical judgment charge does not apply to the physician deciding which of two foreseeable evils that resulted from his negligence is the lesser evil. V. No expert is needed because there is no limit to the facts that *res ipsa loquitur* can be applied to. (*Kambat v St. Francis Hosp.*, 89 NY2d 489; *Griffen v Manice*, 166 NY 188; *Condit v Baldwin*, 21 NY 219; *Mullen v St. John*, 57 NY 567.) VI. The jury decides the importance of the state of mind and intent of defendant in deciding if there is negligence on the facts of the case. (*Kambat v St. Francis Hosp.*, 89 NY2d 489.) VII. The state of mind of defendant and his intention are just one more piece of circumstantial evidence for the jury to consider in determining fault without an expert. (*Palsgraf v Long Is. R.R. Co.*, 248 NY 339; *Pike v Consolidated Edison Co. of N.Y.*, 303 NY 1.) VIII. The cases where defendant intentionally left a foreign object in the patient as part of the agreed treatment have no relevance here and no expert is needed to explain this. (*States v Lourdes Hosp.*, 100 NY2d 208; *Rockefeller v Moront*, 81 NY2d 560.) IX. Prior cases of the Court of Appeals recognize a clear distinction between items left in the patient after the operation that were intended to be removed (foreign object cases) and items that were intended to be left in the patient but were not removed (fixation cases). (*Rockefeller v Moront*, 81 NY2d 560.) X. Plaintiff proved a case of gross negligence/willful misconduct. XI. Plaintiff used defendant physician as an expert to explain circumstances surrounding the operation. (*States v Lourdes Hosp.*, 100 NY2d 208.) XII. The lower court erred in not sending questions of fact to the jury. XIII. There are no credibility issues in foreign object cases for an expert opinion. (*Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427.) XIV. The lower courts erred; as a matter of law plaintiff did not waive her claim. (*Kambat v St. Francis Hosp.*, 89 NY2d 489.) XV. The Court should affirm the dissent in the Appellate Division. XVI. Plaintiff is entitled to every factual inference in her favor. (*Szczerbiak v Pilat*, 90 NY2d 553.) XVII. Plaintiff proved *res ipsa loquitur*. (*Kambat v St. Francis Hosp.*, 89 NY2d 489; *Ebanks v New York City Tr. Auth.*, 70 NY2d 621.) XVIII. The operation was under the control of defendant. XIX. Plaintiff was anaesthetized while the

wire was lost and could not be contributorily negligent. XX. Defendant owes a duty to plaintiff as a physician to a patient.

Martin, Ganotis, Brown, Mould & Currie, P.C., DeWitt (*Mark L. Dunn* and *Daniel P. Laraby* of counsel), for respondents. The Appellate Division properly affirmed the trial court's judgment dismissing plaintiff's complaint as she failed to establish a prima facie case of medical malpractice based on *res ipsa loquitur*, where her sole claim challenged Dr. Wormuth's judgment to leave a piece of guide wire which had dislodged from the lung and become embedded in chest muscle tissue, rather than subject her to a more intrusive procedure with attendant surgical risks to try and locate and remove the wire. (*Dermatossian v New York City Tr. Auth.*, 67 NY2d 219; *Kambat v St. Francis Hosp.*, 89 NY2d 489; *Rockefeller v Moront*, 81 NY2d 560; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217; *Castro v New York City Health & Hosps. Corp.*, 74 AD3d 1005; *Lidge v Niagara Falls Mem. Med. Ctr.*, 17 AD3d 1033.)

OPINION OF THE COURT

RIVERA, J.

Plaintiff Marguerite James commenced this medical malpractice action against defendants Dr. David Wormuth and his practice, CNY Thoracic Surgery, P.C., after he failed to remove a localization guide wire during a biopsy of an area on plaintiff's lung. On this appeal from the Appellate Division order affirming the dismissal of her amended complaint, we affirm.

In October 2004, a guide wire inserted into the plaintiff to assist with a biopsy of an area in her lung dislodged. Defendant Dr. Wormuth proceeded with the biopsy, but was unable to locate the dislodged wire. After an unsuccessful 20-minute manual search for the wire, defendant determined that it was better for the plaintiff to leave the wire and end the surgical procedure, rather than to extend the amount of time she was in surgery for him to continue searching for the wire. Defendant informed plaintiff after the surgery that he could not find the wire, and that he had determined that it was better to leave it rather than continue the search procedure.

Plaintiff subsequently returned to defendant complaining of pain she attributed to the lodged wire, and which she said was so significant that it disrupted her ability to work. Approximately two months after the first procedure, defendant performed a second operation. In that procedure, he successfully

located and removed the wire with the use of a special X-ray machine known as a C-arm.

Plaintiff then commenced this medical malpractice action.¹ Plaintiff's evidence at trial consisted of her testimony about, among other things, her discussion with Dr. Wormuth after the procedure, the postoperative pain and its impact on her ability to work, as well as the testimony of two of her clients as to the apparent disruption to her work caused by the pain, and Dr. Wormuth's testimony describing the procedure and his decision to leave the wire inside the plaintiff. Plaintiff also introduced several medical records relating to both procedures, including Dr. Wormuth's file, operation reports, a surgical pathology report, and an X-ray report produced during the period between the two procedures.

At the close of plaintiff's case, defendants moved to dismiss for failure to establish a *prima facie* case of medical malpractice. Defendants argued that plaintiff failed to show a deviation from accepted standards of medical practice, and also that such deviation was the proximate cause of the plaintiff's injury. Defendants pointed specifically to plaintiff's failure to present any expert proof on the standard of practice. Anticipating plaintiff's response, defendants argued that *res ipsa loquitur* was inapplicable because there was no evidence of any error by Dr. Wormuth that caused the wire to become dislodged.

Plaintiff objected to the motion and argued that expert testimony was unnecessary because Dr. Wormuth admitted that he intentionally left the wire inside the plaintiff. Therefore, a jury could infer negligence given that there was no medical reason to leave the wire lodged in plaintiff, and defendant could have obtained a C-arm to locate and remove it. Plaintiff asserted that *res ipsa loquitur* necessarily applied because the wire was a foreign object that could only have been left in the plaintiff as a result of the doctor's negligence.

During argument on the motion, and in response to the court's specific inquiry as to the plaintiff's theory of the case, plaintiff's counsel confirmed that the case focused on defendant's failure to remove the wire.

1. Supreme Court granted defendant's summary judgment motion dismissing plaintiff's original complaint. Plaintiff successfully appealed, and the Appellate Division reinstated the complaint (*see* 74 AD3d 1895 [4th Dept 2010] [summary judgment improperly granted where affidavits of defendants' medical experts did not address the specific claims of negligence raised in plaintiff's complaint]). Plaintiff subsequently filed an amended complaint and proceeded to a jury trial.

“[The court]: . . . Your theory here is that he committed negligence and malpractice by failing to retrieve it back on October the 28th —

“[Counsel]: Right.

“[The court]: — during the first surgery?

“[Counsel]: As it’s gone in, your Honor, that is the case. If I had an expert, it would have been a different one, but that’s what the case is right now.”

The court subsequently granted a directed verdict in defendants’ favor, pursuant to CPLR 4401.

The Appellate Division affirmed in a 3-2 decision (93 AD3d 1290 [4th Dept 2012]). The majority concluded that the trial court properly granted defendants’ motion, and dismissed the amended complaint based upon plaintiff’s failure to demonstrate a *prima facie* case of medical malpractice. The majority rejected plaintiff’s contention that she had submitted sufficient proof under the doctrine of *res ipsa loquitur* to submit the case to the jury, given that plaintiff failed to argue or present proof that the doctor had unintentionally abandoned the wire inside plaintiff. The majority reasoned that because plaintiff relied upon defendant’s allegedly improper exercise of medical judgment, plaintiff could not rely upon the theory of *res ipsa loquitur*. The dissent disagreed that defendant purposefully abandoned the wire, and instead attributed the unintentional loss of the wire to the doctor’s actions. The dissent concluded that, similar to plaintiff’s argument in opposition to defendants’ motion for a directed verdict, *res ipsa loquitur* properly applies given that a foreign object remained in plaintiff’s body. Plaintiff appealed to this Court as of right pursuant to CPLR 5601 (a).

On appeal before this Court, plaintiff continues to press her arguments that expert testimony was unnecessary, and that *res ipsa loquitur* applies to this case because the fact that the wire was left in the plaintiff in and of itself establishes defendants’ liability. Plaintiff further argues that the wire should be treated as a foreign object left inside the plaintiff, and therefore negligence may be inferred.

Ordinarily, a plaintiff asserting a medical malpractice claim must demonstrate that the doctor deviated from acceptable medical practice, and that such deviation was a proximate cause of the plaintiff’s injury (*see Rivera v Kleinman*, 16 NY3d 757, 759 [2011]; *Frye v Montefiore Med. Ctr.*, 70 AD3d 15, 24 [1st

Dept 2009]; *Terranova v Finklea*, 45 AD3d 572, 572 [2d Dept 2007]; *Zellar v Tompkins Community Hosp.*, 124 AD2d 287, 288-289 [3d Dept 1986]). The theory of res ipsa loquitur is applied to occurrences “[w]here the actual or specific cause of an accident is unknown” (*Kambat v St. Francis Hosp.*, 89 NY2d 489, 494 [1997]). Under such circumstances, “a jury may . . . infer negligence merely from the happening of an event and the defendant’s relation to it” (*id.* at 494; see *States v Lourdes Hosp.*, 100 NY2d 208, 211-212 [2003]). To establish a prima facie case of negligence in support of a res ipsa loquitur charge, plaintiff must establish three elements:

“[1.] the event must be of a kind that ordinarily does not occur in the absence of someone’s negligence;

“[2.] it must be caused by an agency or instrumentality within the exclusive control of the defendant; and

“[3.] it must not have been due to any voluntary action or contribution on the part of the plaintiff” (*Kambat*, 89 NY2d at 494; see Prosser and Keeton, Torts § 39 at 244 [5th ed]).

Further, in the context of a medical malpractice case based upon a foreign object, “[r]es ipsa loquitur is applicable where . . . [the object] is *unintentionally* left in a patient following an operative procedure” (*LaPietra v Clinical & Interventional Cardiology Assoc.*, 6 AD3d 1073, 1074 [4th Dept 2004] [emphasis added]; see *Kambat*, 89 NY2d 497-498).

According to the record, plaintiff constructed her case on a theory based on the doctor’s intentional choice to leave the wire inside the plaintiff, and her counsel specifically acknowledged this to the trial court. Moreover, her counsel conceded at trial that he had not submitted opinion testimony about the standard of medical care,² and also acknowledged that it would be a different case if he had presented expert testimony. Plaintiff, having chosen to pursue a theory of the case which focused on defendant’s intentional choice to leave the wire in the plaintiff, rather than the initial dislodgment of the wire, was required to establish that the doctor’s judgment deviated from accepted community standards of practice, and that such deviation was a

2. Counsel admitted before the trial court that he “did not introduce an opinion, that this was a breach of accepted standard of medical care. That’s about all we really don’t have.”

proximate cause of the plaintiff's injury (see *Rivera*, 16 NY3d at 759; see generally *Gross v Friedman*, 73 NY2d 721, 723 [1988]).

Dr. Wormuth's testimony reveals that he claimed to have exercised his professional judgment during the biopsy procedure. The doctor testified that he decided to leave the wire inside the plaintiff's chest because, in his judgment, he believed it to be riskier to continue, noting that this would extend the period under which the plaintiff was anaesthetized, and require a larger incision in order to find and remove the wire. He further testified that in his experience patients could tolerate wires, that wires are under some circumstances left inside a patient, and he believed he could remove the wire in this case, if necessary, at a later time.

[1] It is clear from the record that the doctor explained his decision to leave the wire in terms of his medical assessment of what was best for the patient under the circumstances. Defendant's testimony that it was his professional judgment to leave the wire could not be assessed by the jury based on the "common knowledge of lay persons" (*Lourdes Hosp.*, 100 NY2d at 213 [internal quotation marks and citation omitted]; see generally *Meiselman v Crown Hgts. Hosp.*, 285 NY 389, 396 [1941]). Therefore, evidence clearly was needed, in the form of expert opinion to assist a jury's understanding of whether this occurrence would have "take[n] place in the absence of negligence" (*Lourdes Hosp.*, 100 NY2d at 212).³ Plaintiff, however, wholly failed to present any such evidence of the standards of practice, and therefore her complaint was properly dismissed.

[2] To the extent counsel argued that *res ipsa loquitur* applies because the wire could only have dislodged due to the doctor's negligence, plaintiff failed to establish the elements of *res ipsa*, specifically that Dr. Wormuth had exclusive control (see *Dermatossian v New York City Tr. Auth.*, 67 NY2d 219, 227-228 [1986]; see also Prosser and Keeton, Torts § 39 at 249-250 [5th ed]). Dr. Wormuth testified that there were other medical personnel involved in the process of inserting the wire and transporting the plaintiff prior to the doctor's discovery that the wire had dislodged. Plaintiff did not produce any evidence to the contrary. Instead, plaintiff's counsel appears to have

3. Plaintiff's contention that defendant was negligent because he left the wire when he could have used the C-arm to locate it during the first surgery further establishes that the plaintiff's case turned on the propriety of the doctor's choice to leave the wire in the plaintiff and that expert opinion was necessary.

believed that the control element was satisfied because the doctor had control over the operation. Whether the doctor was in control of the operation does not address the question of whether he was in exclusive control of the instrumentality, because several other individuals participated to an extent in the medical procedure. Given that plaintiff failed to produce any evidence that the doctor had exclusive control of the wire, or sufficient proof that “eliminate[s] within reason all explanations for the injury other than the defendant’s negligence,” the control element clearly has not been satisfied (*Dermatossian*, 67 NY2d at 227). Although the control requirement does not mean that “the possibility of other causes must be altogether eliminated, . . . [the] likelihood must be so reduced that the greater probability lies at defendant’s door” (*id.*).

Plaintiff’s argument that the wire should be treated as a foreign object in support of her *res ipsa* claim is unpersuasive because her theory of the case was the doctor negligently chose to leave the wire. Thus, this case is distinguishable from those involving objects left unintentionally, where, as plaintiff argues, no decision to leave the object has been made which must be measured against a standard of care. Plaintiff’s other contention that the defendant committed gross negligence is similarly without merit.

Here, defendant exercised his professional judgment when he chose to leave the object in the plaintiff, and plaintiff did not present any expert evidence that by so doing, the defendant departed from accepted standards of medical care. Plaintiff failed to demonstrate a *prima facie* case of medical malpractice based upon *res ipsa loquitur*, or traditional negligence principles. “As advantageous as the *res ipsa loquitur* inference is for a plaintiff unable to adduce direct evidence of negligence, application of the [evidentiary] doctrine does not relieve a plaintiff of the burden of proof” (*Lourdes Hosp.*, 100 NY2d at 213).

Accordingly, the Appellate Division order should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and ABDUS-SALAAM concur.

Order affirmed, with costs.

[997 NE2d 1229, 975 NYS2d 377]

In the Matter of MAUREEN S. HOERGER et al., Appellants, v
THOMAS J. SPOTA III, Respondent, et al., Respondent.

Argued August 21, 2013; decided August 22, 2013

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 16, 2013. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Suffolk County (Joseph Farneti, J.), entered in a proceeding pursuant to Election Law § 16-102, which had (1) denied a petition to invalidate the petitions designating respondent Thomas J. Spota III as a candidate for Suffolk County District Attorney in the primary election for the Democratic, Republican, Independence and Conservative Parties; and (2) dismissed the proceeding.

Matter of Hoerger v Spota, 109 AD3d 564, affirmed.

HEADNOTE

Public Officers — Term of Office — Validity of Term Limits for Certain Municipal Officials — District Attorney

A proceeding to invalidate petitions designating respondent District Attorney as a candidate for that office on the ground that he was ineligible to hold the office for another term because of the term limitations imposed by the county legislature was properly dismissed, as the county was without the power to impose such limitations. Although the district attorney may be an officer serving a county, the office and its holder implicate state concerns. The State Constitution has provisions governing the timing of district attorney elections and terms of office, and the governor has the authority to both remove a district attorney from office and fill a vacancy existing in that office. The office is subject to comprehensive regulation by state law, leaving counties without authority to legislate in that respect. The limitation on the length of time a district attorney can hold office is an improper imposition of an additional qualification for the position. Moreover, permitting county legislators to impose term limits on the office of district attorney would have the potential to impair the independence of that office, and the state has a fundamental and overriding interest in ensuring the integrity and independence of the office of district attorney.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 3, 4, 241, 243.

NY JUR 2d, Elections §§ 259, 284, 312.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: designating /2 petition & term /2 limit

POINTS OF COUNSEL

Martin E. Connor, Brooklyn, for appellants. The state constitutional provision providing that the term of office for district attorney be either three or four years, and the state legislation setting the term of the office in Suffolk County at four years, relates solely to the term to be served between elections. It does not address how many of such terms a person may consecutively hold. (*Matter of Kelley v McGee*, 57 NY2d 522.)

Harris Beach PLLC, Uniondale (*Thomas J. Garry* of counsel), and *Kevin G. Snover*, North Babylon, for respondent. I. The Appellate Division correctly interpreted the Constitution. (*Matter of Wendell v Lavin*, 246 NY 115; *Trotta v Ollivier*, 91 AD3d 8; *Matter of Town of Eastchester v New York State Bd. of Real Prop. Servs.*, 23 AD3d 484; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252.) II. The public office of district attorney is a constitutional office. (*Matter of Curry v Hosley*, 86 NY2d 470; *Matter of Schumer v Holtzman*, 60 NY2d 46; *Matter of People v Christensen*, 77 AD3d 174; *Matter of Soares v Herrick*, 88 AD3d 148, 20 NY3d 139; *Matter of Caputo v Halpin*, 78 NY2d 117; *Fisher v State of New York*, 10 NY2d 60.) III. The public office of district attorney is a matter of state concern. (*Matter of Kelley v McGee*, 57 NY2d 522; *Carey v Oswego County Legislature*, 91 AD2d 62, 59 NY2d 847; *U.S. Term Limits, Inc. v Thornton*, 514 US 779; *Matter of Town of Islip v Cuomo*, 64 NY2d 50; *Adler v Deegan*, 251 NY 467; *City of New York v State of New York*, 94 NY2d 577; *Uniformed Firefighters Assn. v City of New York*, 50 NY2d 85; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Kamhi v Town of Yorktown*, 74 NY2d 423; *Turnpike Woods v Town of Stony Point*, 70 NY2d 735.) IV. The State has preempted the issue of district attorney term limits. (*Matter of Enders v Rossi*, 45 AD2d 447, 34 NY2d 966; *Matter of Kelley v McGee*, 57 NY2d 522; *Carey v Oswego County Legislature*, 91 AD2d 62, 59 NY2d 847.) V. The local law impermissibly imposes an additional qualification for the office of district attorney. (*Carey v Oswego County Legislature*, 91 AD2d 62, 59 NY2d 847; *Baez v Hennessy*, 853 F2d 73; *Matter of Schumer v Holtzman*, 60 NY2d 46; *Matter of Johnson v Pataki*, 91 NY2d 214; *U.S. Term Limits, Inc. v Thornton*, 514 US 779; *Matter of Curry v Hosley*, 86 NY2d 470.)

Kathleen M. Rice, District Attorney, Kew Gardens (John M. Ryan and Edward D. Saslaw of counsel), Steven A. Bender, White Plains, Itamar J. Yeger, Brooklyn, and Morrie I. Kleinbart, Staten Island, for District Attorneys Association of the State of New York, amicus curiae. The qualifications to hold the office of district attorney are established under the Constitution of the State of New York and the laws of the state, and performing a state function is a matter of state law and may not be limited by county or local laws. (Morrall v County of Monroe, 271 NY 48; People v Ramos, 34 Misc 3d 914; Matter of Kelley v McGee, 57 NY2d 522; Spota v County of Suffolk, 2012 NY Slip Op 32473[U]; Carey v Oswego County Legislature, 91 AD2d 62, 59 NY2d 847; Baez v Hennessy, 853 F2d 73; Matter of Schumer v Holtzman, 60 NY2d 46; Matter of Johnson v Pataki, 91 NY2d 214; Matter of Roth v Cuevas, 158 Misc 2d 238; People ex rel. Town of Pelham v Village of Pelham, 215 NY 374.)

OPINION OF THE COURT

Per Curiam.

At issue in this appeal is the validity of Suffolk County's term limit law pertaining to the office of district attorney. Petitioners allege that, as a consequence of such local law, respondent District Attorney Thomas J. Spota III is ineligible to hold the office he seeks. We conclude that the County is without the power to regulate the number of terms the district attorney may serve, and therefore we affirm the order finding the designating petitions valid.

The Suffolk County Legislature imposed term limits on county officials, including the district attorney (*see* Local Law No. 27-1993 of the County of Suffolk). After approval by public referendum, the measure was added to the Suffolk County Charter, which specifies that “[n]o person shall serve as District Attorney for more than 12 consecutive years” (art XIX, § C19-1 [B]). Respondent, who was elected district attorney in 2001, will have served three full four-year terms (or 12 consecutive years) as of December 31, 2013. Spota, however, has been designated as a candidate in the upcoming primary election for the Democratic, Republican, Independence and Conservative Parties.

Petitioner Raymond G. Perini is a candidate for district attorney in the Republican Party primary. Petitioners-objectors

are registered voters who filed objections to respondent's designating petitions with the Suffolk County Board of Elections. They commenced this special proceeding seeking to invalidate the designating petitions. Supreme Court denied the petition and dismissed the proceeding.

The Appellate Division affirmed, finding that the authority to enact a restriction on the number of consecutive years a person can serve as district attorney rests with the State, rather than the County (*see* 109 AD3d 564 [2d Dept 2013]). Two Justices dissented and would have reversed and granted the petition to invalidate the designating petitions. The dissent would have found that the State has neither expressly nor impliedly preempted the issue of the number of consecutive terms that could be served by an individual district attorney and that the County was therefore free to legislate the matter. Petitioners appeal as of right, pursuant to CPLR 5601 (a).

The State Constitution requires that “[i]n each county a district attorney shall be chosen by the electors once in every three or four years as the legislature shall direct” (NY Const, art XIII, § 13 [a]). For counties outside of New York City, the state legislature has determined that the term of office shall be four years (*see* County Law § 400 [1-a]; *Matter of Enders v Rossi*, 45 AD2d 447, 449 [4th Dept 1974], *affd* 34 NY2d 966 [1974] [“We find no indication of any intent in the Constitution or in the legislative action thereunder to permit local county governments to establish disparate, unbridled terms in the office() of . . . district attorney”]). In addition, a district attorney is subject to removal from office, not by county officials, but by the Governor (*see* NY Const, art XIII, § 13 [b]). The Governor is likewise vested with the authority to fill a vacancy existing in that office (*see Carey v Oswego County Legislature*, 91 AD2d 62 [3d Dept 1983], *affd* 59 NY2d 847 [1983]).

We have therefore recognized that “a [d]istrict [a]ttorney is a constitutional officer chosen by the electors of a county” (*Matter of Soares v Herrick*, 20 NY3d 139, 144 [2012] [internal quotation marks and citations omitted]). In other words, although the district attorney may be an officer serving a county, the office and its holder clearly implicate state concerns (*see Matter of Kelley v McGee*, 57 NY2d 522 [1982]). For example, there is a strong state interest in establishing adequate salaries for district attorneys, as the representatives of the People of the State of New York responsible for enforcing the Penal Law at the local level (*see Kelley*, 57 NY2d at 539-540).

Existing law further illustrates the necessity of statewide uniformity of qualifications for district attorneys. An individual must be at least 18 years old, a resident of the county and a citizen of the United States (*see* Public Officers Law § 3 [1]). We have also mandated that a district attorney must be an attorney admitted to practice in order to properly fulfill the duties of the office and that a county may not alter that prerequisite even in the face of major practical obstacles (*see Matter of Curry v Hosley*, 86 NY2d 470, 475 [1995] [“The possible practical difficulties that might ensue given the few admitted lawyers in Hamilton County cannot override the important legal principle, *applicable throughout the State*, that the nature of the District Attorney’s duties and responsibilities to the public require the officeholder to be an attorney”]). The office of district attorney is plainly subject to comprehensive regulation by state law, leaving the counties without authority to legislate in that respect. In this light, we view the limitation on the length of time a district attorney can hold office to be an improper imposition of an additional qualification for the position (*see generally U.S. Term Limits, Inc. v Thornton*, 514 US 779 [1995]).

Permitting county legislators to impose term limits on the office of district attorney would have the potential to impair the independence of that office because it would empower a local legislative body to effectively end the tenure of an incumbent district attorney whose investigatory or prosecutorial actions were unpopular or contrary to the interests of county legislators. The state has a fundamental and overriding interest in ensuring the integrity and independence of the office of district attorney.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

SMITH, J. (dissenting). I dissent, because I see nothing in the State Constitution or any state statute that prevents Suffolk County from imposing a limit on the number of consecutive years that a district attorney may serve. On the contrary, article IX, § 2 (c) (ii) (1) of the Constitution and Municipal Home Rule Law § 10 (1) (ii) (a) (1) empower local governments to adopt local laws relating to the “qualifications” and “terms of office” of their “officers and employees,” in the absence of inconsistent state legislation, and no state legislation that is inconsistent with Suffolk County Local Law No. 27-1993 exists.

It is irrelevant that, as the majority notes, a district attorney

is “a constitutional officer” as well as a county officer and that the office of district attorney is a subject of statewide concern (majority op at 552). These premises lead, at most, to the conclusion that the state has the power to prohibit the limitation of district attorneys’ terms (*see Matter of Kelley v McGee*, 57 NY2d 522 [1982])—a proposition petitioners do not contest. The issue is whether the state has exercised that power; the majority cites no statute in which it has done so. Nor can it fairly be said that there is a “*necessity* of statewide uniformity” on this issue (majority op at 553 [emphasis added]). No calamity will occur if some counties have term limits for district attorneys and others do not. Perhaps statewide uniformity is desirable, but that is for the state legislature, not this Court, to decide.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur; Judge SMITH dissents in an opinion.

Order affirmed, without costs.

[997 NE2d 1232, 975 NYS2d 380]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v EDDIE
THOMPSON, JR., Appellant.

Argued September 3, 2013; decided October 10, 2013

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 23, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Ulster County (Richard E. Sise, J.; *see* 25 Misc 3d 1241[A], 2009 NY Slip Op 52542[U] [2009]), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

People v Thompson, 92 AD3d 1139, affirmed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation — Single Error — Use of Peremptory Challenges

1. In a murder prosecution, defense counsel's decision not to use a peremptory challenge against a prospective juror, who volunteered that he had been "a friend" of the prosecuting attorney "for forty plus years," after the trial court had denied counsel's for-cause challenge to that panelist, did not amount to ineffective assistance of counsel notwithstanding the possibility that the juror would be biased in the prosecution's favor. While defense counsel's decision to refrain from challenging an old friend of the prosecutor's was an unconventional, perhaps risky choice, counsel may have liked the prospective juror's demeanor, or may have believed that his relationship with the prosecutor would make him bend over backwards to be fair. Lawyers selecting juries are not ineffective because they make unconventional choices or play hunches. Moreover, an ineffective assistance claim cannot succeed without a showing that the fairness of the trial was impaired and the record provided no basis for concluding that the juror's presence prejudiced defendant.

Crimes — Right to Counsel — Effective Representation — Single Error — Use of Peremptory Challenges

2. In a murder prosecution, defense counsel's decision not to use a peremptory challenge against a prospective juror, who volunteered that he had been "a friend" of the prosecuting attorney "for forty plus years," after the trial court had denied counsel's for-cause challenge to that panelist, did not amount to ineffective assistance of counsel although by not using an available peremptory challenge to excuse the prospective juror, counsel failed to preserve for appeal any claim that the court erred in rejecting the for-cause challenge (*see* CPL 270.20 [2]). While the trial court's decision to deny the challenge for cause may have been error, counsel's failure to preserve the issue was not the sort of egregious and prejudicial single error that amounted to a deprivation of defendant's constitutional right to counsel. The issue of the for-cause challenge was not clear-cut and completely dispositive. Although the prospective

juror and the prosecutor had a long relationship that the prospective juror described as a friendship, how intimate they were or how often they socialized was unknown, and they did not have a professional relationship as well as a personal one. While defense counsel's decision not to use a peremptory challenge on the prospective juror was questionable, it cannot be said that it rendered his representation of defendant as a whole ineffective.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 575; AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Jury §§ 200–202, 206, 268.

CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:252, 184:287; CARMODY-WAIT 2d, Jury Selection and Supervision §§ 191:48, 191:51; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:27, 207:28.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.10, 22.3.

NY JUR 2d, Criminal Law: Procedure §§ 864–870, 901.

ANNOTATION REFERENCE

Adequacy of defense counsel's representation of criminal client regarding right to and incidents of jury trial. 3 ALR4th 601.

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Database: NY-ORCS

Query: ineffective /5 counsel /s fail! /s peremptory

POINTS OF COUNSEL

Jack H. Weiner, Chatham, for appellant. I. The courts below erroneously rejected defendant's counsel's objection to the jury panel on the grounds that the panel did not reflect the racial diversity of Ulster County. (*People v Pettway*, 58 AD3d 944.) II. The trial court committed reversible error when the court denied the challenge for cause of potential Juror Farrell and juror No. 3, William Peters. (*People v Furey*, 18 NY3d 284; *People v Provenzano*, 50 NY2d 420; *People v Scott*, 16 NY3d 589; *People v Branch*, 46 NY2d 645; *People v Blyden*, 55 NY2d 73; *People v Lynch*, 95 NY2d 243; *People v Brown*, 61 AD3d 1427; *People v Turner*, 5 NY3d 476.) III. Community hostility prevented defendant from obtaining a fair trial. (*United States v Lord*, 565 F2d 831; *United States v Richardson*, 651 F2d 1251.) IV. The refusal of the court to recharge the jury on reasonable doubt—while

the jurors were distracted by the cell phone and text messaging of juror No. 2—is a violation of defendant’s right to a fair trial. V. There is no evidence in the record that Thompson intended to cause serious physical injury to Ms. Johnson. (*People v Carroll*, 95 NY2d 375; *People v Cahill*, 2 NY3d 14.) VI. The failure of the prosecution to disclose the grand jury testimony of the ballistics expert and the change of testimony by the forensic expert in the midst of trial caused undue prejudice to Thompson in violation of article 240 of the Criminal Procedure Law. (*People v Copicotto*, 50 NY2d 222; *People v DaGata*, 86 NY2d 40; *People v Delaney*, 125 Misc 2d 928; *People v Lewis*, 262 AD2d 584; *People v Eldridge*, 222 AD2d 1109; *People v Singh*, 13 Misc 3d 1225[A], 2006 NY Slip Op 51988[U]; *People v Jorgensen*, 26 Misc 3d 1232[A], 2010 NY Slip Op 50348[U]; *People v Di Napoli*, 27 NY2d 229; *People v Montelbano*, 232 AD2d 255; *People v Santana*, 80 NY2d 92.) VII. Defendant’s sentence was unduly harsh, and this Court should reduce it in the interests of justice.

D. Holley Carnright, District Attorney, Kingston (*Joan Gudesblatt Lamb* of counsel), for respondent. I. Defendant waived his challenge to the composition of the jury panel by failing to make a motion in writing prior to the commencement of jury selection and, as such, this claim is unpreserved for appellate review. (*People v Parks*, 41 NY2d 36; *People v Consolazio*, 40 NY2d 446; *People v Prim*, 40 NY2d 946; *People v Pettway*, 58 AD3d 944; *People v Williams*, 45 AD3d 905; *People v Pressley*, 234 AD2d 954; *People v Adams*, 179 AD2d 764; *Duren v Missouri*, 439 US 357; *People v Guzman*, 60 NY2d 403, 466 US 951; *People v Gilchrist*, 98 AD3d 1232.) II. The trial court did not abuse its discretion as a matter of law when it denied defendant’s challenge for cause to prospective Juror Farrell and to juror No. 3, William Peters. (*People v Furey*, 18 NY3d 284; *People v Branch*, 46 NY2d 645; *People v Rentz*, 67 NY2d 829; *People v Clark*, 125 AD2d 868; *People v Scott*, 16 NY3d 589; *People v Smith*, 52 AD3d 847; *People v Provenzano*, 50 NY2d 420; *People v Colon*, 71 NY2d 410, 487 US 1239; *People v Molano*, 70 AD3d 1172, 15 NY3d 776; *People v Duffy*, 124 AD2d 258.) III. Defendant was not deprived of a fair trial as a result of a juror’s disclosure that she saw a domestic violence poster containing the victim’s name and date of death while the trial was ongoing, as the court took adequate steps to insure that the juror was not grossly unqualified to serve. (*People v Hicks*, 6 NY3d 737; *People v Torres*, 80 NY2d 944; *People v Kelly*, 5 NY3d 116; *People v Nettles*, 88 AD3d 492, 18 NY3d 861; *People v Johnson*, 83 AD3d 1094, 17 NY3d 818; *People v Cecunjanin*, 67 AD3d 1072, 16 NY3d 480; *People v Genovese*, 10 NY2d 478; *People v Rodriguez*, 71 NY2d 214;

People v Guy, 93 AD3d 877, 19 NY3d 961; *People v Elias*, 90 AD3d 947, 18 NY3d 923.) IV. The trial court did not err by refusing to reread the entire reasonable doubt charge to the jury, which was briefly interrupted when a juror's cell phone rang. (*People v Heide*, 84 NY2d 943; *People v Tardbania*, 72 NY2d 852; *People v Medina*, 53 NY2d 951; *People v Santiago*, 52 NY2d 865; *People v Davis*, 58 NY2d 1102; *People v Williams*, 46 NY2d 1070; *People v Craig*, 293 AD2d 351; *People v King*, 277 AD2d 708.) V. Defendant's contention that his manslaughter in the first degree conviction was based upon legally insufficient evidence is unpreserved for appellate review and beyond the review power of the Court of Appeals. His claim that the verdict was against the weight of the evidence is also beyond this Court's power of review. (*People v Payne*, 3 NY3d 266; *People v Hawkins*, 11 NY3d 484; *People v Parker*, 29 AD3d 1161; 7 NY3d 907; *People v Finger*, 95 NY2d 894; *People v Bynum*, 70 NY2d 858; *People v Stahl*, 53 NY2d 1048; *People v Cona*, 49 NY2d 26; *People v Gray*, 86 NY2d 10; *People v Carncross*, 14 NY3d 319; *People v Hines*, 97 NY2d 56.) VI. As the Appellate Division properly determined, Supreme Court did not err by refusing to compel pretrial disclosure of the grand jury testimony of the People's ballistics expert, and defendant's challenge to the testimony of the People's forensic pathologist is unpreserved for appellate review as a matter of law given his failure to object to the pathologist's testimony concerning the abrasions on the victim's left temple. (*People v Delaney*, 125 Misc 2d 928; *People v Rosario*, 9 NY2d 286; *Matter of Miller v Schwartz*, 72 NY2d 869; *People v DaGata*, 86 NY2d 40; *People v Copicotto*, 50 NY2d 222; *Matter of Constantine v Leto*, 157 AD2d 376, 77 NY2d 975; *People v Colavito*, 87 NY2d 423; *Matter of Briggs v Halloran*, 12 AD3d 1016; *Matter of Sacket v Bartlett*, 241 AD2d 97; *People v Montelbano*, 232 AD2d 255, 89 NY2d 944.) VII. Defendant's claim that Supreme Court's imposition of a determinate 25-year sentence following his conviction of manslaughter in the first degree was unduly harsh and excessive and should be reduced in the interest of justice is beyond the review powers of this Court. (*People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Payne*, 3 NY3d 266; *People v Discala*, 45 NY2d 38; *People v Rytel*, 284 NY 242; *People v Gittelson*, 18 NY2d 427.)

OPINION OF THE COURT

SMITH, J.

We hold that a failure to exercise a peremptory challenge against a juror who was a longtime friend of the prosecuting attorney did not amount to ineffective assistance of counsel.

Defendant was charged with murder for shooting his girlfriend. The District Attorney of Ulster County tried the case personally. During voir dire, a prospective juror, whom we will call William Peters, volunteered that he had been “a friend” of the District Attorney “for forty plus years.” In response to the court’s question, Peters said that the relationship would not in any way affect his “ability to be a fair and impartial juror.” Later, Peters disclosed that he was on a first-name basis with the District Attorney, knew his wife and socialized with him “[o]ccasionally.” In response to a question from defense counsel, he also said of the District Attorney: “I’ve known him to be wrong before.”

Defense counsel challenged Peters for cause. The trial court denied the challenge, and the defense lawyer, though he had peremptory challenges available, chose not to use one on this panelist. Peters was selected for, and sat on, the jury, which acquitted defendant of second degree murder but convicted him of the lesser included offense of manslaughter. The Appellate Division affirmed (*People v Thompson*, 92 AD3d 1139 [3d Dept 2012]), and a Judge of this Court granted leave to appeal (19 NY3d 977 [2012]). We now affirm.

While defendant raises many arguments on appeal, we think that the only one requiring discussion is that his trial counsel was ineffective for failing to use a peremptory challenge to remove Peters from the jury. Defendant criticizes some of defense counsel’s other decisions, but we find those criticisms to be ill-founded. Counsel’s overall performance at trial was competent. Indeed, considering the evidence in the case—the victim had two bullet wounds, and defendant’s claim that he shot her accidentally was contradicted both by eyewitness testimony and by forensic evidence—a verdict of manslaughter, rather than murder, seems something of an achievement.

Thus, defendant can prevail on his ineffective assistance claim only by showing that this is one of those very rare cases in which a single error by otherwise competent counsel was so serious that it deprived defendant of his constitutional right (see *People v Turner*, 5 NY3d 476, 478 [2005]). We held in *Turner* that this had occurred where a lawyer overlooked “a defense as clear-cut and completely dispositive as a statute of limitations” (*id.* at 481). The mistake that defendant accuses defense counsel of making here was not of that magnitude.

It could be argued that counsel's decision not to use a peremptory challenge on Peters was a mistake for two reasons: because Peters, as a juror, would be biased in the prosecution's favor; and because, by not using a peremptory challenge to excuse him, counsel failed to preserve for appeal any claim that the court erred in rejecting the for-cause challenge. We consider those arguments separately.

[1] The first argument is a weak one, because defense counsel may reasonably have thought Peters an acceptable juror from the defense point of view. Defense counsel may have liked Peters's demeanor, or may have believed that his relationship with the prosecutor would make him bend over backwards to be fair. Of course, to refrain from challenging an old friend of the prosecutor's was an unconventional, perhaps risky choice—defense counsel clearly knew that, for he mused aloud after making the decision “I should have my head examined”—but lawyers selecting juries are not ineffective because they make unconventional choices or play hunches. And, in any event, an ineffective assistance claim cannot succeed without a showing that the fairness of the trial was impaired (*People v Stultz*, 2 NY3d 277, 283-284 [2004]; *People v Benevento*, 91 NY2d 708, 713 [1998]). The record here provides no basis for concluding that Peters's presence on the jury prejudiced defendant (see *People v Turck*, 305 AD2d 1072, 1073 [4th Dept 2003]; *People v Driscoll*, 251 AD2d 759, 761 [3d Dept 1998]; *People v Thomas*, 244 AD2d 271 [1st Dept 1997]).

The second argument—that counsel erred by failing to preserve the issue of the for-cause challenge for appeal—gives us somewhat more pause. The trial court's decision to deny the challenge for cause may have been error (see *People v Branch*, 46 NY2d 645 [1979] [error to deny challenge to a prospective juror who had both a professional and personal relationship with the prosecutor]). Counsel's choice not to exercise a peremptory challenge deprived defendant of the opportunity to make that argument on appeal; under CPL 270.20 (2), where a defendant has not exhausted his peremptory challenges, a denial of a challenge for cause “does not constitute reversible error unless the defendant . . . peremptorily challenges such prospective juror.” Considering the poor odds of acquittal that defendant was facing, it is hard to see how keeping a particular juror—no matter how strong defense counsel's hunch that he would be favorable—could justify the loss of a significant appellate argument.

[2] We conclude, however, that counsel’s mistake, if it was one, was not the sort of “egregious and prejudicial” error that amounts to a deprivation of the constitutional right to counsel (*People v Caban*, 5 NY3d 143, 152 [2005]). The issue of the for-cause challenge was not, in the words of *Turner*, “clear-cut and completely dispositive.” The record shows that Peters and the prosecutor had a long relationship that Peters described as a friendship, but we do not know how intimate they were or how often they socialized. Peters did not, as the prospective juror in *Branch* did, have a professional relationship with the prosecutor as well as a personal one. Unquestionably, it would have been wiser for the trial judge to excuse Peters—thus, at worst, replacing one impartial juror with another (see *Branch*, 46 NY2d at 651; *People v Scott*, 16 NY3d 589, 595 [2011]; *People v Blyden*, 55 NY2d 73, 78 [1982]). But whether the court committed reversible error is debatable. While defense counsel’s decision not to use a peremptory challenge on Peters was questionable, we cannot say that it rendered his representation of defendant as a whole ineffective.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[998 NE2d 1045, 976 NYS2d 421]

JOSE A. SOTO, Appellant, v J. CREW INC. et al., Respondents.

Argued September 11, 2013; decided October 10, 2013

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 29, 2012. The Appellate Division affirmed an order of the Supreme Court, New York County (Jane S. Solomon, J.; op 2011 NY Slip Op 32518[U] [2011]), which had granted defendants' motions for summary judgment dismissing the complaint and denied plaintiff's cross motion for summary judgment on the issue of liability on his Labor Law § 240 (1) cause of action. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Supreme Court, properly made?"

Soto v J. Crew Inc., 95 AD3d 721, affirmed.

HEADNOTE**Labor — Safe Place to Work — Elevation-Related Hazard —
"Cleaning" as Protected Activity**

Plaintiff, an employee of a commercial cleaning company hired to provide daily custodial services at a retail store, who was injured when he fell from a four-foot-tall ladder while dusting a six-foot-high display shelf, was not engaged in "cleaning" within the meaning of Labor Law § 240 (1). Section 240 (1) imposes absolute liability on owners and contractors when a worker is injured as a direct consequence of the failure to provide safety devices for work involving elevation-related risks in "the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure." An activity cannot be characterized as "cleaning" under the statute if the task is (1) routine, i.e., occurring on a daily, weekly or other recurring basis as part of the ordinary maintenance and care of commercial premises, (2) requires neither specialized equipment or expertise, nor the unusual deployment of labor, (3) generally involves insignificant elevation risks comparable to those in typical household cleaning, and (4) is unrelated to any ongoing construction, renovation, painting, alteration or repair project. The presence or absence of any one factor is not dispositive if, viewed in totality, the remaining considerations militate in favor of placing the task in one category or another. Here, the dusting of a six-foot-high display shelf is the type of routine maintenance that occurs frequently in a retail store. It did not require specialized equipment or knowledge and could be accomplished by a single custodial worker using tools typically found in a domestic setting. Further, the elevation-related risks involved were comparable to those encountered by homeowners during ordinary household cleaning and the task was unrelated to a construction, renovation, painting, alteration or repair project.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 248, 269.
McKINNEY'S, Labor Law § 240 (1).
NY JUR 2d, Employment Relations §§ 286–288, 296.

ANNOTATION REFERENCE

See ALR Index under Janitors and Caretakers; Labor and Employment; Ladders; Occupational Safety and Health.

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POINTS OF COUNSEL

Profeta & Eisenstein, New York City (*Fred R. Profeta, Jr.*, of counsel), for appellant. I. The Appellate Division erred in concluding that this Court's decision in *Dahar v Holland Ladder & Mfg. Co.* (18 NY3d 521 [2012]) precluded Labor Law § 240 (1) coverage of "routine maintenance" cleaning. (*Broggy v Rockefeller Group, Inc.*, 8 NY3d 675; *Buendia v New York Natl. Bank*, 223 AD2d 456, 91 NY2d 812; *Diaz v Applied Digital Data Sys.*, 300 AD2d 533; *Swiderska v New York Univ.*, 10 NY3d 792; *Cruz v Bridge Harbor Hgts. Assoc.*, 249 AD2d 44; *Retamal v Osborne Mem. Home Assn.*, 256 AD2d 506; *Fox v Brozman-Archer Realty Servs.*, 266 AD2d 97; *Bauer v Female Academy of Sacred Heart*, 97 NY2d 445; *Ojeda v Peak Janitorial Servs.*, 270 AD2d 322; *Aviles v Crystal Mgt.*, 233 AD2d 129.) II. If the Appellate Division disqualified plaintiff from coverage because he was not cleaning windows, then the Court misread the holding in *Dahar v Holland Ladder & Mfg. Co.* (18 NY3d 521 [2012]). (*Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Robinson Motor Xpress, Inc. v HSBC Bank, USA*, 37 AD3d 117; *Vasey v Pyramid Co. of Buffalo*, 258 AD2d 906; *Kapovic v 450 Lexington Venture*, 280 AD2d 321; *Roldan v Molyneux*, 227 AD2d 240; *Chapman v International Bus. Machs. Corp.*, 253 AD2d 123; *Cabri v ICOS Corp. of Am.*, 240 AD2d 456; *Ekere v Airmont Indus. Park*, 249 AD2d 104; *Parraguirre v 27th St. Holding, LLC*, 71 AD3d 594; *Vernum v Zilka*, 241 AD2d 885.) III. This Court's decision in *Dahar v Holland Ladder & Mfg. Co.* (18 NY3d 521 [2012]) has created confusion in the Appellate Division, and the instant case should be utilized as a vehicle to eliminate that confusion. (*Grant v Steve Mark, Inc.*, 96 AD3d 614.)

Mauro Lilling Naparty LLP, Woodbury (Anthony F. DeStefano and Caryn L. Lilling of counsel), for respondents. I. Routine custodial maintenance is not a type of “cleaning” protected by the “scaffold” law. (*Grant v Steve Mark, Inc.*, 96 AD3d 614; *Dahar v Holland Ladder & Mfg. Co.*, 18 NY3d 521; *Broggy v Rockefeller Group, Inc.*, 8 NY3d 675; *Prats v Port Auth. of N.Y. & N.J.*, 100 NY2d 878; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Swiderska v New York Univ.*, 10 NY3d 792; *Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Smith v Shell Oil Co.*, 85 NY2d 1000; *Izrailev v Ficarra Furniture of Long Is.*, 70 NY2d 813.) II. This Court did not wholesale overrule *Broggy v Rockefeller Group, Inc.* (8 NY3d 675 [2007]) but merely reminded litigants that its holding is limited to commercial window cleaning. (*Brown v Christopher St. Owners Corp.*, 87 NY2d 938; *Dahar v Holland Ladder & Mfg. Co.*, 18 NY3d 521.)

OPINION OF THE COURT

GRAFFEO, J.

Plaintiff, an employee of a commercial cleaning company hired to provide janitorial services for a retail store, was injured when he fell from a four-foot-tall ladder while dusting a six-foot-high display shelf. He brought a Labor Law § 240 (1) action against J. Crew, the retail store, and The Mercer I L.L.C., the building owner. Both lower courts held that defendants were entitled to summary judgment because the activity plaintiff was engaged in at the time of his fall was not the type of “cleaning” covered by Labor Law § 240 (1). Because we agree, we now affirm.

Defendant J. Crew hired Whelan Cleaning Services to provide custodial services at a retail store located in Lower Manhattan. Whelan assigned plaintiff Jose Soto responsibility for daily maintenance of the store. Each day, Soto would report for work several hours before the establishment opened to ready the premises for business, vacuuming, mopping, cleaning bathrooms, emptying garbage and the like. After the store opened, and for the remainder of his shift, he did spot cleaning, tidying shelves, dusting, wiping down the entrance door, sweeping up debris and scraping gum from the floor, as necessary.

On the day of the incident, a J. Crew employee noticed that a six-foot-high wooden shelf used to display clothing was dusty and she asked Soto to clean it. Equipped with a “high duster” (a Swiffer duster with a long handle), Soto—who is five feet, 10 inches tall—positioned a four-foot-high A-frame ladder on the

floor in front of the shelf. It is undisputed that the ladder was in proper working order and that Soto locked it in the open position prior to climbing the steps. As he was dusting the shelf, however, both Soto and the ladder fell over, allegedly causing Soto to injure his back, knee and elbow.

Soto commenced this personal injury action against J. Crew and the building owner seeking recovery under Labor Law § 240 (1), among other theories. After discovery, defendants moved for summary judgment, asserting that Soto's cleaning activities constituted "routine maintenance" and not the type of cleaning protected by the statute. They further contended that, even if Soto had been engaged in a covered activity, he failed to establish that he was necessarily exposed to an elevation-related risk or that the ladder was defective or inappropriate to the assigned task. Alternatively, defendants noted that Soto was an insulin-dependent diabetic with other health conditions that might have contributed to the fall and that further discovery was warranted to ascertain the extent to which the fall could be attributed to his medical conditions.

Soto opposed the motions and cross-moved for partial summary judgment on liability on the Labor Law § 240 (1) claim. He argued that the statute applied because he was engaged in "cleaning" and was required to dust a shelf at an elevated level, contending that all commercial cleaning is covered by the statute. He also submitted the affidavit of an engineer who opined that Soto was not provided with proper protection for his elevated work because the ladder was not secured in some manner, such as being held by another store employee.

Supreme Court denied Soto's cross motion and granted summary judgment to defendants dismissing the Labor Law § 240 (1) claim, reasoning that the statute does not apply to workers employed on a daily basis to conduct routine commercial cleaning, such as the dusting, sweeping, mopping and general tidying at issue here (2011 NY Slip Op 32518[U] [2011]). The Appellate Division unanimously affirmed in two separate writings (95 AD3d 721 [1st Dept 2012]). In a memorandum, the majority held that "[t]he dusting of the shelf constituted routine maintenance and was not the type of activity that is protected under the statute" (*id.* at 721). The concurrence agreed that dismissal of the claim was required on constraint of this Court's then-recent decision in *Dahar v Holland Ladder & Mfg. Co.* (18 NY3d 521 [2012]), which denied recovery to a manufacturing-plant employee injured while cleaning a large wall module at the

conclusion of the manufacturing process. The Appellate Division granted Soto leave to appeal to this Court (2012 NY Slip Op 85967[U] [2012]).

Labor Law § 240 (1) imposes a nondelegable duty and absolute liability upon owners and contractors for failing to provide safety devices necessary for workers subjected to elevation-related risks in circumstances specified by the statute (*see Roco-vich v Consolidated Edison Co.*, 78 NY2d 509, 513 [1991]). To recover, the plaintiff must have been engaged in a covered activity—“the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure” (Labor Law § 240 [1]; *see Panek v County of Albany*, 99 NY2d 452, 457 [2003])—and must have suffered an injury as “the direct consequence of a failure to provide adequate protection against a risk arising from a physically significant elevation differential” (*Runner v New York Stock Exch., Inc.*, 13 NY3d 599, 603 [2009]). The threshold issue presented in this appeal concerns the first question—whether Soto was engaged in “cleaning” within the meaning of the statute.

Prior to our 2007 decision in *Broggy v Rockefeller Group, Inc.* (8 NY3d 675 [2007]), there were several appellate decisions holding that cleaning activities were covered under the statute only if they were performed in connection with building construction, demolition, repair work or comparable activities that made a significant physical change to the premises. This conclusion was understandable given that the primary legislative concern underlying Labor Law § 240 (1) was the protection of construction workers who often face significant elevation-related dangers on a work site, even when engaged in a task that would not be particularly hazardous if performed in a different context. We nonetheless rejected that view in *Broggy*, noting that “cleaning” is separately listed as a covered activity and had been “expressly afforded protection under section 240 (1) whether or not incidental to any other enumerated activity” (*id.* at 680). There, plaintiff had been tasked with cleaning the 9- or 10-foot-tall interior windows of a commercial building. Noting that we had previously held that cleaning the exterior of the windows of a commercial or public building is a covered activity (*see Bauer v Female Academy of Sacred Heart*, 97 NY2d 445 [2002]), we saw no basis to distinguish the cleaning of interior windows for Labor Law § 240 (1) purposes. Viewing the statute in the context of the larger legislative scheme, it would have been anomalous for the legislature to categorically exclude

commercial window washers given the elevation-related risks they typically encounter and the special protection they have long enjoyed under the Labor Law (*see* Labor Law § 202 [imposing a duty to “provide . . . safe means for the cleaning of the windows and of exterior surfaces” of public buildings]).

We went on to hold in *Broggy* that the complaint had properly been dismissed because plaintiff failed to surmount the second Labor Law § 240 (1) hurdle that required proof in admissible form that the task he had been assigned necessarily created “an elevation-related risk of the kind that the safety devices listed in section 240 (1) protect against” (*id.* at 681). Although plaintiff had fallen from a desk that he stood on while engaged in the assigned job, there was no indication in the record that the tools he had been supplied (a squeegee and a wand) were not long enough to permit him to wash the windows while standing on the floor. He therefore failed to establish that it was necessary for him to work at an elevated level to complete the task.

In *Swiderska v New York Univ.* (10 NY3d 792 [2008]), another window washing case, we applied the analysis in *Broggy* to determine that a plaintiff injured when she fell off a bed that she had climbed on to clean the interior windows of a dormitory as part of a commercial cleaning project was engaged in an activity covered by Labor Law § 240 (1). In contrast to *Broggy*, there plaintiff had been equipped with only cleaning solution and a rag to clean 10-foot-high windows, “which required her to climb upon pieces of furniture in order to complete her work—creating an elevation-related risk—and she was not provided a ladder, scaffold or other safety device” (*Swiderska*, 10 NY3d at 793).

These commercial window washing cases formed the backdrop for our decision in *Dahar* (18 NY3d 521) where a manufacturing plant employee was injured when he fell from a ladder while cleaning oil and welding residue from a custom fabricated wall module at the completion of the manufacturing process. Defendants in that case argued, among other defenses, that this type of cleaning was not covered by Labor Law § 240 (1). We agreed, emphasizing that the statute had never been extended so far and that inclusion of this activity within its scope would greatly expand its reach. In dicta, we commented that, if given the broad reading urged by plaintiff, the statute would encompass virtually every kind of cleaning task, including every bookstore employee who climbs a ladder to dust off a bookshelf or every maintenance worker who climbs to a height to clean a light fixture—results never intended by the legislature.

This case presents a scenario analogous to the bookstore example cited in *Dahar* and, consistent with our analysis in that case, we conclude that plaintiff was not engaged in a covered activity. Although commercial window washing constitutes “cleaning” within the ambit of Labor Law § 240 (1) for the reasons explained above, we have nonetheless clarified that “routine, household window washing” does not (*see Brown v Christopher St. Owners Corp.*, 87 NY2d 938, 939 [1996]; *Connors v Boorstein*, 4 NY2d 172 [1958]). Routine maintenance of that type has been deemed excluded from the statute in recognition of the fact that such a task generally does not involve the type of heightened elevation-related risks that justify extension of the provision’s special protection.

To be sure, the term “cleaning” is not confined merely to commercial window washing—our courts have reasonably applied Labor Law § 240 (1) to other types of cleaning projects that present hazards comparable in kind and degree to those presented on a construction site (*see e.g. Vasey v Pyramid Co. of Buffalo*, 258 AD2d 906 [4th Dept 1999] [cleaning of 35- and 40-foot-high miniledges and bulkheads in Galleria Mall as part of large-scale cleaning project was a covered activity]; *Fox v Brozman-Archer Realty Servs.*, 266 AD2d 97 [1st Dept 1999] [power washing of plexiglass canopy of building in furtherance of contract to clean exterior of entire structure was a covered activity]; *see generally Gordon v Eastern Ry. Supply*, 82 NY2d 555 [1993] [use of sandblaster to clean exterior of railroad car]). But we reject plaintiff’s argument that the legislature intended to cover all cleaning that occurs in a commercial setting, no matter how mundane.

Outside the sphere of commercial window washing (which we have already determined to be covered), an activity cannot be characterized as “cleaning” under the statute, if the task: (1) is routine, in the sense that it is the type of job that occurs on a daily, weekly or other relatively-frequent and recurring basis as part of the ordinary maintenance and care of commercial premises; (2) requires neither specialized equipment or expertise, nor the unusual deployment of labor; (3) generally involves insignificant elevation risks comparable to those inherent in typical domestic or household cleaning; and (4) in light of the core purpose of Labor Law § 240 (1) to protect construction workers, is unrelated to any ongoing construction, renovation, painting, alteration or repair project. Whether the activity is “cleaning” is an issue for the court to decide after reviewing all

of the factors. The presence or absence of any one is not necessarily dispositive if, viewed in totality, the remaining considerations militate in favor of placing the task in one category or the other.

Applying these factors here, the activity undertaken by Soto was not “cleaning” within the meaning of Labor Law § 240 (1). The dusting of a six-foot-high display shelf is the type of routine maintenance that occurs frequently in a retail store. It did not require specialized equipment or knowledge and could be accomplished by a single custodial worker using tools commonly found in a domestic setting. Further, the elevation-related risks involved were comparable to those encountered by homeowners during ordinary household cleaning and the task was unrelated to a construction, renovation, painting, alteration or repair project. Because plaintiff was not engaged in an activity that fell within the purview of Labor Law § 240 (1), we need not address whether he offered sufficient evidence that he was injured as a consequence of “a failure to provide adequate protection against a risk arising from a physically significant elevation differential” under our analysis in *Runner*. Defendants were therefore entitled to summary judgment dismissing the Labor Law § 240 (1) claim, as both lower courts concluded.

Accordingly, the order of the Appellate Division should be affirmed, with costs. The certified question should not be answered upon the ground that it is unnecessary.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed, with costs, and certified question not answered upon the ground that it is unnecessary.

[999 NE2d 510, 977 NYS2d 147]

BRIGHTONIAN NURSING HOME et al., Respondents, v RICHARD F. DAINES, M.D., Commissioner of Health, State of New York, et al., Appellants.

Argued September 11, 2013; decided October 15, 2013

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Supreme Court, Monroe County (Thomas M. Van Strydonck, J.), entered July 19, 2012. The Supreme Court, pursuant to the parties' stipulation, awarded plaintiffs an amount of attorneys' fees to be paid by defendants. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 23, 2012. The Appellate Division had affirmed a judgment of that Supreme Court (Matthew A. Rosenbaum, J.), entered in a hybrid declaratory judgment action and CPLR article 78 proceeding, which (1) declared Public Health Law § 2808 (5) (c) unconstitutional, and (2) denied defendants' cross motion to dismiss the amended complaint and petition.

Brightonian Nursing Home v Daines, 93 AD3d 1355, reversed.

HEADNOTES

Constitutional Law — Validity of Statute — Restrictions on Equity Withdrawals and Asset Transfers by Nursing Homes — Substantive Due Process

1. Public Health Law § 2808 (5) (c), which prohibits the withdrawal or transfer of residential health care facility equity or assets in an aggregate amount exceeding three percent of the facility's most recently reported annual revenue from patient care services without the prior approval of the State Commissioner of Health, does not violate the substantive due process property interests of facility owners. Economic regulation will violate an individual's substantive due process property interest only in those situations where there is absolutely no reasonable relationship to be perceived between the regulation and the achievement of a legitimate governmental purpose. The regulation here is not so outrageously arbitrary as to constitute a gross abuse of governmental authority, and plaintiffs have not met their extraordinary burden of proving beyond a reasonable doubt that the challenged provision suffers wholesale constitutional impairment. The legislature's prescription of means, particularly in the arena of economic regulation, is entitled to judicial deference so long as those means are in a very broad sense reasonably related to the achievement of a permissible regulatory end. In employing the three percent threshold based on annual facility revenue, the legislature put in place a mechanism that would at once identify contemplated withdrawals sufficiently substantial to be of legitimate regulatory concern, and afford owners of facilities with positive net worth a measure of unregulated access to facility

assets and equity. Moreover, nursing homes are with ample historical and practical justification pervasively regulated and, in that context particularly, the additional regulatory increment cannot be viewed as a constitutionally untoward assault upon the private property interests of facility owners.

Constitutional Law — Validity of Statute — Restrictions on Equity Withdrawals and Asset Transfers by Nursing Homes — Separation of Powers

2. Public Health Law § 2808 (5) (c), which prohibits the withdrawal or transfer of residential health care facility equity or assets in an aggregate amount exceeding three percent of the facility's most recently reported annual revenue from patient care services without the prior approval of the State Commissioner of Health, does not unconstitutionally delegate legislative policy-making power to the Commissioner by the statute's use of the catch-all phrase "and such other factors as the commissioner deems appropriate." The enumerated criteria to be reviewed by the Commissioner in reviewing a withdrawal or transfer application tie the Commissioner's disposition of the application to the financial condition of the facility and its quality of care record. Those are highly pertinent and not excessively general criteria and the catch-all's immediately subsequent reference to "such other factors" does not authorize application dispositions based on criteria that are generically different.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 258, 259, 312, 316; AM
JUR 2d, Hospitals and Asylums § 13.
MCKINNEY'S, Public Health Law § 2808 (5) (c).
NY JUR 2d, Constitutional Law §§ 163, 169, 426–428; NY
JUR 2d, Hospitals and Related Health Care Facilities
§ 163.

ANNOTATION REFERENCE

Licensing and regulation of nursing or rest homes. 53
ALR4th 689.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Victor Paladino, Barbara D. Underwood and Andrew D. Bing of counsel), for appellants. I. Plaintiffs' challenge is a facial one and they failed to satisfy the stringent requirements for a facial challenge. (Matter of Moran Towing Corp. v Urbach, 99 NY2d 443.) II. Public Health Law § 2808 (5) (c) is a constitutional delegation of authority to the Commissioner of Health and is not void

for vagueness. (*Boreali v Axelrod*, 71 NY2d 1; *Matter of Levine v Whalen*, 39 NY2d 510; *Matter of Big Apple Food Vendors' Assn. v Street Vendor Review Panel*, 90 NY2d 402; *LaValle v Hayden*, 98 NY2d 155; *Miranda v Norstar Bldg. Corp.*, 79 AD3d 42; *Matter of Manhattan Pizza Hut v New York State Human Rights Appeal Bd.*, 51 NY2d 506; *People v Illardo*, 48 NY2d 408; *Circuit City Stores, Inc. v Adams*, 532 US 105; *Federal Maritime Comm'n v Seatrain Lines, Inc.*, 411 US 726; *Matter of Kaur v New York State Urban Dev. Corp.*, 15 NY3d 235.) III. The statute does not deprive plaintiffs of substantive due process. (*Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 71 NY2d 313; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *Ferran v Town of Nassau*, 471 F3d 363; *Concrete Pipe & Products of Cal., Inc. v Construction Laborers Pension Trust for Southern Cal.*, 508 US 602; *Usery v Turner Elkhorn Mining Co.*, 428 US 1; *Montgomery v Daniels*, 38 NY2d 41; *Pharmaceutical Mfrs. Assn. v Whalen*, 54 NY2d 486; *Louisville Gas & Elec. Co. v Coleman*, 277 US 32.)

Harter Secrest & Emery LLP, Rochester (Thomas G. Smith, F. Paul Greene and John P. Bringewatt of counsel), for respondents.

I. Public Health Law § 2808 (5) (c) violates substantive due process. (*Fenster v Leary*, 20 NY2d 309; *People v Bunis*, 9 NY2d 1; *Gannett Co. v City of Rochester*, 69 Misc 2d 619; *People v New York Carbonic Acid Gas Co.*, 196 NY 421; *People v Faxlanger*, 1 AD2d 92; *Brandeis School v Village of Lawrence*, 18 Misc 2d 550; *Matter of Wulfsohn v Burden*, 241 NY 288; *Buffalo Teachers Fedn. v Tobe*, 464 F3d 362; *Dickman v Commissioner*, 465 US 330; *Dolan v City of Tigard*, 512 US 374.) II. Public Health Law § 2808 (5) (c) is an improper delegation of legislative authority. (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of Levine v Whalen*, 39 NY2d 510; *City of Tonawanda v Tonawanda Theater Corp.*, 29 AD2d 217; *Matter of City of Utica v Water Pollution Control Bd.*, 5 NY2d 164; *Packer Coll. Inst. v University of State of N.Y.*, 298 NY 184; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Koelbl v Whalen*, 63 AD2d 408; *Matter of Timber Point Homes v County of Suffolk*, 155 AD2d 671; *Long Is. Coll. Hosp. v Whalen*, 68 AD2d 274; *Miranda v Norstar Bldg. Corp.*, 79 AD3d 42.) III. Public Health Law § 2808 (5) (c) is void for vagueness. (*Grayned v City of Rockford*, 408 US 104; *Connally v General Constr. Co.*, 269 US 385; *Kolender v Lawson*, 461 US 352; *National Endowment for Arts v Finley*, 524 US 569.) IV. Public Health Law § 2808 (5) (c) provides no procedural due process. (*Goss v Lopez*, 419 US 565;

Joint Anti-Fascist Refugee Comm. v McGrath, 341 US 123; *Cu-riale v Ardra Ins. Co.*, 88 NY2d 268; *Matter of Slocum v Ber-man*, 81 AD2d 1014; *Matter of Timber Point Homes v County of Suffolk*, 155 AD2d 671; *Matter of Sunset Nursing Home v De-Buono*, 24 AD3d 927.) V. Public Health Law § 2808 (5) (c) is an improper prior restraint of speech and therefore violative of the First Amendment to the United States Constitution. (*Buckley v Valeo*, 424 US 1.) VI. Public Health Law § 2808 (5) (c) impairs obligations of preexisting contracts. (*General Motors Corp. v Romein*, 503 US 181; *Allied Structural Steel Co. v Spannaus*, 438 US 234; *United States Trust Co. of N. Y. v New Jersey*, 431 US 1; *19th St. Assoc. v State of New York*, 79 NY2d 434.) VII. Public Health Law § 2808 (5) (c) violates the Equal Protection Clause. (*Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158.) VIII. The “such other factors” clause of Public Health Law § 2808 (5) (c) is not severable. (*CWM Chem. Servs., L.L.C. v Roth*, 6 NY3d 410; *Anonymous v City of Rochester*, 13 NY3d 35.) IX. There is no reported case applying New York law that upholds a provision such as Public Health Law § 2808 (5) (c). (*Gannett Co. v City of Rochester*, 69 Misc 2d 619; *City of Tonawanda v Tonawanda Theater Corp.*, 29 AD2d 217; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of Levine v Whalen*, 39 NY2d 510; *A. L. A. Schechter Poultry Corp. v United States*, 295 US 495.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Before us on this appeal as of right pursuant to CPLR 5601 (d) is a challenge to the facial constitutionality of Public Health Law § 2808 (5) (c). That provision, in its present form enacted in 2010 as this case was being litigated in Supreme Court (L 2010, ch 109, part B, § 36), prohibits the withdrawal or transfer of residential health care facility equity or assets in an aggregate amount exceeding three percent of the facility’s most recently reported annual revenue from patient care services, without the prior approval of the State Commissioner of Health:¹

1. An earlier version of the statute (L 2009, ch 58, part D, § 11) required pre-approval of asset/equity withdrawal when the amount involved equaled or exceeded three percent of the facility’s total annual Medicaid revenue. The statute’s amendment was evidently responsive to the facility owners’ contention that Medicaid revenue is not a reliable index of a facility’s financial

“The commissioner shall make a determination to approve or disapprove a request for withdrawal of equity or assets under this subdivision within sixty days of the date of the receipt of a written request from the facility . . . In reviewing such requests the commissioner shall consider the facility’s overall financial condition, any indications of financial distress, whether the facility is delinquent in any payment owed to the department, whether the facility has been cited for immediate jeopardy or substandard quality of care, and such other factors as the commissioner deems appropriate.”

Nursing homes serve a particularly needy and vulnerable clientele and are largely compensated with public funds. Preserving their financial viability and capacity to provide care and treatment at mandated levels is thus a proper and uncontroversial subject of legislative concern. The particular concern addressed by the presently challenged enactment—that precipitous withdrawals of substantial facility equity or assets for non-facility purposes may impair facility operations and thus occasion detriment to the welfare of an utterly reliant resident population—is not new. Public Health Law § 2808 (5) (c) is only the most recent of several restrictions on the alienation of facility equity and assets contained in Public Health Law § 2808. Subdivision (5) (a), enacted in 1977 (L 1977, ch 521, § 1), requires an operator to obtain permission for the withdrawal of facility assets or equity when the facility is in a negative net worth position or when the withdrawal would give rise to such a position, and, as amended in 1984 to address widespread noncompliance with the pre-approval requirement, contains a clawback provision (L 1984, ch 969, § 6). Subdivision (5) (b), enacted in 2008 (L 2008, ch 58, part C, § 72, as amended by L 2008, ch 57, part OO, § 12) extended the Commissioner’s oversight of facility asset/equity withdrawals to facilities in positive equity positions, by requiring across-the-board prior written notification of any withdrawal or transfer of facility equity or assets exceeding in the aggregate three percent of the facility’s most recently reported annual revenue from patient care services. The presently challenged provision, subdivision

health and that the use of Medicaid revenue as a basis for determining the extent of their unconditioned access to facility assets or equity was unduly restrictive. While the amendment made significantly larger, unpreapproved withdrawals possible, it was ultimately unsatisfactory to plaintiffs who amended their complaint to target the substituted pre-approval requirement.

(5) (c), constitutes a further extension of the same regulatory agenda, adding a pre-approval requirement for any withdrawal for which notice would be required under subdivision (5) (b). Read in context, subdivision (5) (c) targets facilities that, although already subject to subdivision (5) (b)'s pre-withdrawal written notification requirement, were not previously subject to a pre-withdrawal approval requirement.

In granting plaintiffs summary judgment, declaring section 2808 (5) (c) facially unconstitutional, Supreme Court reasoned that the statute's use of the catch-all phrase "and such other factors as the commissioner deems appropriate" afforded the Commissioner unbridled discretion to deny withdrawal/transfer applications, and in so doing impermissibly ceded legislative policy-making power to a regulatory agency situated in the executive branch (*see Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 864 [2003]). The court also faulted the statute for infringing the substantive due process property interests of facility owners; subdivision (5) (c), it said, was not rationally related to any end that might be achieved through the State's police power.

The Appellate Division agreed that the statute's catch-all provision impermissibly surrendered legislative policy-making power (93 AD3d 1355, 1358 [2012]). And, while noting defendants' contention that the catch-all, if deemed constitutionally offensive, could be severed without compromising the essential legislative design, the court was of the view that severance was incapable of saving the statute because the enactment as a whole violated substantive due process (93 AD3d at 1359). The court did not question the governmental purpose for the statute—namely, ensuring the financial viability of nursing homes and protecting the welfare of their vulnerable residents—but was unable to discern a reasonable relationship between that purpose and the means prescribed, which it said "swe[pt] so broadly as to be irrational and arbitrary in view of the objective to be accomplished" (*id.* at 1360). In the court's view, protecting the financial viability of nursing homes and the welfare of their residents was sufficiently assured by Public Health Law § 2808 (5) (a) and (b).

[1] The lower courts, we believe, erred in concluding that the subject statute was offensive to substantive due process. Economic regulation will violate an individual's substantive due process property interest only in those situations, vanishingly

rare in modern jurisprudence, where there is absolutely no reasonable relationship to be perceived between the regulation and the achievement of a legitimate governmental purpose (*Rochester Gas & Elec. Corp. v Public Serv. Commn. of State of N.Y.*, 71 NY2d 313, 320 [1988]); the regulation, to be actionable, must be arbitrary in the constitutional sense—which is to say “so outrageously arbitrary as to constitute a gross abuse of governmental authority” (*Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617, 629 [2004] [internal quotation marks and citation omitted]). A judicial weighting of the opposed interests more solicitous of personal property rights (*see e.g. Lochner v New York*, 198 US 45 [1905]) has long been rejected on the ground that it would stymie the legislature’s exercise of the police power to provide for the common good (*see Nebbia v New York*, 291 US 502 [1934]).

Plaintiffs do not suggest that the purposes advanced by the State for the challenged enactment are illegitimate. Their contention is rather that the enactment does not reasonably advance those purposes because it targets facilities that are not financially distressed—facilities with positive net worth positions—and imposes an across-the-board “freeze” on assets, using as a touchstone an arbitrary percentage of annual revenue. Plaintiffs urge that annual revenue is not itself a reliable indicator of a facility’s financial health and that there is no reason why the extent of an operator’s unconditioned access to facility assets and equity should depend solely on the facility’s most recent annual revenue stream.

Defendants respond that facilities enjoying positive net worth positions—i.e., where total assets exceed total liabilities (*see* 10 NYCRR 400.19 [a] [1])—are not immune from instability precipitated by the withdrawal of substantial facility assets; that the liquidity of even those facilities may be rendered insufficient to meet their day-to-day operating expenses thus impairing the satisfaction of institutional care and treatment obligations. While acknowledging that annual revenue is not itself an infallible index of a facility’s financial condition, defendants assert that it is rationally indicative of a facility’s scope of operation and ability to sustain services to its residents at mandated levels and that it may therefore be reasonably used as a basis for determining how much may be withdrawn from a facility without prior approval. As to the three percent threshold, defendants explain that the point at which scrutiny should commence will inevitably be fairly arbitrary since it is only after

investigation that any conclusion can be reliably drawn as to whether a withdrawal from a facility in a positive net worth position² for non-facility purposes³ will impair the facility financially or operationally.

We think it apparent that we do not deal here with an outrageously baseless regulatory exercise and it is, in any event, certain that plaintiffs have not met their extraordinary burden in this species of litigation of proving beyond a reasonable doubt that the challenged provision “suffers wholesale constitutional impairment” (*Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443, 448 [2003]; and see *Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586, 593-594 [2013]).

Possibly, Public Health Law § 2808 (5) (c) is not as narrowly focused as it might be, or as the Appellate Division thought that regulation equal to the State’s legitimate purpose should be; but it does not follow that the statute is violative of substantive due process. The legislature’s prescription of means, particularly in the arena of economic regulation, is entitled to judicial deference so long as those means are in a very broad sense reasonably related to the achievement of a permissible regulatory end (see *Rochester Gas & Elec.*, 71 NY2d at 320; and see *Concrete Pipe & Products of Cal., Inc. v Construction Laborers Pension Trust for Southern Cal.*, 508 US 602, 639 [1993] [“under the deferential standard of review applied in substantive due process challenges to economic legislation there is no need for mathematical precision in the fit between justification and means”]). We see no ground to doubt the constitutional adequacy of that relation here.

In employing the three percent threshold based on annual facility revenue, the legislature, exercising the discretion that is ordinarily its prerogative in matters of economic regulation (see *Montgomery v Daniels*, 38 NY2d 41, 64 [1975]), put in place a mechanism that would at once identify contemplated withdrawals sufficiently substantial to be of legitimate regulatory concern, and afford owners of facilities with positive net worth a measure of unregulated access to facility assets and equity. We note that the reasonableness of the same threshold employed for the same identifying purpose in Public Health Law § 2808

2. Any withdrawal from a facility in a negative net worth position would, under subdivision (5) (a) of the statute, trigger the pre-approval requirement.

3. Withdrawals for facility purposes, including the payment of salaries and taxes, are not counted toward the three percent threshold (see 10 NYCRR 400.19 [a] [3]).

(5) (b) is not challenged by plaintiffs. Rather, the core objection to the three percent threshold would appear to be that, in the context of section 2808 (5) (c), its crossing triggers a “freeze” on availability of facility equity for private, non-facility purposes that plaintiffs believe is unwarranted, since their facilities, and the others affected by section 2808 (5) (c), have positive net worth positions. The subdivision’s “freeze” upon assets or equity exceeding the three percent threshold, however, lasts no longer than the 60 days statutorily afforded the Commissioner to decide a withdrawal application.⁴ And, the constraint on access to facility funds within that period is, we think, justified by the legislature’s reasonable election to avoid financially improvident withdrawals and their potentially irreparable consequences altogether; facility funds once alienated may be very difficult to recapture and facility operations once compromised for lack of adequate funding may occasion irreparable harm within an especially fragile and dependent resident population. Even facilities with technically positive equity positions are not insusceptible to these prudently avoided consequences of substantial equity/asset withdrawal. Moreover, nursing homes are with ample historical and practical justification pervasively regulated and, in that context particularly, the additional regulatory increment about which plaintiffs now complain cannot be viewed as a constitutionally untoward assault upon the private property interests of facility owners (*see Rochester Gas & Elec.*, 71 NY2d at 322).

[2] Plaintiffs’ alternative theory for deeming section 2808 (5) (c) unconstitutional—that the provision’s catch-all phrase effects an improper delegation of legislative policy-making power—is not, in our view, more viable than their substantive due process claim. Although the principle of *ejusdem generis* may not be strictly applicable to require a limitation of the catch-all’s reference, since the statute’s enumeration is of general criteria and not particular things within a single category of which the catch-all would be naturally comprehended as a circumscribed extension (*see McKinney’s Cons Laws of NY*, Book 1, Statutes § 239 [b]), it does not follow that the catch-all effects an unconstitutional delegation. Indeed that is a construction to be avoided, if at all possible (*LaValle v Hayden*, 98 NY2d 155,

4. The record discloses that the vast majority of subdivision (5) (c) withdrawal applications have been timely approved.

161 [2002]), and here we think its avoidance entirely practicable. The enumerated criteria clearly tie the Commissioner's disposition of an equity withdrawal application to the financial condition of the facility and its quality of care record. These are highly pertinent and not excessively general criteria and it is reasonably clear, and in any case conceded by defendants, that the catch-all's immediately subsequent reference to "such other factors" does not authorize application dispositions based on criteria that are generically different. We have recognized that the legislature "has considerable latitude in determining the reasonable and practicable point of generality in adopting a standard for administrative action and, thus, [that] 'a reasonable amount of discretion may be delegated to the administrative officials.' " (*Matter of Big Apple Food Vendors' Assn. v Street Vendor Review Panel*, 90 NY2d 402, 407 [1997], quoting *Matter of Levine v Whalen*, 39 NY2d 510, 515-516 [1976].) Inasmuch as the language of the subject subdivision does not absolutely require the conclusion that the legislature's delegation to the Commissioner was constitutionally excessive and the State has, in fact, conceded that the delegation is limited so as to confine the Commissioner, in passing upon a withdrawal application, to the consideration of factors bearing upon a facility's economic condition and quality of care, the conclusion pressed upon us by plaintiffs, that the statute must be invalidated as an affront to the separation of powers, is not legally available.

We have reviewed plaintiffs' remaining arguments and find them to be without merit.

Accordingly, the appealed judgment and the order of the Appellate Division brought up for review should be reversed, with costs, and judgment granted to defendants declaring that Public Health Law § 2808 (5) (c) is constitutional to the extent challenged.

Judges GRAFFEO, READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Judgment appealed from and order of the Appellate Division brought up for review reversed, with costs, and judgment granted to defendants declaring that Public Health Law § 2808 (5) (c) is constitutional to the extent challenged.

[999 NE2d 516, 977 NYS2d 153]

ALFRED G. OSTERWEIL, Appellant, v GEORGE R. BARTLETT, III,
Respondent.

Argued September 12, 2013; decided October 15, 2013

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Is an applicant who owns a part-time residence in New York but makes his permanent domicile elsewhere eligible for a New York handgun license in the city or county where his part-time residence is located?”

HEADNOTE

Licenses — Firearms — No Domicile Requirement for Handgun License

Penal Law § 400.00 (3) (a) does not preclude an individual who owns a part-time residence in New York but makes his or her permanent domicile in another state from applying for a New York handgun license. Generally, establishing residence turns on whether one has a significant connection with some locality in the state as the result of living there for some length of time during the course of a year; whereas domicile requires a physical presence in a place with an intention to make the place a permanent home. Thus, an individual can have more than one residence, but only one domicile. Penal Law § 400.00 (3) (a) refers to the applicant’s residence in the context of delineating the procedure whereby an individual files an application for a license, instructing the applicant to apply to the licensing officer in the city or county where he or she resides (or is principally employed, etc.). The plain language of the statute is not consistent with the theory that the law requires an applicant to establish domicile as an eligibility requirement. Moreover, the legislative history of the statutes that underlay Penal Law § 400.00 evinces an intent to ensure that an applicant applies in his or her place of residence, rather than an intent to limit licenses to applicants who make their domicile in New York. The residency language was added in order to discourage forum-shopping. Most conclusively, Penal Law § 400.00 itself contemplates that licenses may be issued to individuals who do not make their domicile in New York. Since a handgun license may be issued, under Penal Law § 400.00 (7), to “an alien, or to a person not a citizen of and usually a resident” in New York State, it is clear that there is no requirement of domicile.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Weapons and Firearms § 34.

McKINNEY'S, Penal Law § 400.00 (3) (a).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1925, 1929, 1935.

ANNOTATION REFERENCE

See ALR Index under Domicile and Residence; Weapons and Firearms.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: handgun /2 license /p domicile residence

POINTS OF COUNSEL

Greenbaum, Rowe, Smith & Davis LLP, Woodbridge, New Jersey (*Daniel L. Schmutter* of counsel), and *Bancroft PLLC* (*Paul D. Clement*, of the District of Columbia bar, admitted pro hac vice, and *D. Zachary Hudson*, of the District of Columbia bar, admitted pro hac vice, of counsel) for appellant. I. A ban on home handgun possession by part-time state residents violates the Second Amendment. (*District of Columbia v Heller*, 554 US 570; *Kachalsky v County of Westchester*, 701 F3d 81; *United States v Decastro*, 682 F3d 160; *San Antonio Independent School Dist. v Rodriguez*, 411 US 1; *Perry Ed. Assn. v Perry Local Educators' Assn.*, 460 US 37; *Anonymous v City of Rochester*, 13 NY3d 35; *Hernandez v Robles*, 7 NY3d 338; *Eu v San Francisco County Democratic Central Comm.*, 489 US 214; *Ashcroft v American Civil Liberties Union*, 542 US 656; *United States v Playboy Entertainment Group, Inc.*, 529 US 803.) II. A ban on home handgun possession by part-time state residents violates the Equal Protection Clause. (*Plyler v Doe*, 457 US 202; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Harper v Virginia Bd. of Elections*, 383 US 663.) III. This Court should construe New York law governing home handgun possession as not requiring domicile. (*Longwood Cent. School Dist. v Springs Union Free School Dist.*, 1 NY3d 385; *Matter of Contento v Kohinke*, 42 AD2d 1025; *Alliance of Am. Insurers v Chu*, 77 NY2d 573.)

Eric T. Schneiderman, Attorney General, New York City (*Claude S. Platten*, *Simon Heller*, *Barbara D. Underwood* and *Richard Dearing* of counsel), for respondent. The residency language of the handgun licensing statute should not be construed to impose a domicile requirement. (*Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20; *Rawstorne v Maguire*, 265 NY 204; *Matter of Hosley v Curry*, 85 NY2d 447; *People*

ex rel. Simpson v Wells, 181 NY 252; *Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586; *People v Finkelstein*, 9 NY2d 342; *Lyng v Northwest Indian Cemetery Protective Assn.*, 485 US 439; *Ashwander v TVA*, 297 US 288; *People v Felix*, 58 NY2d 156, 464 US 802; *Rooney v Tyson*, 91 NY2d 685.)

OPINION OF THE COURT

PIGOTT, J.

The United States Court of Appeals for the Second Circuit, by certified question, asks us to decide whether an applicant who owns a part-time residence in New York but makes his permanent domicile elsewhere is eligible for a New York handgun license in the city or county where his part-time residence is located. We answer the certified question in the affirmative, on the basis of the relevant statute. As we explain below, it is therefore unnecessary for us to decide the constitutional issues raised by appellant.

I.

Appellant Alfred G. Osterweil, a resident of Summit, New York, a town in Schoharie County, applied on May 21, 2008 for a New York State pistol/revolver license pursuant to Penal Law § 400.00. The Schoharie County Sheriff initiated the required background investigations (*see* Penal Law § 400.00 [4]). On June 25, in the course of correspondence on an unrelated matter, Osterweil informed the Sheriff that he had bought a home in Louisiana and that he intended to “make that state my primary residence,” while keeping “a vacation property here in Schoharie County.” Osterweil asked whether he would still be eligible for a handgun license.

Osterweil’s letter raised an important question. Penal Law § 400.00 (3) (a) provides that

“[a]pplications shall be made and renewed, in the case of a license to carry or possess a pistol or revolver, to the licensing officer in the city or county, as the case may be, where the applicant *resides*, is principally employed or has his principal place of business as merchant or storekeeper” (emphasis added).

At the heart of Osterweil’s query is the distinction between residence and domicile. Generally, establishing residence “turns on whether [one] has a significant connection with some locality

in the State as the result of living there for some length of time during the course of a year” (*Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20, 30 [1984]), whereas “[e]stablishment of a domicile in a [place] generally requires a physical presence in the [place] and an intention to make the [place] a permanent home” (*id.* at 28), i.e., intent to remain there for the foreseeable future. It follows that an individual can have more than one residence, but only one domicile (*see id.*). Osterweil maintained a residence in Schoharie County, but could no longer claim it as his domicile. Therefore, if a New York domicile is required for a handgun license, the statute makes him ineligible.

The Sheriff forwarded Osterweil’s application and query to respondent George R. Bartlett, III, Schoharie County Court Judge and also the county’s licensing officer. Osterweil submitted an affidavit to Judge Bartlett, stating that he and his wife continued to play a role in “social, political and community affairs” in Summit, even though they no longer made their primary residence there. He also cited the United States Supreme Court’s recent decision in *District of Columbia v Heller* (554 US 570 [2008]), in which the Supreme Court struck down a District of Columbia law banning the possession of handguns in the home, holding that “the absolute prohibition of handguns held and used for self-defense in the home” is unconstitutional under the Second Amendment (*id.* at 636; *see also McDonald v Chicago*, 561 US —, 130 S Ct 3020 [2010]).

In May 2009, Judge Bartlett denied Osterweil’s application for a handgun license, relying on Penal Law § 400.00 (3) (a) and an Appellate Division decision, *Matter of Mahoney v Lewis* (199 AD2d 734 [3d Dept 1993]), which held that “as used in this statute the term residence is equivalent to domicile” (*id.* at 735). Judge Bartlett further ruled that such a domicile requirement was constitutional, under *Heller*, as a lawful regulatory measure.

II.

In July 2009, Osterweil commenced this action pursuant to 42 USC § 1983 in the United States District Court for the Northern District of New York, alleging that Judge Bartlett had violated his Second Amendment right to keep and bear arms and his Fourteenth Amendment right to equal protection, by denying his license application on the ground of his domicile.

He sought an injunction ordering the State to grant his application. Judge Bartlett, represented by the Attorney General's office, and Osterweil each moved for summary judgment.

On May 20, 2011, the District Court granted Judge Bartlett summary judgment, rejecting Osterweil's Second Amendment and Fourteenth Amendment claims (*see Osterweil v Bartlett*, 819 F Supp 2d 72, 85-87 [ND NY 2011]). On appeal, before the United States Court of Appeals for the Second Circuit, Osterweil reiterated his position that a domicile requirement for handgun possession is unconstitutional. The Attorney General now argued that Penal Law § 400.00 (3) (a) does not in fact contain a domicile requirement, obviating the need to reach the constitutional issues. On January 29, 2013, the Second Circuit, in an opinion by retired United States Supreme Court Justice Sandra Day O'Connor, certified the following question to us:

“Is an applicant who owns a part-time residence in New York but makes his permanent domicile elsewhere eligible for a New York handgun license in the city or county where his part-time residence is located?” (*Osterweil v Bartlett*, 706 F3d 139, 145 [2d Cir 2013].)

We accepted the certified question, pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR) (20 NY3d 1058 [2013]), and now answer it in the affirmative.

III.

In this unusual case, both appellant and respondent would have us answer the certified question in the affirmative. However, respondent asks us to answer the question purely on the basis of the statute, whereas appellant urges us to rule that the law cannot require domicile for handgun license eligibility because that would be unconstitutional.

We take a straightforward approach to this dispute. If Penal Law § 400.00 (3) (a) does not require domicile, then there is no need to decide the constitutionality of a hypothetical statute that requires domicile. The question concerning the meaning of the statute at issue—the question certified to us—must be answered prior to any question concerning its constitutional validity. This is not a case in which we are faced with an ambiguous statute requiring us to favor an interpretation that renders it constitutional over constructions that would invalidate it.

IV.

Penal Law § 400.00 (3) (a) states that applications for a license to carry a pistol or revolver “shall be made and renewed . . . to

the licensing officer in the city or county, as the case may be, where the applicant resides, is principally employed or has his principal place of business as merchant or storekeeper.” The applicant’s residence is referred to in the context of delineating the procedure whereby an individual files an application for a license. The applicant is instructed to apply to the licensing officer in the city or county where he resides (or is principally employed, etc.). The plain language of the statute is not consistent with the theory that the law requires an applicant to establish domicile as an eligibility requirement. Were it so, we would expect to see the manner of proof of domicile set out in the statute.

Moreover, the legislative history of the statutes that underlay Penal Law § 400.00 evinces an intent to ensure that an applicant for a handgun license applies in his place of residence, rather than an intent to limit licenses to applicants who make their domicile in New York. The residency language was added to the Penal Law by chapter 792 of the Laws of 1931. Former Penal Law § 1897 was amended by adding a subdivision, (9-a), which read as follows:

“No license shall be issued by the police commissioner of the city of New York except to a resident of that city. Outside of the city of New York, no license shall be issued by a judge or justice of a court of record except to a resident of the county in which the office of such judge or justice is located. A license may be issued, however, to a qualified person principally employed in such city or county and to a merchant or storekeeper having his principal place of business in such city or county” (L 1931, ch 792, § 4).

At the beginning of September 1931, the month in which this law was passed, Governor Roosevelt wrote to the legislature, sitting in extraordinary session, attaching a letter he had received from the Police Commissioner of New York City. The Police Commissioner recommended that then Penal Law § 1897 be amended to ensure “[t]hat permits to carry a pistol upon the person or to be kept upon the premises be issued only by the police commissioner or chief of police of any city in this State and in the rural communities by the sheriff of the county” (Letter from Edward P. Mulrooney, New York City Police Commissioner, to Governor Franklin D. Roosevelt, Aug. 29, 1931,

reprinted in Public Papers of Governor Franklin D. Roosevelt, 1931 at 184 [1937]). Commissioner Mulrooney spelled out the reasons:

“Many persons of unsavory reputation, or with criminal records, are apprehended in [New York City] and are found in the possession of pistol permits issued by a judge or justice of a court of record in other counties of the State.

“In [New York City] permits are issued by the police commissioner only after the applicant is fingerprinted, photographed and investigated, whereas in other counties of the State permits are issued with little or no investigation” (*id.*).

Summarizing the issue, Governor Roosevelt wrote that “[i]t is a fact that the present issuing of revolver permits by judges anywhere in the State is working badly, and permits must be more carefully guarded” (Message to the Legislature, Sept. 1, 1931, reprinted in Public Papers of Governor Franklin D. Roosevelt, 1931 at 183).

This history indicates that the residence language was introduced to prevent New York City residents from obtaining handgun permits in counties where, at the time, investigations of applicants were much less thorough than in the city. It is therefore evident that the law was originally designed to ensure that licenses were obtained where applicants resided, and to discourage “forum-shopping,” rather than to exclude certain applicants from qualifying at all.

The corresponding residence language in today’s Penal Law § 400.00 (3) (a) is derived from former Penal Law § 1903, which was added in 1963 (L 1963, ch 136, § 8; *see* 1963 McKinney’s Session Laws of NY at 155), and then adopted in the revised Penal Law provisions of 1965 (L 1965, ch 1030; *see* 1965 McKinney’s Session Laws of NY at 1691). Appellant points to no legislative history from the 1960s suggesting that the relevant intent of the legislature was different then from what it had been in 1931. We conclude that there was no intent by the legislature to exclude applicants on the basis of domicile.

Finally, and most conclusively, Penal Law § 400.00 itself contemplates that licenses may be issued to individuals who do not make their domicile in New York. When a license to carry or possess a pistol or revolver “is issued to an alien, or to a person not a citizen of and usually a resident in the state, the licensing

officer shall state in the license the particular reason for the issuance and the names of the persons certifying to the good character of the applicant” (Penal Law § 400.00 [7]). Since a handgun license may be issued, under the statute, to a person who is “not . . . usually a resident” in New York State, it is clear that there is no requirement of domicile.

V.

Because we hold that Penal Law § 400.00 (3) (a) does not preclude an individual who owns a part-time residence in New York but makes his permanent domicile in another state from applying for a New York handgun license, we have no occasion to decide whether a contrary law would be unconstitutional.

Accordingly, the certified question should be answered in the affirmative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, RIVERA and ABDUS-SALAAM concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[999 NE2d 160, 976 NYS2d 682]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHADON MORRIS, Appellant.

Argued September 4, 2013; decided October 15, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 29, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Stephen A. Knopf, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree.

People v Morris, 89 AD3d 1112, affirmed.

HEADNOTE

Crimes — Proof of Other Crimes — 911 Call Reporting Uncharged Gunpoint Robbery by Person Matching Defendant's Description

In the prosecution of defendant for resisting arrest and criminal possession of a weapon that police officers found after stopping defendant and engaging in an aggressive confrontation with him, the trial court did not abuse its discretion in permitting the People to introduce as evidence a recording of a 911 call reporting that a person matching defendant's description committed an uncharged gunpoint robbery and testimony describing the radio run the officers received about the call. A trial court may, with proper limiting instructions, admit evidence of a prior, uncharged crime to provide background information explaining the police actions to the jury upon a finding that the probative value of the uncharged crime evidence outweighs the risk of undue prejudice to defendant. Here, the trial court reasonably determined that, given the aggressive nature of the police confrontation with defendant and the attendant risk of improper speculation by the jury, the 911 evidence was necessary to provide background information explaining all the police actions. The evidence was also probative of the officer's credibility with regard to the resisting arrest charge where the officers' testimony was contrary to testimony proffered by defendant. Any potential for prejudice was offset by the trial court's four strong limiting instructions which emphasized that the 911 call was not to be considered proof of the uncharged crime and which the jurors were presumed to have followed. Defendant was also permitted to testify regarding his innocent possession defense and to challenge the officers' version of the arrest without the risk of being cross-examined about the purported robbery. While defendant admitted to possessing the gun and agreed not to challenge the propriety of the stop, a trial court is not required to suppress uncharged crime evidence every time a defendant proposes some less prejudicial alternative to admission. Nor did the trial court exceed its discretion in declining to instruct the jury that the stop was proper and to limit the testimony to exclude the details of the radio run. Without a complete picture of the events preceding the encounter, the jury would have had little reason not to fault the officers for being overly aggressive and to discredit their testimony as untruthful.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 334, 336, 344, 409, 413, 414, 418, 421–423, 588, 594.
CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:11, 193:12, 193:15, 193:18–193:22, 193:29;
CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:105, 194:106.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.
NY JUR 2d, Criminal Law: Procedure §§ 2021, 2026, 2037.

ANNOTATION REFERENCE

Admissibility of tape recording or transcript of “911” emergency telephone call. 3 ALR5th 784.

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POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Barry Stendig of counsel), for appellant. Appellant was deprived of his right to a fair trial when the court admitted, over objection, a 911 call reporting an uncharged gunpoint robbery committed by a man whose description, according to police testimony, fit appellant even though appellant admitted that he possessed the gun charged in the indictment and the defense made it clear it would not challenge the propriety of the police conduct. (People v Cass, 18 NY3d 553; People v Lewis, 69 NY2d 321; People v Ventimiglia, 52 NY2d 350; People v Santarelli, 49 NY2d 241; People v Allweiss, 48 NY2d 40; People v Arafet, 13 NY3d 460; People v Alvino, 71 NY2d 233; People v Molineux, 168 NY 264; People v Tosca, 98 NY2d 660.)

Richard A. Brown, District Attorney, Kew Gardens (Rebecca Height, Robert J. Masters and John M. Castellano of counsel), for respondent. The court properly admitted the 911 call and related testimony as background, to complete the narrative, and to help the jury understand the disputed actions of the police during the encounter in which the weapon was recovered. (People v Resek, 3 NY3d 385; People v Scarola, 71 NY2d 769; People v Lewis, 69 NY2d 321; People v Giles, 11 NY3d 495; People v Alvino, 71 NY2d 233; People v Allweiss, 48 NY2d 40;

People v Till, 87 NY2d 835; *People v Alfaro*, 19 NY3d 1075; *People v Gamble*, 18 NY3d 386; *People v Dorm*, 12 NY3d 16.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

In *People v Tosca* (98 NY2d 660 [2002]) and *People v Resek* (3 NY3d 385 [2004]), we held that a trial court may, in its discretion, admit evidence of uncharged crimes to provide background information explaining the police actions to the jury if the probative value of the evidence outweighs the prejudice to the defendant, and the evidence is admitted with proper limiting instructions. Our application of these principles led to opposite outcomes in those cases: in *Tosca*, we held that the trial court did not abuse its discretion by allowing police testimony describing an uncharged crime (*see* 98 NY2d at 661); in *Resek*, we determined that the prejudicial value of such testimony, admitted with inadequate jury instructions, exceeded its probative worth (*see* 3 NY3d at 387).

Relying on *Resek*, defendant challenges the trial court's decision to allow the People to introduce a recording of a 911 telephone call reporting that a person matching defendant's description committed an uncharged gunpoint robbery, and police testimony describing the radio run they received about the call. We conclude that, under the circumstances of this case, the trial court did not abuse its discretion by permitting this evidence to be admitted, along with several thorough limiting instructions, as background information to explain the aggressive police action toward defendant.

I

The undisputed facts are as follows. Just after midnight on May 25, 2007, a 911 caller reported that a black male, wearing a white t-shirt with red sleeves, dark pants, and a white Band-aid on his chin, pulled a gun and stole the caller's chain necklace at Beach 21st Street and Elk Drive in Far Rockaway. The caller stated that the perpetrator was with two other black males and that, after the attack, all three men walked down Beach 20th Street toward a CVS store on Seagirt Boulevard.

Police Officers Glenn Ziminski and Edward Moore were on routine patrol in Far Rockaway when they received a radio run from central dispatch reporting the gunpoint robbery. The dispatcher relayed the 911 caller's description of the robber, his possible location, and that he was with two other black males.

The officers responded immediately, driving their marked patrol car with lights and siren activated until they reached Beach 20th Street, where they observed defendant. Having determined that defendant appeared to fit the description conveyed in the radio run, the officers turned their lights and siren off and pulled alongside him. They exited the patrol car and ordered defendant to approach.

What occurred next was contested at trial, but there is no question that the officers acted aggressively toward defendant. Their actions included, at a minimum, grabbing defendant as he approached and forcibly pressing him against the patrol car. The officers ultimately recovered a .22 caliber Beretta semiautomatic pistol either on or near defendant's person. Defendant was arrested and later indicted for resisting arrest (*see* Penal Law § 205.30) and two counts of criminal possession of a weapon in the second degree, one charging possession with intent to use the gun unlawfully (*see* Penal Law § 265.03 [1] [b]), and one charging possession not in his home or place of business (*see* § 265.03 [3]).

Prior to trial, the People asked the trial court to permit them to introduce a recording of the 911 call and to allow the officers to testify that they stopped defendant because he matched the description relayed in the radio run. The People urged that this evidence would complete the narrative of the arrest and explain the aggressive police actions to the jury, which would be called upon to assess the officers' conduct and credibility.¹ Defendant objected, arguing that the evidence lacked probative value because he planned to admit that he possessed the gun recovered by the police. He also contended the evidence was prejudicial to his defense of temporary innocent possession. Defendant suggested that, rather than admit the 911 evidence, the court merely explain to the jury that "the reasoning for the defendant's stop has been dealt with, [and] is not a matter for your concern," and limit the police officers' testimony on the subject to the following statement: "Pursuant to a radio run, we stopped defendant."

The court ruled that the 911 evidence could be introduced at trial with appropriate limiting instructions. Balancing the probative value of the evidence against its potential prejudice,

1. The People also revealed that, although the 911 caller identified defendant in a showup while defendant was being held at the scene of the arrest, he had since become unreachable and would not be testifying at trial.

the court determined that the 911 call provided necessary background information that put the police actions in proper context for the jury. Without that background information, the court feared the jury would engage in “rampant speculation that the defendant . . . was just singled out as a young Black male in Queens . . . harassed by the police for no good reason.” Suppressing the evidence and issuing defendant’s proposed jury instruction, the court reasoned, would not deter such speculation. The court ruled, however, that if defendant took the stand, the People could not cross-examine him about any details concerning the uncharged robbery to challenge his credibility.

During trial, the court gave four limiting instructions to the jury regarding its consideration of the 911 evidence.² Each instruction emphasized that the evidence was being admitted solely “to explain the police actions in this case” and not for the truth of what the 911 caller said or to prove that defendant committed a gunpoint robbery. Critically, after the People played the recording of the 911 call, the court told the jury:

“Those statements from the individual that you heard on the 911 CD, they are not being admitted at this trial for the truth of what that person is saying to the 911 dispatcher. Indeed, if you hear any further testimony at this trial relative to those statements made by that caller, that evidence is not being admitted for the truth of what the caller is saying to the 911 dispatcher. As I told you yesterday, that evidence is admitted now and any further evidence related to this issue is admitted for a specific, limited purpose. The evidence is being admitted to explain the police actions, to explain what [they] did . . . after getting those transmissions or getting at least the substance of those transmissions relayed to that. That’s the only reason it’s being admitted. I am cautioning you again, that the defendant is not on trial for robbery. He’s not on trial for robbery with a gun and you have to keep all of that in mind.”

The People presented testimony from, among other witnesses, Officers Ziminski and Moore, who each testified that they

2. The court issued limiting instructions after (1) the People referenced the 911 call in their opening statement, (2) the jury first heard the recording of the 911 call (and received a transcript as a demonstrative aid), (3) Officer Ziminski testified that he received a radio run about a gunpoint robbery, and (4) the People played the 911 call during their summation.

stopped defendant because he matched the description in the radio run.³ The officers stated that they observed defendant walking with two black males near the reported location along Beach 20th Street toward Seagirt Boulevard. Ziminski grabbed defendant as he approached and held him against the patrol car, while Moore frisked defendant's clothing, recovering the gun from a rolled-up cuff of his sweatpants. While the officers were examining the gun, defendant allegedly attempted to flee but was caught by Ziminski. A struggle ensued as the officers attempted to handcuff defendant, which ended with Ziminski tackling defendant to the ground. On cross-examination, the officers admitted that they did not recover a chain from defendant or any of the men (the other two men were frisked but not arrested), or retrieve the white Band-Aid, which they testified fell off defendant's chin during the struggle.

Defendant took the stand to present his temporary innocent possession defense, stating that he found the gun on the ground near the CVS store and that he intended to notify the police about it after returning home. These plans were thwarted, however, when the officers stopped him just minutes later on Beach 20th Street. Defendant indicated that he was alone at the time of the police stop, and that he was walking toward Plainview Avenue (rather than toward Seagirt Boulevard as the officers testified).

Defendant's description of the police encounter differed in significant respects from that of the officers. According to defendant, he was trying to tell the officers that he had just found the gun when they pushed him down and grabbed his waist, causing the gun to fall on the ground. The officers then pressed him against the patrol car; defendant denied ever taking his hands off the car and stated that he merely turned his head in shock when the officers said he was "going down for a robbery." The officers allegedly reacted by striking defendant on the back of the head, jumping on him, and hitting him several times in the face, causing injuries that required hospitalization and stitches.

Instructed on the defense of temporary innocent possession of a firearm, the jury returned a verdict acquitting defendant of

3. When Officer Ziminski referenced the radio run, the court stated to the jury: "I reiterate that same instruction, we are not trying a robbery. This testimony is not being offered for the truth that a robbery in fact took place, but just to explain [Officer Ziminski's] actions in response to getting a radio run as to an alleged robbery."

the criminal possession of a weapon count charging possession with intent to use the gun unlawfully, but convicted defendant of the count charging possession not in his home or place of business. Defendant was also acquitted of resisting arrest. He was sentenced to a determinate prison term of five years, to be followed by five years of postrelease supervision.

Defendant appealed and the Appellate Division affirmed the judgment of conviction (89 AD3d 1112 [2d Dept 2011]). Citing our decisions in *Tosca* and *Resek*, the Appellate Division held that the trial court's admission of the 911 evidence did not deprive defendant of a fair trial because that evidence was properly admitted to provide background information, had a greater probative value than prejudicial effect, and was accompanied by several limiting instructions (*see id.* at 1112-1113). Defendant now appeals pursuant to leave granted by a Judge of this Court (19 NY3d 964 [2012]), and we now affirm.

II

We begin with the familiar proposition that evidence of uncharged crimes is inadmissible where its purpose is only to show a defendant's bad character or propensity towards crime (*see e.g. People v Arafet*, 13 NY3d 460, 465 [2009]; *People v Giles*, 11 NY3d 495, 499 [2008]; *People v Alvino*, 71 NY2d 233, 241 [1987]). However, "[w]hen evidence of uncharged crimes is relevant to some issue other than the defendant's criminal disposition, it is generally held to be admissible on the theory that the probative value will outweigh the potential prejudice to the accused" (*People v Allweiss*, 48 NY2d 40, 47 [1979]).

People v Molineux (168 NY 264 [1901]) prescribes five well-recognized, nonpropensity purposes for which uncharged crimes may be relevant (*see Alvino*, 71 NY2d at 242 ["to show (1) intent, (2) motive, (3) knowledge, (4) common scheme or plan, or (5) identity of the defendant"]; *see also e.g. People v Ventimiglia*, 52 NY2d 350, 359 [1981]; *Molineux*, 168 NY at 293). The *Molineux* categories are not exhaustive, however (*see People v Santarelli*, 49 NY2d 241, 248 [1980]), and we have held that evidence of prior, uncharged crimes may also be relevant to complete the narrative of the events charged in the indictment (*see e.g. People v Till*, 87 NY2d 835, 837 [1995]; *People v Gines*, 36 NY2d 932, 932-933 [1975]), and to provide necessary background information (*see e.g. Till, supra*; *People v Green*, 35 NY2d 437, 442 [1974]; *see also Resek*, 3 NY3d at 390; *Tosca*, 98 NY2d at 661).

Even if the uncharged crimes evidence meets the relevancy threshold (see *People v Cass*, 18 NY3d 553, 560 [2012]), it is admissible “only upon a trial court finding that its probative value for the jury outweighs the risk of undue prejudice to the defendant” (*Till*, 87 NY2d at 836-837; see e.g. *Cass*, *supra*). This inquiry involves “one of balancing in which both the degree of probativeness and the potential for prejudice of the proffered evidence must be weighed against each other” (*Ventimiglia*, 52 NY2d at 359-360, citing *Santarelli*, 49 NY2d at 248, and *Allweiss*, 48 NY2d at 47). Weighing the evidence’s probative value against its potential prejudice to the defendant is a matter of discretion for the trial court (see *Cass*, 18 NY3d at 560 n 3). Accordingly, “our review is limited to determining whether the trial court abused its discretion” (*id.*, citing *People v Hudy*, 73 NY2d 40, 55 [1988], *abrogated on other grounds by Carmell v Texas*, 529 US 513 [2000]; *Alvino*, 71 NY2d at 242).

In *Tosca*, we held that the trial court did not abuse its discretion by admitting uncharged crime evidence as background information to explain the police actions (98 NY2d at 661, *affg* 287 AD2d 330 [2001]). During *Tosca*’s trial on a charge of criminal possession of a weapon in the third degree, the trial court allowed a police officer to testify that, shortly before the defendant was arrested, an unidentified livery cab driver “had reported an encounter with [the] defendant involving a gun” (*Tosca*, 287 AD2d at 330). The defendant was convicted and the Appellate Division affirmed, concluding that the police officer’s “testimony was necessary to complete the narrative and to explain the aggressive nature of the police confrontation with defendant” (*id.*). We agreed that the testimony was properly admitted “not for its truth, but to provide background information as to how and why the police pursued and confronted defendant” (*Tosca*, 98 NY2d at 661, citing *Till*, 87 NY2d at 837). Further, any prejudice was ameliorated by “the trial court twice explicitly instruct[ing] the jury on the limited use it could make of the testimony and that the testimony was not to be considered proof of the uncharged crime” (*id.*).

Two years after *Tosca*, we applied these principles in *Resek* and determined that admission of uncharged crime evidence deprived the defendant of a fair trial (see 3 NY3d at 387). There, the grand jury indicted the defendant for criminal possession of a controlled substance with intent to sell, but failed to indict on a charge of criminal possession of a stolen car (see *id.*). The trial

court permitted two police officers to testify, over the defendant's objection, that before they arrested the defendant, they witnessed him drive away in a stolen car. The court gave two limiting instructions, neither of which mentioned that the grand jury had failed to indict on the stolen car charge. Instead, the court told the jury not to infer whether "the defendant did or did not steal the car" (*id.* at 388).

We reversed the defendant's conviction in *Resek* because "[a]dmission of the testimony under these circumstances was . . . error" (*id.* at 389). Because the trial court failed to inform the jury that the grand jury did not indict the defendant on the stolen car charge, the police testimony "left the jury with an incomplete and prejudicial narrative," which outweighed the evidence's "legitimate" probative value: preventing speculation by the jury that "the police wrongfully targeted [the defendant] or otherwise abused their authority" (*id.*). The prejudice to the defendant "was not ameliorated by the court's limiting instruction," which we explained "made matters worse" by implying that the defendant may have, in fact, committed the uncharged crime (*id.*). In light of these circumstances—and given that the defendant "conceded his possession of the recovered drugs he was charged with intending to sell"—we concluded that it would have "sufficed [for the trial court] to instruct the jurors that the arrest was lawful and that they were not to speculate as to its reasons" (*id.* at 390), as had been suggested by *Resek*'s counsel before jury selection (*see id.* at 388).

Tosca and *Resek* are on equal footing. We recognized in both cases that suppression of uncharged crime evidence may lead the jury to speculate that the police actions were wrongful (*see Resek*, 3 NY3d at 389; *Tosca*, 98 NY2d at 661), and in such situations, the evidence may be relevant to a material, nonpropensity issue: providing "background information" that explains the police encounter (*Tosca, supra*) "and thus help[s] the jury understand the case in context" (*Resek* at 389). The analysis follows under *Tosca* and *Resek* that, if the evidence's probative value in explaining the police encounter outweighs any undue prejudice to the defendant, the trial court may, in its discretion, admit the evidence with "proper limiting instructions" (*Resek, supra; see Tosca, supra*).

Determining whether the probity of such evidence exceeds the prejudice to the defendant "is a delicate business," and as in almost every case involving *Molineux* or *Molineux*-type evidence, there is the risk "that uncharged crime testimony may

improperly divert the jury from the case at hand or introduce more prejudice than evidentiary value” (*Resek* at 389). Yet this case-specific, discretionary exercise remains within the sound province of the trial court (*see id.* at 388-389; *Tosca, supra*), which is in the best position to evaluate the evidence (*see e.g. People v Scarola*, 71 NY2d 769, 777-778 [1988]). Thus, the trial court’s decision to admit the evidence may not be disturbed simply because a contrary determination could have been made or would have been reasonable. Rather, it must constitute an abuse of discretion as a matter of law (*see Cass*, 18 NY3d at 560 n 3).

III

On this record, we cannot say that the admission of the 911 evidence was an abuse of discretion. The trial court reasonably determined that, given the aggressive nature of the police confrontation with defendant and the attendant risk of improper speculation by the jury, the 911 evidence was necessary to provide background information explaining the police actions, and that its probative value outweighed the potential prejudice to defendant (*see Tosca*, 98 NY2d at 661). Defendant claims that the 911 evidence had no probative value because he admitted to possessing the gun and agreed not to challenge the propriety of the police stop. But the 911 evidence was probative of *all* of the police conduct in this case, not just the stop itself. The police behaved aggressively *after* the stop and *before* they discovered the gun by singling out defendant, grabbing him, and forcing him up against their patrol car. By specifying why the officers stopped defendant in the first instance, the 911 evidence allowed the jury to put this conduct in the proper context.

The evidence was also probative of the officers’ credibility, which was a central issue for the jury to resolve on the resisting arrest charge (*see People v Cotton*, 143 AD2d 680, 681 [2d Dept 1988]; *People v Utley*, 60 AD2d 657, 658 [2d Dept 1977]; *see generally People v Negron*, 91 NY2d 788, 792 [1998]). The People had the burden of proving every element of the resisting arrest charge (*see generally People v Hanley*, 5 NY3d 108, 113 [2005]), and meeting that burden depended largely on the jury’s evaluation of the officers’ testimony and, particularly, the weight the jury accorded it in relation to contrary testimony proffered by defendant (*see Cotton*, 143 AD2d at 680-681, citing *People v Gaimari*, 176 NY 84, 94 [1903]; *see also Negron*, 91 NY2d at 792 [it is “our long-standing recognition that a jury is entitled

to assess the credibility of witnesses and determine, for itself, what portion of their testimony to accept and the weight such testimony should be given’’)]. Although the officers admitted to grabbing defendant, pushing him against the car, and tackling him when he tried to escape, defendant testified that the officers hit him several times in the head and face, that he never tried to escape, and that the officers’ violent acts were essentially unprovoked. There was also contrary testimony about how the officers recovered the gun, which direction defendant was walking when he was stopped, and whether he was alone or with two black men as described in the radio run. The 911 evidence better enabled the jury to resolve these discrepancies and assess the credibility of the officers’ testimony. Without a complete picture of the events preceding the encounter, the jury would have had little reason not to fault the officers for being overly aggressive and to discredit their testimony as untruthful.

Any potential for prejudice here was offset by the trial court’s four strong limiting instructions, which emphasized that the 911 evidence “was not to be considered proof of the uncharged crime” (*Tosca*, 98 NY2d at 661). The prejudicial tipping point in *Resek* was the botched jury instruction, during which the trial court insinuated that the defendant may have been guilty of stealing the car (*see* 3 NY3d at 388). The court’s instructions in this case, by contrast, were well-timed, thorough, and in no way compounded the potential prejudice to defendant.⁴

Jurors are presumed to have followed a trial judge’s limiting instructions (*see e.g. People v Davis*, 58 NY2d 1102, 1104 [1983]), and that presumption is appropriate here. The trial court explicitly instructed the jury, on four occasions, that the 911 evidence was not being admitted “for the truth that a robbery in fact occurred or that defendant was in fact the one who did that robbery.” Thus, the court did not “emphasize[] the robbery” (dissenting op at 604) so much as it emphasized the limited use of the 911 evidence. Defendant also took the stand to present his innocent possession defense, where he challenged the officers’ version of the arrest and their credibility, without the risk

4. The dissent faults the trial court for its “numerous references” to the 911 evidence, contending that the four instructions only served to “continuously remind the jury of defendant’s possible involvement in an armed robbery” (dissenting op at 604). But it is counterintuitive to assume defendant was prejudiced by the trial court’s diligence in reminding the jury, at all critical junctures during trial, that it could not properly infer that defendant was guilty of armed robbery or consider the 911 evidence for any purpose other than “to explain the police actions” (*see Tosca*, 98 NY2d at 661).

of being cross-examined about the purported robbery. Although the jury ultimately rejected his defense, it rendered a “discerning and discrete verdict” (*Till*, 87 NY2d at 837), acquitting defendant of the weapon count charging possession with intent to use the gun unlawfully and the resisting arrest charge.

Apart from the confusing jury instruction, other circumstances that conspired to deprive Resek of a fair trial are not present in this case. The grand jury did not fail to indict defendant for robbery (because the People never presented that charge), and he therefore was never “cleared” of the underlying prior crime like the defendant in *Resek* (3 NY3d at 389). There is also no indication that *Resek* concerned an aggressive police encounter like the one at issue here, or that the credibility of the testifying officers was so entwined with the People’s burden of proof on the charged crime of resisting arrest.

Finally, *Resek* does not require, as defendant and the dissent suggest, that a trial court suppress uncharged crime evidence every time a defendant proposes some “less prejudicial” alternative to admission (3 NY3d at 390). While trial courts cannot “automatically allow[] the prosecution to introduce evidence of uncharged crimes merely because the evidence is said to complete the narrative or furnish background information,” they also need not exclude uncharged crime evidence simply because a defendant stipulates that “the arrest was lawful” and asks that the jury be instructed “not to speculate as to its reasons” (*id.*). A contrary rule would effectively nullify trial courts’ discretion in these matters, and we would soon be called upon to parse which “means” are more or less prejudicial than others, when in fact trial courts are in a much better position to make these determinations.

Here, the trial court did not exceed its discretion by declining to instruct the jury that the stop was proper and to limit the officers’ testimony to exclude the details of the radio run. The court fairly determined that these limitations, proposed by defendant, “would have placed a mystery before the jury” (*People v Barnes*, 57 AD3d 289, 290 [1st Dept 2008], *lv denied* 12 NY3d 781 [2009]), inviting it to speculate whether defendant was harassed by police and to “draw[] unfair inferences concerning the officers’ credibility” (*Tosca*, 287 AD2d at 330 [trial court did not err in rejecting the “(d)efendant’s proffered stipulation that the police were simply responding to an unspecified radio run”]). Although other “less prejudicial means” may have been available or reasonable in this case (*Resek*, 3 NY3d at 390), the

trial court did not abuse its discretion by failing to employ them, and we discern no basis upon which to disturb its decision.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). The majority's decision extends a limited exception for background and narrative evidence to the well established rule prohibiting admission of uncharged crimes. The majority upholds the admission of evidence of a 911 tape recording of unsubstantiated allegations of criminal activity, despite its lack of relevance to the charges against the defendant, and its prejudicial impact on the fairness of the trial. I dissent.

The rule prohibiting the admission of uncharged crimes is long standing (see *People v Arafet*, 13 NY3d 460, 464-465 [2009]; *People v Giles*, 11 NY3d 495, 499 [2008]; *People v Lewis*, 69 NY2d 321, 325 [1987]; *People v Alvino*, 71 NY2d 233, 241 [1987]; *People v Johnson*, 47 NY2d 785, 786 [1979]). It protects against the risk of a jury deciding against the defendant based not on the matters at hand, but on the juror's sensibilities about the character of the defendant and the defendant's propensity for criminal activity (see *Alvino*, 71 NY2d at 241 ["Evidence of similar uncharged crimes has probative value, but as a general rule it is excluded for policy reasons because it may induce the jury to base a finding of guilt on collateral matters or to convict a defendant because of his past"]). To the extent we have recognized exceptions to the general rule prohibiting admission of uncharged crimes, we have done so in limited and narrow circumstances (see *People v Ventimiglia*, 52 NY2d 350, 359 [1981]; *People v Santarelli*, 49 NY2d 241, 247-248 [1980]; *People v Molineux*, 168 NY 264, 293 [1901]). It is the People's burden to establish the legal and factual basis for admission of evidence that is otherwise inadmissible (see *Arafet*, 13 NY3d at 470).

At issue in defendant's case is the "background and narrative" exception, under which otherwise inadmissible evidence of uncharged crimes may be admitted when the court determines that it is "'needed as background material' . . . or to 'complete the narrative of the episode'" (*People v Till*, 87 NY2d 835, 837 [1995], quoting *People v Montanez*, 41 NY2d 53, 58 [1976], and *People v Gines*, 36 NY2d 932, 932-933 [1975], and citing *People v Morse*, 196 NY 306, 310 [1909], and *People v Governale*, 193 NY 581, 587 [1908]). The purpose is to assist the jury "to sort out ambiguous but material facts" (*People v Resek*, 3 NY3d 385, 390 [2004]). Absent such ambiguity, or where the ambiguity can be addressed "by far less prejudicial means" than the admission

of the uncharged crimes evidence, the exception is inapplicable (*id.* at 390).

In the limited cases where the exception applies, in order to be admissible the evidence of uncharged crimes must overcome two hurdles. First, it must be “relevant to a pertinent issue in the case other than a defendant’s criminal propensity to commit the crime charged” (*Till*, 87 NY2d at 836; *see also People v Cass*, 18 NY3d 553, 560 [2012]). Second, its probative value must “outweigh[] the risk of undue prejudice to the defendant” (*Till*, 87 NY2d at 836, citing *People v Chase*, 85 NY2d 493, 502 [1995], *People v Carter*, 77 NY2d 95, 107 [1990], *People v Hudy*, 73 NY2d 40, 55 [1988], and *Alvino*, 71 NY2d at 241; *see also Cass*, 18 NY3d at 560; *People v Green*, 35 NY2d 437, 442 [1974] [“past events lacking both relevance and probative value are inadmissible”]; *People v Allweiss*, 48 NY2d 40, 47 [1979]).

The majority concludes that evidence contained in the 911 tape is relevant to the material, nonpropensity issue of providing background information that explained the police encounter, and helped the jury understand the case in context. I disagree.

The prosecution argued that admission of the 911 tape was necessary to explain the reason the police stopped the defendant, the justification for the police conduct during the search, and to explain the potential danger in which the officers found themselves during the police encounter with the defendant. However, there was no prosecution theory of defendant’s guilt furthered or clarified by the 911 tape. Nor can it be said that on the facts of defendant’s case the jury needed a deep, illustrative “narrative” of the police encounter to determine defendant’s innocence or guilt of the charges.

As relevant here, all the People needed to prove the criminal weapons possession charges was that the police had stopped defendant, frisked him, and recovered a firearm from his person. In response, defendant would have advanced his claim of “transitory possession.” The fact that the police stopped defendant based on a call about a robbery might have been relevant to assist the jury in understanding the lawfulness of the stop. However, once defense counsel stated that the defendant would not challenge the stop in any way, and offered for the judge’s consideration an instruction that the stop was lawful, there was no ambiguity that could be clarified with the 911 tape evidence.

The majority concludes that evidence of the 911 call was needed to explain the resisting arrest charge, and that the

potential prejudice was outweighed because the tape was probative of “*all* of the police conduct” (majority op at 597). The majority is simply wrong in characterizing this evidence as necessary for the jury’s understanding of the police conduct viewed in totality. Unlawful police conduct, presumably the alleged excessive use of force in this case, cannot be excused merely because the police had reasonable suspicion to stop (*see generally* *People v De Bour*, 40 NY2d 210, 223 [1976], citing CPL 140.50 [1]; *Terry v Ohio*, 392 US 1 [1968]), which is all that the 911 evidence presented to the jury. Moreover, the jury certainly did not need information to understand the police conduct when a gun was found on the defendant immediately after the stop.

As to the probative value of the 911 tape evidence with respect to the police officer’s credibility on the resisting arrest charge, the majority ignores the fact that the exception for background and narrative is a narrow one, and is not intended as a backdoor to allow the prosecution to bolster the credibility of the People’s witnesses. Otherwise, there would be carte blanche admission of this type of evidence whenever the credibility of the police is at issue. In such event the exception would swallow the rule.

The majority’s conclusion also ignores the reality of the impact on the fairness of the proceedings of the playback of the 911 tape and the references to its contents throughout the trial. The playback of the tape was powerful evidence which planted in the jurors’ minds the idea of defendant’s criminal propensity. Although the tape was about an alleged robbery, the tape emphasized that a gun was involved, and that the possessor posed a danger beyond the actual robbery. According to the transcript of the call, the caller specifically stated that “A guy now pulled a gun in my face.” In response to the operator’s questions regarding whether there had been a theft of the caller’s jewelry, the caller answers, “Yeah. I ain’t worried about the chain, but the gun.” Again, moments later in response to questions about the caller’s present location, he answers, “I ain’t concerned with the chain, I just want you to get this guy off the streets.” Thus, the 911 evidence not only provided the jury an opportunity, if not an invitation, to treat defendant as the robber, but it also was suggestive of the danger posed by the robber to the purported victim, as well as the community at large. There can be no doubt that this evidence pointed the finger at the defendant for the alleged robbery. Such evidence was prejudicial to the defendant and risked the jury’s diversion from the elements of the crimes actually charged.

The narrative presented to the jury was not a narrative that sought to complete the encounter with the police, or to better understand the facts—the only narrative permissible under our case law (see *Till*, 87 NY2d at 837). Rather, the narrative was a creative representation of the danger of a gun-toting robber on the streets, the robber being the defendant. If this were not enough to establish the prejudicial nature of this evidence, the evidence consisted of unsubstantiated allegations that never resulted in charges against the defendant. Thus, similar to *Resek*, where we noted that the defendant was cleared of the uncharged crime, the jury was not made fully aware of the fact that no criminal action was taken against defendant as a result of the 911 call (see *Resek*, 3 NY3d at 389-390). As in *Resek*, the narrative was misleading, providing an opportunity for the jury to speculate that the defendant committed the crime (see *id.*).

While uncharged crimes evidence is admitted to ensure that the jury will not “‘wander helpless’ trying to sort out ambiguous but material facts” (*id.* at 390, quoting *Green*, 35 NY2d at 441), there was no real possibility on this record of the jury “wander[ing] helpless[ly], as in a maze, were the decisive occurrences not placed in some broader, expository context” (*Green*, 35 NY2d at 441-442, citing *People v Stanard*, 32 NY2d 143, 146 [1973]; *People v Atkins*, 7 AD2d 393, 397 [1959]). The concern for avoiding speculation on the part of the jury was not at issue. In my opinion, to the extent the jury speculated, such speculation was precipitated by the court’s admission of the 911 call and its attempt to provide limiting instructions.

We have made clear that the exceptions to the prohibition on the admission of uncharged crimes are to be considered applicable in “exceptional circumstances, with limiting cautionary instructions” (*Till*, 87 NY2d at 837). Thus, the limiting nature of the evidence, and its role in the trial, must be further explained to the jury through proper instructions, always careful to cabin it for the jury’s consideration, and with an eye to insuring that the instruction does not further prejudice the defendant (see *Resek*, 3 NY3d at 389 [limiting instruction is improper where it “made matters worse” by suggesting defendant’s guilt]).

Here, the limiting instructions failed to cabin the jurors’ consideration of the 911 evidence. Defendant conceded gun possession in order to advance a particular defense, and expressly agreed not to challenge the lawfulness of the stop. The court, however, proceeded to remind the jury on four, separate occasions that defendant was not under arrest for robbery. Those

instructions served to continuously remind the jury of defendant's possible involvement in an armed robbery. Perhaps even more detrimental to the defendant, the court's language suggested that there would be other references to the robbery. As the majority notes, the judge stated: "Indeed, if you hear any further testimony at this trial relative to those statements made by that caller, that evidence is not being admitted for the truth of what the caller is saying to the 911 dispatcher" (majority op at 592). This not only emphasized the robbery but alerted the jury to its continued significance to the trial. The fact that the court allowed the 911 tape to be played in open court, provided the jurors with a transcript of the call, permitted the police to testify to the call and the prosecutor to reference it several times, including during the summation, improperly drew attention to an uncharged crime. After numerous references by the judge, the centrality of the 911 evidence became all the more obvious to the jury. Thus, here there was a real possibility that the "jury may convict to punish the person portrayed by the evidence before them even though not convinced beyond a reasonable doubt of his guilt of the crime of which he is charged" (*Ventimiglia*, 52 NY2d at 359).*

Here, there was no need to admit the 911 evidence to assist the jury in gaining "a thorough appreciation of the interwoven events leading to defendant's culminating criminal conduct and of the competing theories of what happened and why" (*Till*, 87 NY2d at 837). As we stated in *Resek*, "there was no ambiguity that could not have been easily dealt with by far less prejudicial

* The majority discounts the effect of these instructions, and responds that it is counterintuitive to assume prejudice based on the judge's reminders to the jury not to infer defendant's guilt of the armed robbery and its instruction that the jurors consider the 911 evidence only to explain the police conduct (see majority op at 598 n 4). Taken to its logical conclusion, the majority's argument would mean that limiting instructions, regardless of content, repetition, and the evidence referenced by the instructions, are sufficient to overcome the prejudice inherent in the admission of evidence of uncharged crimes. That is certainly not the law. We have found that erroneous or misleading instructions cannot serve to adequately direct the jury as to the proper use of such evidence (see e.g. *Resek*, 3 NY3d at 389). Here, the several admonitions by the judge, emphasizing the playback and all other references to the 911 call, encouraged speculation about the defendant's role in the robbery.

To the extent the majority relies on the assumption that jurors are presumed to have followed a trial judge's limiting instructions (see majority op at 598-599), the majority fails to explain why that presumption does not apply to the instructions proposed by defense counsel. If the presumption applies, then we must assume the jurors would have followed defendant's proposed instructions, thus avoiding the misuse by the jury of prejudicial evidence.

means” (3 NY3d at 390). There was no need to “fill in gaps in ‘interwoven events’ ” to contextualize the case for the jury (*id.* at 389). The evidence was not relevant and it was error to admit it (*see Cass*, 18 NY3d at 560 n 3). Further, the purported probative value as background information did not outweigh its prejudicial effect, and the judge’s assessment otherwise was an abuse of discretion (*see id.*). I dissent.

SMITH, J. (dissenting). I agree with Judge Rivera that the 911 tape should not have been admitted, because its prejudicial impact far outweighed any value it might have in forestalling speculation about whether the police officers acted properly. I differ from Judge Rivera in that for me it is the hearsay rule, not the rule prohibiting proof of uncharged crimes, that makes the tape inadmissible. Defendant’s possession and unlawful use of a firearm shortly before his arrest might well have been relevant to show his intent—if it could be proved by admissible evidence. But it could not be, and was not. As the trial court recognized, the tape of the 911 call was not admissible for the truth of the statements made by the caller. I find it impossible to believe that any jury, on the facts of this case, could limit its consideration of the tape to the nonhearsay purpose for which it was purportedly offered.

Judges GRAFFEO, READ and PIGOTT concur with Judge ABDUS-SALAAM; Judge RIVERA dissents in an opinion in which Chief Judge LIPPMAN concurs; Judge SMITH dissents in a separate opinion.

Order affirmed.

[999 NE2d 520, 977 NYS2d 157]

GEORGITSI REALTY, LLC, Appellant, v PENN-STAR INSURANCE
COMPANY, Respondent.

Argued September 10, 2013; decided October 17, 2013

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “For purposes of construing a property insurance policy covering acts of vandalism, may malicious damage be found to result from an act not directed specifically at the covered property? If so, what state of mind is required?”

HEADNOTES

**Insurance — Property Insurance — Coverage for Vandalism — Act
Not Directed Specifically at Covered Property**

1. For purposes of construing a property insurance policy covering acts of vandalism, malicious damage may be found to result from an act not directed specifically at the covered property. Vandalism, as the term is ordinarily understood, need not imply a specific intent to accomplish any particular result; vandals may act simply out of a love of excitement, or an unfocused desire to do harm, or out of a desire to enrich oneself without caring about the consequences to others. Here it was not relevant that the alleged act of vandalism by the owner of the lot next door to plaintiff’s apartment building and its contractors—the continued excavation, in defiance of stop work and temporary restraining orders, of the lot resulting in cracks in the walls and foundations of plaintiff’s building—did not bring the alleged vandals in direct contact with the covered property. Where damage naturally and foreseeably results from an act of vandalism, a vandalism clause in an insurance policy should cover it.

**Insurance — Property Insurance — Coverage for Vandalism —
State of Mind**

2. To obtain coverage under a property insurance policy covering acts of vandalism, the insured must show malice, defined as such a conscious and deliberate disregard of the interests of others that the conduct in question may be called willful or wanton. That familiar test, used in reviewing awards of punitive damages, serves to distinguish between acts that may fairly be called vandalism and ordinary tortious conduct. Insurance against vandalism should not be converted into something approaching general coverage for property damage.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 521, 1980, 2022.

COUCH ON INSURANCE (3d ed) §§ 148:48, 148:51.
NY JUR 2d, Insurance §§ 1657, 1663, 1702.

ANNOTATION REFERENCE

What constitutes “vandalism” or “malicious mischief” within meaning of insurance policy specifically extending coverage to losses from such causes. 56 ALR5th 407.

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POINTS OF COUNSEL

The Dweck Law Firm LLP, New York City (*Jack S. Dweck* and *Christopher Fraser* of counsel), for appellant. I. The vandalism provision encompasses damage to the covered property based upon the intentional conduct by the adjacent owner and its excavator, even though the damage inflicted by the perpetrators was not directly to the insured’s property. (*Raymond Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 5 NY3d 157; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46; *Long Is. Light. Co. v Hartford Acc. & Indem. Co.*, 76 Misc 2d 832; *Caporino v Travelers Ins. Co.*, 62 NY2d 234; *Layzer v Leavitt*, 770 F Supp 2d 579; *Cordiano v Metacon Gun Club, Inc.*, 575 F3d 199; *Louisville & Jefferson County Metro. Sewer Dist. v Travelers Ins. Co.*, 753 F2d 533; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Ruder & Finn v Seaboard Sur. Co.*, 52 NY2d 663; *Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642.) II. The finding of willfulness from intentional illegal conduct constitutes malice. (*Louisville & Jefferson County Metro. Sewer Dist. v Travelers Ins. Co.*, 753 F2d 533; *Romanych v Liverpool & London & Globe Ins. Co.*, 8 Misc 2d 269; *Cresthill Indus. v Providence Washington Ins. Co.*, 53 AD2d 488; *Lamb v Cheney & Son*, 227 NY 418; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *Maurice Goldman & Sons v Hanover Ins. Co.*, 80 NY2d 986; *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 51 AD3d 649; *MBIA Inc. v Federal Ins. Co.*, 652 F3d 152; *Village of Sylvan Beach, N.Y. v Travelers Indem. Co.*, 55 F3d 114; *Casavecchia v Mizrahi*, 57 AD3d 702.)

Miranda Sambursky Slone Sklarin Verveniots LLP, Mineola (*Steven Verveniots* of counsel), for respondent. The first certified question should be answered in the negative, and the second certified question should be answered with a ruling that property damage caused by construction and excavation at the

adjacent property does not constitute vandalism covered by the policy. (*Government Empls. Ins. Co. v Kligler*, 42 NY2d 863; *Stoney Run Co. v Prudential-LMI Commercial Ins. Co.*, 47 F3d 34; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390; *Matter of Matco-Norca, Inc.*, 22 AD3d 495; *Harrigan v Liberty Mut. Fire Ins. Co.*, 170 AD2d 930; *Moshiko, Inc. v Seiger & Smith*, 137 AD2d 170, 72 NY2d 945; *Romanych v Liverpool & London & Globe Ins. Co.*, 8 Misc 2d 269; *Benson Holding Corp. v New York Prop. Ins. Underwriting Assn.*, 124 Misc 2d 955; *Roselli v Royal Ins. Co. of Am.*, 142 Misc 2d 857; *Fanberg Realty Corp. v Travelers Cos.*, 117 AD2d 582.)

OPINION OF THE COURT

SMITH, J.

The United States Court of Appeals for the Second Circuit has asked us two questions relating to a property insurance policy covering acts of “vandalism.” We answer that: (1) malicious damage within the coverage of such a policy may be found to result from acts not directed specifically at the covered property; and (2) to obtain coverage under such a policy, the insured must show malice, defined as such a conscious and deliberate disregard of the interests of others that the conduct in question may be called willful or wanton.

I

Plaintiff is the owner of a four-story apartment building in Park Slope, Brooklyn. It obtained from defendant a “named perils” policy of property insurance, covering “direct physical loss . . . or damage . . . caused by or resulting from” any of 14 kinds of events. The only peril relevant here is described in the policy as: “Vandalism, meaning willful and malicious damage to, or destruction of, the described property.”

Armory Plaza, Inc., the owner of the lot next to plaintiff’s building, decided to build a new building that would include an underground parking garage. It hired contractors to do the excavation. According to plaintiff, the excavation caused cracks in the walls and foundations of plaintiff’s building; the cracks became more pronounced, the building began to settle, and plaintiff feared the building would collapse. Plaintiff complained to the New York City Department of Buildings, which issued a series of violations and “stop work” orders. Plaintiff alleges that the violations resulted in guilty pleas or defaults and fines totaling more than \$36,000, but that the stop work orders were

ignored and the contractors kept working. Plaintiff obtained a temporary restraining order from Supreme Court, directing Armory and its contractors “to cease all construction and/or excavation work.” This order too, plaintiff says, was ignored.

Plaintiff made a claim under its policy which defendant rejected, and plaintiff brought suit in Supreme Court. The case was removed to the United States District Court for the Eastern District of New York, which granted summary judgment for defendant, holding that the alleged conduct of Armory and its contractors was not “vandalism” within the meaning of the policy (*Georgitsi Realty, LLC v Penn-Star Ins. Co.*, 2011 WL 4804873, 2011 US Dist LEXIS 116854 [ED NY, Aug. 30, 2011, No. 08-CV-4462 (DLI)(RML)] [Report and Recommendation of Magistrate Judge]; *Georgitsi Realty, LLC v Penn-Star Ins. Co.*, 2011 WL 4889251, 2011 US Dist LEXIS 114800 [ED NY, Sept. 30, 2011, No. 08-CV-4462 (DLI)(RML)] [adopting Report and Recommendation]). Plaintiff appealed to the Second Circuit Court of Appeals, which certified to us the following two questions:

“For purposes of construing a property insurance policy covering acts of vandalism, may malicious damage be found to result from an act not directed specifically at the covered property?”

“If so, what state of mind is required?” (*Georgitsi Realty, LLC v Penn-Star Ins. Co.*, 702 F3d 152, 159 [2d Cir 2012]).

We answer the first question yes, and answer the second by saying that the state of mind is the same that would be required to award punitive damages against the alleged vandal: such a conscious and deliberate disregard of the interests of others that the conduct in question may be called willful or wanton.

II

On the question of whether an act may be called “vandalism” when it was not directed specifically at the damaged property, the authorities, though sparse, support an affirmative answer, and our own analysis of the question leads us to the same conclusion.

Our Court has not, apparently, ever addressed the meaning of “vandalism” in an insurance policy. The most relevant New York case is an Appellate Division decision, *Cresthill Indus. v Providence Washington Ins. Co.* (53 AD2d 488 [2d Dept 1976]).

The plaintiff in that case had leased part of the ground floor of a warehouse and stored its property there. “[P]ersons described . . . as ‘perpetrators’ apparently broke into the unoccupied third floor of the warehouse, uncoupled the pipes carrying water to the bathroom fixture, carried away the fixtures and left the water running from the severed connections” (*id.* at 490). The water flowed down to the first floor and damaged plaintiff’s property. The damage was held to be covered by an insurance policy applicable to “[v]andalism and malicious mischief, meaning only willful and malicious damage to or destruction of the property covered hereunder” (*id.*), even though the “perpetrators” did not direct their acts at the plaintiff’s property, and presumably never knew that the plaintiff or its property existed.

A case closer to this one on its facts is the decision of the United States Court of Appeals for the Sixth Circuit in *Louisville & Jefferson County Metro. Sewer Dist. v Travelers Ins. Co.* (753 F2d 533 [6th Cir 1985]). There, the alleged vandal was one Distler, the owner of a recycling firm that had a contract to store toxic waste. Distler decided to save money by “storing” the waste in a public sewer. The sewer itself was not property covered under the plaintiff’s insurance policy, but the waste flowed to a sewage treatment plant that was covered. The plaintiff was allowed to recover the damage to the plant under a policy insuring against “vandalism and malicious mischief, meaning only direct loss by willful and malicious damage to or destruction of property” (*id.* at 534). Distler obviously was not directing his activities at the sewage treatment plant, but that did not prevent recovery. (See also *Cole v Country Mut. Ins. Co.*, 5 Ill App 3d 335, 282 NE2d 216 [1972].)

Cresthill and *Louisville*, insofar as they relate to the Second Circuit’s first question, seem to us indistinguishable from the present case. Defendant relies on *Fanberg Realty Corp. v Travelers Cos.* (117 AD2d 582 [2d Dept 1986]), but the brief opinion in that case gives it little help. *Fanberg* did involve vandalism coverage, and damage caused by contractors working on an adjacent building, but it contains no explanation of why the damage was not covered. It may be that the court found the activity of the alleged vandals not to be “malicious.”

[1] We agree with the holdings of the *Cresthill* and *Louisville* courts. We see no reason why the term “vandalism” should be limited to acts “directed specifically at the covered property.” Vandalism, as the term is ordinarily understood, need not imply a specific intent to accomplish any particular result; vandals

may act simply out of a love of excitement, or an unfocused desire to do harm, or (as in *Cresthill*, *Louisville*, and in the present case) out of a desire to enrich oneself without caring about the consequences to others. Nor does it seem relevant that the alleged act of vandalism here—as in *Cresthill* and *Louisville*—did not bring the alleged vandals in direct contact with the covered property. Where damage naturally and foreseeably results from an act of vandalism, a vandalism clause in an insurance policy should cover it.

It is true that, in some cases of alleged vandalism not directed at particular property, the term does not intuitively seem to fit. Thus, while the acts of the “perpetrators” in *Cresthill* seem like prototypical acts of vandalism, those in *Louisville* and the present case do not. The word vandalism, which derives from the sack of Rome by the original Vandals in 455 AD (*see* IV Edward Gibbon, *The History of the Decline and Fall of the Roman Empire* at 246-248 [Folio Society 1986]), more readily brings to mind people who smash and loot than business owners who seek their own profit in disregard of the injury they do to the property of others. We conclude, however, that there is no principled distinction between the two. An excavator who is paid to dig a hole, and does so in conscious disregard of likely damage to the building next door, is, for these purposes, not essentially different from an irresponsible youth who might dig a hole on the same property, with the same effect, whether in search of buried treasure or just for fun.

We answer yes to the Second Circuit’s first question.

III

[2] In common speech, and by the express terms of the policy in suit, vandalism is “malicious” damage to property. The Second Circuit’s second question asks, in essence, what state of mind amounts to “malice” for these purposes. We answer by adopting, insofar as it relates to property damage, the formulation we have used in reviewing awards of punitive damages. Conduct is “malicious” for these purposes when it reflects “such a conscious and deliberate disregard of the interests of others that [it] may be called wilful or wanton” (*Marinaccio v Town of Clarence*, 20 NY3d 506, 511 [2013], quoting *Dupree v Giugliano*, 20 NY3d 921, 924 [2012]; *see also Prozeralik v Capital Cities Communications*, 82 NY2d 466, 479 [1993]; *Carvel Corp. v Noonan*, 350 F3d 6, 24 [2d Cir 2003]; Prosser & Keeton, *Torts* § 2 at 9 [5th ed 1984]). This familiar test, we believe, will serve

to distinguish between acts that may fairly be called vandalism and ordinary tortious conduct. Insurance against vandalism should not be converted into something approaching general coverage for property damage. Insureds who want broader coverage should obtain it and pay an appropriate premium.

Accordingly, the certified questions should be answered as stated in this opinion.

ABDUS-SALAAM, J. (dissenting in part). “[V]andalism is defined as the destruction of property generally, and the same must be willful and malicious” (11 Steven Plitt et al., *Couch on Insurance* 3d § 155:92). With this definition in mind, I agree with the majority that an act may constitute “vandalism” within the meaning of an insurance policy even though the act was not directed specifically at the covered property; thus, the first certified question should be answered in the affirmative.

Malice is an essential ingredient of vandalism, as the majority recognizes, but its definition of the necessary “malicious” state of mind omits a critical component: intent to damage property. Willful and malicious damage to property is the very essence of vandalism, and a vandal’s malicious state of mind cannot be separated from his or her intent to damage or destroy property. Put differently, a perpetrator who acts maliciously but without the intent to damage property does not commit an act of vandalism, as that term is traditionally understood (*see id.*; Merriam-Webster’s Collegiate Dictionary 1383 [11th ed 2008]; *see also* Black’s Law Dictionary [9th ed 2009], vandalism). In those circumstances, the perpetrator engages in some other malicious act, perhaps one where malice may be proved by showing that the perpetrator evinced “such a conscious and deliberate disregard of the interests of others that [his or her conduct] may be called wilful or wanton” (majority op at 611 [internal quotations marks omitted]). In the context of insurance coverage for vandalism, however, such a showing should not suffice without evidence that the vandal intended to damage or destroy property, be it the covered property or otherwise.

Accordingly, I would hold that, to recover under a policy insuring against a loss caused by vandalism, the insured must prove that the damage was caused by a malicious act intended to damage property, even if not the insured’s specific property. Such an evidentiary requirement would better confine vandalism coverage to the bounds contracted for by the parties to an insurance contract, and prevent coverage from extending to willful and malicious acts not properly categorized as vandalism because property damage was not the actor’s primary intent.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur; Judge ABDUS-SALAAM dissents in part in an opinion.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[999 NE2d 1137, 977 NYS2d 692]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOHN
G. GLYNN, Appellant.

Argued September 9, 2013; decided October 17, 2013

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 23, 2012. The Appellate Division affirmed a judgment of the Oswego County Court (Walter W. Hafner, Jr., J.), which had convicted defendant, upon a jury verdict, of criminal possession of marihuana in the second degree, criminal sale of marihuana in the second degree, criminal possession of marihuana in the fourth degree, and criminal sale of marihuana in the fourth degree.

People v Glynn, 93 AD3d 1341, affirmed.

HEADNOTES

Judges — Recusal — Bias or Prejudice

1. In a prosecution for various drug offenses, the trial court's refusal to recuse itself was not an improvident exercise of discretion where defendant did not allege any statutory grounds for disqualification under Judiciary Law § 14 and conceded that the trial judge was not required to recuse himself simply because he had previously defended or prosecuted defendant, and the judge's allegedly "inappropriate" comments about defendant's character during a plea discussion were not indicative of bias or prejudice. For any alleged bias and prejudice to be disqualifying it must stem from an extrajudicial source and result in an opinion on the merits on some basis other than what the judge learned from his or her participation in the case. Here, the judge's comments that defendant had never had a job "on the books," had smoked marihuana daily for 32 years, had an extensive criminal history, and was "going to owe well over a million dollars in child support," were based on the information contained in the presentence investigation report and made during the course of the judge's execution of his responsibilities in presiding over the matter. Furthermore, there was no other record evidence that actual bias or prejudice existed. Moreover, the judge sua sponte raised the issue of his prior relation with defendant and could not recall any particulars of the past criminal matters.

Crimes — Right to Counsel — Effective Representation — Taking Position Adverse to Client

2. In a criminal prosecution, defendant was not denied effective assistance of counsel by his first attorney when, after defendant had asked the court for a new attorney based on statements made by defense counsel, the court relieved defense counsel and assigned new counsel of defendant's choosing. During a pretrial hearing, defense counsel failed to object to the trial judge

continuing to preside over the prosecution after the judge had informed the parties that he may have either represented or prosecuted defendant in the past. Defense counsel also told the judge that defendant was not cooperating with him and stated for the record that the judge was “abundantly fair” to defendant. Although defense counsel took it upon himself, unnecessarily, to alert the court that defendant had not been cooperating with him and expressed his opinion on defendant’s recusal motion, he was replaced upon defendant’s request. Thus, the assignment of the new attorney remedied any harm.

Crimes — Right to Counsel — Effective Representation — Contentious Exchanges with Judge

3. In a criminal prosecution, defendant was not denied effective assistance of counsel by his second attorney, who accused the judge of being “sarcastic,” “down right mean” and “cruel” and made a number of comments that were personal attacks on the judge and did not serve any purpose or strategy. While defense counsel’s egregious behavior and comments were not to be condoned, they were made outside the presence of the jury, and he otherwise provided meaningful representation. Among other things, he adequately attacked the credibility of the witnesses and effectively brought out on cross-examination deficiencies in the evidence.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Judges §§ 80, 81, 83, 86, 127, 138, 139, 164, 180, 181.
CARMODY-WAIT 2d, Officers of Court §§ 3:80, 3:86, 3:88, 3:98, 3:103; CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:170, 184:245.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 22.4.
MCKINNEY’S, Judiciary Law § 14.
NY JUR 2d, Courts and Judges §§ 399, 400, 406, 407, 412, 422, 425; NY JUR 2d, Criminal Law: Procedure §§ 859, 862, 864–870, 878.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Criminal Procedure Rules; Judges.

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POINTS OF COUNSEL

Sugarman Law Firm, LLP, Syracuse (*Paul V. Mullin* and *Jenna W. Klucsik* of counsel), for appellant. I. Judge Hafner’s

refusal to disqualify himself denied John M. Glynn of his right to a fair trial. (*Matter of Murphy*, 82 NY2d 491; *People v Warren*, 100 AD3d 1399; *People v Moreno*, 70 NY2d 403; *People v Horton*, 18 NY2d 355; *People v Casey*, 61 AD3d 1011; *People v Lerario*, 43 AD3d 492; *People v Jones*, 143 AD2d 465; *People v Tartaglia*, 35 NY2d 918; *People v Curkendall*, 12 AD3d 710; *People v Corelli*, 41 AD2d 939.) II. Mr. Glynn was denied effective assistance of counsel. (*People v Baldi*, 54 NY2d 137; *O'Sullivan v Boerckel*, 526 US 838; *Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Ortiz*, 76 NY2d 652; *People v Lawrence*, 27 AD3d 1091; *People v Caccavale*, 305 AD2d 695; *People v Coleman*, 294 AD2d 843; *People v Wise*, 64 AD2d 272; *People v Hawkins*, 11 NY3d 484.) III. Taken together, the circumstances deprived Mr. Glynn of a fair trial. (*People v Tartaglia*, 35 NY2d 918.)

Gregory S. Oakes, District Attorney, Oswego (Mark Moody of counsel), for respondent. I. The trial court was not biased or prejudiced against defendant, and, therefore, defendant was not denied a fair trial. (*People v Moreno*, 70 NY2d 403; *People v Baker*, 64 NY2d 1027; *People v Muhammad*, 17 NY3d 532; *People v Horton*, 18 NY2d 355; *Matter of Murphy*, 82 NY2d 491; *People v Smith*, 63 NY2d 41, 469 US 1227; *People v Tartaglia*, 35 NY2d 918; *People ex rel. Stickle v Fay*, 14 NY2d 683; *People v Bennett*, 14 NY2d 851; *People v Jones*, 143 AD2d 465.) II. Defendant received effective assistance of counsel during the entire case. (*People v Baldi*, 54 NY2d 137; *People v Henry*, 95 NY2d 563, 547 US 1040; *People v Taylor*, 1 NY3d 174; *People v Lawrence*, 27 AD3d 1091; *People v Caccavale*, 305 AD2d 695; *People v Contes*, 60 NY2d 620; *People v McDaniel*, 13 NY3d 751; *People v Danielson*, 9 NY3d 342.) III. Defendant was not deprived of a fair trial because no errors occurred. (*People v Tartaglia*, 35 NY2d 918.)

OPINION OF THE COURT

PIGOTT, J.

The central issue in this case is whether the County Court Judge's failure to recuse himself from the case deprived defendant of his right to a fair trial. We conclude that it did not.

Defendant was indicted for various drug offenses arising from an undercover operation involving the sale of marihuana. At a *Huntley** hearing, the County Court Judge informed the parties that he may have either represented or prosecuted defendant in

* *People v Huntley*, 15 NY2d 72 (1965); CPL 60.45.

the past. Neither party objected to his continuing to preside over the matter.

At a later hearing, however, defendant requested that the judge recuse himself, basing his request solely on the judge's prior representation of him on unrelated criminal matters. Not recalling anything about those representations, the judge commented that defendant had been arrested 39 times and that he assumed that defendant "had a large majority of the defense bar at some point representing [him]." The judge ultimately found no reason to disqualify himself and denied the motion.

The judge proceeded to a discussion of the appropriate sentence if defendant were to accept a negotiated plea. He reviewed the presentence investigation and noted that the report showed defendant had never had a job "on the books," had smoked marihuana daily for 32 years, and had an extensive criminal history. Additionally, the judge noted that, according to the presentence investigation report, defendant owed substantial sums in back child support for his 10 children. The judge continued by remarking that because the youngest child was only seven years old defendant was "going to owe well over a million dollars in child support." In light of the report, the judge indicated that he would sentence defendant to four years' incarceration.

The discussion then returned to the recusal request, and defendant argued this time that the judge was biased and prejudiced against him. The court noted that it had suppressed certain evidence, thus pointing out that it was not showing any bias against defendant. Defendant responded that the judge "didn't do [him] any favors" because the judge had to follow the law. At that point, defense counsel attempted to stop defendant from engaging in a colloquy with the court, stating:

"Your Honor[,] [defendant] has not been cooperating with me when I ask him to do something he doesn't do it, he never shows up to my office except for once. Judge and for the record your Honor on that [*Huntley*] hearing you suppressed two major statements, however one was, is going to be permitted. So I guess you were abundantly fair you know and I think you are. The offer is very, very reasonable Judge. For the record. And I'm hoping that my client takes this based upon the facts and circumstances surrounding his case."

At a later hearing, defendant asked the court for a new attorney based on the statements made by defense counsel. The court ultimately relieved defense counsel and assigned new counsel of defendant's choosing.

After a jury trial, defendant was convicted of criminal possession of marihuana in the second degree (Penal Law § 221.25), criminal sale of marihuana in the second degree (Penal Law § 221.50), criminal possession of marihuana in the fourth degree (Penal Law § 221.15) and criminal sale of marihuana in the fourth degree (Penal Law § 221.40).

Defendant appealed arguing, among other things, that the County Court Judge should have removed himself from the matter and that he was denied the effective assistance of counsel. The Appellate Division affirmed the judgment (93 AD3d 1341 [4th Dept 2012]), holding that the judge's recusal was not warranted on any basis and that defendant received meaningful representation.

A Judge of this Court granted defendant leave to appeal (19 NY3d 973 [2012]).

I.

[1] Unless disqualification is required under Judiciary Law § 14, a judge's decision on a recusal motion is one of discretion (*see People v Moreno*, 70 NY2d 403, 405 [1987]). "This discretionary decision is within the personal conscience of the court when the alleged appearance of impropriety arises from inappropriate awareness of nonjuridical data" (*id.* [internal quotation marks omitted]). We have held that for any alleged bias and prejudice to be disqualifying it "must stem from an extrajudicial source and result in an opinion on the merits on some basis other than what the judge learned from his participation in the case" (*id.* at 407, quoting *United States v Grinnell Corp.*, 384 US 563, 583 [1966]; *see also Berger v United States*, 255 US 22, 31 [1921] ["bias or prejudice which can be urged against a judge must be based upon something other than rulings in the case"]). This Court's review in this respect is limited to whether the judge abused his discretion as a matter of law (*see Moreno*, 70 NY2d at 407).

Defendant does not allege any statutory grounds for disqualification under the Judiciary Law and concedes that the judge was not required to recuse himself simply because he had previously defended or prosecuted defendant (*see People v Lerario*, 43

AD3d 492, 492 [3d Dept 2007]; *see generally People v Tartaglia*, 35 NY2d 918, 919-920 [1974]). Rather, defendant argues that the judge was biased and prejudiced against him, as demonstrated by his “inappropriate” comments about his character. Under these circumstances, defendant argues, recusal was warranted. We disagree.

The judge’s comments were not indicative of bias or prejudice. Rather, the comments were based on the information contained in the presentence investigation report and made during the course of the judge’s execution of his responsibilities in presiding over the matter. Further, there was no other record evidence that actual bias or prejudice existed. Indeed, the judge *sua sponte* raised the issue of his prior relation with defendant and could not recall any particulars of the past criminal matters. Thus, the court’s refusal to recuse itself was not an improvident exercise of discretion.

II.

[2, 3] Defendant next contends that both his original and later appointed defense counsel engaged in egregious and prejudicial conduct that demonstrated they were not devoted to his best interests. As it pertains to his first attorney, he points to two facts. The attorney did not take the opportunity, which the judge gave him, to request that the judge disqualify himself. He also told the judge that defendant was not cooperating with him and stated for the record that the judge was “abundantly fair” to defendant. Defendant argues that his first attorney thus became a witness against him, taking a position adverse to his interest.

As it pertains to his second attorney, defendant argues that the attorney had multiple inappropriate and contentious exchanges with the judge that undermined defendant’s case. He points to instances where the attorney accused the judge of being “sarcastic,” “down right mean” and “cruel.” Many of the comments were personal attacks on the judge and did not serve any purpose or strategy.

Although the first attorney took it upon himself, unnecessarily, to alert the court that defendant had not been cooperating with him and expressed his opinion on defendant’s recusal motion, he was replaced upon defendant’s request. Thus, the assignment of the new attorney remedied any harm (*see generally People v Mitchell*, 21 NY3d 964 [2013]).

Further, while we do not condone the second attorney’s alleged egregious comments and behavior, they were made outside

the presence of the jury, and he otherwise provided meaningful representation to defendant. Among other things, he adequately attacked the credibility of the witnesses and effectively brought out on cross-examination deficiencies in the evidence. Thus, under our case law, defendant was not denied effective assistance of counsel (*see People v Benevento*, 91 NY2d 708, 712-713 [1998]).

III.

Defendant's remaining contention, that the entirety of the circumstances of the case deprived him of a fair trial, is without merit.

Accordingly, the order of the Appellate Division should be affirmed.

ABDUS-SALAAM, J. (dissenting). I agree with the majority that the trial judge did not abuse his discretion as a matter of law in refusing to recuse himself and that the conduct of defendant's first attorney did not rise to the level of ineffective assistance of counsel. Nonetheless, I cannot concur in the majority's view that defendant's second attorney provided him with meaningful representation. The hallmark of meaningful representation is the provision of reasonably competent legal advocacy by "an attorney devoted to the client's best interests" (*People v Ortiz*, 76 NY2d 652, 656 [1990]). At critical junctures in the proceedings in this case, however, defendant's second attorney abandoned his client's interests to settle a long-standing personal dispute with the judge, and otherwise undermined his client's defense. Thus, defendant was denied the effective assistance of counsel, and his conviction should be reversed. Because the majority concludes otherwise, I must respectfully dissent.

Under the State and Federal Constitutions, a defendant has a right to the effective assistance of counsel (*see* US Const 6th Amend; NY Const, art I, § 6; *People v Baldi*, 54 NY2d 137, 146 [1981]). Under the New York State Constitution, that guarantee entitles the defendant to "meaningful representation" (*People v Oliveras*, 21 NY3d 339, 346 [2013]; *Baldi*, 54 NY2d at 146). A defense attorney fails to provide meaningful representation when counsel's performance falls below an objective standard of reasonableness and deprives the defendant of a fair trial (*see People v Turner*, 5 NY3d 476, 485 [2005]; *People v Hobot*, 84 NY2d 1021, 1022 [1995]). Upon reviewing a claim of ineffective assistance of counsel, this Court must reverse the defendant's

conviction if “the cumulative effect of [defense] counsel’s actions deprived defendant of meaningful representation,” even though each error, taken individually, might not warrant reversal (*People v Oathout*, 21 NY3d 127, 132 [2013] [internal quotation marks and citation omitted]). In addition, while this Court “would, indeed, be skeptical of an ineffective assistance of counsel claim absent any showing of prejudice,” the existence of specific prejudice caused by counsel’s errors is “not [an] indispensable element in assessing meaningful representation” (*People v Stultz*, 2 NY3d 277, 283-284 [2004]; see *People v Ennis*, 11 NY3d 403, 412 [2008]). In the instant case, defendant’s second attorney committed a series of errors that, viewed in totality and in context, warrant reversal of defendant’s conviction.

By the time defendant’s second attorney, Salvatore Lanza, Esq., entered the case, defendant faced a tense situation. At that point, there appeared to be considerable friction between defendant and the trial judge, which resulted from the judge’s negative comments about defendant’s background during plea negotiations and defendant’s motion to remove the judge from the case. Indeed, upon counsel Lanza’s arrival in court, the judge continued to take a dim view of defendant; in response to counsel’s request for a more lenient plea bargain on the ground that “most people don’t like to go to jail,” the judge snapped back, “Most people don’t sell pounds and pounds of marijuana, allegedly, okay?” Clearly, then, the situation called for tact and caution to ensure that the court would not be dismissive of defendant’s evidentiary arguments at trial or, in the event of a conviction, any requests for leniency at sentencing.

However, far from tactfully representing his client’s best interests, counsel went out of his way to antagonize the court for reasons that had nothing to do with this case or defendant’s interests. Specifically, during a police witness’s testimony at trial, counsel objected to the witness’s description of certain photographs on defendant’s cellular telephone, and the court held a sidebar conference. Counsel elaborated on his objection at the sidebar, and the judge noted that counsel was taking a “sarcastic” tone with him. Counsel retorted:

“No, Judge, you are on some agenda. You are on an agenda. You have been since *People versus Alan Jones*. I am not going to put up with it at my age. I am going to make a record of your conduct against me. I am going to make a record and I am not going

to stop making a record. . . . You are the boss, Judge. You are the boss of this court. You do what you want to do. I don't like it when you are being sarcastic to me, and you are just down right mean. I am fifty-one years old and I have known you for twenty-four years, and I am not going to trash the law that way. It is not right. Proceed. I will make a record every time you are so cruel to a fellow attorney and Officer of this Court. You have been doing it since Alan Jones. I am not putting up with it. I told you that. If we have to go to [the supervising judge], I am going to go. You made a sarcastic remark to an attorney practicing twenty-four years. You are trying to belittle me and embarrass me in front of my colleagues. It is wrong. I have known you a long time. It is wrong what you are doing. Stay quiet."

By impugning the court's fairness and civility, counsel completely failed to advance any strategic interest of his client or otherwise aid the defense. To the contrary, counsel's outrageous comments made it more likely that the court would discount any future objections from counsel as baseless complaints by someone bearing a personal grudge against the court.

Counsel continued this misconduct at sentencing, thereby diminishing defendant's chances of receiving a more lenient sentence. After asking the court to impose a lenient sentence in light of alleged weaknesses in the trial evidence, counsel said:

"You have been writing, and you are not listening to this. . . . I think you know what I think, Judge. I think you ought to be upset. You ought to be upset when you heard that testimony [at trial], and it was all over the place, and then the officer said, 'Oh, I made a mistake. Oh, gee, that is an incorrect number.' He made a mistake. How many mistakes were made, and they never even contacted you. They never even told you. You should have been upset, but, you know, you don't care. You don't care. All right, the police made a mistake. You don't care about it. . . . [T]hat doesn't concern you, and we are here. . . . You have to look at the papers, and it's obvious to me that all the months he was on this case and other counsel, you never even looked at the file. Why do I say that? The photographs said

one day earlier. Why didn't you catch that? Why didn't you catch the different numbers on the weight and all their inconsistencies, and they never even decided to tell you and everything is fine and dandy and you are going to accept it. You were a defense counsel once. You even represented [defendant]. You represented him and you represented him a number of times. We have no problem with that. You are a fair man, a fair judge. . . . You have alternatives here. But, you know, like it's comfortable. You are going to do the comfortable thing. You don't like a lot of waves. . . . You don't want to be on TV. You have got bigger plans, and I know that. Instead of doing what is the right thing to do and sentence him alternatively, you are going to do what you are going to do, take the safe route, and that is how I have known you. . . . We are ready for sentence, Judge. We know what you are going to do. You always do the same thing."

Apparently not content to simply accuse the judge of choosing convenience over "the right thing," counsel later told the judge:

"So why don't you just get on with sentencing just because I know what you are going to do. You are going to play it safe, just how you always do it instead of dismissing these charges from the get-go when they should have been dismissed at the close of the People's case. You took the safe way out and you said, 'Oh, let the jury decide.' Why are you a judge? Why are you sitting there?"

Of course, counsel's claims that the judge was apathetic, ignored principle in favor of expediency and had failed to do his duty could not have helped defendant or endeared him to the court. In fact, immediately after counsel's rant, the court sentenced defendant to an aggregate prison term of six years, consisting of a four-year prison term, a consecutive two-year prison term and two concurrent one-year definite jail terms, whereas the court could have sentenced defendant to an aggregate concurrent prison term of 1½ years (*see* Penal Law §§ 70.25, 70.70 [3] [b] [iii]). Notably, before trial—and before counsel's egregious behavior—the court had offered defendant a determinate four-year prison term in exchange for his plea of guilty to criminal possession of marijuana in the second degree, in full satisfaction of the indictment. In short, confronted with an already

difficult situation, counsel decided to repeatedly antagonize the judge and make matters worse for his client without any strategic reason for doing so, thus failing to meet reasonable professional standards of competence.

In addition to those inexplicable outbursts, counsel improperly gave the jury the impression that defendant had no viable defense and was worthy of derision. At one point, counsel prefaced his question to a witness by stating, "I can only do what I can do," thus possibly indicating that there was little he could do to defend his client. Later, counsel mocked defendant's mannerisms, asking another witness whether defendant had said, "Dude," and adding, "he talks like that, doesn't he?"

Beyond those inappropriate remarks, counsel suggested that, rather than simply holding the People to their burden of proof, the jury should decide the case based on whether it believed the officers' testimony or the defense theory of the case. When questioning a police witness about whether he had any photographic proof that one of the charged marijuana sales had occurred, counsel asked, "It is just your word [against] my client's word, right?" In summation, counsel told the jury that he was "not going to put [defendant] on the stand so [the prosecutor] can cross-examine him until the cows come home." By first urging the jurors to weigh defendant's "word" against that of the People's witnesses and then telling them that they did not hear defendant's "word" because counsel feared subjecting it to cross-examination, counsel invited the jury to speculate that defendant did not take the stand because he was a dishonest person who could neither deliver testimony that would withstand cross-examination nor offer any credible rebuttal to the People's proof.

Accordingly, although the individual impact of each of counsel's missteps outlined above might not warrant reversal of defendant's conviction, I believe that the cumulative effect of counsel's incendiary statements to the court and prejudicial comments to the jury deprived defendant of a fair trial and sentencing proceeding (*see Oathout*, 21 NY3d at 132; *cf. People v Flores*, 84 NY2d 184, 188-189 [1994]).

The majority does not dispute that counsel's vituperative remarks about the judge "did not serve any purpose or strategy" (majority op at 619), but it insists that counsel provided meaningful representation on the whole because he effectively cross-examined the People's witnesses and refrained from criticizing the judge in the jury's presence (*see id.* at 619-620).

However, defendant's right to an effective attorney "mean[t] more than just having a person with a law degree nominally represent him upon a trial and ask questions" (*People v Bennett*, 29 NY2d 462, 466 [1972]). Furthermore, counsel effectively eliminated any progress he had made in discrediting the People's witnesses by arguing in summation that defendant did not have the credibility to stand up to the same kind of cross-examination to which he had subjected those witnesses. In addition, although counsel did not denigrate the judge in front of the jury, counsel's intemperate remarks also risked distracting the judge from seriously entertaining defendant's legal objections at trial. And, counsel's misbehavior may have influenced the judge's decision to sentence defendant to consecutive prison terms in response to counsel's provocation.

In sum, several times during the proceedings in County Court, defendant's lawyer essentially left him to fend for himself while counsel engaged in a series of personal spats with the trial judge. Moreover, counsel led the jury to believe that defendant had no credibility, little dignity and no real defense. Standing trial with years of his life on the line, defendant sat in court and looked on as his lawyer fought with the judge, insinuated that defendant was a liar and caricatured him as a buffoon. No one in that situation would seriously believe that he or she was receiving the fair trial guaranteed by the State Constitution. I certainly would not, and therefore I dissent and vote to reverse the order of the Appellate Division.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur with Judge Pigott; Judge ABDUS-SALAAM dissents and votes to reverse in an opinion in which Judge RIVERA concurs.

Order affirmed.

[999 NE2d 1130, 977 NYS2d 685]

In the Matter of SAMUEL BELZBERG, Appellant, et al., Petitioners, v VERUS INVESTMENTS HOLDINGS INC., Respondent.

Argued September 4, 2013; decided October 17, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 24, 2012. The Appellate Division (1) reversed, on the facts and the law, so much of a supplemental order and judgment (one paper) of the Supreme Court, New York County (Shirley Werner Kornreich, J.), entered in a proceeding pursuant to CPLR article 75, as had granted the petition to permanently stay the arbitration as to petitioner Samuel Belzberg and denied the cross petition to compel petitioner Belzberg to arbitrate; (2) denied the petition; and (3) granted the cross petition.

Matter of Belzberg v Verus Invs. Holdings Inc., 95 AD3d 713, reversed.

HEADNOTE

Arbitration — Agreement to Arbitrate — Compelling Arbitration by Nonsignatory — Direct Benefits Estoppel Theory

Petitioner investor, a nonsignatory to the brokerage account agreement between respondent coinvestor and respondent's brokerage firm, could not be compelled under the direct benefits theory of estoppel to arbitrate respondent's claim against petitioner for petitioner's share of unpaid Canadian withholding taxes resulting from the parties' securities transactions to effect the merger of two companies. A nonsignatory to an arbitration agreement may be compelled to arbitrate where the nonsignatory knowingly exploits the benefits of an agreement containing an arbitration clause, and receives benefits flowing directly from the agreement. Where the benefits are merely indirect, a nonsignatory cannot be compelled to arbitrate a claim. A benefit is indirect where the nonsignatory exploits the contractual relation of the parties, but not the agreement itself. The guiding principle in distinguishing between direct and indirect benefits is whether the benefit gained by the nonsignatory is one that can be traced directly to the agreement containing the arbitration clause. Petitioner, as the financial advisor for the British Virgin Islands company that furnished the money for petitioner's share of the investment, diverted the profits attributable to that company's investment to one of petitioner's friends. Petitioner's diversion to his friend did not constitute a direct benefit from the underlying brokerage account. Petitioner's ability to divert those profits flowed directly from his status vis-à-vis the company, not as a result of any relationship with respondent or respondent's brokerage firm, and not based on the underlying agreement between those parties.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Alternative Dispute Resolution § 60.
CARMODY-WAIT 2d, Arbitration § 141:100.
NY JUR 2d, Arbitration and Award §§ 22, 73, 79.
SIEGEL, NY PRAC § 588.

ANNOTATION REFERENCE

Application of equitable estoppel to compel arbitration by
or against nonsignatory—state cases. 22 ALR6th 387.

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POINTS OF COUNSEL

Kaye Scholer LLP, New York City (*H. Peter Haveles, Jr.*, and *Stacey A. Lara* of counsel), for appellant. I. The Appellate Division erroneously ignored the clear limits on the application of the direct benefits estoppel doctrine. (*Steelworkers v Warrior & Gulf Nav. Co.*, 363 US 574; *AT&T Technologies, Inc. v Communications Workers*, 475 US 643; *John Hancock Life Ins. Co. v Wilson*, 254 F3d 48; *McMahan Sec. Co. L.P. v Aviator Master Fund, Ltd.*, 20 Misc 3d 386; *Merrill Lynch Inv. Mgrs. v Optibase, Ltd.*, 337 F3d 125; *Bridas S.A.P.I.C. v Government of Turkmenistan*, 345 F3d 347; *Thomson-CSF, S.A. v American Arbitration Assn.*, 64 F3d 773; *Denney v BDO Seidman, L.L.P.*, 412 F3d 58; *TNS Holdings v MKI Sec. Corp.*, 92 NY2d 335; *MAG Portfolio Consultant, GmbH v Merlin Biomed Group LLC*, 268 F3d 58.) II. The trial court correctly held that Winton Capital Holding's liability cannot be imputed to Samuel Belzberg. (*Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135.)

Wolf Haldenstein Adler Freeman & Herz LLP, New York City (*Charles J. Hecht* and *Daniel Tepper* of counsel), for respondent. I. This appeal should be dismissed because it presents no issue of New York state law. (*N.J.R. Assoc. v Tausend*, 19 NY3d 597; *Matter of Diamond Waterproofing Sys., Inc. v 55 Liberty Owners Corp.*, 4 NY3d 247; *Southland Corp. v Keating*, 465 US 1.) II. The First Department correctly held that Samuel Belzberg must arbitrate this dispute under the doctrine of direct benefits estoppel. (*Smith/Enron Cogeneration Ltd. Partnership, Inc. v Smith*

Cogeneration Intl., Inc., 198 F3d 88; *American Bur. of Shipping v Tencara Shipyard S.p.A.*, 170 F3d 349; *Deloitte Noraudit A/S v Deloitte Haskins & Sells, U.S.*, 9 F3d 1060; *Shearson/American Express Inc. v McMahon*, 482 US 220; *Legacy Wireless Servs., Inc. v Human Capital, L.L.C.*, 314 F Supp 2d 1045; *Sherman v Town of Rhinebeck*, 133 AD2d 77; *Wood v PennTex Resources, L.P.*, 458 F Supp 2d 355.)

OPINION OF THE COURT

RIVERA, J.

In this CPLR article 75 proceeding, petitioner Samuel Belzberg (Belzberg) appeals an order of the Appellate Division that, inter alia, denied his application for a permanent stay of third-party arbitration claims (*see* 95 AD3d 713 [1st Dept 2012]). For the reasons that follow, we reverse.

In October 2008, Belzberg contacted a longtime business associate, Ajmal Khan, the principal of respondent Verus Investments Holdings Inc. (Verus), about an investment opportunity involving the purchase of securities in Fording Canadian Coal Trust to arbitrage a merger between Fording and another Canadian company (the Fording Trade). After several discussions about potential tax consequences, Belzberg and Khan decided to proceed with the Fording Trade. To complete the securities purchase Belzberg required an American brokerage account, and therefore agreed with Khan to use Verus' account at Jefferies & Co., Inc. (Jefferies). Belzberg's source for the investment money would be Winton Capital Holding (Winton), a British Virgin Islands corporation owned by a trust established by Belzberg and naming Belzberg's children as the sole beneficiaries, and for which Belzberg served as an unpaid financial advisor.¹ Belzberg directed that \$5 million be sent from Winton to the Jefferies account for the purchase, and Verus wired an additional \$1 million of its own funds.

After the merger, Jefferies wired to Verus both the original \$5 million investment and \$223,655.25 in profits attributable to the Winton funds. Verus thereafter wired the \$5 million to Winton and upon instructions from Gibralt Capital, a Canadian holding company that Belzberg used to facilitate the Fording Trade, wired the profits to Doris Lindbergh (Lindbergh), a

1. The parties do not dispute Belzberg's status as a financial advisor, and therefore for purposes of this appeal we assume this to be his position at Winton.

friend of Belzberg. This money apparently was intended for Lindbergh to purchase a summer home.²

The Canadian tax authorities thereafter informed Jefferies that it owed a \$928,053.45 withholding tax on the Fording Trade. Pursuant to the arbitration clause in the agreement between Jefferies and Verus (Jefferies-Verus agreement), Jefferies commenced an arbitration against Verus for the unpaid taxes before the Financial Industry Regulatory Authority. Verus answered and asserted third-party arbitration claims against Belzberg, Lindbergh, Winton, and Gibralt for their share of the taxes.

Belzberg, Lindbergh, Winton, and Gibralt filed an article 75 petition to stay arbitration of the third-party claims, and Verus cross-moved to compel arbitration. Supreme Court permanently stayed the arbitration as against Gibralt, granted the motion to compel Winton to arbitrate, and held the proceeding against the remaining parties in abeyance, pending a hearing on the petition and cross motion as to Belzberg and Lindbergh.

At the hearing, Lindbergh testified as to the money Belzberg had forwarded her. Among other things, she claimed that Belzberg had told her to pay him back when she could. The court considered Belzberg's out-of-state deposition, in which Belzberg claimed that he had no ownership interest in Winton. Supreme Court determined that nonsignatories Belzberg and Lindbergh could not be compelled to arbitrate. The court concluded that the doctrine of arbitration by estoppel, which requires that a nonsignatory to an arbitration agreement receive a "direct benefit" from the agreement in order to be compelled to arbitrate a claim, did not apply, because Belzberg did not receive a benefit which flowed directly from the Jefferies-Verus agreement, and Lindbergh did not knowingly exploit that agreement.

On appeal, the Appellate Division reversed. The court determined that Belzberg should be estopped from avoiding arbitration because he knowingly exploited and received direct benefits from the agreement between Jefferies and Verus. It concluded that Belzberg diverted the profits from the trade to Lindbergh, and thus he directly benefitted from the agreement which made possible the trade that resulted in the profits. This

2. The parties contest whether this was a loan or a gift, and whether the source was Belzberg or Winton. However, it is undisputed that there is no written document setting forth the terms and understandings related to this money, including whether or when it would be repaid.

Court granted Belzberg's motion for leave to appeal (19 NY3d 812 [2012]).

Belzberg now argues that the Appellate Division erroneously applied the direct benefits estoppel doctrine because he did not receive a direct benefit from the underlying agreement between Verus and Jefferies. Verus asserts that the Appellate Division properly concluded that Belzberg derived a direct benefit from the Jefferies-Verus agreement because he directed the profits to his friend Lindbergh. We conclude that Belzberg did not receive a direct benefit from the arbitration agreement, and cannot be compelled to arbitrate.

Arbitration is a matter of contract (*see Thomson-CSF, S.A. v American Arbitration Assn.*, 64 F3d 773, 776 [2d Cir 1995]), "grounded in agreement of the parties" (*County of Sullivan v Edward L. Nezelek, Inc.*, 42 NY2d 123, 128 [1977]). As a consequence, notwithstanding the public policy favoring arbitration (*see TNS Holdings v MKI Sec. Corp.*, 92 NY2d 335, 339 [1998]), nonsignatories are generally not subject to arbitration agreements (*see Steelworkers v Warrior & Gulf Nav. Co.*, 363 US 574, 582 [1960] ["a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit"]; *see also Thomson-CSF*, 64 F3d at 776 [arbitration agreements "must not be so broadly construed as to encompass claims and parties that were not intended by the original contract"]). However, under limited circumstances nonsignatories may be compelled to arbitrate (*see TNS Holdings*, 92 NY2d at 339 [recognizing "in certain limited circumstances the need to impute the intent to arbitrate to a nonsignatory"]).

Some New York courts have relied on the direct benefits estoppel theory, derived from federal case law, to abrogate the general rule against binding nonsignatories (*see Matter of SSL Intl., PLC v Zook*, 44 AD3d 429 [1st Dept 2007]; *HRH Constr. LLC v Metropolitan Transp. Auth.*, 33 AD3d 568 [1st Dept 2006]; *see also Oxbow Calcining USA Inc. v American Indus. Partners*, 96 AD3d 646 [1st Dept 2012]).³ On this appeal, we must consider whether by application of this theory Belzberg may be estopped from avoiding arbitration.

3. In addition to estoppel, federal courts have relied on other theories as a basis by which to bind nonsignatories to an arbitration agreement: incorporation by reference, assumption, agency, and veil-piercing/alter ego (*see Thomson-CSF*, 64 F3d at 776). Verus unsuccessfully asserted a claim under the pierced corporate veil theory. This theory of individual liability "is typically employed by a third party seeking to go behind the corporate existence in order to

(n. cont'd)

Under the direct benefits theory of estoppel, a nonsignatory may be compelled to arbitrate where the nonsignatory “knowingly exploits” the benefits of an agreement containing an arbitration clause, and receives benefits flowing directly from the agreement (see *MAG Portfolio Consultant, GmbH v Merlin Biomed Group LLC*, 268 F3d 58, 61 [2d Cir 2001] [“Under the estoppel theory, a company ‘knowingly exploiting (an) agreement (with an arbitration clause can be) estopped from avoiding arbitration despite having never signed the agreement’ ”]; see also *Deloitte Noraudit A/S v Deloitte Haskins & Sells, U.S.*, 9 F3d 1060, 1064 [2d Cir 1993] [“Noraudit knowingly accepted the benefits of the Agreement through its continuing use of the name ‘Deloitte’ ”]; *Reid v Doe Run Resources Corp.*, 701 F3d 840, 846 [8th Cir 2012] [“Direct benefits estoppel applies when a nonsignatory knowingly exploits the agreement containing the arbitration clause”], quoting *Bridas S.A.P.I.C. v Government of Turkmenistan*, 345 F3d 347, 361-362 [5th Cir 2003]).

Where the benefits are merely “indirect,” a nonsignatory cannot be compelled to arbitrate a claim. A benefit is indirect where the nonsignatory exploits the contractual relation of the parties, but not the agreement itself (see *MAG Portfolio*, 268 F3d at 61 [“The benefits must be direct—which is to say, flowing directly from the agreement. . . . By contrast, the benefit derived from an agreement is indirect where the nonsignatory exploits the contractual relation of parties to an agreement, but does not exploit (and thereby assume) the agreement itself”], citing *Thomson-CSF*, 64 F3d at 778-779).

Federal courts have grappled with this dichotomous approach to imposing arbitration on nonsignatories. The analysis in several cases provides useful guidance on how to apply the theory. For example, in *Deloitte*, the Second Circuit found that there is a direct benefit where the contract at issue is the direct source of the benefit. Deloitte Haskins & Sells (Deloitte) and its affiliates formed, via a memorandum agreement, an international association called Deloitte Haskins & Sells International (DHSI). Noraudit was the Norwegian affiliate of DHSI. DHSI decided to merge with Touche Ross International, another accounting firm. DHSI settled several merger-related issues with

circumvent the limited liability of the owners and to hold them liable for some underlying corporate obligation” (*Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135, 140-141 [1993]). Verus has not challenged Supreme Court’s rejection of this theory of liability, and therefore it is not before us on appeal.

its affiliates by signing a settlement agreement giving them limited use of the name “Deloitte.” Noraudit apparently approved the settlement agreement without signing it, continued to use the name “Deloitte,” and sued DHSI to obtain a declaration that it had the right to use the “Deloitte” name in Norway. DHSI sought to compel arbitration on the basis of the arbitration clause contained in the settlement agreement. Noraudit asserted that its claim was governed by the memorandum agreement giving rise to DHSI, and that it was not a signatory to the settlement agreement. The Second Circuit held that Noraudit “failed to object to the Agreement when it received it and offers no persuasive reason for its inaction” and “knowingly accepted the benefits of the Agreement through its continuing use of the name ‘Deloitte.’ ” As a result, Noraudit was estopped from denying its obligation to arbitrate under the second agreement (see *Deloitte*, 9 F3d at 1064).

In contrast, in *Thomson-CSF*, the Second Circuit concluded that the nonsignatory did not derive any direct benefit where it merely purchased a company that had entered an exclusive contract with a competitor of the nonsignatory, thus eliminating the competitor’s ability to compete in the market. Thomson, a flight simulation equipment builder, acquired Rediffusion, a British company also engaged in the business of building flight simulators. Rediffusion previously entered into a “Working Agreement” with E & S, whereby Rediffusion agreed to purchase certain computer-generated imaging equipment exclusively from E & S, in exchange for E & S agreeing to supply its imaging equipment solely to Rediffusion. The Working Agreement contained an arbitration clause. At some point, E & S informed Thomson that it intended to bind Thomson to the Working Agreement. Thomson subsequently asked E & S to waive those provisions of the Working Agreement that E & S believed were binding upon Thomson. The parties were unable to resolve the dispute, and E & S sought to compel arbitration against Thomson, claiming that Thomson had received a direct benefit from the Working Agreement in the form of increased market share. According to E & S, Thomson purchased Rediffusion, a competitor in the flight simulation industry, so that it could keep Rediffusion from selling its flight simulators. Since Thomson was able to eliminate all simulators utilizing E & S imaging equipment from the market, and E & S was contractually bound to supply Rediffusion, the company claimed that Thomson benefitted from the Working Agreement. The Second

Circuit rejected that claim, holding that “[t]he benefit which E & S asserts . . . derives directly from Thomson’s purchase of Rediffusion, and not from the Working Agreement itself; Thomson received no benefit at all from the Working Agreement (as opposed to the acquisition)” (*Thomson-CSF*, 64 F3d at 779).

In *Lang v First Am. Tit. Ins. Co.* (2012 WL 5221605, 2012 US Dist LEXIS 151579 [WD NY, Oct. 22, 2012, No. 12 CV 266S]), the court concluded that the nonsignatory was not subject to arbitration because the benefit derived from a business relationship independent of the contract containing the arbitration provision. The court held that a plaintiff’s ability to secure a refinanced mortgage from a lender was not a “direct benefit” compelling arbitration of a claim for excessive premiums against the defendant title insurer, because the purported benefit came from a “contractual relationship” between the lender and the defendant title insurer (2012 WL 5221605, *4, 2012 US Dist LEXIS 151579, *11-12).

In *Carvant Fin. LLC v Autoguard Advantage Corp.* (— F Supp 2d —, 2013 WL 3991471, 2013 US Dist LEXIS 109524 [ED NY, Aug. 5, 2013, No. 13 CV 00872 (ADS)(AKT)]), the court considered whether the agreement affects some independent contractual relationship of the nonsignatory. In *Carvant*, the court concluded that the plaintiff, a used car financing company, was required to arbitrate a breach of contract claim concerning service contracts between an automobile servicer and an insurance company. The court concluded that plaintiff received a “direct benefit” from the agreements in the form of liens on the used cars (— F Supp 2d at —, 2013 WL 3991471, *5-6, 2013 US Dist LEXIS 109524, *16-17 [“Indeed, in exchange for financing the Service Contracts between its customers and the Defendants, the Plaintiff enjoyed a lien on each motor vehicle and thus received a ‘direct benefit’ from the agreements”]).

As the cases illustrate, given the various nuances of contractual arrangements and that nonparties may derive some value from others’ agreements, it can be difficult to distinguish between direct and indirect benefits. The guiding principle is whether the benefit gained by the nonsignatory is one that can be traced directly to the agreement containing the arbitration clause. The mere existence of an agreement with attendant circumstances that prove advantageous to the nonsignatory would not constitute the type of direct benefits justifying compelling arbitration by a nonparty to the underlying contract. Also, absent the nonsignatory’s reliance on the agreement itself for

the derived benefit, the theory would extend beyond those who gain something of value as a direct consequence of the agreement.

Verus asserts that this estoppel theory applies to compel Belzberg to arbitrate because he derived a direct benefit from the Jefferies-Verus agreement—namely the profits attributable to the \$5 million Winton investment in the Fording Trade. Belzberg denies any such direct benefit and asserts that the funds from the Fording Trade belong to Winton. We agree that Belzberg did not receive the type of direct benefit from the Jefferies-Verus agreement encompassed by this estoppel theory.

We are not persuaded by Verus' argument that Belzberg's diversion to his friend of the profits attributable to Winton's investment in the Fording Trade constitutes a direct benefit from the underlying Jefferies-Verus agreement. The profits belong to Winton, not Belzberg. Belzberg's access to, and appropriations of, the profits is based not on any agreement involving Jefferies and Verus, but rather on his relationship with Winton. It is in his position as financial advisor that Belzberg gained access to the profits attributed to Winton's \$5 million investment. Belzberg's ability to divert those profits flows directly from his status vis-à-vis Winton, not as a result of any relationship with Verus or Jefferies, and certainly not based on the underlying agreement between those parties.

Of course, but for the Fording Trade, and Verus and Belzberg's use of the Jefferies account, there would be no profits for Belzberg to divert to his friend for her personal use. However, a connection based on mere extended causality is beyond the intended scope of the direct benefits estoppel theory. Belzberg is several steps removed from the formation of the arbitration agreement between Jefferies and Verus. In order to compel Belzberg to arbitrate the direct benefits theory of estoppel would have to recognize that the benefit flows initially from Belzberg's relationship with Winton, allowing him the ready access to investment funds and trade profits, then from the use of the Jefferies-Verus agreement to accomplish the financial investment that resulted in the profits, followed by the final event in which Belzberg takes the profits for his own use, i.e., to give his friend the money to purchase a summer home. This is simply too attenuated a connection to justify application of the direct benefits estoppel theory, a theory intended as justification for an exception to the usual rule that nonsignatories cannot be compelled to arbitrate.

Belzberg's use of the profits attributed to Winton's original investment may breach his duty or some role assumed on behalf of Winton, or otherwise constitute an opportunistic self-serving exercise of his position with Winton, but the use of such monies does not flow from the Jefferies-Verus agreement.

The Appellate Division order should be reversed, with costs, petition by Samuel Belzberg to permanently stay the arbitration as to him granted and cross petition to compel him to arbitrate denied.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and FIGOTT concur; Judge ABDUS-SALAAM taking no part.

Order reversed, with costs, petition to permanently stay the arbitration as to petitioner Samuel Belzberg granted and cross petition to compel Belzberg to arbitrate denied.

[998 NE2d 377, 975 NYS2d 714]

In the Matter of the Claim of GAUDENZIA HRONCICH, Respondent, v CON EDISON et al., Appellants, and SPECIAL DISABILITY FUND, Respondent. WORKERS' COMPENSATION BOARD, Respondent.

Argued and submitted September 9, 2013; decided October 15, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 19, 2012. The Appellate Division affirmed a decision of the Workers' Compensation Board which had ruled that decedent's established occupational diseases of asbestosis and asbestos-related pleural disease were contributing factors in his death, and that there was no apportionment of causation in a consequential death claim so long as the underlying compensable condition is a cause of death.

Matter of Hroncich v Con Edison, 91 AD3d 1134, affirmed.

HEADNOTE

Workers' Compensation — Death Benefits — Apportionment

The Workers' Compensation Law did not require apportionment of death benefits between work-related and non-work-related causes of death in fashioning an award to claimant upon the death of her husband, whose cause of death was attributed to both a work-related pulmonary disease and his subsequent, non-work-related thyroid cancer. There is no language in Workers' Compensation Law § 16, which governs eligibility for and the amount of death benefits, to suggest that respondent Workers' Compensation Board should apportion death benefits to work-related and non-work-related causes when fashioning an award. Instead, the legislature made employers joint-and-several insurers of their injured employees' lives, subject to a prescribed schedule of payments. The death benefit is not about replacing lost wages, but rather compensates for a life lost at least partly because of work-related injury or disease. Although Workers' Compensation Law § 15 (7), which governs compensation benefits for previously disabled employees who suffer a subsequent work-related injury, specifies that the measure of compensation or death benefits is the employee's earning capacity at the time of the later work-related injury, which would necessarily reflect any diminished earning capacity due to the previous disability, that section is not implicated where, as here, an employee does not suffer a disability in a compensation sense prior to a work-related injury or disablement. In any event, section 15 (7) says nothing about apportionment of death benefits between work-related and non-work-related causes of death.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 48, 150, 154, 192, 218, 342, 353.

McKINNEY'S, Workers' Compensation Law §§ 15 (7); 16.
 NY JUR 2d, Workers' Compensation §§ 315, 364, 877, 912,
 913, 925.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

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POINTS OF COUNSEL

Cherry, Edson & Kelly, LLP, Carle Place (David W. Faber of counsel), and *Steven M. Scotti*, New York City, for appellants. I. The plain language in Workers' Compensation Law § 15 (7) expressly permits apportionment in death benefit claims. (*Matter of Belmonte v Snashall*, 2 NY3d 560; *Matter of De Mayo v Rensselaer Polytech Inst.*, 74 NY2d 459; *Matter of Krausa v Totales Debevoise Corp.*, 84 AD3d 1545; *Montclair v Ramsdell*, 107 US 147; *United States v Menasche*, 348 US 528; *Williams v Taylor*, 529 US 362; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Bliss v Bliss*, 66 NY2d 382; *Matter of Schwab v Emporium Forestry Co.*, 167 App Div 614; *Matter of State Indus. Commn. v Newman*, 222 NY 363.) II. The apportionment test requires that the prior condition, whether work-related or not, constitute a "disability in a compensation sense." (*Matter of Krebs v Town of Ithaca*, 293 AD2d 883, 100 NY2d 501; *Matter of Carbonaro v Chinatown Sea Food*, 55 AD2d 756; *Matter of Altobelli v Allinger Temporary Servs., Inc.*, 70 AD3d 1083; *Matter of Moore v St. Peter's Hosp.*, 18 AD3d 1001; *Matter of Bruno v Kelly Temp Serv.*, 301 AD2d 730; *Matter of Ricci v Riegel & Sons*, 278 AD2d 673; *Matter of Brown v Harden Furniture*, 34 AD3d 1028; *Matter of Bremner v New Venture Gear*, 31 AD3d 848; *Matter of Webb v Cooper Crouse Hinds Co.*, 62 AD3d 57.) III. The Appellate Division's reliance on *Matter of Webb v Cooper Crouse Hinds Co.* (62 AD3d 57 [2009]) fails to recognize and explain that it had applied the apportionment test in death benefit claims in prior cases. (*Matter of Ricci v Riegel & Sons*, 278 AD2d 673; *Matter of Brown v Harden Furniture*, 34 AD3d 1028.) IV. The *Webb* decision is erroneous as a matter of law because all three grounds provided to deny apportionment are specious and insufficient to extinguish the statutory authority of Workers' Compensation Law

§ 15 (7). (*Matter of Webb v Cooper Crouse Hinds Co.*, 62 AD3d 57; *Matter of Reagin v Collins*, 52 AD2d 1010; *Matter of Salerno v Board of Educ., Utica City School Dist.*, 35 AD2d 764; *Matter of Zechmann v Canisteo Volunteer Fire Dept.*, 85 NY2d 747; *Commissioners of State Ins. Fund v Hallmark Operating, Inc.*, 61 AD3d 1212; *Matter of Sidaris v Brookhaven Mem. Hosp.*, 271 AD2d 884; *Matter of Kuczkowski v Bethlehem Steel Corp.*, 90 AD2d 612; *Matter of Tober v Crescent Niagara Corp.*, 64 AD2d 741; *Sanders v Winship*, 57 NY2d 391; *People v Mobil Oil Corp.*, 48 NY2d 192.) V. Apportionment is a fundamental principle expressed in the statute to ensure that compensation is awarded in proportion to causation. (*Matter of Engle v Niagara Mohawk Power Corp.*, 6 AD2d 631, 6 NY2d 449; *Matter of Post v Burger & Gohlke*, 216 NY 544; *Matter of Stoehr v Lampert*, 285 App Div 85; *Matter of Barlog v Board of Water Commrs., City of Dunkirk, N.Y.*, 239 App Div 225; *Matter of Ricci v Riegel & Sons*, 278 AD2d 673; *Matter of Brown v Harden Furniture*, 34 AD3d 1028.)

Steven M. Licht, *Special Funds Conservation Committee*, Albany (Jill B. Singer of counsel), for Special Disability Fund, respondent. I. The Workers' Compensation Law provides for apportionment in death and disability claims. (*Matter of Engle v Niagara Mohawk Power Corp.*, 6 NY2d 449; *Matter of Putnam v Harrison Radiator Div. Gen. Motors Corp.*, 12 AD2d 543; *Tompkins v Hunter*, 149 NY 117; *Matter of Rosenblum v New York State Workers' Compensation Bd.*, 309 AD2d 120; *People v Caponigri*, 169 Misc 9.) II. This Appellate Division's decision limiting apportionment of death benefits is inconsistent with statute and precedent. (*Matter of Bruno v Kelly Temp Serv.*, 301 AD2d 730; *Matter of Hogan v Hilltop Manor of Niskayuna*, 303 AD2d 822; *Matter of Webb v Cooper Crouse Hinds Co.*, 62 AD3d 57; *Matter of Ricci v Riegel & Sons*, 278 AD2d 673; *Matter of Brown v Harden Furniture*, 34 AD3d 1028; *Matter of Rados v Woodlawn Water Supply Dist.*, 31 AD2d 879; *Matter of Johnson v Feinberg-Smith Assoc.*, 305 AD2d 826; *Matter of Krausa v Totales Debevoise Corp.*, 84 AD3d 1545; *Matter of Barlog v Board of Water Commrs., City of Dunkirk, N.Y.*, 239 App Div 225.)

Eric T. Schneiderman, *Attorney General*, Albany (Laura Ettlinger, Barbara D. Underwood and Andrea Oser of counsel), for Workers' Compensation Board, respondent. I. The Workers' Compensation Law contains no language authorizing a reduction in death benefits on account of non-work-related contributing causes of death. (*Matter of Zechmann v Canisteo Volunteer*

Fire Dept., 85 NY2d 747; *Matter of Imbriani v Berkar Knitting Mills*, 277 AD2d 727; *Matter of Webb v Cooper Crouse Hinds Co.*, 62 AD3d 57; *Matter of Droogan v Raymark Indus., Inc.*, 59 AD3d 803; *Matter of Altes v Petrocelli Elec. Co.*, 270 AD2d 767; *Matter of Meszaros v Goldman*, 307 NY 296; *Matter of Reagin v Collins*, 52 AD2d 1010; *Matter of Salerno v Board of Educ., Utica City School Dist.*, 35 AD2d 764; *Matter of Horton v McArdle & Casazza*, 53 NY2d 808.) II. The fact that Workers' Compensation Law § 15 has been read to require apportionment in the calculation of compensation benefits does not change the analysis. (*Matter of Engle v Niagara Mohawk Power Corp.*, 6 AD2d 631, 6 NY2d 449; *Matter of Morin v Town of Lake Luzerne*, 100 AD3d 1197; *Matter of Carbonaro v Chinatown Sea Food*, 55 AD2d 756; *Matter of Scally v Ravena Coeymans Selkirk Cent. School Dist.*, 31 AD3d 836; *Matter of McCloskey v Marriott Corp.*, 290 AD2d 671; *Matter of Rooney v Barker's Dept. Store*, 97 AD2d 587; *Matter of Glickman v Ace Equip. Co.*, 18 AD2d 946; *Matter of Cool v TP Brake & Muffler*, 305 AD2d 886; *Billy v Consolidated Mach. Tool Corp.*, 51 NY2d 152; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1.) III. Prior decisions of the Workers' Compensation Board suggesting otherwise were based on dictum from the Appellate Division and do not demonstrate lack of clarity in the governing statutes. (*Matter of Rados v Woodlawn Water Supply Dist.*, 31 AD2d 879; *Matter of Engle v Niagara Mohawk Power Corp.*, 6 NY2d 449; *Matter of Brown v Harden Furniture*, 34 AD3d 1028; *Matter of Ricci v Riegel & Sons*, 278 AD2d 673; *Matter of Webb v Cooper Crouse Hinds Co.*, 62 AD3d 57.)

Michael A. Cardozo, Corporation Counsel, Brooklyn (*John Sweeney* of counsel), for City of New York, amicus curiae. The Appellate Division's interpretation of Workers' Compensation Law § 15 (7) ignores the express language of the statute concerning apportionment in death claims. (*Matter of Krebs v Town of Ithaca*, 293 AD2d 883.)

OPINION OF THE COURT

READ, J.

Section 16 of the Workers' Compensation Law authorizes death benefits when a work-related injury or disease "causes death," which the Appellate Division has interpreted to mean "contributes to death" (see *Matter of Imbriani v Berkar Knitting Mills*, 277 AD2d 727, 730 [3d Dept 2000]). At issue on this appeal is whether the Workers' Compensation Law requires

apportionment of death benefits between work-related and non-work-related causes—i.e., mandates the Workers' Compensation Board (the Board) to factor out non-work-related causes of death when making the award. We hold that the statute does not contemplate such apportionment.

I.

In 1993, Antonio Hroncich (Hroncich) was diagnosed with asbestosis and asbestos-related pleural disease resulting from his employment as a plumber's helper and mechanic at the Consolidated Edison Company of N.Y., Inc. (Con Ed), where he worked from January 6, 1958 until his retirement on February 28, 1993 at the age of 61. The Board subsequently classified Hroncich as permanently partially disabled as of June 4, 1993. Hroncich's average weekly wages for the prior year were \$900, and he was found to have suffered a loss in earning capacity of 37%, or \$333 per week. In view of the nature of Hroncich's disability (a non-schedule permanent partial disability), his compensation benefits were calculated as two thirds of his reduced earning capacity, or \$222 per week (*see* Workers' Compensation Law § 15 [3] [w]).

In 1999 Hroncich was diagnosed with thyroid cancer, unrelated to his work at Con Ed. The thyroid cancer eventually progressed to Hroncich's lungs, and he was admitted to the hospital on an emergency basis on August 1, 2007. He died on September 2, 2007.¹ On October 30, 2007, Hroncich's widow, Gaudenzia (claimant), filed a claim with the Board for death benefits from Con Ed, which is a self-insured employer. Con Ed's third-party administrator, Sedgwick Claims Management Services, Inc., controverted the claim, questioning causation and noting the absence of *prima facie* medical evidence.²

In deposition testimony subsequently submitted to the Workers' Compensation Law Judge (WCLJ), claimant's expert, a

1. Hroncich received \$222 per week in workers' compensation until the date of his death because permanent partial disability wage replacement benefits were lifetime benefits at the time of his disablement. As amended in 2007, however, section 15 (3) (w) of the Workers' Compensation Law now limits these benefits, with duration depending upon the injury's severity; for example, compensation payable for a permanent partial disability may not exceed 275 weeks in cases, like Hroncich's, where the loss of wage-earning capacity is greater than 30 but not more than 40 percent (*see* L 2007, ch 6, § 4).

2. Hereafter, Con Ed and its third-party administrator are referred to collectively as "Con Ed."

physician certified as an internist and a specialist in pulmonary medicine, testified that Hroncich died of respiratory failure, and “if he didn’t have the asbestosis[,] he would have eventually died of the . . . thyroid [cancer,] but he would have lived probably a little bit longer.” When asked to opine as to the cause of Hroncich’s death within a reasonable degree of medical certainty, the expert attributed 20% to the work-related pulmonary disease and 80% to thyroid cancer. He called this “an estimate” that was, in his view, “a valid one,” although he acknowledged, on cross-examination, that “[i]t could be 75/25” or, when pressed, even “85/15 or 90/10.” In essence, then, what the expert said is that Hroncich’s thyroid cancer, once it invaded his lungs, triggered inevitable death that likely occurred earlier than it would have otherwise because his lungs were compromised by preexisting occupational lung diseases.

Con Ed did not submit any medical evidence to the WCLJ. But Con Ed argued that Hroncich’s asbestosis and asbestos-related pleural disease played no role in his death because when he was diagnosed with these maladies in 1993 and 1994, his pulmonary function was normal; no subsequent pulmonary function testing was performed, and so the record lacked evidence of weakened lungs; and claimant’s expert “could not state that [Hroncich] would have lived even one minute longer had he not been diagnosed with the work-related [diseases].” In the event causation was nonetheless found, Con Ed took the position that the award should recognize the overwhelming role of the non-work-related cause of Hroncich’s death; namely, thyroid cancer. Conceding that the law regarding apportionment in this context was “unsettled,” Con Ed nonetheless urged that a reduced award was “warranted” by the minimal and speculative contribution of work-related pulmonary diseases to Hroncich’s demise.

In a decision filed May 6, 2009, the WCLJ found that Hroncich’s death was “causally related to his established occupational lung disease,” crediting claimant’s expert. And citing *Matter of Webb v Cooper Crouse Hinds Co.* (62 AD3d 57 [3d Dept 2009]), the WCLJ rejected apportionment. In *Webb*, which was handed down only a few months before the WCLJ’s decision, the Appellate Division endorsed the Board’s view, expressed in its decision in *Buffalo Forge Co.* (2005 WL 1794390, *2-5, 2005 NY Wrk Comp LEXIS 6235, *4-14 [WCB No. 8020 5320, July 25, 2005]), that “apportionment is not available between

work-related and non-work-related causes of death” when determining death benefits (62 AD3d at 60).³

Although Hroncich’s average weekly wages at the time of the compensable injury⁴ in 1993 were \$900, the statutory maximum for a death occurring after July 1, 2007 is \$750 (*see* Workers’ Compensation Law § 16 [5]). The percentage used to calculate death benefits depends upon the identity and number of survivors entitled to payment, as well as date of death. Here, the award was calculated at two thirds of the maximum weekly wages, or \$500.25, because Hroncich was survived by his spouse and no dependent children, and he died after January 1, 1978 (*see* Workers’ Compensation Law § 16 [1-c]). The award was

3. The claimant in *Webb* was found to have a permanent partial disability, apportioned 75% to an occupational lung disease and 25% to noncompensable causes. The Board determined that the claimant’s subsequent death was causally related to the lung disease, and the Appellate Division held that substantial evidence supported this finding. The court then went on to reject the employer’s argument that the claimant’s death benefits should be apportioned in the same manner as his lifetime benefits—i.e., 75% to his occupational disease and 25% to unrelated causes. In so ruling, the Appellate Division relied on the inherent difference between compensation and death benefits, and the absence of any indication in Workers’ Compensation Law § 16 that death benefits were to be apportioned in the same manner as compensation benefits.

The court further acknowledged in *Webb* that certain dictum in *Matter of Rados v Woodlawn Water Supply Dist.* (31 AD2d 879, 880 [3d Dept 1969] [i.e., “the fact that the first and last (heart) attacks were the only compensable accidents would not automatically prevent apportionment also against the nonoccupational injuries”]), was susceptible to being read “to suggest that . . . apportionment [between work-related and non-work-related causes of death] may be appropriate under certain circumstances,” and added that “[t]o the extent that [*Rados*] sets forth a rule that is contrary to our decision herein, it should no longer be followed” (*Webb*, 62 AD3d at 60 n). The Board itself explained in *Buffalo Forge* that it had approved apportionment between compensable and noncompensable causes of death a few times in reliance on the *Rados* dictum, but ultimately concluded there was no statutory or case law authority to support this practice.

4. For purposes of the Workers’ Compensation Law, “injury” and “personal injury” mean “only accidental injuries arising out of and in the course of employment and such disease or infection as may naturally and unavoidably result therefrom” (Workers’ Compensation Law § 2 [7]). Workers’ Compensation Law § 2 (15) defines an “occupational disease” as “a disease resulting from the nature of employment and contracted therein,” and section 3 (2) (1)-(30) lists occupational diseases. Both asbestosis and asbestos-related pleural disease are considered occupational diseases where they arise from the distinctive nature of the occupation. Disablement from an occupational disease is treated as the happening of an accident within the meaning of the Workers’ Compensation Law (*see* Workers’ Compensation Law § 38; *see also id.* § 39).

then reduced by \$90.69 to reflect the required offset for claimant's survivors insurance benefits under Social Security (*see id.*). Accordingly, by notice of decision filed January 26, 2010, the WCLJ made a continuing award to claimant in the amount of \$409.31 per week.⁵

In a decision filed December 18, 2009, the Board affirmed the WCLJ's decision. In particular, the Board approved the WCLJ's reliance on *Webb*, remarking that "[t]here is no apportionment of causation in a consequential death claim so long as the underlying compensable condition is a cause of death." Con Ed sought review in the Appellate Division, Third Department, which is vested with exclusive jurisdiction to review Board decisions (*see Workers' Compensation Law* § 23).

By decision dated January 19, 2012, the Appellate Division affirmed, ruling that "inasmuch as the record concededly contains substantial evidence supporting the Board's determination that decedent's occupational illness contributed to his death,¹⁶¹ claimant is entitled to death benefits without apportionment" (91 AD3d 1134, 1134 [3d Dept 2012]). The court observed that in *Webb* it had "explicitly [held] that apportionment is not available between work-related and non-work-related causes of death" (*id.* [internal quotation marks and citation omitted]). Moreover, the Appellate Division was "not persuaded by . . . arguments urging [it] to re-examine and overrule *Webb*," cautioning, as it also had in *Webb*, "that to the extent prior cases may contain language that could be read to suggest that apportionment may be appropriate under certain circumstances, those cases should not be followed" (*id.*). On September 6, 2012, we granted Con Ed leave to appeal (19 NY3d 810 [2012]). We now affirm.

II.

Con Ed relies on Workers' Compensation Law § 15 (7), and, secondarily, Workers' Compensation Law § 10 to argue for apportionment of death benefits between work-related and non-

5. In addition to weekly death benefits, Workers' Compensation Law § 16 provides for funeral expenses (*see Workers' Compensation Law* § 16 [1]). In this case, the WCLJ, by notice of decision filed April 19, 2010, awarded claimant funeral expenses in the amount of \$6,000.

6. Con Ed did not challenge the WCLJ's finding of causation, affirmed by the Board, in the Appellate Division, and has not appealed causation to us either.

work-related causes.⁷ Without apportionment, Con Ed maintains, a deceased employee's survivors receive a "windfall" at the employer's expense, which is contrary to the "plain language and legislative intent expressed in Section 15 (7) [and] the fundamental principle embedded in the [statute], expressed [also] in Section 10, that liability be apportioned in proportion to causation."

Section 15, captioned "Schedule in case of disability," governs compensation benefits for employees disabled in the course of employment. Section 15 (7), in turn, applies to a particular category of injured employees—i.e., previously disabled employees who suffer a subsequent work-related injury. This provision states as follows:

"Previous disability.^[8] The fact that an employee has suffered previous disability or received compensation

7. Respondent Special Disability Fund, Special Funds Conservation Committee (the Special Fund) and amicus City of New York (the City) likewise argue that Workers' Compensation Law § 15 (7) explicitly provides for apportionment of death benefits. The City is the largest self insurer of workers' compensation benefits in the State of New York. The Special Fund is liable for reimbursement of Con Ed for death benefits paid to claimant exceeding the statutory retention period, or 104 weeks in view of Hroncich's date of disablement of June 4, 1993 (*see* Workers' Compensation Law § 15 [8] [ee]). The 2007 reforms to the Workers' Compensation Law phase out the Special Fund, closing it down to claims for an injury or illness with a date of accident or disablement on or after July 1, 2007, and disallowing written or evidentiary submissions made after July 1, 2010 in support of pending reimbursement claims (*see* L 2007, ch 6, § 76, amending Workers' Compensation Law § 15 [8] [h]).

8. The Workers' Compensation Law does not define "previous disability," but the Appellate Division has long held that, as a general rule, "[a]ppportionment does not apply in cases in which the prior condition was not a disability in a compensation sense"; i.e., did not result in a diminution in earning capacity (*Matter of Carbonaro v Chinatown Sea Food*, 55 AD2d 756, 757 [3d Dept 1976], citing 2 Larson's Workmen's Compensation Law § 59.20 *et seq.*). "Stated another way, apportionment is not appropriate where the claimant's prior condition was not the result of a compensable injury and such claimant was fully employed and able to effectively perform his or her duties despite the noncompensable preexisting condition" (*Matter of Bruno v Kelly Temp Serv.*, 301 AD2d 730, 731 [3d Dept 2003]; *see also e.g. Matter of Altobelli v Allinger Temporary Servs., Inc.*, 70 AD3d 1083 [3d Dept 2010] [in a case where the claimant suffered a non-work-related back injury in 1989 and compensable back injuries in 2001 and 2004, the Board properly concluded that apportionment to the 1989 injury was precluded as a matter of law because this prior non-work-related injury did not render the claimant disabled in the compensation sense; specifically, the record revealed that between 1989 and 2001 the claimant was fully employed and able to effectively perform his duties despite the noncompensable preexisting condition]; *cf. Matter of Scally v Ravena Coeymans Selkirk Cent. School Dist.*, 31 AD3d 836 [3d Dept 2006] [deferring to the

(n. cont'd)

therefor shall not preclude him from compensation for a later injury nor preclude compensation for death resulting therefrom; but in determining compensation for the later injury or death his average weekly wages shall be such sum as will reasonably represent his earning capacity at the time of the later injury, provided, however, that an employee who is suffering from a previous disability shall not receive compensation for a later injury in excess of the compensation allowed for such injury when considered by itself and not in conjunction with the previous disability except as hereinafter provided in [Workers' Compensation Law § 15 (8); i.e., the Special Fund]'' (Workers' Compensation Law § 15 [7]).

Thus, the three clauses in section 15 (7) specify that (1) a previous disability does not disqualify an employee from receiving compensation benefits for a later work-related injury, or disqualify his survivors from receiving a death benefit where the later injury results in the employee's demise; (2) the measure of compensation or death benefits in this situation is the employee's earning capacity at the time of the later work-related injury, which would necessarily reflect any diminished earning capacity due to the previous disability; and (3) generally, the employee shall not receive compensation benefits in excess of those allowed for the later work-related injury considered by itself, which insures that the award is based solely on the diminished earning capacity attributable to the later injury rather than from all disabilities.

In short, the only death benefits that section 15 (7) mentions are keyed to the situation where death results from a later work-related injury to an employee suffering at the time from a previous disability. But this is not the case here: Hroncich did not suffer from a previous disability at the time of his *only* work-related injury, the disablement on June 4, 1993. And in any event, section 15 (7) says nothing about apportionment of death benefits between work-related and non-work-related causes of death. Con Ed hangs its hat on the second clause in

Board's determination that, as a narrow exception to the general rule, disability exists in a compensation sense and therefore apportionment is proper where a prior non-work-related injury would have resulted in a schedule loss of use award if it had occurred in the workplace since these awards are intended to compensate for diminution in future earning capacity]).

section 15 (7), which states that earning capacity at the time of a later work-related injury resulting in death constitutes the average weekly wages. But this requirement cannot apply to this case because, again, Hroncich did not suffer a later work-related injury. Section 15 (7) is simply not implicated where, as here, an employee does not suffer a disability in a compensation sense prior to a work-related injury or disablement.

Con Ed also looks to Workers' Compensation Law § 10, captioned "Liability for compensation," for support; specifically, that statute's direction that "[e]very employer subject to [the Workers' Compensation Law] shall . . . secure compensation to his employees and pay or provide compensation for their disability or death from injury arising out of and in the course of the employment without regard to fault as a cause of the injury" (Workers' Compensation Law § 10 [1]). Con Ed's point, as we understand it, is that by stating that employers must compensate employees for employment-related disability or death, this provision implicitly endorses apportionment by suggesting that non-work-related causes should be factored out of any award. This reads quite a bit into what appears to be simply a general statement of the principle underlying workers' compensation—i.e., every employer is responsible for insuring its employees against losses from injuries or death occurring in the course and scope of employment.

Workers' Compensation Law § 16, which governs eligibility for and the amount of death benefits, provides that "[i]f the injury causes death, the compensation shall be known as a death benefit and shall be payable in the amount and to or for the benefit of" certain listed survivors (Workers' Compensation Law § 16). Concomitantly, Workers' Compensation Law § 39, which authorizes death benefits for employees suffering from an occupational disease, the type of injury for which Hroncich received compensation benefits, states that "[i]f an employee . . . dies and his . . . death is caused by one of the diseases mentioned in [Workers' Compensation Law § 3 (2)], . . . his dependents shall be entitled to compensation . . . for his death in accordance with the provisions of articles two [Compensation] and three [Occupational Diseases] of this chapter." And a claim for death benefits by an employee's survivors is entirely separate from the employee's claim for compensation benefits (see *Matter of Zechmann v Canistota Volunteer Fire Dept.*, 85 NY2d 747, 753 [1995]).

Importantly, there is no language in section 16 to suggest that the Board should apportion death benefits to work-related and

non-work-related causes when fashioning an award. Presumably, if the legislature had wanted this to be the case, it would have said so. Instead, however, the legislature made employers joint-and-several insurers of their injured employees' lives, subject to a prescribed schedule of payments. The death benefit is not about replacing lost wages, but rather compensates for a life lost at least partly because of work-related injury or disease (*see e.g.* Bill Jacket, L 1990, ch 296 [authorizing \$50,000 in death benefits to non-dependent survivors]).

Of course, it is also true that when the legislature first enacted the operative language of section 16 in the early twentieth century, it essentially intended to ameliorate the condition of survivors of workers killed in industrial accidents, something that unfortunately happened with some frequency at the time. These lawmakers may not have had in mind a situation where death benefits become payable for a death caused, in every practical sense, by a non-work-related disease manifest many years beyond the usual retirement age, as happened here. And Con Ed argues that it is unreasonable for an employer to be responsible for paying the entire award under these circumstances. But the fact that section 15 incorporates certain apportionment principles for determining compensation (wage replacement) benefits, which, by their nature, are linked to loss of earning capacity, does not provide a basis for us to interpret section 16 to require apportionment of death benefits in the absence of any language in that provision even arguably commanding this result. As the Board points out, to the extent section 16 is thereby unduly harsh on employers, Con Ed's plea for redress is properly made to the legislature, not the courts.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (concurring). I agree with my colleagues that the Workers' Compensation Law statute, by its plain terms, does not provide for an apportionment of death benefits between work-related and non-work-related causes. And while I also agree that Con Ed's challenge to the finding of causation was not preserved for our review (*see* majority op at 643 n 6), had that issue been preserved, I would find that the statute also does not permit an apportionment to support the claim that the death was causally related to the work-related injury. Thus, in my view, the claimant is not entitled to death benefits.

Workers' Compensation Law § 16 provides for an award of compensation for death benefits if the work-related injury

“*causes death*” (emphasis added). The term “death” is defined by statute as follows: “‘Death’ when mentioned as a basis for the right to compensation means only death resulting from *such injury*” (Workers’ Compensation Law § 2 [8] [emphasis added]). Appellate courts have concluded that this means the decedent’s work-related injury “need not be the sole or even the most direct cause of death, provided that the claimant demonstrates that the compensable illness [or injury] was *a contributing factor* in the decedent’s demise” (*Matter of Imbriani v Berkar Knitting Mills*, 277 AD2d 727, 730 [3d Dept 2000] [emphasis added]; see also *Matter of Brown v Clifton Recycling*, 1 AD3d 735 [3d Dept 2003]). This Court has yet to consider whether the appellate courts’ interpretation of the statute is correct and if so, how far it should be taken, i.e. whether a work-related injury that is only a minor “contributing factor” to the decedent’s death is compensable.

A review of the case law, including this one, puts that question into serious doubt. Under a broad reading of the appellate courts’ precedent, *any* tangential work-related injury or disease that contributes in *any way* to the death *may* result in a death benefit. This leads to two problems. First, it lends itself to arbitrary determinations as to whether a particular death has a “causally related” antecedent. Second, there is no statutory basis for allowing “apportionment” in Workers’ Compensation Law § 16 with respect to the cause of death, and at the same time denying apportionment when fashioning an award.

Here, there is no dispute that the direct and primary cause of the decedent’s death was thyroid cancer, a condition totally “unrelated to his work at Con Ed” (majority op at 640). The work-related injury may have hastened the decedent’s death, but that’s all. The statute doesn’t provide for an award in such a case. No apportionment should mean just that—as to both the cause and, as the Workers’ Compensation Board argues here, the award of benefits. The legislature didn’t write the statute that way; why should the courts rewrite it?

Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur with Judge READ; Judge PIGOTT in a separate concurring opinion in which Judge SMITH concurs; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[999 NE2d 524, 977 NYS2d 161]

In the Matter of PAUL MURPHY, Respondent, v NEW YORK STATE
DIVISION OF HOUSING AND COMMUNITY RENEWAL, Appellant,
et al., Respondent.

Argued September 4, 2013; decided October 17, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 12, 2012. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Alice Schlesinger, J.; op 29 Misc 3d 1213[A], 2010 NY Slip Op 51816[U] [2010]), entered in a proceeding pursuant to CPLR article 78, which had (1) denied respondent New York State Division of Housing and Community Renewal's cross motion to dismiss the petition to annul its determination denying petitioner's appeal from respondent housing company's rejection of his application for succession rights to a Mitchell-Lama apartment, (2) granted the petition, (3) annulled the determination, and (4) declared that petitioner is entitled to succession rights to the apartment.

Matter of Murphy v New York State Div. of Hous. & Community Renewal, 91 AD3d 481, affirmed.

HEADNOTE

Public Housing — Succession Rights — Proof of Primary Residency — Tenant's Failure to File Income Affidavit

The determination of respondent New York State Division of Housing and Community Renewal (DHCR) denying petitioner succession rights to a Mitchell-Lama apartment that he shared with his parents since he was one month old, based on the failure of petitioner's mother, the tenant of record, to file an annual income affidavit listing petitioner as a co-occupant for one of the two years prior to her vacatur of the apartment, was arbitrary and capricious because the evidence of petitioner's primary residency was overwhelming and there was no relationship between the failure to file the affidavit and the petitioner's income or occupancy. Regulations providing for succession rights to Mitchell-Lama apartments serve the important remedial purpose of preventing dislocation of long-term residents due to the vacatur of the head of household. Under the regulations, a succession applicant must demonstrate that the unit at issue was his or her primary residence during the two years immediately prior to the tenant's vacatur, requiring the listing of the succession applicant "on the annual income affidavit . . . together with other evidence" (former 9 NYCRR 1727-8.2 [a] [5]). While housing companies and DHCR rely on income affidavits to monitor the number and aggregate income of occupants in determining the appropriate amount of rent and eligibility for the rental subsidy, in the succession context the principal purpose of the

income affidavit is to provide proof of the applicant's primary residence. Here, petitioner provided overwhelming evidence that he resided in the apartment during the two years before his parents vacated, a fact that DHCR did not dispute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Housing Laws and Urban Redevelopment §§ 34, 35; AM JUR 2d, Landlord and Tenant § 915.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 10:13.

9 NYCRR 1727-8.2 (a) (5).

NY JUR 2d, Public Housing and Urban Renewal §§ 39, 43, 44, 50.

NEW YORK REAL PROPERTY SERVICE § 79:11.

ANNOTATION REFERENCE

See ALR Index under Housing and Slum Clearance; Landlord and Tenant.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, New York City (Brian A. Sutherland, Barbara D. Underwood and Steven C. Wu of counsel), for appellant. I. Paul Murphy's undisputed failure to meet the New York State Division of Housing and Community Renewal's income-affidavit requirement supports the denial of his succession application. (*Matter of Renda v New York State Div. of Hous. & Community Renewal*, 22 AD3d 382; *Matter of Miney v Donovan*, 68 AD3d 876, 15 NY3d 712; *Matter of Meyers v New York State Div. of Hous. & Community Renewal*, 68 AD3d 1518, 14 NY3d 714; *Matter of Cognata v New York State Div. of Hous. & Community Renewal*, 82 AD3d 482; *Taylor v New York State Div. of Hous. & Community Renewal*, 73 AD3d 634; *Matter of Greichel v New York State Div. of Hous. & Community Renewal*, 39 AD3d 421; *Parsa v State of New York*, 64 NY2d 143; *United States v Boyle*, 469 US 241; *Heckler v Community Health Services of Crawford Cty., Inc.*, 467 US 51; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545.) II. Substantial evidence supports the New York State

Division of Housing and Community Renewal's rejection of Paul Murphy's excuse. (*Matter of State Div. of Human Rights [Granelle]*, 70 NY2d 100.)

Himmelstein, McConnell, Gribben, Donoghue & Joseph, New York City (*David Hershey-Webb* of counsel), for respondent. I. The courts below properly construed the Mitchell-Lama succession regulations to require granting succession to a lifelong family member given the unique facts of this case. (*Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Jenkins v Fieldbridge Assoc., LLC*, 65 AD3d 169; *Kuppersmith v Dowling*, 93 NY2d 90; *Kahn v New York City Dept. of Hous. Preserv. & Dev.*, 28 Misc 3d 1206[A], 2010 NY Slip Op 51197[U]; *Matter of Meyers v New York State Div. of Hous. & Community Renewal*, 68 AD3d 1518; *Matter of Greichel v New York State Div. of Hous. & Community Renewal*, 39 AD3d 421; *Matter of Callwood v Cabrera*, 49 AD3d 394; *Matter of Gilbert v Perine*, 52 AD3d 240; *Matter of Cognata v New York State Div. of Hous. & Community Renewal*, 2008 NY Slip Op 33595[U], 82 AD3d 482; *Taylor v New York State Div. of Hous. & Community Renewal*, 73 AD3d 634.) II. This Court has repeatedly rejected the mechanistic application of regulations which undermine the purpose of those regulations and compel absurd results. (*Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358; *Matter of Cintron v Calogero*, 15 NY3d 347; *Eastside Exhibition Corp. v 210 E. 86th St. Corp.*, 18 NY3d 617; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776.) III. The New York State Division of Housing and Community Renewal's rejection of Paul Murphy's explanation for failing to file an income affidavit lacked a rational basis.

Michael A. Cardozo, Corporation Counsel, New York City (*Karen M. Griffin* and *Francis F. Caputo* of counsel), for City of New York, amicus curiae. The Appellate Division exceeded the bounds of proper judicial review when it ignored a specific, reasonable regulatory requirement for succession eligibility. (*Kuppersmith v Dowling*, 93 NY2d 90; *Matter of Miney v Donovan*, 68 AD3d 876, 15 NY3d 712; *Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This case arises from a determination of the Division of Housing and Community Renewal (DHCR) denying petitioner Paul

Murphy (Murphy) succession rights to a Mitchell-Lama apartment. Because the evidence of Murphy's primary residency was overwhelming, and because there was no relationship between the tenant-of-record's failure to file the income affidavit and the succession applicant's income or occupancy, the agency's determination was arbitrary and capricious.

Murphy is a lifelong resident of an apartment in Southbridge Towers, a housing complex in Lower Manhattan operated under the Limited-Profit Housing Companies Law (Private Housing Finance Law art II [Mitchell-Lama]). Murphy moved into the apartment with his parents when he was one month old, in 1981, and extensive evidence demonstrates that he has continued to live in the apartment ever since. In January 2000, Murphy's parents vacated the apartment, and in 2004, Murphy filed a succession application to succeed to the tenancy.

Southbridge Towers rejected the application and DHCR subsequently denied Murphy's appeal. DHCR based its denial on the fact that Murphy's mother, the tenant-of-record, had failed to file an annual income affidavit listing Murphy as a co-occupant for one of the two years prior to her vacatur in 2000. The agency considered this failure an absolute bar to Murphy's succession eligibility under its regulations. Murphy then filed the instant CPLR article 78 petition in Supreme Court challenging the agency's determination, and DHCR moved to dismiss the proceeding. Supreme Court denied DHCR's motion, annulled the agency's denial of Murphy's appeal, and granted his succession petition (29 Misc 3d 1213[A], 2010 NY Slip Op 51816[U] [2010]). The Appellate Division affirmed (91 AD3d 481 [1st Dept 2012]), and we granted DHCR's motion for leave to appeal (19 NY3d 812 [2012]).

“ ‘In reviewing an administrative agency determination, [courts] must ascertain whether there is a rational basis for the action in question or whether it is arbitrary and capricious’ ” (*Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009], quoting *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]). “An action is arbitrary and capricious when it is taken without sound basis in reason or regard to the facts” (*Peckham*, 12 NY3d at 431, citing *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]).

Regulations providing for succession rights to Mitchell-Lama apartments serve the important remedial purpose of preventing dislocation of long-term residents due to the vacatur of the head of household (*see* Notices of Emergency/Proposed Rule Making, NY Reg, Nov. 29, 1989 at 23-29). Succession is in the spirit of the statutory scheme, whose goal is to facilitate the availability of affordable housing for low-income residents and to temper the harsh consequences of the death or departure of a tenant for their “traditional” and “non-traditional” family members (*see Braschi v Stahl Assoc. Co.*, 74 NY2d 201 [1989]; *see also Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156 [1993]).

In the event that Mitchell-Lama tenants vacate an apartment, their co-occupants are not automatically entitled to succeed to the tenancy. Under the applicable regulations, succession applicants must make an affirmative showing in order to establish their eligibility.¹ Specifically, they must demonstrate that they qualify as family members or were otherwise sufficiently interdependent with the tenant-of-record; that the unit at issue was the applicant’s primary residence during the two years immediately prior to the tenant’s vacatur; and that they were listed as co-occupants on the income affidavits filed for the same two-year period (*see* former 9 NYCRR 1727-8.3 [a]).²

We have recognized that “[t]he Mitchell-Lama law prescribes strict guidelines for tenant eligibility and succession” (*Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776, 778 [2008]). However, as DHCR noted in connection with the 1991 amendments to its regulations, “these [succession] regulations are not intended to cover all possibilities that may occur but are intended to meet the probable occurrences that may transpire as a result of a tenant’s permanent absence from a housing unit and the rights and obligations of those who may claim to be entitled to succeed such tenant” (NY Reg, June 5, 1991 at 21).

In this case, DHCR contests neither Murphy’s status as a family member, nor that he lived in the apartment during the

1. The dissent’s assertion that Murphy’s affirmative showing was limited to “shifting explanations for his mother’s neglect to file” (dissenting op at 661) income affidavits fails to take into account the extensive record evidence he submitted demonstrating his primary residence in the apartment during the years in question.

2. The relevant regulations were revised and renumbered in 2009. The provisions used herein refer to the regulations in effect in 2004, when the succession application was submitted.

relevant two-year period of 1998-1999. The sole basis for DHCR's denial of Murphy's application was that his mother did not file the requisite income affidavit for 1998, the year prior to Murphy's high school graduation. Given the overwhelming evidence of primary residence, and the absence of any indication that the failure to file was related to Murphy's status as a co-occupant or an income-earner,³ we hold that it was arbitrary and capricious for DHCR to deny succession on the basis of the failure to file a single income affidavit.⁴

There is no doubt that DHCR has a compelling interest in encouraging the timely filing of income affidavits in order to fairly and efficiently administer the Mitchell-Lama program. Housing companies and supervising agencies like DHCR rely on these affidavits to monitor both the number and aggregate income of occupants, information that is crucial to determining the appropriate amount of rent and to ensuring that tenants remain eligible for the rental subsidy. Accordingly, failure to file income affidavits can result in harsh penalties: the tenant can be charged a surcharge on rent for the applicable year (as occurred here), or can be evicted (*see* former 9 NYCRR 1727-2.6 [a] *and* 1727-5.3 [a] [7]).

In the succession context, however, the principal purpose of the income affidavit is to provide proof of the applicant's primary residence. As stated in the DHCR regulations,

“Proof of [primary residence] shall be the listing of such person on the annual income affidavit and/or the filing of the Notice of Change to Tenant's family . . . , together with other evidence, such as certified copies of tax returns, voting records, motor vehicle registration and driver's license, school registration, bank accounts, employment records, insurance policies, and/or other pertinent documentation or facts” (former 9 NYCRR 1727-8.2 [a] [5]).

While agency interpretations of their own regulations are generally afforded considerable deference (*see e.g. Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545, 548-549 [1997]), “[c]ourts must scrutinize administrative

3. Contrary to the dissent's contention, in reaching our conclusion, it is unnecessary to accept any of Murphy's mother's explanations for nonfiling.

4. In doing so, we do not treat one who fails to file more leniently than one who files. The same principle would apply had the income affidavit been filed, but the 17-year-old's name was omitted for a reason unrelated to his co-occupancy or income, such as inadvertence.

rules for genuine reasonableness and rationality in the specific context presented by a case” (*Kuppersmith v Dowling*, 93 NY2d 90, 96 [1999]; see also *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359 [1999]). As both Supreme Court and the Appellate Division noted, Murphy provided ample evidence in support of his succession application evincing that he resided in the apartment during 1998 and 1999. Indeed, DHCR does not dispute Murphy’s residency for the past 32 years. DHCR instead cites only his mother’s technical noncompliance for a single year to justify evicting him from the only home he has ever known.

Notwithstanding the importance of the income affidavit requirement, given the overwhelming evidence of residency provided in this case, and the lack of relationship between the tenant-of-record’s failure to file and Murphy’s income or co-occupancy, DHCR’s decision to deny Murphy succession rights was arbitrary and capricious.

Accordingly, the Appellate Division order should be affirmed, with costs.

READ, J. (dissenting). Petitioner Paul Murphy’s application concededly did not comply with a bright-line regulatory prerequisite for succession to state-subsidized housing in the Mitchell-Lama affordable housing program. Yet the majority holds that the Division of Housing and Community Renewal (DHCR)’s decision to enforce its regulations and deny Murphy’s application was arbitrary and capricious. In so doing, the majority improperly substitutes its judgment for DHCR’s, thereby denying affordable housing to a qualified family¹ on the waiting list. I respectfully dissent.

I

The Mitchell-Lama Law was enacted to address the “seriously inadequate supply of safe and sanitary” housing for low- and moderate-income families living in the State’s urban centers (see Private Housing Finance Law § 11; see also L 1961, ch 803). Declaring that this housing “emergency . . . necessitat[ed] speedy relief which [could not] readily be provided by the

1. The subsidized housing in question is a *two*-bedroom apartment, and Murphy was an unmarried 23 year old when he applied for succession. Currently, the minimum-maximum household size for new admissions and transfers to two-bedroom apartments in a Mitchell-Lama project is two to four persons (see 9 NYCRR 1727-2.8).

ordinary unaided operation of private enterprise,” the legislature enacted incentives to encourage private housing companies to develop affordable housing (*see* Private Housing Finance Law § 11). Companies such as Southbridge Towers, Inc. (Southbridge), the limited-profit housing company involved in this case, were furnished low-interest mortgage funding for construction and real estate tax exemptions in exchange for providing housing regulated as to rents, profits and tenant selection (*see id.* §§ 11, 11-a, 22—23-c; *see also Matter of City of New York [Rudnick]*, 25 NY2d 146, 147-148 [1969] [summarizing provisions of Mitchell-Lama Law]).

DHCR, the agency that oversees state-subsidized Mitchell-Lama developments,² enjoys broad authority to implement the law (Private Housing Finance Law § 32 [3]). Pursuant to that authority, DHCR has adopted regulations that require tenants in Mitchell-Lama housing to file annual income statements with the housing company (*see* 9 NYCRR 1727-2.1, 1727-2.4, 1727-2.5 [a]).³ These sworn statements provide notice of the name, age and income of the apartment’s occupants. Every occupant must be listed, regardless of earning status, and every occupant over the age of 18 must sign the affidavit. DHCR may authorize a housing company to commence eviction proceedings against a tenant who fails to file an annual income affidavit (*see id.* 1727-5.3 [a] [7]); such proceedings enjoy priority over those brought against “over-income tenants” (*id.* 1727-5.3 [f]).

The usual way to become a lawful tenant of Mitchell-Lama housing in the first place is to apply to the housing company for admission to a particular development (*see generally* Private Housing Finance Law § 41; 9 NYCRR subpart 1727-1). Because demand far outstrips supply, housing companies are required to maintain waiting lists so as to insure equitable access to apartments as they become available (*see id.* 1727-1.1 [a]; 1727-1.3). The housing company must verify that each applicant meets the income eligibility requirements for Mitchell-Lama housing (*see id.* subpart 1727-2).

2. Amicus curiae City of New York, through its Department of Housing Preservation and Development (HPD), supervises city-subsidized Mitchell-Lama developments (*see* Private Housing Finance Law § 2 [15]; NY City Charter § 1802 [6] [d]).

3. Hereafter, citations to DHCR’s regulations are to those in effect in 2004, the year that Murphy submitted his application for succession. These regulations were amended in 2009, but 9 NYCRR subpart 1727-8, which addresses succession, was merely reorganized and renumbered without substantive change.

DHCR has created a narrow exception to this general admission process to permit, under limited circumstances, a family member of a departing tenant of record to succeed to the tenancy and thus displace the next qualified individual or family on the waiting list (*see id.* 1727-8.2 [a] [2], [5]; 1727-8.3 [a]). In order to be eligible for succession, an applicant who is not a senior citizen or disabled must fulfill three specific and independent requirements:

- (1) The applicant must be a member of the vacating tenant of record's family;⁴
- (2) The applicant must have resided in the apartment as his primary residence (as that term is defined in the regulations⁵) with the tenant of record for at least the two years immediately prior to the tenant's death or vacatur; *and*
- (3) The applicant must have been listed on the income affidavit (or notice of change⁶) filed by the tenant of record for at least the two consecutive annual reporting periods immediately prior to the tenant's death or vacatur (*see id.* 1727-8.3 [a]).⁷

4. As defined in the regulations, "family member" includes certain listed relatives by blood or marriage (e.g., husband, wife, son, daughter, stepson, stepdaughter, etc.), or someone "residing with the tenant in the housing accommodation as a primary or principal residence, who can prove emotional and financial commitment and interdependence between such person and the tenant" (*see* 9 NYCRR 1727-8.2 [a] [2] [i], [ii]).

5. "Primary residence" means

"[t]he housing accommodation in which the person actually resides and maintains a permanent and continuous physical presence. *Proof of such residency shall be the listing of such person on the annual income affidavit and/or the filing of the Notice of Change to Tenant's Family . . . together with other evidence*, such as certified copies of tax returns, voting records, motor vehicle registration and driver's license, school registration, bank accounts, employment records, insurance policies, and/or other pertinent documentation or facts" (*see* 9 NYCRR 1727-8.2 [a] [5] [emphases added]).

6. These are notices that the tenant of record must file with the housing company to reflect any changes in the individuals residing in the apartment (*see* 9 NYCRR 1727-3.6). This provision is not implicated here.

7. The actual text of the regulation states that

"if the tenant has permanently vacated the housing accommodation, any member of such tenant's family . . . who has resided with the tenant in the housing accommodation as a primary residence for a period of not less than two years, has been listed on

(*n. cont'd*)

An applicant who does not fulfill each of these three separate requirements is ineligible for succession, and the apartment becomes available to a qualified individual or family on the waiting list.

The third of these three requirements—hereafter, the “income-affidavit requirement”—has been a prerequisite for succession to Mitchell-Lama housing since 1991. In 2009 DHCR undertook a rulemaking to streamline and update its regulations governing the management and supervision of Mitchell-Lama companies. In its response to comments on the proposed rules, which reorganized and renumbered provisions bearing on succession, the agency noted that public comment had “suggested that the new regulation should . . . permit the succession applicant to demonstrate residency in the housing accommodation *through other evidence and not only via the annual certification* or notice of change in family” (31 NY Reg [No. 45] at 10 [Nov. 10, 2009] [emphasis added]). DHCR rejected this approach—now adopted by the majority (*see e.g.* majority op at 653 n 1; *see also id.* at 654 n 3)—explaining that

“[t]he regulations have always required a succession applicant to provide documentary evidence of primary residence *and* to have been listed on the annual income affidavit for the required period of time (or the notice of change in occupancy, when applicable). The regulations are drafted to protect those who would legitimately succeed as well as to prevent unqualified persons from circumventing the waiting list” (31 NY Reg [No. 45] at 11 [emphasis added]).

In DHCR’s view, this requirement provides an additional incentive for tenants of record to submit accurate income affidavits. And housing companies and supervising agencies, like DHCR and HPD, rely heavily on the information in these sworn statements for many purposes; for example, to determine rent and the surcharge in the event the aggregate annual income of all occupants of the apartment exceeds the maximum income limit (*see* 9 NYCRR 1727-4.2); to determine whether occupancy

the income affidavit and/or on the [notice of change] . . . immediately prior to the permanent vacating of the housing accommodation by the tenant, or from the inception of the tenancy or commencement of the relationship, if for less than such period[], may request to be named as a tenant on the leases” (9 NYCRR 1727-8.3 [a]).

standards are being violated and the tenant should be transferred to a smaller apartment or, conversely, whether the tenant is eligible to be placed on an internal waiting list for a larger apartment (*see id.* 1727-2.8); and to determine whether the tenant remains eligible for Mitchell-Lama housing (*see id.* 1727-5.3 [a] [7]).

Conditioning succession—an agency-created exception to the general admission process—on the filing of accurate income affidavits reflects and reinforces the importance of these documents to the administration of the Mitchell-Lama program. For one thing, it assures that the outgoing tenant of record was income-eligible for residency; otherwise, the successor tenant succeeds to an unlawful tenancy at the expense of a qualified applicant for subsidized housing.

Second, a bright-line rule, such as the income-affidavit requirement, enables a housing company and supervising agencies to administer succession tenancy more efficiently. In this regard, amicus curiae City of New York presents us with a cautionary tale.

Prior to February 1, 2003, HPD's rules provided that the omission of a family member from the income affidavits for the relevant time period created a rebuttable presumption that the apartment was not the applicant's primary residence during that period. This presumption could be refuted by an evidentiary showing to the contrary. To address both the administrative burden created by the rebuttable presumption and the recurring fraud concerning succession to these scarce low-rent Mitchell-Lama apartments, HPD amended its regulations expressly to remove the rebuttable presumption. HPD thus adopted a three-part succession rule comparable to DHCR's (*see* 28 RCNY 3-02 [p]).

Finally, a bright-line rule promotes fairness. Everyone knows that compliance with the income-affidavit requirement is necessary to demonstrate residency (or at least that was the case until today) and may plan accordingly, assured that every applicant must fulfill the same condition. Fair assignment of subsidized housing is supposed to be a central component of the Mitchell-Lama program. Succession, an exception to the general rule of admission, must be strictly enforced to insure the program's integrity, and reserve the benefit of subsidized housing for those who legitimately qualify for it.

II

For a regulation to be nullified, “[t]he challenger . . . must establish that the regulation is so lacking in reason for its promulgation that it is essentially arbitrary” (*Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325, 328 [1990], quoting *Ostrer v Schenck*, 41 NY2d 782, 786 [1977] [internal quotation marks omitted]). DHCR’s income-affidavit requirement has a rational basis and is not unreasonable, arbitrary, capricious or contrary to the Private Housing Finance Law, as earlier shown. And, in any event, Murphy does not challenge the regulation’s validity. Moreover, he acknowledges that his application did not comply with the rule. Yet the majority concludes that DHCR’s enforcement of the income-affidavit requirement against an admittedly noncompliant applicant is arbitrary and capricious.

Why does the majority reach this surprising result? After all, courts are hardly in the habit of faulting administrative agencies for enforcing duly adopted regulations according to their terms. The answer the majority gives—and this is stated three times in the opinion—is that “the evidence of Murphy’s primary residency was overwhelming, and . . . there was no relationship between the tenant-of-record’s failure to file the income affidavit and [Murphy’s] income or occupancy” (see majority op at 652; see also *id.* at 653-654, 655); and, relatedly, that “the principal purpose of the income affidavit is to provide proof of the applicant’s primary residence” (*id.* at 654). The majority also complains that, in light of the “ample evidence” that Murphy “resided in the apartment during 1998 and 1999,” it was arbitrary and capricious for DHCR to deny his succession application based “only [on] his mother’s technical noncompliance for a single year to justify evicting him from the only home he has ever known” (majority op at 655).⁸

8. As noted earlier, “the only home [Murphy had] ever known” is a two-bedroom apartment, and the income affidavits that he began filing in 2000 listed an uncle as an occupant of the apartment. Murphy’s application for succession was made jointly with this uncle, who was married to Murphy’s mother’s sister, a shareholder of another subsidized apartment in the same building. On the appeal of Southbridge’s denial of the joint application, DHCR denied the uncle’s claim on the basis that the regulations require a showing of a family relationship with the tenant of record, not another claimant; and, in any event, do not include “brother-in-law” in the list of family members qualified for succession (see 9 NYCRR 1727-8.2 [a] [2] [i]). The uncle did not appeal.

First, documents such as certified copies of tax returns, voting records, motor vehicle registration, etc. constitute necessary but not sufficient proof of primary residency (*see* 9 NYCRR 1727-8.2 [a] [5]; 1727-8.3 [a]). When reconsidering the succession regulations in 1990, DHCR *explicitly* considered and rejected the proposition—now adopted by the majority—that an applicant for succession should be allowed to demonstrate residency “through other evidence and not only via the annual certification” (*see* 31 NY Reg [No. 45] at 10, discussed at 658, *supra*). The majority is thus impermissibly substituting its policy judgment about what the regulations *should* say for DHCR’s, and doing so in a case where Murphy himself never challenged the validity or reasonableness of the income-affidavit requirement. Rather, he argued that he had a good excuse for not complying with it.⁹

Next, “succession applicants must make an affirmative showing in order to establish their eligibility” (majority op at 653). And here, Murphy’s “affirmative showing” consisted of shifting explanations for his mother’s neglect to file the income affidavits for 1998 and 1999, which DHCR found to be “unavailing.” Specifically, Murphy initially based his application for succession on his father’s—not his mother’s—purported occupancy of the apartment; he asserted that his father permanently vacated the premises in “July 2001,” even though his father had not been listed on an income affidavit for years. Murphy also claimed that Southbridge had misplaced the income affidavits for 1998 and 1999.

Some months later Murphy shifted gears, professing that both parents had vacated the apartment in January 2000. Since

9. Notably, Murphy never took the position that his excuse somehow demonstrated or amounted to undue hardship. At the time he made his application, 9 NYCRR 1725-2.9, “Waiver of rules and regulations,” provided that the “[r]ules and regulations may be waived in exceptional circumstances if, in the opinion of the commissioner [of DHCR], their application to a specific case, or under an emergency condition, may be shown to effect undue hardship.” This provision was repealed when the succession regulations were reorganized and renumbered in 2009. The nearest analog to former section 1725-2.9 is 9 NYCRR 1700.5, “Waiver of requirements of this Chapter [IV, State-Assisted Housing Constructed by Private Enterprise] and use of alternative procedures.” This provision states that

“[t]he requirements of this Chapter may be waived if, in the opinion of the commissioner [of DHCR], their application may be shown to effect undue hardship or the waiver of such requirements or the use of alternative procedures are appropriate to the interests of the housing company, the public, the lien holders, the cooperators, or the tenants.”

income affidavits are filed in April for the previous calendar year, this revision of the timeline conveniently meant that the filed income affidavit for calendar year 1997 fell within the two-year period relevant to establishing succession. Murphy also claimed for the first time that the income affidavits for 1998 and 1999 had not been filed because of concerns about unspecified “mismanagement issues” at Southbridge.

Murphy’s mother eventually submitted an unsworn statement to DHCR in which she claimed that she did not file these income affidavits because of “corruption” at Southbridge. But she provided no contemporaneous evidence that fears of “corruption” had caused her to refrain from filing, and her explanation contained serious factual inaccuracies and inconsistencies.¹⁰ And, of course, DHCR was aware that in 1997, the Murphy household’s reported income was nearly double the maximum allowable limit. As a result, Southbridge had applied a 50% surcharge to the rent—the maximum monetary penalty allowable.

DHCR considered and expressly rejected as a factual matter Murphy’s excuse for his mother’s failure to file income affidavits for 1998 and 1999. And the record more than adequately supports DHCR’s scepticism. Again, the majority impermissibly substitutes its judgment for DHCR’s by opining that “there was no relationship between the tenant-of-record’s failure to file the income affidavit and [Murphy’s] income or occupancy.” First, the nature of the “relationship” between neglect to file and the applicant’s income and occupancy is not made a test of eligibility anywhere in DHCR’s succession regulations. Failure to file is enough, absent a showing of undue hardship (*see* n 9, *supra*). And the only way to conclude that, as a matter of fact, no such relationship existed is by accepting the tortured explanations put forward by Murphy and his mother.¹¹ In any event, DHCR’s factual determinations must be upheld so long as any rational basis supports the decision, even if “the evidence is conflicting

10. Interestingly, one of the corrupt officials about whom Murphy’s mother complained pleaded guilty in 2008 to mail fraud charges stemming from her attempt to circumvent DHCR’s succession regulations by filing false income affidavits.

11. Although the majority insists that “in reaching [its] conclusion, it is unnecessary to accept any of Murphy’s mother’s explanations for nonfiling” (*see* majority op at 654 n 3), no reason other than these explanations is apparent from the record to support the otherwise ipse dixit statement that “there was no relationship between the tenant-of-record’s failure to file the income affidavit and [Murphy’s] income or occupancy.”

and room for choice exists” (*Matter of State Div. of Human Rights [Granelle]*, 70 NY2d 100, 106 [1987]).

Finally, the majority minimizes the absence of an income affidavit for 1998, calling it mere “technical noncompliance for a single year,” and intimates that it is unfair for Murphy to suffer the loss of subsidized housing on account of his mother’s decision to skip filing. But the majority itself says that DHCR has “a *compelling* interest in encouraging” tenants to file income affidavits (*see* majority op at 654 [emphasis added]). Moreover, because the tenant of record/head of household files the income affidavit, a decision not to file¹² is inevitably made by someone other than the applicant for succession.

III

DHCR has an obligation to protect the integrity of the Mitchell-Lama program by insuring that sought-after taxpayer-subsidized apartments are not occupied by unqualified applicants at the inevitable expense of those legitimately entitled to this housing. Its regulations manifest various policy choices made in pursuit of that goal, and more often than not, those choices call for tradeoffs. In the case of the succession regulations, DHCR balanced the competing interests of a tenant of record’s family members and low- and moderate-income individuals and families enduring long waits for Mitchell-Lama housing. In the past, we have respected the regulatory policy choices made by housing agencies in the administration of the Mitchell-Lama program; we have recognized that “[t]he Mitchell-Lama Law prescribes strict guidelines for tenant eligibility and succession,” which the agency (in that case, HPD) is “statutorily required to enforce” (*Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776, 778 [2008]). This case signals a retreat from such judicial deference, apparently motivated by sympathy for Murphy, who benefits to the detriment of the low- or moderate-income family on the waiting list which otherwise would occupy the subsidized housing to which he now succeeds.

12. It is difficult to imagine that a tenant of record in Mitchell-Lama housing could ever simply forget to file the annual income affidavit. This is especially so in a case like this one, where the tenant is a longtime resident (beginning in 1981) with a consistent history of filing these documents until 1998.

Judges GRAFFEO, SMITH and RIVERA concur with Chief Judge LIPPMAN; Judge READ dissents and votes to reverse in an opinion in which Judges PIGOTT and ABDUS-SALAAM concur.

Order affirmed, with costs.

[998 NE2d 384, 975 NYS2d 721]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SCOTT
F. DOLL, Appellant.

Argued September 3, 2013; decided October 17, 2013

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered July 6, 2012. The Appellate Division affirmed a judgment of the Genesee County Court (Robert C. Noonan, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Doll, 98 AD3d 356, affirmed.

HEADNOTES

Crimes — Confession — Custodial Interrogation — Right to Counsel — Emergency Exception to *Miranda*

1. In a murder prosecution, the courts below correctly concluded that the detention and questioning of defendant by police without the issuance of *Miranda* warnings and despite his request for legal assistance were reasonable responses to a serious and ongoing exigent situation under the emergency doctrine where the police, responding to a 911 call, found defendant walking along a public road covered in fresh, wet blood and their reasonable inquiries regarding the source of the blood were met with inconsistent responses by defendant and his refusal to state whether the blood was from a human or an animal. The emergency doctrine is an exception to the rule that a person in custody cannot be questioned without first receiving *Miranda* warnings or after the right to counsel attaches and it excuses otherwise impermissible police conduct that is an objectively reasonable response to an apparently exigent situation. One element of the exception requires that the police have reasonable grounds to believe that there is an emergency at hand and an immediate need for assistance for the protection of life or property and the belief is grounded in empirical facts. Here, defendant failed to explain the source of fresh blood police found on his clothing and on and around his vehicle. Under the circumstances, it was reasonable for the police to believe that a person may have been seriously injured and in need of immediate emergency assistance. The fact that police did not know definitively whether a crime had occurred or the identity of the potential victim was not dispositive because the emergency doctrine is based on reasonableness, not certitude.

Crimes — Confession — Custodial Interrogation — Defendant's Statements to Friend in Presence of Police

2. In a murder prosecution, defendant was not entitled to suppression of statements he made to a friend in the presence of a police investigator at the station where defendant was being detained, notwithstanding the absence of *Miranda* warnings, since it could not be said as a matter of law that the conversation constituted interrogation. The investigator did not converse with or question defendant during the encounter. Nor did defendant establish that

the discussion rose to the level of a psychological ploy that could be treated as the functional equivalent of interrogation or a subterfuge to circumvent attachment of the indelible right to counsel. The investigator initially refused to allow the friend to meet with defendant, but relented only after she persistently demanded to speak with him and after she was specifically informed that the officer would be in the room taking notes of the conversation. Defendant was also aware that the officer, who was only a few feet away, was listening to the exchange. On the facts, the courts below did not err in finding that defendant's assertions were voluntary and admissible at trial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 914, 916, 917, 921; AM JUR 2d, Evidence §§ 715, 726, 753, 754, 759, 760.

CARMODY-WAIT 2d, Confessions; Privilege Against Self-Incrimination §§ 176:20, 176:32–176:37, 176:40, 176:55, 176:82–176:86, 176:99.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.2, 6.5–6.7, 10.1–10.5.

NY JUR 2d, Criminal Law: Procedure §§ 564, 575–580, 586, 610–614, 640, 1599, 1610.

ANNOTATION REFERENCE

See ALR Index under Confessions and Admissions; Miranda Warnings.

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Query: miranda /s question! interrogat! & emergency /2 doctrine

POINTS OF COUNSEL

Lipsitz Green Scime Cambria, LLP, Buffalo (*Timothy P. Murphy* and *Paul J. Cambria, Jr.*, of counsel), for appellant. I. Appellant was deprived of his state and federal constitutional rights to a fair trial, due process, counsel and to be free from compelled self-incrimination, as he invoked his right to counsel and was subjected to custodial interrogation without being afforded *Miranda* warnings. The public safety/emergency exception did not apply, and the statements were involuntarily made. (*People v Krom*, 61 NY2d 187; *Michigan v Fisher*, 558 US 45; *People v Rogers*, 48 NY2d 167; *People v West*, 81 NY2d 370; *People v Settles*, 46 NY2d 154; *People v Cunningham*, 49 NY2d 203; *People v Yukl*, 25 NY2d 585; *People v Samuels*, 49 NY2d 218; *People v Hobson*, 39 NY2d 479; *People v Parks*, 120 AD2d

920.) II. Appellant's state and federal constitutional rights to due process, a fair trial and to be free from unreasonable searches and seizures were violated by appellant's warrantless arrest and subsequent transport to the station, as there was no probable cause. (*Mapp v Ohio*, 367 US 643; *Wong Sun v United States*, 371 US 471; *People v De Bour*, 40 NY2d 210; *Dunaway v New York*, 442 US 200; *People v Bigelow*, 66 NY2d 417; *People v Hicks*, 68 NY2d 234; *People v Shulman*, 6 NY3d 1; *People v Cantor*, 36 NY2d 106; *People v Yukl*, 25 NY2d 585; *People v Ferry*, 152 AD2d 952.) III. Appellant's state and federal constitutional rights to due process, a fair trial and to be free from unreasonable searches and seizures were violated by law enforcement's pre-warrant search of the vehicle in appellant's possession and other physical evidence. Further, the subsequent warrants were not based upon probable cause. (*People v Rodriguez*, 69 NY2d 159; *People v Wesley*, 73 NY2d 351; *People v Ramirez-Portoreal*, 88 NY2d 99; *Payton v New York*, 445 US 573; *People v Bigelow*, 66 NY2d 417; *Johnson v United States*, 333 US 10; *People v Adams*, 53 NY2d 1; *People v Molnar*, 98 NY2d 328; *People v Wheeler*, 2 NY3d 370; *People v William II*, 98 NY2d 93.)

Lawrence Friedman, District Attorney, Batavia (William G. Zickl and Melissa Lightcap Cianfrini of counsel), for respondent. I. The statements made by defendant were properly admitted at trial. (*People v Dallas*, 8 NY3d 890; *People v Molnar*, 98 NY2d 328; *People v Tankleff*, 84 NY2d 992; *People v Bongarzone-Suarrcy*, 6 NY3d 787; *People v Harrison*, 82 NY2d 693; *People v Cardona*, 41 NY2d 333; *People v Hodge*, 44 NY2d 553; *People v Brewer*, 28 AD3d 265, 7 NY3d 753; *People v Desmarat*, 38 AD3d 913, 10 NY3d 933; *People v Rodriguez*, 77 AD3d 280, 15 NY3d 955.) II. The approach and detention of defendant were proper. (*People v Williams*, 17 NY3d 834; *People v Greenidge*, 91 NY2d 967; *Dunaway v New York*, 442 US 200; *People v Hicks*, 68 NY2d 234; *People v Robinson*, 282 AD2d 75; *People v Ryan*, 12 NY3d 28; *People v Hodge*, 44 NY2d 553; *People v McLaurin*, 70 NY2d 779; *People v Gomez*, 5 NY3d 416; *People v Oquendo*, 252 AD2d 312, 93 NY2d 901.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue in this appeal is whether the courts below correctly concluded that the actions of the police were a reasonable response to a serious and ongoing exigent situation under the emergency doctrine.

I

At about 9:00 p.m. one evening in February 2009, the Genesee County Sheriff's Department received a 911 report of a suspicious person walking on a particular roadway. A deputy responded and observed a man who matched the description wearing a one-piece camouflage hunting outfit and a white hood. As the individual approached the officer's vehicle, he dropped a metal object and pulled a lug wrench from his pocket. The deputy observed what appeared to be wet blood stains on the man's knees, thighs, hands and shoes.

The officer asked the man for identification and he produced a correction officer identity card bearing his name—Scott Doll. Defendant Doll indicated that he was walking to lower his blood pressure because he had a doctor's appointment the next morning. He further explained that his van was parked near an automotive facility and he asked for a ride to that location. The deputy agreed to take defendant to his vehicle.

After defendant got into the rear seat of the police car, the firefighter who had placed the 911 call came to the scene and informed the deputy that when he had noticed defendant at the automotive garage, defendant had turned away from him and crouched between two cars in an attempt to avoid detection. Based on this information, the deputy told defendant that he was being detained until the situation was assessed. Defendant was then frisked and handcuffed. In response to a question about the blood on his clothes, defendant explained that he was wearing his deer butchering outfit because of the cold temperature that evening. He did not explain why the blood was wet.

The deputy drove defendant to his van and discovered blood in several places inside and outside defendant's vehicle, along with bloody gloves nearby. Other police officers who arrived at the scene noticed blood on defendant's face and saw him leave bloody footprints in the snow. Around this time, defendant asked to speak to his divorce lawyer. When the police questioned defendant about whether the blood was from a deer or a human, defendant declined to explain the source of the blood or take the deputies to the alleged butchered deer.

These unusual circumstances caused the deputies to believe that a person may have been injured in an accident or assault so they continued to question defendant despite his request for legal assistance. Defendant repeated that he could not answer the officers' inquiries. The police then tried to contact defendant's

relatives and acquaintances (as well as other individuals) to determine whether anyone needed emergency assistance. Officers also searched for an injured person in the vicinity where defendant had been walking. Eventually, police officers went to the residence of defendant's business partner and discovered the man lying dead in his driveway.

In the meantime, the police impounded defendant's van and took him to the sheriff's office. Defendant was photographed, tested for DNA and his clothes were seized. A few hours later, a female friend (a former coworker of defendant) arrived at the police station and asked to speak with defendant. An investigator, who was aware of the death of defendant's business partner, initially rebuffed the woman. He eventually allowed her to meet with defendant after explaining that he intended to remain in the room while they spoke and he would be taking notes but would not participate in the discussion. During the meeting, with the investigator only a few feet away, defendant told the woman that the case did not involve an animal; he had been present but did not do anything; the case was "open and shut" and he would be going to jail; and he would probably get what he deserved. When the woman specifically asked defendant to state that no one was dead, defendant responded "I can't tell you that."

The blood found on defendant's clothes, his van and the gloves was later matched to the victim. Further investigation revealed that defendant had financial difficulties that affected his business relationship with the deceased and the men had arranged to meet on the day the victim died.

Defendant was indicted for second-degree murder. He moved to suppress the statements he made to the police and his female acquaintance, as well as all of the physical evidence, primarily claiming that he had been arrested without probable cause and interrogated in violation of his right to counsel and without receiving *Miranda* warnings. County Court conducted an evidentiary hearing and ruled that the detention and questioning of defendant were justified under the emergency doctrine. The court did, however, suppress the results of defendant's DNA test because the police could have obtained a warrant. A jury subsequently convicted defendant of second-degree murder and he was sentenced to a prison term of 15 years to life.

The Appellate Division affirmed (98 AD3d 356 [4th Dept 2012]), determining that the police actions were warranted

because the authorities reasonably responded to an emergency situation. Two Justices dissented, believing that the emergency doctrine was unavailable since the police did not know whether an actual crime victim existed. A dissenter granted defendant leave to appeal (19 NY3d 1003 [2012]). We now affirm.

II

Defendant maintains that his right to counsel and *Miranda* protections were violated because the emergency doctrine should not apply where the police did not know for certain if a crime had occurred or whether an injured person needed emergency aid. Consequently, defendant contends that his motion to suppress should have been granted and a new trial ordered. The People assert that the police properly relied on the emergency doctrine in light of the peculiar circumstances they confronted—a man walking along a public road covered in fresh blood for which no reasonable explanation was readily forthcoming. They argue that it is unnecessary for the police to have specific information that a person requires assistance so long as they reasonably believe that there is an exigent situation demanding their attention.

As a general rule, a person who is in custody cannot be questioned without first receiving *Miranda* warnings (*see e.g. People v Ramos*, 99 NY2d 27, 35 [2002]) or after the right to counsel attaches (*see e.g. People v Gibson*, 17 NY3d 757, 759 [2011]). There are exceptions to these principles, one of which is referred to as the “emergency doctrine” (*see e.g. Michigan v Fisher*, 558 US 45, 47 [2009]; *Brigham City v Stuart*, 547 US 398, 403 [2006]; *New York v Quarles*, 467 US 649, 655-656 [1984]; *People v Molnar*, 98 NY2d 328, 331-333 [2002]; *People v Krom*, 61 NY2d 187, 198-200 [1984]; *People v Mitchell*, 39 NY2d 173, 177-178 [1976]). It recognizes that the Constitution “is not a barrier to a police officer seeking to help someone in immediate danger” (*People v Molnar*, 98 NY2d at 331), thereby excusing or justifying otherwise impermissible police conduct that is an objectively reasonable response to an apparently exigent situation (*see Brigham City v Stuart*, 547 US at 404-405). We have explained that the exception is comprised of three elements: (1) the police must have reasonable grounds to believe that there is an emergency at hand and an immediate need for their assistance for the protection of life or property and this belief must be grounded in empirical facts; (2) the search must not be primarily motivated by an intent to arrest and seize evidence; and

(3) there must be some reasonable basis, approximating probable cause, to associate the emergency with the area or place to be searched (see *People v Molnar*, 98 NY2d at 332; *People v Mitchell*, 39 NY2d at 177-178).^{*} The applicability of the emergency doctrine is a mixed question of law and fact that is beyond our review if the record supports the findings of the courts below (see *People v McBride*, 14 NY3d at 446; *People v Dallas*, 8 NY3d at 891; *People v Molnar*, 98 NY2d at 335).

[1] Here, we conclude that there is support in the record for the determination that the emergency doctrine justified the police questioning. Specifically, the police officers responding to a 911 call found defendant walking along a public road covered in fresh, wet blood and their reasonable inquiries regarding the source of the blood were met with inconsistent responses by defendant, who refused to state whether the blood was from a human or an animal. Under these circumstances, it was reasonable for the police to believe that a person may have been seriously injured and in need of imminent emergency assistance. Contrary to defendant's contention, the fact that police did not know definitively whether a crime had occurred or the identity of the potential victim was not dispositive because the emergency doctrine is premised on reasonableness, not certitude (see *People v Molnar*, 98 NY2d at 334-335 [the emergency doctrine allowed the police to conduct a warrantless residential entry without knowing if a crime had taken place inside]; see e.g. *Brigham City v Stuart*, 547 US at 404; *Michigan v Fisher*, 558 US at 49). Hence, the courts below properly denied defendant's motion to suppress the statements he made to the police before the victim was discovered and any evidence that was derived from that information (see generally *People v Krom*, 61 NY2d at 200-201).

III

Defendant also asserts that he was entitled to suppression of the custodial statements he made to his female acquaintance in the presence of a police investigator. According to defendant, the police used the woman in order to conduct the functional equivalent of a custodial interrogation. We disagree.

[2] The purpose of the *Miranda* rule is to “prevent[] government officials from using the coercive nature of confinement to

^{*} Whether the second factor remains viable is an issue we need not resolve in this appeal (see e.g. *People v McBride*, 14 NY3d 440, 447 n [2010]; *People v Dallas*, 8 NY3d 890, 891 [2007]).

extract confessions that would not be given in an unrestrained environment” (*Arizona v Mauro*, 481 US 520, 529-530 [1987]). New York’s indelible right to counsel is likewise designed to prevent the police from attempting to elicit an uncounseled waiver of the right to remain silent (*see generally People v Lopez*, 16 NY3d 375, 381-382 [2011]). On this record, it cannot be said as a matter of law that defendant’s conversation with his friend constituted “interrogation” (*see generally People v Naradzay*, 11 NY3d 460, 468 [2008]).

Here—as in *Arizona v Mauro* (481 US 520 [1987])—it is undisputed that the investigator did not converse with or question defendant during this encounter (*see id.* at 527). Nor has defendant established that a discussion of this nature rose to the level of a “psychological ploy that properly could be treated as the functional equivalent of interrogation” (*id.*) or a subterfuge to circumvent attachment of the indelible right to counsel. The investigator initially refused to allow the woman to meet with defendant but he relented only after she persistently demanded to speak with defendant—and after she was specifically informed that the officer would be in the room taking notes of the conversation (*see id.* at 528). Defendant was also clearly aware that the police officer was listening to the verbal exchange since the investigator was only a few feet away when the friends conversed. Despite these circumstances, defendant nevertheless stated that an animal was not involved; the case was open and shut; he was going to jail and would get what he deserved; and that he could not say that a person was not dead. On these facts, the courts below did not err in finding that defendant’s assertions were voluntary and admissible at trial.

Our concurring colleague believes that *Mauro* is distinguishable (*see concurring op* at 675 n), but the facts of *Mauro* belie this assertion. The police officer in *Mauro* acknowledged that he “ ‘sent an officer in there to listen to that conversation’ ” knowing “ ‘that it was possible that [Mauro] might make incriminating statements’ ” and that he “ ‘wanted to record that conversation so as to have a record of those incriminating statements’ ” (481 US at 524 n 2). More poignantly for purposes of this appeal, *Mauro* specifically explained that “[o]fficers do not interrogate a suspect simply by hoping that he will incriminate himself” (481 US at 529). Contrary to the concurrence’s claim, the fact that the investigator listened to defendant’s conversation in order to record any inculpatory statements is not

determinative and there is no basis for suppressing the voluntary statements that defendant made to his acquaintance.

As a final matter, there is no merit to defendant's challenge to the legality of his detention by the police (*see generally People v Williams*, 17 NY3d 834, 835-836 [2011]).

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (concurring). I agree with the majority that the emergency doctrine exception applies where police have a basis to reasonably believe "that a person may have been seriously injured and in need of imminent emergency assistance." (Majority op at 671.) However, I disagree with its conclusion that the police conduct following the termination of the emergency did not violate defendant's rights. In my opinion, after the emergency ended, the police continued to act in disregard of defendant's prior demands to speak with his lawyer and undermined his right to counsel.

The emergency doctrine is an exception to the established constitutional prohibition on police interrogation in violation of a suspect's right to counsel. This exception allows police questioning of a suspect, in derogation of the usual *Miranda* warnings, where the police may have reasonable grounds to believe an emergency exists that demands their immediate attention. (*See New York v Quarles*, 467 US 649, 656 [1984] ["we do not believe that the doctrinal underpinnings of *Miranda* require that it be applied in all its rigor to a situation in which police officers ask questions reasonably prompted by a concern for the public safety"].) The doctrine permits questioning even where the suspect has specifically invoked his right to counsel. (*See People v Krom*, 61 NY2d 187, 200 [1984] ["the police did not violate the defendant's right to counsel under the State Constitution by questioning him concerning the victim's whereabouts"].) However, once the emergency ends, the exception no longer applies. (*Krom*, 61 NY2d at 200; *see also People v Molina*, 248 AD2d 489, 490 [2d Dept 1998].) The doctrine is, thus, subject to temporal limits on the suspension of a suspect's rights to speak with an attorney and on police interrogation outside the presence of counsel. Without a temporal limit, the exception would potentially engulf, or otherwise encumber, a suspect's rights to refuse to respond to police questioning and seek assistance of counsel. The policy reasons supporting the emergency doctrine, and its attendant suspension of law enforcement's

duty to inform the defendant of his rights in accordance with *Miranda* and the prohibition on custodial interrogations outside the presence of counsel, also support the immediate reestablishment of the defendant's rights to their pre-emergency status, once the police are no longer faced with "grounds to believe that there is an emergency at hand and an immediate need for their assistance" (*People v Molnar*, 98 NY2d 328, 332 [2002]; see also majority op at 670).

Here, as the People concede, once the body was discovered the emergency ended. Thus, no reasonable basis existed for the continuation of the application of the emergency exception to the defendant. At that time, defendant, who had previously asked for counsel, was entitled to the termination of all custodial questioning, and to speak with an attorney. (See *Krom*, 61 NY2d at 200 ["The police . . . should not have continued to question the defendant in the absence of counsel once the victim's body was found"].) The fact that defendant did not repeat his request for counsel did not constitute a waiver of his original request; such waiver, in fact, would be invalid outside the presence of counsel. (See *People v Cunningham*, 49 NY2d 203, 209 [1980].)

Rather than cease their efforts to search for evidence and realign their conduct with well established precedent, the police continued to extract information from defendant outside the presence of counsel. According to the record, the investigator was fully aware, at approximately 1:00 a.m., that a body had been discovered after being notified over his police radio. This same investigator was equally aware of defendant's invocation of counsel earlier in the night. Yet, more than two hours after the police discovered the body, the investigator sought to secure incriminating statements from the defendant without the defendant having had the benefit of speaking with a lawyer even once during the course of a custodial process which lasted at least six hours. The investigator admitted that he was hoping the defendant would make incriminating statements when he permitted the defendant's female acquaintance to address the defendant.

The majority relies on *Arizona v Mauro* (481 US 520 [1987]) to support its conclusion that the use of the female acquaintance was not the functional equivalent of an interrogation. However, *Mauro* is distinguishable because it did not involve police conduct following suspension of defendant's rights under the emergency doctrine, nor did it involve the admitted efforts by law enforcement to elicit incriminating statements from the

defendant. In *Mauro*, the police advised the defendant of his *Miranda* rights, the defendant invoked his right to counsel and all questioning ceased. The police, however, permitted the defendant's wife to speak with the defendant. The Court concluded that the police conduct, absent any evidence or suggestion of improper motives, did not constitute an interrogation. (481 US at 529.) As the Court noted in *Mauro*, "[n]or [was] it suggested—or supported by any evidence—that [the officer's] decision to allow Mauro's wife to see him was the kind of psychological ploy that properly could be treated as the functional equivalent of interrogation." (*Id.* at 527.) Also, there was "no evidence that the officers sent [Mauro's wife] in to see her husband for the purpose of eliciting incriminating statements." (*Id.* at 528.)* Those concerns, however, are exactly at issue in the defendant's case. First, allowing a friend to speak with the defendant after the police had spoken with him, and while in custody, carried a certain amount of psychological impact. Second, the investigator's sole articulated reason for allowing the friend to speak to the defendant was to record incriminating statements.

On these facts, I cannot agree with the majority that the investigator's actions were not "a subterfuge to circumvent attachment of the indelible right to counsel." (Majority op at 672.) The clearly opportunistic use of the situation cannot be reconciled with defendant's right to speak with an attorney.

For the same reasons, I would find that the police conduct also violated defendant's rights under our State Constitution. It bears repeating that our Constitution provides more expansive protections than the Federal Constitution. (*People v Alvarez*, 70 NY2d 375, 378 [1987] ["in determining . . . the guarantees of fundamental rights of the individual in the Constitution of the State of New York, this court is bound to exercise its independent judgment and is not bound by a decision of the Supreme Court of the United States limiting the scope of similar guarantees in the Constitution of the United States"].)

Nevertheless, as made immensely clear by the record and the majority's discussion of the evidence, it cannot be said that the

* The majority contends that the cases are indistinguishable because officers in both cases acted merely in the "hopes" of overhearing incriminating statements. Yet in *Mauro*, the officers asserted safety and security reasons for observing Mauro and his wife, but also acknowledged the possibility that Mauro might incriminate himself. Here, the investigator's only reason for being present in the room with the defendant and his friend was to overhear and record the defendant's potentially incriminating statements.

defendant's statements to his friend were of the type that creates "a reasonable possibility that the [error] might have contributed to the conviction." (See *People v Crimmins*, 36 NY2d 230, 241 [1975].) Therefore, I concur.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and ABDUS-SALAAM concur with Judge GRAFFEO; Judge RIVERA concurs in result in an opinion.

Order affirmed.

[998 NE2d 810, 976 NYS2d 10]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PAT-
RICK A. ASARO, Appellant.

Argued September 10, 2013; decided October 22, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 3, 2012. The Appellate Division affirmed a judgment of the Orange County Court (Jeffrey G. Berry, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the second degree, assault in the second degree (four counts), assault in the third degree (two counts), reckless endangerment in the second degree and reckless driving.

People v Asaro, 94 AD3d 773, affirmed.

HEADNOTES

Crimes — Manslaughter — Recklessness — Sufficiency of Evidence

1. In the prosecution of defendant arising from a fatal automobile crash that occurred when defendant crossed over into oncoming traffic while traveling at speeds far in excess of the posted speed limit of 55 miles per hour, defendant's conviction for manslaughter in the second degree, predicated on the mental state of recklessness, was supported by legally sufficient evidence. A person is guilty of manslaughter in the second degree under Penal Law § 125.15 (1) when he or she "recklessly causes the death of another person." In the context of automobile accidents involving speeding, the culpable risk-creating conduct necessary to support a finding of recklessness or criminal negligence generally requires some additional affirmative act aside from driving faster than the posted speed limit. Defendant did more than merely drive faster than the legal limit. Just before the collision, which occurred as defendant approached a sharp curve in the unlit road, defendant stopped his vehicle in the middle of the road, revved the engine, hit the gas pedal and accelerated to an extremely high rate of speed. He then crossed the double yellow line and struck another vehicle head-on, killing the other driver and seriously injuring the passengers in both vehicles. Although the jury acquitted defendant of driving while ability impaired by alcohol, there was evidence that he had been drinking and smoking marijuana that evening. The proof was sufficient to support the jury's conclusion that defendant acted recklessly—by consciously disregarding the risk he created—as opposed to negligently failing to perceive that risk. Defendant was familiar with the curve in the road, he had been warned twice about speeding into that very section of the road, and, just before the collision, one of defendant's passengers pleaded with him to slow down because they were "about to make the turn."

Crimes — Assault — Recklessness — Sufficiency of Evidence

2. In the prosecution of defendant arising from a fatal automobile crash that occurred when defendant crossed over into oncoming traffic while traveling

at speeds far in excess of the posted 55 miles per hour, defendant's conviction for assault in the second degree, predicated on the mental state of recklessness, was supported by legally sufficient evidence. A person commits assault in the second degree when he or she "recklessly causes serious physical injury to another person by means of a deadly weapon or a dangerous instrument" (Penal Law § 120.05 [4]). In the context of automobile accidents involving speeding, the culpable risk-creating conduct necessary to support a finding of recklessness or criminal negligence generally requires some additional affirmative act aside from driving faster than the posted speed limit. Defendant did more than merely drive faster than the legal limit. Just before the collision, which occurred as defendant approached a sharp curve in the unlit road, defendant stopped his vehicle in the middle of the road, revved the engine, hit the gas pedal and accelerated to an extremely high rate of speed. He then crossed the double yellow line and struck another vehicle head-on, killing the other driver and seriously injuring the passengers in both vehicles. Although the jury acquitted defendant of driving while ability impaired by alcohol, there was evidence that he had been drinking and smoking marijuana that evening. The proof was sufficient to support the jury's conclusion that defendant acted recklessly—by consciously disregarding the risk he created—as opposed to negligently failing to perceive that risk. Defendant was familiar with the curve in the road, he had been warned twice about speeding into that very section of the road, and, just before the collision, one of defendant's passengers pleaded with him to slow down because they were "about to make the turn."

Crimes — Disclosure — Failure to Produce *Rosario* Material — Remedy

3. In the prosecution of defendant arising from a fatal automobile crash, the trial court did not abuse its discretion by denying defendant's request to strike the entirety of the testimony of the accident reconstruction expert, who testified at trial that defendant had crossed the double yellow line heading into a sharp curve while driving at a minimum of 94 miles per hour, but admitted on cross-examination that the handwritten notes he had used to make the speed computations were lost while he was on medical leave and he could not replicate the math. As a result of the lost *Rosario* material, the trial court gave the jury an adverse inference charge. Defendant asked the trial court to strike all of the expert's testimony, which included a substantial amount of proof unrelated to the missing handwritten mathematical notes. Defendant did not, as he subsequently did on appeal, single out the testimony pertaining to speed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Assault and Battery §§ 15, 16, 63, 77; AM JUR 2d, Automobiles and Highway Traffic §§ 263, 351, 355–359, 374, 977, 994; AM JUR 2d, Depositions and Discovery §§ 253–255, 271; AM JUR 2d, Homicide §§ 46, 47, 61, 62, 85, 419.
- CARMODY-WAIT 2d, Discovery §§ 187:104, 187:119, 187:126, 187:131; CARMODY-WAIT 2d, Charge and Instructions to Jury § 200:37.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 20.6.

McKINNEY'S, Penal Law §§ 120.05 (4); 125.15 (1).
NY JUR 2d, Criminal Law: Procedure §§ 1707–1709, 1716,
1723, 1729, 2754; NY JUR 2d, Criminal Law: Substantive
Principles and Offenses §§ 396, 423, 549, 550.

ANNOTATION REFERENCE

See ALR Index under Assault and Battery; Discovery;
Driving While Intoxicated; Instructions to Jury; Manslaugh-
ter; Memoranda or Notes; Recklessness; Speed and Speed-
ing.

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POINTS OF COUNSEL

Ostrer & Hoovler, P.C., Chester (*Benjamin Ostrer* of counsel),
for appellant. I. Expert testimony was improperly admitted.
(*Frye v United States*, 293 F 1013; *People v Wesley*, 83 NY2d
417; *Maryland v Craig*, 497 US 836.) II. A *Frye* hearing was
required. (*Cassano v Hagstrom*, 5 NY2d 643; *Tucker v Elim-
elech*, 184 AD2d 636; *Matott v Ward*, 48 NY2d 455; *Gross v
Friedman*, 138 AD2d 571, 73 NY2d 721.) III. The proof was
insufficient. (*People v Contes*, 60 NY2d 620; *People v Conway*, 6
NY3d 869; *People v Boutin*, 75 NY2d 692; *People v Haney*, 30
NY2d 328; *People v Cabrera*, 10 NY3d 370; *People v Montanez*,
41 NY2d 53; *People v Green*, 56 NY2d 427; *People v Stanfield*,
36 NY2d 467; *People v Kern*, 149 AD2d 187.) IV. The verdict was
repugnant. (*People v Schaffer*, 80 AD2d 865.) V. The expert's
testimony should have been stricken. (*Perma Research & Dev. v
Singer Co.*, 542 F2d 111; *People v DaGata*, 86 NY2d 40; *United
States v Russo*, 480 F2d 1228; *People v Copicotto*, 50 NY2d 222;
People v Pitts, 93 NY2d 571.) VI. The expert testimony was
improperly bolstered. (*Dougherty v Milliken*, 163 NY 527; *People
v Wernick*, 89 NY2d 111; *People v Ciaccio*, 47 NY2d 431.) VII.
The failure to disclose the unreliability of the needle slap evi-
dence constituted a *Brady* violation. (*People v Santorelli*, 95
NY2d 412; *People v Crandall*, 38 AD3d 996, 9 NY3d 842; *People
v Oglesby*, 12 AD3d 857, 5 NY3d 792; *Brady v Maryland*, 373
US 83; *People v Baxley*, 84 NY2d 208; *People v Bond*, 95 NY2d
840; *People v Vilardi*, 76 NY2d 67.)

Francis D. Phillips, II, Goshen (*Robert H. Middlemiss* and
Andrew R. Kass of counsel), for respondent. I. The trial court's

negative inference jury instruction was sufficient to cure the loss of Trooper Pirtle's notes. (*People v Colavito*, 87 NY2d 423; *People v DaGata*, 86 NY2d 40; *Matter of Miller v Schwartz*, 72 NY2d 869; *Brady v Maryland*, 373 US 83; *People v Rosario*, 9 NY2d 286, 980, 368 US 866; *People v Button*, 276 AD2d 229; *Green v Artuz*, 990 F Supp 267; *Morrison v McClellan*, 903 F Supp 428; *Crawford v Washington*, 541 US 36; *Melendez-Diaz v Massachusetts*, 557 US 305.) II. The jury's verdict was supported by legally sufficient evidence. (*People v Contes*, 60 NY2d 620; *People v Norman*, 85 NY2d 609; *People v Taylor*, 94 NY2d 910; *People v Benzinger*, 36 NY2d 29; *People v Rhodes*, 49 AD3d 668; *People v Romero*, 7 NY3d 633; *People v Licitra*, 47 NY2d 554; *People v Racine*, 132 AD2d 899.) III. References to defendant's speedometer were fair comment on the evidence and did not affect defendant's fundamental rights. (*People v Nichols*, 35 AD3d 508; *People v Leka*, 209 AD2d 723; *Brady v Maryland*, 373 US 83; *People v Fuentes*, 12 NY3d 259; *People v Hayes*, 17 NY3d 46; *People v Johnson*, 303 AD2d 208; *People v Alvarez*, 44 AD3d 562; *People v De Tore*, 34 NY2d 199; *People v Henry*, 60 AD3d 1083; *People v Giuca*, 58 AD3d 750.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue before us is whether defendant's convictions for manslaughter in the second degree and assault in the second degree, each predicated on the mental state of recklessness, are supported by legally sufficient evidence. We conclude that they are and therefore affirm.

In the early morning hours of November 22, 2008, defendant Patrick Asaro was driving his vehicle with four passengers on a rural two-lane road in Orange County. He suddenly stopped his car, revved the engine and quickly accelerated to speeds far in excess of the posted limit of 55 miles per hour. Ignoring an urgent plea from one of his passengers to slow down, he crossed the double yellow line and struck an oncoming car head-on, instantly killing the driver and injuring the passenger in the other vehicle. All four passengers in defendant's car sustained injuries. As a result, defendant was indicted for manslaughter in the second degree (Penal Law § 125.15 [1]), criminally negligent homicide (Penal Law § 125.10), four counts of assault in the second degree (Penal Law § 120.05 [4]), four counts of assault in the third degree (Penal Law § 120.00 [2], [3]), reckless

endangerment in the second degree (Penal Law § 120.20), reckless driving (Vehicle and Traffic Law § 1212) and driving while ability impaired (Vehicle and Traffic Law § 1192 [1]).

At trial, Andrew Adamczyk testified that several hours before the accident he held a party at his parents' house located in the Town of Mount Hope along Guymard Turnpike, a two-lane unlit highway with a speed limit of 55 miles per hour. There was a sharp bend in the road near the home. At one point that evening, he watched defendant's 2008 Mitsubishi Lancer speed by his house, turn around and enter his driveway. When defendant exited his car, he asked Adamczyk whether he liked the modifications he had made to the exhaust and air intake systems—adjustments designed to make the vehicle louder and faster. In response, Adamczyk admonished defendant not to drive by his house at such a dangerously high rate of speed.

At the party, 10 to 15 guests were drinking vodka and beer. Kyle Ligenzowski testified that he and defendant drank two shots of vodka together and played “beer pong” as teammates. Other partygoers likewise saw defendant drinking vodka and participating in beer pong. Two witnesses testified that defendant appeared to be intoxicated. After defendant had been at the party for a few hours, Ligenzowski told him that two people—Jorge Ortiz and Michael Nazario—needed a lift to the party from the nearby train station in Middletown. Defendant agreed to pick them up and he, Ligenzowski and Therasa Lazaro left the party a little after midnight. After picking up the two individuals, defendant stopped at a gas station to purchase more beer and headed back to the party. Ligenzowski, Ortiz and Nazario each drank beer and smoked marijuana while riding in the back seat. Lazaro was seated in the front passenger seat.

Suddenly, defendant brought his car to a halt in the middle of the road even though there was no reason to stop. He revved the engine, shifted into gear and accelerated quickly. Ligenzowski and Nazario knew that defendant was speeding because they could hear the car loudly accelerating and felt themselves being pushed back into the seat. Ortiz leaned forward to look at the speedometer and saw that the needle was pointing at 130 miles per hour. Ligenzowski testified that he screamed at defendant to slow down but defendant did not respond. Nazario heard Ligenzowski exclaim to defendant to “slow down, we’re about to make the turn.” Ligenzowski’s ominous warning was the last thing anybody in the car could recall before the collision.

The physical evidence established that defendant's vehicle crossed the double yellow line as it approached the curve by Adamczyk's house and entered the opposite lane of traffic, where it collided head-on into a car driven by Brian Stevens. The impact killed Stevens instantly and seriously injured Lindsey Ernst, who had been in the passenger seat of the car. Meanwhile, Ligenzowski was ejected from defendant's car, which had careened off the road and rolled over. Ligenzowski, Lazaro, Ortiz and Nazario all sustained serious injuries. The guests at Adamczyk's party heard the crash, called 911 and came out to help the survivors. When Adamczyk reached defendant, he heard defendant say "I'm sorry, I only had a few." The crash victims were all taken to a hospital where a blood sample of defendant was drawn at 2:41 a.m.

A forensic toxicologist testified that she conducted tests on defendant's blood sample for the presence of alcohol and drugs. The test was negative for alcohol but confirmed the presence of delta-9 tetrahydrocannabinol—the active ingredient in marijuana. A confirmatory test of a separate blood sample by another lab, however, did not detect marijuana in the blood. The toxicologist explained that the negative test may have resulted from the breakdown that occurred between the time the sample was taken and the time the confirmatory test was conducted, about a month and a half later. Although the test did not detect alcohol in defendant's system, the toxicologist explained that the average person can metabolize one drink, or a blood alcohol content (BAC) of .02, in a given hour. As a result, a person could consume alcohol for a period of time, until 11:30 p.m., and register a BAC of .00 by 2:41 a.m.

A state police expert in the field of collision reconstruction examined the crash site, observing yaw marks crossing the double yellow line from the lane in which defendant's vehicle had been traveling into the lane where Stevens had been driving. He identified skid marks that ran from the point of impact toward the final resting position of defendant's car. There were no skid marks suggesting that either car had braked prior to the collision. Based on all the evidence at the scene, the expert concluded that defendant had crossed the double yellow line heading into the curve, causing the accident. In addition, he testified that the calculations he performed to estimate the speed of defendant's car at the point of impact led him to conclude that defendant was driving at a minimum of 94 miles per hour. On cross-examination, he admitted that the handwritten

notes he had used to make the speed computations were lost while he was on medical leave and he could not replicate the math. As a result of the lost *Rosario* material, the trial court gave the jury an adverse inference charge.

At the close of the People's case, defendant moved to dismiss the second-degree manslaughter and second-degree assault counts on the ground that the evidence failed to establish the requisite mental state of recklessness. The trial court denied the motion and the jury convicted defendant of second-degree manslaughter, four counts of second-degree assault, two counts of third-degree assault, second-degree reckless endangerment and reckless driving. The jury acquitted defendant of driving while ability impaired. Defendant was sentenced to an indeterminate term of 3 to 10 years on the manslaughter count to run concurrently with determinate terms of three years on the second-degree assault counts and one year on the remaining counts.

The Appellate Division affirmed (94 AD3d 773 [2d Dept 2012]), and a Judge of this Court granted defendant leave to appeal (19 NY3d 1101 [2012]).

Defendant argues that the evidence was legally insufficient to sustain the second-degree manslaughter and second-degree assault convictions. In particular, he asserts that he did not act with the requisite mens rea of recklessness. Rather, he maintains that, at most, he was criminally negligent and the counts therefore should be reduced to criminally negligent homicide and third-degree assault. The People counter that the proof was legally sufficient to prove defendant's guilt beyond a reasonable doubt.

It is well settled that a "verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt" (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks and citations omitted]). A sufficiency inquiry obligates a court "to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof" (*id.*).

A person is guilty of manslaughter in the second degree under Penal Law § 125.15 (1) when he "recklessly causes the death of another person." Similarly, a person commits assault in the

second degree when he “recklessly causes serious physical injury to another person by means of a deadly weapon or a dangerous instrument” (Penal Law § 120.05 [4]). The Penal Law defines “recklessly” in relevant part as follows:

“A person acts recklessly with respect to a result or to a circumstance described by a statute defining an offense when he is aware of and consciously disregards a substantial and unjustifiable risk that such result will occur or that such circumstance exists. The risk must be of such nature and degree that disregard thereof constitutes a gross deviation from the standard of conduct that a reasonable person would observe in the situation” (Penal Law § 15.05 [3]).

The mental states of recklessness and criminal negligence share many similarities. Both require that there be a “substantial and unjustifiable risk” that death or injury will occur; that the defendant engage in some blameworthy conduct contributing to that risk; and that the defendant’s conduct amount to a “gross deviation” from how a reasonable person would act (*compare* Penal Law § 15.05 [3] [Recklessly] *with* Penal Law § 15.05 [4] [Criminal Negligence]). The only distinction between the two mental states is that recklessness requires that the defendant be “aware of” and “consciously disregard” the risk while criminal negligence is met when the defendant negligently fails to perceive the risk (*see People v Boutin*, 75 NY2d 692, 696 [1990] [explaining that “the necessary underlying conduct, exclusive of the mental element, is the same” (internal quotation marks, emphasis, brackets and citation omitted)]; *People v Montanez*, 41 NY2d 53, 56 [1976] [“The defendant’s awareness of the risk determines the degree of culpability”]).

[1, 2] In the context of automobile accidents involving speeding, we have held that the culpable risk-creating conduct necessary to support a finding of recklessness or criminal negligence generally requires “some additional affirmative act” aside from “driving faster than the posted speed limit” (*People v Cabrera*, 10 NY3d 370, 377 [2008]). Here, there was ample proof that defendant did more than merely drive faster than the legal limit—indeed, there was eyewitness testimony that he was traveling at more than double the posted speed limit of 55 miles per hour. Moreover, before the collision, defendant stopped his vehicle in the middle of the unlit road and revved the engine. He then hit the gas pedal and accelerated to an extremely high rate of speed

before crossing the double line into oncoming traffic. Viewed in the light most favorable to the People, the evidence showed that defendant used a public road as his personal drag strip to showcase the capabilities of his modified sports car. Although the jury acquitted defendant of driving while ability impaired (by alcohol), there was evidence that he had been drinking and smoking marijuana that evening (*see People v Loughlin*, 76 NY2d 804, 807 [1990]). The evidence therefore demonstrated that defendant engaged in conduct exhibiting “the kind of seriously blameworthy carelessness whose seriousness would be apparent to anyone who shares the community’s general sense of right and wrong” (*Cabrera*, 10 NY3d at 377 [internal quotation marks, brackets and citation omitted]).

Furthermore, the proof was sufficient to support the jury’s conclusion that defendant acted recklessly—by consciously disregarding the risk he created—as opposed to negligently failing to perceive that risk. Defendant was familiar with the curve in the road near Adamczyk’s house, having driven by there on a number of prior occasions, and he had been warned twice about speeding into that very section of the road. When defendant first arrived at the party, Adamczyk told defendant in no uncertain terms not to speed by his driveway again. Later, just before the collision, Ligenzowski pleaded with defendant to slow down because they were “about to make the turn.” Taken together, “there was sufficient proof for the jury to find that defendant was aware of and consciously disregarded a substantial and unjustifiable risk that his actions would cause the death of another” (*People v Heinsohn*, 61 NY2d 855, 856 [1984]). Consequently, defendant’s convictions for second-degree manslaughter and second-degree assault are supported by legally sufficient evidence.

[3] Defendant further contends that he is entitled to a new trial due to evidentiary errors. He claims that the trial court erred by giving an adverse inference charge as opposed to striking that portion of the accident reconstruction expert’s testimony addressing the speed of defendant’s car based on the missing *Rosario* notes. Relatedly, he asserts that the expert’s testimony regarding the car’s minimum speed was unreliable and should have been stricken because the expert could not produce or replicate the calculations by which he made his speed computations. At trial, however, defendant took a different posture—he asked the trial court to strike all of the expert’s testimony, which included a substantial amount of proof

unrelated to the missing handwritten mathematical notes. Defendant did not, as he does now, single out the testimony pertaining to speed. Under these circumstances, we cannot say that the trial court abused its discretion by denying defendant's request to strike the entirety of the expert's testimony (*see People v Martinez*, 71 NY2d 937, 940 [1988]).

We have considered defendant's remaining arguments and conclude that they are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[998 NE2d 1056, 976 NYS2d 432]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
ALCIDE, Appellant.

Argued September 3, 2013; decided October 10, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 1, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Gustin L. Reichbach, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and criminal possession of a weapon in the second degree.

People v Alcide, 95 AD3d 897, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Meaningful Notice of Jury Notes — Failure to Object

1. In a criminal prosecution, the trial judge's procedure in responding to jury notes, wherein he stated, in the presence of defendant, counsel and the jury, that he had received notes requesting readbacks of the testimony of two prosecution witnesses and that he intended to personally participate in reading the testimony, did not constitute an error affecting the mode of proceedings so as to relieve defendant of the need to timely object to preserve the issue for appellate review. Under CPL 310.30, the trial court's core responsibility in responding to a substantive juror inquiry is both to give meaningful notice to counsel of the specific content of the juror's request and to provide a meaningful response to the jury. Failure to provide either constitutes a mode of proceedings error. While *People v O'Rama* (78 NY2d 270 [1991]) endorses a specific procedure for fulfilling the meaningful notice requirement, which includes allowing counsel an opportunity to suggest responses to the inquiry before the jury is recalled into the courtroom, the point of *O'Rama* was to delineate a set of guidelines calculated to maximize participation by counsel before the court gives its response, when counsel's input is most meaningful. Here, the two jury notes were disclosed in their entirety in open court before the trial judge responded to them and the judge explained exactly how he was going to respond to them. If defense counsel considered the judge's intended approach prejudicial, he had an opportunity to ask him to alter course, and it behooved him to do so.

Crimes — Appeal — Preservation of Issue for Review — Trial Judge's Participation in Testimony Readback — No Mode of Proceedings Error

2. In a criminal prosecution, any error in the trial judge's response to jury notes requesting readbacks of testimony of two prosecution witnesses, in which he participated by personally reading the prosecutor's direct examination questions of both witnesses while the court reporter read the responses

and then switching roles with the reporter for the cross-examination questions and answers, did not constitute a mode of proceedings error obviating the need to timely object to preserve the issue for appellate review. A mode of proceedings error is a narrow exception to the preservation rule which is reserved for the most fundamental flaws. While a trial judge should shun engaging in readbacks of testimony to avoid any risk of creating a misperception in the minds of the jurors by conveying that the court is aligned with the party or counsel whose role the court has assumed in the readback, nothing in CPL 310.30 prohibits the court's participation. Here, the record did not suggest that the trial judge was so wedded to taking part in the readbacks that he could not have been dissuaded by timely protest. His stated reasons for participating were to move matters along and make the readbacks easier for the jury to follow. Further, requiring preservation was not unfair based on the danger that defense counsel's objection would draw the jury's attention to something unfavorable to his client or give the appearance of being argumentative or attempting to conceal evidence. Counsel in a criminal trial is responsible for bringing error to the court's attention at a time when the error could have been obviated, and defense counsel could have objected and asked to discuss the matter at a sidebar, out of the jury's hearing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618, 619, 690; AM JUR 2d, Trial §§ 1447, 1448.

CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:131, 190:132; CARMODY-WAIT 2d, Jury Conduct and Deliberations §§ 201:15-201:17, 201:19, 201:20, 201:27; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:29, 207:32, 207:38, 207:39.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.9, 27.5.

McKINNEY'S, CPL 310.30.

NY JUR 2d, Criminal Law: Procedure §§ 2501, 2822-2825, 3454, 3455, 3469.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Deliberations; Jury Trials.

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Database: NY-ORCS

Query: testimony /5 readback /p unpreserved

POINTS OF COUNSEL

Lynn W.L. Fahey, Appellate Advocates, New York City (Melissa S. Horlick of counsel), for appellant. The court denied appellant's due process rights to a jury trial and a fair trial by (a)

personally assuming the prosecutor's role during readbacks of the direct testimony of two prosecution witnesses, and then switching roles with the court reporter to read those witnesses' cross-examination answers; and (b) failing to first advise counsel of its intended, unorthodox readback procedure before addressing the jury. (*People v O'Rama*, 78 NY2d 270; *People v Arnold*, 98 NY2d 63; *People v Yut Wai Tom*, 53 NY2d 44; *People v Jamison*, 47 NY2d 882; *People v Moulton*, 43 NY2d 944; *People v Mees*, 47 NY2d 997; *Thom v Jaymee Fashions*, 35 AD2d 946, 29 NY2d 534; *People v Kovzelove*, 242 AD2d 477, 91 NY2d 875; *People v De Jesus*, 42 NY2d 519; *People v McLaughlin*, 150 NY 365.)

Charles J. Hynes, District Attorney, Brooklyn (Leonard Joblove and Keith Dolan of counsel), for respondent. Defendant has failed to preserve his claims that the trial court erred by participating in the readback of testimony and that the court did not give adequate notice of its intended response to the readback requests. (*People v Becoats*, 17 NY3d 643; *People v Kelly*, 5 NY3d 116; *People v Mezon*, 80 NY2d 155; *People v Robinson*, 88 NY2d 1001; *People v Gray*, 86 NY2d 10; *People v Whalen*, 59 NY2d 273; *People v Rodriguez*, 100 NY2d 30; *People v Yut Wai Tom*, 53 NY2d 44; *People v Agramonte*, 87 NY2d 765; *People v Patterson*, 39 NY2d 288.)

OPINION OF THE COURT

READ, J.

Defendant James Alcide was indicted for second-degree murder (Penal Law § 125.25 [1]) and second- and third-degree weapon possession (Penal Law §§ 265.03 [2]; 265.02 [4]) in connection with a shooting on February 20, 2005. The victim, recently released from prison, had driven a female friend on an errand to pick up clothes at a Brooklyn laundromat late in the afternoon of that day, expecting to meet up with his girlfriend there; she had begun a relationship with defendant while the victim was incarcerated. After the victim spoke briefly with his girlfriend, he turned away and walked into a nearby small grocery store.

A bystander sitting in a car parked on the same side of the street as the grocery store was startled by a shot. When he looked in the direction of the sound, the bystander saw a man firing a gun into the store; he identified defendant as the shooter in a lineup and, later, in court. The victim's friend, who was standing next to the victim's car about 40 feet away from the

store, waiting for him to return, also heard gun shots and saw defendant, whom she knew, sprinting out of the store with a gun in hand. The friend ran into the store where the victim was lying on the floor, grievously wounded. He spoke defendant's name to her before losing consciousness. At that point, as a crowd was forming outside and the police were arriving, the friend saw the victim's girlfriend and screamed "All this is your fault, you know. This is your fault."

In summation, defense counsel principally attacked the reliability of the testimony of the bystander and the victim's friend, the prosecution's two key witnesses. He claimed that the bystander was farther away from the grocery store than he estimated and had an obstructed view of the shooter in crepuscular light, making his eyewitness identification of defendant suspect; and that the friend, who had been convicted of various fraud-related offenses, gave testimony that was incredible (e.g., the victim's dying declaration), or, with respect to numerous factual matters (e.g., the time of the shooting, the color of the gun, the victim's height), inconsistent with other trial evidence. He also contended that the crime scene outside the store, where the police recovered a shell casing and a live cartridge, had been compromised by the crowd of onlookers.

During deliberations, the jury sent notes to the judge to request readbacks of the testimony of both the bystander and the first police officer to arrive at the crime scene. At trial, this officer testified that on February 20, 2005, she and her partner were working patrol when they were notified via radio that a male had been assaulted; they drove the five or six blocks to the location of the reported assault, which was the grocery store; she observed a crowd outside the store and a shell casing on the sidewalk once the crowd of 20 or 30 onlookers was pushed back; she found the victim lying on the floor inside the store; he was "mumbling, but unconscious" and unable to answer when asked if he had been shot; and the ambulance arrived about two or three minutes later and took the victim to the hospital.

The police officer also described how the crime scene outside the store was cleared of onlookers and secured, and testified that when she arrived, she saw a woman (the victim's girlfriend, as it turned out) "arguing with another individual" in front of the store. At the direction of her supervisor, the officer placed this woman, who denied having seen anything and "didn't really want to talk," in a patrol car for transport to the precinct. The officer and her partner were then detailed to the hospital,

where she was assigned to stay outside the operating room. While waiting there a “couple of hours,” she learned the victim’s identity and, later, was informed that he had been pronounced dead. The officer identified the victim’s body at the morgue the next morning.

In the presence of defendant, counsel and the jury, the judge stated that he had received “notes requesting the reading of the testimony of the first officer at the crime scene. That will be Court Exhibit 3. And the reading of [the bystander’s] testimony, which will be Court Exhibit 4.” He then advised the jurors that

“[t]o expedite [the readbacks], and hopefully to keep you awake, what we will do on the direct, I will read the questions, the court [reporter] will read the witness’s response, and we’ll reverse that on cross-examination, with the reporter reading the questions and I’ll be reading the response of the witnesses.”

Neither party objected to this procedure for handling the readbacks.

The jury ultimately convicted defendant of intentional murder and the top weapon possession count. On December 12, 2006, the judge sentenced him to concurrent terms of imprisonment of 18 years to life and nine years, respectively, for these crimes. Defendant appealed, arguing that the trial judge committed mode of proceedings errors by departing from the protocol for handling jury notes set out in *People v O’Rama* (78 NY2d 270 [1991]), and by taking part in the readbacks.

On May 1, 2012, the Appellate Division affirmed the judgment of conviction and sentence (95 AD3d 897 [2d Dept 2012]), concluding that defendant’s unpreserved claims did not implicate *O’Rama* or otherwise constitute mode of proceedings errors, and declined to reach them in the interest of justice. Citing *People v Starling* (85 NY2d 509 [1995]), the court noted that “the jury merely requested read-backs of certain trial testimony” (95 AD3d at 898). A Judge of this Court granted defendant permission to appeal (19 NY3d 956 [2012]), and we now affirm.

I.

Section 310.30 of the Criminal Procedure Law “imposes two separate duties on the court following a substantive juror inquiry: the duty to notify counsel and the duty to respond”

(*O’Rama*, 78 NY2d at 276).¹ Indeed, “the trial court’s core responsibility under the statute is both to give meaningful notice to counsel of the specific content of the jurors’ request—in order to ensure counsel’s opportunity to frame intelligent suggestions for the fairest and least prejudicial response—and to provide a meaningful response to the jury” (*People v Kisoon*, 8 NY3d 129, 134 [2007]). A court’s failure to supply a meaningful notice or response constitutes error affecting the mode of proceedings, and therefore presents a question of law for appellate review even in the absence of timely objection (*see O’Rama*, 78 NY2d at 279; CPL 470.05 [2]).

A trial judge generally fulfills this core responsibility by following the procedure endorsed in *O’Rama*, which requires submission of a jury inquiry to the trial judge in writing, after which the judge marks the written inquiry as a court exhibit; reads it into the record in counsel’s presence and before the jury is recalled to the courtroom; allows counsel an opportunity to suggest responses to the inquiry; informs counsel of his intended instruction; and, once the jury returns, reads the inquiry aloud before responding (*see O’Rama*, 78 NY2d at 277-278 [adopting the procedure outlined in *United States v Ronder*, 639 F2d 931, 934 (2d Cir 1981)]; *see also Kisoon*, 8 NY3d at 134). We have, however, cautioned that the point of our decision in *O’Rama* is “not to mandate adherence to a rigid set of procedures, but rather to delineate a set of guidelines calculated to maximize participation by counsel at a time when counsel’s input is most meaningful, *i.e.*, *before the court gives its formal response*” (*O’Rama*, 78 NY2d at 278 [emphasis added]; *see also Kisoon*, 8 NY3d at 135; *People v Lykes*, 81 NY2d 767, 769 [1993] [the trial judge did not commit *O’Rama* error by asking the jury, unbeknownst to the defendant, his counsel and the prosecutor, to clarify its note since the judge read the clarification into the record before reinstructing the jury with respect to the crimes charged, and defense counsel did not object to either

1. Section 310.30 states that

“[a]t any time during its deliberation, the jury may request the court for further instruction or information with respect to the law, with respect to the content or substance of any trial evidence, or with respect to any other matter pertinent to the jury’s consideration of the case. Upon such a request, the court must direct that the jury be returned to the courtroom and, after notice to both the people and counsel for the defendant, and in the presence of the defendant, must give such requested information or instruction as the court deems proper.”

the charge or the procedure employed by the court]). The touchstone is whether the way in which the judge chooses to handle a jury inquiry affords meaningful notice to counsel and a meaningful response to the jury (*see O’Rama*, 78 NY2d at 278; *see also Lykes*, 81 NY2d at 769 [“Section 310.30 does not require notice to defendant in every instance of communication from the jury to the court”]).

In *O’Rama*, the trial judge did not show a juror’s note to the defendant and his attorney, or read it aloud in open court before responding. Instead, he summarized the note’s “substance” for the jury and the parties before addressing the juror’s inquiry by administering an *Allen* charge for a second time (*see Allen v United States*, 164 US 492 [1896]). At that point, defense counsel unsuccessfully sought the note’s disclosure. We held that by neglecting to make a verbatim account of the juror’s communication available to the defendant’s attorney, the court deprived him of meaningful notice in violation of CPL 310.30, “thus represent[ing] a significant departure from the organization of the court or the mode of proceedings prescribed by law [and] . . . present[ing] a question of law [for our review] . . . , notwithstanding that defense counsel did not object to the court’s procedure until after the supplementary charge had been given” (*O’Rama*, 78 NY2d at 279 [internal quotation marks and citations omitted]).

The defendant in *Starling* likewise challenged the procedure followed by the trial judge in responding to jury notes, claiming *O’Rama* error. The two notes in dispute requested a rereading of the definition of intent. We concluded that the judge afforded meaningful notice, pointing out that

“[b]ecause the court read the entire content of the jury’s notes in open court prior to responding, this case is distinguishable from the situation presented in [*O’Rama*], where the trial court withheld from counsel the contents of a juror’s note, thereby depriving defendant of the opportunity to participate in formulating the court’s response By contrast, here, defense counsel was given notice of the contents of the jury notes and had knowledge of the substance of the court’s intended response—a verbatim rereading of the intent charge previously given on several occasions. Accordingly, counsel’s silence at a time when any error by the court could have been obviated by timely objection renders the

claim unpreserved and unreviewable here” (*Starling*, 85 NY2d at 516 [citations omitted]).

[1] *Starling* controls this case. As in *Starling* (and *Lykes*) and unlike *O’Rama*, the two jury notes—requests for readbacks of two witnesses’ testimony—were disclosed in their entirety in open court before the trial judge responded to them. And the judge explained exactly how he was going to conduct the readbacks. If defense counsel considered the judge’s intended approach prejudicial, he certainly had an opportunity to ask him to alter course, and it behooved him to do so (*see People v Ramirez*, 15 NY3d 824 [2010] [where defense counsel had notice of the contents of the jury’s note and the court’s intended response yet failed to object at a time when the error could have been cured, the defendant’s claim of error was unpreserved]).

II.

Defendant also contends that, regardless of whether the trial judge provided meaningful notice within the meaning of *O’Rama*, his participation in the readback constituted a mode of proceedings error. Defendant complains, in particular, that the judge’s announced approach was “patently uneven” because he “readily assum[ed] the prosecution’s role” by reading the questions posed by the prosecutor to the bystander and the police officer, which were designed to elicit testimony favorable to the People, and then reading their answers on cross-examination, where they gave testimony adverse to defense counsel’s theory of the case (i.e., that the bystander misidentified defendant as the shooter and the crowd of onlookers outside the grocery store “hindered” the police investigation). In short, defendant does not claim that the readback was selective; rather, he disagrees with how the judge participated in it as a reader.

The Second Department in *People v Brockett* (74 AD3d 1218 [2d Dept 2010]), a case remitted for a new trial because of a charging error, stated in dictum that the trial judge “should not have participated as a reader when the jury asked for a read-back of testimony,” warning that “[w]hen, during a read-back of testimony, a trial judge assumes the role of a witness or inquiring counsel, he or she may unwittingly and erroneously convey to [the] jury that the court is aligned with the party or counsel whose role the court has assumed in the read-back” (*id.* at 1221; *see also People v Facey*, 104 AD3d 788, 789 [2d Dept 2013] [while repeating *Brockett*’s admonition, the court concluded that any error in the particular case “was harmless,

and under the circumstances . . . did not deprive the defendant of a fair trial”)].² The Second Department cited only *People v De Jesus* (42 NY2d 519 [1977]) in support of its advice in *Brockett*.

The trial judge in *De Jesus*, a case featuring “sharp issues of credibility,” berated and denigrated defense counsel in front of the jury, characterizing him as “unworthy of respect and attention” (*id.* at 524). Under these circumstances, we concluded that the defendant was “unfairly burdened . . . with the obligation, not only of rebutting the proof of the People, but also of countering the implications imputed by the court[] [such that] the error [could not] be disregarded as harmless” (*id.*).

The trial judge’s aggressive behavior toward the defense attorney in *De Jesus* created a situation far different from anything alleged to have happened here—i.e., that the judge inadvertently conveyed sympathy for the People’s case by the mere fact that he read the questions put by the prosecutor to the People’s witnesses on direct examination, and these witnesses’ answers to the defense attorney’s questions during cross-examination. Still, we agree with the Second Department that, as a general matter, a trial judge should shun engaging in readbacks of testimony. In the usual case, it is easy enough for a judge to assign this task to non-judicial court personnel and thereby avoid any risk of creating a misperception in the minds of the jurors.

[2] In a case where a trial judge nonetheless elects to participate in a readback (certainly, nothing in CPL 310.30 prohibits it), any error is not of the mode of proceedings variety. “Not every procedural misstep in a criminal case is a mode of proceedings error”; rather, this narrow exception to the preservation rule is “reserved for the most fundamental flaws,” such as shifting the burden of proof from prosecution to the defense, or delegating a trial judge’s function to a law secretary (*see People v Becoats*, 17 NY3d 643, 651 [2011]).

While defendant argues that objection would have been futile in this case, nothing in the record suggests that the trial judge was so wedded to taking part in the readbacks that he could not have been dissuaded by timely protest. His stated reasons for participating were simply to move matters along and make what were going to be lengthy readbacks easier for the jury to follow by supplying two readers, one to voice questions posed; another, answers given.

2. *Brockett* and *Facey* were handed down several years after the trial in this case was completed.

Defendant also contends that requiring preservation would be unfair here because defense counsel's objection would have "telegraph[ed] to the jury that counsel believed the judge would be conveying his personal belief in the prosecution." But there is always a danger that, by objecting, a trial attorney will draw the jury's attention to something unfavorable to his client, or give the appearance of being argumentative or attempting to conceal evidence. Nonetheless, counsel in a criminal trial is responsible for bringing error to the court's attention "at a time when [it] . . . could have been obviated" (*Starling*, 85 NY2d at 516). And, of course, defense counsel always could have objected and asked to approach the bench to discuss the matter at sidebar, out of the jury's hearing.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

Order affirmed.

[998 NE2d 804, 976 NYS2d 4]

In the Matter of ERIC J. KOCH, D.O., Respondent, v JAMES G. SHEEHAN, New York State Medicaid Inspector General, Appellant.

Argued September 9, 2013; decided October 22, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 23, 2012. The Appellate Division affirmed a judgment (denominated judgment and order) of the Supreme Court, Erie County (Diane Y. Devlin, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) granted the petition, (2) vacated respondent's determination excluding petitioner from participating as a provider in the Medicaid program, and (3) ordered that petitioner be reinstated retroactively to March 10, 2010 as a participating physician in the Medicaid program.

Matter of Koch v Sheehan, 95 AD3d 82, affirmed.

HEADNOTES

Social Services — Disqualification or Termination as Medicaid Provider — Scope of Authority of Medicaid Inspector General

1. The Office of the Medicaid Inspector General (OMIG) is authorized to remove a physician from New York's Medicaid program in reliance solely on a consent order between the physician and the Board for Professional Medical Conduct (BPMC), regardless of whether BPMC chooses to suspend the physician's license or OMIG conducts an independent investigation. As a condition of receipt of federal funding, states must institute administrative procedures enabling them to exclude Medicaid providers for furnishing substandard services. OMIG has the responsibility to pursue civil and administrative enforcement actions against individuals who engage in illegal or improper acts, and in doing so must consider the quality and availability of medical care and services and the best interest of both the Medicaid program and its recipients (Public Health Law § 32 [6]). Under the governing regulations, OMIG is authorized to take immediate action where it has received notice that a person has been found to have committed a violation of a federal or state law constituting an act of professional misconduct after a final agency determination or after resolution of the proceeding by stipulation or agreement (18 NYCRR 515.7 [e]). A consent order is a stipulation or agreement resolving a proceeding alleging professional misconduct and no statute or regulation requires OMIG to conduct an independent investigation, develop additional information or defer to BPMC before making a decision to take action. Here, where petitioner physician entered into a consent order with BPMC pleading no contest to charges of professional misconduct and agreeing to a period of probation, OMIG's determination to terminate petitioner's participation in the Medicaid program on the basis of that consent order fell squarely within OMIG's powers.

Social Services — Disqualification or Termination as Medicaid Provider — Obligation to Provide Reason for Exclusion

2. A determination by the Office of the Medicaid Inspector General (OMIG) to terminate petitioner physician's participation in New York's Medicaid program, based on a consent order between the Board for Professional Medical Conduct and petitioner wherein petitioner pleaded no contest to charges of professional misconduct and agreed to a period of probation, was arbitrary and capricious inasmuch as OMIG did not explain why the consent order caused it to exercise its discretion pursuant to 18 NYCRR 515.7 (e) to exclude petitioner from the Medicaid program. Under the governing regulations, OMIG is authorized to take immediate action where it has received notice that a person has been found to have committed a violation of a federal or state law constituting an act of professional misconduct after a final agency determination or after resolution of the proceeding by stipulation or agreement (18 NYCRR 515.7 [a], [e]). The decision to take action is discretionary, obligating the agency to explain why in a particular case exclusion was thought to be warranted. Here, in the recommendation section of the consent order review sheet completed by the OMIG auditor, there were few handwritten, barely legible, crossed out and interlined notes that appeared to merely repeat that there were two charges of negligence and that petitioner was placed on probation. The auditor's recommendation to terminate petitioner from the Medicaid program was approved without comment by four additional agency reviewers, but the basis for the recommendation was nowhere in the record.

Social Services — Disqualification or Termination as Medicaid Provider — Scope of Authority of Medicaid Inspector General

3. The Office of the Medicaid Inspector General (OMIG) was not bound by the sanctions imposed by the Board for Professional Medical Conduct (BPMC) in a consent order wherein petitioner physician pleaded no contest to charges of professional misconduct and agreed to a period of probation. While BPMC and OMIG are both units within the New York State Department of Health, they each have separate statutory authority and different purposes. A settlement to resolve charges of professional misconduct with BPMC does not prevent subsequent action by OMIG to exclude the physician from the Medicaid program.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 73,
357; AM JUR 2d, Welfare Laws § 33.
McKINNEY'S, Public Health Law § 32 (6).
18 NYCRR 515.7 (e).
NY JUR 2d, Physicians, Surgeons, and Other Healers § 207;
NY JUR 2d, Public Welfare and Old Age Assistance §§ 147,
148.

ANNOTATION REFERENCE

See ALR Index under Medicaid; Physicians and Surgeons.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Victor Paladino, Barbara D. Underwood and Andrew D. Bing of counsel), for appellant. I. The Office of the Medicaid Inspector General acted rationally and within its authority in excluding petitioner, a physician, from the Medicaid program based on a Board for Professional Medical Conduct consent order that allows him to continue to practice medicine. (*Vaynshelbaum v Daines*, 30 Misc 3d 1227[A], 2011 NY Slip Op 50220[U]; *Matter of Mihailescu v Sheehan*, 25 Misc 3d 258; *Matter of Liguori v Beloten*, 76 AD3d 1156, 16 NY3d 702; *Matter of Pekarsky v Commissioner of N.Y. State Dept. of Social Servs.*, 257 AD2d 905; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581.) II. The Office of the Medicaid Inspector General was not required to conduct an independent investigation before excluding a provider from the Medicaid program under 18 NYCRR 515.7 (e). (*Matter of Liguori v Beloten*, 76 AD3d 1156, 16 NY3d 702.)

Brown & Tarantino, LLC, Buffalo (Susan A. Eberle of counsel), for respondent. I. The Appellate Division properly determined that appellant Office of the Medicaid Inspector General's exclusion of respondent physician from the Medicaid program was arbitrary and capricious. (*Matter of Mihailescu v Sheehan*, 25 Misc 3d 258; *Vaynshelbaum v Daines*, 30 Misc 3d 1227[A], 2011 NY Slip Op 50220[U].) II. The Appellate Division properly determined that appellant Office of the Medicaid Inspector General did not have a proper basis for exclusion of respondent physician from the Medicaid program pursuant to 18 NYCRR 515.7 (e). (*People v Daiboch*, 265 NY 125; *Buechel v Bain*, 97 NY2d 295; *Ross v Medical Liab. Mut. Ins. Co.*, 75 NY2d 825.) III. Appellant Office of the Medicaid Inspector General's exclusion of respondent physician from the Medicaid program constitutes an abuse of discretion. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Liguori v Beloten*, 76 AD3d 1156.)

Kern Augustine Conroy & Schoppmann, P.C., Westbury (Donald R. Moy of counsel), for Medical Society for the State of New York, amicus curiae. I. The determination of the Office of the Medicaid Inspector General is irrational, arbitrary and capricious because it would result in a petitioner being penalized and

disciplined a second time without any independent investigation after New York State Department of Health, through the Board for Professional Medical Conduct and Office of Professional Medical Conduct, provided assurance that the consent agreement and order would “resolve this matter.” (*Matter of New York State Health Facilities Assn., Inc. v Sheehan*, 100 AD3d 1086; *Matter of Mihailescu v Sheehan*, 25 Misc 3d 258.) II. The Appellate Division correctly held that the Office of the Medicaid Inspector General’s determination excluding petitioner from the Medicaid program was arbitrary and capricious. (*Matter of Mihailescu v Sheehan*, 25 Misc 3d 258; *Vaynshelbaum v Daines*, 30 Misc 3d 1227.)

OPINION OF THE COURT

READ, J.

[1] We hold that the Office of the Medicaid Inspector General (OMIG or the agency) is authorized to remove a physician from New York’s medical assistance (Medicaid) program in reliance solely on a consent order between the physician and the Board for Professional Medical Conduct (BPMC), regardless of whether BPMC chooses to suspend the physician’s license or OMIG conducts an independent investigation (*see* 18 NYCRR 515.7 [e]). OMIG has a responsibility to insure that scarce Medicaid dollars are spent on quality medical care for Medicaid recipients, who are often unable to vote with their feet. The agency may therefore properly decide that when the government is paying for the medical care of disadvantaged citizens, providers must possess more than the minimum level of competence necessary to avoid license suspension (*see generally Matter of Medicon Diagnostic Labs. v Perales*, 74 NY2d 539, 545 [1989] [“the agency charged with the responsibility of administering the medicaid program has inherent authority to protect the quality and value of services rendered by providers in that program”]). Indeed, federal law requires, as a condition of receipt of federal funding, that states institute administrative procedures enabling them to exclude Medicaid providers for furnishing substandard services, regardless of whether those services were supplied to Medicaid recipients (*see* 42 CFR 1002.210, 1001.701 [a] [2]).

In this litigation, Supreme Court annulled OMIG’s determination to terminate petitioner physician’s participation in the Medicaid program on the basis of a BPMC consent order, and directed his reinstatement. In the consent order, petitioner physician pleaded no contest to charges of professional misconduct

and agreed to 36 months' probation. Upon OMIG's appeal, the Appellate Division affirmed, holding that it was arbitrary and capricious for the agency to bar petitioner physician from treating Medicaid patients when BPMC permitted him to continue to practice; and that OMIG was required to conduct an independent investigation before excluding a physician from Medicaid on the basis of a BPMC consent order (*see* 95 AD3d 82 [4th Dept 2012]). We subsequently granted OMIG permission to appeal (19 NY3d 813 [2012]).

We disagree with the Appellate Division's rationale, but affirm because OMIG's determination was arbitrary and capricious for another reason. Specifically, OMIG did not explain why the BPMC consent order in this case caused it to exercise its discretion pursuant to 18 NYCRR 515.7 (e) to exclude petitioner physician from the Medicaid program.

I.

The Office of Professional Medical Conduct (OPMC) comprises an investigatory arm (also called the Office of Professional Medical Conduct) and an adjudicatory arm, the BPMC. OPMC is the authority within the Department of Health (DOH) charged with investigating complaints of physician misconduct, and BPMC imposes sanctions if misconduct is found to have occurred. Frequently, BPMC will enter into a consent order with the physician under investigation, as happened here. OMIG, also housed within DOH, is responsible for policing New York's Medicaid program. The legislature consolidated the powers of several extant state entities into one unit when it created OMIG in 2006 and placed it under the umbrella of DOH.

OPMC sends the results of its investigations, including consent orders, to OMIG, which then determines whether the physician in question should be terminated from participating in the Medicaid program. Sometimes, as in this case, OMIG removes the physician from the program even though the sanctions imposed by BPMC do not include license suspension. Petitioner physician questions the wisdom of this "collateral consequence" of a BPMC consent order, and argues that OMIG must defer to BPMC. But the applicable statutes and regulations authorize OMIG to exclude a physician from the Medicaid program regardless of the nature of the sanctions directed by BPMC.

When it established OMIG, the legislature enacted an extensive list of its functions and duties, including responsibility to

“pursue civil and administrative enforcement actions against any individual or entity that engages in fraud, abuse, or *illegal or improper acts* or unacceptable practices perpetrated within the medical assistance program, including but not limited to . . . (c) imposition of administrative sanctions and penalties in accordance with state and federal laws and regulations In the pursuit of such civil and administrative enforcement actions under this subdivision, the inspector shall consider *the quality and availability of medical care and services and the best interest of both the medical assistance program and recipients*” (Public Health Law § 32 [6] [emphases added]).

And long before OMIG’s creation, the Department of Social Services, which was responsible for overseeing Medicaid prior to 1996 when this function was transferred to DOH, promulgated numerous regulations governing participation in and removal from the Medicaid program (*see e.g.* 18 NYCRR parts 504, 515). These Medicaid regulations empowered the successive responsible governmental entities to sanction and exclude medical professionals from the program (*see e.g.* 18 NYCRR 515.3 [a]). As relevant here, “the department” (meaning, in the current context, OMIG) is authorized to take “immediate action” to impose sanctions in certain circumstances “upon notice to the person” (18 NYCRR 515.7 [a]); specifically,

“[u]pon receiving notice that a person has been found to have violated a State or Federal statute or regulation pursuant to a final decision or determination of an agency having the power to conduct the proceeding . . . or *after resolution of the proceeding by stipulation or agreement*, and where the violation resulting in the final decision or determination *would constitute an act described as professional misconduct or unprofessional conduct by the rules or regulations of the State Commissioner of Education or the State Board of Regents*” (18 NYCRR 515.7 [e] [emphases added]).

The consent order at the heart of this case is without doubt a “stipulation or agreement” resolving a proceeding alleging professional misconduct; thus, OMIG’s decision to terminate petitioner physician’s participation in the Medicaid program falls squarely within the agency’s explicit powers. Notably,

OMIG is not required by any statute or regulation to conduct an independent investigation or develop additional information or defer to BPMC before making such a decision. Of course, OMIG may always take additional investigatory steps if, in its discretion, it deems them necessary to inform its decisionmaking. Likewise, the agency may always decide, in a particular case, not to remove a disciplined physician from the Medicaid program. Indeed, in the majority of cases resolved by BPMC consent orders, OMIG apparently does not exclude the physicians involved. But nothing in the law or regulations requires this forbearance.

II.

The record includes a form—a “Consent Order Review Sheet”—completed by the OMIG auditor, a registered nurse with 41 years of experience, including extensive service on hospital audit committees for professional services and quality assurance. This review sheet includes, under the section captioned “Recommendation,” a few handwritten, barely legible, crossed out and interlined notes. These notes appear merely to repeat that there were two charges of negligence and that petitioner physician was placed on probation for 36 months, the same information summarized in a previous section of the review sheet, captioned “Consent Order Information.”

In this case there were indeed two serious charges of professional misconduct, involving the treatment of two elderly women, both of whom died soon after coming under petitioner physician’s care. But the basis for the auditor’s recommendation to terminate petitioner physician’s participation in the Medicaid program, which was approved without comment by four additional agency reviewers, does not appear anywhere in the administrative record. Although OMIG is, as already discussed, authorized to remove a physician from the program solely on the basis of a BPMC consent order, its decision to do so is concededly discretionary. The agency therefore has an obligation to explain *why* in a particular case exclusion was thought to be warranted.

[2] On this record, there is no telling. Did the auditor recommend termination because there were two charges of professional misconduct? because both patients died? because the patients were elderly and the Medicaid program serves a significant elderly population? for some other reason(s) evident in the charges, which were available to the auditor? We simply do not

know. In short, although OMIG is not required by law, and surely should not be commanded by the courts, to defer to BPMC's judgments or undertake additional time- and resource-consuming investigations, here there is inadequate record support for the decision to exclude this particular sanctioned physician from the Medicaid program. As a result, OMIG's decision was arbitrary and capricious and an abuse of discretion.

III.

[3] Finally, another aspect of this case merits discussion. Petitioner physician settled with BPMC "in full satisfaction" of the charges of professional misconduct lodged against him. He complains that, as a result of OMIG's subsequent action to exclude him from the Medicaid program, he did not achieve the complete settlement that he bargained for, even though BPMC and OMIG are both "units" within DOH. But BPMC and OMIG have separate statutory authority and different purposes. When resolving charges of professional misconduct with BPMC, physicians and their attorneys should be mindful that a settlement with BPMC does not bind OMIG, as petitioner physician discovered in this case.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (concurring). The Board for Professional Medical Conduct (BPMC) found that petitioner had practiced medicine negligently on two occasions, but did not suspend him from practice, choosing instead to impose a three-year period of probation. The Office of the Medicaid Inspector General (OMIG), relying on nothing but BPMC's finding, prohibited petitioner from treating Medicaid patients—which, as a practical matter, makes it difficult if not impossible for petitioner to practice medicine. I agree with the majority that OMIG's determination was arbitrary and capricious, but would rest that conclusion on the broader ground adopted by the Appellate Division.

I

BPMC is a unit within the Department of Health consisting of a majority of doctors and a minority of lay members (Public Health Law § 230 [1]). It is responsible for adjudicating professional misconduct complaints against doctors. A separate unit of the Department of Health, the Office of Professional Medical

Conduct (OPMC) is responsible for investigating and prosecuting such complaints. OPMC conducted an investigation of petitioner's treatment of two patients in 2006. The investigation led, in 2009, to a "Consent Agreement and Order" signed by petitioner, BPMC and OPMC, in which petitioner pleaded "no contest" to charges that his care and treatment of both patients "failed to meet accepted standards of care." The agreement includes a two-page "Statement of Charges," briefly describing the ways in which petitioner was said to have erred. Petitioner agreed to a 36-month period of probation, subject to 11 specific terms, among them that petitioner would "practice medicine only when monitored" by a doctor acceptable to OPMC, and that he would enroll in and complete a continuing education program.

After this agreement was signed, petitioner's case came to OMIG's attention. OMIG is also part of the Department of Health. It was created in 2006 to consolidate in a single office "Medicaid fraud detection, prevention and recovery functions" and to "streamline the state's process of detecting and combating Medicaid fraud and abuse" (Public Health Law § 30). The statutes governing OMIG suggest that its primary focus should be on fraudulent and other excessive Medicaid billing, but its mandate is not expressly restricted in that way. A regulatory definition of "abuse" includes "payments for services which fail to meet recognized standards for health care" (18 NYCRR 515.1 [b] [1]).

Under another regulation, when OMIG receives notice that BPMC or some other agency has found a person guilty of "professional misconduct or unprofessional conduct," OMIG "may immediately sanction the person" (18 NYCRR 515.7 [e] [regulation of Department of Social Services]; *see* Public Health Law § 31 [1] [transferring certain DSS duties to OMIG]). Possible sanctions include exclusion from the Medicaid program "for a reasonable time" (18 NYCRR 515.3 [a] [1]). An OMIG document in the record before us says that, when OMIG receives a consent order from OPMC, it "will obtain the full investigative file and consider the underlying facts to make an independent decision on whether exclusion is warranted," but that did not happen in petitioner's case. Rather, a registered nurse employed by OMIG as a "Health Surveyor" reviewed, as far as the record shows, only the Consent Agreement and Order, with its attachments. Having done so, the Health Surveyor concluded that petitioner's "conduct was so negligent that the OMIG

should . . . exclude him from participating as a provider in the Medicaid program,” and OMIG adopted that recommendation. The Health Surveyor’s reasons for concluding that the conduct was “so negligent” do not appear in the record.

It is undisputed that exclusion from the Medicaid program is a grave sanction for any doctor, even one who, like petitioner, primarily treats patients who are not Medicaid recipients (*see Matter of Mihailescu v Sheehan*, 25 Misc 3d 258, 261 [Sup Ct, NY County 2009] [“respondents do not deny petitioner’s assertion that, under Medicaid regulations, her continuing exclusion from the roster of Medicaid providers effectively bars any governmentally licensed or operated facility from hiring her”]). Petitioner asserted below that, after being listed on the Medicaid website as an excluded physician, he was notified by a private insurer that it would exclude him as a qualified provider, and that he expected to receive similar notices from other insurers. He also alleged that “it will be difficult if not impossible for him to secure or renew privileges at any area hospitals in the future if he is excluded from Medicaid.” OMIG does not specifically deny these assertions, though it points out that petitioner is not barred from treating non-Medicaid patients.

II

Petitioner argues that what has happened here is essentially a second-guessing of BPMC’s determination by OMIG. While BPMC, a board composed primarily of doctors and principally concerned with maintaining high standards of professional care, decided that petitioner should, subject to certain restrictions, be allowed to continue treating patients, OMIG decided, with no basis beyond the facts found by BPMC, that he could not treat Medicaid patients. I agree with petitioner that OMIG’s action was arbitrary and capricious for this reason.

Where the only issue is the professional quality of care being rendered, and where OMIG has no information before it that BPMC did not have, OMIG should defer to BPMC’s decision on whether a doctor may safely be allowed to furnish medical care. The majority of the lower courts that have considered this issue have so held (*see Mihailescu*, 25 Misc 3d at 265-267; *Matter of Pearl v Office of the Medicaid Inspector Gen.*, 2009 NY Slip Op 32492[U] [Sup Ct, Albany County 2009]; *Matter of Haluska v State of N.Y. Off. of State Medicaid Inspector Gen.*, Sup Ct, Chemung County, Apr. 7, 2010, O’Shea, J., index No. 2009-2774; *Matter of Napoli v Sheehan*, Sup Ct, Erie County, May 25, 2010,

Drury, J., index No. 2009-14524; *but see Matter of Halliday v State of N.Y. Off. of Medicaid Inspector Gen.*, Sup Ct, Albany County, July 2, 2010, Connolly, J., index No. 2575-10; *Matter of Blab v Sheehan*, Sup Ct, Albany County, Sept. 30, 2010, Sackett, J., index No. 4275-10).

I do not suggest that OMIG should be limited to examining cases of financial fraud and abuse, or that it has no role in considering whether a doctor's treatment of patients meets professional standards. If OMIG had acted against petitioner on the basis of its independent investigation, and had not relied entirely on facts that BPMC had already found, I might find this to be a different case. Nor do I suggest that OMIG need defer to BPMC where something other than the care and treatment of patients is at issue. I might also think this a different case if BPMC's discipline of petitioner were based on poor record-keeping. But it was in fact based exclusively on the quality of the care that petitioner gave his patients. In such a case, OMIG should not, in effect, review and reject BPMC's determination that petitioner is fit to be trusted with patient care.

Judges GRAFFEO, RIVERA and ABDUS-SALAAM concur with Judge READ; Judge SMITH concurs in result in an opinion in which Chief Judge LIPPMAN and Judge PIGOTT concur.

Order affirmed, with costs.

[999 NE2d 1117, 977 NYS2d 672]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DARYL H., Appellant.

Argued September 9, 2013; decided October 10, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 8, 2012. The Appellate Division modified, on the law, a judgment of the Supreme Court, Erie County (M. William Boller, J.), which had convicted defendant, after a nonjury trial, of assault in the first degree and assault in the second degree. The modification consisted of vacating that part of the judgment convicting defendant of assault in the second degree and dismissing count three of the indictment. The Appellate Division affirmed the judgment as modified.

People v Daryl H., 96 AD3d 1482, affirmed.

HEADNOTES

Crimes — Witnesses — Limited Questioning of Psychiatrist as Fact Witness

1. In the prosecution of defendant psychiatric patient for assaulting another patient, the trial court did not improperly restrict defendant's questioning of the psychiatrist who evaluated defendant the day after the assault and prepared a discharge report in which she described her findings about defendant's mental state and recommended his arrest. The trial court limited the People's direct examination of the psychiatrist to facts: defendant's admissions to her during the interview and the events leading up to his arrest. On direct examination, the court prevented the psychiatrist from giving opinion testimony, including her assessment of defendant's capacity at the time of his arrest. As the psychiatrist gave no opinion testimony, defendant was not denied the opportunity to explore the basis of such testimony during cross-examination. Moreover, defense counsel's attempts to question the psychiatrist with respect to the discharge report and the deposition she gave were properly rebuffed. As a fact witness, any prior statements by her could only be admissible if inconsistent with her in-court statements, and the trial court found they were not inconsistent. Although defense counsel did eventually elicit testimony from the psychiatrist regarding defendant's capacity to appreciate his conduct when, on cross-examination, she admitted that her recommendation to arrest defendant relied, in part, on her assessment of his capacity, defense counsel failed to probe that opinion testimony. Nor did counsel pursue the hearsay basis for the capacity assessment on re-cross-examination after the People, during redirect, properly asked the psychiatrist to elaborate her assessment.

Crimes — Right of Confrontation — No Hearsay Basis for Opinion of Psychiatrist

2. In the prosecution of defendant psychiatric patient for assaulting another patient, the testimony of the psychiatrist who evaluated defendant the day

after the assault and prepared a discharge report in which she described her findings about defendant's mental state and recommended his arrest did not implicate the Confrontation Clause, and her opinion did not provide an illicit conduit for hearsay. The psychiatrist did not introduce any hearsay statements, and testified that she based her capacity assessment of defendant on her interview with him. Moreover, defense counsel successfully precluded such hearsay during the People's direct examination.

Crimes — Appeal — Preservation of Issue for Review

3. In the prosecution of defendant psychiatric patient for assaulting another patient in the psychiatric ward of a county hospital, defendant's claim that the trial court should have permitted defense counsel to cross-examine the victim's father about his pending lawsuit against the county in order to establish bias and thus impeach the witness was unpreserved because it was not made with specificity before the trial court. In support of the proposed questions, defense counsel argued that he was making an offer of proof that the witness "feels that there's some wrongdoing on the part of [the hospital] in addition to my client." Defense counsel's proffer referred specifically to the father's lawsuit as evidence that the father thought the hospital bore some responsibility for his son's injuries. No interpretation of the objection could encompass a line of questioning to reveal witness bias.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 575; AM JUR 2d, Criminal Law §§ 1072, 1074, 1096; AM JUR 2d, Witnesses §§ 688–690, 706, 770–772, 787–789.

CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:174, 194:175, 194:183, 194:188; CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:65, 195:95, 195:104, 195:105; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:33, 207:122.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.2.

NY JUR 2d, Criminal Law: Procedure §§ 2228–2230, 2287, 2298, 2304, 2305, 2307, 2308, 3454, 3462.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Confrontation of Witnesses; Cross-Examination; Expert and Opinion Evidence; Psychiatry and Psychology.

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POINTS OF COUNSEL

Barbara J. Davies, Chief Attorney, The Legal Aid Bureau of Buffalo, Inc., Buffalo (Kristin M. Preve and David C. Schopp of

counsel), for appellant. I. The trial court's erroneous ruling involving Dr. Dori Marshall deprived appellant of his federal and state constitutional rights to present a defense, to confront witnesses, and to a fair trial, necessitating the reversal of his conviction. (*People v Goldstein*, 6 NY3d 119; *Crawford v Washington*, 541 US 36; *Davis v Alaska*, 415 US 308; *Chambers v Mississippi*, 410 US 284; *Pointer v Texas*, 380 US 400; *Brady v Maryland*, 373 US 83; *People v Gissendanner*, 48 NY2d 543; *People v Rosario*, 9 NY2d 286; *People v Jones*, 73 NY2d 427; *People v Swan*, 158 AD2d 158.) II. The trial court's erroneous evidentiary ruling involving the complainant's father deprived appellant of his federal and state constitutional rights to present a defense, to confront witnesses, and to a fair trial, necessitating the reversal of his conviction. (*People v Poole*, 55 AD3d 1349; *People v Garcia*, 47 AD3d 830; *People v Ocampo*, 28 AD3d 684; *People v Szwec*, 271 AD2d 322; *People v Corby*, 6 NY3d 231; *People v Chin*, 67 NY2d 22; *People v Halter*, 19 NY3d 1046; *Chapman v California*, 386 US 18; *People v Crimmins*, 36 NY2d 230; *Delaware v Van Arsdall*, 475 US 673.)

Frank A. Sedita, III, District Attorney, Buffalo (*Matthew B. Powers and Donna A. Milling* of counsel), for respondent. I. Defendant's claim that the trial court's ruling denied him his right to cross-examine an expert concerning the validity of her opinion, as well as his right to confront witnesses and present a defense, is belied by the record and otherwise harmless. (*People v Williams*, 81 NY2d 303; *People v Bowen*, 67 AD3d 1022, 14 NY3d 769; *Crane v Kentucky*, 476 US 683; *People v Miller*, 91 NY2d 372; *People v Cronin*, 60 NY2d 430; *People v Sugden*, 35 NY2d 453; *People v Bornholdt*, 33 NY2d 75; *People v Crimmins*, 36 NY2d 230; *People v Silver*, 33 NY2d 475.) II. Defendant's claim that the trial court denied him his right to confront witnesses, to present a defense, and to a fair trial is unpreserved, meritless and harmless. (*People v Martin*, 50 NY2d 1029; *People v Gray*, 86 NY2d 10; *People v Hawkins*, 11 NY3d 484; *People v Prado*, 4 NY3d 725; *People v Williams*, 81 NY2d 303; *People v Bowen*, 67 AD3d 1022, 14 NY3d 769; *People v Aska*, 91 NY2d 979; *People v Miller*, 39 NY2d 543; *People v Crimmins*, 36 NY2d 230.)

OPINION OF THE COURT

RIVERA, J.

Defendant Daryl H. contests his conviction for assault in the first and second degrees, based on allegedly improper evidentiary trial rulings. The Appellate Division modified, vacating the

second degree assault conviction on other grounds, and, as modified, affirmed (96 AD3d 1482 [2012]). We now affirm the order of the Appellate Division.

Defendant was a patient in the psychiatric ward of the Erie County Medical Center (ECMC) when he assaulted and severely injured another psychiatric patient, Darren W. The two men were in the television lounge one evening when defendant became angry at Darren W. and then proceeded to hit him, and kick him in the head while he was lying on the floor, to the point of rendering Darren W. motionless.

Three nurses observed the altercation and sounded an alarm after they unsuccessfully tried to intervene. Hospital staff responded to the alarm and escorted defendant to his room. There, he recounted the events surrounding the altercation to a psychiatry resident. Later that night, in response to another alarm, hospital staff found defendant yelling and swearing. A nurse eventually coaxed him into receiving an intravenous shot of antipsychotic medication.

The next morning, defendant met with Dr. Dori Marshall, who evaluated him to determine whether he posed a safety risk to himself or others. He told her that he had been in a fight and that the “other person deserved it.” In response to her questions about whether he knew what happened to people who assaulted others, he responded “you can be arrested” but contended that he would not be arrested because of his schizophrenia. Upon completion of her interview, Dr. Marshall called the ECMC Police and asked them to arrest defendant. An officer waited with defendant until the Buffalo Police arrived to take him into custody. Dr. Marshall prepared a discharge report describing her findings about defendant’s mental state and recommending his arrest. She later gave a deposition recounting these events.

Based on the attack, defendant was charged with attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]) and assault in the first and second degrees (Penal Law §§ 120.10 [1]; 120.05 [1]). During the bench trial, Dr. Marshall testified about her interview with defendant. The testimony became the subject of several objections by both parties, with both sides receiving their share of favorable and unfavorable rulings. Initially, the People sought to elicit opinion evidence from her regarding defendant’s mental capacity during the course of the interview. However, Supreme Court sustained defense counsel’s objection that defendant’s mental capacity the day following the

incident was irrelevant. Dr. Marshall then testified as to statements made by defendant. The People again sought to elicit opinion evidence and Supreme Court again sustained defense counsel's objection.

During cross-examination of Dr. Marshall, defense counsel sought to ask her about the sources for her discharge report. The court sustained the People's objection on the grounds of hearsay. The court stated that Dr. Marshall's report was not inconsistent with her trial testimony and therefore could not be used for impeachment purposes. Defense counsel, however, elicited testimony about Dr. Marshall's evaluation of defendant, including her recommendation to arrest him. She stated that she based her recommendation in part on her direct observations of the injury sustained by Darren W. and her assessment of defendant's capacity to understand his actions.

The People then asked Dr. Marshall on redirect about her assessment of defendant. Over defense counsel's objections, the court permitted this line of questioning because defense counsel had "opened the door" during cross-examination. Dr. Marshall then stated that if she had determined that defendant failed to respond to her questions, or was not oriented, or otherwise appeared psychotic, she would have treated him with medications, but that was not the case. She also stated that she would not have advocated for his arrest if she thought he lacked capacity.

The People also presented testimony of Darren W.'s father, who testified to his son's injuries and identified him in photographs entered into evidence. On cross-examination, the People objected to defense counsel's attempts to question the father about his civil lawsuit against the County of Erie arising out of his son's injuries. In support of the proposed questions, defense counsel argued that he was making an offer of proof that the witness "feels that there's some wrongdoing on the part of ECMC in addition to my client." The court sustained the objection.

Defendant testified on his own behalf and stated that he is a diagnosed paranoid schizophrenic who sees demons and devils. He stated that he had been involuntarily hospitalized in the past and cannot find work. He then described how he had admitted himself at the ECMC because he had been seeing demons, unable to sleep, and off his medication. He described the altercation in the television lounge, stating that he responded to threatening statements and racial epithets lodged against him

by Darren W. after defendant objected to Darren W. changing the television channel.

Defendant presented testimony from his psychiatric expert, Dr. Joseph, who testified that he knew defendant and had treated him in 2009. He testified defendant suffered from paranoid schizophrenia, characterized by quick mood changes, hostile and aggressive behavior, and unpredictable psychotic episodes. Dr. Joseph opined that it was unlikely defendant knew what he was doing during the altercation, concluding “the man is sick, he’s dangerously mentally ill. . . . He’s not a criminal. He’s still sick.”

The People presented rebuttal testimony from psychiatrist Dr. Horowitz, who opined that defendant did not lack the capacity to appreciate his conduct during the altercation. Dr. Horowitz based his determination on defendant’s psychiatric records and his interview of defendant. He also relied on statements by hospital staff and Dr. Marshall establishing that defendant could recount with clarity the events surrounding the attack.

The court convicted defendant of assault in the first and second degrees. On appeal, the Appellate Division modified by vacating the second degree assault conviction on grounds unrelated to the current appeal, and, as modified, affirmed.* With respect to the evidentiary rulings that are the basis of the appeal before us, the Appellate Division rejected defendant’s claims that the Supreme Court’s evidentiary rulings deprived him of a fair trial.

On appeal to this Court, defendant argues that Supreme Court’s rulings limiting his examination of Dr. Marshall and Darren W.’s father denied him his federal and state constitutional rights to present a defense, to confront witnesses, and to a fair trial. We conclude that the Appellate Division properly concluded that defendant’s challenges to the rulings are without merit.

With respect to Dr. Marshall, defendant characterizes her as a de facto expert witness who gave an opinion as to his capacity. Defendant argues that the court improperly foreclosed defense counsel from probing the basis of her opinion at trial. He also argues that he should have been permitted to impeach Dr. Marshall’s expert testimony by reference to her discharge report and deposition.

* The Appellate Division vacated defendant’s conviction for assault in the second degree because it was a lesser included offense of assault in the first degree and should have been charged in the alternative to that crime.

[1] Defendant is correct that he would have been entitled to probe the basis of Dr. Marshall's opinion at the outset of cross-examination if she had offered one on direct examination (CPL 60.55 [1]; *People v Jones*, 73 NY2d 427, 430 [1989]). However, as the record establishes, the court limited the People's direct examination of Dr. Marshall to facts: defendant's admissions to her during the interview and the events leading up to his arrest. On direct examination, the court prevented Dr. Marshall from giving opinion testimony, including her assessment of defendant's capacity at the time of his arrest. Dr. Marshall gave no opinion testimony, and defendant was not denied the opportunity to explore the basis of such testimony during cross-examination.

Moreover, defense counsel's attempts to question the doctor with respect to her deposition and discharge report were properly rebuffed because, as a fact witness, any prior statements by her could only be admissible if inconsistent with her in-court statements. Supreme Court found they were not inconsistent, and defendant presents no reason to upset that finding on appeal.

Eventually, defense counsel did elicit testimony from Dr. Marshall regarding defendant's capacity to appreciate his conduct. On cross-examination, Dr. Marshall admitted that her recommendation to arrest defendant relied, in part, on her assessment of his capacity. Her responses constituted opinion testimony, which defense counsel could have probed. However, counsel did not. During redirect, the People properly asked Dr. Marshall to elaborate her assessment. Nonetheless, during recross-examination, counsel did not pursue the hearsay basis for the capacity assessment. Under these circumstances, defendant cannot now seek to complain about the lost opportunity to explore opinion testimony occasioned by his counsel, and not by the court's rulings.

[2] Defendant incorrectly argues that this case presents a permutation of our decision in *People v Goldstein* (6 NY3d 119 [2005]). In *Goldstein* a psychiatric expert repeated to the jury out-of-court, testimonial statements made by acquaintances of the defendant. We held that introducing those statements implicated the Confrontation Clause of the Sixth Amendment of the Federal Constitution (*id.* at 127-129). We also raised the question of when, if ever, an expert may introduce the hearsay basis of opinion testimony (*id.* at 126-127). Here, Dr. Marshall did not introduce any hearsay statements, and testified that she

based her capacity assessment of defendant on her interview with him. Thus, her testimony did not implicate the Confrontation Clause, and her opinion did not provide an illicit “conduit for hearsay” (*id.* at 126). Indeed, defense counsel successfully precluded such hearsay during the People’s direct examination.

[3] Defendant’s challenge to his examination of Darren W.’s father is also unavailing. Defendant argues that Supreme Court should have permitted defense counsel to cross-examine Darren W.’s father about his pending lawsuit in order to establish bias and thus impeach the witness. This challenge is unpreserved because it was not made with specificity before the trial court (*People v Hawkins*, 11 NY3d 484, 492 [2008]; *People v Hines*, 97 NY2d 56, 62 [2001]; *People v Goode*, 87 NY2d 1045, 1047 [1996]; *People v Gray*, 86 NY2d 10, 19 [1995]; *People v Cona*, 49 NY2d 26, 33 [1979]). Defense counsel’s proffer referred specifically to the father’s lawsuit as evidence that the father thought the hospital bore some responsibility for his son’s injuries. No interpretation of this objection can encompass a line of questioning to reveal witness bias (*Hawkins*, 11 NY3d at 492; *Gray*, 86 NY2d at 19-21; *Cona*, 49 NY2d at 33).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and ABDUS-SALAAM concur.

Order affirmed.

[999 NE2d 1157, 977 NYS2d 712]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CARL D. WELLS, Appellant.

Argued October 10, 2013; decided November 14, 2013

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 24, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Seth L. Marvin, J.), which had convicted defendant, upon his plea of guilty, of driving while ability impaired by the combined influence of drugs or of alcohol and any drug or drugs.

People v Wells, 95 AD3d 696, reversed.

HEADNOTE

Crimes — Plea of Guilty — Vacatur — Improper Denial of Suppression Motion

In the prosecution of defendant, who pleaded guilty to driving while ability impaired after his motion to suppress a crack pipe and an open bottle of rum found during an inventory search of the vehicle he had been driving was denied, the Appellate Division, having concluded on appeal that the inventory search was improper, erred in applying harmless error analysis and finding defendant's guilty plea to be valid. The harmless error doctrine generally cannot be used to uphold a guilty plea that is entered after the improper denial of a suppression motion, but there are exceptions to this principle. A guilty plea entered after an improper court ruling may be upheld if there is no reasonable possibility that the error contributed to the plea. If the defendant articulates a reason for the plea that is independent of the incorrect pre-plea court ruling or an appellate court is satisfied that the decision to accept responsibility was not influenced by the error, a guilty plea may be upheld as valid. Here, however, the denial of the motion to suppress could not be viewed as harmless and the guilty plea must be vacated. After Supreme Court ruled that the police conducted a valid inventory search, defendant explained that he hoped to obtain a "positive ruling" on the suppression motion but "was not planning on going to trial if [he] got a negative ruling." Defendant then admitted that he drove while impaired. Since the Appellate Division determined that defendant was entitled to the "positive ruling" he sought, his statements to the court indicated that he may not have accepted responsibility if the crack pipe and open bottle of rum had been excluded as evidence. The fact that the People had other inculpatory evidence that could have been used against defendant at a trial was not inherently dispositive.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 581, 582, 654, 675, 703;
AM JUR 2d, Criminal Law §§ 624, 674.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:11, 182:27, 182:28, 182:31; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:119, 207:169, 207:170.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1, 9.4, 10.1, 10.6, 21.6, 27.6.

NY JUR 2d, Criminal Law: Procedure §§ 1621, 3461, 3462, 3479, 3573, 3574, 3595.

ANNOTATION REFERENCE

Plea of guilty as waiver of claim of unlawful search and seizure. 20 ALR3d 724.

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POINTS OF COUNSEL

Steven Banks, Legal Aid Society, Criminal Appeals Bureau, New York City (Harold V. Ferguson, Jr., of counsel), for appellant. The Appellate Division erred when it improperly applied traditional harmless error analysis to appellant's guilty plea conviction after it had reversed the suppression hearing court's decision on appeal. (*People v Grant*, 45 NY2d 366; *People v Harris*, 48 NY2d 208; *People v Burrows*, 46 NY2d 957; *People v Rodriguez*, 99 NY2d 570; *People v Sampson*, 73 NY2d 908; *People v Rolston*, 50 NY2d 1048; *People v Coles*, 62 NY2d 908; *People v Purdy*, 53 NY2d 806; *People v Hill*, 9 NY3d 189; *People v Catu*, 4 NY3d 242.)

Robert T. Johnson, District Attorney, Bronx (Orrie A. Levy, Megan R. Roberts, Joseph N. Ferdenzi and Nancy Killian of counsel), for respondent. The Appellate Division correctly found that the particular circumstances of this case warranted a finding of harmless error. (*People v Lloyd*, 66 NY2d 964; *People v Grant*, 45 NY2d 366; *People v Catu*, 4 NY3d 242; *People v Hill*, 9 NY3d 189; *People v Harris*, 48 NY2d 208; *People v Purdy*, 53 NY2d 806; *People v Coles*, 62 NY2d 908; *People v Cruz*, 48 NY2d 419; *People v Krause*, 71 AD3d 1506; *People v McDonald*, 27 AD3d 949.)

OPINION OF THE COURT

GRAFFEO, J.

People v Grant (45 NY2d 366 [1978]) established that the harmless error doctrine generally cannot be used to uphold a

guilty plea that is entered after the improper denial of a suppression motion. *People v Lloyd* (66 NY2d 964 [1985]), however, recognized that there are exceptions to this principle. In this case, the Appellate Division determined that defendant's challenge to an inventory search should have been granted but his guilty plea nonetheless was valid under *Lloyd*. Based on our review of the record and relevant precedent, we disagree and hold that *Grant* controls in this context.

Defendant crashed a stolen car and the police found him asleep in the driver's seat. He was visibly inebriated, smelled of alcohol when he exited the vehicle and was arrested for driving while intoxicated. Defendant subsequently failed physical coordination tests and his blood alcohol content was .09%. A crack pipe and an open bottle of rum were found during a search of the automobile. After waiving his *Miranda* rights, defendant admitted that he had been drinking alcohol "non-stop for days" and smoking cocaine during that time as well.

Defendant moved to suppress the evidence found inside the car, arguing that it was obtained by police during an invalid inventory search. Following an evidentiary hearing, Supreme Court determined that the search was proper and denied the suppression motion. Defendant then informed the court that he wanted to plead guilty to driving while ability impaired because he "was not planning on going to trial if I got a negative ruling" on the motion and "didn't want to waste the taxpayer's dollars." Supreme Court accepted defendant's guilty plea and imposed the agreed-upon sentence.

The Appellate Division affirmed, concluding that the inventory search was improper but that the erroneous denial of the motion to suppress was harmless due to independent and overwhelming proof of defendant's guilt (95 AD3d 696 [1st Dept 2012]). A Judge of this Court granted leave to appeal (19 NY3d 1106 [2012]) and we now reverse.

The harmless error rule was "formulated to review trial verdicts" (*People v Grant*, 45 NY2d at 378). It requires an appellate court to assess the quantum and nature of the People's proof of guilt independent of erroneously admitted evidence and the causal effect, if any, that the introduction of that evidence had on the factfinder's verdict (see *People v Crimmins*, 36 NY2d 230, 240 [1975]). Harmless error therefore can be "difficult to apply to guilty pleas"—especially in cases involving "an improper denial of a pretrial motion to suppress"—since "a defendant's decision to plead guilty may be based on any factor

inside or outside the record” (*People v Grant*, 45 NY2d at 378-379). Consequently, convictions premised on invalid guilty pleas generally are not amenable to harmless error review (*see id.*).

The *Grant* doctrine is not absolute, however, and we have recognized that a guilty plea entered after an improper court ruling may be upheld if there is no “reasonable possibility that the error contributed to the plea” (*id.* at 379). Although a failure to suppress evidence may detrimentally influence a defendant’s plea negotiations, a concession of guilt may be treated as valid if the defendant articulates a reason for it that is independent of the incorrect preplea court ruling (*see id.* at 379-380) or an appellate court is satisfied that the decision to accept responsibility “was not influenced” by the error (*People v Burrows*, 46 NY2d 957, 958 [1979]; *see e.g. People v Rolston*, 50 NY2d 1048, 1049-1050 [1980]; *People v Harris*, 48 NY2d 208, 215 [1979]; *see generally People v Hill*, 9 NY3d 189, 192 [2007], *cert denied* 553 US 1048 [2008]).

People v Lloyd (66 NY2d 964 [1985]) is a case where harmless error analysis allowed a guilty plea to stand. The defendant accepted a plea bargain before a suppression hearing was held, but the agreement was set aside after the court declined to abide by the sentencing promise. The motion to suppress was later denied and the defendant pleaded guilty again. Although the motion to suppress should have been granted, we nevertheless upheld the conviction because the plea entered prior to the suppression hearing left “no question regarding [the defendant’s] independent motivation” to concede his guilt (*id.* at 965).

The same cannot be said here. After Supreme Court ruled that the police conducted a valid inventory search of the automobile defendant had been operating, he explained that he hoped to obtain a “positive ruling” on the suppression motion but “was not planning on going to trial if [he] got a negative ruling.” Defendant then admitted that he drove while impaired. Since the Appellate Division determined that defendant was entitled to the “positive ruling” he sought—i.e., suppression of the crack pipe and open bottle of rum that were discovered in the front of the vehicle¹— his statements to the court indicate that he may not have accepted responsibility if those two items had been excluded as evidence (*see People v Grant*, 45 NY2d at 379 [the accused “may decide to plead and take an appeal

1. This aspect of the Appellate Division’s decision is not before us and we express no view on its legal propriety.

because he believes that he cannot succeed at trial unless certain evidence is suppressed’’). Contrary to the dissent’s claim, therefore, the fact that “the People had other inculpatory evidence [that] could have been used against defendant at a trial” (*People v Rolston*, 50 NY2d at 1049) is not inherently dispositive under the principles discussed in *Grant* and *Lloyd*. Certainly, there may be instances where the failure to grant suppression does not affect a defendant’s decision to plead guilty because the challenged proof is cumulative or too trivial. In this case, however, the denial of the motion to suppress could not be viewed as harmless and the guilty plea must be vacated.²

Accordingly, the order of the Appellate Division should be reversed, defendant’s guilty plea vacated and the case remitted to Supreme Court for further proceedings on the complaint.

PIGOTT, J. (dissenting). I would affirm. In my view, the Appellate Division correctly applied harmless error analysis to defendant’s guilty plea, because this is a case in which an appellate court can, from the record, “determine whether an erroneous denial of a motion to suppress contributed to the defendant’s decision” to plead guilty (*People v Grant*, 45 NY2d 366, 379-380 [1978]). Moreover, the Appellate Division correctly ruled that Supreme Court’s error was harmless.

The evidence that Supreme Court failed to suppress—a crack cocaine pipe and an open bottle of rum—was not necessary to prove that defendant was guilty of driving while ability impaired. Even if the search of the stolen car had been suppressed, the People would have been able to introduce at trial the arresting officer’s observations of defendant’s intoxication and his statement to her that he had been smoking cocaine and drinking alcohol “non-stop for days.” It is true that defendant stated that he “was not planning on going to trial if [he] got a negative ruling” at the suppression hearing. But this does not mean that he would have gone to trial if Supreme Court had ruled in his favor with regard to the search of his car, but against him as to his statements to the arresting officer and other evidence of intoxication. It is noteworthy that defendant, during his persistent questioning of the arresting officer at the

2. Defendant’s remaining contention lacks merit (see *People v Allen*, 39 NY2d 916, 917-918 [1976]; *People v Roopchand*, 65 NY2d 837, 838 [1985], *affg* 107 AD2d 35 [2d Dept 1985]; Vehicle and Traffic Law § 1193 [1] [c]; *cf. People v Hightower*, 18 NY3d 249, 253 [2011]; *People v Flynn*, 79 NY2d 879, 882 [1992]).

hearing, did not once ask her about the search of the car or the evidence recovered from it, but rather focused on whether his arrest had been lawful. Therefore, I don't believe there is a "reasonable possibility" (*Grant*, 45 NY2d at 379) that if Supreme Court had merely suppressed the search of the car, Wells would have insisted on going to trial.

Accordingly, I respectfully dissent.

Chief Judge LIPPMAN and Judges READ, SMITH, RIVERA and ABDUS-SALAAM concur with Judge GRAFFEO; Judge PIGOTT dissents and votes to affirm in an opinion.

Order reversed, defendant's guilty plea vacated and case remitted to Supreme Court, Bronx County, for further proceedings on the complaint.

[999 NE2d 1161, 977 NYS2d 716]

JFK HOLDING COMPANY LLC et al., Respondents, v CITY OF NEW YORK et al., Defendants, and THE SALVATION ARMY, Appellant.

Argued October 16, 2013; decided November 14, 2013

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 3, 2012. The Appellate Division (1) reversed, on the law, so much of a judgment (denominated decision and order) of the Supreme Court, New York County (Cynthia S. Kern, J.; op 2010 NY Slip Op 32894[U] [2010]), as had granted the motion of defendant The Salvation Army to dismiss the amended complaint as against it; (2) vacated the judgment; (3) reinstated the third cause of action for breach of contract; and (4) remanded the matter for further proceedings. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the judgment of Supreme Court, properly made?”

JFK Holding Co. LLC v City of New York, 98 AD3d 273, reversed.

HEADNOTE

Landlord and Tenant — Lease — Breach of Lease Condition

Plaintiff landlords’ breach of contract cause of action against defendant tenant for allegedly returning the leased premises, which the tenant operated as a homeless shelter under an agreement with defendant municipality, in bad condition was barred by the plain language of the lease. The lease provided that, as a general proposition, the tenant was not obliged to pay more to plaintiffs than it could recover from the municipality, and that the tenant must do what it reasonably could to recover what the municipality owed it. If the tenant breached its duty to use commercially reasonable efforts to enforce an obligation of the municipality, it could not rely on the municipality’s nonpayment of that obligation to defeat plaintiffs’ claim. The amended complaint, however, failed to allege any commercially reasonable step that the tenant should have taken to recover money from the municipality. If the building had been in “extreme disrepair” and required \$200 million in repairs as plaintiffs alleged then they were not required, under the lease, to accept the termination of the lease. Plaintiffs could have insisted that the lease remain in force, and that the tenant continue to pay rent, until the building was fixed, but they accepted the \$10 million termination fee provided for in the lease to be paid by the municipality on behalf of the tenant. Having chosen to take the money, plaintiffs had no further remedy under the lease.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts § 356; AM JUR 2d, Landlord and Tenant §§ 39, 40, 61, 74, 79, 726–728, 735.
NY JUR 2d, Contracts § 446; NY JUR 2d, Landlord and Tenant §§ 65, 66, 71, 114, 119, 217.
NEW YORK REAL PROPERTY SERVICE § 70:92.
WILLISTON ON CONTRACTS (4th ed) §§ 78:92, 78:94.

ANNOTATION REFERENCE

See ALR Index under Contracts; Landlord and Tenant.

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Database: NY-ORCS

Query: lease /3 terminated & breach & bad poor /3 condition & fee

POINTS OF COUNSEL

Cadwalader, Wickersham & Taft LLP, New York City (*Cathy H. Chin* and *Jared L. Facher* of counsel), for appellant. I. The limitation of liability provision in the lease requires dismissal of the amended complaint. (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *P.T. Bank Cent. Asia, N.Y. Branch v ABN AMRO Bank N.V.*, 301 AD2d 373; *Morone v Morone*, 50 NY2d 481; *Greenfield v Philles Records*, 98 NY2d 562; *MBIA Ins. Corp. v Patriarch Partners VIII, LLC*, 842 F Supp 2d 682; *Gold v 29-15 Queens Plaza Realty, LLC*, 43 AD3d 866; *Drexel Burnham Lambert Group v Vigilant Ins. Co.*, 157 Misc 2d 198.) II. The relationship between The Salvation Army and the City of New York requires the dismissal of the amended complaint. (*Covanta Niagara, L.P. v Town of Amherst Garbage & Refuse Dist. No. 1*, 16 Misc 3d 656, 49 AD3d 1295; *Stardust Lanes v Metropolis Bowling Ctrs.*, 35 Misc 2d 291; *Pensee Assoc. v Quon Indus.*, 241 AD2d 354; *Wen Kroy Realty Co. v Public Natl. Bank & Trust Co.*, 260 NY 84; *Standard Bldrs. Supplies v Gush*, 206 AD2d 720; *Riverside Research Inst. v KMGA, Inc.*, 108 AD2d 365, 68 NY2d 689; *Guardian Life Ins. Co. of Am. v Chemical Bank*, 94 NY2d 418; *William Stevens, Ltd. v Kings Vil. Corp.*, 234 AD2d 287; *Savoy Record Co. v Cardinal Export Corp.*, 15 NY2d 1; *Ell Dee Clothing Co. v Marsh*, 247 NY 392.)

Kasowitz, Benson, Torres & Friedman LLP, New York City (*Jennifer S. Recine* and *Michael J. Bowe* of counsel), for

respondents. I. The limitation of liability does not apply because The Salvation Army failed to act in a commercially reasonable manner. (*Slatt v Slatt*, 64 NY2d 966, 65 NY2d 785; *Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 60 AD3d 61; *R/S Assoc. v New York Job Dev. Auth.*, 98 NY2d 29, 98 NY2d 693; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Beal Sav. Bank v Sommer*, 8 NY3d 318; *MBIA Ins. Corp. v Patriarch Partners VIII, LLC*, 842 F Supp 2d 682; *EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11; *Prudential-Bache Sec. v Citibank*, 73 NY2d 263; *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Sirlin Plumbing Co. v Maple Hill Homes*, 21 NY2d 831.) II. At best, the lease and related services agreement are ambiguous, precluding dismissal. (*Zuckerwise v Sorcerer Inc.*, 289 AD2d 114; *Information Superhighway, Inc. v Talk Am., Inc.*, 274 F Supp 2d 466; *Federal Ins. Co. v Americas Ins. Co.*, 258 AD2d 39; *Bianculli v Bianculli*, 242 AD2d 647; *Friedman v Smithfield, Inc.*, 146 AD2d 567; *JP Morgan Chase Bank, N.A. v Cellpoint Inc.*, 54 AD3d 366; *Amusement Bus. Underwriters v American Intl. Group*, 66 NY2d 878.) III. Plaintiffs have properly stated a cause of action for breach of the implied covenant of good faith and fair dealing. (*Plant City Steel Corp. v National Mach. Exch.*, 23 NY2d 472; *Cohn v Lionel Corp.*, 21 NY2d 559; *Citi Mgt. Group, Ltd. v Highbridge House Ogden, LLC*, 45 AD3d 487; *Maddaloni Jewelers, Inc. v Rolex Watch U.S.A., Inc.*, 41 AD3d 269; *Gross v Empire Healthchoice Assur., Inc.*, 16 Misc 3d 1112[A], 2007 NY Slip Op 51390[U].) IV. The Salvation Army's relationship with the City does not require dismissal. (*Sorenson v Bridge Capital Corp.*, 52 AD3d 265; *Stardust Lanes v Metropolis Bowling Ctrs.*, 35 Misc 2d 291; *Resurgent Capital Servs., LLC v Mackey*, 32 Misc 3d 265; *James McKinney & Son v Lake Placid 1980 Olympic Games*, 61 NY2d 836; *Covanta Niagara, L.P. v Town of Amherst Garbage & Refuse Dist. No. 1*, 16 Misc 3d 656; *Matter of State of New York v Town of Hardenburgh*, 273 AD2d 769; *State of New York v Schenectady Chems.*, 117 Misc 2d 960; *Coastal Commercial Corp. v Kosoff & Sons*, 10 AD2d 372; *Matter of Jones*, 48 Misc 2d 358; *Energycrescent, Inc. v Creative Modules Enters.*, 183 AD2d 804; *Lukowsky v Shalit*, 110 AD2d 563.)

OPINION OF THE COURT

SMITH, J.

Plaintiffs leased a building to The Salvation Army, which operated it as a homeless shelter under an agreement with the

City of New York. The lease was terminated, and plaintiffs now seek damages from The Salvation Army, claiming that the leased premises were returned in bad condition. We hold that plaintiffs' claim is barred by the plain language of the Lease.

I

The two plaintiffs are related entities; to simplify discussion, we ignore the distinctions between them. They own a building in Queens formerly known as the Carlton House Hotel. They allege that in 2002, the City entered into discussions with them about using the building as a homeless shelter. Plaintiffs also allege that "for political reasons" the City preferred not to rent the building itself, but to make The Salvation Army, which would operate the homeless shelter, the tenant. Later in 2002, a deal was struck in which plaintiffs and The Salvation Army entered into a Lease, and The Salvation Army entered into a Services Agreement with the City. The Services Agreement required the City to make payments to The Salvation Army that would be at least enough to cover The Salvation Army's obligations to plaintiffs under the Lease.

The Lease reflected the understanding of the parties that The Salvation Army was essentially an intermediary between plaintiffs and the City. For purposes of this case, the key provision of the Lease is Paragraph 31, captioned "Services Agreement," which says in relevant part:

"Notwithstanding anything to the contrary set forth in this Lease, (i) the parties acknowledge that Tenant [The Salvation Army] is entering into this Lease solely in order to enable Tenant to fulfill its obligations to the [City] under the Services Agreement and (ii) Landlord agrees that . . . Tenant shall only be liable for Base Rent . . . or other payments under this Lease, including without limitation . . . damages for breaches of any covenant under this Lease . . . solely to the extent of the amounts paid to Tenant from time to time under the Services Agreement or otherwise in connection with the use of the Leased Premises."

In short, The Salvation Army was not obligated to pay plaintiffs any more than the City paid to The Salvation Army. However, Paragraph 31 requires The Salvation Army to "use commercially reasonable efforts to enforce its rights against the [City] under the Services Agreement or otherwise."

The Lease also provided, in Paragraph 32, that, if the City terminated the Services Agreement, The Salvation Army could terminate the Lease upon payment to plaintiffs of a termination fee, and the Services Agreement required the City to supply to The Salvation Army the money necessary to pay the fee. Paragraph 32 of the Lease added that it would be a “condition precedent to the effectiveness of any such termination” that The Salvation Army “deliver vacant possession of the Leased Premises to Landlord in accordance with Paragraph 23 of this Lease.” Paragraph 23 required, among other things, that The Salvation Army “leave and surrender the Leased Premises . . . in the same condition in which the Leased Premises was at the commencement of this Lease.”

In 2005, the City terminated the Services Agreement, and The Salvation Army in turn terminated the Lease. According to plaintiffs, however, The Salvation Army did not comply with the requirement of Paragraph 23 that the premises be returned in their original condition. Plaintiffs allege that the building is in “extreme disrepair” and that its restoration will cost \$200 million. If this allegation is true, it seems clear that plaintiffs were not required, under Paragraph 32, to accept the termination of the Lease; they could have insisted that the Lease remain in force, and that The Salvation Army continue to pay rent, until the building was fixed. It is undisputed, however, that plaintiffs accepted the \$10 million termination fee payment called for by the Lease. Plaintiffs do not assert that the termination of the Lease was ineffective.

Plaintiffs bring this action to collect damages for the alleged injury to their building. The action was originally brought against the City, but plaintiffs’ claims against the City have been dismissed, and are not now before us. The Salvation Army was later added as a defendant, and plaintiffs pleaded claims against it for breach of contract and for breach of an implied covenant of good faith and fair dealing. Supreme Court dismissed both claims (2010 NY Slip Op 32894[U] [2010]), but the Appellate Division, with two Justices dissenting, modified to reinstate the breach of contract cause of action (*JFK Holding Co. LLC v City of New York*, 98 AD3d 273 [1st Dept 2012]).

The Appellate Division majority concluded that plaintiffs had adequately pleaded a breach of the Lease, emphasizing The Salvation Army’s obligation to “use commercially reasonable efforts” to enforce its rights against the City (*id.* at 276-278). The majority held, however, that the claim for breach of the covenant of good faith and fair dealing was properly dismissed (*id.*

at 278). The dissenters would have held that plaintiffs had no claim against The Salvation Army. In the dissenters' view, the "commercially reasonable efforts" clause "does not apply here because the Salvation Army did not have any right to recover posttermination restoration costs" from the City (*id.* at 280 [Freedman, J., dissenting]).

The Appellate Division granted leave to appeal, certifying to us the question of whether its order was properly made. We answer the question in the negative and reverse. Plaintiffs did not seek leave to cross-appeal from the Appellate Division's affirmation of the order dismissing their claim for breach of the covenant of good faith and fair dealing, and we therefore do not consider their arguments in support of that claim.

II

The chief issue between the parties, and the issue that divided the Appellate Division Justices, is a narrow one. The Lease is clear that, as a general proposition, The Salvation Army is not obliged to pay more to plaintiffs than it can recover from the City, and it is equally clear that The Salvation Army must do what it reasonably can to recover what the City owes it. If The Salvation Army breached its duty to use commercially reasonable efforts to enforce a City obligation, it could not rely on the City's nonpayment of that obligation to defeat plaintiffs' claim. We agree with the Appellate Division dissenters, however, that the complaint fails to allege any commercially reasonable step that The Salvation Army should have taken to recover money from the City.

Plaintiffs do not identify any provision of the Services Agreement under which the City owes money to The Salvation Army that The Salvation Army failed to collect. The provision in the Services Agreement the plaintiffs rely on most heavily is Article 6.1 (C), which says that The Salvation Army and the City "shall review annually the amount of payments made pursuant to this Agreement to determine the appropriateness of the rates." Plaintiffs' theory is that, because of the bad condition of the property, the amounts paid by the City to The Salvation Army should have been increased. But it requires considerable strain on the language of the Services Agreement to argue that Article 6.1 (C) gave The Salvation Army a right of action against the City on the present facts. It was commercially reasonable for The Salvation Army to think that it was unlikely to recover more than the City had paid it.

Since plaintiffs have not sufficiently alleged that The Salvation Army breached the “commercially reasonable efforts” clause in Paragraph 31 of the Lease, the limitation of liability in the same paragraph bars this action. Plaintiffs complain that this result subjects them to a hardship, but if it does, it is a hardship they might have avoided. As we mentioned earlier, if the allegations of the complaint are true, plaintiffs could have rejected The Salvation Army’s termination of the Lease and continued collecting rent until the building was restored to its original condition—but that would have required plaintiffs to reject the proffered \$10 million termination fee. Having chosen to take the money, plaintiffs have no further remedy under the Lease.

Accordingly, the order of the Appellate Division should be reversed with costs, the amended complaint dismissed as against The Salvation Army, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and ABDUS-SALAAM concur; Judge RIVERA taking no part.

Order reversed, with costs, the amended complaint dismissed as against defendant The Salvation Army and certified question answered in the negative.

[999 NE2d 1164, 977 NYS2d 719]

ROCKY POINT DRIVE-IN, L.P., Appellant, v TOWN OF BROOKHAVEN
et al., Respondents.

Argued October 16, 2013; decided November 14, 2013

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 6, 2012. The Appellate Division (1) reversed, on the law and the facts, so much of a judgment of the Supreme Court, Suffolk County (Patrick A. Sweeney, J.), entered after a nonjury trial, as was in favor of plaintiff and against defendants declaring that defendants' intentional bad faith delay in reviewing and processing plaintiff's site plan application constituted "special facts" which entitled plaintiff to have its site plan application reviewed in accordance with the zoning designation that was in effect on the day that plaintiff's site plan application was filed, and that plaintiff was not required to apply for or obtain a variance; (2) declared that plaintiff was not entitled to have its site plan application reviewed in accordance with the zoning designation that was in effect on the day that plaintiff's site plan application was filed; and (3) dismissed, as academic, plaintiff's cross appeal from so much of the judgment as had failed to declare that the use set forth in its site plan was an as-of-right use in the J-2 zoning district.

Rocky Point Drive-In, L.P. v Town of Brookhaven, 93 AD3d 653, affirmed.

HEADNOTES

Municipal Corporations — Planning — Site Plan Approval — Applicable Law — Special Facts Exception to General Time of Decision Rule

1. In an action seeking a judgment declaring that plaintiff landowner's site plan application to build a commercial center was subject to review under the previous J-2 zoning classification because defendant municipality had unduly delayed the review of the application, the Appellate Division's finding that the evidence at trial did not support Supreme Court's determinations that defendants intentionally and in bad faith delayed processing the site plan application, and selectively enforced the prohibition against commercial centers in a J-2 zoning district against plaintiff, more nearly comported with the weight of the evidence. In land use cases, the law in effect when the application is decided applies, regardless of any intervening amendments to the zoning law. Under the special facts exception to the general time of decision rule, where the landowner establishes entitlement as a matter of right to the underlying

land use application, the application is determined under the zoning law in effect at the time the application is submitted. To establish entitlement as a matter of right, the landowner must be in full compliance with the requirements at the time of the application, such that proper action upon the permit would have given the landowner time to acquire a vested right. In addition the landowner must also show extensive delay indicative of bad faith, unjustifiable actions by the municipal officials, or abuse of administrative procedures. Plaintiff failed to meet the threshold requirement that it was entitled to the requested land use permit under the law as it existed when it filed its application, as it was out of compliance with the zoning classification in effect when it submitted the application. Plaintiff claimed that the special facts exception should apply to its case even though it did not technically meet the J-2 requirements as of right, because defendant municipality historically ignored the zoning requirement. The record, however, demonstrated that similarly situated applicants referred to by plaintiff were not similarly situated at all; they either fell within an exception or were within compliance with the J-2 zoning classification.

Municipal Corporations — Planning — Site Plan Approval — Applicable Law — Special Facts Exception to General Time of Decision Rule

2. In an action seeking a judgment declaring that plaintiff landowner's site plan application to build a commercial center was subject to review under the previous J-2 zoning classification because defendant municipality had unduly delayed the review of the application, the Appellate Division did not err when it applied a "bad faith" requirement rather than a negligence standard to plaintiff's claim. In land use cases, the law in effect when the application is decided applies, regardless of any intervening amendments to the zoning law. Under the special facts exception to the general time of decision rule, where the landowner establishes entitlement as a matter of right to the underlying land use application, the application is determined under the zoning law in effect at the time the application is submitted. In order for a landowner to establish entitlement as a matter of right, the landowner must be in full compliance with the requirements at the time of the application, such that proper action upon the permit would have given the landowner time to acquire a vested right. In addition the landowner must also show extensive delay indicative of bad faith, unjustifiable actions by the municipal officials, or abuse of administrative procedures. Plaintiff failed to meet the threshold requirement of entitlement as of right, as it could not meet the zoning requirements and did not have a vested right. Accordingly, the special facts exception was inapplicable to plaintiff, under any standard.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 25, 418, 437, 692, 904.
CARMODY-WAIT 2d, Proceedings Against a Body or Officer
§§ 145:1431, 145:1460, 145:1474.
NY JUR 2d, Appellate Review § 585; NY JUR 2d, Buildings,
Zoning, and Land Controls §§ 79, 419, 427, 515.
NEW YORK REAL PROPERTY SERVICE §§ 48:6-48:9.

ANNOTATION REFERENCE

See ALR Index under Land Development and Developers;
Zoning.

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Database: NY-ORCS

Query: "site plan" "land use" /p special /2 fact /5 exception

POINTS OF COUNSEL

Bracken Margolin Besunder LLP, Islandia (Linda U. Margolin of counsel), for appellant. I. The Appellate Division erred as a matter of law by holding that plaintiff had to prove malicious delay in order to be entitled to special facts relief. (*Matter of Alscot Inv. Corp. v Incorporated Vil. of Rockville Ctr.*, 99 AD2d 754, 64 NY2d 921; *Matter of Fairchild Sons, Inc. v Rogers*, 242 App Div 651, 266 NY 460; *Matter of Dubow v Ross*, 254 App Div 706; *Matter of Our Lady of Good Counsel R.C. Church & School v Ball*, 45 AD2d 66, 38 NY2d 780; *Matter of Pokoik v Silsdorf*, 40 NY2d 769; *Matter of Amsterdam-Manhattan Assoc. v Joy*, 42 NY2d 941; *Matter of Faymor Dev. Co. v Board of Stds. & Appeals of City of N.Y.*, 45 NY2d 560; *Matter of Greco v Trincellito*, 206 AD2d 779; *Matter of Lawrence School Corp. v Morris*, 167 AD2d 467; *Matter of Eckstein v Glimm*, 84 AD2d 839.) II. Plaintiff proved bad faith and selective enforcement by the Town of Brookhaven by legally sufficient and overwhelming record evidence. (*People v Rodriguez*, 17 NY3d 486; *People v Samuels*, 99 NY2d 20; *People v Bracey*, 41 NY2d 296; *Matter of Miller v Southold Town*, 190 AD2d 672; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Penlyn Dev. Corp. v Incorporated Vil. of Lloyd Harbor*, 51 F Supp 2d 255; *Masi Mgt. v Town of Ogden*, 273 AD2d 837; *Matter of 303 W. 42nd St. Corp. v Klein*, 46 NY2d 686; *Gomillion v Lightfoot*, 364 US 339; *Yick Wo v Hopkins*, 118 US 356.) III. The ruling in *WF Shirley, L.L.C. v Board of Zoning Appeals of Town of Brookhaven* (Sup Ct, Suffolk County, Sept. 12, 2001, Costello, J., index No. 01-9523) establishes that Rocky Point Drive-In, L.P.'s proposed use was as-of-right in the J-2 zone. (*Matter of Juan C. v Cortines*, 89 NY2d 659; *Pratt v State of New York*, 181 Misc 2d 488; *Buechel v Bain*, 97 NY2d 295, 535 US 1096.)

Jaspan Schlesinger LLP, Garden City (Maureen T. Liccione and Robert V. Guido of counsel), and *Annette Eaderesto*, Town Attorney, Farmingville, for respondents. I. The trial evidence did not establish facts sufficient for application of the special facts exception. (*Matter of Alscot Inv. Corp. v Incorporated Vil. of Rockville Ctr.*, 99 AD2d 754, 64 NY2d 921; *Matter of Mascony Transp. & Ferry Serv. v Richmond*, 71 AD2d 896, 49 NY2d 969;

Matter of Pokoik v Silsdorf, 40 NY2d 769; *Matter of Demisay, Inc. v Petito*, 31 NY2d 896; *Town of Orangetown v Magee*, 88 NY2d 41; *Matter of Ellington Constr. Corp. v Zoning Bd. of Appeals of Inc. Vil. of New Hempstead*, 77 NY2d 114; *Matter of Faymor Dev. Co. v Board of Stds. & Appeals of City of N.Y.*, 45 NY2d 560; *Matter of Jamaica Recycling Corp. v City of New York*, 38 AD3d 398, 9 NY3d 801; *Matter of c/o Hamptons, LLC v Rickenbach*, 98 AD3d 736; *Matter of Alfano v Zoning Bd. of Appeals of Vil. of Farmingdale*, 74 AD3d 961.) II. Appellant failed to prove an entitlement to a commercial center use under the prior J-2 zoning classification. (*Matter of Twin County Recycling Corp. v Yevoli*, 90 NY2d 1000; *Matter of Khan v Zoning Bd. of Appeals of Vil. of Irvington*, 87 NY2d 344; *Matter of Fuhst v Foley*, 45 NY2d 441; *Conley v Town of Brookhaven Zoning Bd. of Appeals*, 40 NY2d 309; *Matter of Southern Dutchess Country Club v Town Bd. of Town of Fishkill*, 18 NY2d 870; *Matter of Neddo v Schrader*, 270 NY 97; *Preble Aggregate v Town of Preble*, 263 AD2d 849; *Matter of Aho*, 39 NY2d 241; *Matter of Hillowitz*, 20 NY2d 952.) III. The *WF Shirley, L.L.C. v Board of Zoning Appeals of Town of Brookhaven* (Sup Ct, Suffolk County, Sept. 12, 2001, Costello, J., index No. 01-9523) Supreme Court order did not establish an entitlement to a commercial center in the J-2 zone. (*Ryan v New York Tel. Co.*, 62 NY2d 494; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481; *Robinson Motor Xpress, Inc. v HSBC Bank, USA*, 37 AD3d 117; *People ex rel. Metropolitan St. Ry. Co. v State Bd. of Tax Commrs.*, 174 NY 417, 199 US 1; *Race v Krum*, 222 NY 410.) IV. There was no proof of undue delay. (*Matter of Eadie v Town Bd. of Town of N. Greenbush*, 7 NY3d 306; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400.) V. The Town of Brookhaven's actions were not malicious or in bad faith. VI. Proof of negligence would have been insufficient to satisfy the special facts exception. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 540 US 1017; *Matter of Pokoik v Silsdorf*, 40 NY2d 769; *Matter of Golisano v Town Bd. of Town of Macedon*, 31 AD2d 85; *Marsh v Town of Huntington*, 39 AD2d 945; *Matter of Dubow v Ross*, 254 App Div 706; *Matter of c/o Hamptons, LLC v Rickenbach*, 98 AD3d 736; *Matter of Alfano v Zoning Bd. of Appeals of Vil. of Farmingdale*, 74 AD3d 961; *Matter of Golden Horizon Terryville Corp. v Prusinowski*, 63 AD3d 930; *Matter of Mamaroneck Beach & Yacht Club, Inc. v Zoning Bd. of Appeals of Vil. of Mamaroneck*, 53 AD3d 494; *Figgie Intl. v Town of Huntington*, 203 AD2d 416.) VII. The applicant failed to meet its heavy burden to prove selective

enforcement. (*Matter of 303 W. 42nd St. Corp. v Klein*, 46 NY2d 686; *Yick Wo v Hopkins*, 118 US 356; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Town of Plattekill v Dutchess Sanitation*, 56 AD2d 150, 43 NY2d 662; *Matter of Indelicato v Town of Lloyd*, 34 AD3d 1056, 8 NY3d 935; *Becker v Koch*, 104 NY 394; *Fox v Tedesco*, 15 AD3d 538; *Ferri v Ferri*, 60 AD3d 625; *People v Gonzalez*, 68 NY2d 424.) VIII. The adoption of a negligence standard would not be sound public policy. (*Tilles Inv. Co. v Town of Huntington*, 74 NY2d 885; *Matter of Town of Islip v Caviglia*, 73 NY2d 544; *Robert E. Kurzius, Inc. v Incorporated Vil. of Upper Brookville*, 51 NY2d 338; *Sag Harbor Port Assoc. v Village of Sag Harbor*, 21 F Supp 2d 179; *Elias v Town of Brookhaven*, 783 F Supp 758; *Matter of E.F.S. Ventures Corp. v Foster*, 71 NY2d 359; *Matter of Parkview Assoc. v City of New York*, 71 NY2d 274, 995, 488 US 801; *Morley v Arricale*, 66 NY2d 665; *City of Yonkers v Rentways, Inc.*, 304 NY 499; *Matter of Rudolf Steiner Fellowship Found. v De Luccia*, 90 NY2d 453.)

Davis & Prager, P.C., Patchogue (Larry Ray Davis of counsel), for Long Island Builders Institute, Inc., amicus curiae. No proof of malice should be necessary to entitle plaintiff to special facts relief. (*Matter of East End Resources, LLC v Town of Southold Planning Bd.*, 81 AD3d 947; *Matter of United Water New Rochelle, Inc. v King*, 18 AD3d 763, 5 NY3d 711; *Matter of Amsterdam-Manhattan Assoc. v Joy*, 42 NY2d 941; *Matter of Pokoik v Silsdorf*, 40 NY2d 769; *Matter of Our Lady of Good Counsel R.C. Church & School v Ball*, 45 AD2d 66, 38 NY2d 780.)

Sarah Brancatella, Albany, for Association of Towns of the State of New York, amicus curiae. I. Expanding the special facts exception to include negligence disrupts the balance of public and private interests. (*Village of Euclid v Ambler Realty Co.*, 272 US 365; *Rodgers v Village of Tarrytown*, 302 NY 115; *Glacial Aggregates LLC v Town of Yorkshire*, 14 NY3d 127; *Town of Orangetown v Magee*, 88 NY2d 41; *Matter of Alscot Inv. Corp. v Incorporated Vil. of Rockville Ctr.*, 64 NY2d 921.) II. Adding negligence to the special facts exception unduly complicates a straightforward rule of law. (*Elliott v City of New York*, 95 NY2d 730; *Nicholson v South Oaks Hosp.*, 27 AD3d 628; *Matter of Biedermann v Town of Orangetown*, 125 AD2d 465; *Hey v Town Bd. of Town of Potter*, 117 AD2d 989; *Benigno v Cohalan*, 40 NY2d 880.) III. Other policy reasons favor limiting the application of the special facts exception. (*Matter of Cave v Zoning Bd. of Appeals of Vil. of Fredonia*, 49 AD2d 228;

Matter of Harbison v City of Buffalo, 4 NY2d 553; *Matter of Aboud v Wallace*, 94 AD2d 874.)

OPINION OF THE COURT

RIVERA, J.

Rocky Point Drive-In, L.P. (Rocky Point), a landowner seeking to develop property located in the Town of Brookhaven (Town), appeals an order of the Appellate Division which reversed a declaratory judgment of the Supreme Court on the law and facts, and which determined that Rocky Point's site plan application should not be reviewed under a former, more favorable, zoning provision. We find no basis to overturn the Appellate Division's order and affirm.

Rocky Point owns a parcel of land approximating 17 acres (the parcel) in the Town. Over several years Rocky Point, and its predecessor in interest, Sans Argent, Inc. (Sans Argent), have tried unsuccessfully to secure approval from the Town to develop this parcel as a site for a 152,050-square-foot Lowe's Home Improvement Center (Lowe's Center).

The factual history is extensive but, as relevant here, ostensibly begins in 1997, when the Town adopted a comprehensive plan creating a new "commercial recreation" (CR) zoning classification.¹ The plan cited the desire to draw visitors, and the potential to "attract new types of private recreation such as sports complexes, amusement and theme parks, movie theme parks, ice hockey and ice skating rinks." The parcel had been zoned as "J Business 2" (J-2), which permitted retail stores as of right, but did not permit "commercial centers" which were defined by Brookhaven Town Code as "[a]ny building or buildings . . . used by one (1) or more enterprises for a commercial purpose . . . where the proposed use occupies a site of five (5) acres or more." Accordingly, all of the parcel's previous uses—a drive-in movie theater and golf driving range—were nonconforming. Although the plan did not target the parcel, the parcel's previous uses would have been brought into compliance if it was rezoned to CR.

1. Zoning laws must be enacted in accordance with a comprehensive land use plan (see Town Law § 263; *Asian Ams. for Equality v Koch*, 72 NY2d 121, 131 [1988]). "The requirement of a comprehensive . . . plan not only insures that local authorities act for the benefit of the community as a whole but protects individuals from arbitrary restrictions on the use of their land" (*id.*). Essentially, this requirement acknowledges that "consideration must be given to the needs of the community as a whole" (*Udell v Haas*, 21 NY2d 463, 469 [1968]).

The Town had not taken any measures in pursuance of the CR classification, as per the comprehensive plan, until February 2000, when the Brookhaven Town Board (Board) discussed, for the first time, specifically rezoning the subject parcel to CR. The Board announced a date for a public meeting to be held on the issue. Shortly before the hearing, on March 2, 2000, Sans Argent submitted a site plan application to the Town for the Lowe's Center to be built on the parcel. The proposed Lowe's Center would not have complied with the CR zone classification. The Board thereafter held a public hearing to vote to rezone the subject property to CR. Sans Argent, aware of the impending vote, and seeking to avoid the rezoning, submitted a protest, triggering Town Law § 265 and its requirement that the zoning change pass by a supermajority vote.² Five of the seven Board members voted to rezone, thus falling short of the supermajority requirement.³ Nevertheless, the Town declared the parcel rezoned to CR and declined to continue processing Sans Argent's application.

Sans Argent then filed suit in Supreme Court, Suffolk County, challenging the Board's rezoning as invalid. While the suit was pending, the parties entered into an agreement under which respondents would continue processing Sans Argent's application if Sans Argent submitted a new site plan with an accompanying application for a use variance to the Zoning Board of Appeals (ZBA).

Respondents issued a notice of violation and on December 1, 2000, Sans Argent submitted a new site plan and application for a use variance. A few months later, in March, Supreme Court held null and void the Town's rezoning of the parcel, for failure to secure the requisite supermajority vote.

Shortly thereafter, the Town Board adopted a second resolution that rezoned the parcel to CR—again without the requisite supermajority. Sans Argent challenged this vote, and after commencement of a second action, Supreme Court declared the second rezoning null and void. In June 2002, the Town Board amended the Brookhaven Town Code to allow for a simple majority vote of approval over protests for rezoning of property, rather than a supermajority vote. Then, in October 2002, the

2. Town Law § 265 (1) reads, in pertinent part: “except that any such amendment shall require the approval of at least three-fourths of the members of the town board in the event such amendment is the subject of a written protest.”

3. Five members voted in favor, one in opposition and one recused himself.

Town adopted a resolution, for the third time, rezoning the parcel to CR.

Rocky Point, as the successor in interest to Sans Argent, filed the instant action seeking a judgment declaring that the site plan application was subject to review under the previous J-2 zoning classification because the Town had unduly delayed the review of the application. In 2004, Supreme Court granted the Town summary judgment, and the Appellate Division, Second Department, reversed, finding that triable issues of fact existed as to whether special facts warranted application of the J-2 zoning classification, and concluding that there was proof indicating selective enforcement of the Town's zoning provision (37 AD3d 805 [2d Dept 2007]).

At a non-jury trial, Rocky Point introduced several various site plan applications submitted to the Town between 1986 and 2003. All, it claimed, proved the Town was selectively enforcing the CR classification. Supreme Court agreed that the Town treated Rocky Point's application differently from other applications, and that there was significant delay in the process. Therefore, special facts warranted the application of the previous J-2 zoning classification to Rocky Point's application. The Town appealed and the Second Department reversed, finding Supreme Court's determinations were not supported by the evidence adduced at trial (93 AD3d 653, 654 [2d Dept 2012]). We granted Rocky Point leave to appeal (19 NY3d 815 [2012]) and now affirm.

As a general matter, a case must be decided upon the law as it exists at the time of the decision (*see Matter of Pokoik v Silsdorf*, 40 NY2d 769, 772 [1976]). In land use cases, the law in effect when the application is decided applies, regardless of any intervening amendments to the zoning law (*id.* at 773). Rocky Point seeks to avoid this rule and have the zoning law in effect at the time it submitted its application apply to its request, arguing it falls within the "special facts" exception to the general time of decision rule.

Under the special facts exception, where the landowner establishes entitlement as a matter of right to the underlying land use application—here, a "site plan"—the application is determined under the zoning law in effect at the time the application is submitted (*id.* at 772, citing *Matter of Boardwalk & Seashore Corp. v Murdock*, 286 NY 494 [1941], and *Matter of Rosano v Town Bd. of Town of Riverhead*, 43 AD2d 728 [2d

Dept 1973]). In order for a landowner to establish entitlement to the request as a matter of right, the landowner must be in “full compliance with the requirements at the time of the application,” such that “proper action upon the permit would have given [the landowner] time to acquire a vested right” (*Pokoik*, 40 NY2d at 773, citing *Marsh v Town of Huntington*, 39 AD2d 945 [2d Dept 1972], and *Matter of Golisano v Town Bd. of Town of Macedon*, 31 AD2d 85 [4th Dept 1968]). In addition to showing entitlement to the request as a matter of right, the landowner must also show “extensive delay[] indicative of bad faith” (*Matter of Alscot Inv. Corp. v Incorporated Vil. of Rockville Ctr.*, 64 NY2d 921, 922 [1985]), “unjustifiable actions” by the municipal officials (*Pokoik*, 40 NY2d at 773), or “abuse of administrative procedures” (*id.* [“the village improperly delayed reviewing the application and the board presented unsatisfactory reasons for denial, resulting in the disregard of petitioner’s rights”])).

As the record establishes, Rocky Point fails to meet the threshold requirement that it was entitled to the requested land use permit under the law as it existed when it filed its application. Rocky Point does not dispute—and it cannot—that it was out of compliance with the zoning classification in effect when it submitted the application. At that time, a substantial portion of the parcel was zoned J-2, which did not permit “commercial centers” of the type Rocky Point sought to build. That is, J-2 prohibited commercial buildings that “occup[y] a site of five (5) acres or more.” The proposed Lowe’s Center, as planned, exceeded this spatial limit.

Rocky Point argues that the special facts exception should apply to its case even though it does not technically meet the J-2 requirements as of right, because the Town historically ignored the zoning requirements. According to Rocky Point, the Town targeted Rocky Point for selective enforcement, seeking to subject Rocky Point to the zoning requirements while intentionally failing to impose them on similarly situated applicants. Rocky Point argues, therefore, it should not be held to the strict language of the zoning requirements.

The Appellate Division rejected this claim, based on a lack of factual support in the record (93 AD3d at 654). When the Appellate Division decides that a factual finding is against the weight of the evidence, that is itself a new finding of fact (*Cohen v Hallmark Cards*, 45 NY2d 493, 498 [1978]). In such case, our review of the Appellate Division’s decision is limited; we

review the record to determine which factual findings “more nearly comport with the weight of the evidence” (*Matter of State of New York v Daniel F.*, 19 NY3d 1086, 1087 [2012]).

[1] The Appellate Division, reviewing the facts, disagreed with the Supreme Court’s conclusion that “[respondents] intentionally and in bad faith delayed processing [Rocky Point’s] site plan application, and selectively enforced the prohibition against commercial centers in a J-2 zoning district against [Rocky Point]” (93 AD3d at 654). The record clearly demonstrates that similarly situated applicants referred to by Rocky Point were not similarly situated at all; they either fell within an exception or were within compliance with the J-2 zoning classification. Thus, the Appellate Division’s finding more nearly comports with the weight of the evidence.

[2] Rocky Point also argues that the Appellate Division erred when it applied a “bad faith” requirement rather than a negligence standard to its claim. In support of this argument Rocky Point asserts that we have previously held that negligence may trigger application of the special facts exception. Rocky Point places significant reliance on our decision in *Matter of Faymor Dev. Co. v Board of Stds. & Appeals of City of N.Y.* in support of its argument. In *Faymor* the applicant would have had, in the absence of municipal wrongdoing, a vested right (45 NY2d 560, 566 [1978]). Here, as Rocky Point concedes, it cannot meet the zoning requirements and did not have a vested right. Rocky Point has failed to meet the threshold requirement of entitlement as of right, and we have no reason to upset the Appellate Division’s factual findings of a lack of record support for selective enforcement by the Town, because the special facts exception is inapplicable to this case, under any standard.

Accordingly, the order of the Appellate Division should be affirmed with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and ABDUS-SALAAM concur.

Order affirmed, with costs.

[999 NE2d 1168, 977 NYS2d 723]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v THOMAS BROWN, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSEPH HARRIS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DARNELL CARTER, Appellant.

Argued October 16, 2013; decided November 14, 2013

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 27, 2011. The Appellate Division affirmed an amended judgment of the Supreme Court, New York County (Arlene R. Silverman, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and criminal possession of a weapon in the third degree and sentenced defendant to consecutive terms of 25 years to life and three years, respectively.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 12, 2012. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, assault in the first degree, and criminal possession of a weapon in the second degree (two counts) and sentenced defendant, as a persistent violent felony offender, to concurrent terms of 25 years to life on each of the convictions for attempted murder and assault and 20 years to life on the conviction for criminal possession of a weapon under Penal Law § 265.03 (1) (b), and a term of 20 years to life on the conviction for criminal possession of a weapon under Penal Law § 265.03 (3) to run consecutively to the sentences on the attempted murder and assault convictions.

APPEAL, in the third above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 15, 2012, as amended after

reargument by an order of that Court, entered November 9, 2012. The Appellate Division affirmed a judgment of the Niagara County Court (Sara S. Sperrazza, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree (two counts), robbery in the first degree (two counts), criminal use of a firearm in the first degree, and criminal possession of a weapon in the second degree and sentenced defendant to concurrent terms of 25 years to life on each of the convictions for murder and 25 years on each of the convictions for robbery and criminal use of a firearm, and a term of 15 years on the conviction for criminal possession of a weapon to run consecutively to the sentences for the murder convictions.

People v Brown, 90 AD3d 575, affirmed.

People v Harris, 96 AD3d 502, affirmed.

People v Carter, 96 AD3d 1520, as amended by 100 AD3d 1472, affirmed.

HEADNOTES

**Crimes — Sentence — Concurrent and Consecutive Terms —
Unlawful Possession of Loaded Weapon and Subsequent Crime
with That Weapon**

1. A sentence imposed for “simple” knowing, unlawful possession of a loaded weapon outside one’s home or business (Penal Law § 265.03 [3]) can properly be run consecutively to a sentence for another crime committed with the same weapon so long as the defendant knowingly unlawfully possesses the weapon before forming the intent to cause a crime with that weapon. Penal Law § 70.25 (2) prohibits consecutive sentences where either a single act or omission constitutes two offenses or where a single act or omission constitutes one of the offenses and a material element of another. Consecutive sentences may be imposed only where the act of possession is completed before the commission of the ensuing crime and with a mental state that both satisfies the mens rea element and is discrete from that of the underlying crime. Completion is measured by the point at which a defendant’s relevant intent changes. The mens rea for “simple” possession is knowing unlawful possession of a loaded firearm and can be formed and need only exist at the very moment the person engages in prohibited conduct or acts to cause the prohibited result.

**Crimes — Sentence — Concurrent and Consecutive Terms —
Unlawful Possession of Loaded Weapon and Subsequent Crime
with That Weapon**

2. In a criminal prosecution arising from an incident in which defendant got into an argument with the victim as they were leaving a club, then got into his van as a passenger, told the driver to follow the victim, then, when the victim stopped at a restaurant, got out of the van and shot him, defendant’s sentence on his conviction for third-degree criminal possession of a weapon (former Penal Law § 265.02 [4]) was properly run consecutively to his sentence for his intentional murder conviction. A sentence imposed for “simple” knowing, unlawful possession of a loaded weapon outside one’s home or business can properly be run consecutively to a sentence for another crime committed

with the same weapon so long as the defendant knowingly unlawfully possesses the weapon before forming the intent to cause a crime with that weapon. Here, defendant was frisked for weapons before entering the club. Defendant must have possessed the gun used in the crime when he went to his van after leaving the club as there were no stops between the club and the restaurant where he shot the victim and no testimony that the gun was otherwise acquired. Moreover, even if defendant formed the intent to kill the victim before getting into the van, the gun must have already been in the van, over which defendant had dominion and control, before he initially encountered the victim.

**Crimes — Sentence — Concurrent and Consecutive Terms —
Unlawful Possession of Loaded Weapon and Subsequent Crime
with That Weapon**

3. In a criminal prosecution arising from an incident in which defendant approached the victim's car and shot him several times 20 minutes after the victim had stopped his car to talk with a friend and saw defendant standing nearby, defendant's sentence for second-degree criminal possession of a weapon under Penal Law § 265.03 (3) was properly run consecutively to his sentences for attempted murder and assault convictions. A sentence imposed for "simple" knowing, unlawful possession of a loaded weapon outside one's home or business can properly be run consecutively to a sentence for another crime committed with the same weapon so long as the defendant knowingly unlawfully possesses the weapon before forming the intent to cause a crime with that weapon. Here, the victim fortuitously encountered defendant, whom he observed talking with a group of people for about 20 minutes before he was shot, and there was evidence that defendant possessed the gun for at least those 20 minutes.

**Crimes — Sentence — Concurrent and Consecutive Terms —
Unlawful Possession of Loaded Weapon and Subsequent Crime
with That Weapon**

4. In a criminal prosecution arising from an incident in which defendant, accompanied by two others, chased the victim and shot him near a convenience store parking lot several minutes after defendant was seen in the convenience store where he admittedly had the gun tucked into the waistband of his pants, defendant's sentence for second-degree criminal possession of a weapon under Penal Law § 265.03 (3) was properly run consecutively to his sentences for the second-degree murder convictions. A sentence imposed for "simple" knowing, unlawful possession of a loaded weapon outside one's home or business can properly be run consecutively to a sentence for another crime committed with the same weapon so long as the defendant knowingly unlawfully possesses the weapon before forming the intent to cause a crime with that weapon. Here, defendant told the police that he did not go to the convenience store to rob the victim, but that the others were going to rob him and that he went along because he thought that they needed him if there was going to be a fight. The act of possession was complete while defendant was talking with an acquaintance in the convenience store with the gun in his waistband. At the point defendant was handed the illegal gun before entering the convenience store minutes before the murder, he must have known that the gun was going to be used in the robbery. Then there was a break in the action. Only after leaving the store with the group and chasing the victim did defendant's possession of the gun become for the purpose of intentional murder.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law: Procedure §§ 833, 835; AM JUR 2d, Weapons and Firearms §§ 10, 12, 29.
CARMODY-WAIT 2d, Sentencing Procedures §§ 203:6, 203:96.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.3.
MCKINNEY'S, Penal Law §§ 70.25 (2); 265.02 (4); 265.03 (3).
NY JUR 2d, Criminal Law: Procedure §§ 3152, 3153, 3156, 3158, 3163; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1874–1878, 1880–1882.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Weapons and Firearms.

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POINTS OF COUNSEL

The Legal Aid Society, Bronx (*Lily Goetz* of counsel), and *Richard M. Greenberg*, Office of the Appellate Defender, New York City (*Risa Gerson* of counsel), for appellant in the first above-entitled action. I. The prosecutor deprived Thomas Brown of a fair trial when, in summation, he shifted and diluted the burden of proof by arguing that the jury must choose between two views of the evidence. (*People v Mirenda*, 23 NY2d 439; *Berger v United States*, 295 US 78; *People v Zimmer*, 51 NY2d 390; *People v Whalen*, 59 NY2d 273; *In re Winship*, 397 US 358; *People v Johnson*, 11 AD3d 224; *United States v Khan*, 821 F2d 90; *People v Crimmins*, 36 NY2d 230; *People v Alexander*, 94 NY2d 382; *People v Levandowski*, 8 AD3d 898.) II. Thomas Brown's consecutive sentences for murder and weapon possession are illegal since no evidence established that the perpetrator possessed a loaded weapon at any time other than during the shooting of Jarvis Bradford. (*People v Hamilton*, 4 NY3d 654; *People v Wright*, 19 NY3d 359; *People v Rosas*, 8 NY3d 493; *People v Salcedo*, 92 NY2d 1019; *People v Laureano*, 87 NY2d

640; *People v Brown*, 80 NY2d 361; *Matter of Johnson v Morgenthau*, 69 NY2d 148; *People v Dean*, 8 NY3d 929; *People v Ramirez*, 89 NY2d 444; *People v Tineo*, 94 AD3d 507.)

Cyrus R. Vance, Jr., District Attorney, New York City (Martin J. Foncello, Susan Axelrod and Christopher P. Marinelli of counsel), for respondent in the first above-entitled action. I. Defendant's sentence was lawful. (*People v Day*, 73 NY2d 208; *People v Snyder*, 241 NY 81; *People v Wright*, 19 NY3d 359; *Blockburger v United States*, 284 US 299; *People v Taveras*, 12 NY3d 21; *People v Laureano*, 87 NY2d 640; *People v McKnight*, 16 NY3d 43; *People v Ramirez*, 89 NY2d 444; *People v Frazier*, 16 NY3d 36; *People v Arroyo*, 93 NY2d 990.) II. The prosecutor's comments in summation did not constitute burden shifting. (*People v Heide*, 84 NY2d 943; *People v Dawson*, 50 NY2d 311; *People v Utley*, 45 NY2d 908; *People v Tonge*, 93 NY2d 838; *People v Dien*, 77 NY2d 885; *People v Monroe*, 90 NY2d 982; *People v Weston*, 56 NY2d 844; *People v Contes*, 60 NY2d 620; *People v Santiago*, 52 NY2d 865; *People v Tevaha*, 204 AD2d 92, 84 NY2d 879.)

Richard M. Greenberg, Office of the Appellate Defender, New York City (Thomas M. Nosewicz of counsel), for appellant in the second above-entitled action. I. The firearm taken from the Queens apartment that Joseph Harris had been invited into should have been suppressed because the police had no reason to enter the apartment and upend a couch after Mr. Harris had been removed from the apartment. (*Minnesota v Carter*, 525 US 83; *People v Ramirez-Portoreal*, 88 NY2d 99; *People v Ortiz*, 83 NY2d 840; *United States v Poe*, 556 F3d 1113; *People v Perez*, 37 Misc 3d 734; *Payton v New York*, 445 US 573; *Maryland v Buie*, 494 US 325; *People v Kelly*, 62 NY2d 516; *California v Trombetta*, 467 US 479.) II. Joseph Harris's consecutive sentences for simple possession and use of a weapon are illegal because all the offenses occurred at the same time and place and involved the same firearm and a single victim. (*People v Longshore*, 86 NY2d 851; *People v Frazier*, 16 NY3d 36; *People v Taveras*, 12 NY3d 21; *People v Brown*, 80 NY2d 361; *People v McCray*, 102 AD3d 560; *People v McKnight*, 16 NY3d 43; *People v Battles*, 16 NY3d 54; *People v Salcedo*, 92 NY2d 1019; *People v Wright*, 19 NY3d 359; *People v Hamilton*, 4 NY3d 654.)

Cyrus R. Vance, Jr., District Attorney, New York City (Ellen Stanfield Friedman and Christopher P. Marinelli of counsel), for respondent in the second above-entitled action. I. Defendant's

consecutive sentences are legal. (*Blockburger v United States*, 284 US 299; *People v Day*, 73 NY2d 208; *People v Laureano*, 87 NY2d 640; *People v McKnight*, 16 NY3d 43; *People v Taveras*, 12 NY3d 21; *People v Wright*, 19 NY3d 359; *People v Ramirez*, 89 NY2d 444; *People v Snyder*, 241 NY 81; *People v Frazier*, 16 NY3d 36; *People v Arroyo*, 93 NY2d 990.) II. The hearing court properly denied defendant's motion to suppress the gun recovered from Ricky Kelly's apartment. (*People v Albro*, 52 NY2d 619; *People v Francois*, 14 NY3d 732; *People v Wheeler*, 2 NY3d 370; *People v Sierra*, 83 NY2d 928; *People v Bradford*, 15 NY3d 329; *People v Paulman*, 5 NY3d 122; *People v Wilkerson*, 64 NY2d 749; *People v Giles*, 73 NY2d 666; *People v Borges*, 69 NY2d 1031; *People v Jose*, 94 NY2d 844.)

David J. Farrugia, Public Defender, Lockport (*Mary-Jean Bowman* of counsel), for appellant in the third above-entitled action. Darnell Carter's consecutive sentences for possession of a weapon and murder in the second degree are illegal because the offenses were simultaneous and part of the same transaction. (*People v Fuentes*, 52 AD3d 1297; *People v Ramirez*, 89 NY2d 444; *People v Laureano*, 87 NY2d 640; *People v Brown*, 80 NY2d 361; *People v Taveras*, 12 NY3d 21; *People v Hamilton*, 4 NY3d 654.)

Michael J. Violante, District Attorney, Lockport (*Thomas H. Brandt* of counsel), for respondent in the third above-entitled action. Defendant's consecutive sentences were legal. (*People v Laureano*, 87 NY2d 640; *People v Wright*, 19 NY3d 359; *People v Hamilton*, 4 NY3d 654; *People v Sturkey*, 77 NY2d 979; *People v Almodovar*, 62 NY2d 126; *People v Saunders*, 85 NY2d 339; *People v Salcedo*, 92 NY2d 1019.)

OPINION OF THE COURT

READ, J.

We are asked in these appeals to decide whether a sentence imposed for "simple" knowing, unlawful possession of a loaded weapon (i.e., without any intent to use) was properly run consecutively to the sentence for another crime committed with the same weapon. We conclude that these three defendants completed the crime of possession independently of their commission of the later crimes, and therefore consecutive sentencing was permissible.

I

Statutory Background

Penal Law § 70.25 (2) provides as follows:

“When more than one sentence of imprisonment is imposed on a person for two or more offenses committed through a single act or omission, or through an act or omission which in itself constituted one of the offenses and also was a material element of the other, the sentences . . . must run concurrently.”

Before 2006, Penal Law § 265.03, second-degree criminal possession of a weapon, provided that

“[a] person is guilty of criminal possession of a weapon in the second degree when, *with intent to use the same unlawfully against another*: (1) he possesses a machine-gun; or (2) he possesses a loaded firearm; or (3) he possesses a disguised gun” (former Penal Law § 265.03 [emphasis added]).

The Legislature amended the statute in 2006 to include, in addition to specific-intent possession, a so-called “simple” possession provision. Specifically, the statute now reads as follows:

“A person is guilty of criminal possession of a weapon in the second degree when: (1) with intent to use the same unlawfully against another, such person: (a) possesses a machine-gun; or (b) possesses a loaded firearm; or (c) possesses a disguised gun; or (2) such person possesses five or more firearms; or (3) *such person possesses any loaded firearm*” (Penal Law § 265.03 [emphasis added]; *see also* L 2006, ch 742).

Further, before 2006 the unlawful possession of a loaded firearm outside one’s home or business was third-degree criminal possession of a weapon. The Legislature elevated this type of possession to a second-degree crime when it amended the Penal Law in 2006.

II

Brown

Around 4:00 a.m. on June 19, 2005, Jarvis Bradford and friends were leaving the Cherry Lounge at 128th Street and Amsterdam Avenue in Manhattan. Bradford and defendant Thomas Brown, who had also been at the club, began arguing. A witness later testified that Brown and Bradford gestured to their waistbands and “make like they had something with them right there at the scene.” Brown walked away and got into the

back seat of his van; he also gave the van's keys to his brother-in-law, Giovanni Alvarado, and instructed Alvarado to wait for Bradford to leave and then to follow. Brown told Alvarado he was going to shoot Bradford. Alvarado did as requested, following Bradford and friends to a nearby McDonald's.

Bradford left his car and went to the walk-up window to order food. Brown left his van, walked up to Bradford and shot him four times from less than 10 feet away, killing him. Brown ran back to the van, and Alvarado later testified that he had "something that appeared to be a gun" in his left hand as he returned to the van, but Alvarado also testified he "didn't see exactly." Alvarado and defendant drove away.

Several days later, Brown and Alvarado traveled to Atlanta, where they remained for several months. Alvarado returned to New York in November 2005 and was arrested for Bradford's murder. He entered into a cooperation agreement with the People. On May 12, 2006, Brown was arrested in Baltimore for possession of four firearms. He was subsequently extradited to New York, where he was arraigned in New York County on June 26, 2006, for crimes related to the killing of Bradford.

Brown was subsequently convicted after a jury trial of second-degree intentional murder (Penal Law § 125.25 [1]), and third-degree criminal possession of a weapon (former Penal Law § 265.02 [4]).¹ Supreme Court sentenced Brown to consecutive prison terms of 25 years to life for the murder, and three years for the weapon possession.

On appeal, Brown argued that the trial court erred in imposing consecutive sentences. In December 2011, the Appellate Division unanimously affirmed the judgment of conviction and sentence (90 AD3d 575 [1st Dept 2011]). The court concluded that consecutive sentences were properly imposed under Penal Law § 70.25 (2) because the murder and weapon possession were separate acts for sentencing purposes (*id.* at 576). On June 21, 2012, a Judge of this Court granted defendant leave to appeal (19 NY3d 958 [2012]), and we now affirm.

Harris

On September 25, 2008, Leonard Lewis was driving near West 112th Street and Lenox Avenue in Manhattan. He stopped to

1. As already noted, before 2006 possession of a loaded gun outside the home or place of business was only third-degree weapon possession.

talk with a friend, “Alley Mo,” and saw several other individuals whom he knew standing nearby, including defendant Joseph Harris. Twenty minutes later, Harris approached Lewis’s car, and said, “What’s up? You all right?” He shook Lewis’s hand and then shot him five or six times. Harris ran across the street into a housing project. Lewis flagged down a police car and described the incident. Several days later, Lewis picked out Harris as the shooter from a photo array.

On November 3, 2008, Harris was indicted for crimes in connection with the shooting of Lewis. He was later convicted after a jury trial of second-degree attempted murder (Penal Law §§ 110.00, 125.25 [1]), first-degree assault (Penal Law § 120.10 [1]) and two counts of second-degree criminal possession of a weapon (Penal Law § 265.03 [1] [b]; [3] [possession with intent to use unlawfully against another; possession outside one’s home or place of business]).² Supreme Court sentenced Harris as a persistent violent felony offender to 45 years to life in prison: 25 years to life for the attempted murder and assault, and 20 years to life for weapon possession with intent to use unlawfully, to run concurrently with each other; and 20 years to life for the weapon possession outside the home or business, to run consecutively to the sentences for attempted murder and assault.

On appeal, Harris argued that the trial court erred in imposing consecutive sentences for the criminal possession of a weapon and the attempted murder and assault. In June 2012, the Appellate Division affirmed (96 AD3d 502 [1st Dept 2012]). The Court remarked that the weapon possession crime

“has no intent [to use] element; accordingly, the issue of whether consecutive sentences require separate unlawful intents is not implicated here. The evidence clearly established that [Harris] was carrying the weapon at the time he encountered and shot [Lewis]. Accordingly, the act of possession was complete before the shooting, and consecutive sentences were authorized by Penal Law § 70.25 (2)” (*id.* at 503 [citations omitted]).

On September 28, 2012, a Judge of this Court granted defendant leave to appeal (19 NY3d 1026 [2012]), and we now affirm.

2. Harris’s crime was post-2006, so he was prosecuted under the enhanced second-degree criminal possession statute.

Carter

On the evening of March 20, 2009, defendant Darnell Carter was partying with friends at an apartment owned by Robert Briggs in Niagara Falls, New York. That same evening, Briggs went on a date with a woman named Sicory Walker. The two left the apartment and walked to Briggs's car, which was parked in a parking lot shared with a convenience store. As they were getting into the car, Walker saw several "kids" creeping in a line against the wall of the store. The first in line had something covering his face, and he pointed a gun at Briggs. Briggs ran around the corner. Walker heard several pops and saw the kids run after Briggs.

A few moments earlier, Shenkayla Hollifield had seen Carter in the convenience store and had talked to him. Hollifield left the store with two female companions and saw Carter and two other men run along the side of the building in a line, crouching and running between the building and the cars. Hollifield saw a silver handgun in Carter's hand, and then as she started to run, heard three shots. The three women jumped in a car and drove away, and as they did, Hollifield saw Carter and the two other men running across the street.

Carter gave a statement to the police that "they gave [the gun] to me just before we went in the store, they wanted me to hold it." He told police that "he had the gun tucked in the waistband of his pants and . . . somebody took the gun . . . out of his waistband, and that they had fired the gun." Carter further told the police that "he didn't go there to rob the guy, but they were going to rob him, and they were going to take everything that he had," and that he went along "because he thought that they needed him if there was going to be a fight."

Carter was tried by jury for crimes related to the killing of Briggs; he was convicted of two counts of second-degree murder (Penal Law § 125.25 [1] [intentional murder], [3] [felony-murder]), two counts of first-degree robbery (Penal Law § 160.15), second-degree criminal possession of a weapon (Penal Law § 265.03) and first-degree criminal use of a firearm (Penal Law § 265.09). County Court sentenced him to a prison term of 25 years to life on each second-degree murder conviction, to run concurrently to each other; 25 years on each first-degree robbery conviction, to run concurrently to each other and all other sentences; 25 years on the first-degree criminal use of a firearm,

to run concurrently to all sentences; and 15 years on the second-degree criminal possession of a weapon conviction, to run consecutively to the second-degree murder sentences and concurrently to all other sentences.

On June 15, 2012, the Appellate Division declared Carter's sentence illegal insofar as County Court directed the sentence imposed for second-degree weapon possession to run consecutively to the concurrent sentences imposed for the two counts of second-degree murder, modified the judgment accordingly and otherwise affirmed (96 AD3d 1520 [4th Dept 2012]). Noting that Penal Law § 70.25 (2) requires concurrent sentences for "two or more offenses committed through a single act or omission," the Court concluded that "[h]ere, there was no evidence of intended use of the weapon against another apart from its use in the killing of the murder victim" (*id.* at 1522 [brackets and internal quotation marks omitted]). The People moved for reargument; they also sought leave to appeal to us, which a Judge of this Court granted on October 4, 2012 (19 NY3d 1101 [2012]).

On September 28, 2012, the Appellate Division withdrew its previous decision (98 AD3d 1329 [4th Dept 2012]); on November 9, 2012, the Court granted the motion to reargue and amended the memorandum and order to delete the direction for resentencing (100 AD3d 1472 [4th Dept 2012]). The appeal to us was withdrawn by stipulation (20 NY3d 1059 [2013]). Carter then sought leave to appeal from the Appellate Division's amended memorandum and order, which a Judge of this Court granted on February 22, 2013 (20 NY3d 1060 [2013]). We now affirm.

III

These three appeals present the same issue: whether the defendants' "simple" knowing, unlawful possession of a loaded weapon (as opposed to possession with intent to use) was separate from the subsequent use of that weapon to commit a crime. Brown was convicted of third-degree possession before the 2006 amendments, while Harris and Carter were convicted of second-degree possession under the post-2006 version of the law, thus qualifying for the enhanced penalty. All defendants argue that their sentences for possession should run concurrently because there is no evidence they possessed loaded weapons before or after using them against their respective victims, and thus possession was subsumed within use. The People counter that either direct or circumstantial evidence proves that these defendants committed a completed act of possession.

As noted earlier, Penal Law § 70.25 (2), which governs consecutive sentencing, prohibits consecutive sentences where either “a single act [or omission] constitutes two offenses,” or “a single act [or omission] constitutes one of the offenses and a material element of another” (see *People v Laureano*, 87 NY2d 640, 643 [1996]). In *People v Wright* (19 NY3d 359, 365 [2012]), which addressed “intent to use” weapon possession, we concluded that consecutive sentences may be imposed “[o]nly where the act of possession is accomplished before the commission of the ensuing crime and with a mental state that both satisfies the statutory mens rea element and is discrete from that of the underlying crime.” The specific issue in *Wright* was whether “intent to use” second-degree possession was separate from the use of the weapon in a first-degree murder. We concluded that the possession was only complete when the defendant formed the mens rea necessary for committing the two murders for which he was convicted. Thus consecutive sentences were prohibited.

By contrast, in the earlier case of *People v Salcedo* (92 NY2d 1019, 1021 [1998]), we determined that continuous possession of the weapon was not determinative. There, the defendant had chased his ex-girlfriend down the street with a gun, repeatedly demanding that she go with him. Finally, after she refused again and again to do so, Salcedo shot her dead (*id.* at 1022). We concluded that the possession was complete because Salcedo had specific intent to use the gun to compel the victim to leave, and only after she resisted did he form the intent to murder her. The *Wright* court explained that completion is measured by the “point at which” a defendant’s “relevant intent changes” (*Wright*, 19 NY3d at 366).

As compared with “intent to use” cases, the inquiry in “simple” possession cases necessarily focuses on the separateness of acts. The actus reus in these two murders (Brown and Carter) and one attempted murder (Harris) is the firing of the shots that killed or were intended to kill the victims. To fire the shot, of course, the shooter *must* possess the gun; thus possession is an element of the actus reus required to be proved in each murder or attempted murder. And the actus reus for “simple” possession is possession alone.

[1] The mens rea for any crime “‘can be formed, and need only exist, *at the very moment* the person engages in prohibited conduct or acts to cause the prohibited result, and not at any earlier time’ ” (*People v Muhammad*, 17 NY3d 532, 543 [2011])

[emphasis added], quoting CJI2d[NY] Culpable Mental States—Intent). The mens rea for “simple” possession is knowing unlawful possession of a loaded firearm. So long as a defendant knowingly unlawfully possesses a loaded firearm before forming the intent to cause a crime with that weapon, the possessory crime has already been completed, and consecutive sentencing is permissible.

[2] These cases easily pass this test. All of these defendants clearly possessed the guns they used to commit their crimes well before firing them. For example, Brown and Alvarado were at the Cherry Lounge, where they were frisked for weapons before entering. After leaving, Brown argued with Bradford briefly, but then went to his van. At that point, he must have possessed the gun because between the Cherry Lounge and the McDonald’s, there were no stops, and no testimony that the gun was otherwise acquired. It is possible that Brown had already formed the intent to kill Bradford before getting back into the van; however, even if that were the case, the gun must have already been in the van (over which Brown had dominion and control) before he initially encountered Bradford.

[3] In Harris’s case, the victim, Lewis, fortuitously encountered Harris, whom he observed talking with a group of people for about 20 minutes before Harris approached and shot Lewis as he sat in his car. This is not a case where someone handed Harris a gun just before he shot Lewis—i.e., where the act of possession was simultaneous with the shooting. Rather, there was evidence that Harris possessed the gun for at least the 20 minutes before he shot Lewis.

[4] As for Carter, the act of possession was certainly complete while he was talking to Hollifield and her friends in the convenience store. Carter’s statement to police showed a general awareness that he was going to participate in a robbery when he went with the group down to the convenience store, although he testified that he did not intend to rob Briggs, just to go along during the robbery in case there was a fight. In any event, Carter was handed the illegal gun later used to murder Briggs as Carter was entering the convenience store some minutes before the murder. At that point, he must have known the gun was to be used in the robbery. And there was a break in the action. Carter stopped in the convenience store while armed to talk to Hollifield and her friends. Only after leaving the store with the group and chasing down Briggs did Carter’s possession become for the purpose of intentional murder.

Clearly, the Legislature intended, when it created the “simple” weapon possession crime, to toughen punishment for gun crimes. This reflects the high priority placed by the Legislature on “ridding New York’s streets of illegal guns” (Senate Mem in Support of L 2006, ch 742, 2006 McKinney’s Session Laws of NY at 2193). And while in most cases where a gun is used to commit a crime, the defendant will be subject to consecutive sentencing, there still exist fact patterns where this will not be the case. In *People v Sturkey* (77 NY2d 979 [1991]), for example, the defendant seized a police officer’s gun during a scuffle, waved the gun in the air for a few seconds, either dropped or placed it on the floor and then fled. There, the subsequent robbery and possession charges arose from the same single act—the seizure of the gun. We held that although the defendant was properly convicted of both robbery and criminal possession of a weapon, the sentences for the two offenses were required by Penal Law § 70.25 to be concurrent. This fact pattern would yield the same result today.

Finally, Brown also claims that certain comments made by the prosecutor during summation denied his right to a fair trial, and Harris raises a Fourth Amendment challenge to the search that yielded the gun used in the attack on Lewis. We have examined these additional claims and consider them to be without merit.

Accordingly, the orders of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT, RIVERA and ABDUS-SALAAM concur.

In each case: Order affirmed.

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